EUROPEAN COMMISSION
DG Competition

PUBLIC VERSION

Case M.11071 - DEUTSCHE LUFTHANSA / MEF / ITA

(Only the English text is authentic)

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Article 8(2) Regulation (EC) 139/2004

Date: 3/7/2024

This text is made available for information purposes only. A summary of this decision is published in all EU languages in the Official Journal of the European Union.

Parts of this text have been edited to ensure that confidential information is not disclosed; those parts are enclosed in square brackets.

EUROPEAN
COMMISSION

Brussels, 3.7.2024
C(2024) 4729 final

COMMISSION DECISION

of 3.7.2024

declaring a concentration to be compatible with the internal market and the EEA agreement

(Case M.11071 – DEUTSCHE LUFTHANSA / MEF / ITA)

(Only the English text is authentic)

Table of Contents

1. Introduction 7
2. The Parties and the Transaction 8
2.1. The Parties 8
2.2. The Transaction 8
2.3. Joint control 8
2.3.1. Context of the privatisation decrees 9
2.3.2. Lufthansa and MEF's roles in the board of directors 10
2.3.3. Lufthansa's role in appointing the CEO 12
2.3.4. MEF's role as a "leaving shareholder" 13
2.3.5. Conclusion on joint control 14
2.4. Full functionality 14
3. Union dimension 14
4. The procedure 15
5. The Commission's investigation 18
6. Relevant markets 20
6.1. Origin & destination ("O&D") approach 22
6.1.1. The Commission's decisional practice 22
6.1.2. Lufthansa and MEF's view 22
6.1.3. The Commission's assessment 23
6.2. Distinction between the IATA summer and winter season 24
6.3. Distinction between sales of scheduled air transport services to tour operators and to end customers 24
6.3.1. The Commission's decisional practice 24
6.3.2. Lufthansa and MEF's view 25
6.3.3. The Commission's assessment 25
6.4. Distinction between passenger groups 26
6.4.1. The Commission's decisional practice 26
6.4.2. Lufthansa and MEF's view 27
6.4.3. The Commission's assessment 27
6.5. Airport substitutability 28
6.5.1. The Commission's decisional practice 28
6.5.2. Lufthansa and MEF's view 29
6.5.3. The Commission's assessment 29
6.6. Distinction between direct and indirect flights 63
6.6.1. The Commission's decisional practice 63

6.6.2. Lufthansa and MEF's view 64
6.6.3. The Commission's assessment 64
6.7. Distinction between charter flights and scheduled flights 65
6.7.1. The Commission's decisional practice 65
6.7.2. Lufthansa and MEF's view 66
6.7.3. The Commission's assessment 66
6.8. Distinction between air and train passenger transport services 67
6.8.1. The Commission's decisional practice 67
6.8.2. Lufthansa and MEF's view 67
6.8.3. The Commission's assessment 68
6.9. Market for the provision of access to flights of another carrier for connecting passengers in the context of interlining arrangements 70
6.9.1. Introduction 70
6.9.2. The Commission's decisional practice 70
6.9.3. Lufthansa and MEF's view 71
6.9.4. The Commission's assessment 71
6.10. Airport-by-airport approach 72
6.10.1. Airport infrastructure services 73
6.11. Cargo Air Transport Services 80
6.11.1. Relevant product market 80
6.11.2. Relevant geographic market 82
6.12. Maintenance, Repair, and Overhaul (MRO) 83
6.12.1. Relevant product market 83
6.12.2. Relevant geographic market 83
6.13. Ground handling services 84
6.13.1. Relevant product market 84
6.13.2. Relevant geographic market 85
6.14. Cargo handling services 85
6.14.1. Relevant product market 85
6.14.2. Relevant geographic market 86
6.15. Flight Training Services 86
6.15.1. Relevant product market 86
6.15.2. Relevant geographic market 87
6.16. Flight ticket distribution services 87
6.16.1. Relevant product market 87
6.16.2. Relevant geographic market 88

7. Competitive assessment – Common considerations 88
7.1. Legal Framework 88
7.1.1. Horizontal assessments 88
7.1.2. Non-horizontal assessments 91
7.1.3. The assessment of market entry and expansion 92
7.2. Competitive situation most likely to prevail absent the Transaction (counterfactual) 93
7.2.1. Legal principles 93
7.2.2. ITA's financial position 94
7.2.3. ITA's current network and future network planning 97
7.3. Approach to the short- and long-term impacts of the Covid19 pandemic and Russia's invasion of Ukraine on the competitive landscape 98
7.4. Impact of state aid received by Lufthansa on the competitive assessment 100
7.5. ITA's business model and strategic priorities 101
7.5.1. ITA's operations at Milan-Linate 101
7.5.2. ITA's operations at Rome-Fiumicino 102
7.6. Lufthansa's business model and strategic priorities 104
7.6.1. Multi-hub strategy 105
7.6.2. Multi-brand strategy 107
7.6.3. Lufthansa's presence in Italy 107
7.7. Evidence on the impact of the Transaction 110
7.7.1. Evidence from internal documents 110
7.7.2. The Commission's regression analysis 112
7.7.3. Stakeholder feedback 115
8. Horizontal overlaps in passenger air transport 117
9. Competitive assessment – horizontal overlaps on short-haul routes 118
9.1. Common considerations on horizontal overlaps on short-haul routes 118
9.1.1. Competitive landscape 118
9.1.2. Closeness of competition 121
9.1.3. Competition with train operators 151
9.1.4. Barriers to entry and expansion 153
9.1.5. Evidence on actual entry and expansion 175
9.1.6. Other considerations related to general arguments in the Parties' Response to the SO 177
9.2. Route-by-route assessment of direct overlaps (current) 178
9.2.1. Milan – Brussels 178
9.2.2. Milan – Düsseldorf 188

9.2.3. Milan – Frankfurt 197
9.2.4. Milan – Hamburg 207
9.2.5. Milan – Stuttgart 216
9.2.6. Rome – Brussels 220
9.2.7. Rome – Frankfurt 229
9.2.8. Rome – Munich 238
9.2.9. Rome – Zurich 246
9.2.10. Conclusion 255
9.3. Route-by-route assessment of direct overlaps (future) 256
9.3.1. Rome – Hamburg 256
9.3.2. Milan – Vienna 265
9.3.3. Conclusion 278
9.4. Competitive assessment of direct-indirect overlaps (current) 278
9.4.1. Introduction 278
9.4.2. Criteria for the assessment of likely problematic direct/indirect overlapping routes 279
9.4.3. Lufthansa and MEF's views 280
9.4.4. The Commission's assessment 284
9.4.5. Route-by-route assessment on the routes with direct/indirect overlaps where the Transaction would lead to a likely significant impediment to effective competition on Winter and Summer IATA seasons 297
9.4.6. Route-by-route assessment on the routes where the Transaction would lead to a likely significant impediment to effective competition on either Winter or Summer IATA seasons 304
10. Competitive assessment – horizontal overlaps on long-haul routes 322
10.1. Common considerations on horizontal overlaps on long-haul routes 323
10.1.1. Treatment of Lufthansa's metal-neutral JV partners 324
10.1.2. Relevance of feeder traffic for long-haul operations 331
10.1.3. Competitive landscape 332
10.1.4. Relevance of indirect connections for the assessment of closeness of competition on long-haul routes 334
10.1.5. Barriers to entry and expansion 339
10.2. Route-by-route assessment of direct overlaps (current) 348
10.2.1. Rome-Washington 348
10.2.2. Rome-San Francisco 358
10.3. Route-by-route assessment of direct overlaps (recently launched services) 366
10.3.1. Rome-Toronto 367
11. Airport infrastructure services 377

11.1. Legal Framework 377
11.2. Airports with respect to which the Transaction dose not raise concerns 378
11.3. Milan-Linate: The views of Lufthansa and MEF 380
11.4. Milan-Linate: The Commission's assessment 380
11.4.1. Ability to foreclose 380
11.4.2. Incentive to foreclose 393
11.4.3. Overall effect 394
11.5. Conclusion 395
12. Markets where the Transaction does not significantly impede effective competition 395
12.1. Competitive assessment – horizontal short-haul direct-direct overlap (future) 395
12.1.1. Rome – Vienna 395
12.2. Competitive assessment – horizontal short-haul direct-indirect overlaps (current). 399
12.2.1. Introduction 399
12.2.2. Direct-indirect overlaps 399
12.2.3. Indirect-indirect overlaps 425
12.3. Competitive assessment – horizontal overlaps on long-haul routes 431
12.3.1. Assessment of non-problematic direct overlaps 431
12.3.2. Assessment of non-problematic direct-indirect overlaps 439
12.3.3. Assessment of non-problematic indirect-indirect overlaps 443
12.4. Horizontal overlaps in cargo air transport services 452
12.5. Non-horizontal overlaps 454
12.5.1. MRO 454
12.5.2. Ground handling services 455
12.5.3. Cargo handling services 457
12.5.4. Flight training services 457
12.5.5. Online flight ticket distribution 458
12.5.6. Feeder traffic 459
13. Conclusion 466
14. Commitments 467
14.1. Introduction 467
14.2. Framework of assessment 468
14.2.1. Overview 468
14.2.2. Elimination of all identified competition concerns 469
14.2.3. Capable of being implemented effectively within short period of time 472
14.2.4. Case-by-case approach 473

14.3. The Initial Commitments 473
14.3.1. Description of the Initial Commitments 473
14.3.2. Assessment of the Initial Commitments 476
14.4. The Second Commitments 477
14.4.1. Description of the Second Commitments 477
14.4.2. Assessment of the Second Commitments 481
14.4.3. Conclusion on the Second Commitments 509
14.5. Final Commitments 509
14.5.1. Description of the Final Commitments 509
14.5.2. Lufthansa and MEF's view 514
14.5.3. The Commission's Assessment 515
14.5.4. Conclusion on the Final Commitments 520
15. Conditions and Obligations 520

COMMISSION DECISION

of 3.7.2024

declaring a concentration to be compatible with the internal market and the EEA agreement

(Case M.11071 – DEUTSCHE LUFTHANSA / MEF / ITA)

(Only the English text is authentic)

THE EUROPEAN COMMISSION,

Having regard to the Treaty on the Functioning of the European Union[1],

Having regard to the Agreement on the European Economic Area, and in particular Article 57 thereof,

Having regard to Council Regulation (EC) No 139/2004 of 20.1.2004 on the control of concentrations between undertakings[2], and in particular Article 8(2) thereof,

Having regard to the Commission's decision of 23 January 2024 to initiate proceedings in this case,

Having given the undertakings concerned the opportunity to make known their views on the objections raised by the Commission,

Having regard to the opinion of the Advisory Committee on Concentrations,

Having regard to the final report of the Hearing Officer in this case,

Whereas:

1. INTRODUCTION

(1) On 30 November 2023, the Commission received a notification of a proposed concentration pursuant to Article 4 of Council Regulation (EC) No 139/2004 ("Merger Regulation") by which Deutsche Lufthansa AG ("Lufthansa" or "DLH") and the Ministry of Economy and Finance of Italy ("MEF") will acquire within the meaning of Article 3(1)(b) and 3(4) of the Merger Regulation joint control over Italia Trasporto Aereo S.p.A. ("ITA") (all together the "Parties") by way of a purchase of shares (the "Transaction").

(2) **Lufthansa** and **ITA** operate an extensive network of routes from their respective hubs in Austria, Belgium, Germany, Switzerland and Italy. Lufthansa has joint ventures with United Airlines and Air Canada for transatlantic routes as well as with All Nippon Airways for routes to Japan. The joint venture partners coordinate on price, capacity and scheduling and share revenues. Therefore, the Commission treats each joint venture as a single entity in its assessment.

---

1 OJ C 115, 9.8.2008, p.47.

2 OJ L 24, 29.1.2004, p. 1 ('the Merger Regulation'). With effect from 1 December 2009, the Treaty on the Functioning of the European Union ('TFEU') has introduced certain changes, such as the replacement of 'Community' by 'Union' and 'common market' by 'internal market'. The terminology of the TFEU will be used throughout this decision.

2. THE PARTIES AND THE TRANSACTION

2.1. The Parties

(3) Lufthansa is the holding company of the Lufthansa Group which is headquartered in Cologne, Germany. Its air transport business includes, inter alia, Lufthansa Passenger Airlines, Swiss International Air Lines Ltd. ("SWISS"), Brussels Airlines S.A./N.V. ("Brussels Airlines"), Austrian Airlines AG ("Austrian Airlines"), Air Dolomiti L.A.R.E. S.p.A. ("Air Dolomiti"), Eurowings GmbH ("Eurowings"), EW Discover GmbH ("EW Discover"), Edelweiss Air AG ("Edelweiss") and its joint venture with Türk Hava Yolları A. O. ("Turkish Airlines"), Güneş Ekspres Havacılık A.Ş. ("SunExpress"). Lufthansa operates hubs in Frankfurt, Munich, Brussels, Zurich and Vienna. Lufthansa is also a member of the global airline alliance Star Alliance. Furthermore, Lufthansa has, among others, joint ventures with United Airlines and Air Canada for transatlantic routes ("A++ JV") as well as with All Nippon Airways ("ANA") for routes to Japan ("J+ JV"). In addition, Lufthansa has a joint venture with Air China covering routes between Europe and China ("C+ JV"). The JV partners coordinate on price, capacity and scheduling and share revenues. Lufthansa is active worldwide.

(4) MEF carries out the tasks and responsibilities of the Italian Government in the fields of economic policy, financial policy, budgeting, and tax policies. MEF holds shareholdings in public and strategic companies in Italy, among others in the transport sector (ENAV S.p.A., Ferrovie dello Stato) and is the sole shareholder in ITA. The undertakings in which MEF has shareholdings are active worldwide.

(5) ITA is an Italian airline company, created by the Italian State on 9 October 2020, which is active worldwide. It is headquartered in Rome. ITA is wholly owned by the MEF and is a member of the global airline alliance Sky Team.

2.2. The Transaction

(6) According to an Investment Agreement dated 16 June 2023, MEF and Lufthansa will each contribute to a capital increase of ITA (EUR 250 million and 325 million respectively). Following the capital increase, Lufthansa will hold a stake of 41% in ITA, […] and MEF will hold the remaining 59%, […].

(7) Lufthansa will have the right to exercise a fixed-price call option [details on options].[3]

(8) [Details on options].[4]

(9) The Parties explained that they [details on options][5]

(10) Lufthansa and MEF state that […][6] […].[7]

2.3. Joint control

(11) Following the Transaction, ITA's board will consist of five directors, two appointed by […Lufthansa] and three by […MEF…].[8] Each Party will have the power to remove and replace the directors it appointed.[9]

---

3 Form CO, paragraph 273 and response to RFI-23, questions 1 and 3.
4 Form CO, paragraph 274 and response to RFI-23, question 3.
5 Response to RFI-28, question 1.
6 Form CO, paragraph 240.
7 Form CO, paragraph 281.
8 Form CO, paragraph 255.

(12) In addition to the right of each of Lufthansa and MEF to appoint directors to the board, [details on governance structure][10] [details on governance structure].[11] [Details on governance structure], the CEO will be appointed by the board among Lufthansa's two directors according to Lufthansa's choice.[12]

(13) [Details on governance structure].[13] [Details on governance structure].[14] As acknowledged by Lufthansa and MEF, the Reserved Matters relate to the strategic decisions that go beyond rights normally accorded to minority shareholders to protect their financial interest, and usually confer upon the holder the power to exercise decisive influence on the commercial policy of an undertaking.[15]

(14) Veto rights which confer joint control typically include decisions on issues such as the budget, business plan or the appointment and dismissal of senior management.[16] Consequently, this indicates that with the Transaction Lufthansa and MEF acquire joint control over ITA.

(15) Lufthansa and MEF argue however that the Transaction is an acquisition of sole control over ITA by Lufthansa.[17] They invoke four arguments pertaining to the context of the privatisation decrees (section 2.3.1), Lufthansa and MEF's roles in the board of directors (section 2.3.2), Lufthansa's role in appointing the CEO (section 2.3.3) and MEF's role as a "leaving shareholder" (section 2.3.4).

2.3.1. Context of the privatisation decrees

(16) Lufthansa and MEF argue that the Transaction "*takes place pursuant to and in compliance with… decrees foreseeing the privatization of ITA with an airline as a majority shareholder and with its 'overriding involvement in the management' of ITA."*[18] The Commission notes however that the Decree of the President of the Council of Ministers, issued on 22 December 2022, on the sale of MEF's shares in ITA ("Decree")[19] in fact seems to insist on MEF's control over ITA post-Transaction:

(a) Lufthansa and ITA themselves explain that the Decree, which superseded an earlier decree of 11 February 2022,[20] "removed the provision originally setting that the MEF would have only been able to retain a non-controlling minority share."[21]

---

9 Response to RFI-14, question 22.

10 These are typically the "chief" officers such as chief financial officer ("CFO"), chief operating officer ("COO"), etc.

11 Response to RFI-14, question 24.

12 Form CO, paragraphs 268-269.

13 Form CO, paragraph 256.

14 Form CO, paragraph 256.

15 Form CO, paragraph 257, making reference to the Commission Consolidated Jurisdictional Notice (OJ C 95, 16.04.2008, p.1) (the "CJN"), recital 69.

16 CJN, recitals 68-70.

17 Nevertheless, the Parties have stated in the Form CO, paragraph 200, that should the Commission find that post-Transaction, Lufthansa and MEF will jointly control ITA, then MEF should be considered as a notifying party. Accordingly, MEF signed the notification alongside Lufthansa.

18 Form CO, paragraph 283, fifth bullet point.

19 Decreto del Presidente del Consiglio dei ministri 22 dicembre 2022, Procedura di dismissione della partecipazione del Ministero dell'economia e delle finanze in ITA S.p.a. (22A07448) (GU n.1 del 2-1-2023).

20 Form CO, paragraph 14 and 19.

21 Form CO, paragraph 19.

(b) The Decree states in its preamble that "*the divestment* [of MEF's] *participation in* [ITA] *can be achieved in several phases, without prejudice to the recognition in each phase of* [MEF's] *adequate powers to oversee the pursuit of the aforementioned objectives"*,[22] that is, industrial development and strengthening of ITA's activities.[23] In their Response to the SO the Parties argued that the Commission misinterpreted the Decree and [details on transaction structure rationale][24] The Commission notes that this explanation does not affect the conclusion that during the phased divestment MEF will have decision-making powers that grant it joint control over ITA.

(c) The Decree also states in its preamble that the sale procedure of ITA should be limited to parties that "*are able to acquire an initial shareholding in* [ITA] *of such a size as to confirm the seriousness of the commitment as well as subsequently acquire control or a majority of the capital*" [emphasis added].[25] This Recital confirms that the intention of the Italian State is that the buyer should not acquire sole control immediately with the Transaction but only at a later stage, presumably with the exercise of one the different options held by Lufthansa or MEF.

(d) The Decree stipulates in the operative part that MEF should have "*adequate powers of control over the management"* of ITA,[26] as well as control mechanisms "*on decisions relevant to the pursuit of the development and strengthening objectives"* of ITA.[27]

2.3.2. Lufthansa and MEF's roles in the board of directors

(17) Lufthansa and MEF argue that while no strategic business decision can be adopted solely with the votes of Lufthansa's directors, […],[28] for the following reasons.

(18) *First*, Lufthansa and MEF argue that the Investment Agreement provides that [details on agreement terms].[29] The Commission notes however that, with the exception of the appointment of the CEO, the Investment Agreement does not constrain the vote of the MEF directors with respect to strategic decisions, [details on agreement terms].

(19) *Second*, Lufthansa and MEF argue that, according to Italian law, MEF does not exercise *"management and coordination activities"* over the companies in which it holds a shareholding.[30] However, the provisions of Italian law referred to relate to the liability of management companies towards the shareholders of the companies they manage. They do not affect the ability of MEF to influence the commercial strategy of ITA through the appointment of directors to ITA's board. In fact, Lufthansa and MEF themselves argue, as explained in the paragraph above, that indeed [details on agreement terms].[31]

---

22 Decree, Preamble, Recital 12.
23 Decree, Preamble, Recital 11.
24 Response to the SO, paragraph 700, first bullet point.
25 Decree, Preamble, Recital 13.
26 Decree, Article 1, sub-Article 4(b)(ii).
27 Decree, Article 1, sub-Article 4(b)(iii).
28 Form CO, paragraph 260; response to the Article 6(1)(c) decision, paragraph 332.
29 Form CO, paragraph 261.
30 Form CO, paragraph 262.
31 Form CO, paragraph 261.

(20) *Third*, Lufthansa and MEF argue that the Italian competition authority (Autorita Garante della Concorrenza e del Mercato, "AGCM") has repeatedly expressed the principle of the autonomy of the entities in which MEF holds a stake in making strategic and operational decisions.[32] However, as further explained by Lufthansa and MEF, the findings of the AGCM did not relate to the question of control but to the question whether all companies controlled by MEF are to be considered as a single group.[33] The Commission notes, that in the decisions invoked by Lufthansa and MEF the AGCM did in fact find that it was MEF who acquired control of the targets. These decisions therefore do not lend support to the argument that MEF would not control ITA post-Transaction.

(21) *Fourth*, Lufthansa and MEF argue that, since Lufthansa would be the ITA shareholder with industrial expertise, and since […].[34]

(22) The Commission notes that even though Lufthansa would play a major role in ITA's operations,[35] there is no indication that post-Transaction MEF would lose interest in the management of ITA, leaving it entirely in the hands of Lufthansa. In fact, as acknowledged also by Lufthansa and MEF,[36] the Decree had the aim of concluding an industrial partnership for ITA to pursue the objective of ITA's industrial development and future growth, with particular focus on the development of national hubs and its entry into strategic markets and increase of long-haul routes.[37] For that purpose the Decree stipulates that MEF should have "*adequate powers of control over the management*" of ITA,[38] as well as control mechanisms "*on decisions relevant to the pursuit of the development and strengthening objectives*" of ITA.[39] It arises from the Decree that the Italian State has plans for the future strategic development of ITA and, to guarantee that, MEF intended to retain control over ITA.

(23) In a submission relating to Lufthansa's transatlantic JV (see paragraph (3) above), the Parties added that post-Transaction *"MEF being a 59% shareholder in ITA postclosing, MEF will clearly have a strong interest in developing ITA's profitability, […]."*[40] They further stated that *"MEF will post-closing have the necessary governance powers to enable the above benefits to be archived. Consequently, […]."*[41]

(24) The Commission further notes that according to recital 67 of the CJN "*it is not necessary to establish that an acquirer of joint control of the joint venture will actually make use of its decisive influence. The possibility of exercising such influence and, hence, the mere existence of the veto rights, is sufficient."*

---

32 Form CO, paragraph 263, referring to C12382 - MINISTERO DELL'ECONOMIA E DELLE FINANZE/SACE, 03.08.2021, and C12107 – MINISTERO DELL'ECONOMIA E DELLE FINANZE/BANCA MONTE DEI PASCHI DI SIENA, 18.10.2017.

33 Response to RFI-24, question 1.

34 Form CO, paragraphs 264-265; response to the Article 6(1)(c) decision, paragraph 335-338; response to the SO, paragraph 700, fourth and fifth bullet points.

35 From CO, paragraph 272.

36 Form CO, paragraph 19.

37 Decree, Article 1, sub-Article 4.a): *"Il Ministero dell'economia e delle finanze avvia la trattativa in esclusiva con il soggetto o i soggetti individuati ai sensi dei commi precedenti, al fine di definire, anche con la partecipazione di ITA S.p.a.: a) il piano industriale di sviluppo e crescita di ITA S.p.a., con particolare attenzione allo sviluppo degli hub nazionali, all'ingresso in mercati strategici e all'incremento delle rotte a lungo raggio;"*

38 Decree, Article 1, sub-Article 4(b)(ii).

39 Decree, Article 1, sub-Article 4(b)(iii).

40 Parties' Submission on JV Partners, 15 March 2024, paragraph 10.

41 Parties' Submission on JV Partners, 15 March 2024, paragraph 11.

Furthermore, even if MEF were to become post-Transaction a mere financial investor in ITA, *quod non*, the Commission notes that recital 81 of the CJN explains that "*joint control is not incompatible with the fact that one of the parent companies enjoys specific knowledge of and experience in the business of the joint venture. In such a case, the other parent company can play a modest or even non-existent role in the daily management of the joint venture where its presence is motivated by considerations of a financial, long-term-strategy, brand image or general policy nature. Nevertheless, it must always retain the real possibility of contesting the decisions taken by the other parent company on the basis of equality in voting rights or rights of appointment to decision making bodies or of veto rights related to strategic issues."* As explained in paragraphs (11)-(14) above, post-Transaction MEF will enjoy rights of appointment to decision making bodies as well as veto rights related to strategic issues.

(25) Furthermore, […] it is likely that MEF would maintain its interest in the commercial policy of ITA for the foreseeable future, considering that [details on investment agreement].

(26) Fifth, Lufthansa and MEF recall the legal duties of directors towards the company, its shareholders, creditors and third parties. Lufthansa and MEF argue that considering these legal duties and the fact that Lufthansa would be the shareholder of ITA with industrial expertise, the MEF directors are unlikely to vote differently than the CEO of ITA (and a Lufthansa appointed director), "*particularly if this could result detrimental to the interests of the company."*[42] The Commission notes however that as explained in paragraph (22) above, MEF has a strategic vision for ITA and aims to maintain control in order to achieve it. Furthermore, as explained in paragraph (22) above, MEF enjoys rights of joint control over ITA and it cannot be concluded that Lufthansa would exercise sole control over ITA by virtue of its industrial expertise. Moreover, joint control is also in line with how Lufthansa describes the aftermath of the Transaction in its Annual Report 2023: "*The Lufthansa Group is in close contact with the relevant authorities in order to obtain approval for the transaction as soon as possible and take over* ***joint operational responsibility*** [emphasis added] *for ITA Airways.*"[43]

(27) Sixth, Lufthansa and MEF argue that the conclusion that Lufthansa would have sole control is consistent with the Commission's practice to find sole control when a minority shareholder alone was able to create deadlock situations by blocking key decisions.[44] The Commission notes however that post-Transaction both Lufthansa and MEF will be able to create such deadlock situations, leading to the joint control.

2.3.3. Lufthansa's role in appointing the CEO

(28) Lufthansa and MEF argue that the conclusion that post-Transaction Lufthansa will solely control ITA "*is further reinforced by the fact that the Board of Directors shall appoint the CEO among* [the Lufthansa] *directors, who are selected by* [Lufthansa]...

---

42 Form CO, paragraph 266.

43 Lufthansa Annual Report 2023, page 145, available at https://report.lufthansagroup.com/2023/annual-report/en/ (last accessed on 11 March 2024).

44 Form CO, paragraph 267; see also Response to the SO, paragraph 700, second bullet point. These are however situations where there are more than two shareholders, none of whom can unilaterally adopt strategic decisions for the company. However, one (and only one) of these shareholders does enjoy veto rights that allow it (and only it) to block strategic decisions. In past decisions the Commission found that such a shareholder would exert sole control over the company. See Cases M.5335 – Lufthansa/SN Airholding, paragraph. 7 and M.2777 – Cinven limited/Angel street holdings, paragraph 8.

[details on governance structure].”[45] According to Lufthansa and MEF this would mean that Lufthansa would have “*the right to manage the activities of the company and to determine its business policy on the basis of the organisational structure”* which the CJN in recital 57 considers as a possibility for a minority shareholders to exercise sole control.[46]

(29) This argument cannot be accepted. First, recital 57 of the CJN relates to circumstances in which only the minority shareholder by virtue of specific rights can determine the business policy of the company. This would not be the case of ITA post-Transaction where both Lufthansa and MEF will have veto rights over strategic decisions. Second, as explained by Lufthansa and MEF, [details on governance structure] that, as explained in paragraphs (11)-(14) above, refer to [details on governance structure]. Therefore, it cannot be said that post-Transaction the CEO is able to determine the strategic commercial behaviour of ITA.

(30) In their response to the Article 6(1)(c) Decision (see paragraph (47) below) the Parties argued that *“the evidence of sole control is further reinforced [details on governance structure]. In fact, if MEF already enjoyed the level of influence generally attached to a majority share, it would not need this additional protection.”*[47]

(31) The Commission considers that for the reasons explained above, MEF will exert immediately post-Transaction joint control over ITA even without veto power over the appointment of the CEO. The fact that in the future [details on governance structure] does not affect the conclusion that immediately post-Transaction MEF will have sufficient powers to exert joint control over ITA.

2.3.4. MEF's role as a “leaving shareholder”

(32) Lufthansa and MEF argue that “*MEF is a ’leaving shareholder‘ insofar [details on investment agreement].*[48] *According to the Commission’s decision practice, this ’together with other elements, may lead to the conclusion that there is de facto sole control.’’*”[49] […] “*it is believed that MEF would not attempt to jeopardize the financial and commercial support by* [Lufthansa]”,[50] a belief reinforced because MEF […].[51]

(33) The Commission notes that the CJN states in recital 60 that “*an option to purchase or convert shares cannot in itself confer sole control unless the option will be exercised in the near future according to legally binding agreements. However, in exceptional circumstances an option, together with other elements, may lead to the conclusion that there is de facto sole control.”* It is not disputed by Lufthansa and MEF that [details on options].[52] This conclusion is reinforced by the fact that [details on options]. The question is therefore whether in the case at hand there are “*exceptional circumstances”* and “*other elements”* that would lead to the conclusion that Lufthansa’s options confer on it *de facto* sole control over ITA.

---

45 Form CO, paragraphs 268; Response to the SO, paragraph 700, third bullet point.

46 Form CO, paragraphs 269.

47 Response to the Article 6(1)(c) decision, paragraph 334. See also Form CO, paragraph 271 referring to Clause 16.5 of the Investment Agreement.

48 See paragraphs (7) and (8) above.

49 Form CO, paragraph 275, citing recital 60 CJN.

50 Form CO, paragraph 277; response to the 6(1)(c) decision, paragraph 37.

51 Form CO, paragraphs 278-280.

52 Form CO, paragraph 273.

(34) The Commission does not consider that in this case there are "*exceptional circumstances"* and "*other elements"* that lead to the conclusion that post-Transaction Lufthansa will exercise sole control over ITA. As explained in paragraphs (11)-(14) and (25) above, post-Transaction MEF will enjoy rights that would allow it to influence strategic matters that determine the commercial policy of ITA, and there is no indication that post-Transaction MEF would lose interest in the management of ITA leaving it entirely in the hands of Lufthansa.

(35) The two Commission decisions cited by Lufthansa and MEF[53] do not support their argument. In the first case, Ford had the power, at its sole discretion and at any time, to convert shares that would grant it control over the company within a matter of hours and without any further cash disbursement.[54] In the case at hand, [details on options].[55]

(36) In the second case, the Commission found that, post-Transaction, Arla had the right to determine all main business decisions of the target on its own although it acquired only 30% of the shares in the target. The existence of an unconditional call option for Arla to purchase the remaining 70% of share was only "*supporting"* the view that Arla already controlled the target as from the acquisition of the 30% shareholding.[56] In the case at hand, Lufthansa will not have the right, post-Transaction, to determine all main business decisions on its own, since those will require the consent of MEF.

2.3.5. Conclusion on joint control

(37) For the reasons set out in section 2.3, the Commission concludes that post-Transaction Lufthansa and MEF will jointly control ITA. There are no indications that MEF would relinquish its contractual veto rights and follow Lufthansa's decision-making after the Transaction. Instead, there are clear indications, that MEF, implementing the Decree, may pursue specific objectives with its shareholding in ITA.

(38) In view of the above conclusion, as accepted by Lufthansa and MEF,[57] they are also both considered as notifying parties.

2.4. Full functionality

(39) Post-Transaction ITA will operate as a full function joint venture. It will continue to operate on a lasting basis with its own presence on the market, with management dedicated to its day-to-day operations and access to sufficient resources (finance, staff and assets). ITA's activities will go beyond a specific function of its parents.[58]

3. UNION DIMENSION

(40) The undertakings concerned have a combined aggregate worldwide turnover of more than EUR 5 000 million (Lufthansa: EU […]; MEF:[59] EUR […]).[60] Each of them has

53 Form CO, paragraphs 275 and 283.
54 Case IV/M.397 – Ford/Hertz, paragraph 4.
55 Response to RFI-23, question 2.
56 Case M.4323 – Arla/Ingman Foods, paragraph 8.
57 See footnote (19) above.
58 Response to RFI-22, question 4.
59 The turnover of MEF is based only on the turnover of ITA, excluding other undertakings controlled by MEF. The turnover of ITA alone is sufficient for the Transaction to have Union dimension.
60 Turnover calculated in accordance with Article 5(1) of the Merger Regulation and the CJN. Pursuant to paragraph 156 CJN, the relevant date for establishing jurisdiction is 2019, and pursuant to paragraph 169 CJN, the relevant year for the turnover data is 2018.

a Union-wide turnover in excess of EUR 250 million (Lufthansa: EUR […]; ITA: EUR […]).[61] They do not achieve more than two-thirds of their aggregate Union-wide turnover within one and the same Member State.[62]

(41) The Transaction therefore has a Union dimension within the meaning of Article 1(2) of the Merger Regulation.

4. THE PROCEDURE

(42) On 20 March 2023, Lufthansa and MEF submitted the first draft notification to the Commission. This initiated pre-notification discussions between the Commission and the Parties to discuss the amount of information to be provided in a notification. Subsequently, the Parties took a long time to respond to the Commission's pre-notification requests to add information to the draft notification. For instance, Lufthansa and MEF submitted the second draft notification on 15 August 2023, around five months after the first draft notification. Both draft notifications were incomplete, however, as they were missing essential information, such as up-to-date market data, forward-looking assessments, information on joint ventures, information on ITA's financials, internal documents, and information on the governance of ITA. In reaction, the case team sent additional questions to the Parties on 29 August 2023, to which the Parties responded on 27 October 2023, albeit in an incomplete manner. The Commission sent additional questions to the Parties on 31 August 2023, 19 October 2023, 27 October 2023 and 17 November 2023, to which the Parties responded respectively on 17 October 2023, 3 November 2023, 13 November 2023 and 28 November 2023.

(43) On 22 June 2023, in parallel to the pre-notification discussions, […].

(44) On 7 August 2023, the Commission adopted a Statement of Objections on that derogation request, informing Lufthansa and ITA that, on a preliminary basis, the measures envisaged, which would have amounted to an important step towards the integration of Lufthansa's and ITA's activities, (i) fell under the suspension obligation pursuant to Article 7(1) of the Merger Regulation and (ii) did not meet the conditions set in Article 7(3) of the Merger Regulation. The latter was because (a) the suspension obligation imposed by the Merger Regulation would not have led to serious harm to Lufthansa, ITA or third parties; (b) the envisaged measures could have had adverse effects on passengers, and (c) the Transaction raised *prima facie* competition concerns possibly affecting a large number of routes and passengers. On 21 August 2023, following the adoption of the Statement of Objections, Lufthansa and ITA withdrew their request for derogation.

---

61 Turnover calculated on the basis of the "50/50 split" method, which consists in allocating the revenue from an individual route operated by an air carrier in a 50%/50% ratio to the country of origin and the country of final destination so as to take into account the cross-border character of the service provided (see for example case M.4439 – Ryanair / Aer Lingus, paragraph 18). Lufthansa does not account for its turnover on the basis of the "50/50 split" method and was therefore able to provide only estimates of its turnover on this basis. Lufthansa only calculates its turnover on the basis of the "point of sale" method which consists in allocating the turnover to the country where the ticket sale occurred. Under this method Lufthansa's Union-wide turnover in 2022 was EUR […] and ITA's EUR […]. Under the "place of departure" (or "point of origin") method, which consists in allocating the revenue from an individual route operated by an air carrier to the country where the place of departure of the flight is located, Lufthansa estimates its 2022 turnover was EUR […] and ITA's turnover was EUR […]. The Transaction has therefore Union dimension under all three methods.

62 This can be established on the basis of ITA's turnover alone (see footnote 59 above) because already Lufthansa does not achieve more than two-thirds of its Union-wide turnover in a single Member State.

(45) The Transaction was notified to the Commission on 30 November 2023.

(46) On 8 January 2024, Lufthansa and MEF proposed commitments under Article 6(2) of the Merger Regulation. Those commitments were, however, not market tested by the Commission because they did not address all the areas of preliminary competition concerns that had been identified by the Commission.

(47) On 23 January 2024, the Commission raised preliminary competition concerns as to the compatibility of the Transaction with the internal market and the functioning of the EEA Agreement and adopted a decision to initiate proceedings pursuant to Article 6(1)(c) of the Merger Regulation ("the Article 6(1)(c) Decision"). The Commission concluded that the Transaction raised preliminary competition concerns as to its compatibility with the internal market and the functioning of the EEA Agreement in relation to (i) the supply of scheduled passenger air transport services on 38 points of origin/points of destination (O&D) markets (namely 28 short-haul routes[63] and 10 long-haul routes[64]) and additional long-haul routes between Italy and the following destinations: New York, Washington, San Francisco, Chicago and, Toronto, on which currently no airline provides a non-stop connection,[65] as defined in section 6.6[66]; (ii) the potential creation or strengthening of a dominant position at Milan-Linate airport (LIN), leading to potential foreclosure concerns in relation to the provision of passenger air transport services from and to LIN[67]; and (iii) to the potential market for the provision of ITA's feeder traffic to services operated by other air carriers in competition with the Parties on various international routes.[68]

(48) The Article 6(1)(c) Decision also found that the commitments proposed by the Parties on 8 January 2024 were not sufficient to eliminate the Commission's preliminary competition concerns as to the compatibility of the Transaction with the internal market, for the reasons described in that decision.

(49) On 24 and 26 January 2024, the Commission provided non-confidential versions of certain key submissions by third parties collected during the Phase I investigation to the Parties.

(50) Following its 6(1)(c) Decision, the Commission conducted its Phase II market investigation. As a result, the present Decision is based on evidence collected by the Commission during the pre-notification stage and the Phase I and Phase II investigations.

(51) On 5 February 2024, the Parties submitted their written comments on the Article 6(1)(c) Decision ("Response to the Article 6(1)(c) Decision").

(52) On 25 March 2024, a statement of objections (the "Statement of Objections" or "SO") was sent to the Parties, concluding on a preliminary basis that the notified Transaction would significantly impede effective competition in a substantial part of the internal market.

(53) On 11 April 2024, the Parties submitted their written comments on the Commission's Statement of Objections (the "Response to the SO" or "Response to the Statement of

63 Short-haul flights are flights of a duration of less than six hours. For the purposes of this Decision, short-haul flights exclude transatlantic flights (regardless of their duration).

64 Long-haul flights are flights of a duration of more than six hours.

65 See recital (1068) of the Article 6(1)(c) Decision.

66 See footnote 318.

67 See recital (1069) of the Article 6(1)(c) Decision.

68 See recitals (1070) of the Article 6(1)(c) Decision.

Objections"). The Parties requested to further present their arguments at an oral hearing.

(54) On 11 April 2024, the Parties also submitted a first set of commitments in the Phase II investigation with a view to render the concentration compatible with the internal market pursuant to Article 8(2) of the Merger Regulation (the "Initial Commitments"). The Parties did not consult the Commission on a draft before the formal submission. These Initial Commitments did not address all of the competition concerns raised by the concentration, were unlikely to address the competition concerns they were meant to address and were unclear and incomplete from a technical perspective. Therefore, the Commission decided not to market test the Initial Commitments. On 17 April 2024, in a videoconference meeting, the Commission provided feedback to the Parties on the Initial Commitments, including its decision not to market test them. Throughout the proceedings, fourteen third-persons were recognized as interested third person for the purpose of Article 18(4), second sentence, of the Merger Regulation. Nine interested third-persons submitted comments on a non-confidential version of the Statement of Objection made available to them.

(55) An Oral Hearing took place on 19 April 2024, with the participation of representatives of the Parties, eight interested third-persons, the Commission, and the competent authorities of seven Member States.

(56) On 26 April 2024, the Commission decided to extend the procedure by a total of 5 working days in accordance with Article 10(3) second subparagraph, third sentence of the Merger Regulation, with the agreement of the Parties. Accordingly, the legal deadline for a Commission decision was extended until 13 June 2024.

(57) On 29 April 2024, the Commission sent a first Letter of Facts to inform the Parties about additional factual elements which were not included in the Statement of Objections, and which supported some of the Commission's preliminary conclusions reached in the Statement of Objections (the "First Letter of Facts"). A second Letter of Facts was sent on 5 May 2024 (the "Second Letter of Facts"). The Parties submitted their responses to the First and Second Letter of Facts respectively on 6 May 2024 and 14 May 2024 ("Observations to the First Letter of Facts" and "Observations to the Second Letter of Facts").

(58) On 6 May 2024, the Parties formally submitted a second set of commitments in the Phase II investigation (the "Second Commitments"), aimed at addressing the preliminary competition concerns arising from the Transaction. In line with Article 10(3) fist subparagraph, second sentence of the Merger Regulation and paragraph 89 of the Commission notice on remedies,[69] the deadline for the Commission to take a decision in this case was then extended by 15 working days, until 4 July 2024.

(59) On 13 May 2024, despite its preliminary concerns regarding their lack of effectiveness, the Commission launched a market test in connection with the Second Commitments. The Commission considered it appropriate to market test the Second Commitments in this case so that it would be able to base its decision on the best available evidence, despite its preliminary concerns.

[69] Commission notice on remedies acceptable under Council Regulation (EC) No 139/2004 and under Commission Regulation (EC) No 802/2004OJ C 267, 22.10.2008 ("Remedy Notice").

(60) In the following weeks, Lufthansa submitted several revised commitments in draft form. Upon request, the Commission provided preliminary feedback to Lufthansa and/or the Parties on those revisions during telephone calls and during the state-of-play meeting of 23 May 2024. On 18 June 2024, the Parties submitted a final version of their commitments (the "Final Commitments").

(61) State of play meetings were held on 21 December 2023, 7 February 2024, 14 March 2024, 25 April 2024 and 23 May 2023 respectively (i) to inform the Parties of the preliminary results of the Phase I investigation and to provide an opportunity for the Parties to prepare the formulation of a possible remedy proposal in Phase I before expiry of the deadline provided in Article 18 of the Implementing Regulation, (ii) to facilitate the Parties' understanding of the Commission's concerns at an early stage of the Phase II proceedings, (iii) to explain to the Parties the Commission's preliminary view on the outcome of the Phase II investigation and to inform the Parties of the type of objections DG Competition might set out in the SO, (iv) to provide the Parties with an opportunity to understand DG Competition's position after it has considered their reply and heard them at an Oral Hearing, to discuss the scope and timing of possibly remedy proposal and to enable the Parties to discuss with DG Competition its views on the Initial Commitments, and (v) to enable the Parties to discuss with DG Competition its views on the Second Commitments and the results of the market testing of those remedies.. In addition, the Commission held regular phone calls with the Parties throughout all stages of the proceedings.

(62) Access to file was first provided on 26 March 2023. Subsequent access to the file was provided on 26 April, 7 May, 24 May and 20 June 2024. In addition, access to confidential information relied upon by the Commission in the SO, as well as in the First and Second Letter of Facts was granted to the Parties' advisors in accordance with the data room procedure, opened for an initial period of 2 working days on 26 and 27 March 2024, and re-opened on 9, 17, 18 April 2024 and 2 May 2024.

(63) On 20 June 2024, the Commission sent a draft of the decision to be taken pursuant to Article 8(2) of the Merger Regulation ("the Decision") to the Advisory Committee with the view of seeking the Committee's opinion. The meeting of the Advisory Committee took place on 28 June 2024 and the Committee issued a positive opinion.

5. THE COMMISSION'S INVESTIGATION

(64) The Commission collected evidence from various sources at various stages of the investigation.

(65) In the pre-notification phase, the Commission reviewed the information provided in the draft Form CO and its accompanying draft annexes. Furthermore, the Commission requested information and held meetings and conference calls with the Parties. Moreover, the Commission addressed requests for information to train operators and consumer organisations and held conference calls with several competitors in air passenger services.

(66) Following the notification of the Transaction on 30 November 2023, the Commission carried out its Phase I investigation. The Commission sent several requests for information to the Parties, which included requests addressed to each of Lufthansa and ITA for internal documents prepared between 1 January 2021 and mid-December 2023, among others in relation to (i) business plans, strategic plans and fleet plans, (ii) perception of the competitive landscape, monitoring of and reporting on competitors, analysis of market evolution as well as analysis of barriers to entry, (iii) commercial strategy, operation plans and pricing decisions, (iv) partnerships and

joint ventures with other passenger airlines, and (v) rationale, negotiation and execution of any agreement between Lufthansa and ITA.

(67) In addition to requests for information addressed to the Parties, the Commission addressed during its Phase I investigation six different requests for information by way of electronic questionnaire pursuant to Article 11(2) of the Merger Regulation to (i) competitors active in short-haul air passenger services, (ii) competitors active in long-haul air passenger services, (iii) corporate customers of both short-haul and long-haul air passenger services as well as travel agencies and tour operators, (iv) competitors and customers of air cargo services, (v) airport managers and (vi) slot coordinators.[70]

(68) Following the opening of proceedings on 23 January 2024, the Commission carried out a thorough Phase II market investigation. Namely, the Commission (i) sent several requests for information to the Parties, including as regards the network dimension of their businesses and as regards market data on the overlap routes; (ii) addressed individualised requests for information to around 20 airlines active on the relevant short-haul and long-haul routes, including follow-up requests on specific issues, (iii) conducted in-depth interviews with numerous rival airlines; (iv) carried out an extensive document review, which included the internal documents related to the topics listed in paragraph (66); (v) requested further information from Italian airport managers; (vi) held in-depth meetings with the Parties concerning select issues regarding ITA's performance and financial situation, Lufthansa's network business model, overlaps with indirect flights in short-haul traffic, Lufthansa's pricing strategies for short and long-haul routes, and the closeness of competition between Lufthansa and ITA in short-haul traffic; (vii) carried out a regression analysis to assess the relationship between the competitive landscape and the ticket prices charged by DLH, (viii) carried out extensive analyses on the effect of ITA's potential shift into the A++ JV and Star Alliance, on market share patterns and network dynamics, as well as on overlaps in the indirect/indirect long-haul connections and on incentives to foreclose rivals from access to feed traffic on the overlapping routes, including the potential effects of such a strategy, and (ix) reviewed several complaints received by citizens, a consumer association and competing airlines.

(69) Following the submission of the Second Commitments on 6 May 2024, the Commission carried out a market test. The Commission sent several requests for

[70] The Commission notes, that in the Parties' Response to the SO, the Parties offer various alternative interpretations of the responses to the questionnaires indicated in paragraph (67) (see e.g. paragraph 44 of the Parties' Response to the SO). The Commission has generally interpreted the responses by relying on the responses submitted by respondents expressing a view (i.e. answering the questions and providing an answer other than "*I do not know*"). The Commission considers this approach to be appropriate as the lack of a response or an "*I do not know*" response cannot be considered as either an expression of concern or a lack thereof. The Commission also notes that the Parties argue in their Response to the SO (paragraph 334) that responses have been redacted without providing a non-confidential summary of the content. The Commission notes that questionnaires are designed in a way that the context clearly indicates what the confidential content of the response may be, and it is not possible to provide further "summary" e.g., of a yes or no response regarding planned entry on a specific route. The Commission also considers that it is proportional and in line with the procedural rules of the Commission to prioritise ensuring that pivotal information is provided, rather than risking market participants refusing to provide complete responses due to the requirement to summarise their answers. Lastly, the Commission notes that the legal advisors of the Parties could and did multiple times access highly confidential information of the Parties competitors (which was difficult to summarise in a non-confidential summary) within the framework of the data room process.

information by way of electronic questionnaires to competitors, customers, slot coordinators and airport managers. Market test questionnaires were sent to (i) competitors (Questionnaire 01_Competitors - (Remedies Market Test, hereafter referred to as the "Competitors Remedies Market Test"), (ii) slot coordinators and airport managers (02_Others - (Remedies Market Test) - Slot coordinators and airport managers, hereafter referred to as the "Slot Coordinator and Airport Managers Remedies Market Test") as well as (iii) customers and third parties (03_Others - (Remedies Market Test) - Customers and third parties, hereafter referred to as the "Customer and Third Parties Remedies Market Test"). The Commission also sent specific requests for information to two potential remedy takers, […], and interviewed them. The Commission also addressed several requests for information to the Parties regarding the draft and formally submitted commitments.

(70) The Commission's findings in this Decision are based on a holistic approach, interpreting the results of the various complementary analyses in light of the overall evidence on the file, as described in paragraphs (65) to (69).

6. RELEVANT MARKETS

(71) Both Lufthansa and ITA are active in the supply of scheduled passenger air transport services and scheduled cargo air transport services. Both also provide access to their flights to other airlines for connecting passengers in the context of interlining arrangements ("feeder traffic"). Lufthansa is also active in the supply of the following services that are upstream to the provision of scheduled air transport services: (i) maintenance, repair and overhaul ("MRO") services, (ii) ground handling services, (iii) landside cargo handling services, and (iv) flight simulator training services.

(72) For the reasons set out in sections 6.1-6.10 the Commission concludes that the relevant markets to assess for the purpose of this merger control Decision are:

- The supply of scheduled passenger air transport services on the basis of the "point of origin/point of destination" ("O&D") approach. The network dimension of competition between Lufthansa and ITA and their strong presence at the same airports will, however, be taken into account in the competitive assessment (sections 6.1);
- The supply of feeder traffic defined on an O&D basis (section 6.9);[71]
- The market for airport infrastructure services in Milan-Linate airport (LIN) under the airport-by-airport approach (section 6.10);
- Air cargo transport services (section 6.11);
- maintenance, repair and overhaul ("MRO") services, which can be further subdivided to distinguish between (i) line maintenance, (ii) heavy maintenance, (iii) engine maintenance and (iv) components maintenance (section 6.12);
- ground handling services (section 6.13);

[71] Feeder traffic does not give rise to a separate significant impediment of effective competition but is a relevant input considered in the competitive assessment of the Transaction. The discussion on feeder markets is a useful background for the competitive assessment below.

- cargo handling services (section 6.14); and
- flight training services 6.15)

(73) As regards potential sub–segmentations of the market for scheduled passenger air transport services on the basis of the O&D approach, the Commission concludes the following:

- There is a need to distinguish between IATA summer and winter seasons, but the seasons will be discussed in the same sections of this Decision (section 6.2).
- There is no need to distinguish between services supplied at wholesale to tour operators or retail to end-customers in this case because such distinction does not have an effect on the outcome of the competitive assessment (section 6.3).
- As regards a segmentation by category of passengers: the Commission will leave open the question whether time-sensitive ("TS") and non-time sensitive ("NTS") passengers belong to separate markets for the relevant long-haul routes. The Commission considers that they form part of the same market for the relevant short-haul routes. However, TS demand may be taken into account in the competitive assessment (section 6.4).
- As regards a segmentation on an airport-pair or city-pair basis if the city of origin or destination is served by more than one airport: the question as to whether this segmentation warrants separate product markets can be left open with respect to most airports relevant for this Decision because it does not have an effect on the outcome of the competitive assessment. The Commission, concludes however that, on a conservative basis:
- With respect to Düsseldorf, Düsseldorf airport (DUS) and Cologne airport (CGN) are within the same market. The Commission can leave open the question whether Dortmund airport (DTM) and Weeze Niederrhein Airport (NRN) also belong to that market (section 6.5.3.3).
- With respect to Milan, Milan Linate airport (LIN) and Milan Malpensa airport (MXP) belong to the same market. The Commission can leave open the question whether Bergamo airport (BGY) also belongs to that market (section 6.5.3.6).
- With respect to New York, John F. Kennedy International Airport (JFK) and Newark Liberty International Airport (EWR) belong to the same market. The Commission can leave open the question whether La Guardia Airport (LGA) and New York Stewart International Airport (SWF) also belong to that market (section 6.5.3.8).
- With respect to Rome, Fiumicino airport (FCO) and Ciampino airport (CIA) belong to the same market (section 6.5.3.9).

(74) As regards a segmentation between direct and indirect flights: the question as to whether this segmentation warrants separate product markets can be left open for the relevant long-haul routes because it does not have an effect on the outcome of the competitive assessment. However, the competitive assessment will take into account that competitors offering indirect connections are more remote competitors than those offering direct flights. Direct and indirect flights do not form part of the same

market for the relevant short-haul routes unless specific circumstances exist (section 6.6).

(75) With the exception of the Rome – Hamburg route, there is no need to distinguish between scheduled and charter flights because such distinction does not have an effect on the outcome of the competitive assessment (section 6.7).

(76) As regards a segmentation between different modes of transport, for the purpose of this decision, rail passenger services between city-pairs that are longer than 6 hours should not be considered in the same market as air passenger services between the same city-pairs although they may be taken in consideration to the extent that they exert out of market constraints on air passenger services. By contrast, rail services between city-pairs that are up to 3-4 hours long may be considered as exerting direct competitive constraint on air passenger services between the same city-pairs (section 6.8).

(77) As regards MRO, ground handling services, cargo handling services, and flight training services, the Commission considers that, for the purposes of the present Decision, it is not necessary to determine the exact market definition, as the Transaction would not significantly impede effective competition under any plausible market definition, as discussed in more detail below in sections 6.12-6.15.

6.1. Origin & destination ("O&D") approach

6.1.1. The Commission's decisional practice

(78) With regard to scheduled passenger air transport services, the Commission has, in its prior decisional practice defined the relevant markets on the basis of the O&D approach.

(79) In line with the Commission's notice on market definition,[72] where the merger involved airlines actively providing passenger air transport services, the Commission has given pre-eminence to demand-side substitution, whereby it considered that customers need transportation from one point to another and that competition takes place on an O&D city-pair basis.[73] Consequently, the Commission has traditionally followed the O&D approach. Under the O&D approach, every combination of an airport (or city, where relevant) of origin to an airport (or city, where relevant) of destination is defined as a distinct market.[74] The effects of a transaction on competition are thus assessed for each O&D separately.

6.1.2. Lufthansa and MEF's view

(80) Lufthansa and MEF do not contest the Commission's approach and provided information and market data on the basis of the O&D approach, taking into consideration airport substitutability when appropriate.[75]

---

72 Commission Notice on the definition of relevant market for the purpose of Community competition law, OJ C 372, 9.12.1997, p. 5, recently replaced by Commission Notice on the definition of the relevant market for the purposes of Union competition law, OJ C, C/2024/1645, 22.2.2024.

73 It follows from the O&D approach that connecting passengers flying on a given O&D as part of their journey do not represent the same demand as O&D passengers. See e.g. Case M.7333 – Alitalia/Etihad, paragraph 65.

74 See e.g. Cases M.9287 – Connect Airways/Flybe, paragraph 49; M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraph 48; M.8869 – Ryanair/LaudaMotion, paragraph 96; M.7541 – IAG/Aer Lingus, paragraph 14; M.7333 – Alitalia/Etihad, paragraph 63; M.6447 – IAG/bmi, paragraph 31.

75 Form CO, paragraph 342.

6.1.3. The Commission's assessment

(81) The market investigation results indicate that the O&D approach remains appropriate for the analysis of the Transaction. The majority of respondents consider that the O&D approach is an appropriate way to assess the effects of the Transaction on the supply of air transport services to passengers.[76] As explained by a customer, an informed online travel agent: "*the O&D approach is relevant to assess the effects of the Transaction as each route reflects the demand-side perspective whereby passengers consider all possible alternatives of traveling from a city of origin to a city of destination, which they do not consider substitutable for a different city pair."*[77] A carrier explained that "*passengers travel by choosing the direct/connection flight to transfer from Origin to Destination, and the airline business is based on the O&D consideration."*[78]

(82) Several carriers opined, however, that the O&D approach should be complemented by a network analysis.[79] As explained by United Airlines: *"we agree with the Commission's position in prior merger and alliance proceedings that the O&D city pair is the relevant market definition for passenger services. As a result, a relevant product market includes all O&D services in the relevant city pair. However, because of the increased network connectivity that alliances provide, the Commission should also take into account network competition to provide a meaningful assessment of competition in the airline industry today."*[80]

(83) In light of the above, the Commission finds it appropriate to assess the effects of the Transaction under the O&D approach, considering the lack of substitutability between different O&Ds from the point of view of passengers.

(84) The Commission nevertheless acknowledges that the competitive assessment needs to factor in supply-side considerations and network effects, given Lufthansa's and ITA's operations as network carriers,[81] in the following ways:

(85) <u>*First*</u>, the Commission takes account of the specific supply conditions of the scheduled passenger air transport services provided by the Parties as network carriers in its competitive assessment under the O&D approach, notably with regard to (i) overlaps due to indirect connections,[82] (ii) closeness of competition and (iii) barriers to entry. In particular, the Commission's analysis looks into the extent to which the Parties compete with each other and with other carriers through indirect connections which are central to their business model as network carriers. Furthermore, the degree of overlap between the networks of Lufthansa and ITA and their market positioning as network carriers is used to assess how closely the Parties compete with

---

76 Responses to question C.1 of questionnaire 03 to short-haul competitors, question C.A.1 of questionnaire 04 to long-haul competitors and C.A.1-1 of questionnaire 06 to customers of both short-haul and long-haul flights.

77 Response of eDreams to question C.A.1-2 of questionnaire 06 to customers of both short-haul and long-haul flights, ID 9710.

78 That is, when considering and comparing the entire O&D portfolio of carriers. Response of All Nippon Airways to question C.A.2 of questionnaire 04 to long-haul competitors.

79 Responses of Air France-KLM, IAG, Condor, LOT and United Airlines to question C.A.2 of questionnaire 04 to long-haul competitors and the responses of Wizz Air and Air France-KLM to question C.1-2 of questionnaire 03 to short-haul competitors.

80 Response of United Airlines to question C.A.2 of questionnaire 04 to long-haul competitors, ID 12201.

81 The different carrier business models (network as opposed to point-to-point, low-cost and ultra-low-cost as opposed to full-service), are explained in sections 7.5 and 9.1 below.

82 Section 6.6 below explains the circumstances in which indirect flights, on long-haul and short-haul routes, should be considered as being part of the same market as direct flights on the same route.

each other and with their competitors, including notably with low-cost carriers ("LCC's") that fly point to point (that is, without offering connecting flights). Moreover, the Commission investigates the role of connecting traffic in the Parties' operations as part of the assessment of the conditions for entry and expansion on routes under the O&D approach, in line with the feedback gathered during the market investigation.

(86) *Second*, the Commission takes account of the specific supply conditions in terms of slot holdings and presence at certain airports (at Milan Linate (LIN) in particular, but also at Lufthansa's hub airports (see section 7.6.1 below) as part of the competitive assessment under the O&D approach. In the first place, the high congestion of certain airports and the concentration of slots in the hands of the merged entity is addressed as part of the assessment of the barriers to entry under the O&D approach for routes of concern. In the second place, the increased ability of the merged entity to respond to entry or expansion of a competitor on a route thanks to the Parties' market power at an airport is also addressed as part of the assessment of the conditions for entry and expansion on routes of concern under the O&D approach.

(87) In light of the above, for the purpose of this Decision, the Commission will apply the O&D approach, taking account of the network dimension of competition between Lufthansa and ITA and their rivals and of their strong presence at certain airports in its assessment of the effects of the Transaction under the O&D approach.

6.2. Distinction between the IATA summer and winter season

(88) In the airline industry, operations are divided into a summer and a winter season, as agreed under the umbrella of the International Air Transport Association ("IATA"). Slots are allocated and flights are scheduled separately for the IATA summer season, which begins on the last Sunday of March and ends on the last Saturday of October, and the IATA winter season, which begins on the last Sunday of October and ends on the last Saturday of March. The Commission has in its past decisional practice assessed the effects of concentrations on each of the seasons, albeit discussing both seasons in the same sections.[83] The Parties follow this approach in their notification and the Commission does not have indications that it should deviate from this established practice in this case.

6.3. Distinction between sales of scheduled air transport services to tour operators and to end customers

(89) Carriers, both charter and scheduled airlines, may sell seats (or entire flights) to tour operators, which then integrate the flights into package holidays or resell seats to end customers.

6.3.1. The Commission's decisional practice

(90) In prior decisions, the Commission has regarded the wholesale supply of airline seats to tour operators (wholesale market) as a distinct market from the supply of scheduled air transport services to end customers (retail market).[84] The Commission found that, from a demand-side perspective, tour operators have different

[83] See e.g. Cases M.9287 – Connect Airways/Flybe, paragraphs 328f, 337f, 345f, 354f among others; and M.8964 - Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraphs 202ff, 212ff, 223ff among others.

[84] See e.g. Cases M.8046 – TUI/Transat France, paragraphs 66-88; M.5867 – Thomas Cook/Öger Tours, paragraph 14-16; M.4601 – KarstadtQuelle/MyTravel, paragraphs 39-43; M.4600 – TUI/First Choice, paragraph 52-57; M.3770 – Lufthansa/SWISS, paragraph 20.

requirements from those of individual passengers (for example, as regards the purchase of large seat packages in advance of the start of the season or the negotiation of rebates).[85]

(91) In recent decisions,[86] the Commission has considered that, for the purpose of assessing the horizontal effects of a transaction, the supply of airline seats to tour operators only constitutes a meaningful market on routes where both parties are active in sales to tour operators to a significant extent, representing at least 5% of the seats sold by each of the parties. Indeed, in the absence of any (material) overlap, a separate assessment of the market for the supply of airline seats to tour operators cannot be considered relevant. Conversely, a separate assessment of the market for the retail supply of airline seats may be relevant if there is a significant difference in the competitive position of the air carriers present in the wholesale and retail markets.

6.3.2. Lufthansa and MEF's view

(92) Lufthansa and MEF are of the opinion that the Transaction would not raise competition concerns as to its compatibility with the internal market and with the functioning of the EEA Agreement with respect to the supply of airline seats to tour operators, under any plausible market definition.[87]

6.3.3. The Commission's assessment

(93) The results of the market investigation were mixed. Some carriers were of the opinion that a distinction between sales of scheduled air transport services to tour operators and to end customers is justified citing similar considerations to those noted in the Commission's decisional practice, referring mainly to the difference between wholesale and retail demand and sales. Other carriers opined that the distinction is irrelevant, mostly due to the limited sales to tour operators.[88] Opinions also diverged between customers, with a significant share responding that they do not know.[89] Among airport managers, the majority of respondents did not know; among those who expressed an opinion, the majority considered that the distinction is irrelevant.[90]

(94) In any case, for the purpose of this Decision it is not necessary to distinguish between sales of scheduled air transport services to tour operators and to end customers. On all routes concerned by the Decision, other than a few exceptions reviewed in the paragraph immediately below, the activities of Lufthansa and ITA in sales to tour operators appear to be very limited (less than [0-10]% of each Party's sales) or all competitors active on these routes are active in both sales of scheduled air transport services to tour operators and to end customers.[91] From the supply side, there appears to be no differences between sales of scheduled air transport services to tour operators and to end customers and carriers active on a route can typically easily

---

85 See e.g. Case M.6663 – Ryanair/Aer Lingus III, paragraph 409.

86 See Cases M.9287 – Connect Airways/Flybe, paragraph 119; M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraph 44.

87 Form CO, paragraphs 394 and 399.

88 Responses to questions C.B.1 and C.B.2 of questionnaire 04 to long-haul competitors and question C.7 of questionnaire 03 to short-haul competitors.

89 Responses to questions in section C.D of questionnaire 06 to customers of both short-haul and long-haul flights.

90 Responses to question D.D.1 of questionnaire 01 to airport managers.

91 Response to RFI-23, question 6 and annex Q6.

start or increase sales to tour operators.[92] The Commission therefore finds on a basis that both segments should be considered part of the same market.

(95) With respect to the routes where the Parties' sales to tour operators exceed 5% of their sales, on Rome-Brussels and Rome-Frankfurt, the main competitor of Lufthansa and ITA, Ryanair, is not active in sales to tour operators. The Commission anyways finds that the Transaction would have significantly impeded effective competition on these routes with respect to retail sales to end-customers. The Parties offered commitments that would ensure that the number of competing airlines operating on these routes remains the same post-Transaction. Consequently, there is no need stage to distinguish a separate market of sales to tour operators.

6.4. Distinction between passenger groups

6.4.1. The Commission's decisional practice

(96) The Commission has in its decisional practice considered distinguishing, for a given O&D route, between (i) time sensitive ("TS" or "premium") passengers who tend to travel for business purposes, require significant flexibility for their tickets and are willing to pay higher prices for this flexibility, and (ii) non-time sensitive ("NTS" or "non-premium") passengers who travel predominantly for leisure purposes, do not require flexibility with their booking and are more price-sensitive than TS passengers. However, in recent decisions, the Commission has noted that passengers are becoming increasingly price-sensitive and more and more corporate customers apply lowest fare policies.[93]

(97) In particular, for short-haul flights, the Commission has found that the distinction between TS and NTS has become somewhat artificial, as the offerings for TS and NTS passengers on these routes have become very similar. The Commission concluded that it was not appropriate on short-haul routes to define separate markets for TS and NTS and instead considered a market comprising all passengers.[94]

(98) For long-haul flights, the Commission has considered in the past that it may be relevant to distinguish between TS and NTS passengers.[95] On the one hand, the Commission has concluded that services in at least First and Business class, and services in Economy class, were in different product markets on transatlantic routes.[96] On the other hand, it has assessed the possible effects of concentrations on

---

92 Responses to Phase II RFIs to Air France-KLM [ID 11426], question 27; Air Canada [ID 11344], question 21; Air India [ID 11349], question 22; Air Transat [ID 11307], question 17; American Airlines [ID 11533], question 18; ANA [ID 11172], question 17; Delta [ID 11276], question 31; easyJet [ID 11469], question 12; IAG [ID 12009], question 20; Luxair [ID 11174], question 10; Norse [ID 11704], question 32; Ryanair [ID 11267], question 2; United Airlines [ID 11221], question 21; Wizz Air [ID 11311], question 5.

93 See e.g. Cases M.9287 – Connect Airways/Flybe, paragraph 51 et seq.; M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraph 51 et seq.; M.7541 – IAG/Aer Lingus, paragraph 20 et seq., M.7333 – Alitalia/Etihad, paragraph 70 et seq. In

94 See e.g. Cases M.9287 – Connect Airways/Flybe, paragraph 55; M. 8869 – Ryanair/LaudaMotion, paragraph 142; M.7541 – IAG/Aer Lingus, paragraph 28; M.6663 – Ryanair/Aer Lingus III, paragraph 387.

95 See e.g. Cases M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraph 54; M.8361 – Qatar Airways/Alisarda/Meridiana, paragraph 23; M.7541 – IAG/Aer Lingus, paragraphs 29; M.7333 – Alitalia/Etihad, paragraph 74; M.6828 – Delta Air Lines/Virgin Group/Virgin Atlantic Limited, paragraph 28.

96 See Case AT.39596 – BA/AA/IB, paragraph 22.

long-haul O&D city-pairs without distinguishing between TS and NTS travellers when the vast majority of the parties' passengers were NTS travellers.[97]

6.4.2. Lufthansa and MEF's view

(99) Lufthansa and MEF consider that it is not necessary to distinguish between passenger groups.[98] They point out that business travellers are also price sensitive and may plan their meetings and flights in a way that would save them expensive flexible tickets.[99] Second, while in the past there was a clear distinction between restricted leisure tickets and flexible business tickets, the distinction between passenger groups is blurry today because airlines use sophisticated yield management systems to offer on all their flights a large variety of fare classes with different levels of service and flexibility.[100] Third, the distinction between passengers according to "business" or "leisure" compartments is not instructive anymore since many passengers travelling for business these days do so in the leisure compartments, while some leisure travellers prefer traveling in greater comfort, for which airlines have introduced hybrid travel classes (such as "premium economy").[101]

6.4.3. The Commission's assessment

6.4.3.1. Short-haul routes

(100) The results of the market investigation were mixed on the question whether the distinction between TS and NTS passengers is justified with respect to short-haul flights.

(101) The large majority of short-haul carriers opined that the distinction between TS and NTS passengers is not appropriate for the assessment of the Transaction.[102] As explained by one carrier: "*as observed by the Commission in recent years, the dividing line between these two types of passenger groups has become blurred, particularly on short-haul routes. The following airline travel trends contributed to blurring the line between time sensitive and non-time sensitive passengers: (i) decreasing proportion of passengers (particularly, corporate customers) acquiring premium tickets for short-haul travel, (ii) traditional time-sensitive passengers increasingly switching to low cost carriers; (iii) most airlines allowing passengers to transfer their tickets (for a given fee, usually small); (iv) limited product differentiation, as airlines increasingly offer a single cabin in their aircraft. Alongside this one way sector pricing*[103] *has removed the traditional price discrimination approach of charging extra for returns within a week."*[104]

(102) By contrast, the majority of customers having expressed an opinion were of the view that the distinction between TS and NTS is appropriate for the assessment of the Transaction.[105] One customer explained for example that "*a distinction is critical in*

---

97 See e.g. Cases M.7270 – Cesky Aeroholding/Travel Service/Ceski Aerolinie, paragraphs 21-25; M.5141 – KLM/Martinair, footnote 112.

98 Form CO, paragraph 349.

99 Form CO, paragraph 350.

100 Form CO, paragraphs 352 et seq.

101 Form CO, paragraphs 349 et seq.

102 Response to question C.2-1 of questionnaire 03 to short-haul competitors.

103 That is, offering customer one-way tickets.

104 Response of easyJet to question C.2-2 of questionnaire 03 to short-haul competitors, ID 12368.

105 Responses to question C.B.1-1 of questionnaire 06 to customers of both short-haul and long-haul flights.

terms of supply of inventory and the availability of that inventory closer of time of travel."[106]

(103) Considering the Commission's practice, the arguments and explanations of the Parties, the views and explanations of their competitors but noting the diverging opinions of customers, the Commission considers that on balance it is not appropriate for the purpose of the Decision to define generally separate markets for TS and NTS passengers on short-haul flights. The distinction between these groups may however still be relevant when examining closeness of competition in the competitive assessment (sections 9 and 10 below).

6.4.3.2. Long-haul routes

(104) On all long-haul routes analysed, the majority of carriers having expressed an opinion, responded that there are differences between TS and NTS passengers in terms of parameters such as level of service, sales channel and preference for direct/indirect connections.[107] Carriers also considered that TS passengers contributed significantly to profitability and viability of operations on all of these routes.[108] On the other hand, with respect to most of the routes analysed, the majority of carriers having expressed an opinion were of the view that the competitive conditions (for example, number of competing airlines, their identity and their market position) do not diverge in the provision of air passenger transport services to TS and NTS passengers.[109] Furthermore, responses diverged between routes with respect to the question whether the distinction between TS and NTS passengers is relevant for assessing the impact of the Transaction; while for some routes the majority of carriers having expressed an opinion considered that the distinction is relevant, for others the majority of carriers having expressed an opinion considered it to be irrelevant.[110]

(105) As will be explained further in section 10 below, the Commission considers that the distinction between TS and NTS passengers does not affect the competitive assessment with respect to any of the long-haul routes examined. The exact market definition with respect to long-haul routes can therefore remain open.

6.5. Airport substitutability

6.5.1. The Commission's decisional practice

(106) When defining the relevant O&D markets for passenger air transport services, the Commission has previously found that flights to or from airports with sufficiently overlapping catchment areas can be considered as substitutes in the eyes of passengers (particularly if the airports serve the same city).[111]

(107) The evidence used to characterise airport substitutability has included among other factors a comparison of actual distances and travelling times to the indicative benchmark of 100 km or 1 hour/60 minutes driving time,[112] the outcome of the

---

106 Response of Boston Consulting Group to question C.B.1-2 of questionnaire 06 to customers of both short-haul and long-haul flights, ID 5629.

107 Responses to question C.C.1 of questionnaire 04 to long-haul competitors.

108 Responses to question C.C.2 of questionnaire 04 to long-haul competitors.

109 Responses to question C.C.3 of questionnaire 04 to long-haul competitors.

110 Responses to question C.C.4 of questionnaire 04 to long-haul competitors.

111 See e.g. Cases M.8361 – Qatar Airways/Alisarda/Meridiana, paragraph 29; M.7333 – Alitalia/Etihad, paragraph 82; M.6663 – Ryanair/Aer Lingus III, paragraph 65.

112 The indicative benchmark of 100 km/1 hour driving time is used as a first proxy only. It was defined by the Commission in the specific case of routes served out of Dublin (see Case M.6663 – Ryanair/Aer

market investigation (views of competitors and other market participants) and the competitors' practices in terms of monitoring of competition.

(108) The Commission will therefore assess, for each relevant O&D, whether flights departing from airports with overlapping catchment areas belong to the same market.

6.5.2. Lufthansa and MEF's view

(109) Lufthansa and MEF do not contest the Commission's general approach to airport substitutability.

(110) To substantiate their views on the substitutability of specific airport-pairs, the Parties have submitted data from the "[…] (the "Catchment Area Tool"). The tool models the share of passengers (based on 2019 data) that used airports that the Parties consider substitutable and whose origin or destination was one of a variety of sub-regions considered as the catchment area of these airports.[113] For example, for Frankfurt, the data submitted by the Parties from the Catchment Area Tool shows the share of passengers that passed through Frankfurt-FRA and the share of passengers that passed through Frankfurt-Hahn, separately for various sub-regions, including smaller regions, such as Bad Kreuznach and larger regions, such as Frankfurt am Main.[114] The Parties argue that this data shows that there is "*a significant share of travellers from areas around the relevant cities that are (i) using an airport located further away than 100 km/1 hour travel time and (ii) using both/several of the airports the Parties consider as substitutable in this Form CO*".[115]

(111) The Parties' arguments with regards to airport substitutability for specific cities are included in sections 6.5.3.2 to 6.5.3.12 below.

6.5.3. The Commission's assessment

6.5.3.1. Common considerations

6.5.3.1.1. The Catchment Area Tool

(112) In relation to the data submitted from the Catchment Area Tool, the Commission considers, that these data do not provide evidence that can help reaching conclusions on airport substitutability. This is for the following reasons.

(113) In the first place, the data submitted from the Catchment Area Tool is too rough and unable to actually track demand substitution as is relevant for market definition. The data do not provide any direct evidence that passengers that passed through these airports considered these airports substitutable. Instead, these data only show that there were some passengers in each region that chose to travel via one airport, whereas there were some (potentially other) passengers that chose to travel from the other airport. For example, the data submitted from the Catchment Area Tool does not distinguish between individual flight routes or groups of routes, such as long-haul and short-haul flights. However, most secondary airports, including Frankfurt-Hahn, Brussels-Charleroi, Munich-Memmingen and Hamburg-Lübeck, only or primarily operate short-haul flights whereas most primary airports operate both long-haul and short-haul flights. Therefore, based on the data submitted, it cannot be excluded that (for some regions) passengers included in the Parties' tables will use the primary

---

Lingus III, paragraph 82) and subsequently used as a first proxy in other cases, such as M.7541 – IAG/Aer Lingus, paragraph 64.

113 Form CO, paragraph 448.

114 Form CO, Table 6.4.1.

115 Form CO, paragraph 448.

airport only for long-haul flights whereas they use the secondary airport only for short-haul flights. Similarly, it cannot be excluded that passengers included in the Parties' tables will use the primary airport for certain destinations not offered from the secondary airport and the secondary airport for destinations not offered from the primary airport. In these cases, there would be no relevant demand-side substitutability between these airports for passengers in these regions, while the Catchment Area Tool would still report significant shares of passengers flying from each of the airports for these regions. Overall, the data submitted by the Parties does not consider the proportion of passengers included in the tables that in fact had a choice between the airports when booking their tickets. The Parties themselves note that passengers' choice of airport is also dependent on the offer of flights,[116] and that substitutability between airport should be measured in relation to flights to the same destinations.[117] The Commission therefore notes that the Catchment Area Tool does not provide the relevant data, that would allow to compare airport utilisation rates by regions with respect to the same offer of flights.[118]

(114) In the Response to the SO the Parties acknowledged that the Catchment Area Tool cannot identify which airports a single traveller considered but that *"when looking at route specific data and when observing that a relevant share of passengers from/to the city chooses the one or the other airport, the conclusion that the airports are largely substitutable can certainly be made."*[119] The Commission notes first that it is not clear what *"route specific data"* the Parties are referring to and what is its relationship to the results of the Catchment Data Tool. Second, the difficulty remains that the results reported by the Catchment Data Tool do not explain why passengers chose the airports they used. As explained above, the Catchment Data Tool may report significant numbers of passengers willing to travel to distant airports but does not exclude that this may be because only the distant airport offers them the relevant flight options (e.g. traveling to a large airport offering long-haul flights or to a secondary airport that serves a short-haul destination not served from the main airport), these passengers may not consider the distant airport when a closer airport offers the same options (e.g., when the near-by airport offers a relevant short-haul flight).

(115) In the second place, even if the data from the Catchment Area Tool could provide relevant evidence on airport substitutability, the Parties' analysis of the data submitted from the Catchment Area Tool does not provide a conceptual framework that would allow the Commission to assess whether the observed (significant) variation in airport usage across regions is consistent with the Parties' conclusions that these airports are sufficiently substitutable from a market definition standpoint.

(116) As an illustration of the high level of observed variation in airport usage across regions, Table 1 reproduces the Parties' analysis for Frankfurt based on the Catchment Area Tool.

116 Response to the Article 6(1)(c) decision, paragraph 111, fourth bullet point and paragraph 124.
117 Response to the Article 6(1)(c) decision, paragraph 124.
118 Response to the Article 6(1)(c) decision, paragraph 124.
119

Table 1: Share of passengers using both airports (FRA and HHN) – Parties' analysis[120]

Region	FRA share, %	HHN share, %
Bad Kreuznach	[70-80]	[10-20]
Birkenfeld	[40-50]	[30-40]
Cochem-Zell	[30-40]	[30-40]
Rhein-Hunsrück	[40-50]	[30-40]
Bernkastel-Wittlich	[20-30]	[30-40]
Kusel	[50-60]	[20-30]
Neunkirchen	[30-40]	[20-30]
St. Wendel	[30-40]	[20-30]
Frankfurt am Main	[90-100]	[0-5]
Ludwigshafen am Rhein	[80-90]	[0-5]
Mainz	[90-100]	[0-5]
Wiesbaden	[90-100]	[0-5]

Source: Form CO, Table 6.4.1. Based on the Parties' analysis using data from Catchment Area Tool.

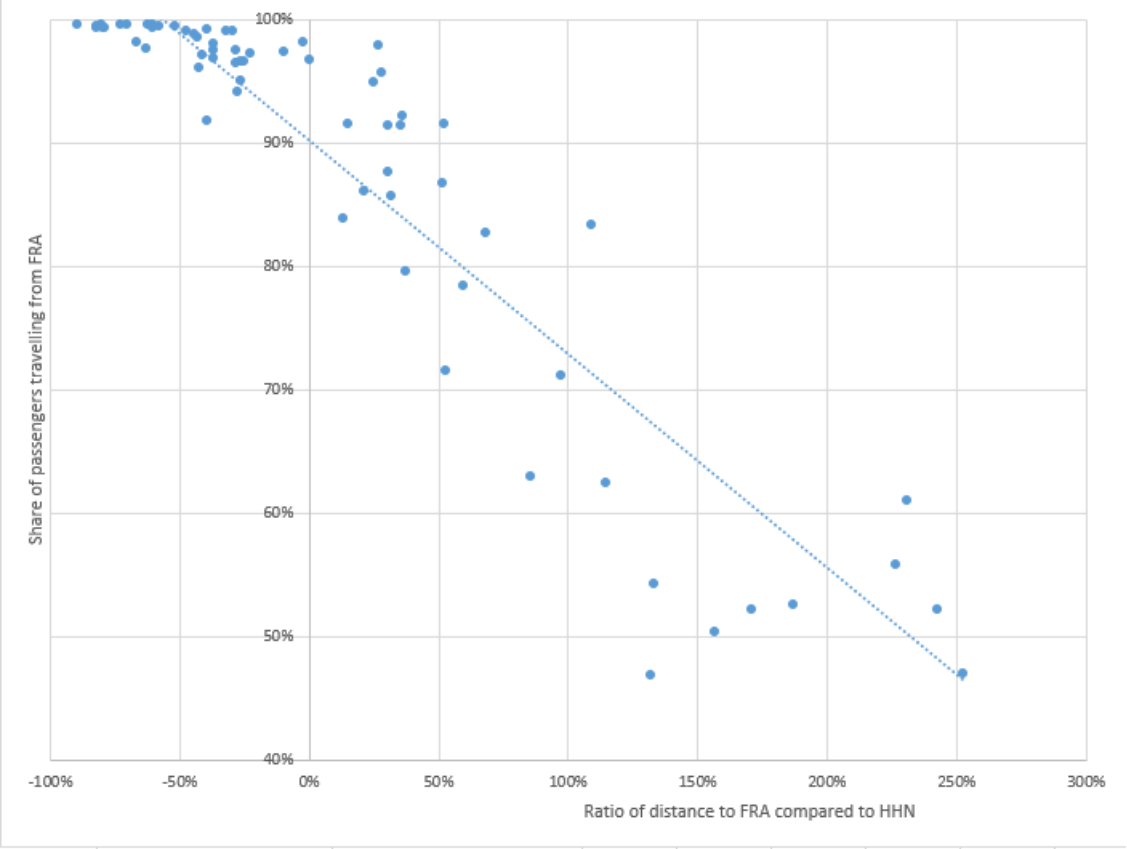
(117) The table shows that there is significant variation in the share of passengers in each region that used FRA and HHN, respectively. As can be seen in the table above, in most regions there is a strong preference for FRA compared to HHN. This could partly be explained by the fact the FRA, compared to HHN, is a much bigger airport serving significantly larger volumes of passengers,[121] and flights, including (unlike HHN) also long-haul flights. However, if the size of the airport would have been the main reason for the difference in share of passengers between the two airports, it could have been expected that the shares would be similar between the regions (unless air travel patterns are very different between regions, but there is no evidence for that). However, what the figure below shows is that in fact the distance from the airport is the more important reason for passengers' choice. In the areas closest to HHN and farthest from FRA, very similar shares of passengers choose HHN and FRA. The closer the region is to FRA and the farther it is from HHN, the share of passengers using FRA compared to HHN increases significantly. A plausible interpretation of these figures is that while some passengers to and from the farther regions from FRA may still use it because it offers connections that HHN does not offer, passengers to and from regions close to FRA would only rarely use HHN even when it offers the same connections as FRA. This would mean that contrary to the

120 Percentages are calculated in terms of passengers that flew from that region over 2019 (e.g., for Bad Kreuznach, it means that around [70-80]% of passengers that flew at least once over the year 2019 flew from FRA airport, whereas around [10-20]% of these passengers flew from HHN airport).

121 In 2022, FRA served 45 million passengers while HHN only 1.3 million; Form CO, paragraph 448, 12th bullet point, 3rd sub-bullet point.

Parties arguments, FRA and HHN are not substitutable when the same connections are offered from both.

Figure 1: Distances ratio and passenger shares FRA/HHN



Source: Commission's calculations, ID12568[122].

(118) In the Response to the SO, the Parties argued that *"it is not surprising"* that usage shares are higher in regions closer to the airport because of the shorter travel time, but that travel time is not the only deciding factor. Other factors such as price and flight offer are also important parameters.[123] The Commission notes that indeed for these exact reasons it was explained above that the Catchment Area Tool is not instructive in identifying substitutability between airports. The Commission points out above that passengers may travel longer distances to larger airports not because they are substitutable to closer airports but because they offer flights that closer but smaller airports do not offer. Furthermore, the Commission analysis (see Figures 1 and 4) shows a strong tendency of passengers to choose the closer airport, suggesting in fact limited substitutability between the different airports. In addition, the Catchment Area Tool provides no information on prices and how they may affect the choice of airports.

122 The figure plots all regions identified in the response to RFI-3, DLH Annex 51 - Airports catchment overlaps (passenger data). The vertical axis represents for each region the share of passengers using FRA from the total of passengers using FRA and HHN. The horizontal axis represents for each region the distance ratio to HHN/FRA: 0% means that the distance from the region to HHN and FRA is equal; -50% means that the region is half the distance from FRA (e.g. 50km) than HHN (e.g. 100km); 50% means that the region is half the distance from HHN (e.g. 50km) than FRA (e.g. 100km).

123 Response to the SO, paragraph 658.

(119) The "heat maps" provided by the Parties that are visualising the underlying data from the Catchment Area Tool further illustrate this large variation across regions. Continuing to use the example of Frankfurt, Figure 2 and Figure 3 show the heat maps for HHN and FRA, respectively. While Figure 2 shows that passengers using HHN are concentrated around the closest regions neighbouring the airport, Figure 3 shows that passengers using FRA are more widely distributed but also concentrated around the regions neighbouring the airport (which includes the Frankfurt metropolitan area) with only some overlap in the respective heat maps for HHN and FRA. The heat maps do not provide any new evidence compared to Table 1 that would allow to conclude that the two airports form part of the same market.

Figure 2: Heat map of passenger usage of Frankfurt-HHN – Parties' analysis

[…]

Source: Form CO, Annex "M.11071 – RFI 3 – DLH Annex 52.10 –[…].

Figure 3: Heat map of passenger usage of Frankfurt-FRA – Parties' analysis

[…]

Source: Form CO, Annex "M.11071 – RFI 3 – DLH Annex 52.8 – […].

(120) The Parties also rely on the Catchment Area Tool in order to argue that within the same catchment area, the questions whether an airport is a regional or main city airport has no impact on passengers' demand with respect to short haul routes because the Catchment Area Tool shows that the majority of passengers travel to and from the surroundings regions rather than the cities themselves. The Parties conclude that consequently carriers operating from a main city airport are not closer competitors to each other than a carrier operating from a regional airport in the same catchment area.[124]

(121) The Commission notes however that according to the Catchment Area Tool data provided by the Parties,[125] in some main city airports such as Munich airport and Milan-Linate, the majority of passengers do originate from the main city. Furthermore, the Catchment Area Tool data provided by the Parties also shows that for all main city airports, the largest passenger group is by far the group of passengers traveling from or to the main city and that passengers have a strong preference for using the main city airport. More generally, the Catchment Area Tool data clearly shows, as presented in the figure 1 above, contrary to the Parties argument, that passengers' choice of airport is strongly influenced by distance from and to the airport. Consequently, flights offered from the same airport are closer substitutes for passengers compared to flights to the same destination offered from a different airport even if in the same catchment area.

(122) For these reasons, the Commission considers that the data submitted from the Catchment Area Tool do not provide evidence that can help reaching conclusions on airport substitutability.

6.5.3.1.2. Online flight websites

(123) Lufthansa and MEF support their arguments with respect to airport substitutability with information on the results of flight searches made using online flight websites (for example: eDreams, Kayak, Swoodoo, MoMondo). The results presented by Lufthansa and MEF offer a combination of different airports for the inbound and

124 Response to the 6(1)(c) decision, paragraphs 40-44.

125 Response to RFI-3, Annex 51.

outbound flights at the same end of the trip.[126] According to Lufthansa and MEF these results are sometimes *"the best offer"* (that is, the cheapest) and sometimes *"an offer"* among the results. According to Lufthansa and MEF these results support their arguments with respect to the substitutability of the airports presented in these results, and in particular to the substitutability of a number of main airports and nearby regional airports. In the response to the Article 6(1)(c) Decision the Parties added that *"these are widely trusted, public sources, available to all customers… Therefore in the Parties view, this data is representative from the passengers' usage point of view"*.[127] The Commission considers that these results do not demonstrate substitutability between airports.

(124) In the first place, Lufthansa and MEF did not provide any explanation with respect to the method used by the flight websites to select the airports presented in their results and indeed *"have no particular insight into the methodology of the flight websites to select the airports"*.[128] It is therefore not clear to what extent the airports are chosen according to criteria that are relevant for the assessment of substitutability in the sense used for market definition.

(125) In the second place, flight websites present numerous results and combinations for each query, typically intending to cater to the most price sensitive end-customers. Therefore, the fact that flight websites offer a combination of different airports for the inbound and outbound flights at the same end of the trip, does not provide by itself evidence to substitutability when the number of end-customer actually purchasing such trip is unknown and other elements of evidence suggest that the airports are not substitutable.

6.5.3.1.3. Road travel times ranges

(126) In the Response to the SO the Parties note that the road travel times ranges from city centres to airports, included in Tables 2-13 below, consider the minimum driving time in off-peak hours and the maximum driving time in peak hours. The Parties argue that it is entirely unclear why the Commission applies such an approach in this particular case, which does not follow the approach in previous case practice. According to the Parties this can lead to excessive wide range of driving time and potentially misleading conclusion as a result.[129]

(127) The Commission notes that in its decisional practice it has referred to road (and rail) travel time ranges.[130] There can be no dispute that road travel times may change significantly during the day, depending on the density of traffic and other road conditions. The Commission considers that providing road travel times ranges between minimum travel time during off-peak hours and maximum travel time during peak hours provides a more complete picture of the duration of the road travel to the airport that passengers may experience. It is recalled that the indicative driving time is used as a first proxy only.[131]

---

126 For example: *"when searching for flights from Brussels to Rome, e.g. via eDreams search engine (sample travel date 04 May to 14 May 2023), the best offer includes an outbound flight to FCO* [Fiumcino airport] *and a return flight from CIA* [Ciampino airport]*."* Form CO, paragraph 466.

127 Response of the Parties to the Article 6(1)(c) decision, paragraph 126.

128 Response of the Parties to the Article 6(1)(c) decision, paragraph 126.

129 Response to the SO, paragraph 661.

130 See for example: Cases M.9287 Connect Airways / Flybe, paragraphs 83 and 93; M.8869 Ryanair / LaudaMotion, paragraph 187; M.8633 Lufthansa / Air Berlin, paragraph 64.

131 See footnote 113 above.

6.5.3.2. Brussels

(128) According to Lufthansa and MEF, the city of Brussels is served by two airports: Brussels airport (BRU) and Charleroi airport (CRL). BRU and CRL are located respectively 15 km and 60 km away from Brussels city centre.

(129) In prior decisions regarding Brussels' two airports, the Commission has reached different conclusions. It has concluded that BRU and CRL are substitutable for flights between Dublin and Brussels,[132] while they are not substitutable for flights between Vienna/Bratislava and Brussels.[133]

(130) Lufthansa and MEF submit that that BRU and CRL are substitutable for the vast majority of passengers in the Brussels region.[134] In support of their argument, the Parties submitted that the flight website eDreams offers for the route Brussels - Rome includes both BRU (outgoing) and CRL (ingoing) for the same trip.[135] The Commission takes note of this argument, under the reservations expressed in section 6.5.3.1.2 above.

(131) The Parties also refer to the data from the Catchment Area Tool. The Commission has already explained in section 6.5.3.1.1 above the reasons for which it does not consider this source to be informative. In addition, the figure below reproduces the for BRU/CRL the analysis made for FRA/HHN in figure 1 above. Similar to FRA/HHN, BRU (19 million passengers in 2022) is significantly larger than CRL (8 million passengers in 2022)[136] and, unlike CRL, also offers long-haul connections. Figure 4 below shows, similarly, to Figure 1 with respect to FRA/HHN, high correlation between the relative share of passengers using each airport and the distances from the airport. It is therefore plausible to conclude, contrary to the Parties arguments,[137] that the ratio of passengers using BRU compared to CRL cannot be explained only by BRU's advantage in size and flight offer. BRU and CRL may in fact not be substitutable when the same connections are offered from both.

132 Cases M.6663 – Ryanair/Aer Lingus III, paragraph 186; M.4439 – Ryanair/Aer Lingus, paragraph 196. See also case SA.10493 concerning measures in favour of Brussels South Charleroi Airport and Ryanair, paragraph 626, that was based on the findings in M.6663.

133 Case M.5440 – Lufthansa/Austrian Airlines, paragraph 259.

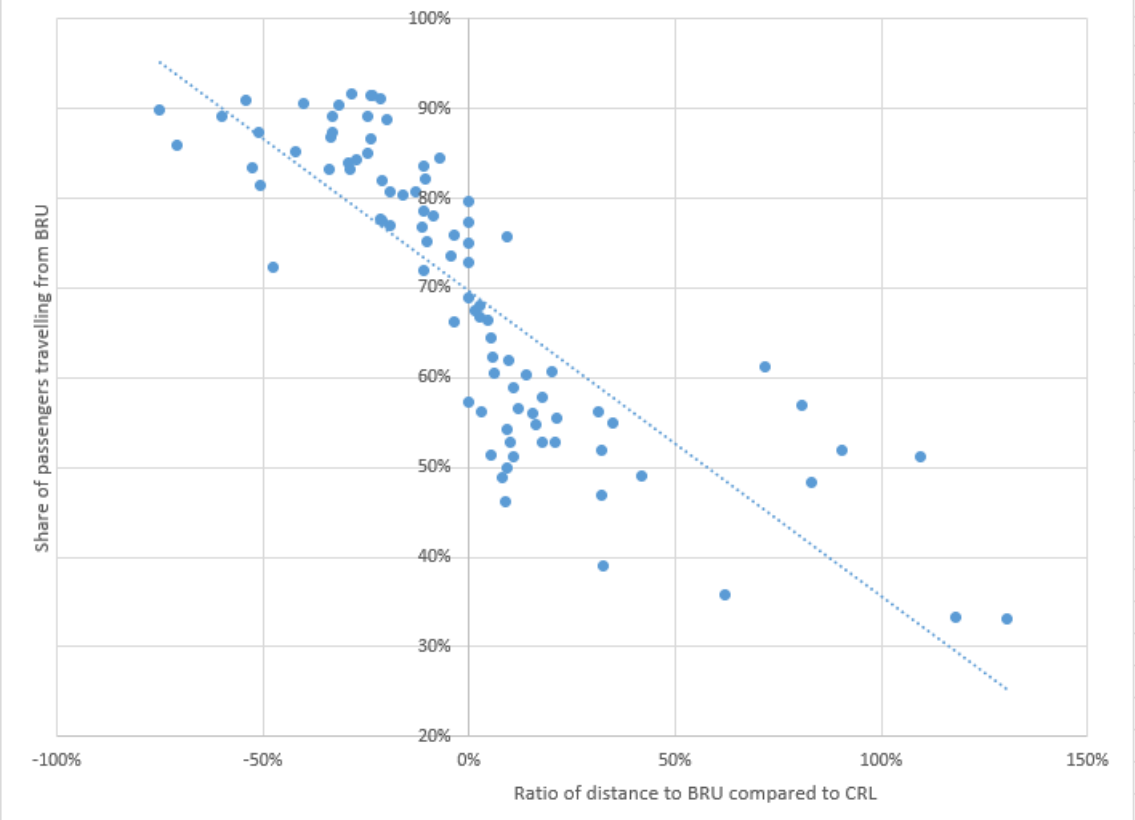
134 Form CO, paragraph 638.

135 Form CO Figure 1 and 21.

136 Form CO, page 163.

137 Form CO, paragraph 619 et seq.

Figure 4: Distances ratio and passenger shares for BRU/CRL



Source: Commission's calculations, ID12568[138].

(132) According to the Parties, a report prepared by the airport manager of BRU shows that in many cases when Ryanair opened route from CRL, flight capacities for the same destination from BRU were decreased.[139] An analysis performed on data from Brussels Airlines (Lufthansa group), showed that […].[140] In addition, the Parties note that in 2022 Ryanair closed its based in BRU and increased its activity in CRL. The Parties argue that this supports the conclusion that BRU and CRL are in the same catchment areas as it is not reasonable to assume that Ryanair would give up the Brussels metropolitan region.[141] Finally, the Parties provide examples of internal documents in which Lufthansa, that is active in BRU, […].[142] The Commission takes note of these arguments, which are taken into account together with the evidence resulting from its market investigation.

(133) The distances and travel times from BRU and CRL to Brussels city centre are summarised below:

---

138 The figure plots all regions identified in the response to RFI-3, DLH Annex 51 - Airports catchment overlaps (passenger data). The vertical axis represents for each region the share of passengers using BRU from the total of passengers using BRU and CRL. The horizontal axis represents for each region the distance ratio to HHN/FRA: 0% means that the distance from the region to CRL and BRU is equal; -50% means that the region is half the distance from BRU (e.g. 50km) than CRL (e.g. 100km); 50% means that the region is half the distance from CRL (e.g. 50km) than BRU (e.g. 100km). The figure does present the result for the Charleroi region because the ratio of distance to BRU is so high that if presented in the Figure, the scale of the Figure would render it unintelligible. As expected, a comparatively high share of passengers (55.5%) from Charleroi use CRL compared to BRU (31.3%).

139 Form CO, paragraph 628.

140 Form CO, paragraph 630.

141 Form CO, paragraph 633.

142 Form CO, paragraph 635.

Table 2: Distances and travel times from BRU and CRL to Brussels city centre

Airport	Approximate distance to city center	Approximate travel time to city center		
	Road	By car/taxi[143]	By train	By bus[144]
BRU	15 km	18 – 70 min	16 min	49 min
CRL	60 km[145]	50 – 140 min	55-84 min (train + bus)	55-84 min

Source: response to RFI-29, Table 2.

(134) The Commission first notes that BRU is within the indicative 100 km and 1 hour drive distance to Brussels city centre. On the other hand, while CRL is within the 100 km indicative distance to Brussels city centre, travel time by road is longer than an hour when traffic is busy and CRL is not connected to it by train.

(135) The results of the market investigation were inconclusive with respect to the substitutability of BRU and CRL.[146] While the majority of carriers and airport managers who expressed an opinion viewed BRU and CRL as substitutable,[147] the majority of customers who expressed an opinion considered them not to be substitutable.[148]

(136) For the purpose of this Decision, the exact market definition can be left open since the Transaction raises competition concerns with respect to all plausible market definitions and the Commission's conclusions below regarding whether the Transaction significantly impedes effective competition on routes to or from withinthis catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.3. Düsseldorf

(137) According to Lufthansa and MEF, the city of Düsseldorf is served by four airports: Düsseldorf airport (DUS), Cologne airport (CGN), Dortmund airport (DTM) and Weeze Niederrhein Airport (NRN). DUS and CGN are located respectively 7 km and 44 km away from Düsseldorf city centre. Farther away are Dortmund airport (DTM)

143 The road travel time ranges (Tables 2-13) refer to the Parties' estimates regarding (a) minimum driving time in off-peak hours and (b) maximum driving time in peak hours.

144 The bus travel time estimates (Tables 2-13) were taken from the timetables of the respective bus companies and do not reflect changes in travel time at peak and off-peak hours; response to RFI-32, question 4B.

145 The Parties note that the distance between the city centre of Brussels and CRL is 46 km, following the information cited by the Commission in previous decisions (response to RFI-29, paragraph 62 and footnote 23). However, based on Google Maps, it seems that the 46 km distance refers to geodesic distance while the distance by road is about 60 km.

146 Slot coordinators did not express opinions on airport substitutability with respect to any of the airports affected by the Transaction. Responses to questions in section C.A. of questionnaire 02 to slot coordinators.

147 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.4 of questionnaire 03 to short-haul competitors.

148 Responses to question C.F.4 of questionnaire 06 to customers of both short-haul and long-haul flights.

and Weeze Niederrhein Airport (NRN), respectively 66 and 61 km away from Düsseldorf city centre.

(138) In recent decisions in which this question was examined, the results of the Commission's market investigations were inconclusive and the Commission left the question open whether the four airports are substitutable.[149]

(139) Lufthansa and MEF submit that DUS, CGN, DTM and NRN are substitutable for the vast majority of passengers in the Rhine-Ruhr metropolitan region.[150] The Parties base their argument on the distances and travel times from the airports to Düsseldorf city centre and an example of an internal document in which the Parties argue that Lufthansa monitors […].[151] The Commission notes however that while the said document[…],[152] it only examines […].[153] […].

(140) In the Response to the SO, the Parties referred to an additional internal document that *"demonstrates that* [Lufthansa] *monitors […]."*[154] However, as can be seen in this internal document, […].

(141) For NRW for example the document examines [details of an internal document].

(142) Similarly, for Baden-Württemberg (BaWü), the document examines [details of an internal document] This group of airports does not represent a catchment area. The Parties themselves argued that FKB and STR create a catchment area by themselves (see section 6.5.3.10 below) and that FMM belongs to a different catchment area with Munich Airport (MUC) (see section 6.5.3.7 below). In conclusion, the document is not instructive with respect to catchment areas since it refers to airports according to their location on the territory of German regions.

Figure 5: Lufthansa internal document

[…]

Source: Lufthansa internal document […].

(143) The Parties also refer to data from the Catchment Area Tool,[155] and the results of searches on flight search websites.[156] The Commission has explained in section 6.5.3.1 above the reasons for which it does not consider these sources to be informative. With respect to flight search websites, the Commission notes in addition that the results presented by the Parties did not refer to DTM.[157]

(144) The distances and travel times from DUS, CGN, DTM and NRN to Düsseldorf city centre are summarised below:

149 Cases M.8633 – Lufthansa / Certain Air Berlin Assets, paragraph 71 et seq ; and M.8869 - Ryanair / Laudamotion, paragraph 193 et seq.
150 Form CO, paragraph 562.
151 Form CO, paragraph 556.
152 Form CO, annex RFI 1 - DLH Annex 9 – […].
153 Form CO, annex RFI 1 - DLH Annex 9 – […].
154 Response to SO, paragraph 666.
155 Form CO, paragraph 545 et seq.
156 Form CO, paragraph 557 et seq.
157 Form CO, paragraph 558.

Table 3: Distances and travel times from DUS, CGN, DTM and NRN to Düsseldorf city centre

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
DUS	10 km	16 – 45 min	6 – 18	27 min
CGN	54 km	40 – 85 min	49 - 59 min	50 min (once a day)
DTM	80 km	60 –150 min	96 – 116 min (train + bus)	[N/A]
NRN	85 km	60 –130 min	88 min (train + bus)	[N/A]

Source: response to RFI-29, Table 3.

(145) The Commission first notes that DUS and CGN are within the indicative 100 km and 1 hour drive distance to Düsseldorf centre. On the other hand, DTM and NRN, while being less than 100 km away, are more than a 1-hour drive or train ride away from Düsseldorf centre and are not connected directly to Düsseldorf centre by train or bus.

(146) The results of the market investigation were inconclusive with respect to the substitutability between DUS and CGN. The majority of carriers who expressed an opinion were of the view that DUS and CGN were substitutable.[158] On the other hand, an analysis conducted by a carrier that operated from both DUS and CGN showed that DUS and CGN attract significantly different shares of customers from different post code areas, suggesting that the two airports serve different catchment areas.[159] The views of airport managers[160] and customers[161] were mixed.

(147) The results of the market investigation suggest that DTM and NRN are not substitutable to DUS. The majority who expressed an opinion in each group of respondents (airport managers, short-haul carriers and customers) was of the view that DTM and NRN are not substitutable to DUS.[162]

(148) For the purpose of this Decision, the exact market definition can be left open. The Transaction raised competition concerns with respect to both a market encompassing only DUS and CGN and a market encompassing all four airports, and the Commission's conclusions below regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not

158 Responses to question C.A.5 of questionnaire 03 to short-haul competitors.

159 Condor's Observations of 12 December 2023, paragraph 21, ID 11270.

160 The majority of airport managers who expressed an opinion were of the view that DUS and CGN are not substitutable but at the same time half of them estimated that a ticket price difference of up to 10% would incentivise to switch between the airports. Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers.

161 The Customers who expressed an opinion were split in the middle on the question whether DUS and CGN are substitutable. Responses to question C.F.5 of questionnaire 06 to customers of both short-haul and long-haul flights.

162 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.5 of questionnaire 03 to short-haul competitors, question C.F.5 of questionnaire 06 to customers of both short-haul and long-haul flights. See also non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 12, ID 2367.

affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.4. Frankfurt

(149) According to Lufthansa and MEF, the city of Frankfurt is served by two airports: Frankfurt airport (FRA) and Frankfurt-Hahn airport (HHN). FRA and HHN are located respectively 11 and 124 km away from Frankfurt city centre.

(150) While in some early decisions the Commission found that Frankfurt and Frankfurt-Hahn airports could be considered as substitutable[163] in the most recent decision the results of the Commission's market investigation were inconclusive, and the Commission left the question open.[164]

(151) Lufthansa and MEF submit that FRA and HHN airports are substitutable for the vast majority of passengers in the Frankfurt region.[165] The Parties based their argument on the distances and travel times from FRA and HHN to Frankfurt city centre. The Parties also referred to data from the Catchment Area Tool.[166] In addition, the Parties referred to the results of flight search websites.[167] The Commission has explained in section 6.5.3.1 above the reasons for which it does not consider these sources to be informative.

(152) The Parties argue that the move of Ryanair from FRA to HNN due to the increase in airport charges at FRA demonstrates that the two airports are in the same catchment area.[168] Finally, the Parties provide an example of Lufthansa internal document where it is stated that Lufthansa is closely monitoring […].[169]

(153) The distances and travel times from FRA and HHN to Frankfurt city centre are summarised below:

Table 4: Distances and travel times from of FRA and HHN to Frankfurt city centre

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
FRA	11 km	10 – 28 min	12 – 15 min	20 min
HHN	124 km	75 – 130 min	[N/A]	130 min

Source: response to RFI-29, Table 4.

(154) The Commission first notes that while FRA is within the indicative 100 km and 1 hour drive distance to Frankfurt city centre, HHN is significantly farther away both in terms of distance and driving time. In addition, HHN does not have a train station and is not connected by train.

163 Case M.6663 – Ryanair / Aer Lingus III, paragraph 198 et seq. Case M.4439 – Ryanair / Aer Lingus, paragraph 204 et seq.

164 Case M.8869 – Ryanair / Laudamotion, paragraph 207 et seq.

165 Form CO, paragraph 527.

166 Form CO, paragraph 508 et seq.

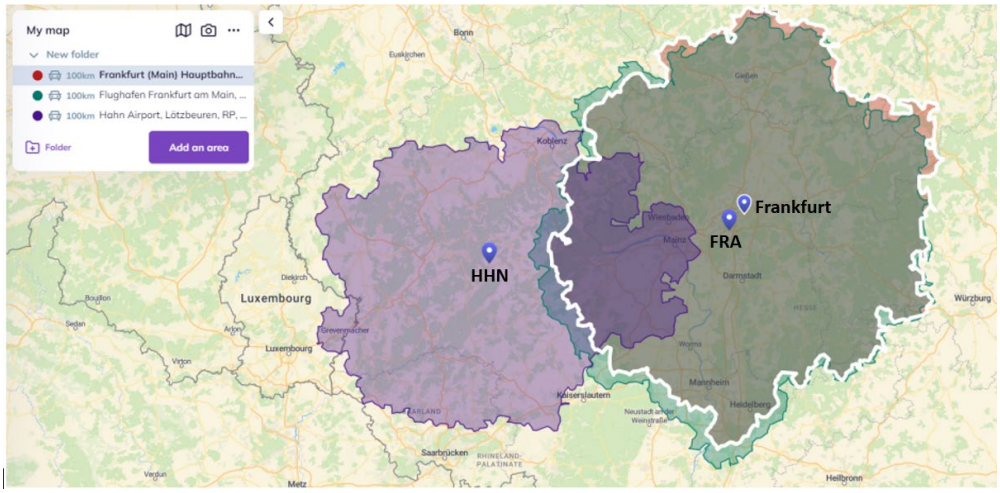
167 Form Co, paragraph 519 et seq.

168 Form CO, paragraph 524 et seq.

169 Form CO, paragraph 526.

(155) The figure below illustrates catchment areas of 100km road distance from Frankfurt city centre, FRA and HNN. As can be seen in the figure,[170] HHN is significantly outside the catchment area of Frankfurt city centre and only small shares of their respective catchment areas overlap.

Figure 6: Catchment areas of Frankfurt city centre, FRA and HHN, based on 100km road distance



Source: response to RFI-32, Annex Q2, map 6.3.1.

(156) The results of the market investigation suggest that FRA and HHN are not substitutable. The majority who expressed an opinion in each group of respondents (airport managers, short-haul carriers and customers) was of the view that FRA and HHN are not substitutable.[171]

(157) Air France-KLM for example explained that *"Frankfurt Hahn is closer to Luxembourg than Frankfurt (situated 1h35 min by car from Frankfurt center). It has no facility to operate large traffic flows. It has around 2.5m pax per year for the moment in comparison to close to 70m for FRA. Only Wizz and Ryanair are operating from HHN on a very low frequency basis and to leisure destinations only. Hahn is only reachable by Bus in 2hours from Frankfurt city. Frankfurt airport is located close to the city and also reachable easily from Mainz/Wiesbaden and Darmstadt which are the four main cities to contribute locally. HAHN cannot play that role. FRA main airport operates a state of the art train station with hundreds of high-speed and regional train per day connecting FRA airport to rest of Germany, It is one of the main station for Deutsche Bahn."*[172]

(158) Ryanair for example explained that "*it does not consider HHN and FRA to be perfectly substitutable airports that serve the same customer demand (notably, there is some degree of substitutability, but Ryanair mostly do not consider them to be substitutable). For instance, Ryanair mentions that (i) HHN is located far from Frankfurt city (approximately 120 km); and (ii) passenger traffic to HHN is mainly*

170 The white line represents 100km road distance from Frankfurt city centre. The purple area represents 100km from HHN.

171 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.6 of questionnaire 03 to short-haul competitors, question C.F.6 of questionnaire 06 to customers of both short-haul and long-haul flights.

172 Response of Air France-KLM to question C.A.6 of questionnaire 03 to short-haul competitors, ID 12093

point-to-point and leisure-related in contrast to passenger traffic in FRA, that is associated to a large extent with business customers and long-haul connections."[173]

(159) Although in its response to Commission's questionnaire Ryanair responded that *"most passengers (50-90%) consider these airports as close substitutes*,"[174] it also explained that –

"There is a bus from Hahn Airport to Frankfurt city centre which is direct, frequent and affordable meaning the city is very accessible from both airports. However, it takes just 15 minutes to reach Frankfurt from Frankfurt Airport and it takes 2 hours to reach Frankfurt from Hahn Airport. Both airports have similar security waiting times. Only very time-sensitive passengers will choose Frankfurt Airport over Hahn Airport when there is a material difference in flight prices as we have previously seen from moving flights from Frankfurt Airport to Hahn Airport. The defining factors for passengers deciding to fly to/from Frankfurt will be airfare prices, the loyalty program available and the time/day of flights. There is, however, a material difference in the facilities available at both airports with Frankfurt Airport having significantly better facilities than Hahn Airport. For passengers making connections, Frankfurt Airport is much better connected for both short-haul and long-haul. Hahn Airport does not cater for long-haul routes."[175] [emphases added]

(160) The Commission notes that in addition to the significant difference in travel time and quality of facilities, Ryanair pointed out that a *"material"* (rather than small) difference in price, is required for NTS passengers to switch from FRA to HHN and that TS passengers will not switch in any case, suggesting that the two airports are not in the same market.

(161) In their Response to the SO, the Parties suggested that Ryanair contradicts itself because in response to the same questionnaire Ryanair stated that the distinction between premium vs non-premium customers based on time sensitivity is not relevant for the assessment of the Transaction.[176] However, Ryanair explained that it objects to a distinction based on time sensitivity because *"short-haul flights within Europe attract a range of customers, including time-sensitive travellers."*[177] There is no contradiction between this statement and the statement cited above that "o*nly very time-sensitive passengers will choose Frankfurt Airport over Hahn Airport when there is a material difference in flight prices."*

(162) The considerations noted above tend to suggest that FRA and HHM are not in the same market. However, for the purpose of this decision, the exact market definition can be left open as the Transaction raised competition concerns under any plausible market definition, and the Commission's conclusions below regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

---

173 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 11, ID 2367.

174 Response of Ryanair to question C.A.6.1 of questionnaire 03 to short-haul competitors, ID 12597.

175 Response of Ryanair to question C.A.6.2 of questionnaire 03 to short-haul competitors, ID 12597.

176 Response to the SO, paragraph 671, second bullet point.

177 Ryanair response to question C.2.2 of questionnaire -3 to short-haul competitors.

6.5.3.5. Hamburg

(163) According to Lufthansa and MEF, the city of Hamburg is served by two airports: Hamburg Airport (HAM) and Lübeck Airport (LBC). HAM and LBC are located respectively 9 and 75 km from Hamburg city centre.

(164) In the past the Commission considered that HAM and LBC airports are substitutes for flights between Dublin and Hamburg.[178] In earlier cases, however, the Commission had examined routes to HAM without examining the questions whether HAM is substitutable to LBC.[179]

(165) Lufthansa and MEF submit that HAM and LBC belong to the same market.[180] The Parties base their arguments on the distances and travel times from of HAM and LBC to Hamburg city and the Commission's earlier cases.

(166) The distances and travel times from HAM and LBC to Hamburg city centre are summarised below:

Table 5: Distances and travel times from of HAM and LBC to Hamburg city

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
HAM	9 km	16 – 55 min	25 min	38 – 59 min
LBC	70 km	45 – 100 min	73 – 78 min (indirect link)	[N/A]

Source: response to RFI-29, Table 5[181].

(167) The Commission first notes that HAM is within the indicative 100 km and 1 hour drive distance to Hamburg city centre. LBC is also located less than 100 km away from Hamburg city centre, but travel times from LBC to Hamburg city centre are more than 1 hour by road when traffic is busier and more than 1 hour by indirect train. There is only indirect rail connection and no bus connection between Hamburg city centre and LBC.

(168) In the Response to the SO, the Parties argued that the driving time ranges based on peak and off-peak hours do not follow the Commission's past practice, lacks justification and can lead to an excessively wide range of driving time and misleading conclusions. The Parties also argued that in a previous case the Commission considered travel time by car from LBC to Hamburg city centre was just 60min (without considering peak and off-peak hours) and that some respondents to the market investigation in that case considered the travel time to be only 30min.[182]

178 Case M.4439 – Ryanair / Aer Lingus, paragraph 212 et seq.

179 Case M.3770 – Lufthansa / SWISS and Case M.3940 Lufthansa / Eurowings.

180 Form CO, paragraph 534.

181 Due to clerical mistake, the source of the Table 5 above was identified in the SO as Form CO, Table 6.5.

182 Response to the SO, paragraph 674.

(169) The Commission notes its explanation in section 6.5.3.1.3 above regarding its use in peak/off-peak road travel time. The driving time estimation cited from a previous Commission decision cannot bind the Commission as it relates to dynamic road and traffic conditions that are prone to change over time.

(170) The results of the market investigation suggest that HAM and LBC are not substitutable. The majority who expressed an opinion in each group of respondents (airport managers, short-haul carriers and customers) was of the view that HAM and LBC are not substitutable.[183]

(171) The considerations noted above suggest that HAM and LBC are not in the same market. However, for the purpose of this decision, the exact market definition can be left open as the Transaction raised competition concerns under any plausible market definition, and the Commission's conclusion below regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.6. Milan

(172) According to the Parties, the city of Milan is served by three airports: Milan Linate airport (LIN), Milan Malpensa airport (MXP) and Bergamo airport (BGY). LIN, MXP and BGY are located respectively 7 km, 50 km and 45 km away from Milan city centre. The Parties' activities overlap only in LIN.

(173) In prior decisions, the Commission concluded that the three airports are substitutable for flights between Dublin and Milan.[184] In other decisions, the market investigation was inconclusive and the question was left open.[185]

(174) Lufthansa and MEF submit that LIN, MXP and BGY are substitutable for the vast majority of passengers in the Milan region and need to be taken into account when assessing the Parties' market position on relevant routes ex the Milan region.[186]

(175) The Parties base their argument on the distances and travel times from the airports to Milan city centre, noting that a direct train link between BGY and Milan city centre will open in 2026.[187] These arguments are examined in more detail below.

(176) Further with respect to BGY, the Parties argued that the Commission should take into consideration the plans to expand the airport for the 2026 winter Olympics.[188] The argument of the Parties is based on several succinct news reports and the Parties do not elaborate how the expansion of BGY and its number of passengers would affect its substitutability with LIN and MXP considering that BGY is already today not particularly congested (see section 6.10.1.3 below).

---

183 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.7 of questionnaire 03 to short-haul competitors, question C.F.7 of questionnaire 06 to customers of both short-haul and long-haul flights.

184 Cases M.6663 – Ryanair/Aer Lingus III, paragraph 252; M.4439 – Ryanair/Aer Lingus, paragraph 267.

185 Case M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 81 et seq. with respect to Milan – Los Angeles and Milan – San Francisco. Case M.7333 – Alitalia / Etihad, paragraph 95 et seq. with respect to Milan – Abu Dhabi, Milan – Rome and Milan – Belgrade.

186 Form CO, paragraph 500.

187 Response to the Article 6(1)(c) decision, 111, fourth bullet point.

188 Response to the Article 6(1)(c) decision, 111, fourth bullet point and Response to the SO, paragraph 683.

(177) The Parties also refer to the data from the Catchment Area Tool and to results of searches on flight search websites. The Commission has explained in section 6.5.3.1 above the reasons for which it does not consider these sources to be informative.

(178) Finally, the Parties also argue that from supply side perspective, it is essential for carriers to spread the offer across the airports within one catchment area to avoid operational risks and diversify their offering.[189] The Commission notes however that the mere fact the carriers spread their activity between nearby airports does not mean by itself that they are in the same catchment area as carriers may spread their activity between airports exactly in order to operate in different catchment areas and capture different passenger flows. Indeed, one carrier has explained that it *"operates both from MXP and Milan Bergamo Airport ('BGY'). The strategic rational behind operating bases in both airports is the different catchment areas that these two airports serve."*[190]

(179) In any case, it is doubtful that it is essential for carriers to spread their offer between the Milan airports. According to the information provided by the Parties[191] only a minority representing less than third of the carriers that are active in the Milan airports (27 out of 105) operates in more than one airport and in some cases the operations in the secondary airport are very limited (less than 10% in terms of passengers). ITA for example flew close to 4 million passengers from LIN in 2023 and only 85 thousand from MXP and is not flying anymore from MXP as of 2024. Only three airlines operate in all Milan airports. The majority of the carriers operating in more than one Milan airport (16 carriers out of 27) operate in LIN and MXP. The Commission considers that this limited presence in two or more airports does not show that it is essential for carriers to spread their offer between the Milan airports and that the airports are substitutable to each other.

(180) The distances and travel times from LIN, MXP and BGY to Milan city centre are summarised below:

Table 6: Distances and travel times from LIN, MXP and BGY to Milan city centre

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
LIN	7 km	12 – 45 min	29 min (metro + bus)	25 min
MXP	45 km	40 – 100 min	49 – 54 min	50 – 70 min
BGY	45 km	35 – 80 min	75 – 90 min (train + bus)	50 – 60 min

Source: response to RFI-29, Table 6.

189 Form CO, paragraph 472; response to the Article 6(1)(c) decision, 111, fifth bullet point, second sub-bullet point; Response to the SO, paragraph 684.

190 Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraph 4, ID 11599.

191 Response to RFI-32, annex Q7.

(181) The Commission first notes that LIN, MXP and BGY can be all within the indicative 100 km and 1 hour drive distance to Milan city centre. However, distance and travel time to LIN are significantly shorter than to MXP and BGY. During heavier traffic hours travel times to MXP and BGY may exceed 1 hour. BGY is also not connected by direct train link to Milan city centre. The Parties argued that the Commission should have taken into consideration the direct train link between BGY and Milan city centre that is due to open in 2026 and will offer similar travel time as between MXP and Milan city centre. As explained further below, the market investigation suggested that the BGY rail connection has limited effect on the analysis of substitutability between the Milan airports.

6.5.3.6.1. Substitutability between LIN and MXP

(182) The majority in each group of respondents to the market investigation (airport managers, short-haul competitors and customers) was of the view that LIN and MXP are substitutable from the point of view of passengers.[192] However, because of its proximity to the city centre, LIN is considered to be the airport of choice for "premium traffic",[193] that is TS passengers or passengers who are not price sensitive that are willing to pay a premium in order to benefit from the comfort of using an in-city airport. Luxair explained that these passengers will not consider switching from LIN and will simply use whichever carriers operate in LIN.[194]

(183) easyJet explained that *"there are in general situations where Malpensa and Linate are substitutable. However, for the core Milan city catchment Linate is clearly a preferable airport in terms of proximity. But the limited range of services (it is in particular very focussed on short domestic routes) at Linate, the unusual traffic distribution rules and inefficient use of slots limits the current potential for competitive."*[195] According to Air France-KLM *"The catchment area of MXP and LIN only partially overlap in terms of geographies and passenger segments. MXP serves much more the northern area of Milan and caters long-haul flights. LIN serves the city, plus the southern catchment area, and is limited to short & medium haul flights due to limitations imposed by authorities. The airports are approximately 80km apart, meaning short flights this would add* [a lot] *of travel time. It is widely acknowledged in the industry that Linate airport is the favourite airport for time sensitive passengers in the Milan area thanks to is unique location. MXP may conversely be an alternative for non-sensitive passengers, including on short & medium haul flights."*[196]

(184) An internal document of ITA describe [197] […].[198] An internal document of Lufthansa states that […].[199] Another Lufthansa internal document explains that *[…]*.[200] In the

---

192 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.2 of questionnaire 03 to short-haul competitors and question C.F.2 of questionnaire 06 to customers of both short-haul and long-haul flights.

193 Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraphs 10 and 14, ID 11599.

194 Response to RFI to Luxair, question 2.a.ii., page 4 and 4.b., page 7, ID 11174.

195 Response of easyJet to question C.A.2 of questionnaire 03 to short-haul competitors, ID 12368.

196 Response of Air France-KLM to question C.A.2 of questionnaire 03 to short-haul competitors, ID 12093.

197 ITA internal document, *[…]*.

198 ITA internal document, *[…]*.

199 Lufthansa internal document, *[…]*.

200 Lufthansa internal document, *[…]*.

Response to the SO the Parties point out that […][201] […].[202] The Commission notes that while the internal document expresses the view that the three airport draw passengers from the same catchment area, it also explains that LIN offers passengers a unique experience that is not substitutable with that offered by BGY and MXP.

(185) In the Response to the SO the Parties also argued that carriers can offer premium services at all airports and that in any case there is no clear distinction any more between TS and NTS customers.[203] The Commission notes that with respect to the distinction between TS and NTS customers, indeed, in section 6.4 above, the Commission found, based on the evidence, that on short-haul routes (LIN is used only for short-haul flights) it is not needed to distinguish between groups of passengers (business/leisure, TS/NTS). However, the evidence clearly shows that because of its proximity to the city, LIN allows carriers to serve "premium passengers" in the sense that they are willing to pay more in order to fly to or from LIN due to the comfort of its vicinity to Milan city centre. With respect to "premium services" that may be offered in BGY and MXP, the Commission understand that the Parties refer to the quality of services in terms of hospitality, not vicinity to the city centre. This finding is specific to LIN and is not affected by the findings with respect to the question whether within O&D markets distinct segments should be identified according to types of passengers.

(186) In conclusion, the Commission considers that the market investigation indicates that generally LIN and MXP are substitutable. However, from the point of view of carriers, LIN, unlike MXP, offers the possibility of serving a segment of "premium passengers" that are willing to pay more in order to fly to or from LIN. This consideration would be taken into account when considering of closeness of competition and in the airport-by-airport analysis below.

6.5.3.6.2. Substitutability between LIN and BGY

(187) The results of the market investigation were mixed with respect to the substitutability of LIN and BGY. Half of the carriers having expressed an opinion considered BGY as substitutable with LIN while the other half considered them not substitutable or that the response is dependent on the individual route.[204] All airport managers who expressed an opinion were of the view that BGY is not substitutable with LIN.[205] Among customers, the majority of customers having expressed an opinion were of the view that BGY and LIN are not substitutable or that the response depends on the individual route.[206]

(188) The considerations relating to LIN as an airport for "premium passengers" are particularly relevant in differentiating LIN from BGY that is mainly serving LCCs, representing 90% of its activity in terms of number of flights.[207]

---

201 Lufthansa internal document, *[…]*.

202 Response to the SO, paragraph 681.

203 Response to the SO, paragraph 680.

204 Responses to question C.A.2 of questionnaire 03 to short-haul competitors.

205 Responses to question D.A.4 of questionnaire 01 to airport managers.

206 Question C.F.2 of questionnaire 06 to customers of both short-haul and long-haul flights.

207 Response to RFI-22, question 5.d. and annex Q5d; response of Air France-KLM to question C.A.2-2 of questionnaire 03 to short-haul competitors; response to RFI to Luxair, question 2.b.ii., page 6 and question 3.b., page 7, ID 12093.

(189) With respect to the new BGY train link, the Commission notes that, as pointed out by respondents to the market investigation, the line is currently planned to be operational only in 2026 and as is common with large infrastructure projects, it cannot be excluded that its operation will be postponed.[208] In any case, respondents to the market investigation were of the view that the train connection, once operational, would not increase substitutability between BGY and LIN.[209]

6.5.3.6.3. Substitutability between MXP and BGY

(190) The results of the market investigation were mixed with respect to the substitutability of MXP and BGY. The majority of airport managers having expressed an opinion did not consider the two airports to be substitutable. The airport managers of MXP and BGY provided diverging opinions: while the airport manager of MXP (and LIN), S.E.A S.p.A. considers the two airports not to be substitutable, the airport manager of BGY, SACBO S.p.A. views them as substitutable.[210]

(191) Among customers, only a minority considered BGY and MXP as substitutable. The largest group of respondents considered that the two airports are not substitutable and a smaller group of customers responded that it depends on specific routes.[211]

(192) The majority among carriers expressing an opinion considered BGY and MXP as substitutable although some carriers responded that they do not consider the two airports to be substitutable or that it depends on the individual route.[212] One carrier for example explained that it *"operates both from MXP and Milan Bergamo Airport ('BGY'). The strategic rational behind operating bases in both airports is the different catchment areas that these two airports serve."*[213]

6.5.3.6.4. Conclusions with respect to the Milan airports

(193) In conclusion, the Commission considers that the evidence tends to show that LIN and MXP are generally substitutable and LIN and BGY are not. The results with respect to the substitutability of MXP and BGY were mixed.

(194) In the Response to the SO, the Parties noted that when carriers were asked whether the three airports should be considered substitutable,[214] the majority of carriers responded that the three airports are substitutable to each other.[215] The Commission notes however that the results of the market investigation on this question were mixed since the majority view of customers (that is, passengers) differed from the majority view of carriers. Only a minority of customers expressing a view considered the three airports as substitutable to each other. The majority of customers expressing

---

208 Luxair noted for example that 17 000 citizens signed a petition against the project; response to RFI to Luxair, question 8.c, ID 11174.

209 Response to RFI to Luxair, question 9 (ID 11174); response to RFI to […] question 8, ID 11199; response to RFI II-1 to Air France-KLM, question 44, ID 11426; response to RFI II-1 to Wizz Air, question 31, ID 11311.

210 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers.

211 Responses to question C.F.2 of questionnaire 06 to customers of both short-haul and long-haul flights.

212 Responses to question C.A.2 of questionnaire 03 to short-haul competitors.

213 Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraph 4, ID 11599.

214 The Commission asked about the substitutability between the airport pairs LIN/BGY, LIN/MXP and BGY/MXP and also between all the three considered together.

215 Response to the SO, paragraph 678, referring to responses to question C.A.2.d of questionnaire 03 to short-haul competitors.

a view responded that the three airports are either not substitutable (the largest group of respondents) or that their substitutability depends on the route.[216]

(195) For the purpose of this Decision, it can be left open whether the market encompasses only LIN and MXP or whether it encompasses all three airports as the Transaction raised competition concerns under the two relevant market definitions, and the Commission's conclusion below regarding whether the Transaction significantly impedes effective competition on routes to or from this catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.7. Munich

(196) According to Lufthansa and MEF, the city of Munich is served by two airports: Munich airport (MUC) and Memmingen airport (FMM). MUC and FMM are located respectively 40 and 110 km away from Munich city centre.

(197) In prior decisions, the Commission reached different conclusions depending on the routes, air carriers and customers. While in one case MUC and FMM airports were found to belong to the same market for routes between Dublin and Munich,[217] in another case FMM was deemed unlikely to be substitutable to MUC, except for a very limited number of particularly non-time sensitive passengers.[218] The market investigation in the most recent case tended to confirm the limited substitutability between the two airports from the point of view of passengers but ultimately the question was left open.[219]

(198) Lufthansa and MEF consider that MUC and FMM are substitutable for the vast majority of passengers in the Munich region.[220] The Parties base their arguments on the distances and travel times from MUC and FMM to Munich city centre as well as on the Commission's past cases.[221]

(199) The Parties also refer to data from the Catchment Area Tool[222] and the results of searches on eDreams.[223] The Commission has explained in section 6.5.3.1 above the reasons for which it does not consider these sources to be informative. Furthermore, with respect to the search on eDreams, the Parties were not able to present search results that include both airports. As showed in the figure below, the Parties only presented a screen shot including a drop menu when "Munich" is typed into the search box which includes FMM.

---

216 Responses to question C.F.2 of questionnaire 06 to customers of both short-haul and long-haul flights.

217 Case M.8633 – Lufthansa / Certain Air Berlin Assets, paragraphs 85 and the reference there to case M.6663 – Ryanair / Aer Lingus III, paragraph 265.

218 Case M.8633 – Lufthansa / Certain Air Berlin Assets, paragraphs 85 and the reference there to case Case M.5335 – Lufthansa / SN Airholding, footnote 185.

219 Case M.8633 – Lufthansa / Certain Air Berlin Assets, paragraphs 88-90.

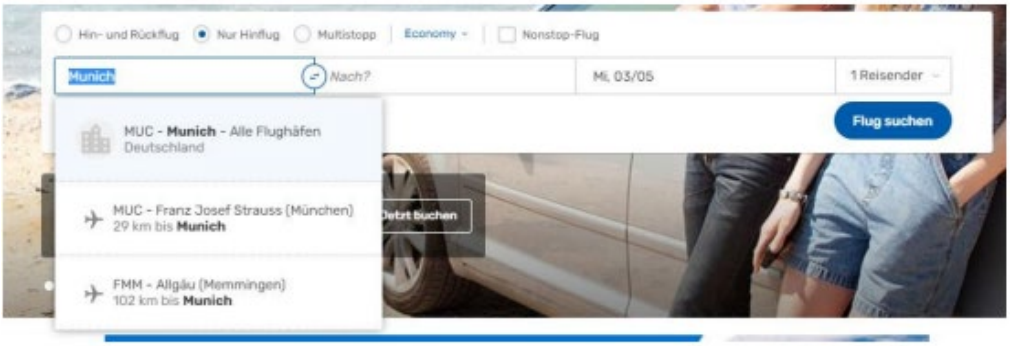
220 Form CO, paragraph 583.

221 Form CO, paragraph 565-566.

222 Form CO, paragraph 569 et seq.

223 Form CO, paragraph 519 et seq.

Figure 7: eDreams flight search with Munich as departure (example)



Source: Form Co, Figure 17.

(200) Finally, the Parties provide examples of two Lufthansa internal documents which according to the Parties show that […].[224]

(201) The distances and travel times from MUC and FMM to Munich city centre are summarised below:

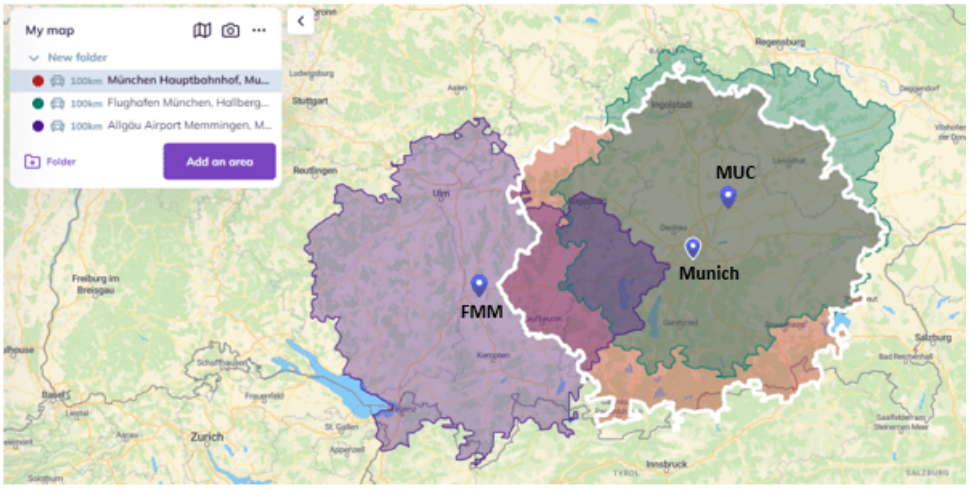
Table 7: Distances and travel times from MUC and FMM to Munich city centre

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
MUC	39 km	30 – 70 min	40 min	45 min
FMM	112 km	70 – 120 min	86 – 100 min (train + bus)	80 min

Source: response to RFI-29, Table 7.

(202) The figure below illustrates catchment areas of 100km road distance from Munich city centre, MUC and FMM. As can be seen in the figure,[225] FMM is outside the catchment area of Munich city centre and only small shares of their respective catchment areas overlap.

Figure 8: catchment areas of Munich city centre, MUC and FMM, based on 100km road distance



Source: response to RFI-32, Annex Q2, map 6.6.1.

224 Form CO, paragraph 580 et seq.

225 The white line represents 100km road distance from Munich city centre. The purple area represents 100km from MMF.

(203) The Commission first notes that while MUC is within the indicative 100 km and 1 hour drive distance to Munich city centre, FMM is farther away and travel time by road is significantly longer than 1 hour. There is no direct train connection between Munich city centre and FMM.[226]

(204) Second, the results of the market investigation suggest that MUC and FMM are not substitutable. The majority who expressed an opinion in each group of respondents (airport managers, short-haul carriers and customers) was of the view that MUC and FMM are not substitutable.[227]

(205) The considerations noted above tend to suggest that MUC and FMM are not in the same market. However, for the purpose of this Decision, the exact market definition can be left open as the Transaction raises competition concerns under any plausible market definition to the assessment of the Transaction (i.e. MUC or MUC/FMM), and the Commission's conclusion below regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.8. New York

(206) According to Lufthansa and MEF, the city of New York is served by four airports: LaGuardia Airport (LGA), John F. Kennedy International Airport (JFK), Newark Liberty International Airport (EWR) and New York Stewart International Airport (SWF). LGA, JFK, EWR and SWF are located respectively 13 km, 27 km, 27 km and 112 km away from New York city centre.

(207) In a previous case, the market investigation tended to confirm that JFK and EWR are substitutable, but the question was left open.[228] The Commission did not have the opportunity to examine whether LGA and SWF belong to the same market.

(208) Lufthansa and MEF submit that services from LGA, JFK and EWR airports should be considered as part of the same market.[229] The question whether SWF belongs to the same market can be left open in their view because it would not affect the competitive assessment.[230] The Parties base their argument on the distance and travel times from the airports to New York city centre, past Commission and U.S. cases and one ITA internal document in which […].[231] The Parties also refer to the data from the Catchment Area Tool and to results of searches on flight search websites.[232] The Commission has explained in section 6.5.3.1 above the reasons for which it does not consider these sources to be informative.

---

226 Lufthansa and MEF point to a connection by combination of and bus and train between Munich city centre and FMM with travel time of 86-100 minutes.

227 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.8 of questionnaire 03 to short-haul competitors, question C.F.8 of questionnaire 06 to customers of both short-haul and long-haul flights. See also non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 12, ID 2367.

228 Case M.7333 – Alitalia / Etihad, paragraphs 108-109.

229 Form CO, paragraph 673.

230 Form CO, paragraph 678.

231 Form CO, paragraphs 663-667, 671.

232 Form CO, paragraphs 668 and 672.

(209) The distances and travel times from LGA, JFK, EWR and SWF to New York city centre are summarised below:

Table 8: Distances and travel times from LGA, JFK, EWR and SWF to New York city centre

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
LGA	10 km	14 – 50 min	[N/A]	52 – 86 min (indirect link)
JFK	30 km	24 – 85 min	50 – 60 min (indirect link)	[N/A]
EWR	20 km	28 – 80 min	52 min (indirect link)	70 min
SWF	115 km[233]	75 – 130 min	133 min (indirect link)	110 min (indirect link)

Source: response to RFI-29, Table 8.

(210) The Commission first notes that LGA, JFK and EWR are within the indicative 100 km. While LGA is within the 1-hour drive distance, travel to JFK and EWR may take significantly long during rush hour. SWF is beyond the 100 km and 1 hour drive distance to New York city centre. However, LGA is only used for internal flights in the United States and is not used for transatlantic flights.[234]

(211) Second, the results of the market investigation suggest that JFK and EWR are substitutable. The majority who expressed an opinion in each group of respondents (airport managers, short-haul carriers and customers) was of the view that JFK and EWR are substitutable.[235] However, some respondents consider that there are relevant differences between these two airports. For example, Air France-KLM considers that EWR has "*a broader coverage than JFK as it also serves New Jersey*" and that it "*is generally viewed as a better option to reach Manhattan for long-haul passengers*".[236]

(212) On balance, the Commission considers that the available evidence suggests that JFK and EWR belong to the same market while LGA and SWF do not (for the purposes of transatlantic long-haul flights). However, for the purpose of this decision it can be left open whether the market also includes LGA and/or SWF since the Transaction does not raise competition concerns both when including and excluding these airports from the relevant markets, and the Commission's conclusion below

233 The Parties indicated a distance of 70-75km that is probably a confusion with miles (112-120km).

234 LGA and SWF are currently not used for any direct long-haul connections between North America and Italy and only represent an immaterial share of passengers on indirect connections on these routes. See further, section 12.3.1below.

235 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.E.2 of questionnaire 04 to long-haul competitors, question C.F.16 of questionnaire 06 to customers of both short-haul and long-haul flights.

236 Non-confidential minutes of the conference call with Air France-KLM dated 6 November 2023, paragraph 16, ID 9836.

regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not affected by the particular market definition adopted. While the Commission considers that JFK and EWR belong to the same market, it will take into consideration limitations in substitutability between these two airports in the competitive assessment as an element of closeness of competition.

6.5.3.9. Rome

(213) According to Lufthansa and MEF, the city of Rome is served by two airports: Fiumicino airport (FCO) and Ciampino airport (CIA). FCO and CIA are located respectively 32 km and 15 km away from Rome city centre.

(214) The Commission notes that currently neither the Parties, nor any of their competitors fly from CIA on the routes to Frankfurt, Munich,[237] Stuttgart and Zurich. Nevertheless, CIA may be relevant for the assessment considering potential barriers to entry and expansion. For the assessment of the long-haul routes, the question of substitutability between FCO and CIA is not relevant as FCO is the only airport in Rome that is used for long-haul flights and hence the competitive assessment of each of the long-haul routes does not change depending on whether CIA is included in the same market as FCO or not.

(215) In two earlier decisions the Commission concluded that FCO and CIA were substitutable for passengers from Dublin.[238] In a more recent case the market investigation was inconclusive, and the question was ultimately left open.[239]

(216) Lufthansa and MEF submit that FCO and CIA are substitutable for the vast majority of passengers in the Rome region and need to be taken into account when assessing the Parties' market position on relevant routes to and from the Rome region.[240] The Parties base their arguments on the distances and travel times from the airports to Rome city centre and past Commission decisions.[241] In addition, the Parties refer to ITA internal documents that […].[242] The Commission takes note of these arguments, which are taken into account together with the evidence resulting from its market investigation.

(217) Furthermore, the Parties also refer to the data from the Catchment Area Tool, and to results of searches on flight search websites.[243] In addition, the Parties refer to ITA internal documents that […].[244]

(218) The distances and travel times from FCO and CIA to Rome city centre are summarised below:

---

237 To Munich Lufthansa also flies from CIA, however its market share was below 1% in the 2022/2023 winter season and had no market share in the 2023 summer season.

238 Case M.4439 – Ryanair / Aer Lingus, paragraph 254 et seq. Case M.6663 – Ryanair / Aer Lingus III, paragraph 280 et seq.

239 Case M.7333 – Alitalia / Etihad, paragraphs 93-94 with respect to Abu Dhabi – Rome and numerous short-haul routes from Rome.

240 Form CO, paragraph 470.

241 Form CO, paragraphs 451-455.

242 Form CO, paragraph 469.

243 Form CO, paragraph 456 et seq.

244 Form CO, paragraph 469.

Table 9: Distances and travel times from FCO and CIA to Rome city centre

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
FCO	32 km	26 - 85 min	32 – 85 min	55 – 90 min
CIA	15 km	20 - 65 min	33 – 45 min (train + bus)	35 min

Source: response to RFI-29, Table 9.

(219) The Commission first notes that FCO and CIA are both within the indicative 100 km and 1 hour drive distance to Rome city centre, although in during rush hour drive time may be longer.

(220) Second, the market investigation provides indications that FCO and CIA are substitutable. The majority of carriers and customers who expressed an opinion consider FCO and CIA as substitutable.[245]

(221) The considerations above tend to suggest that FCO and CIA are in the same market. Therefore, for the purpose of this Decision, the Commission will define the market as encompassing both airports. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.10. Stuttgart

(222) According to Lufthansa and MEF, the city of Stuttgart is served by two airports: Stuttgart airport (STR) and Karlsruhe Baden-Baden airport (FKB). STR and FKB are located respectively 14 and 107 km from Stuttgart city centre.

(223) The market investigation in an earlier case was inconclusive, tending to show that STR and FKB are not substitutable from the point of view of passengers. However, the question was ultimately left open.[246]

(224) Lufthansa and MEF submit that STR and FKB are substitutable for the vast majority of passengers in Stuttgart region.[247] The Parties argue that, although FKB is more than 100km and 1 hour driving distance from Stuttgart city centre, this benchmark is according to the Commission's practice only a first proxy.[248] The Parties consider that the data from the Catchment Area Tool and to results of searches on flight search websites show that the two airports are in the same catchment area.[249] The Commission has explained in section 6.5.3.1 above the reasons for which it does not consider these sources to be informative.

245 Responses to question C.A.3 of questionnaire 03 to short-haul competitors, C.F.3 of questionnaire 06 to customers of both short-haul and long-haul flights.

246 Case M.8633 – Lufthansa / Certain Air Berlin Assets, paragraphs 95-98.

247 Form CO, paragraph 605.

248 Form CO, paragraph 586, see also footnote 113 above.

249 Form CO, paragraph 590 et seq.

(225) Finally, the Parties argue that internal documents of Lufthansa show that […].[250]

(226) The distances and travel times from STR and FKB to Stuttgart city centre are summarised below:

Table 10: Distances and travel times from STR and FKB to Stuttgart city centre

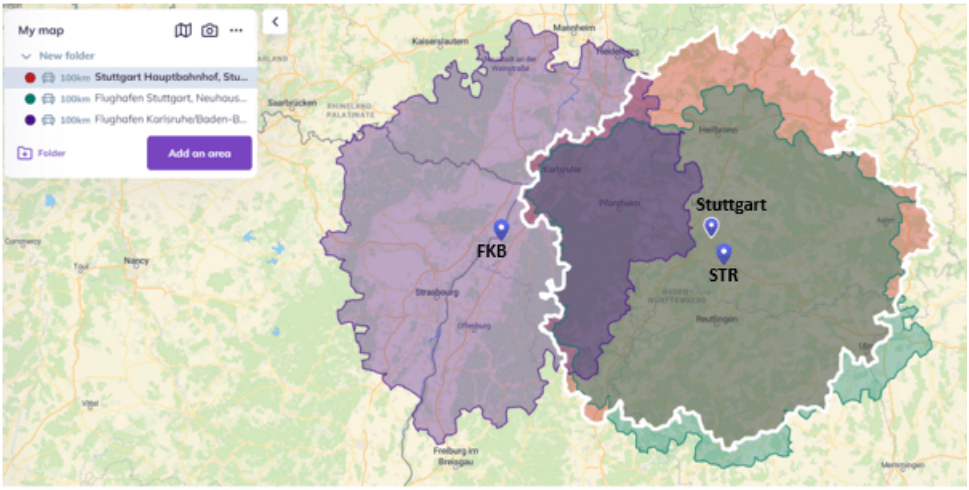
Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
STR	14 km	16 – 40 min	27 – 32 min	[N/A]
FKB	107 km	80 – 145 min	110 – 137 (indirect link)	100 – 105 min (twice a day)

Source: response to RFI-29, Table 10.

(227) The Commission first notes that while STR is within the indicative 100 km and 1 hour drive distance to Stuttgart city centre, FKB is significantly farther away and considerably above 1 hour drive time. There is also no direct train link to FKB and bus frequency is very limited (only twice a day).[251]

(228) The figure below illustrates catchment areas of 100km road distance from Stuttgart city centre, STR and FKB. As can be seen in the figure,[252] FKB is well outside the catchment area of Stuttgart city centre and only small shares of their respective catchment areas overlap.

Figure 9: catchment areas of Stuttgart city centre, STR and FKB, based on 100km road distance



Source: response to RFI-32, Annex Q2, map 6.7.1.

(229) Second, the results of the market investigation suggest that STR and FKB are not substitutable. The majority who expressed an opinion in each group of respondents

250 Form CO, paragraph 600.

251 Lufthansa and MEF note that there is a link combining train and bus between Stuttgart city centre and FKB with travel time of 137 minutes.

252 The white line represents 100km road distance from Frankfurt city centre. The purple area represents 100km from HHN.

(airport managers, short-haul carriers and customers) was of the view that STR and FKB are not substitutable.[253]

(230) The considerations noted above tend to suggest that STR and FKB are not in the same market. However, for the purpose of this Decision, the exact market definition can be left open as the Transaction raises competition concerns under any plausible market definition, and the Commission's conclusion below regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.11. Vienna

(231) According to Lufthansa and MEF, the city of Vienna is served by two airports: Vienna airport (VIE) and Bratislava airport (BTS). VIE and BTS are located respectively 20 km and 74 km away from Vienna city centre.

(232) The Commission's practice with respect to the question has differed in function of the routes assessed. In two previous decisions, the Commission found that VIE and BTS were substitutable with respect to flights to and from Dublin.[254] In two other cases, the market investigation results were inconclusive and the question was ultimately left open.[255]

(233) Lufthansa and MEF submit that that VIE and BTS airports are substitutable for the vast majority of passengers in the Vienna region.[256] The Parties base their argument on the distances and travel times from VIE and BTS to Vienna city centre,[257] the Commission's past decisions[258] as well statements made by the Commission in the assessment it conducted in the context of the relocation of the European Medicines Agency in 2017[259] and statements of the owner and manager of the Vienna airport and Interreg.[260] The Parties also consider that results of searches on flight search websites show that the two airports are in the same catchment area.[261] The Commission has explained in section 6.5.3.1.2 above the reasons for which it does not consider these sources to be informative.

253 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.9 of questionnaire 03 to short-haul competitors, question C.F.9 of questionnaire 06 to customers of both short-haul and long-haul flights. See also non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 12, ID 2367.

254 Cases M.6663 – Ryanair/Aer Lingus III, paragraphs 324-337; M.4439 – Ryanair/Aer Lingus, paragraphs 218-225.

255 Case M.6447 – IAG / bmi, paragraphs 66-67 (with respect to London-Vienna). Case M.8869 – Ryanair/ Laudamotion paragraphs 163-165 (with respect to Vienna – Paphos/Larnaca, Marrakech, Malaga, Palma de Mallorca).

256 Response to RFI-21, paragraph 21.

257 Response to RFI-21, paragraphs 6-7.

258 Response to RFI-21, paragraphs 8-9.

259 Response to RFI-21, paragraphs 13.

260 Response to RFI-21, paragraphs 12 and 13. Interreg is an EU programme supporting cooperation across borders through project funding; the statement was taken from a report on VIE.

261 Response to RFI-21, paragraph 14 et seq.

(234) The distances and travel times from VIE and BTS to Vienna city centre are summarised below:

Table 11: Distances and travel times from VIE and BTS to Vienna city centre

Airport	Approximate distance to city centre	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
VIE	18 km	14 - 45 min	16 - 25 min	20 min
BTS	74 km	55 – 100 min	N/A	105 min

Source: response to RFI-29, Table 12.

(235) The Commission first notes that both VIE and BTS are within the indicative 100 km drive distance. However, drive time to BTS is generally above 1 hour and more than 1.5 hours during peak hours. There is no train connection to BTS.

(236) Second, the results of the market investigation suggest that VIE and BTS are not substitutable. The majority who expressed an opinion in each group of respondents (airport managers, short-haul carriers and customers) was of the view that VIE and BTS are not substitutable.[262]

(237) The considerations noted above tend to suggest that VIE and BTS are not in the same market. However, for the purpose of this Decision, the exact market definition can be left open as the Transaction raises competition concerns under any plausible market definition, and the Commission's conclusion below regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.12. Zurich

(238) According to Lufthansa and MEF, the city of Zurich is served by two airports: Zurich airport (ZRH) and Basel airport (BSL). ZRH and BSL are located respectively 12 and 91 km from Zurich city centre.

(239) In prior decisions, the Commission assessed routes from or to Zurich and Basel airports as separate markets.[263] In a more recent decision, the market investigation was inconclusive with respect to the substitutability of ZRH and BSL from the point of view of passengers and the question was ultimately left open.[264]

---

262 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.11 of questionnaire 03 to short-haul competitors, question C.F.11 of questionnaire 06 to customers of both short-haul and long-haul flights.

263 Case M.5440 – Lufthansa/Austrian Airlines, paragraph 223 et seq. for Vienna-Basel and Vienna-Zurich. Case M.5335 Lufthansa/Brussels Airlines, paragraph 264 et seq. (for Brussels – Basel) and paragraph 281 (for Brussels – Zurich) M.3770 – Lufthansa/SWISS for e.g. Zurich-Munich and Basel-Munich, paragraph 51 et seq.

264 Case M.8633 – Lufthansa/Certain Air Berlin Assets, paragraphs 103-105.

(240) Lufthansa and MEF submit that ZRH and BSL are substitutable for the vast majority of passengers in the Zurich region.[265] The Parties point out to the fact the carrier SWISS (Lufthansa group) offers combined air and rail tickets to attract to its hub in ZRH passengers from several train stations close to the border and outside Switzerland including Basel main station.[266]

(241) The Parties also consider that the data from the Catchment Area Tool and the results of searches on flight search websites show that the two airports are in the same catchment area.[267] The Commission has explained in section 6.5.3.1 above the reasons for which it does not consider these sources to be informative.

(242) The Parties also adduce internal documents of Lufthansa that according to the Parties show that […].[268] In the Response to the SO, the Parties added that in these documents […].[269] The Commission notes however that the documents […]. There is no statement in those documents from which it can be understood that […][270] […].

(243) In the Response to the SO, the Parties made reference to a third Lufthansa internal document in which it is stated that […].[271] The fact that the catchment areas of BSL and ZRH are partially overlapping is considered below.

(244) The distances and travel times from ZRH and BSL to Zurich city centre are summarised below:

Table 12: Distances and travel times from ZRH and BSL to Zurich city centre

Airport	Approximate distance to city center	Approximate travel time to city centre		
	Road	By car/taxi	By train	By bus
ZRH	12 km	12 – 30 min	15 – 43 min	65 – 73 min
BSL	91 km	65 – 120 min	76 - 96 min (indirect link)	85 – 110 min

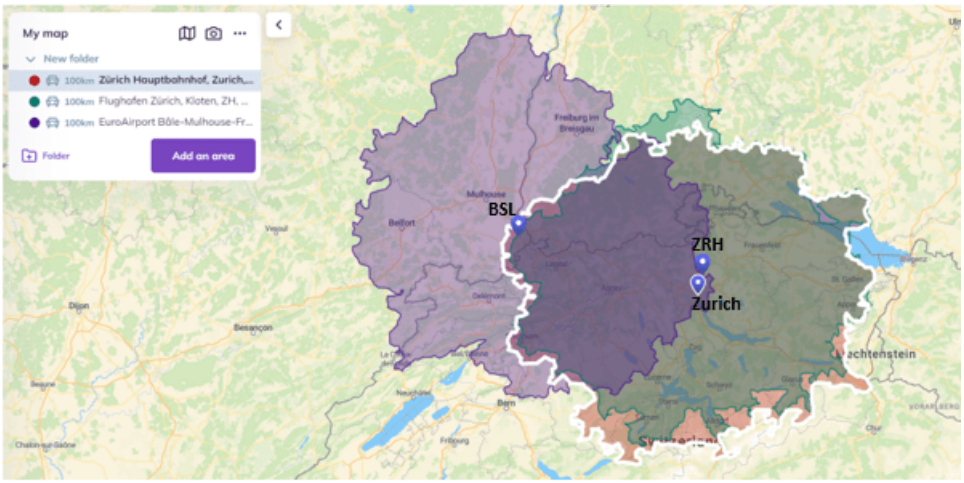
Source: Form CO, Table 6.11.

(245) The Commission first notes that ZRH is within the indicative 100 km and 1 hour drive distance to Zurich city centre. While BSL is within the 100 km drive distance to Zurich city centre, the travel time is significantly longer than 1 hour and there is no direct train link to Zurich city centre.

265 Form CO, paragraphs 641 and 661.
266 Form CO, paragraph 644.
267 Form CO, paragraph 646 et seq.
268 Form CO, paragraph 660.
269 Response to the SO, paragraph 688.
270 The Parties did not argue, and the Commission's market investigation did not raise the possibility that GVA is substitutable to ZRH and BSL. Indeed, GVA is located 255km away from BSL and 278km from ZRH.
271 Response to the SO, paragraph 689.

(246) The figure below illustrates catchment areas of 100km road distance from Zurich city centre, ZRH and BSL. As can be seen in the figure,[272] BSL as at the border of the catchment area of Zurich city centre and only about half of their respective catchment areas overlap.

Figure 10: Catchment areas of Zurich city centre, ZRH and BSL, based on 100km road distance



Source: response to RFI-32, Annex Q2, map 6.9.1.

(247) Second, the results of the market investigation suggest that ZRH and BSL are not substitutable. The majority who expressed an opinion in each group of respondents (airport managers, short-haul carriers and customers) was of the view that ZRH and BTS are not substitutable.[273]

(248) The considerations noted above tend to suggest that ZRH and BSL are not in the same market. However, for the purpose of this Decision, the exact market definition can be left open as the Transaction raises competition concerns under any plausible market definition, and the Commission's conclusion below regarding whether the Transaction significantly impedes effective competition on routes to or from within this catchment area is not affected by the particular market definition adopted. Nevertheless, the Commission will take into consideration which airport carriers fly to when assessing how closely they compete with one another.

6.5.3.13. Other city catchment areas

(249) The table below presents the additional cities relevant to the overlapping short-haul and long-haul routes discussed in sections 9 and 10 below, as well as the airports that are located within these cities' catchment areas, according to the Parties' submissions. The Commission considers that, for the below cities with more than one airport within its catchment area according to the Parties, the question of airport substitutability can be left open, as the competitive assessment does not change for these cities depending on the specific market definition.

272 The white line represents 100km road distance from Zurich city centre. The purple area represents 100km from BSL.

273 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers, question C.A.10 of questionnaire 03 to short-haul competitors, question C.F.10 of questionnaire 06 to customers of both short-haul and long-haul flights.

Table 13: additional cities

City	Airport	Distance from city centre
Barcelona[274]	Josep Tarradellas Barcelona-El Prat airport (BCN) Girona Airport (GRO) Reus Airport (REU)	13km 90km 104km
Beijing[275]	Beijing Nanyuan (NAY) Beijing Capital International airport (PEK) Beijing Daxing International airport (PKX)	21km 29km 60km
Bologna[276]	Bologna Guglielmo Marconi airport (BLQ), Forli Airport (FRL) Parma Airport (PMF)	12km 78km 106km
Buenos Aires[277]	Jorge Newbery airport (AEP) Ezeiza airport (EZE)	9km 35km
Cairo[278]	Cairo International airport (CAI) Giza Sphinx International Airport (SPX)	20km 44km
Catania[279]	Vincenzo Bellini Catania Airport (CTA) Cosimo Airport (CIY)	6km 96km
Chengdu[280]	Shuangliu International airport (CTU) Chengdu Tianfu International airport (TFU)	23km 51km
Chicago[281]	Chicago Midway International Airport (MDW) Chicago O'Hare International Airport (ORD)	18km 28km
Copenhagen[282]	Copenhagen Airport (CPH) Roskilde Airport (RKE)	8km 37km
Dallas[283]	Love Field (DAL) Dallas-Fort Worth International airport (DFW)	12km 28km
Denver[284]	Centennial airport (APA) Denver International airport (DEN)	30km 36km
Dubai[285]	Dubai International airport (DXB) Al Maktoum International Airport (DWC)	14km 60km
Florence[286]	Florence Peretola airport (FLR) Pisa Galileo Galilei airport (PSA)	7km 81km
Guangzhou[287]	Foshan airport (FUO) Guangzhou Baiyun International airport (CAN)	31km 32km
Hannover[288]	Hannover Airport (HAJ) Bremen Airport (BRE)	10km 99km

274 Response to RFI-64, question 1.
275 Response to RFI-64, question 1.
276 Response to RFI-64, question 1. In response to RFI-35, question 21, the Parties argued that only BLQ and RFL are substitutable.
277 Form CO, paragraph 707 et seq. response to RFI-64, question 1.
278 Form CO, paragraph 7121 et seq.; response to RFI-64, question 1.
279 Response to RFI-35, question 21; response to RFI-64, question 1.
280 Response to RFI-64, question 1.
281 Form CO, paragraph 722 et seq; response to RFI-64, question 1.
282 Response to RFI-64, question 1.
283 Response to RFI-64, question 1.
284 Response to RFI-64, question 1.
285 Response to RFI-64, question 1.
286 Response to RFI-35, question 21; response to RFI-64, question 1.
287 Response to RFI-64, question 1.
288 Response to RFI-64, question 1.

City	Airport	Distance from city centre
Los Angeles[289]	Hollywood Burbank Airport (BUR) Los Angeles International Airport (LAX) Burbank Long Beach Airport (LGB) Long Beach Ontario International Airport (ONT) John Wayne Airport (SNA) San Bernardino International Airport (SBD).	26km 29km 37km 64km 66km 105km
Mexico City[290]	Mexico City Airport (MEX) Toluca International Airport (TLC) Felipe Angeles International Airport (NLU)	8km 42km 64km
Miami[291]	Miami International Airport (MIA) Fort Lauderdale International Airport (FLL)	10km 38km
Montreal[292]	Montréal-Pierre Elliott Trudeau International (YUL) Montréal-Saint-Hubert (YHU) Montréal-Mirabel International (YMX)	18km 19km 55km
Naples[293]	Naples International Airport (NAP) Salerno Costa d'Amalfi Airport (QSR).	4km 73km
Nice[294]	Nice Côte d'Azur Aéroport – Nice Airport (NCE) Cannes-Mandelieu Airport (CEQ)	8km 37km
Olbia[295]	Olbia Airport (OLB) Alghero (AHO)	3km 106km
Orlando[296]	Orlando International airport (ORL) Orlando Sanford Airport (SFB)	7km 45km
Palermo[297]	Palermo-Punta Raisi airport (PMO) Trapani airport (TPS)	31km 112km
Perth[298]	Perth Airport (PER) Jandakot Airport (JAD)	15km 19km
San Diego[299]	San Diego International airport (SAN) McClellan–Palomar Airport (CLD)	4km 8km
San Francisco[300]	San Francisco International Airport (SFO) Oakland International Airport (OAK) Oakland Norman Y. Mineta San José International Airport (SJC) San José Charles M. Schulz–Sonoma County Airport (STS).	24km 37km 75km 100km
Seattle[301]	King County International Airport (BFI) Seattle Tacoma International airport (SEA)	9km 21km
Seoul[302]	Gimpo International Airport (GMP) Incheon International Airport (ICN)	19km 68km

289 Form CO, paragraph 679 et seq. Distances were searched by the Commission on Google Maps. In response to RFI-64, question 1, the Parties argued that only LAX and ONT are substitutable.

290 Response to RFI-64, question 1.

291 Form CO, paragraph 683 et seq.; response to RFI-64, question 1.

292 Response to RFI-64, question 1.

293 Response to RFI-35, question 21; response to RFI-64, question 1.

294 Response to RFI-64, question 1.

295 Response to RFI-64, question 1.

296 Response to RFI-64, question 1.

297 Response to RFI-64, question 1.

298 Response to RFI-35, question 21; response to RFI-64, question 1.

299 Response to RFI-64, question 1.

300 Form CO, paragraph 689 et seq. Results of Commission search on Google Maps. Response to RFI-64, question 1. In the response to RFI-64, question 1, the Parties argued that only SFO and OAK are substitutable.

301 Response to RFI-64, question 1.

302 Form CO, paragraph 741 et seq.; response to RFI-64, question 1.

City	Airport	Distance from city centre
Sao Paulo[303]	Sao Paulo-Congonhas airport (CGH) Sao Paulo-Guarulhos International airport (GRU) Viracopos – Campinas International Airport (VCP)	13km 26km 91km
San Diego[304]	San Diego International airport (SAN) McClellan–Palomar Airport (CLD)	4km 8km
Shanghai[305]	Hongqiao International Airport (SHA) Pudong International Airport (PVG)	19km 44km
Singapore[306]	Seletar Airport (XSP) Changi International Airport (SIN)	19km 21km
Stockholm[307]	Bromma airport (BMA) Arlanda Airport (ARN) Stockholm Skavsta airport (NYO)	8km 43km 106km
Tampa[308]	Tampa International airport (TPA) St. Pete–Clearwater International Airport (PIE).	10km 30km
Tokyo[309]	Tokyo Haneda airport (HND) Narita International airport (NRT)	24km 74km
Toronto[310]	Billy Bishop Toronto City Airport (YTZ) Lester B. Pearson International Airport (YYZ) Hamilton Airport (YHM)	3km 29km 91km
Trieste[311]	Trieste Airport (TRS) Ljubljana Airport (LJU	30km 83km
Venice[312]	Venice Marco Polo airport (VCE) Venice Treviso airport (TSF)	13km 41km
Washington[313]	Reagan Washington Airport (DCA) Washington Dulles Airport (IAD) Baltimore/Washington International Thurgood Marshall Airport (BWI)	5km 45km 51km

Source: see footnotes 275 - 314.

6.5.3.14. Cities served by a single airport

(250) The cities noted in the table below are served by a single airport and the Parties did not claim substitutability between each of these airport and other airports.[314]

Table 14: Cities served by a single airport

City	Airport
Amman	Queen Alia International airport (AMM)
Abu Dhabi	Abu Dhabi Zayed International airport (AUH)
Addis Ababa	Addis Ababa Bole International airport (ADD)
Athens	Eleftherios Venizelos airport (ATH)
Bari[315]	Karol Wojtyła Airport (BRI)

303 Form CO, paragraph 701 et seq.; response to RFI-64, question 1.
304 Response to RFI-64, question 1.
305 Response to RFI-64, question 1.
306 Response to RFI-64, question 1.
307 Response to RFI-64, question 1.
308 Response to RFI-64, question 1.
309 Form CO, paragraph 715 et seq.; response to RFI-64, question 1.
310 Form CO, paragraph 750 et seq; response to RFI-64, question 1.
311 Response to RFI-64, question 1.
312 Response to RFI-35, question 21; response to RFI-64, question 1.
313 Form Co, paragraph 695 et seq.; response to RFI-64, question 1.
314 Response to RFI 35, question 21; response to RFI-64, question 1. See also SO, footnotes 1068, 1070, 1072, 1077, 1092, 1105.
315 Initially the Parties did not argue any substitutability to BRI (response to RFI 35, question 21. See also SO, footnotes 1072, 1077, 1105). Only in very late stage of the process the Parties argued that BRI is

City	Airport
Beirut	Beirut Rafic Hariri International airport (BEY)
Brindisi[316]	Papola Casale Airport (BDS)
Boston	Edward J. Logan International airport (BOS)
Cagliari	Cagliari International Airport Elmas (CAG)
Casablanca	Casablanca Mohammed V airport (CMN)
Charlotte	Charlotte Douglas International airport (CLT)
Chongqing	Jiangbei International airport (CKG)
Delhi	Indira Gandhi International airport (DEL)
Detroit	Detroit Metropolitan Wayne County airport (DTW)
Geneva	Geneva International airport (GVA)
Genoa	Genoa Cristoforo Colombo Airport (GOA)
Doha	Doha Hamad International airport (DOH)
Hangzhou	Xiaoshan International airport (HGH)
Lamezia Terme	Lamezia Terme International Airport (SUF)
Madrid	Madrid Barajas Airport (MAD)
Philadelphia	Philadelphia International Airport (PHL)
Prague	Vaclav Havel International Airport (PRG)
Pristina	Pristina International Airport (PRN)
Riyadh	King Khalid International Airport (RUH)
Shenzhen	Shenzhen Bao'an International Airport (SZX)
Tel Aviv	Ben Gurion Airport (TLV)
Valencia	Valencia Airport (VLC)
Verona	Verona Villafranca Airport (VRN)
Wenzhou	Wenzhou Longwan International airport (WNZ)

Source: see footnote 315.

6.6. Distinction between direct and indirect flights

(251) On a given O&D pair, passengers can travel by way of a direct (or non-stop) flight between the point of origin and the point of destination or by way of an "indirect" (or one-stop) flight on the same O&D pair via an intermediate destination.[317]

6.6.1. The Commission's decisional practice

(252) In previous decisions, the Commission has considered that the substitutability between direct and indirect flights on a route-by-route basis depends on various factors, including notably the flight duration, but also price considerations or the

substitutable with BDS (response to RFI 64, question 1). The Parties did not substantiate their late claim which is also not likely considering that the two airports are about 128km apart and are each more than 100km from the other city's centre.

316 Initially the Parties did not argue any substitutability to BDS (response to RFI 35, question 21. See also SO, footnotes 1068, 1070). Only in very late stage of the process the Parties argued that BDS is substitutable with BRI (response to RFI 64, question 1). The Parties did not substantiate their late claim which is also not likely considering that the two airports are about 128km apart and are each more than 100km from the other city's centre.

317 "Non-stop" flights are flights that take off at airport A and land at airport B and are constantly in the air between A and B. "Direct" flights may entail a refuelling stop and/or a disembarking/re-embarking stop but are marketed under a single flight code and are flown with a single aircraft. "One-stop" flights include direct flights that do not qualify as "non-stop", as well as indirect flights which are journeys that require a change of aircraft or a change of flight code. Although "non-stop" and "one-stop" are not exactly synonymous with the terms "direct" or "indirect", references to "direct" and "indirect" flights in this decision should be understood as also referring to "non-stop" and "one-stop" flights.

inconvenience associated with the indirect flight (e.g., obligation to transfer, higher vulnerability to disruption).[318]

(253) In particular, for short-haul flights, the Commission has considered that indirect flights do not generally provide a competitive constraint to direct flights absent exceptional circumstances, for example, the direct connection does not allow for a one-day return trip or the share of indirect flights in the overall market is significant (at least 10% of passengers).[319]

(254) For long-haul flights, the Commission has considered that indirect flights could constitute a competitive alternative to direct services under certain conditions, in particular, if they are marketed as connecting flights on the O&D pair in the computer reservation systems, they are operated on a daily basis and cause only a limited extension of the trip (maximum 150 minutes connecting time).[320]

6.6.2. Lufthansa and MEF's view

(255) Lufthansa and MEF do not contest the Commission's past decisional approach.[321]

6.6.3. The Commission's assessment

6.6.3.1. Short-haul flights

(256) With respect to short-haul flights, a two third majority of customers who expressed an opinion in the market investigation were of the view that direct and indirect flights between routes in Italy on the one hand and routes in Germany, Austria, Belgium and/or Switzerland, which are the countries with the routes affected by the Transaction, are not substitutable. Nevertheless, a significant share of about a third of the customers who expressed an opinion were of the view that direct and indirect short-haul flights are substitutable.[322] A larger share of customers, about 40%, considered that convenient indirect flights are substitutable to direct flights when there is only one direct flight option.[323] The large majority of short-haul carriers did not think that customers consider direct and indirect flights on short-haul routes to be substitutable[324] and would not monitor competitors' indirect flights on the routes where they themselves offer direct flights.[325] However, half of the carriers considered that when there is only one direct flight option, customers may consider the direct option substitutable with convenient indirect flights.[326]

(257) In view of the large share of customers that may consider indirect short-haul flights, specifically when there is only one direct flight option, and the fact that half of the carriers shared the same view, the Commission considers, in accordance to its prior practice, that direct and indirect flights between the same short-haul route O&D

---

318 See e.g. Cases M.9287 – Connect Airways/Flybe, paragraph 57; M.8361 – Qatar Airways/Alisarda/Meridiana, paragraphs 24-25; M.7541 – IAG/Aer Lingus, paragraph 30; M.7333 – Alitalia/Etihad, paragraphs 75-76; M.6663 – Ryanair/Aer Lingus III, paragraph 373.

319 See e.g. Cases M.9287 – Connect Airways/Flybe, paragraph 57, M. 8361 – Qatar Airways/Alisarda/Meridiana, paragraph 25; M. 7541 – IAG/Aer Lingus, paragraph 32; M.7333 – Alitalia/Etihad, paragraph 77; M.6663 – Ryanair/Aer Lingus III, paragraph 375.

320 See e.g. Cases M.6447 – *IAG/bmi*, paragraphs 69 and 71; M.5747 – *Iberia/ British Airways*, paragraph 17; M.5141 – *KLM/Martinair*, paragraphs 142-144.

321 Form CO, paragraphs 410 et seq.

322 Responses to question C.C.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

323 Responses to question C.C.2 of questionnaire 06 to customers of both short-haul and long-haul flights.

324 Responses to question C.3 of questionnaire 03 to short-haul competitors. See also non-confidential minutes of a conference call with Air France-KLM, dated 16 October 2023, paragraph 23, ID 10199.

325 Responses to question C.4 of questionnaire 03 to short-haul competitors.

326 Responses to question C.5 of questionnaire 03 to short-haul competitors.

make part of the same market when indirect flights represent at least 10% of passengers on the route (see paragraph (252) above).

6.6.3.2. Long-haul flights

(258) With respect to long-haul flights, the large majority of customers responding to the market investigation considered that direct and indirect long-haul flights are substitutable.[327] Long-haul carriers responded in the same vein. All long-haul carriers who operate on the relevant routes and expressed an opinion were of the view that indirect flights compete with direct flights.[328] The large majority of long-haul carriers – even those who do not operate on relevant routes – opined that where there is only one company offering a direct flight on a specific O&D route, passengers may consider indirect flights as alternatives to that direct connection.[329] The large majority of long-haul carriers who operate on the relevant routes said they monitor the activity of carriers offering indirect flights on the same routes.[330]

(259) The Commission therefore concludes that for purposes of this Decision, direct and indirect flights between the same O&D on long-haul routes should be considered to fall in the same market.

(260) However, as outlined in detail in section 10.1.4, while the available evidence suggests that indirect and direct connections on long-haul routes belong to the same product market, there is significant evidence that suggests that passengers prefer direct connections over indirect connections. This suggests that, for long-haul routes, airlines offering direct connections compete more closely with one another than with airlines offering only indirect connections (as also explained in more detail in section 10.1.4)

6.7. Distinction between charter flights and scheduled flights

(261) Charter flights, as opposed to scheduled flights, are usually defined as air transport services that take place outside normal schedules, normally through a hiring arrangement with a particular customer (in particular a tour operator). Charter companies usually operate on a seasonal basis with a relatively low frequency of flights, in response to the requirements of tour operators (for example, once a week on Saturday, only during the summer season).[331]

6.7.1. The Commission's decisional practice

(262) The Commission has in previous cases considered that most of the services offered by charter companies (package holiday sales, seat sales to tour operators) are not in the same market as scheduled point-to-point air passenger transport services.[332]

---

327 Responses to question C.C.3 and C.C.4 of questionnaire 06 to customers of both short-haul and long-haul flights. See also non-confidential minutes of a conference call with American Airlines, dated 6 November 2023, paragraph 4, ID 5632; non-confidential minutes of a conference call with Air Transat, dated 21 November 2023, paragraph 24, ID 7141; non-confidential minutes of a conference call with Delta, dated 19 October 2023, paragraph 19, ID 1165; non-confidential minutes of a conference call with IAG, dated 6 November 2023, paragraph 23, ID 2353; non-confidential minutes of a conference call with TAP, dated 10 November 2023, paragraphs 18-19, ID 8827.

328 Responses to question C.D.1 of questionnaire 04 to long-haul competitors.

329 Responses to question C.D.11 of questionnaire 04 to long-haul competitors.

330 Responses to question C.D.8 of questionnaire 04 to long-haul competitors.

331 See Case M.6663 – Ryanair/Aer Lingus III, paragraph 388.

332 See e.g. Case M.6828 – Delta Air Lines/Virgin Group/Virgin Atlantic Limited, paragraph 68; M.6663 – Ryanair/Aer Lingus III, paragraph 418; M.4439 – Ryanair/Aer Lingus, paragraph 311.

(263) However, the Commission has left open whether dry seats (seats only without other services) sold by charter carriers and scheduled point-to-point air passenger transport services are part of the same relevant product market.[333] Furthermore, the Commission has held that the distinction between scheduled and charter airlines has become blurred, as even full-leisure airlines operate scheduled services.[334]

6.7.2. Lufthansa and MEF's view

(264) Lufthansa and MEF are of the view that the distinction between charter and scheduled flights is not relevant anymore and that all seats sold to individual end-customer on flights on the same O&D are part of the same market irrespective whether on scheduled or chartered flights.[335] First, the vast majority of seats purchased by tour operators are on scheduled flights.[336] Second, passengers can book seats on scheduled and charter flights through the same distribution channels.[337]

6.7.3. The Commission's assessment

(265) The majority of customers who expressed an opinion responded that the distinction between scheduled and chartered flights was not appropriate for the relevant routes.[338] The majority of customers who provided an answer explained that either they do not use charter flights or that there are none on the relevant routes.[339] The majority of carriers who expressed an opinion also considered that the distinction is not appropriate for the relevant routes.[340]

(266) According to the information provided by Lufthansa and MEF, charter flight represents negligible activity (<1.2%) on all routes concerned by the Transaction with the exception of Rome – Hamburg.[341] On Rome – Hamburg, which is the only route on which the Parties overlap in operating charter flights, charter flights represented a significant share of 15 to 30% of overall capacity in terms of seats in each of IATA seasons Summer 22, Winter 22 and Summer 23.[342] The Parties' direct customers are tour and cruise operators that sell the seats to their end-customers, The Parties do not offer dry seats on these charter flights directly to passengers.[343]

(267) Consequently, given the significant share of charter flights of the overall capacity in terms of seats on the Rome-Hamburg route, the activities of the Parties in charter flights on this route will be considered separately from the activities in scheduled flights (see further section 9.3.1 below). Otherwise, due to their negligible scope, it is unnecessary for the purpose of this decision, to distinguish separate markets for charter flights and scheduled flights as it will not affect the assessment of the Transaction.[344]

---

333 See Case M.6663 – Ryanair/Aer Lingus III, paragraph 418 et seq.
334 See Case M.5141 – KLM/Martinair, paragraph 114.
335 Form CO, paragraph 387, 388 and 404.
336 Form CO, paragraph 388, 405.
337 Form CO, paragraphs 389, 404.
338 Responses to question C.D.1 of questionnaire 06 to customers of both short-haul and long-haul flights.
339 Responses to question C.D.1.2 of questionnaire 06 to customers of both short-haul and long-haul flights.
340 Responses to question C.6 of questionnaire 03 to short-haul competitors. See also questionnaire 1 to NEOS, non-confidential response of 31 October 2023 to question 2; Questionnaire to TUI, non-confidential response of 19 October 2023 to question 3.
341 Response to RFI-28, question 6 and annex Q6.
342 Response to RFI-28, question 6 and annex Q6.
343 Response to RFI-29, question 1.c. […].
344 See Case M.5141 – KLM/Martinair, paragraph 115.

6.8. Distinction between air and train passenger transport services

6.8.1. The Commission's decisional practice

(268) When defining the relevant O&D markets for air transport services, the Commission has previously also considered other transport alternatives to the extent that they are substitutable to a flight (intermodal competition). This has been considered in cases where alternative modes of transport on the respective O&D route can be considered comparable and can therefore be considered as valuable alternatives by customers.[345]

(269) To assess the issue of substitutability between air and other transport modes on a given route, the Commission has taken into account, among others, the following elements: (i) total travel time from city centre to city centre for air transport and for the possible alternative mode(s) of transport; (ii) schedules; (iii) proportion of passengers travelling by the different modes of transport; (iv) prices or pricing strategies of airlines and providers of other transport services; and (v) overall quality, reliability and convenience of service offered on aircraft and on the alternative mode(s) of transport.

(270) In previous decisions the Commission considered competition between rail and air transport in circumstances in which the duration of the rail travel was up to 4.5 hours. For connections close to and above 4 hours the Commission generally considered that rail travel is not substitutable to air travel for TS passengers.[346]

6.8.2. Lufthansa and MEF's view

(271) Lufthansa and MEF consider that train services could be considered part of the same market as flight services on certain short-haul overlapping routes but submit that the question of market definition can be left open and the pressure exerted by train services factored in as part of the competitive assessment.[347]

(272) The Parties clarified however that *"train services are not substitutable for air travel services on European short haul routes in general, but that on some routes train services may be a viable substitute for certain types of customers (e.g. for customers that are cost-conscious or aware of their impact on the environment and are striving to reduce their carbon footprint by choosing train over air services)."*[348]

(273) Specifically, Lufthansa and MEF consider the substitutability of train transport services with air transport services as relevant for the routes Milan-Frankfurt, Milan-Stuttgart, Rome-Munich and Rome-Zurich.[349] On those routes, both Lufthansa and ITA offer air passenger transport services. According to Lufthansa and MEF, the routes are also served by attractive direct or indirect train services (some of which are night train options) by various train operators or combinations of those, i.e., the Italian train operator Trenitalia, the Austrian Federal Railways ("ÖBB"), the Swiss Federal Railways ("SBB") and/or the German train operator Deutsche Bahn ("DB").

---

345 See e.g. Cases M. 9287 – Connect Airways/Flybe, paragraph 107; M.6796 – Aegean/Olympic II, paragraph 52; M.6447 – IAG/bmi, paragraph 75.

346 Cases M.3280 – Air France/KLM, paragraph 70; M.3770 – Lufthansa/SWISS, paragraphs 55 and 63; M.5403 – Lufthansa/BMI, paragraph 63; M.5440 – Lufthansa/Austrian Airlines, paragraphs 138, 144, 189; M.5830 – Olympic/Aegean Airlines, paragraphs 1367 and 1390; M.6447 – IAG/BMI, paragraphs 191, 214, 238, 249; M.9287 – Connect Airways/Flybe, paragraphs 108 and 113.

347 Form CO, paragraph 343.

348 Response to RFI-29, paragraph 113.

349 Form CO, paragraph 2331. In addition, in Form CO paragraph 1540, the Parties argue that a night train between Milan and Vienna is *"a viable alternative for travellers who are sensitive about their ecological travel footprint."*

6.8.3. The Commission's assessment

(274) Rail operators who responded to the market investigation opined that for train travel of above six hours passengers will generally prefer air transport services despite the availability of train services on the same route,[350] suggesting that this is the travel time above which rail travel is not substitutable to air travel. Carriers who expressed an opinion explained that they will not operate flights between O&Ds that are connected by a three to four hours train link. Air France-KLM for example confirmed that it does not consider trains of above 4 hours to be close substitutes to intra-EEA short-haul flights.[351] On a similar note, "*SAS consider[s] trains to exercise an indirect competitive pressure for journeys that take up to three hours (domestic travel)"*,[352] and easyJet confirms that "*(…) generally where the train is less than 3 hours the train will capture the majority of passengers*".[353] Wizz Air *"does not intend to operate flights between Zurich and Milan, due to the geographic proximity between the two cities, and their train-connection that is <4 hours."*[354]

(275) This approach is confirmed by the internal documents of the Parties. An internal document of Lufthansa states that *[…]*.[355] A more recent internal document of Lufthansa states that *[…]*.[356] An internal document of Lufthansa […].

Figure 11

[…]

Source: Response of Lufthansa and MEF on a Commission's request for information […].

(276) The Parties explained that ITA *[…]*.[357] An internal document of ITA shows […].

Figure 12

[ITA internal document]

Source: ITA internal document […]

(277) The results of the market investigation show that substitutability between rail and air travel is stronger when rail travel time is up to three or four hours (which is in line with the Commission's practice noted in section 6.8.1 above) and its upper limit is six hours.

(278) The table below provides the flight and train travel times between the city pairs with respect to which Lufthansa and MEF argue that passenger air and rail transport compete.[358]

---

350 Responses to question 7 of the questionnaire to train operators.

351 Response to RFI II-1 to Air France-KLM, question 31.b), ID 11426. See also Response of Air France-KLM to question E.B.4.2. of questionnaire 03 to short-haul competitors, ID 12093.

352 Response of SAS to question E.B.4.2. of questionnaire 03 to short-haul competitors, ID 12313.

353 Response of easyJet to question E.B.4.2. of questionnaire 03 to short-haul competitors, ID 12368. See also non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 14, ID 1054.

354 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 16, ID 861.

355 Lufthansa internal document, *[…]*.

356 Lufthansa internal document, *[…]*.

357 Form CO, paragraph 2352.

358 See footnote 350 above.

Table 15: Train travel times

Route	Operator	Train duration (fastest option)
Milan-Frankfurt	Cooperation Trenitalia/DB/SBB	7-8h[359]
Milan-Stuttgart	Cooperation Trenitalia/DB	7h31m[360]
Rome-Munich	Cooperation ÖBB/DB	13h (night train)[361]
Rome-Zurich	ÖBB	7h1m[362]

Source: Commission's compilation based on the sources indicated in the footnotes.

(279) As can be seen in Table 15 above, rail travel times between the city pairs are longer than the six hours limit, and therefore do not compete directly with flights.

(280) The majority of rail operators expressing an opinion considered that train travel overall exerts negligible competitive pressure on air travel on Milan-Frankfurt and Rome-Munich and some competitive pressure on Milan-Stuttgart and Rome-Zurich.[363] The large majority of customers who expressed an opinion did not consider that trains exert competitive pressure on flights in any of these routes.[364] That was also the view of the majority of carriers who expressed an opinion.[365]

(281) The Commission also notes that it is the Parties' view that in principle train services and air travel services are not substitutable.[366] In addition, it is not clear from the Parties' argument how travellers who choose train travel over air travel due to environmental considerations rather than price and quality of service may see train and air travel as substitutable in terms that would affect competition between these modes of transport.

(282) Consequently, the Commission considers that for the purpose of this decision, rail passenger services between city-pairs that are longer than 6 hours (such as the services noted in Table 15 above) should not be considered in the same market as air passenger services between the same city-pairs although they may be taken in consideration to the extent that they exert out of market constraints on air passenger services. By contrast, rail services between city-pairs that are up to 3-4 hours long

359 Responses of DB, SBB and Ternitalia to the RFI to train operators, question 2, IDs 883, 852 and 900; Form CO, paragraph 1334.

360 Form CO, paragraph 1329. However, such a connection was not identified by Trenitalia and DB in their responses to the RFIs to train operators, question 2, ID883 and 900. SBB on the other hand reported in response to the RFI to train operators, question 2, ID852, that it operates a service between Stuttgart and Milan (change in Zurich) with a duration of 6h22min. The Commission was not able however to find such a connection searching the websites of SBB, DB, Trenitalia or meta websites (Rail Europe, Trainline). The fastest rail connection found was one-daily 7h31min connection (as noted by the Parties) with two changes (Karlsruhe and Basel).

361 Responses of DB and ÖBB to the RFI to train operators, question 2, IDs 883 and 864.

362 Response of ÖBB to the questionnaire to train operators, question 2, ID 864.

363 With respect to Rome-Vienna Responses to question 10 of the questionnaire to train operators, IDs 852, 864, 883 and 12566.

364 Responses to questions DB.1, D.B.3 and D.B.6 of questionnaire 06 to customers of both short-haul and long-haul flights.

365 Responses to questions E.B.3 and E.B.6 of questionnaire 03 to short-haul competitors and questions questionnaire 06 to customers of both short-haul and long-haul flights.

366 See paragraph (271) above.

may be considered as exerting direct competitive constraint on air passenger services between the same city-pairs.

6.9. Market for the provision of access to flights of another carrier for connecting passengers in the context of interlining arrangements

6.9.1. Introduction

(283) Passengers travelling on indirect flights, in particular long-haul flights, connect from one flight to another flight at a certain airport ("connecting" passengers). These passengers do not necessarily travel each "leg" of their journey with the same airline. Traffic made up by passengers connecting at either one or both ends of the route, in particular for long-haul flights, is referred to as "feeder traffic".[367]

(284) There are a variety of agreements ("interlining agreements") whereby single tickets may be sold for indirect journeys including two legs operated by the two airlines which concluded the agreement.[368] In the framework of such interlining agreements, the carrier granting access to its flights to passengers connecting onto another carrier's flight and travelling with a single ticket issued by this second carrier provides an "input" to the latter and is remunerated for it. This "input" is used to supply the downstream service, i.e. a ticket for an indirect journey on a given city-pair. Two carriers that interline are thus engaged in a vertical relationship when one of them sells tickets for indirect journeys including one leg operated by the other carrier.

(285) In addition, there are cases where both carriers can sell tickets for indirect journeys including one leg operated by the other party to the agreement. In such a situation, the vertical relationship is symmetrical: both carriers are active upstream and downstream in respect of one another. There are also cases where the ticket for the indirect journey is sold by a third party (e.g. a travel agent). In such situations, which also result from the existence of an agreement between the two carriers, these are active on closely related markets: they both provide inputs corresponding to each leg of the indirect journey, which are used to offer the downstream service (the indirect journey).

(286) Accordingly, depending on which company sells a ticket for such indirect journeys (one of the two carriers or a third party such as a travel agent), the two carriers may be regarded as engaged in a vertical relationship or active on neighbouring markets.

6.9.2. The Commission's decisional practice

(287) In prior decisions where one of the merging carriers provided competitors with feeder traffic, the Commission considered that the exact nature of the relationship between the merging carrier and the competing carrier engaged in interlining arrangements is of no relevance. The competitive assessment is the same no matter whether the two carriers are engaged in a vertical relationship or are active in closely related markets, providing the "inputs" necessary to a sale of tickets for indirect journeys by a third party.[369]

---

367 See e.g. Case M.7541 – IAG/Aer Lingus, paragraph 106.

368 The main different types of "feeder traffic" provided to an airline by third-parties are the following: (i) IATA standard terms; (ii) Special Prorate Agreements (SPAs); (iii) codeshare agreements; and (iv) alliance memberships.

369 See e.g. Cases M.9287 – Connect Airways/Flybe, paragraph 168-173; M.7541 – IAG/Aer Lingus, paragraph 105-118; M.6447 – IAG/bmi, paragraph 78-86.

(288) In those prior decisions, the Commission concluded that the relevant upstream market is the provision of access to flights for connecting passengers, which is to be defined on an O&D basis but could also be based on the group of feeder routes to which access is provided.[370]

(289) In prior decisions the Commission also considered that connecting airports are generally not substitutable by other airports in the same area when assessing feed traffic routes, due to the inability of secondary airports to accommodate hub-and-spoke operations (by contrast to point-to-point operations) and to the limited number of inter-airport connections.[371]

6.9.3. Lufthansa and MEF's view

(290) Lufthansa and MEF are of the view that there is no separate feeder market that could be under the control of a carrier on the supply side. They explain that they are not active in the supply of access to flights to connecting passengers. They design their networks to cater for local demand or to ensure connectivity with their own long-haul operations. This resulting network may or may not provide connecting opportunities for third party carriers, but this is an opportunistic side-effect that is not taken into consideration to make the decision on opening a route. Airlines have a multitude of options available to them with regard to partnership and feeder traffic (interlining, codeshare, joint ventures). In all variations, there is a mutual and specific benefit for both parties.[372]

6.9.4. The Commission's assessment

(291) Respondents to the market investigation pointed to the relevance of feeder traffic when examining the impact of the Transaction. According to Air France-KLM *"having short & medium haul connections on one side, and a connecting partner of the other side are therefore important elements that will contribute to opening a route."*[373] All Nippon Airways (ANA) explained that *"the role of feeder traffic from/to Rome would be important for ANA when considering entering this market."*[374] LOT Polish Airlines said that "*LOT is a traditional network carrier with a hub and spoke business model, thus the feeder traffic is of key importance*".[375] According to Aerolíneas Argentina, "*feeder traffic at FCO is key for profitability and it depends almost exclusively on ITA network*".[376] Therefore, contrary to the Parties' arguments, airline carriers consider that access to feeder traffic constitutes an important part of their network planning and there appears to be strong market demand for feeder traffic and limited substitution options with alternative services.

---

370 In the same way as the Commission has concluded in its prior decisions that the relevant downstream market is the market for the provision of air transport services, which is to be defined on an O&D basis (see Cases M.9287 – Connect Airways/Flybe, paragraph 182; M.7541 – IAG/Aer Lingus, paragraph 113; M.6447 – IAG/bmi, paragraph 511). In Case M.9287 – Connect Airways/Flybe, the Commission concluded that the upstream market for the provision of access to feeder traffic "*has to be defined as comprising <u>all</u> routes to the connecting airport where the flights carrying the feeder traffic are operated.*"

371 See e.g. M.7541 – IAG/Aer Lingus, paragraph 115 for London Heathrow or London Gatwick; M.5364 – Iberia/Vueling/Clickair, paragraph 53.

372 Form CO, paragraphs 976-979; response to the Article 6(1)(c) decision, paragraph 67.

373 Response of Air France-KLM to question D.B.14 of questionnaire 04 to long-haul competitors, ID 12029.

374 Response of All Nippon Airlines to question D.B.14 of questionnaire 04 to long-haul competitors, ID 12334.

375 Response of LOT to question D.B.14 of questionnaire 04 to long-haul competitors.

376 Response of Aerolineas Argentina to question D.B.14 of questionnaire 04 to long-haul competitors.

(292) Responses of carriers having expressed an opinion were evenly divided on the question whether they agree with the Commission's decisional practice to define a separate market for feeder traffic.[377] Among the carriers who did not agree with the Commission's decisional practice, easyJet explained that *"in Europe we observe that there are very few airlines that operate primarily to provide feeder services."* The Commission notes however that it is not necessary for carriers to "primarily" provide feeder services (or any service for that matter) for that service to be defined as a separate market.

(293) IAG and American Airlines responded in similar vein to the Parties that feeder traffic cannot be understood as an input or a service that is provided by carriers to other carriers which advise the commercial behaviour of carriers and on which they compete. This argument, that in principle there is no separate market for feeder traffic, cannot be accepted. As explained in section 6.9.1 above, it is not disputed that feeder traffic is an input of economic value for the provision of indirect O&D journeys and that access to feeder traffic is traded between carriers against consideration. The arrangements that enable feeder traffic are made between carriers and in a completely different manner than the sale of tickets to passengers. Feeder traffic therefore has the characteristics of a distinct market, separate from the sale of tickets to passengers.

(294) For the purposes of this merger control decision the Commission will examine feeder traffic on an O&D basis. The majority of respondents having expressed an opinion agreed with the Commission's decisional practice that connecting airports are generally not substitutable by other airports in the same area when assessing feed traffic routes, due to the inability of secondary airports to accommodate hub-and-spoke operations (by contrast to point-to-point operations) and to the limited number of inter-airport connections.[378]

6.10. Airport-by-airport approach

(295) Under the airport-by-airport approach, every airport (or substitutable airports) is defined as a distinct market. Such a market definition has notably been adopted by the Commission to assess the risks of foreclosure entailed by the concentration of slots at certain airports in the hands of a single undertaking. The effects of a transaction on competition are thus assessed for all O&Ds to or from an airport (or substitutable airports) and all other distinctions when relevant (e.g. TS vs. non-TS passengers, direct vs. indirect flights, charter flights vs. scheduled flights, wholesale vs. retail supply of airline seats) taken together.[379]

---

377 Responses to Phase II RFIs to Air France-KLM [ID 11426], question 26; Air Canada [ID 11344], question 20; Air India [ID 11349], question 21; Air Transat [ID 11307], question 16; American Airlines [ID 11533], question 17; ANA [ID 11172], question 16; Delta [ID 11276], question 30; easyJet [ID 11469], question 11; IAG [ID 12009], question 19; Luxair [ID 11174], 11276 9; Norse [ID 11704], question 31; Ryanair [ID 11267], question 1; United Airlines [ID 11221], question 20; Wizz Air [ID 11311], question 2

378 Responses to Phase II RFIs to Air France-KLM [ID 11426] question 27; Air Canada [ID 11344], question 21; Air India [ID 11349], question 22; Air Transat [ID 11307], question 17; American Airlines [ID 11533], question 18; ANA [ID 11172], question 17; Delta [ID 11276], question 31; easyJet [ID 11469], question 12; IAG [ID 12009], question 19; Luxair [ID 11174], question 10; Norse [ID 11704], question 32; Ryanair [ID 111267], question 2; United Airlines [ID 11221], question 21; Wizz Air [ID 11311], question 3.

379 Cases M.9287 – Connect Airways / Flybe, paragraph 120; M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraphs 26 and 128; M.8869 – Ryanair/Laudamotion, paragraphs 63 and 222.

(296) Under the airport-by-airport approach the Transaction gives rise to competition concerns only with respect to Milan-Linate (LIN) airport.

6.10.1. Airport infrastructure services

6.10.1.1. The Commission's decisional practice

(297) The Commission has, in its prior decision practice, delineated a product market for the provision of airport infrastructure services to airlines, which includes the development, maintenance, use and provision of the runway facilities, taxiways and other airport infrastructure.[380] In prior decisions relating to the transfer of slots at airports, the Commission has not considered it appropriate to further distinguish within the market for airport infrastructure services, considering that slot portfolios give access to all infrastructure services necessary to operate at the airport.[381]

(298) The Commission has, in its prior decision practice, defined the geographic scope of the market for airport infrastructure services as the catchment area of individual airports. The Commission has also considered additional criteria relevant for assessing airport substitutability from the point of view of airlines in relation to the market for airport infrastructure services, while acknowledging that the airlines' choice of airports takes into account passengers' demand. In addition, the Commission has notably analysed the costs of operating from a particular airport, capacity constraints for slots and facilities, passenger volumes or the positioning of the airport (e.g. a niche airport serving high yield time-sensitive passengers or an airport serving mainly leisure, less time-sensitive passengers).[382]

(299) The Commission has taken account of all the above-mentioned criteria when assessing the geographic scope of the airport infrastructure services markets relevant for the assessment of the effects of transfer of slots.[383]

6.10.1.2. Lufthansa and MEF's view

(300) With respect to airport infrastructure services the Parties raised substitutability claims only with respect to the Milan airports.

(301) Lufthansa and MEF argue that Linate (LIN), Malpensa (MXP) and Bergamo (BGY) airports should be considered as belonging to same catchment area, and that, consequently, that these airports should be considered part of the same market for the purpose of the market for airport infrastructure services.[384]

(302) In their response to the Article 6(1)(c) Decision, Lufthansa and MEF pointed out that the substitutability of LIN with MXP and BGY is demonstrated by the fact that many of the destinations served from LIN are also served from MXP and BGY.[385] They

---

380 Cases M.7270 – Český Aeroholding/Travel Service/České aerolinie, paragraph 50; M.7008 – Aena International/Axa PE/LLAGL, paragraph 12.

381 Cases M.9287 – Connect Airways / Flybe, paragraph 147; M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraphs 137-138; M.8869 – Ryanair/Laudamotion, paragraph 233; See also Cases M.8672 – easyJet/Certain Air Berlin assets, paragraph 72; M.8633 – Lufthansa/Certain Air Berlin assets, paragraph 116.

382 Cases M.9287 – Connect Airways / Flybe, paragraph 150; M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 140-141; M.8869 – Ryanair/Laudamotion, paragraph 234-235; M.5652 – GIP/Gatwick Airport, paragraph 14; M.4164 – Ferrovial/Quebec/GIC/BAA, paragraphs 15-17; M.3823 – MAG/Ferrovial Aeropuertos/Exeter Airport, paragraphs 16-19.

383 Cases M.8869 – Ryanair/Laudamotion, paragraph 236 et seq; M.8672 – easyJet/Certain Air Berlin assets, paragraph 73 et seq.; M.8633 – Lufthansa/Certain Air Berlin assets, paragraph 117 et seq.

384 Form CO, paragraph 1633-1634.

385 Response to the Article 6(1)(c) decision, paragraph 309 and 310.

also point out that in 2021 Ryanair obtained slots in LIN to operate a service to Brussels but ultimately did not operate it, continuing to serve Brussels from MXP and BGY. According to Lufthansa and MEF this shows the substitutability of LIN with MXP and BGY from the point of view of carriers.[386]

6.10.1.3. The Commission's assessment

(303) The Commission will examine below the substitutability between the Milan airports. With respect to the other airports concerned, the Commission will examine the effects of the Transaction for each airport individually. This is because the Parties did not claim substitutability between other airports. In addition, with respect to the other airports concerned, the Parties' position is strongest when examined for each airport individually (that is, without considering possible substitutability with other airports). As explained further in section 11 below, under the airport-by-airport approach, the Transaction gives rise to concerns only in LIN.

(304) Both Lufthansa and ITA hold slots in LIN. Lufthansa is also active in MXP while ITA had limited activities there and none after 2023. Lufthansa has very limited activities in BGY and ITA does not hold any slots there.[387] The Transaction only raises competition concerns when LIN is considered as a distinct market for airport infrastructure services.

6.10.1.3.1. Considerations pertaining to passengers' preferences

(305) The question of the substitutability of LIN with MXP and BGY from the perspective of the passengers is assessed in section 6.5.3.6 above. As explained there, LIN serves mainly passengers who are willing to pay a premium to use an in-city airport and for that passenger segment "*MXP and LIN are not substitutable airports, so that the availability of slots at MXP does not have any impact on the slot situation at LIN.*"[388] The Commission considers that at the very least, carriers operating from MXP or BGY are not able to effectively compete on this passenger segment.[389] Moreover, contrary to the argument of the Parties, the fact that carriers fly from BGY and MXP to many of the same destinations as from LIN does not demonstrate that all three airport are substitutable from the point of view of all passengers (or carriers) since those airports do not necessarily serve the same types of passengers, LIN being the airport with greater ability to serve "premium" passengers, and as explained further below, they serve different types of carriers.

(306) In the Response to the SO, the Parties argued that *"the fact that LIN would offer the possibility of serving* ["premium passengers"] *does not justify the assumption of a lack of substitutability with other airports"*.[390]

(307) The Parties base this claim on their arguments in another section of the Response to SO[391] where they rebut in general terms the Commission's finding that carriers operating from the same airport (for example, a city primary airport) are closer competitors than carriers operating from a different airport (for example, a more

386 Response to the Article 6(1)(c) decision, paragraph 309 and 311.

387 Form CO, paragraph 1647 and response to RFI-24, question 2 and annex Q2.

388 Response to RFI to Luxair, question 2.a.ii., page 4.

389 Response to RFI to Luxair, question 4.b., page 7. See also response to RFI II-1 to Air France-KLM, question 38 (ID 11426); Response to the RFI to […], questions 2a/2b and 4a/4b, ID 11199. Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraphs 12-13, ID 11599.

390 Response to the SO, paragraph 626.

391 Response to the SO, section A.III.a).v.

distant secondary airport).[392] The Commission notes however that this argument of the Parties was made in the context of closeness of competition in the O&D markets while here the question is rather market definition for airport infrastructure market in LIN. The Parties' argument does not engage with the findings of the Commission that are specific to the market for airport infrastructure in LIN.

(308) Second, the Parties argue that *"market definition cannot rely on a subset of passengers."*[393] The Parties rely on a Commission decision[394] which according to the Parties *"stated that the fact that less-sensitive charter and economy passengers who will consider travelling further away to an airport that can offer lower fares, could determine the geographic scope of the market for airport infrastructure services."*[395] The Commission notes that first, in that decision the reference to the different types of passengers was made in very generic terms, i.e. whether they could be a factor in defining the relevant geographic market and, in any event the question was left open without further examination. Second, in any case, and contrary to the argument of the Parties, neither in that decision nor anywhere else, did the Commission set a principle according to which *"market definition cannot rely on a subset of passengers."* In defining markets, the Commission must take into consideration all relevant elements. As explained above, in analysing the market for airport infrastructure services from the demand side (that is, from the point of view of carriers), the Commission takes into consideration, among several considerations, also the choices of passengers as customers of the carriers. The fact that LIN offers carriers the possibility to serve a premium segment of passengers is a relevant element in the analysis that the Commission must consider.

(309) Third, the Parties note the blurred line between TS or business passenger and NTS or leisure passengers.[396] Indeed, in the product market definition under the O&D approach above, the Commission found, based on the evidence, that on short-haul routes (LIN is used only for short-haul flights) it is not needed to distinguish between these groups of passengers. These finding were relevant to the O&D markets and to their characteristics, for example, that on short haul flights it is not possible to clearly distinguish between TS/business class and NTS/leisure class tickets or seats.

(310) With respect to airport infrastructure services, as noted in section 6.10.1.1 above, the Commission recognised in the past that the positioning of the airport (e.g. a niche airport serving high yield time-sensitive passengers or an airport serving mainly leisure, less time-sensitive passengers) is a relevant consideration in market definition. Specifically with respect to LIN, the evidence clearly shows that because of its proximity to the city, LIN allows carriers to serve "premium passengers" that are willing to pay more in order to fly to or from LIN. This consideration, together with other considerations analysed below lead to the conclusion that carriers do not see the same business potential and opportunities in LIN compared to MXP/BGY and do not consider them as substitutable.

(311) Finally, referring to paragraph 335 of the SO (identical to paragraph (322) of this Decision), the Parties argue that in the SO the Commission still considered that it is not possible to conclude that airport slots at LIN should be defined separately from MXP. The Commission notes that such conclusion cannot be adduced from

392 See section 9.1.2.2 below.
393 Response to the SO, paragraph 629.
394 Case M.1035 – Hochtief / Aer Rianta / Dusseldorf Airport.
395 Case M.1035 – Hochtief / Aer Rianta / Dusseldorf Airport.
396 Response to the SO, paragraph 630.

paragraph 335 of the SO, and that the SO clearly states in paragraphs 344 and 345, that LIN is not in the substitutable with MXP and BGY for airport infrastructure services.

6.10.1.3.2. Other considerations

(312) The levels of congestion also differ between the three airports. LIN, MXP and BGY are Level 3 coordinated airports.[397] However, LIN is significantly more congested than MXP and BGY:

Table 16: average congestion rate in LIN, MXP and BGY

	Summer 2022	**Winter 2023**	**Summer 2023**
LIN	76%	77%	77%
MXP	40%	31%	37%
BGY	43%	40%	49%

Source : Form CO (page 471 et seq.).

(313) In terms of size, 7.7 million passengers passed in LIN in 2022, compared to 21.3 million in MXP and 13.2 million in BGY.[398] LIN and BGY have one terminal and one runway for commercial flights each, while MXP has two terminals and two runways for commercial flights.[399]

(314) The airports have different positionings and marketing strategies vis-à-vis passenger traffic. LIN serves mainly network carriers; in 2023, LIN served 24 airlines, 13 of which were network carriers, representing about 80% of its activity in terms of flights.[400] 45 destinations could be reached from LIN, all of which were on short-haul routes.[401]

(315) BGY serves mainly LCC's; in 2023 BGY served 27 airlines, 14 of which were LCC's, representing more than 90% of its activity in terms of the number of flights.[402] 151 destinations could be reached from BGY, the large majority of which were on short-haul routes and a very small number of long-haul routes.[403]

---

397 Worldwide Airport Slot Guidelines ("WASG"), annex 12.7. According to the WASG. there are three levels of airport congestion. A Level 3 airport *'is one where: a) Demand for airport infrastructure significantly exceeds the airport's capacity during the relevant period; b) Expansion of airport infrastructure to meet demand is not possible in the short term; c) Attempts to resolve the problem through voluntary schedule adjustments have failed or are ineffective; and d) As a result, a process of slot allocation is required whereby it is necessary for all airlines and other aircraft operators to have a slot allocated by a coordinator in order to arrive or depart at the airport during the periods when slot allocation occurs."* In previous decisions the question whether neighbouring airports were in the same level of congestion category was a central consideration in defining the geographic scope of market for airport infrastructure services. See Case M.8869 – Ryanair / Laudamotion, M.8672 – easyJet/Certain Air Berlin assets; M.8633 – Lufthansa/Certain Air Berlin assets, paragraph 117 et seq.

398 Response to RFI-22, question 5.c.

399 Response to RFI-22, questions 5.a. and 5.b. LIN and BGY have each a second short runway not used for commercial flights.

400 Response to RFI-22, question 5.d. and annex Q5d.

401 Response to RFI-22, question 5.e. and annex Q5e.

402 Response to RFI-22, question 5.d. and annex Q5d.

403 Response to RFI-22, question 5.e. and annex Q5e.

(316) MXP served 80 airlines in 2023. Although a small minority of them (13) were LCC's, they represented more than half of its activity in terms of flights.[404] 180 destinations could be reached from MXP, many of them long-haul routes.[405]

(317) Based on the above, the airports present very different characteristics. LIN is much smaller than the two others in terms of numbers of passengers while being significantly more congested. It serves network carriers for a limited number of short-haul routes. BGY focuses on LCC's flying to a large number of destinations, mainly on short-haul routes. MXP is significantly larger than the other two airport and the least congested one, serving a much wider range of carriers and destinations on short and long-haul routes.

(318) With respect to the arguments advanced by the Parties in their response to the Article 6(1)(c) Decision (see paragraph (301) above), the Commission notes that the mere fact that the same destinations are served from different Milan airports does not show by itself that these airports are substitutable from the point of view of carriers. As explained above, LIN offers carriers the possibility of serving premium passengers and as explained further below, the three Milan airports present different characteristics from the point of view of carriers.

(319) With respect to the Parties' argument regarding the LIN slots not operated by Ryanair (see paragraph (301) above), Ryanair explained that *"the nature of these slots (no arrival slots or only on a temporary basis) did not provide the capability for us to launch a long-term successful route out of LIN. If we had used these slots, our presence would have been subscale and uncompetitive. Therefore, we did not use these slots."*[406] Ryanair did not operate the slots it received in LIN not because MXP and BGY offered a good alternative but because the slots were not sufficient to operate effectively in LIN, demonstrating rather the problem of congestion in LIN rather than substitutability with MXP and BGY.

6.10.1.3.3. Results of the market investigation comparing LIN and MXP

(320) Airport managers provided mixed views with respect to the substitutability of LIN and MXP from the perspective of airlines procuring airport infrastructure services. Only a minority of airport managers having expressed an opinion answered yes to the question whether, for the purposes of providing passenger air transport services, airlines consider airport slots for the in LIN and MXP as close substitutes. Half of airport managers having expressed an opinion, including the company managing both LIN and MXP (Società per Azioni Esercizi Aeroportuali S.E.A., "S.E.A"), responded with a qualified yes, that is, that airlines generally consider airport slots at these airports as substitutable but not for all routes and not under all circumstances. The other half responded with a "no".[407] The view of the majority of airport managers having expressed an opinion was that LIN and MXP are "very similar" from the point of view of airlines in terms of costs of operation but "different" or "very different" in terms of capacity constraints for slots and other facilities, passenger volumes, geographic location of the airport, profiles of customers that can be reached, types of routes flown to/from there and ability to attract customers/sell tickets. Specifically, S.E.A. opined that while both airports are "very similar" from the point of view of airlines operating costs and that the types of profiles of

404 Response to RFI-22, question 5.d. and annex Q5d.
405 Response to RFI-22, question 5.e. and annex Q5e.
406 Response to RFI II-1 to Ryanair, question 34.c, ID 11267.
407 Responses to question D.B.1 of questionnaire 01 to airport managers.

customers that can be reached are "similar" between the two airports, they are "different" or "very different" with respect to capacity constraints for slots and other facilities, passenger volumes, types of routes flown to/from there, ability to attract customers/sell tickets, geographic location of the airport.[408] The airport manager of BGY explained that "*Milan Linate is perceived and considered as the real and only Milan's airport. All the European carriers, when possible, look at LIN as their preferred and first option to serve Milan, especially on the shorth-haul routes performed by legacy and low fares carriers. In case of slot availability Linate is the first choice for any airline that intend to start short-haul European routes from Milan. MXP is now the largest base for Low Cost carriers in Milan, is the only option for long haul carriers due to operational constraint in Linate (runway length and stand availabilities) and due to regulation restrictions in LIN (allowed for flight only within EU and UK). MXP is considered as second choice for all* [the] *carriers that* [have] *no access to LIN."*[409]

(321) Airlines expressed similar views. The majority of short-haul airlines having expressed an opinion responded with a "no" or a "qualified no" to the question whether they consider airport slots in LIN and MXP as close substitutes.[410] While the majority of airlines having expressed an opinion were of the view that LIN and MXP are "similar" or "very similar" in terms of cost of operating at the airport, and customers' profiles that can be reached and types of routes flown to/from there, a significant minority (40%) considered them to be "different" on these parameters. Furthermore, the majority considered the two airports "different" or "very different" in terms of capacity constraints for slots and other facilities, passenger volumes, and geographic location.[411] In outlining the differences between the airports, airlines explained that LIN is much more congested and more in demand due to its proximity to the city centre and that, by contrast, MXP is the larger airport that can accommodate long-haul widebody aircraft.[412]

(322) Similarly, Assoclearance, the slot coordinator of Italian airports, opined that LIN and MXP are "very different" from the perspective of airlines in terms of passenger volumes (that is, number of passengers passing through each airport) and capacity constraints for slots and other facilities and "different" in terms of types of routes flown to and from.[413]

(323) In the view of the above considerations in sections 6.10.1.3.1 - 6.10.1.3.3, the Commission considers that, on balance, LIN and MXP are not in the same relevant market for procuring airport infrastructure services.

6.10.1.3.4. Results of the market investigation comparing LIN and BGY

(324) The responses in the market investigation provided strong indications that LIN and BGY should be considered separately under the airport-by-airport approach from the perspective of airlines procuring airport infrastructure services.

---

408 Responses to question D.B.2 of questionnaire 01 to airport managers.

409 Response of SACBO to question D.B.3 of questionnaire 01 to airport managers, ID 7055.

410 Responses to question C.B.1 of questionnaire 03 to short-haul competitors.

411 Responses to question C.B.2 of questionnaire 03 to short-haul competitors.

412 Responses to question C.B.3 of questionnaire 03 to short-haul competitors.

413 Responses of Assoclearnce to question C.B.2 of questionnaire 02 to slot coordinators. Assoclearance did not have an opinion on the other criteria.

(325) The large majority of airport managers having expressed an opinion, including the managers of LIN and BGY were of the opinion that airlines do not consider airport slots at these airports as close substitutes.[414] The large majority of airport managers having expressed an opinion opined that LIN and BGY are "different" or "very different" with respect to all criteria asked about (cost, capacity constraints, passenger volumes, geographic location of the airport, profiles of customers that can be reached, types of routes flown to/from there and ability to attract customers/sell tickets). The managers of LIN and BGY considered the two airports to be "similar" with respect to types of routes and "different" or "very different" with respect to all other criteria.[415] Respondents explained that BGY is focused on low-cost traffic, while LIN is not.[416]

(326) Airlines expressed similar views. The majority of airlines having expressed an opinion did not consider airport slots in LIN and BGY as close substitutes.[417] The majority of airlines having expressed an opinion were of the view that LIN and BGY are "different" or "very different" with respect to cost, capacity constraints, passenger volumes, geographic location of the airport, profiles of customers that can be reached, types of routes flown to/from there.[418]

(327) Similarly, Assoclearance, the slot coordinator of Italian airports, opined that LIN and BGY are "very different" from the perspective of airlines in terms of capacity constraints for slots and other facilities and "different" in terms of passenger volumes.[419]

(328) Consequently, the Commission is of the view that LIN and BGY are not in the same relevant market under the airport-by-airport approach.

6.10.1.3.5. Conclusion

(329) When examining the substitutability between LIN and MXP from the point of view of carriers, the Commission notes the greater ability of LIN to serve premium passengers, the different, congestion levels between the two airports, and the results of the market investigation that provide an indication that LIN and MXP would not be substitutable from the point of view of carriers. Consequently, the Commission considers, that LIN and MXP are not in the same market for airport infrastructure services.

(330) When examining the substitutability between LIN and BGY from the point of view of carriers, the Commission notes that it is questionable whether LIN and BGY are in the same catchment area, that BGY is significantly less congested than LIN and that it serves mainly LCC's. The Commission also notes that the results of the market investigation provided strong indications that the two airports are not substitutable from the point of view of carriers. Consequently, the Commission considers, that LIN and BGY are not in the same market for airport infrastructure services.

(331) The Commission therefore considers that the relevant market is the market for the provision of airport infrastructure services in LIN.

---

414 Responses to question D.B.1 of questionnaire 01 to airport managers.

415 Responses to question D.B.4 of questionnaire 01 to airport managers.

416 Responses to question D.B.5 of questionnaire 01 to airport managers.

417 Responses to question C.B.1 of questionnaire 03 to short-haul competitors.

418 Responses to question C.B.4 of questionnaire 03 to short-haul competitors.

419 Responses of Assoclearance to question C.B.4 of questionnaire 02 to slot coordinators. Assoclearance did not have an opinion on the other criteria.

6.11. Cargo Air Transport Services

6.11.1. Relevant product market

(332) In the Commission's decisional practice,[420] the freight market has historically been divided into cargo transport services, whereby cargo companies sell space on their assets (such as trucks or aircraft), and freight forwarders, which construct a "virtual" network consisting of third-party assets (transportation capacity) on the basis of customers' requirements. Freight forwarding has been defined as "the organisation of transportation of items […] on behalf of customers according to their needs".[421] Unlike the providers of cargo transport services, freight forwarders do not generally own any part of the network they use and normally hire transportation capacity from third parties.

(333) With regard to intercontinental cargo transportation, the Commission has previously indicated that the relevant market is limited to air cargo, excluding other modes of cargo transportation.[422] In the present case, the activities of the Parties are limited to air cargo transport, both intra- and intercontinental.

(334) A sub-segmentation of the market could be envisaged with regard to air cargo services using different types of aircraft, namely (i) cargo airlines offering dedicated freighter services, (ii) airlines with only belly space cargo capacity on passenger flights, (iii) combination airlines offering both dedicated freighter planes and belly space cargo capacity, and (iv) integrators.[423]

(335) In its previous decisions, the Commission has not sub-segmented the market according to the type of services the air cargo carriers provide.[424] Lufthansa, through Lufthansa Cargo AG, operates both pure freighter aircraft and passenger aircraft with freight belly space cargo capacity.[425] ITA, through ITA Airways Cargo, markets freight belly space cargo capacity and certain all-cargo charter flights.[426]

(336) The Commission has also found in previous cases that door-to-door small package delivery services, as offered by integrators,[427] constitute a separate market from air cargo services and freight forwarding,[428] as customers of small package delivery services have different requirements (in particular door-to-door transportation,

---

420 See Cases M.7630 – FEDEX / TNT EXPRESS, paragraph 14; M.6570 – UPS / TNT Express, paragraph 17, M.10149, Korean Air Lines/Asiana Airlines, paragraph 170ff.

421 See Cases M.7630 – FEDEX / TNT EXPRESS, paragraph 23; M.6570 – UPS / TNT Express, paragraph 26; M.1794 – Deutsche Post / Air Express International, paragraph 8.

422 See Case M.6570 – UPS / TNT Express, paragraph 20; Korean Air Lines/Asiana Airlines, paragraph 170ff.

423 See Cases M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 157; M.6828– Delta Air Lines / Virgin Group / Virgin Atlantic Limited, paragraph 74; M.6447 – IAG / BMI, paragraph 89; M.5747 – Iberia / British Airways, paragraph 38; Korean Air Lines/Asiana Airlines, paragraph 170ff.

424 See Cases M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 161; M.6828 – Delta Air Lines / Virgin Group / Virgin Atlantic Limited, paragraph 75; M.6447 – IAG / BMI, paragraph 89; M.5747 – Iberia / British Airways, paragraph 38.

425 Form CO, paragraph 838.

426 Form CO, paragraph 840.

427 As acknowledged by the Commission's past practice, integrators offer not only (i) airport to airport services, but also (ii) handle cargo from the point of origin to the airport and from the airport to the final destination, including legal formalities, such as customs clearance (See Cases M.6828 – Delta Air Lines / Virgin Group / Virgin Atlantic Limited, footnote 62; M.6447 – IAG / BMI, footnote 50; M.5747 – Iberia / British Airways, footnote 26). Examples of integrators are DHL, UPS, FedEX , and TNT.

428 See Korean Air Lines/Asiana Airlines, paragraph 188 ff.

assured transit times, track&trace) and expectations (reliability, security, global or at least EEA coverage). The Commission found that as a result, carriers also handle the small package shipments differently.[429]

(337) According to the Commission's precedents, cargo is less time-sensitive than passenger transport and thus may be routed with a higher number of stopovers. As a result, the Commission considered in previous decisions any indirect route either with or without transhipment as generally substitutable to any direct route.[430]

6.11.1.1. The Notifying Parties' views

(338) The Parties generally do not object to the Commission's prior decisional practice and consider that air transport of cargo should encompass all types of air cargo carriers and include all kinds of transported goods on a unidirectional basis.[431]

(339) The Parties submit that volumes shipped by integrators as part of their "door-to-door" business (possibly focused on small parcels) would fall into the same product market as the shipment of general cargo "airport-to-airport" by airlines, as all four air cargo carriers (cargo airlines, passenger airlines, combination airlines, integrators) compete for business with the same kinds of customers.[432]

(340) The Parties further submit that indirect and direct flights for cargo transport fall into the same product market, since customers seeking air cargo transport services would generally consider an indirect route as a viable alternative to a direct route (and vice versa).[433]

6.11.1.2. Commission assessment

(341) The market investigation in this case did not provide any reasons to depart from the Commission's prior decisional practice and therefore, for the purposes of the present Decision, the Commission will consider a separate product market for air cargo services, where the Parties are active, without further segmentation.

(342) In particular, in line with previous decisional practice, the respondents to the market investigation who expressed a view indicated that their customers or themselves as customers do not consider "door-to-door" services offered by integrators and "airport-to-airport" services by cargo airlines as close substitutes.[434] They explained that the "*door to door service offered by integrators usually is focused on smaller shipments or parcel sizes. Airport to airport services are generally used for the movement of larger consignments or packaging of business to business traffic*." As one respondent explained, "*[i]ntegrators and cargo airlines operate at different points in the value chain when addressing the market. Integrators cater directly to final customers or shippers' needs, assuming the roles of both forwarder and carrier, including the last mile. On the other hand, cargo airlines […] solely focus on providing transportation solutions to the forwarding market. In this context, cargo airlines can also act as service providers for integrators, and forwarders that*

---

429 See M.7630 – FEDEX / TNT EXPRESS, paragraph 79; M.6570 – UPS / TNT Express, paragraph 159-164; M.10149, Korean Air Lines/Asiana Airlines, paragraph 188 ff.

430 M.5841 - Cathay Pacific Airways/ Air China/ ACC, paragraph 15; M.5141 - KLM/Martinair, paragraph 43; M.5747 - Iberia/British Airways, paragraph 37; Korean Air Lines/Asiana Airlines, paragraph 25.

431 Form CO, paragraph 879.

432 Form CO, paragraph 848.

433 Form CO, paragraphs 860-861.

434 07 Others – questionnaire for cargo customers and competitors,

integrate logistic services with cargo airline capacities find themselves in a competitive relationship with integrators."

(343) In light of the above, for the purposes of the present Decision, the Commission concludes that the Parties' airport-to-airport air cargo services and the integrators' core door-to-door small package delivery services belong to separate product markets. However, to the extent to which integrators offer spare capacity on the market for air cargo services, it will be taken into consideration in the competitive assessment of the present Transaction.

6.11.2. Relevant geographic market

(344) With respect to the geographic scope of the air cargo transport market, the Commission previously found that an O&D approach to the geographic market definition is inappropriate given that cargo is generally less time sensitive than passengers and that cargo is commonly transported by trans-modal methods beyond and behind the origin and destination points.[435] Accordingly, the Commission concluded in previous cases that the geographic market in relation to air cargo transport services can be defined as being wider than O&Ds and should rather be defined on a country- or continent-wide basis.

(345) In that respect the Commission concluded in previous cases that as concerns intercontinental routes, the catchment areas broadly correspond to continents, at least for those continents where local infrastructure is adequate to allow for onward connections. For continents where local infrastructure is less developed (e.g. Africa[436] or Asia[437]), the Commission in contrast found that the catchment area should be limited to the countries of destination.[438]

(346) Accordingly, the Commission has previously defined a European-wide market for intra-European routes of air cargo transport.[439]

6.11.2.1. The Notifying Parties' views

(347) The Parties consider the Commission's previous finding of unidirectional markets defined on a continent-to-continent basis (or country basis, where connecting transport infrastructure is less developed) is still appropriate.

6.11.2.2. Commission assessment

(348) For the geographic market definition, the Commission assesses in which geographic area the undertakings concerned are involved in the supply and demand of products or services, in which the conditions of competition are sufficiently homogeneous and which can be distinguished from neighbouring areas because the conditions of competition are appreciably different in those areas.

(349) The market investigation in the present case did not provide any reasons to depart from the Commission's prior decisional practice and therefore, for the purposes of the present Decision, the Commission will assess the European-wide market for

---

435 M.5747 – Iberia/British Airways, paragraph 36; M.5335 – Lufthansa/SN Airholding, paragraph 398; M.5440 – Lufthansa/Austrian Airlines, paragraph 28; M.3280 – Air France/KLM, paragraph 36; M.5403 – Lufthansa/BMI, paragraph 18; M.5181 – Delta Air Lines/Northwest Airlines, paragraph 19.

436 M.5403 – Lufthansa/BMI, paragraph 18.

437 M.5841 - Cathay Pacific Airways/ Air China/ ACC, paragraph 13.

438 M.5141 – KLM/ Martinair – paragraphs 37 – 39; M.5440- Lufthansa/ Austrian Airlines, paragraph 30.

439 M.9287 – Connect Airways/Flybe, paragraph 188; M.8361 – Qatar Airways/Alisarda/Meridiana, 22.03.2017, paragraph 39; M.6447 – IAG/bmi, paragraph 93; M.5747 – Iberia/British Airways, 14.07.2010, paragraph 41.

intra-European routes of air cargo transport and intercontinental routes of air cargo transport from Europe to North America, North America to Europe, Europe to Japan and Japan to Europe, where the activities of the Parties overlap.

6.12. Maintenance, Repair, and Overhaul (MRO)

6.12.1. Relevant product market

(350) Lufthansa is active in the market for MRO (Maintenance, Repair, and Overhaul) services through its subsidiary Lufthansa Technik AG, which provides MRO services to Lufthansa as well as to third party customers. The Lufthansa Technik group comprises 30 companies offering technical aviation services worldwide and serving more than 800 customers worldwide, including OEMs, aircraft leasing companies, operators of VIP jets, governments and armed forces, as well as airlines. Around […] of its business comes from entities within Lufthansa Group and […] from customers outside Lufthansa Group. In Italy specifically, Lufthansa Technik Milan provides MRO services at MXP.

(351) With regard to MRO services, the Commission has in its past practice distinguished between four separate product markets within the MRO sector, namely (i) line maintenance, (ii) heavy maintenance, (iii) engine maintenance, and (iv) components maintenance.[440]

(352) Lufthansa submits that the precise scope of the product market definition for MRO can be left open considering that the Proposed Transaction does not give rise to any competition concern under the narrowest market definition.[441]

(353) The Commission considers that, for the purposes of the present Decision, the precise product market definition for MRO can be left open, as the Transaction does not give rise to competition concerns under any plausible product market definition.

6.12.2. Relevant geographic market

(354) In its prior decisions, the Commission considered that the geographic scope of the market for heavy maintenance services might be at least EEA-wide, whereas line maintenance services has been considered as local in scope.[442]

(355) According to the past decisional practice, the Commission has acknowledged that line maintenance services are usually carried out at the airport of origin or destination, or at the aircraft's operational base. As regards to engine maintenance services and components maintenance services, the Commission has considered these services to be worldwide in scope.[443]

---

440 See COMP/JV.19 – KLM/Alitalia; M.3280 – Air France/KLM and M.3374 – SR Technics/FLS Aerospace, p. 9; M.5440 – Lufthansa/Austrian Airlines, paragraph 37; M.5830, Olympic/Aegean, para 320; M.6447 – IAG / BMI, paragraph 105; M.7541 – AIG/ Aer Lingus, paragraph 119, M.6554 – EADS/STA/Elbe Flugzeugwerke, M.6410 – UTC/Goodrich, paragraph 174, M.8658 - UTC/Rockwell, paras 129, M.8985 - BOEING / KLX, paragraph 10.

441 Form CO, paragraph 899.

442 M.9287 – Connect Airways/Flybe, paragraph 195; M.7545 – IAG/Aer Lingus, paragraph 121; M.6554 – EADS/STA/Elbe Flugzeugwerke JV,para. 26; M.6447 – IAG/bmi, paragraph 108; M.3374 – SR Technics/FLS Aerospace, paragraph 12.

443 M.9287 – Connect Airways/Flybe, 05.07.2019, paragraph 195; M.7545 – IAG/Aer Lingus, 14.07.2015, paragraph 121; M.6554 – EADS/STA/Elbe Flugzeugwerke JV, 13.09.2012, paragraph 26; M.6447 – IAG/bmi, 30.03.2012, paragraph 108.

(356) Lufthansa submits that the precise scope of the geographic market definition for MRO can be left open, considering that the Proposed Transaction does not raise any competition concern under any plausible geographical definition.[444]

(357) The Commission considers that, for the purposes of this Decision, the precise product market definition for MRO can be left open, as the Transaction would not significantly impede effective competition under any plausible product market definition.

6.13. Ground handling services

6.13.1. Relevant product market

(358) Aircraft ground handling refers to the servicing of an aircraft while it is on the ground. With regard to the product market definition for ground handling services, the Commission considered in earlier decisions that ground handling services can be divided into distinct segments on the basis of either the International Air Transport Association ("IATA") Standard Ground Handling Agreement or the EU Directive on ground handling services.[445] [446] On that basis, the Commission has previously considered that it covers a variety of airport services such as ramp services (including aircraft guiding and towing, baggage loading and unloading, (airside) cargo and mail handling, refuelling, de-icing, catering, lavatory drainage, water cartage, cleaning and ground power) and passenger services (including check-in counter services, gate arrival and departure services, transfer counters, customer service and airport lounges).

(359) In its previous decisions, the Commission found that ground handling services – ranging from passenger and baggage registration and handling to leading the aircraft on the ground as well as cleaning and refuelling the aircraft – could be divided into several distinct segments but the determination whether each segment constituted a separate relevant market was left open.[447] However, in light of the different services provided and the lack of substitutability between the services and the fact that the services are procured under different contracts, the Commission concluded that ramp, passenger and baggage handling services formed a specific product market separate from landside cargo handling services.[448]

(360) The Commission considers that, for the purposes of the present Decision, it is not necessary to determine an exact product market definition, as the Transaction would not significantly impede effective competition under any plausible product market definition.

---

444 Form CO, paragraph 902.

445 Council Directive 96/67/EC of October 15, 1996 on access to the ground handling market at Community airports, OJ 1996 L 272/36, as amended by Regulation 1882/2003 of the European Parliament and the Council of September 29, 2003, OJ 2003 L 284/1 (the "Ground Handling Directive") provides a definition of ground handling services according to which the following services constitute ground handling services: ground administration and supervision; passenger handling; baggage handling; freight and mail handling; ramp handling; aircraft services; fuel and oil handling; aircraft maintenance; flight operations and crew administration; surface transport; and catering services. Council Directive 96/67/EC of 15 October 1996 on access to the ground handling market at Community airports, OJ L 272, 25.10.1996, pp. 36-45.

446 M.7021 – Swissport / Servisair, paragraph, 7 and footnote 4; M.2254 – Aviapartner/Maersk/Novia, paragraph 15; M.1913 – Lufthansa/Menzies/LGS/JV, paragraph 11; M.5747 – Iberia/British Airways, paragraph 45; M.5830 – Olympic/Aegean, para 311; M.6447 – IAG / BMI, paragraph 98.

447 See M.2254 – Aviapartner/Maersk/Novia, p. 60, and M.1913 – Lufthansa/Menzies/LGS/JV, p. 11.

448 M.7021 – Swissport / Servisair, paragraph 12; M.6671 – LBO France / Aviapartner, paragraph 14, 20.

6.13.2. Relevant geographic market

(361) The Commission considered in its previous decisions that the geographic scope for the provision of ground handling services was restricted to a specific airport given that the services required at a particular airport could not normally be substituted by services provided at other airports.[449] The Commission therefore concluded that the relevant geographic market for the provision of ground handling services was the area of a specific airport but ultimately left the question open.[450] The Commission also considered that a wider geographic market could be defined encompassing other airports within a catchment area that could attract airlines if ground handling service providers were present at those airports.[451]

(362) Lufthansa submits that the market for the provision of ground handling services extends beyond a single airport and encompasses the airports within the same catchment area (or at least two neighbouring airports), due to the fact that pricing for ground handling services is constrained both by competitors active at a particular airport and by other competitors active in the same catchment area.[452] Lufthansa further submits that the precise scope of the geographic definition of the market for the provision of ground handling services can be left open in the present case, considering that the Proposed Transaction does not give rise to any competition concern under any plausible geographical definition.[453]

(363) The Commission considers that, for the purposes of the present Decision, the precise definition of the geographic market for ground handling services can be left open as the Transaction would not significantly impede effective competition irrespective of the precise geographic market definition adopted.

6.14. Cargo handling services

6.14.1. Relevant product market

(364) In its prior decisional practice,[454] the Commission has considered that the market for cargo handling services constitutes a separate market, distinct from that of ramp passenger and baggage handling. The Commission has discussed the possibility of landside and airside cargo handling services being part of an overall cargo handling market, but it has ultimately left the question open.[455]

(365) Cargo handling services mainly involves the physical handling and storage of freight and mail, as well as the handling of related documents and the implementation of customs and security procedures. Cargo handling is generally provided to airlines or freight forwarders in warehouses or sheds which are generally not in the same area within the airport as the passenger terminals where ramp and passenger services are provided.

(366) Lufthansa is active in the market for the provision of landside cargo handling services through its subsidiary Lufthansa Cargo AG (LCAG).

---

449 See M.1913 – Lufthansa/Menzies/LGS/JV.

450 See for instance M.1913 – Lufthansa/Menzies/LGS/JV, paragraph 12; M.4164 – Ferrovial/ Quebec/GIC/BAA, p. 14; M.5830 – Olympic/Aegean, para 314.

451 M.2315 – The Airline Group/NATS, paragraph 20.

452 Form CO, paragraph 921.

453 Form CO, paragraph 922.

454 M.7021 – Swissport / Servisair, paragraph 12; M.6671 – LBO France / Aviapartner, paragraphs 14, 20.

455 M.6671 – LBO France/Aviapartner, paragraph 39.

(367) Lufthansa submits that the Commission does not need to reach a view on the market definition in this case as the Proposed Transaction will not give rise to any competition concern, even under the narrowest plausible product market definition.[456]

(368) The Commission considers that, for the purposes of the present Decision, it is not necessary to determine an exact product market definition for cargo handling services, as the Transaction would not significantly impede effective competition under any plausible product market definition.

6.14.2. Relevant geographic market

(369) In its past decisional practice, the Commission has considered the market for the provision of landside cargo handling services to be restricted to a specific airport (or possibly two neighbouring airports), based on the assumption that the services required at a particular airport could not be substituted for services provided at other airports.[457]

(370) Lufthansa submits that the precise scope of the geographic definition of the market for the provision of landside cargo handling services can be left open in the present case, considering that the Proposed Transaction does not give rise to any competition concern under any plausible geographical definition.[458]

(371) The Commission considers that, for the purposes of the present Decision, the precise definition of the geographic market for cargo handling services can be left open as the Transaction would not significantly impede effective competition irrespective of the precise geographic market definition adopted.

6.15. Flight Training Services

6.15.1. Relevant product market

(372) Flight simulator training is an activity that airline crews are required to perform on a regular basis to keep up to date with the use and equipment of the aircraft to carry out conversion training, which is necessary to enable pilots to fly a different type of aircraft.

(373) As explained by the Parties,[459] flight training is in principle specific to certain aircraft types, but a single simulator allows pilots to train on and simulate more than one aircraft type. Most airlines have flight simulators themselves and provide their crew with the necessary flight training. Airlines routinely sell their training services with simulators to other airlines. However, the merchant flight simulator training offered by airlines to third parties represents a minor part of the total flight simulator training market.

(374) According to the Commission's prior decisional practice, civil flight simulator training constitutes a distinct product market from real flight training carried out in aircraft during flight.[460]

(375) Lufthansa is active in the market for flight training services through its subsidiary Lufthansa Aviation Training GmbH. With its training centres located in Central Europe, Lufthansa Aviation Training provides flight training services to other airline

456 Form CO, paragraph 939.
457 M.7021 – Swissport/Servisair, paragraph 48.
458 Form CO, paragraph 941.
459 Form CO, paragraph 949.
460 M.1786 – General Electric/Thomson CSF/JV, paragraphs 11-13.

as well as to private corporate and individual customers. It offers training programmes both for cockpit and cabin crew relating to every type of aircraft. Lufthansa Aviation Training also offers flight simulator training services through its 50 FFSs (Full Flight Simulators) which are located in its training centers of Berlin, Essen, Frankfurt, Munich, Wien and Zurich.[461]

(376) Lufthansa submits that the precise scope of the product market definition for flight simulator training can be left open, considering that the Proposed Transaction does not give rise to any competition concern under any plausible market definition.[462]

(377) The Commission considers that, for the purposes of the present Decision, it is not necessary to determine an exact product market definition for flight training services, as the Transaction would not significantly impede effective competition under any plausible product market definition.

6.15.2. Relevant geographic market

(378) In its past decisional practice, the Commission considered that the market for the provision of flight training services appears as worldwide or at least EEA-wide in scope,[463] because the players active in the market serve clients who are mobile all over the world and the airlines fly their crew where flight simulator training is available and readily switch supplier of flight simulator training in case of price increase.

(379) Lufthansa submits that the precise scope of the geographic definition of the market for the provision of flight training services can be left open considering that the Proposed Transaction does not give rise to any competition concern under any plausible geographical definition.[464]

(380) The Commission considers that, for the purposes of the present Decision, the precise definition of the geographic market for flight training services can be left open as the Transaction would not significantly impede effective competition irrespective of the precise geographic market definition adopted.

6.16. Flight ticket distribution services

6.16.1. Relevant product market

(381) Online flight ticketing services refer to the distribution of air passenger tickets by online ticket vendors.

(382) In prior merger and antitrust decisions concerning travel services, the Commission has defined a product market for the distribution of travel services distinct from the product market for the provision of travel services. In *British Airways*, the General Court confirmed the existence of such a separate market for the distribution of passenger air tickets (i.e. air travel agency services).[465]

(383) In addition, in prior merger decisions concerning online travel services, while ultimately leaving the product market definition open, the Commission has found evidence pointing towards the existence of a separate market for the online intermediation of travel services[466] and, within that market, of distinctions

461 Form CO, paragraph 950.
462 Form CO, paragraph 953.
463 M.1786 – General Electric/Thomson CSF/JV, paragraphs 14-16.
464 Form CO, paragraph 955.
465 Case T-219/99 - British Airways v Commission, ECLI:EU:T:2003:343, paragraph 107.
466 M. 8416 – Priceline/Momondo, paragraph 19.

(i) between services provided by metasearch engines allowing consumers to search for and compare prices (such as Kayak for flights) and OTAs allowing consumers to purchase tickets,[467] and (ii) by type of travel products.[468] The Commission also considered whether direct and indirect distribution of flight tickets belong to the same product market and concluded that online distribution of flights through OTAs and through airline websites are part of the same market, as online customers would look for the best available deals across all distribution channels.[469]

(384) In line with those precedents and with what the Parties submit, for the purposes of the current Decision, the Commission will consider a separate market for online flight ticketing distribution services encompassing both direct and indirect distribution.

6.16.2. Relevant geographic market

(385) The Parties submit that the market for the online distribution of flight tickets is worldwide in scope, as from the end-consumer's perspective, tickets for flights are available for purchase worldwide and there is no language barrier as most websites are available in different languages. Similarly, the parties submit that commercial interactions between various actors (e.g. airlines, OTAs, GDS, aggregators etc) typically take place on a worldwide basis and are not related to or limited to specific countries.[470]

(386) In a prior merger decision, the Commission defined the upstream side of the GDS market as EEA-wide.[471]

(387) The Commission considers that, for the purposes of the present Decision, the precise geographic market definition can be left open as the Transaction does not lead to competition concerns under any plausible market definition.

7. COMPETITIVE ASSESSMENT – COMMON CONSIDERATIONS

7.1. Legal Framework

(388) Under Article 2(2) and (3) of the Merger Regulation, the Commission must assess whether a proposed concentration would significantly impede effective competition in the internal market or in a substantial part of it, in particular as a result of the creation or strengthening of a dominant position.

7.1.1. Horizontal assessments

(389) As concerns the assessment of horizontal overlaps (meaning when the undertakings concerned are active in the same relevant markets), the Horizontal Merger Guidelines distinguish between two main ways in which mergers between actual or potential competitors may significantly impede effective competition, namely non-coordinated and coordinated effects.[472]

---

467 M.9005 - BOOKING HOLDINGS / HOTELSCOMBINED, paragraph 43.

468 M. 8416 – Priceline/Momondo, paragraphs 41-51; M.6163 – AXA/ PERMIRA/ OPODO/ GO VOYAGES/EDREAMS, paragraph 24.

469 M.6163 – AXA/ PERMIRA/ OPODO/ GO VOYAGES/EDREAMS.

470 Reply to RFI 65.

471 M.4523 – Travelport/Worldspan, paagraphs 60-67.

472 Guidelines on the assessment of horizontal mergers under the Council Regulation on the control of concentrations between undertakings ('Horizontal Merger Guidelines'), OJ C 31, 5.2.2014.

(390) As to the non-coordinated effects, which are mostly relevant for the Transaction, they may significantly impede effective competition by eliminating important competitive constraints on one or more firms, which consequently would have increased market power, without resorting to coordinated behaviour. In that regard, the Horizontal Merger Guidelines consider not only the direct loss of competition between the merging firms, but also the reduction in competitive pressure on non-merging firms in the same market that could be brought about by the merger. Generally, a merger giving rise to such non-coordinated effects would significantly impede effective competition by creating or strengthening the dominant position of a single firm. Furthermore, mergers in oligopolistic markets involving the elimination of important competitive constraints – such as the ones that Lufthansa and ITA exert upon each other pre-merger – may, together with a reduction of competitive pressure on the remaining competitors, and even where there is little likelihood of coordination between the members of the oligopoly, also result in a significant impediment to competition even if the concentration does not result in the creation or strengthening of a dominant position.[473]

(391) The Horizontal Merger Guidelines list a number of factors which may influence whether or not non-coordinated effects are likely to result from a merger, such as large market shares of the merging firms, the fact that the merging firms are close competitors, the limited possibilities for customers to switch suppliers, the fact that the merger would eliminate an important competitive force, or the existence of barriers to entry.[474]

(392) According to the established case-law, paragraph 26 of the Horizontal Merger Guidelines "*states in that regard, correctly, that those factors, taken separately, are not necessarily decisive. In addition, not all of those factors need to be present for significant non-coordinated effects to be likely*. *In that context, it must be found that those factors may, in principle, constitute evidence that a concentration would give rise to significant non-coordinated effects, which must be the subject of an overall assessment.*"[475]

(393) As regards the concept of "closeness of competition", this may play an important role in better understanding the competitive constraint exerted by different competitors on each other. As mentioned in section 6 on market definition, products offered by airlines can be differentiated, including based on the type of services offered (direct or indirect flights) or the airports from which the flights are operated. In line with paragraph 28 of the Horizontal Merger Guidelines, the higher the degree of substitutability between the merging firms' products, the more likely it is that the merging firms will raise prices significantly. Conversely, the merging firms' incentive to raise prices is more likely to be constrained when rival firms produce close substitutes to the products of the merging firms than when they offer less-close substitutes.[476] A very high level of substitutability between the merging parties' products is not necessarily required.[477] Even where substitutability between the

473 Horizontal Merger Guidelines, paragraphs 22 to 25.

474 Horizontal Merger Guidelines, paragraphs 27 et seq.

475 C-376/20 P - Commission v CK Telecoms UK Investments, [2023] ECLI:EU:C:2023:561, paragraphs 260-261.

476 Horizontal Merger Guidelines, paragraphs 28-30.

477 As per the judgment of the European Court of Justice in Case-376/20 P Commission v CK Telecoms UK Investments, ECLI:EU:C:2023:561, the Commission is not required to conclude that the merging parties are "particularly close" competitors. Instead, it is sufficient to show that the Parties are close competitors.

merging parties' products is not particularly high, the loss of competitive constraints even by a more distant product can be problematic if the combined market position is high and remaining constraints are insufficient. Also, there may be a lower level of substitutability between the parties' products and the products of undertakings which are not party to the concentration, which is capable of incentivising the parties to the concentration to increase the prices of their products. Therefore, when the combined market shares are in excess of 50%, the assessment of closeness of competition does not generally require the parties to be close competitors for the Commission to find that a merger would significantly impede effective competition as market shares above 50% lead to a presumption of dominance and may in themselves be evidence of the existence of a dominant position. The assessment of closeness of competition is however more relevant where the combined market shares remain below 50% or where the Parties' products appear prima facia very different.

(394) Furthermore, some proposed mergers would, if allowed to proceed, significantly impede effective competition by leaving the merged firm in a position where it would have the ability and incentive to make the expansion of smaller firms and potential competitors more difficult or otherwise restrict the ability of rival firms to compete. In such a case, competitors may not, either individually or in the aggregate, be in a position to constrain the merged entity to such a degree that it would not increase prices or take other actions detrimental to competition. For instance, the merged entity may have such a degree of control, or influence over, the supply of inputs or distribution possibilities that expansion or entry by rival firms may be more costly.[478]

(395) Based on the Horizontal Merger Guidelines, market shares and concentration levels provide useful first indications of the market structure and of the competitive importance of both Lufthansa and ITA and their competitors.[479] The larger the market share, the more likely a firm is to possess market power.

(396) The European Courts have consistently held, including in airline industry-related cases, that there is a presumption of dominance when an undertaking enjoys a market share of 50% or more.[480] Accordingly, the Horizontal Merger Guidelines provide that "*[a]ccording to well-established case law, very large market shares – 50% or more – may in themselves be evidence of the existence of a dominant market position*".[481]

(397) Indeed, according to the established case law, "*although the importance of market shares may vary from one market to another, very large shares are in themselves, and save in exceptional circumstances, evidence of the existence of a dominant position*."[482] The General Court has noted in a case concerning the airline sector that "*the Commission could not ignore the importance to be attached to those initial indications, which showed that the implementation of the notified transaction would have enabled* [the acquirer] *to acquire extremely high market shares*."[483] The

478 Horizontal Merger Guidelines, paragraph 36.

479 Horizontal Merger Guidelines, paragraph 14.

480 See Cases T-177/04 – *easyJet v Commission*, paragraph 174, which refers to "almost 50%": "*It is also to be noted that the market shares held by the parties to the merger led the Commission to conclude that commitments should be offered on the markets affected and on which those parties enjoyed a market share of almost 50%, thereby respecting the presumption of dominance as laid down by the case-law*"; C-62/86 – *AKZO v Commission*, paragraph 60.

481 Horizontal Merger Guidelines, paragraph 17.

482 See Cases C-85/76 – Hoffmann La Roche v. Commission, paragraph 41; T-210/01 – General Electric v Commission, recital 115; T-342/07 – Ryanair v Commission, paragraph 41.

483 See Case T-342/07 – Ryanair Holdings plc v. Commission, paragraphs 41-60.

General Court concluded that "*in the light of those findings […] the Commission was rightly able to find that the acquisition of very high market shares as a result of both the implementation of the concentration and the concentration level associated with it were relevant indicators of the market power which would have been acquired*".[484]

(398) Furthermore, the larger the addition of market share (the increment), the more likely it is that a merger would lead to a significant increase in market power. The larger the increase in the sales base on which to enjoy higher margins after a price increase, the more likely it is that the merging firms would find such a price increase profitable despite the accompanying reduction in output. Although market shares and additions of market shares only provide first indications of market power and increases in market power, they are normally important factors in the assessment.[485]

(399) The Commission generally requires convincing evidence to approve concentrations that give rise to very high market shares. In its prior decisions, the Commission noted that when faced with "*a high degree of dominance, the Commission must be particularly vigilant, because in such circumstances even a very small increase in market power can have a disproportionately large negative effect on the competitive conditions on the market place*."[486]

(400) A merger involving a firm whose market share will remain below 50% after the merger may also raise competition concerns in view of other factors such as the strength and number of competitors, the presence of capacity constraints or the extent to which the products of the merging parties are close substitutes.[487]

(401) While market shares are an important factor, the Commission is also required to analyse the competitive constraints the merged entity will be subject to after the Transaction. In line with this framework, the Commission analysed in particular the competitive constraints imposed by actual competitors and by future competition due to potential entry and/or expansion.

(402) Finally, concentrations where an undertaking already active on a relevant market merge with a potential competitor in this market can have similar anti-competitive effects to mergers between two undertakings already active on the same relevant market and, thus, significantly impede effective competition, in particular through the creation or the strengthening of a dominant position. For a merger with a potential competitor to have significant anti-competitive effects, two basic conditions must be fulfilled. *First*, the potential competitor must already exert a significant constraining influence or there must be a significant likelihood that it would grow into an effective competitive force. *Second*, there must not be enough other potential competitors which could maintain sufficient competitive pressure after the merger.[488]

7.1.2. Non-horizontal assessments

(403) According to the Non-Horizontal Guidelines, non-coordinated effects may significantly impede effective competition as a result of a vertical or conglomerate merger principally if such merger gives rise to foreclosure. Foreclosure occurs where actual or potential competitors' access to supplies or markets is hampered or eliminated as a result of the merger, thereby reducing those companies' ability and/or

484 See Case T-342/07 – Ryanair Holdings plc v. Commission, paragraph 53.
485 Horizontal Merger Guidelines, paragraph 27.
486 See Case M.68 – Tetra Pak/Alfa-Laval, paragraph 4.
487 Horizontal Merger Guidelines, paragraph 17.
488 Horizontal Merger Guidelines, paragraphs 58 and 60.

incentive to compete.[489] Such foreclosure may discourage entry or expansion of competitors or encourage their exit.[490]

(404) The Non-Horizontal Guidelines distinguish between two forms of foreclosure. Input foreclosure occurs where the merger is likely to raise the costs of downstream competitors by restricting their access to an important input. Customer foreclosure occurs where the merger is likely to foreclose upstream competitors by restricting their access to a sufficient customer base.[491]

(405) Foreclosure may also take more subtle forms, such as the degradation of the quality of inputs supplied. In its assessment, the Commission may consider a series of alternative or complementary possible strategies.[492]

(406) In assessing the likelihood of an anticompetitive foreclosure scenario (be it in vertical or conglomerate mergers), the Commission examines, first, whether the merged entity would have, after the merger, the ability to foreclose their rivals, second, whether it would have the incentive to do so, and third, whether a foreclosure strategy would have a significant detrimental effect on competition. In practice, these factors are often examined together as they are closely intertwined.[493]

7.1.3. The assessment of market entry and expansion

(407) According to the Horizontal Merger Guidelines and the Non-Horizontal Merger Guidelines, the entry or expansion of a competitor in a relevant market may provide a sufficient competitive constraint on the parties to the concentration. Therefore, entry and expansion analysis constitute an important element of the Commission's competitive assessment. For entry to be considered a sufficient competitive constraint on the parties to the concentration, it must be shown to be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the merger.[494]

(408) The General Court has noted that "*the starting point for the issue of the entrance of new competitors onto the relevant markets is a situation where the new entrant is seeking to access the market on which the Merged Entity would be present, and where that entity […] would eliminate current competition between the parties to the concentration to the detriment of customers*."[495] Consequently, the Court has held that "*the mere "threat" of an entry, on which the applicant relies, is not sufficient. […] What counts is the prospect of an entrant which offsets the anti-competitive effects specifically established in the contested decision at that stage of the assessment*."[496]

(409) To determine the likelihood of new entry, one consideration is that entry must be sufficiently profitable, considering the price effects of that entry and possible

489 Non-Horizontal Merger Guidelines, paragraph 18.
490 Non-Horizontal Merger Guidelines, paragraph 29.
491 Non-Horizontal Merger Guidelines, paragraph 30.
492 Non-Horizontal Merger Guidelines, paragraph 33.
493 Non-Horizontal Merger Guidelines, paragraphs 32 and 94.
494 Horizontal Merger Guidelines, paragraphs 33-35 and 68; Non-Horizontal Merger Guidelines, paragraphs 51, 76 and 114.
495 Case T-342/07 – *Ryanair v Commission*, paragraphs 238-239.
496 Case T-342/07 – *Ryanair v Commission*, paragraphs 238-239.

responses of the incumbents.[497] The Commission's past practice shows that, in the airline sector, the attractiveness of the route in terms of overall passenger demand and type of route (e.g., routes that connect business hubs tend to be more profitable compared to routes connected more remote airports) is another relevant factor to assess the new entrant's incentives, as these factors may affect the economic viability of new entry.[498] Finally, the existence of barriers to entry is also relevant to assess the likelihood of new entry through their impact on the profitability of entry. Barriers to entry are specific features of the market, which give incumbent firms advantages over potential competitors. When entry barriers are low, the parties to the concentration are more likely to be constrained by entry. Conversely, when entry barriers are high, price increases by the merging firms would not be significantly constrained by entry. Historical examples of entry and exit in the industry may provide useful indications about the size of entry barriers. Barriers to entry can take various forms. For instance, in the airline sector they may exist because of the established position of the incumbent firms on the market,[499] because of high airport fees[500] and/or because of slot congestion at an airport.[501]

(410) The expected evolution of the market should be taken into account when assessing whether or not entry would be profitable. Entry is more likely to be profitable in a market that is expected to experience high growth in the future than in a market that is mature or expected to decline. Scale economies or network effects may make entry unprofitable unless the entrant can obtain a sufficiently large market share.[502]

7.2. Competitive situation most likely to prevail absent the Transaction (counterfactual)

7.2.1. Legal principles

(411) In assessing the competitive effects of a concentration, the Commission compares the competitive conditions that would result from the notified merger with the conditions that would have prevailed absent the merger (i.e., the "counterfactual" scenario).[503]

(412) In most cases, the competitive conditions existing at the time of the merger constitute the relevant comparison for evaluating its effects.

(413) However, in some circumstances, the Commission may take into account future changes to the market that can be "*reasonably predicted*", such as the likely entry or exit of firms absent the merger.[504] Accordingly, current market shares may be adjusted to reflect reasonably certain future changes, for instance in the light of exit, entry or expansion. In any event, the Commission interprets market shares in the light of likely market conditions, for instance, if the market is highly dynamic in character and if the market structure is unstable due to innovation or growth.

---

497 Horizontal Merger Guidelines, paragraph 69. In this regard, the General Court noted that "*entry to a new market may require time to enable new entrants to assess whether entry to that market is likely to be profitable*". See T-177/04 – *easyJet v Commission*, paragraph 201.

498 See, e.g. Case M.10149 – Korean Air Airlines/Asiana Airlines, paragraphs 277-287.

499 Horizontal Merger Guidelines, paragraphs 70-71.

500 See for example Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 22, ID 2367.

501 See for example Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 21-24, ID 2367.

502 Horizontal Merger Guidelines, paragraph 72.

503 Horizontal Merger Guidelines, paragraph 9.

504 Horizontal Merger Guidelines, paragraph 9.

(414) To the contrary, the Commission has no duty to take into account any changes that cannot be reasonably predicted or that are uncertain. Indeed, as noted by the General Court, the Commission's appraisal of a concentration within a market cannot be carried out on the basis of *"hypothetical factors the economic implications of which cannot be assessed at the time when the decision is adopted*."[505]

7.2.2. ITA's financial position

(415) While the Parties do not argue that ITA is a failing firm, in line with paragraph 90 of the Horizontal Merger Guidelines,[506] the Parties submit that the Transaction is "*necessary to ensure a sustainable future perspective for ITA*".[507] The Parties support this claim with reference to i) the financially unsuccessful history of ITA's predecessor Alitalia (as well as various attempts to integrate Alitalia with another airline), ii) ITA's initial business plan which includes the strategic objective for ITA to conclude "*partnerships and integrations with European operators*", and iii) the competitive landscape of the Italian passenger air transport sector.[508]

(416) To support the notion that ITA needs to integrate with another carrier to ensure its financial sustainability, the Parties also submit that, [details on ITA financials].[509] [Details on ITA financials].

(417) During the Phase II investigation, the Parties further submitted that, even though ITA's performance in full-year 2023 exceeded expectations (see more below), [Details on ITA financials].[510] According to ITA, [details on ITA financials].[511] Finally, ITA [details on ITA financials].[512]

(418) In their Response to the SO, Lufthansa and MEF further submit that the Commission generally overstated the position of ITA on the market and its financial viability in the long-term, considering that: [details on ITA financials].[513] In addition, Lufthansa and MEF point to internal documents from Lufthansa which consider that […].[514]

(419) The Parties' argument that ITA is not financially sustainable as a standalone carrier has been corroborated by several market participants, including the main competitors of the Parties, during the Commission's market investigation. For example, IAG explained that in its view "*standalone airlines like ITA, lacking the scale and ability to make* […] *large investments, will become less and less competitive causing them to shrink and struggle to survive*".[515] Likewise, Singapore Airlines explained that "*ITA as a standalone airline is unlikely to remain a competitor without a transaction involving one of the major European airline groups. Integrating ITA in the Lufthansa group has the prospect of strengthening competition in the EEA*".[516] Furthermore,

---

505 Case T-2/93 – *Société Anonyme à Participation Ouvrière Compagnie National Air France v. Commission*, paragraph 70.

506 Form CO, paragraph 1173.

507 Form CO, paragraph 1156.

508 Form CO, paragraphs 1157-1164.

509 Form CO, paragraphs 1165.

510 Lufthansa and MEF's responses to RFI 36, Q6.

511 Lufthansa and MEF's responses to RFI 36, Q7.

512 Lufthansa and MEF's responses to RFI 36, Q8.

513 Lufthansa and MEF's Response to the SO, paragraph 20.

514 Lufthansa and MEF's Response to the SO, paragraph 21.

515 Non-confidential minutes of the conference call with IAG dated 6 November 2023, paragraph 17, ID 2353.

516 Non-confidential response of Singapore Airlines to question D.C.5. of questionnaire 04 to long-haul competitors, ID 12422.

Air Transat submitted that *"ITA's potential viability without Lufthansa's acquisition faces challenges, especially when considering the historical context of its predecessor, Alitalia. The aviation industry's inherent complexities and financial constraints experienced by Alitalia and now by ITA underline the importance of strategic partnerships for operational and financial stability. Indeed, ITA has a similar business model compared to Alitalia, which faced difficulties in operating profitably and did not manage to compete against, on the one hand, airlines like Lufthansa, AFKLM, and IAG, and, on the other hand, low-cost carriers that are very well developed in Italy. Lufthansa's possible involvement could provide operational synergies, expertise, and financial support, addressing challenges that have historically impacted Alitalia's sustainability in the past. The absence of a substantial partner like Lufthansa might leave ITA dealing with similar issues, including route network limitations, fleet modernization challenges, and intense competition, potentially affecting its ability to operate independently in the competitive airline market*".[517] Nevertheless, some market participants believe that ITA could remain competitive as a standalone business. For example, Air France-KLM stated that in its view the "*Italy market is big enough for a carrier like ITA to survive and perform well, even without the support of Lufthansa*".[518]

(420) The overall evidence collected by the Commission during its in-depth investigation, including ITA's actual financial reporting, shows that ITA is likely to be financially sustainable in the short- to medium term. This is for the following reasons:

(a) ITA's financial performance in 2023 exceeded both the expectations it had set out in its budget as well as its financial performance in 2022. [Details on ITA financials].[519] According to ITA, its financial overperformance in 2023 can be attributed to […]. Overall, in 2023, [details on ITA financials].[520]

(b) In its original business plan (2021-2025), [details on ITA financials].[521] Therefore, [details on ITA financials] cited by the Parties are directionally consistent with the original business plan and are inconclusive as to the question whether ITA as a standalone business is financially sustainable.

(c) [Details on ITA business plan].[522] [Details on ITA business plan].[523] The Commission considers that it is unclear whether the financial sustainability of ITA as a stand-alone carrier could be affected by [details on ITA business plan].

(d) [Details on ITA business plan].[524] [Details on ITA business plan]. However, the Commission notes that ITA's latest business plan (2023-2027) […]. This means that is unclear to what extent the forecasts contained in this business

---

517 Non-confidential response of Air Transat to question D.C.5. of questionnaire 04 to long-haul competitors, ID 12069.

518 Non-confidential minutes of the conference call with Air France-KLM dated 6 November 2023, paragraph 18, ID 9836.

519 Lufthansa and MEF submit that [details on ITA financials] (Response to the SO, paragraph 20). While this may be correct, this does not contradict the fact that ITA's performance in 2023 significantly exceeds the expectations set out in the original budget as well as ITA's performance in 2022.

520 Lufthansa and MEF's response to RFI 36, Q4. Lufthansa and MEF submit that [details on ITA financials].

521 M.11071 – RFI 1 - ITA Annex 1 - [Details on ITA business plan].

522 M.11071 – RFI 1 - ITA Annex 1 - [Details on ITA business plan].

523 M.11071 – RFI 1 - ITA Annex 2 - [Details on ITA business plan].

524 M.11071 – RFI 3 - ITA Annex 41 - [Details on ITA business plan], and M.11071 – RFI 1 - ITA Annex 2 - [Details on ITA business plan].

plan can serve as a reliable predictor of ITA's financial performance absent the Transaction.[525]

(e) In its press release accompanying its financial report for 2022, ITA explained that its financial results were "*consistent with the company's start-up status in a market that was still weak in the first months of the year due to the continuing Covid pandemic*".[526] In addition, according to a news report from 3 March 2024, ITA's management explained that it "*can continue to operate alone also, as demonstrated by the recently released financial results* [from 2023]", while highlighting that in order to "*create and develop synergies, it needs the backing from a business partner*".[527] These statements from ITA suggest that ITA's financial results in 2022 cannot be taken as evidence that ITA is not financially sustainable as a standalone business, and that indeed, as recently as March 2024, it considers that it can operate sustainably as a standalone business.

(421) That said, the Commission considers that ITA's long-term competitiveness as a stand-alone carrier is highly uncertain for the following reasons – and the Commission has taken this into consideration in the competitive assessment as well as in the assessment of the remedies, in particular for the long-haul routes.

(422) First, ITA's current business model has similarities with the one operated by its predecessor Alitalia, with both airlines operating as an Italian network carrier with hubs in Rome and, at present, also in Milan, flying many of the same routes that ITA operates today and being composed of many of the same assets (including aircraft) and workforce (including crews) as ITA. Alitalia had a long-standing history of financial difficulties and was continually loss making since 2008.[528] Previous attempts to integrate Alitalia into a large airline group, including an attempted integration with Etihad Airways in 2015, failed.[529] Ultimately, Alitalia had to enter into extraordinary administration in 2017 and, in March 2020, the airline was acquired by the Italian State which transferred Alitalia's assets to the newly created company ITA. While the Commission's ITA/Alitalia State Aid decision considered that the business plan of the newly created ITA company was sustainable, these business plans already had the stated aim of establishing "*strategic partnerships with an airline company that would ensure the pursuit of the objectives of industrial development and strengthening of ITA's business*".[530]

(423) Second, ITA's recent financial overperformance against the expectations set out in the business plan and compared to previous years are likely due to the generally favourable macroeconomic conditions for the aviation industry, including exceptionally strong demand and lower than expected fuel costs. It is uncertain whether a standalone ITA business would remain competitive if these

525 M.11071 – RFI 1 - ITA Annex 2 - [Details on ITA business plan].

526 "*ITA Airways Board of Directors approved the preliminary Financial Report for the year 2022*", ITA Airways (available at https://www.ita-airways.com/content/dam/ita/files/EN/fly/ita-world/press-release/2023/Press_release_ITA_Airways_approves_2022_Financial_Report.pdf), ID 12576.

527 Translated from the Italian original: "*La compagnia 'può andare avanti anche da sola, come testimoniano i numeri dell'anno appena concluso'; ma 'per crescere e sviluppare le sinergie serve un partner alle spalle', fa sapere il management della compagnia aerea di Stato.*". Source: la Repubblica, "*Ita e la frenata di Lufthansa: 'Solidi anche da soli, ma server partner'. Ue: scadenza è 6 giugno. L'ipotesi stop-the-clock*", 3 March 2024, ID 11976.

528 State Aid SA.58173 (2021 N) (ex 2020 PN) – ITALY – Newco ITA, paras. 17ff.

529 Form CO, paragraph 1161.

530 Form CO, paragraph 87.

macroeconomic conditions were to worsen, e.g., due to unforeseen drops in demand (such as due to a financial crisis or other unpredictable events) or due to unforeseen increases in cost (e.g., permanent rise in the price of fuel).

(424) Third, in the present market conditions, […][531] […].[532]

(425) Overall, the Commission therefore finds that there is not sufficient evidence to conclude that ITA's short- to medium-term financial sustainability depends on the Transaction. Nevertheless, the Commission considers that the elements illustrated above indicate that ITA's long-term competitiveness in the provision of air passenger services may be significantly weakened absent the Transaction. Where relevant, the Commission has taken this into consideration in its competitive assessment of the Transaction and in its assessment of the remedies offered by Lufthansa and MEF, as further explained in section 12.3 and 14.5.3.2.

7.2.3. ITA's current network and future network planning

(426) In line with the analytical framework outlined in section 7.2.1, the Commission has investigated which changes to the competitive situation of ITA absent the Transaction can reasonably be predicted.

(427) The most suitable starting point to assess ITA's current and future network as well as ITA's future competitive situation more generally is ITA's internal planning as outlined in its business plans.

(428) Since its establishment as a company in November 2020, ITA has had three separate business plans approved by its board of directors. These are the initial business plan covering the period 2021-2025 from July 2021, the second business plan covering the period 2022-2026 from January 2022 and the latest business plan covering the period 2023-2027 from March 2023.[533]

(429) While in many cases the latest business plan approved by a company's board of directors represents the best estimate of a company's future planning in the counterfactual, in the current case the latest business plan (2023-2027) from March 2023 [details on ITA business plan].[534] Therefore, in the Commission's view, the latest business plan (2023-2027) from March 2023 does not necessarily represent an accurate view of ITA's future network and competitive situation absent the Transaction. Instead, the Commission considers that the second business plan (2022-2026) that was developed independently of the Transaction may represent a more accurate representation of ITA's likely future network and competitive situation absent the Transaction.

(430) The Commission notes that, contrary to the argument by Lufthansa and MEF in their Response to the SO, the fact that [Details on ITA business plan] does not mean that the Business Plan is inappropriate as a reference for ITA's likely future network and competitive situation absent the Transaction.[535] In particular, even absent the present Transaction, ITA could still seek an industrial partnership with another investor in order to implement its second business plan.

---

531 Response to the SO, paragraph 20.
532 Response to the SO, paragraph 20.
533 Form CO, paragraph 94.
534 Form CO, paragraph 122.
535 Lufthansa and MEF's Response to the SO, paragraph 17.

(431) As set out in Figure 13, ITA has targeted significant growth since its launch in 2021. It is planning to increase its fleet size to around […] planes and is aiming to transport more than […] passengers on more than […] routes by 2026. It also intends to increase its workforce significantly to more than […] and is aiming to achieve revenues of more than EUR […] by 2026.

Figure 13: ITA's growth plans from 2021 to 2026 as reflected in ITA's business plan 2022-2026

[ITA internal document]

Source: Internal document by ITA, titled […].

(432) As set out in Figure 14 and Figure 15, ITA's business model is that of a network carrier, focussing on the Rome-Fiumicino and Milan-Linate airports. [Details of ITA's business model].

Figure 14: ITA's network centred on Rome Fiumicino and Milan

[ITA internal document detailing ITA's business model]

Source: Internal document by ITA, titled […].

Figure 15: ITA's network strategy

[ITA internal document detailing ITA's network strategy]

Source: Internal document by ITA, titled […].

(433) Based on the above, the Commission concludes that ITA is on a significant growth trajectory, investing in additional aircraft and expanding capacity on new and existing routes. Its business model focusses on hub operations out of Rome-Fiumicino airport with an additional focus on short-haul connections from it and Milan-Linate airport.

7.3. Approach to the short- and long-term impacts of the Covid19 pandemic and Russia's invasion of Ukraine on the competitive landscape

(434) As noted by Lufthansa and MEF, the Covid19 pandemic has had a significant impact on the airline industry.[536] In particular, due to travel restrictions and public health concerns, demand for passenger air transport services significantly decreased after the beginning of the Covid19 pandemic in early 2020. As a result, the aviation industry suffered severe losses. All airlines had to temporally suspend and/or significantly reduce operations on almost all of their routes.

(435) In addition, as further noted by Lufthansa and MEF, Russia's invasion of Ukraine also had an impact on the European aviation sector.[537] Since the beginning of Russia's invasion of Ukraine in February 2022, the closure of Russian and Ukrainian airspaces for European airlines has shifted traffic south, whereas Russian airlines have ceased offering flights to EEA customers.

(436) However, the Commission's investigation did not provide evidence that the decline in demand caused by the Covid19 pandemic and Russia's invasion of Ukraine would be structural or permanent on the investigated routes. Rather, based on industry reports and the results of the Commission's investigation, the Commission considers that demand on the investigated routes has already recovered significantly and will continue to recover gradually from the Covid19 pandemic and that demand on the

536 Form CO, paragraphs 2301 to 2313.

537 Form CO, paragraphs 2314-2323.

investigated routes has not been significantly affected by Russia's invasion of Ukraine.

(437) In this context, according to public sources, many airlines already reported profits in summer 2022 whilst several airlines already outperformed their pre-Covid19 record profits.[538] According to the International Civil Aviation Organisation, the majority of international carriers fully returned to pre-Covid19 levels of operation by Q4 of 2022 or by Q1 of 2023.[539] Other public sources have forecasted significant increases in airline profits in 2023 compared to 2022.[540] Lufthansa itself recorded a highly successful year 2023: "*2023 was one of the best years for the Lufthansa Group in economic terms. The recovery in demand for flights after the coronavirus pandemic continued. In the summer months, tourist travel in particular was in great demand. Accordingly, we further expanded our capacities, especially to leisure travel destinations. Overall, in the past year we once again welcomed more than 120 million passengers on board our aircraft and flew them safely to their destinations. The Lufthansa Group's earnings improved significantly compared with a year ago. Adjusted EBIT increased to around EUR 2.7bn. This means we have achieved the third-best result in the company's history*."[541] Furthermore, Lufthansa finds for 2024: "*On the basis of the forecasts shown for the performance of the overall economy and the sectors in which the Group operates, the Lufthansa Group assumes that the positive course of business in the reporting year will continue in the 2024 financial year. This expectation is based in particular on the ongoing strong demand in the Passenger Airlines segment, which is reflected at the start of 2024 in the form of continued positive developments in new bookings.*"[542]

(438) According to other sources, the airline industry has observed a boom in First Class and Business Class bookings by leisure (rather than business) passengers, partly because of the Covid19 pandemic.[543] This has led some airlines to announce significant investments in their premium products.

(439) The recovery in demand following the negative impact of the Covid19 pandemic is also reflected in ITA's internal documents. Figure 16 illustrates how air traffic from and to Italy, split between domestic, international (short-haul) and intercontinental

---

538 "*A data-driven analysis of the aviation recovery from the COVID-19 pandemic*", Journal of Air Transport Management (Volume 19), June 2023, (available at https://www.sciencedirect.com/science/article/pii/S0969699723000443); "*Pandemic year powered Cargolux to record 2020 profit*", Luxembourg Times, 28 April 2021 (available at https://www.luxtimes.lu/businessandfinance/pandemic-year-powered-cargolux-to-record-2020-profit/1332540.html); "*Europe's largest airline just sounded the alarm on travel demand*", CNN, 24 July 2023 (available at https://edition.cnn.com/2023/07/24/business/ryanair-earnings-post-pandemic-travel-boom/index.html).

539 "*Air traffic recovery is fast-approaching pre-pandemic levels*", ICAO (available at https://www.icao.int/Newsroom/Pages/Air-traffic-recovery-is-fastapproaching-prepandemic-levels.aspx)

540 "*European airline profits expected to 'strengthen' in 2023*"; Business Travel News Europe, 5 June 2023 (available at https://www.businesstravelnewseurope.com/Air-Travel/European-airline-profits-expected-to-strengthen-in-2023).

541 Lufthansa Annual Report 2023, page 7, available at https://report.lufthansagroup.com/2023/annual-report/en/ (last accessed on 11 March 2024).

542 Ibid, page 145.

543 "*High-spending holidaymakers fill airlines" first-class and business seats"*, Financial Times, 9 May 2023 (available at https://www.ft.com/content/6bd19362-f890-4370-af84-f3130e505e1c); "*Come fly first class with me*", Financial Times, 12 May 2023 (available at https://www.ft.com/content/869955ee-82fc-4914-bcde-66fb601f2291).

(long-haul) traffic, has recovered already and is expected to grow further. According to this internal document, there is […].

Figure 16: Air traffic forecast for Italy, as contained in ITA's business plan 2023-2027

[ITA internal document]

Source: ITA internal document, titled […].

(440) In the Commission's view, in its assessment of the effects of the Transaction, the Commission needs to look beyond the temporary effects of the Covid19 pandemic. In line with the provisions of the Horizontal and Non-Horizontal Merger Guidelines, the Commission will therefore not take into account any short-term effects of the pandemic in making its assessment in this decision. Instead, it will assess primarily the market situation in the latest IATA seasons as a reference for the likely future market positions of the Parties' and their competitors, while putting less emphasis on market data from IATA seasons still heavily influenced by the effects of the Covid19 pandemic, such as IATA seasons summer 2020 and winter 2020/2021. In addition, to identify longer-term trends or dynamics, the Commission may also rely on market data from before the Covid19-pandemic. Third, the Commission will take into account any structural changes that have occurred in the market or that can reasonably be expected such as the lasting entry or exit of competitors or structural shifts in competitiveness caused by the Covid19 pandemic or other broader developments.

(441) Finally, the Commission's investigation has not brought forward any evidence that the competitive situation on the investigated routes has been significantly affected by Russia's invasion of Ukraine. Therefore, the purported impact of Russia's invasion of Ukraine is not further considered in this Decision.

7.4. Impact of state aid received by Lufthansa on the competitive assessment

(442) During the Covid19 pandemic, the Commission approved a EUR 6 billion recapitalisation package notified by Germany in favour of Lufthansa. The recapitalisation measures were fully redeemed by Lufthansa almost two years after the adoption of the decision, when Germany sold its last shareholding and exited Lufthansa's registered share capital. However, in May 2023, the General Court annulled the Commission decision.

(443) In accordance with EU case law, the merger assessment will need to assess whether and to what extent the state aid received by Lufthansa strengthened its financial and thus commercial position at the time of taking over ITA as well as its competitive position moving forward.[544]

(444) The Commission considers that the state aid Lufthansa received may have contributed towards it recovering from the Covid19 pandemic more quickly than some of its airline rivals that received less substantial state aid. It therefore may have contributed towards Lufthansa's ability to regain and defend its strong market position in Central Europe following the Covid19 pandemic.

(445) With regards to the possibility that the state aid that Lufthansa received contributed towards Lufthansa's ability to undertake the Transaction, the Commission notes that Lufthansa had already fully repaid the aid that it received from the German state by the time that the Transaction was agreed between the Parties.[545] In addition, the

544 See Cases T-156/98 – RJB Mining v Commission, paragraphs 112-115.

545 Form CO, paragraph 293.

initial capital injection by Lufthansa into ITA would equal EUR 325 million which constitutes less than […] of Lufthansa's annual worldwide turnover. Therefore, the Commission considers that the state aid that Lufthansa received did not play a decisive role in the Transaction.

7.5. ITA's business model and strategic priorities

(446) ITA is a network carrier with airport hubs in both Rome-Fiumicino (FCO) and Milan-Linate (LIN). LIN is a city airport dedicated primarily to serving local (premium) traffic from the Milan area to the main domestic and European markets.[546] FCO, on the other hand, serves as ITA's airport hub for long-haul operations, with also a wide network of domestic (intra-Italy) and short-haul (intra-European) operations that both have a strategic relevance to ITA on their own right as well as serve as important "feeder traffic" to ITA's long-haul operations at FCO.[547]

(447) As a network carrier, ITA's main pillars of operation include (among others) personalised promotions for customers, focus on business and premium leisure travel, and the maximization of profits through ancillary services. In addition, ITA has a focus on brand perception and strong marketing in key destinations.[548]

7.5.1. ITA's operations at Milan-Linate

(448) ITA operates 175 daily slots at LIN.[549] Given LIN's proximity to the city centre of Milan, which is the second biggest city in Italy and a business hub, ITA's air traffic operations at LIN concentrate on point-to-point domestic and short-haul traffic. Since ITA does not operate any long-haul flights from LIN, its operations at this airport focus less on connecting passengers than at FCO. In other words, ITA operates more like a classical point-to-point operator at LIN.

(449) As described in the internal documents of ITA (see Figure 17), […].

Figure 17: ITA internal document

[ITA internal document]

Source: ITA presentation titled […].

(450) Figure 18 shows that only a small proportion of ITA's passengers (on both domestic and short-haul flights) travelling to/from LIN are connecting passengers and that the large majority are point-to-point passengers. It also shows that ITA does not have any passengers travelling on long-haul to/from LIN.

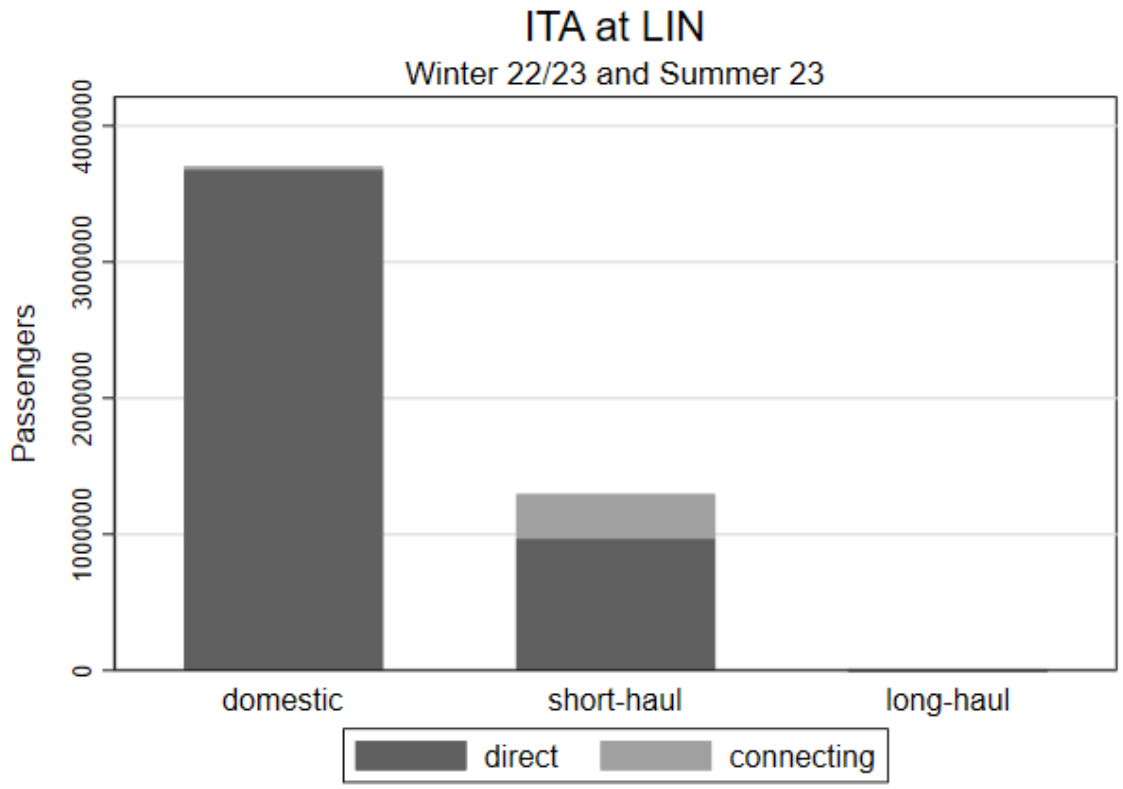
546 Form CO, paragraph 2458.

547 Feeder traffic refers to traffic composed of passengers, normally on domestic or short-haul flights, that connect onto other (normally long-haul) flights following their arrival at the destination of the first leg of the journey. Feeder traffic provided to an airline by a third-party airline (as discussed in section 6.9) constitutes a special kind of feeder traffic.

548 Form CO, paragraph 125.

549 Form CO, paragraphs 126, 137 and 140.

Figure 18: ITA direct and connecting passengers at Linate airport.



Source: Commission calculations based on response to RFI 36 Q1.

7.5.2. ITA's operations at Rome-Fiumicino

(451) ITA's operations at FCO are those of a typical network carrier, where ITA's extensive network of domestic and short-haul flights serves as strategic feeder traffic for its more profitable long-haul operations.

(452) As shown in Figure 19, ITA connects FCO with 22 domestic locations, including most large and medium-sized Italian cities, such as Milan, Naples, Turin, Palermo, Genoa, Bologna, Florence, Bari and Catania. As described in the internal document below, for domestic flights to/from FCO, ITA seeks […], thereby highlighting the important interplay between ITA's domestic and long-haul operations at FCO.

Figure 19: ITA internal document

[ITA internal document]

Source: ITA presentation titled […].

(453) Figure 20 shows [ITA's network plans]. As shown in the internal document, [CITA's network plans] and, therefore, highlights the interplay between ITA's short-/medium-haul operations and long-haul at FCO.

Figure 20: ITA internal document

[ITA internal document]

Source: ITA presentation titled […].

(454) In terms of the long-haul connections that ITA operates from FCO, Figure 21 shows that ITA's main focus is destinations in North and South America, with presence in key destinations in Asia and Africa.[550]

Figure 21: ITA internal document

[ITA internal document]

Source: ITA presentation titled […].

(455) Table 17 confirms that connecting traffic plays an important role for ITA's operations at FCO, with a significant proportion of ITA's passengers on domestic, short-haul and long-haul flights being connecting passengers. It shows ITA's top 5 domestic, short-haul and long-haul routes in Winter 2022/23 and Summer 2023 based on the total number of passengers flown across those two seasons. For each of these routes, it shows the proportion of connecting passengers overall, and on each end of the route (as well as passengers that connect on both ends of the route). As shown in the table, particularly for ITA's routes to/from Rome, connecting passengers make up a significant proportion of the overall volume of passengers flying on these routes with ITA.

Table 17: Connecting passengers on ITA's top domestic, short-haul and long-haul routes[551]

Route	Share of connecting passengers			
	Overall	At City 1	At City 2	At both
Domestic				
Milan-Rome	31.7%	4.0%	26.2%	1.4%
Catania-Rome	42.5%	0.0%	42.5%	0.0%
Cagliari-Rome	27.1%	0.0%	27.1%	0.0%
Catania-Milan	11.1%	0.0%	11.1%	0.0%
Palermo-Rome	46.7%	0.0%	46.7%	0.0%
Short-haul (excl. domestic)				
Milan-Paris	30.4%	26.2%	3.9%	0.2%
Rome-Paris	31.9%	27.7%	3.3%	0.9%
Milan-London	18.1%	16.6%	1.5%	0.0%
Rome-Athens	52.9%	48.5%	3.1%	1.3%
Rome-Barcelona	50.1%	49.1%	0.7%	0.3%
Long-haul				
Rome-New York	56.9%	41.4%	9.3%	6.2%
Rome-Sao Paolo	68.2%	46.3%	9.8%	12.1%
Rome-Buenos Aires	59.4%	58.6%	0.2%	0.5%
Rome-Miami	38.1%	34.6%	2.5%	1.0%
Milan-New York	11.7%	0.4%	11.2%	0.1%

Source: Response to RFI 48 Q1.

550 Form CO, paragraphs 126 and 127.

551 The table shows the share of passengers connecting to another flight on each end of the route, as well as the share of passengers that connect to another flight on both ends of the route. For example, for the route Milan-Rome, 4.0% of passengers connect to/from another flight in Milan only, whereas 26.2% connect to/from another flight in Rome only. 1.4% of passengers on the route Milan-Rome connect to another flight in both Milan and Rome. Overall, 31.7% of passengers travelling the route Milan-Rome with ITA connect to another flight on at least one end of the route.

(456) Table 18 shows that, similar to other network carriers, ITA's most profitable routes are […]. In particular, the table shows the average contribution margin, which represents the margin earned by ITA from point-to-point passengers, as well as the average network contribution, which represents the additional margin earned from passengers connecting onto other flights. […].

Table 18: ITA's contribution margins by type of route[552]

Type of route	Destinations	Average Contribution Margin per Pax (€)	Average Network Contribution per Pax (€)
Long-haul	North America (US/CA)	[…]	[…]
Long-haul	Japan	[…]	[…]
Long-haul	All other regions	[…]	[…]
Short-/medium-haul	Intra-European[553]	[…]	[…]
Short-/medium-haul	All other regions[554]	[…]	[…]
Domestic	Domestic[555]	[…]	[…]

Source: Response to RFI 44 Q4.

(457) Overall, this section shows that connecting passenger flows at FCO mean that ITA's domestic, short-haul and medium-haul operations at FCO are closely inter-connected (in a strategic, commercial and operational sense) with its long-haul operations, including to North America, at FCO.

7.6. Lufthansa's business model and strategic priorities

(458) Lufthansa is a network carrier connecting passengers through its various hubs with a focus on connections to short-haul routes with major destinations in Europe and long-haul routes with destinations around the world.[556] It includes:[557]

(a) network carriers, such as Lufthansa German Airlines, SWISS, Austrian Airlines, and Brussels Airlines which – in line with Lufthansa's multi-hub strategy – offer a broad range of flights from their primary airport hubs in FRA, MUC and ZRH as well as from secondary airport hubs in VIE and BRU;

(b) regional carriers, such as Air Dolomiti, as well as Eurowings Discover and Edelweiss (both leisure focused holiday airlines) which also connect passengers to Lufthansa's hubs;

(c) the point-to-point carrier Eurowings which provides a range of short- and medium-haul routes within Europe, in particular from German-speaking countries.

(459) Lufthansa's offer is complemented by the networks of its joint venture and Star Alliance partners.[558]

552 ITA has calculated the average contribution margin per pax by [Confidential information about the way ITA calculates profitability in the ordinary course of business].

553 This refers to routes within the IATA defined geographical area of Europe.

554 This includes short- and medium-haul routes from/to the Middle East and North Africa.

555 Flights where both the origin and destination is in Italy.

556 Lufthansa Group includes airlines both with network and point-to-point business models, however ultimately the airlines within the Lufthansa Group aim to feed Lufthansa's main hubs.

557 Form CO, paragraph 2457.

558 Form CO, paragraph 2457.

7.6.1. Multi-hub strategy

(460) Lufthansa's core countries include Austria, Belgium, Germany and Switzerland where its hubs are located, namely in Frankfurt (FRA), Munich (MUC), Brussels (BRU), Zurich (ZRH) and Vienna (VIE). As part of the multi-hub strategy, Lufthansa aims to offer a broad range of flights from its primary airport hubs in Frankfurt, Munich, and Zurich as well as from its secondary airport hubs in Vienna and Brussels. This offer is complemented by the networks of its Star Alliance and joint venture partners.[559]

(461) As explained in Lufthansa's internal documents (for example, see Figure 22 below), Lufthansa's business model relies on […] long-haul routes, which in turn are enabled by a wide and dense short-haul network which provides feeder traffic to these airport hubs.[560] Within the framework of this business model, long-haul operations are […]. These […] long-haul routes are, in turn, fed by high-frequency short-haul connections.

Figure 22: Lufthansa internal document

[Lufthansa internal document]

Source: Presentation titled […].

(462) The reliance of Lufthansa's long-haul network on its domestic and short-haul networks is also illustrated by Figure 23. This document explains that, […]. In addition, a large proportion of passengers on Lufthansa's long-haul flights […] are connecting rather than point-to-point passengers. According to Lufthansa, […].

Figure 23: Lufthansa internal document, dated 17 November 2022

[Lufthansa internal document]

Source: […].

(463) As explained in Figure 24, arrivals and departures at hubs form a wave structure whereby arrival waves are positioned earlier than the departure waves with the intention to connect as many arriving short-haul passengers with long-haul departures as possible. Importantly, network carriers with a hub structure require not only inbound but also outbound short-haul (de-feed) traffic. Short-haul flights of a network carrier, such as Lufthansa, primarily serve the purpose of feeding and de-feeding long-haul flights […]. Competitors of the Parties explain that network carriers have more freedom in adapting the prices of their short-haul connections (potentially rendering them less-profitable or not profitable at all) as their primary revenue drivers are the long-haul flights, which the short-haul flight feed (and de-feed). In this respect Ryanair noted that "*short-haul routes can be cross-subsidised by the long-haul part of a journey which Lufthansa realises through feeding its hubs and long-haul flights from these hubs*".[561] Vueling explained that "*it may make sense for Lufthansa to operate high frequencies on short-haul routes to/from its bases in order to feed traffic to its long-haul routes, and which in turn ensure that high frequency short-haul routes are profitable on a total-contribution basis*"[562]

---

559 Form CO, paragraph 175.

560 While the source of the figure is a presentation regarding […] the Commission considers that the business considerations depicted are applicable to all hubs of Lufthansa.

561 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 18, ID 2367.

562 Non-confidential minutes of a conference call with Vueling (IAG Group), dated 18 October 2023, paragraph 13, ID 1026.

Figure 24: Lufthansa internal document

[Lufthansa internal document]

Source: Presentation titled […].

(464) Table 19 confirms that connecting traffic plays an important role for Lufthansa's operations, with a significant proportion of Lufthansa's passengers on domestic, short-haul and long-haul flights being connecting passengers. It shows Lufthansa's top 5 domestic, short-haul and long-haul routes in Winter 2022/23 and Summer 2023 based on the total number of passengers flown across those two seasons. For each of these routes, it shows the proportion of connecting passengers overall, and on each end of the route (as well as passengers that connect on both ends of the route). As shown in the table, connecting passengers make up a significant proportion of the overall volume of passengers flying on these routes with Lufthansa, particularly on long-haul flights but also on domestic and short-haul flights.

Table 19: Connecting passengers on Lufthansa's top domestic, short-haul and long-haul routes[563]

Route	Share of connecting passengers			
	Overall	**At City 1**	**At City 2**	**At both**
Domestic				
Düsseldorf-Munich	36.1%	3.0%	33.0%	0.1%
Hamburg-Munich	37.7%	0.4%	37.3%	0.0%
Berlin-Frankfurt	65.6%	0.1%	65.5%	0.1%
Frankfurt-Hamburg	64.8%	64.6%	0.1%	0.0%
Berlin-Munich	57.7%	0.3%	57.4%	0.0%
Short-haul (excl. domestic)				
Düsseldorf-Palma de Mallorca	1.3%	1.3%	0.0%	0.0%
Frankfurt-London	50.3%	46.6%	2.1%	1.5%
Zurich-London	24.4%	20.9%	3.0%	0.5%
Munich-London	26.9%	23.5%	2.4%	1.1%
Düsseldorf-Vienna	18.7%	2.8%	15.8%	0.0%
Long-haul				
Frankfurt-New York	71.0%	61.6%	1.9%	7.4%
Zurich-New York	61.4%	56.3%	1.9%	3.2%
Munich-New York	69.3%	59.2%	2.2%	7.9%
Vienna-New York	58.8%	42.4%	7.6%	8.8%
Frankfurt-Orlando	60.2%	59.9%	0.2%	0.1%

Source: Response to RFI 48 Q1.

(465) Finally, Table 20 shows that Lufthansa's most profitable routes are […]. In particular, the table shows the average contribution margin, which represents the margin earned by Lufthansa from point-to-point passengers, as well as the average

563 The table shows the share of passengers connecting to another flight on each end of the route, as well as the share of passengers that connect to another flight on both ends of the route. For example, for the route Düsseldorf-Munich, 3.0% of passengers connect to/from another flight in Düsseldorf only, whereas 33.0% connect to/from another flight in Munich only. 0.1% of passengers on the route Düsseldorf-Munich connect to another flight in both Düsseldorf and Munich. Overall, 36.1% of passengers travelling the route Düsseldorf-Munich with Lufthansa connect to another flight on at least one end of the route.

network contribution, which represents the additional margin earned from passengers connecting onto other flights. […].

Table 20: Lufthansa's contribution margins by type of route[564]

Type of route	Destinations	Average Contribution Margin per Pax (€)	Average Network Contribution per Pax (€)
Long-Haul	[…]	[…]	[…]
Long-Haul	[…]	[…]	[…]
Long-Haul	[…]	[…]	[…]
Short-Haul	[…]	[…]	[…]
Domestic	[…]	[…]	[…]

Source: Response to RFI 44 Q4.

(466) Overall, this section shows that Lufthansa's domestic and short-haul operations are closely inter-connected (in a strategic, commercial, and operational sense) with its long-haul operations.

7.6.2. Multi-brand strategy

(467) Lufthansa operates a multi-brand strategy differentiated for each airline of the group. In particular in their home markets, Lufthansa's network carriers and point-to-point carriers are strongly positioned and well-trusted brands. According to a […]survey, the brand awareness of "Lufthansa" […], while Eurowings has a brand awareness of […].[565] The multi-brand approach enables Lufthansa to market different offers (premium, value for money, etc.) across a network of brands based on local preferences.[566] According to Lufthansa's internal documents, Lufthansa's national brands, such as SWISS and Austrian drive customer loyalty, while allowing Lufthansa to market its premium offerings and further increase customer loyalty by utilising a single frequent flyer program across its brands. Each brand within the Lufthansa Group fulfils a defined role to optimally address all relevant customer segments and markets. Lufthansa and SWISS are the premium brands active in the global hubs (FRA, MUC and ZRH), while Austrian and Brussels constitute the premium brands active in the national hubs (VIE and BRU). Eurowings Discover and Edelweiss are value and leisure focused airlines primarily serving to feed and de-feed the global hubs of Lufthansa, while Eurowings (which is distinct from Eurowings Discover) and SunExpress serve primarily as point-to-point carriers. […], its multi-hub and multi-brand strategy allows Lufthansa to serve regions other than its economically attractive but "saturated" core countries Austria, Belgium, Germany, and Switzerland.[567]

7.6.3. Lufthansa's presence in Italy

(468) Lufthansa is present in Italy through various short-haul connections feeding its airport hubs in its core countries. Based on Summer 2024 capacity data, Lufthansa Group and its various subsidiaries currently have short-haul flights scheduled on 116 city-pairs (involving 136 airport-pairs) between Lufthansa's core countries in Austria, Belgium, Germany, and Switzerland (DACHB), on the one hand, and Italy, on the other hand. Lufthansa's 136 short-haul routes between DACHB and Italy

564 Lufthansa has calculated the average contribution margin per pax by [Confidential information about the way Lufthansa calculates profitability in the ordinary course of business].

565 Form CO, paragraph 2469.

566 Lufthansa presentation titled […].

567 Lufthansa presentation titled […].

cover 1 224 average weekly frequencies in Summer 2024 in total. Lufthansa's top 20 routes to/from Italy in terms of average weekly frequency in Summer 2024 is outlined in Table 21 below.

Table 21: Lufthansa's top 20 routes to/from Italy in terms of average weekly frequency in Summer 2024

Lufthansa subsidiary	Route	Weekly frequency (S24)
Lufthansa	Milan (LIN) – Frankfurt (FRA)	38
Lufthansa	Milan (MXP) – Frankfurt (FRA)	36
Lufthansa	Rome (FCO) – Frankfurt (FRA)	34
Lufthansa	Rome (FCO) – Munich (MUC)	32
Air Dolomiti	Venice (VCE) – Munich (MUC)	32
Austrian Airlines	Milan (MXP) – Vienna (VIE)	31
Lufthansa	Venice (VCE) – Frankfurt (FRA)	29
SWISS	Milan (MXP) – Zurich (ZRH)	27
Air Dolomiti	Florence (FLR) – Frankfurt (FRA)	27
Austrian Airlines	Venice (VIE) – Vienna (VIE)	27
Air Dolomiti	Florence (FLR) – Munich (MUC)	27
Air Dolomiti	Bologna (BLQ) – Munich (MUC)	27
SWISS	Rome (FCO) – Zurich (ZRH)	27
SWISS	Florence (FLR) – Zurich (ZRH)	25
SWISS	Venice (VCE) – Zurich (ZRH)	25
Lufthansa	Bologna (BLQ) – Frankfurt (FRA)	23
Air Dolomiti	Turin (TRN) – Munich (MUC)	20
Air Dolomiti	Bari (BRI) – Munich (MUC)	19
Lufthansa	Milan (MXP) – Munich (MUC)	19
Lufthansa	Naples (NAP) – Frankfurt (FRA)	19

Source: M.11071 – Annex 100 Market shares tables (RFI9Q70) – RFI31 Q3 Version.xlsx.

(469) The width and depth of Lufthansa's existing short-haul network to Italy is also outlined in the internal document from Lufthansa (Figure 25) below. This shows that Lufthansa's existing network in Italy covers most of the geography of Italy and that high frequencies connect most large and medium-sized cities in Italy with Lufthansa's hubs in Central Europe.

Figure 25: Lufthansa internal document

[Lufthansa internal document]

Source: […].

(470) As outlined in the below internal document (Figure 26), Italy is Lufthansa's most important European country outside its core countries in DACHB. As also described in this internal document, […].[568] In other words, Lufthansa's short-haul operations in Italy […] profit Lufthansa by feeding passengers into its hubs in DACHB where

568 See also: Lufthansa and MEF's response to RFI 35, Q20.

they are then transferred onto long-haul flights operated by Lufthansa. […]. In other words, […]. As stated in the document below, […].

Figure 26: Internal document from Lufthansa outlining its Italy strategy[569]

[Lufthansa internal document]

Source: […].

(471) Further strengthening its already significant presence in Italy plays a central role in Lufthansa's rationale for the Transaction as outlined in Figure 27 below. The document describes Italy as [details of a Lufthansa internal document].

Figure 27: Lufthansa internal document

[Lufthansa internal document]

Source: Lufthansa internal document, […].

(472) Air Dolomiti, which is a wholly owned subsidiary of Lufthansa based in Verona with a fleet of […] aircraft, […]. Air Dolomiti also has bases in Florence and in Venice. Air Dolomiti mainly offers connections between Italian airports and Lufthansa's hubs in FRA and MUC as shown in Figure 28 below (EN is the IATA airline code for Air Dolomiti). It is explicitly seen as a feeder airline for Lufthansa that serves to feed Italian passengers (primarily in Northern Italy) to its hubs in FRA and MUC for the purposes of strengthening Lufthansa's long-haul presence in Italy (via one- or multi-stop routes).

Figure 28: Lufthansa internal document

[Lufthansa internal document]

Source: […].

(473) Air Dolomiti also plans (see Figure 29 below) […].

Figure 29: Lufthansa internal document

[Lufthansa internal document]

Source: […].

(474) Air Dolomiti does not connect airports within Italy with each other.

(475) Finally, Lufthansa is currently present in Italy via its JV partners, including its transatlantic JV partners United Airlines and Air Canada from the A++ joint venture. The direct flights to/from Italy (all long-haul) offered by Lufthansa's JV partners based on Summer 2024 capacity are outlined in Table 24 below.

569 In this internal document, […]. It therefore is a measure of profitability used by Lufthansa.

Table 22: Direct long-haul routes of Lufthansa's JV partners to Italy - S24 weekly frequency

JV partner	Route	Weekly frequency (S24)
Air Canada	Rome (FCO) – Toronto (YYZ)	10
Air Canada	Rome (FCO) – Montreal (YUL)	8
Air Canada	Milan (LIN) – Montreal (YUL)	6
Air Canada	Venice (VCE) – Toronto (YYZ)	3
Air Canada	Venice (VCE) – Montreal (YUL)	2
United Airlines	Rome (FCO) – New York (EWR)	14
United Airlines	Rome (FCO) – Washington (IAD)	12
United Airlines	Naples (NAP) – New York (EWR)	11
United Airlines	Milan (MXP) – New York (EWR)	7
United Airlines	Rome (FCO) – San Francisco (SFO)	7
United Airlines	Rome (FCO) – Chicago (ORD)	7
United Airlines	Milan (MXP) – Chicago (ORD)	7
United Airlines	Venice (VCE) – New York (EWR)	6

Source: M.11071 – Annex 100 Market shares tables (RFI9Q70) – RFI31 Q3 Version.xlsx.

7.7. Evidence on the impact of the Transaction

7.7.1. Evidence from internal documents

(476) Internal documents of Lufthansa show that Lufthansa is expecting price increases on the overlapping routes after the Transaction.

(477) *First*, in the context of the first round of the privatisation process of ITA launched by the MEF in February 2022, where Lufthansa participated in a consortium with Mediterranean Shipping Co. (MSC), Lufthansa prepared an internal presentation […].[570] This presentation was prepared by senior managers within Lufthansa, including […].[571]

(478) In the presentation, […]. Figure 30 below shows an excerpt from the presentation […]. According to this slide, […]. As explained in further detail below, this means that Lufthansa expects that increased market concentration will result in increased profitability via the ability to profitably raise prices.

Figure 30: Lufthansa internal document

[Lufthansa internal document]

Source: […].

(479) Using a linear regression model, Lufthansa estimated how an increase in market concentration (measured in terms of change in HHI by O&D) will result in increased profit margins for all market participants on these routes where the increase in market concentration takes place. As explained by Lufthansa, "*[a]s part of the methodology, all airlines present in an O&D can profit from market concentration.*

570 Lufthansa and MEF's response to RFI 35, Q3.

571 Lufthansa and MEF's responses to RFI 35, Q1 and Q2.

Hence, also other airlines (OAL) see yield improvements".[572] Further, Lufthansa explained that, while increases in yield (or profit margins) are not always driven by increases in prices, in the present model any increases in yield are due to increases in prices on such routes (due to the loss of competition). […].[573] Overall, the underlying rationale of the estimated synergy can be summarised as follows (as taken from Lufthansa's internal document reproduced in Figure 31 below): […].

(480) Further background on the methodology is found in the two additional excerpts from internal documents from Lufthansa below (Figure 31 and Figure 32).

Figure 31: Lufthansa internal document

[Lufthansa internal document]

Source: […].

Figure 32: Lufthansa internal document

[Lufthansa internal document]

Source: […].

(481) In an internal email, a Lufthansa employee interprets the figures by explaining that the effects result from [details of an internal document].[574]

(482) In terms of methodology, […].[575] In addition, these synergies assume [methodology assumptions].[576] Contrary to Lufthansa's arguments in the Response to the SO,[577] […][578]), [579][580] […][581], […][582] […][583] […][584] […].[585]

(483) Importantly, the analysis is based on […]. This means that these models cannot reliably be used to estimate the actual total merger-specific effects of the Transaction.

(484) Nevertheless, the analysis performed by Lufthansa predicts positive price effects on […].[586] […].[587]

(485) Independently of the specific price effects found in this model, this presentation and the underlying models show that Lufthansa itself expects that the Transaction will result in significant price increases on many overlapping routes and that these price effects take place primarily on overlapping short-haul routes between Italy and the DACHB region and on overlapping long-haul routes between Italy and North America. Finally, this analysis shows that Lufthansa expects such price increases to take place on direct/direct, direct/indirect and indirect/indirect overlapping routes.

572 Lufthansa and MEF's responses to RFI 35, Q6.
573 Lufthansa and MEF's responses to RFI 35, Q6.
574 Email with the subject line […].
575 Lufthansa and MEF's responses to RFI 35, Q5.
576 Lufthansa and MEF's responses to RFI 35, Q18.
577 Response by Lufthansa and MEF to the SO, paragraph 42.
578 Email […].
579 Lufthansa internal document […].
580 Lufthansa internal document […].
581 Ibid, slide 5.
582 Lufthansa internal email exchange, […].
583 Ibid.
584 Lufthansa internal document […].
585 Lufthansa internal email exchanges […].
586 RFI 35 - DLH Annex Q6 - Market concentration Fare O&D.
587 […].

(486) <u>*Second*</u>, an undated document prepared by Lufthansa's management consultants ([…]) […] (here referred to as […]) […] (here referred to as […]).[588] While the document was not prepared by Lufthansa itself, as pointed out in the Response to the SO,[589] Lufthansa appears to have commissioned and compensated […] for this analysis and therefore appears to place value in the type of assessment performed in this document.

(487) As shown in the excerpt from this document below, Lufthansa's management consultants expect that […] that will lead to a […]. The document finds that […].

Figure 33: Internal document (Lufthansa) – [Lufthansa internal document prepared by a management consulting company]

[Lufthansa internal document prepared by a management consulting company]

Source: […].

(488) <u>*Third*</u>, additional internal documents of Lufthansa see price increases or the raising of barriers to entry and expansion as a beneficial effect of acquiring ITA or […]:

(a) In one internal document, Lufthansa identifies […][590], "*[…]*"[591] […].[592]

(b) In one internal document, Lufthansa identifies as a strategic objective for its operations to the United States and Canada to […].[593]

(c) In one internal document, Lufthansa identifies […].[594] In another internal document, Lufthansa identifies […][595] as a benefit of acquiring ITA.

(d) In other internal documents, Lufthansa identifies […],[596] […][597] […],[598] […].

(e) In […] analysis quoted in Figure 33 above, Lufthansa's management advisors ([…]) predict "*[…]*" as one benefit of acquiring ITA and/or […].[599]

7.7.2. The Commission's regression analysis

(489) Annex I to the Decision details the regression analysis carried out by the Commission to assess the relationship between the competitive landscape and Lufthansa's average prices on both long-haul and short-haul routes. Annex I also addresses the Parties' comments on the Commission's regression analysis. This analysis can help in the assessment of whether the presence of competitors, and in particular ITA, has an impact on the prices charged by Lufthansa, as well as in quantifying the magnitude of such an impact. As such, the regression analysis contributes to assessing whether the Transaction is likely to significantly impede effective competition.

(490) Together with the Commission's regression, there are three independent pieces of regression analysis in the case file. As discussed above in section 7.7.1, in the

588 […].
589 Response by Lufthansa and MEF to the SO, paragraph 42.
590 Lufthansa internal document titled […].
591 Ibid, slide 9.
592 Ibid, slide 18.
593 Lufthansa internal document […].
594 Lufthansa internal document, […]; also contained in Lufthansa internal document […].
595 Lufthansa internal document, […]. The full quote reads […] with additional explanations […].
596 Lufthansa internal document […]; see also Lufthansa internal document […]; see also, in the context of discussions of […], Lufthansa internal document […].
597 Lufthansa internal document […].
598 Lufthansa internal document […] also contained in Lufthansa internal document.
599 […] document produced for Lufthansa, […].

context of the assessment of the Transaction, Lufthansa itself prepared its own regression modelling showing that the number of competitors active on a route is an important factor for prices: having fewer competitors active on a route is associated with higher prices.[600] Also, during the Commission's investigation the Parties submitted a supplementary cross-sectional regression analysis to support the their claim that Ryanair exerts significant competitive pressure on Lufthansa on routes where Ryanair is present,[601] and that ITA does not exert the same competitive pressure on routes where ITA is present.[602] While these various regression analyses differ in some of their technical and specification details, their results consistently point towards similar conclusions. Namely, all these regression models show that, on the relevant airline markets, competition matters, and having fewer competitors on a given route is associated with higher prices. In this general sense, the quantitative evidence on file supports the rest of the evidence gathered and assessed during the investigation.

(491) Regression analysis is a statistical tool commonly used in economics for understanding the relationship between two or more variables. In this case, the main variables are on the one hand Lufthansa's prices, and on the other hand the number of competitors. To shed light on the relationship between these two variables, the analysis has to control for the role played by other variables, for example demand and supply factors that can also influence Lufthansa's prices on a route.

(492) The Commission applied a methodology commonly known as 'fixed effects' regressions to a panel of data that allows to isolate the factors that influence Lufthansa's prices. The fixed effects methodology takes account of important but unobserved (or unmeasured) effects on price that do not vary over time on any given route or that vary over time but are the same across all routes. In addition, further control variables take account of important observed effects that may vary over time on a given route. As a result, the estimated effects will capture changes in prices on a route when changes in competition occur on that route (as opposed to simply comparing prices across routes where competition may differ).

(493) The data and analysis can then show whether Lufthansa offers lower prices on average on a route when there is more competition compared to when there are less operators. That is, the regression models and the data give rise to the testable hypothesis that other operators' presence is associated with a statistically[603] and economically significant reduction in Lufthansa's prices in the various routes where they overlap.

(494) The results of the regression analysis for short-haul routes suggest that (i) increased competition on a route is associated with lower average Lufthansa prices; and (ii) ITA's presence on a route is associated with lower average Lufthansa prices. These results indicate that a reduction in the number of competitors active on a route is likely to increase prices.

---

600 […].

601 The Parties' cross sectional regression analysis finds that Lufthansa's prices on its routes on average are [10-20]% lower if it faces competition from an airline other than Ryanair, including ITA, and [30-40]% lower if it faces competition from Ryanair. See Annex, paragraph 75.

602 Supplementary regression analysis "ppt - Closeness of competition - 060324 - Final" submitted on 7 March 2024.

603 *Statistical significance* is a formal way of assessing whether observed associations are likely to be explained by chance alone.

(495) More specifically, the results of the regression analysis on short-haul routes indicate that:

(a) Routes with a higher number of competitors have prices on average [10-20]% lower than routes where Lufthansa is a monopolist.[604]

(b) Specifically, the first competitor is associated with Lufthansa's prices being reduced by [5-10]-[5-10]%,[605] while each subsequent additional competitor beyond the first one is associated with Lufthansa's prices being reduced by [0-5] - [5-10] additional percentage points.[606]

(c) The robustness analysis carried out suggests that the effect on Lufthansa's prices associated to the first competitor can range between [5-10]% to [20-30]%,[607] while the effect from each subsequent additional competitor can be as large as [10-20] percentage points.[608]

(496) The Commission's fixed effects regression also allows one to assess the relationship between ITA's presence and Lufthansa's prices. The results of this regression analysis indicate that ITA's presence on routes operated also by DLH is associated with on average approximately [10-20]-[20-30]% lower Lufthansa prices.[609]

(497) These results imply that Lufthansa's prices are estimated to be:

(a) about [5-10]-[5-10]% higher on monopoly compared to duopoly routes ("2-to-1" impacts), but about [10-20]% higher where the competitor disappearing is ITA, and

(b) about [0-5]-[5-10]% higher on duopoly compared to three-or-more-carrier routes ("3-to-2" impacts), but about [10-20]% higher where the competitor disappearing is ITA.

(498) Finally, the results of the regression analysis for long-haul routes also suggest that increased competition on non-stop routes to North America is associated with lower

---

604 See Annex I, column (4) of Table 4 and Table 10, row labelled "2 or more additional competitors (incl. ITA/Alitalia, excl. Lufthansa)".

605 See Annex I, column (4) of Table 4 and Table 10, row labelled "1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)".

606 See Annex I, column (4) of Table 4 and Table 10, row labelled "Average effect from 3 to 2 carriers on a route". The effect of [0-5]% is statistically significant only at [10-20]% in the overall sample that include both IATA summer and IATA winter seasons, which indicates a moderate likelihood that the observed outcome is not due to random chance, though scientific research in economics typically consider a stricter threshold of [10-20]% to minimize the risk of false positives. This effect is nonetheless economically relevant: in smaller samples, even economically meaningful effects may fail to reach statistical significance due to the lower number of observations, whereas in larger samples, even small effects can achieve statistical significance. Therefore, the absence of statistical significance does not necessarily imply the absence of an economically meaningful relationship. Moreover, this effect is also larger and statistically significant at [10-20]% in the sensitivity based only on IATA summer seasons. When the analysis is carried out on only IATA summer seasons, the first competitor is associated with Lufthansa's prices being reduced by [10-20]%, while each subsequent additional competitor with a further 5 percentage points reduction. The estimated effect appears instead milder in IATA winter seasons.

607 See Annex I, columns (2) to (5) in Table 4, Table 5, Table 10 and Table 11, row labelled "1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)".

608 See Annex I, columns (2) to (5) in Table 4, Table 5, Table 10 and Table 11, row labelled "Average effect from 3 to 2 carriers on a route".

609 See Annex I, column (1) in Table 7, Table 8, Table 12 and Table 13, considering all rows containing the label "ITA is present".

average prices. Thus, the results clearly indicate that a reduction in the number of competitors active on a route is likely to increase prices. In particular:

(a) Routes with a higher number of competitors have prices on average [20-30]-[20-30]% lower than routes where Lufthansa is a monopolist.

(b) Specifically, the first non-stop competitor entering a route is associated with Lufthansa's prices being reduced by approximately [5-10]%, while each additional non-stop competitor with a further [10-20]-[10-20] percentage points reduction.

(c) The robustness analysis carried out suggests that the effect on prices associated to the first non-stop competitor can range between [5-10]% and [5-10]%, while the effect on prices associated to additional non-stop competitors beyond the first can range between [10-20]% and [10-20]%.

(d) The first additional indirect competitor decreases prices by only about [0-5]%,[610] while two or more additional indirect competitors decrease prices by about [5-10]% compared to monopoly, which means an additional indirect competitor beyond the first one is associated with Lufthansa's prices being about approximately [5-10] percentage points lower.

(499) These results also indicate that indirect competitors exert a competitive constraint on non-stop operators on long-haul routes, but also suggest that the constraint exerted by non-stop operators on other non-stop operators is likely greater than the one exerted by indirect competitors.

(500) Annex 1 provides a full overview of the findings of the Commission's analysis as well as a detailed assessment of the most relevant of the Parties' claims as per their Response to the 6.1.c Decision, their Response to Statement of Objections, their Response to Second Letter of Facts, as well as the other ancillary submissions as well as the points raised in the Oral Hearing.[611]

7.7.3. Stakeholder feedback

(501) *First*, although the results of the Commission's market investigations were mixed overall, several market participants have expressed concerns about the strong market position of the Parties and the potential negative effects on competition of the Transaction.

(502) In particular, several customers indicated that the Transaction has the potential to limit effective competition and will likely lead to worse market outcomes, leading to higher prices, lower capacity, and/or worse quality on the routes between the US and Europe. As an example, one customer explained that "*After we have seen the effects of previous Lufthansa Group acquisitions, particularly the Air Berlin integration into Lufthansa's subsidiary Eurowings, we do not expect positive outcomes for the consumer or businesses - rather a further growing airline group that will have the ability to dominate air traffic between Italy and its existing 'home markets' and thereby the incentive to increase air fares and/or decrease number of departures and*

610 This effect is not statistically significant at 10% once the COVID period is included in the analysis.

611 See the Parties' Response to the Article 6(1)(c) Decision, paragraph 46 to 57, the Supplementary regression analysis named "ppt - Closeness of competition - 060324 - Final" submitted on 7 March 2024, the Parties' Response to the SO, paragraphs 26 to 32 and Annex I, and the Parties' Response to the LoF II, paragraphs 69-83.

overall choice for consumers"[612]. Another customer maintained that "*looking at what happened both for passengers and for travel agencies after the acquisition of Austrian Airline, SWISS, Brussels Airlines, by LH, we can imagine that for IT and foreign consumers, as well as for Italian travel agency, the acquisition of ITA by LH will certainly have a NEGATIVE impact. Increase in prices, fewer services and opportunities of doing business also for Italian agencies and TOs*".[613]

(503) Concerns around the strong market position of the merged entity were mirrored by several competitors. One competitor explained that "*Through the transaction, Lufthansa is securing the flag carrier of one of Europe's largest market, a top destination for business (North), leisure (tourism) and VFR (Italian dispora* [SIC]*)*", and that the Transaction "*will further increase Lufthansa's mammoth position in this key market and in Central Europe. Customers will have no choice but fly Lufthansa, and it will become challenging for competitors (even the largest) to attract traffic to/from Italy. Besides, ITA has a growth plan that implies fleet orders and routes opening, thus further expanding the adverse effects of this transaction to potential destinations that ITA may serve in the future*".[614] Another competitor explained that the Transaction "*will not be a positive development for Italian passengers specifically"* and "*traffic may be concentrated to fewer destinations and towards Lufthansa's hubs post-Transaction*".[615] Additional concerns, mainly with respect to Milan Linate, have been raised by other competitors.[616] For instance, Wizz Air indicated that the Transaction "*will further contribute to the slot concentration between the Parties (especially in LIN) and limit the ability of new entrants to effectively compete with the Parties*"[617]. Since the rivals' submissions may be driven by self-interest, the Commission will rely on those only for their factual claims that can be corroborated from other sources, such as data or internal documents provided by the Parties.

(504) Likewise, several consumers indicated that they expect negative effects of the Transaction. As an example, a group of organizations representing European consumers, passengers, air ticket intermediaries and airports explained that, whilst "*Europe's internal air travel market is a remarkable EU success story*" as it "*has led to cheaper, safer, and more comprehensive air connections throughout the EU*", the current "*wave of airline consolidation could drastically limit competition on thousands of connections, thus giving more leeway to market dominant players to develop and abuse their positions, at the expense of European travelers. The fact that many European airports are or will become congested combined with outdated EU airport slot allocation rules only adds to these concerns*".[618]

---

612 Non-confidential response of […] to question H.8 of questionnaire 06 to customers of both short-haul and long-haul flights, ID 8949.

613 Non-confidential response of […] to question H.8 of questionnaire 06 to customers of both short-haul and long-haul flights, ID 9675.

614 Non-confidential response of AFKLM to question G.2 of questionnaire 04 to long-haul competitors, ID 9285.

615 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, ID 2367.

616 Non-confidential minutes of a conference call with Luxair, dated 6 June 2023, ID 430.

617 Non-confidential response of Wizz Air to question I.7 of questionnaire 03 to short-haul competitors (ID 9480). Non-confidential Condor's observations dated 12 December 2023, ID 11270, and Condor's non-confidential supplementary observation dated 23 February 2024, ID 11272.

618 Joint letter of BEUC, the European Passengers' Federation, the European Travel Agents' and Tour Operators' Association and Airports Council International – Europe, dated 31 January 2024 (ID 11383).

(505) By contrast, the deal is receiving support from the Parties' unions,[619] one individual consumer[620], as well as from the Parties' aircraft supplier.[621]

(506) *Second*, several market participants have expressed concerns about the negative impact of past acquisitions by Lufthansa of other European airlines. The Commission asked market participants how Lufthansa's expansion within the EEA through acquisitions in the past (including of Brussels Airlines, Austrian Airlines, parts of Air Berlin, Eurowings, Air Dolomiti and SWISS) has affected competition on routes to/from Austria, Belgium, Germany, Switzerland and other countries in the EEA and how their business was affected. Several customers and competitors active on short-haul routes pointed to a negative impact on competition and to higher prices. While a majority of the market participants had no particular view, market participants were three times more likely to conclude that the acquisitions of the airlines by the Lufthansa Group, had a negative impact on competition than a positive impact. For instance, with regard to Austria, 39 market participants held an unfavourable view concerning Lufthansa's acquisition of Austrian Airlines and the concomitant impact on competition in Austria compared to 9 market participants having a positive view of the acquisition. Similarly, 31 market participants determined that Lufthansa Group's acquisition of Brussels Airlines had a negative impact on competition, compared to 8 market participants having a favourable view of the acquisition.[622]

(507) Such dynamics seem to be mirrored also by Lufthansa's internal considerations. In an internal document, Lufthansa finds that neighbourhood traffic within the area formed by Germany, Austria, Switzerland and Belgium is […].[623] The […] on hub-to-hub flights within DACHB suggests that Lufthansa faces less competitive pressure on these routes and therefore also point towards a negative effect on competition of these past acquisitions.

8. HORIZONTAL OVERLAPS IN PASSENGER AIR TRANSPORT

(508) As further discussed in sections 9 and 10, based on the market investigation, the Commission finds that the Transaction would significantly impede effective competition with respect to passenger air services on:

(a) 10 short-haul routes where both Lufthansa and ITA offer (or intend to offer) direct services, namely on the routes from Milan to Brussels ('MIL-BRU'), Düsseldorf ('MIL-DUS'), Frankfurt ('MIL-FRA'), Hamburg ('MIL-HAM'), and Vienna ('MIL-VIE'); from Rome to Brussels ('ROM-BRU'), Frankfurt ('ROM-FRA'), Munich ('ROM-MUC'), Zurich ('ROM-ZRH'), and Hamburg ('ROM-HAM'); and,

(b) 8 short-haul routes where either Lufthansa or ITA offer (or intend to offer) direct services, and the other merging party offers indirect (one stop) service, namely: from Brindisi to Düsseldorf ('BDS – DUS'), from Bari to Frankfurt ('BRI – FRA'), from Bari to Munich ('BRI – MUC'), from Bari to Hamburg ('BRI – HAM'), from Naples to Frankfurt ('NAP – FRA'), from Naples to

619 Joint Statement of ITA Airways and Lufthansa Group Trade Unions, ID 10943.
620 Email from individual consumer, ID 10938.
621 Letter from Aercap, ID 11984.
622 Responses to question E.1 of questionnaire 06 to customers of both short-haul and long-haul flights. Responses to question F.1 of questionnaire 03 to short-haul competitors.
623 Lufthansa internal document, titled […].

Düsseldorf ('NAP – DUS'), from Naples to Hamburg ('NAP – HAM'), and from Cagliari to Munich ('CAG – MUC'); and,

(c) 3 long-haul routes where both ITA and one of Lufthansa's JV partners offers a direct service, namely: from Rome to each of Washington, San Francisco, and Toronto (summer only).

(509) The above overlaps are discussed below in section 9 (for the short-haul routes) and section 10 (for the long-haul routes).

9. COMPETITIVE ASSESSMENT – HORIZONTAL OVERLAPS ON SHORT-HAUL ROUTES

9.1. Common considerations on horizontal overlaps on short-haul routes

9.1.1. Competitive landscape

9.1.1.1. Actual Competition

(510) The direct competitors of the Parties on the short-haul routes where the Transaction gives rise to competition concerns, based on the Commission's assessment, (see sections 9.2, 9.3 and 9.4) are the following low-cost carriers ("LCCs") and ultra-low-cost carriers ("ULCCs").[624] The Commission highlights that there are no other network carriers active on these routes (other than Lufthansa and ITA) and therefore the only carriers exerting competitive pressure on Lufthansa and ITA are LCCs or ULCCs.

9.1.1.1.1. Ryanair

(511) Ryanair is a ULCC headquartered in Dublin, Ireland. The Ryanair group consists of Ryanair, Ryanair UK, Buzz, Lauda and Malta Air and connects 240 destinations over 40 countries, offering low fare options.

(512) Ryanair operates a point-to-point ("P2P") business model on short-haul routes. The P2P model entails offering direct, non-stop routes without connecting passengers through a hub.

(513) It is Lufthansa and ITA's only other competitor on the following routes where Lufthansa and ITA currently compete: Milan – Brussels (BGY-CRL), Milan – Düsseldorf (BGY-CGN), Milan – Frankfurt (BGY-HHN), Milan – Hamburg (BGY-HAM), Milan – Stuttgart (BGY-FKB), Rome – Brussels (CIA-CRL and FCO-BRU), Rome – Frankfurt (FCO-HHN) and Rome – Munich (FCO-FMM). Ryanair is also active on the routes Milan – Vienna (MXP-VIE) and Rome – Vienna (FCO-VIE) which ITA currently plans to enter.

(514) Ryanair primarily flies to secondary / regional airports (such as HHN or CRL) and usually has only a limited presence on primary airports (such as VIE or BRU).

---

624 LCCs and ULCCs are similar in terms of business model, as both type of airlines provides P2P services, and their choices are primarily driven by costs. However, LCCs, such as easyJet, may choose to operate from primary airports and also attempt to be attractive to both leisure and business travellers. On the other hand, ULCCs usually aim to provide the most cost-effective solutions, with little to no regard to other considerations (various services, appeal to business or time-sensitive demand, etc.) and generally operate from secondary / regional airports. *See* non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 8, ID 1054, and non-confidential minutes of a conference call with Vueling (IAG Group), dated 18 October 2023, paragraph 5, ID 1026.

9.1.1.1.2. Wizz Air

(515) Wizz Air is an airline group, headquartered in Budapest, Hungary. The business model of the group is similar to that of Ryanair's. It is a ULCC operating on a P2P basis, focusing on providing low fares and ancillary services. The network strategy of Wizz Air is to sell short-haul and medium-haul direct flights.[625]

(516) Wizz Air competes with Lufthansa and ITA on the route Rome – Zurich (FCO-BSL). It is also active on the route Rome – Vienna (FCO-VIE), whereas as of Summer IATA Season 2024 it will commence operations on the route Rome – Hamburg, where it plans to operate during both Winter and Summer IATA Seasons. ITA currently plans to enter the Rome-Vienna and Rome-Hamburg routes.

9.1.1.1.3. easyJet

(517) easyJet is an LCC headquartered in Luton, United Kingdom. It is a European majority owned and controlled LCC that operates a P2P business model. It is active in the European short-haul aviation market and is focused primarily in Western and Northern Europe. easyJet's principal activity is the operation of international and domestic scheduled services for air transport of passengers under a low-cost model. It operates domestic and international scheduled services on over 1000 routes in 36 countries to/from 155 airports, and operates three AOCs within the EU, UK and Switzerland.[626]

(518) easyJet competes with the Parties on the route Rome – Zurich (FCO-BSL).

9.1.1.1.4. Neos

(519) Neos is an Italian airline, part of the largest Italian touristic group – Alpitour. Neos, the airline is focused on the leisure market. It is headquartered in Milan, Italy, where it also operates its main base (in Malpensa). Neos, the airline, operates also from Verona, Rome, Bologna and Bergamo, 29 destinations out of which only 9 are short-haul routes. Neos' fleet consists of 6 B787-9 Dreamliner, 5 B737-800 and 4 B737-8 Max. In the course of 2024, Neos will increase its fleet by an additional 4 B737-8 Max. The majority of Neos' activities in 2023 were primarily focused on scheduled flights (87%), followed by limited charter flight activities (11%) and minimal air cargo transport, MRO and training activities (2%). Almost half of Neos' seats are sold through the tour operators of Alpitour Group (45%) while the remaining seats (55%) are sold through a number of distribution channels, including GDS, metasearch engines, OTAs and Neos' own website.[627] Neos currently has a special pro-rate interline agreement with ITA for interline electronic ticketing.[628]

(520) Neos does not currently compete with the Parties on any of the short-haul direct/direct overlapping routes. However, it operates Inclusive Tour Charter flights[629] on the route Milan – Hamburg (MXP – HAM) for affiliated cruise

625 Response of Wizz Air to question B.2.1. of questionnaire 03 to short-haul competitors, ID 12134.

626 Response of easyJet to question B.2.1. of questionnaire 03 to short-haul competitors, ID 12368.

627 Response of Neos to question B.2.1. of questionnaire 03 to short-haul competitors, ID 10170.

628 Response of Neos to a Commission's pre-notification request for information (RFI 1), dated 31 October 2023, question 4, ID 947.

629 Inclusive Tour Charter flights are operated for tour operators, with the seat capacity of the aircraft sold by the tour operator for its own purposes. These flights may fly with or without "dry seats" (seats which are available to be sold to customers through direct sales channels).

companies, whose seats, however, are not for sale on any distribution channel, and are only available to the customers of the cruise companies.[630]

9.1.1.1.5. Marabu Airlines

(521) Marabu is an Estonian airline, operating out of Hamburg and Munich in Germany, offering short and medium-haul flights for air transport passengers to (leisure) destinations in Portugal, Spain (including the Canary and Balearic Islands), Sardinia, Croatia, Greece and Egypt. Marabu's ticket sales are handled by the German leisure airline Condor Flugdienst GmbH.[631]

(522) Marabu Airlines competed with the Parties on the route Rome – Hamburg over the Summer IATA Season 2023.

9.1.1.2. Potential competition

(523) The Parties submit that they face threats of entry on certain short-haul direct/direct overlapping routes from Transavia, Vueling, TUI Fly, and Jet2, as a result of their presence and/or operation of bases in certain of the airports of concern as well as some of those competitors' past presence in some of the overlapping routes.[632]

9.1.1.2.1. Transavia

(524) Transavia, is the LCC subsidiary of the Air France-KLM group, with operations in the Netherlands and France. It operates a P2P business model directed at short- and medium-haul price sensitive customers (both leisure and corporate) as well as operating charter flights directed at tour operators.[633]

(525) Transavia does not currently compete with the Parties on any of the short-haul direct/direct overlapping routes.

9.1.1.2.2. Vueling

(526) Vueling is the Spanish LCC of the International Airlines Group ("IAG") and is headquartered in Barcelona, Spain. Vueling operates a P2P model and serves short-haul, medium-haul and long-haul destinations in Africa, Asia, Europe and the Middle East.[634]

(527) Vueling does not currently compete with the Parties on any of the short-haul direct/direct overlapping routes.

9.1.1.2.3. TUI

(528) TUI's airlines offer mainly charter services for passenger air transport, with predominantly a P2P short- and medium-haul network to leisure destinations around the Mediterranean (with limited presence in Italy), the Canary Islands, Cape Verde and Egypt (Red Sea). In addition, TUI´s airlines offer long-haul charter services to the Caribbean, Mexico and the US. TUI's airlines mainly sell tickets, either as part of TUI´s package offerings or as seat-only, through TUI´s own retail agency network or

630 Minutes of a conference call with Neos, dated 16 February 2024, paragraphs 6-7, ID 11599; and, Response of Neos to a Commission's pre-notification request for information (RFI 1), dated 31 October 2023, question 6, ID 947.

631 Response of Marabu Airlines to question B.2.1. of questionnaire 03 to short-haul competitors, ID 12550.

632 Form CO, Table 7 and paragraph 1320; and Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024, paragraph 235.

633 Response of Air France-KLM to question B.2.1. of questionnaire 03 to short-haul competitors, ID 12093.

634 Response of IAG to question B.2.1. of questionnaire 03 to short-haul competitors, ID 12044.

own online websites. Rather than following a certain fare ladder, TUI's prices vary according to demand and can vary a lot over time, which is a different approach compared to the classic yield model often applied by scheduled airlines. This is because TUI is predominantly targeting the leisure market instead of the business travel segment.[635]

(529) TUI does not currently compete with the Parties on any of the short-haul direct/direct overlapping routes.

9.1.1.2.4. Jet2

(530) Jet2.com is the UK's third largest airline, flying from 11 UK airports to more than 65 destinations across Europe, the Mediterranean and the Canary Islands. In Summer 2023, Jet2.com operated a fleet of 119 planes.

(531) Jet2.com does not currently compete with the Parties on any of the short-haul direct/direct overlapping routes.

9.1.2. Closeness of competition

(532) This section contains a number of general remarks with respect to the closeness of competition between the Parties and their competitors, which to varying degrees are relevant for all short-haul routes covered by this Decision. As set out in Section 7.1.1, when the combined market shares are in excess of 50%, the Commission's competitive assessment does not generally require the parties to be close competitors for the Commission to find that a merger would significantly impede effective competition as market shares above 50% lead to a presumption of dominance and may in themselves be evidence of the existence of a dominant position. The assessment of closeness of competition is however more relevant where the combined market shares remain below 50% or where the Parties' products appear prima facia very different. However, as confirmed in the recent CK Telecoms judgement, even in oligopolistic markets, the Commission is only required to assess whether the merging parties are close competitors (rather than "particularly close" or "the closest" competitors).[636]

(533) In airline markets, the air transport services provided by different airlines are differentiated based on prices, schedules, frequency of service, on-board and off-board service, business model, the existence of a network or hub, and other factors. Based on the market investigation, the most important parameters to compete on the relevant short-haul routes are the price, the direct or indirect nature of the connections, the frequencies offered, the time of departure and arrival, and the distance/connection of the airport to/from the city centre. The overall passenger experience[637] may also be an important factor. At the same time, the financial strength of the carrier, the on-board services, the airline brand, the loyalty program available and sustainability considerations seem less important based on the results of the market investigation.[638]

---

635 Response of TUI to question B.2.1. of questionnaire 03 to short-haul competitors, ID 12163.

636 Case-376/20 P Commission v CK Telecoms UK Investments, ECLI:EU:C:2023:561.

637 The Commission notes that overall passenger experience is a wider category compared to on-board services, as it encompasses also other features passengers of certain airlines may benefit from, such as the possibility of lounge access or luggage included in the fare price, etc.

638 Responses to question E.A.1. and E.A.2 of questionnaire 03 to short-haul competitors. The Commission considered a parameter important if the majority of respondents who answered these questions gave it a rating of either 4 or 5 on a 0-5 scale. The Commission notes that the results for "Overall passenger

(534) For two airlines to be considered as offering services which are close substitutes to each other, it is not necessary that the two services are identical. Some services may be closer substitutes than others. What matters from a competition perspective is the relative degree of substitutability between the services of the various carriers on the overlapping routes considering the city and airport pairs.

(535) Therefore, it is relevant to compare the Parties, but also the remaining competitors in each affected market. Accordingly, a route-specific assessment of the closeness of competition between the Parties and with the remaining competitors on the relevant routes is conducted below in sections 9.2, 9.3 and 9.4. However, some aspects of the analysis of the closeness of competition between the Parties and with remaining competitors apply generally on the affected markets and are therefore already presented in this section 9.1. Those aspects concern the Parties' and competitors' market positions, their business models, their brands, and the existence of significant bases in Italy (Rome and Milan) on the one hand and Austria, Belgium, Germany, and Switzerland on the other hand.

(536) In prior decisions,[639] the Commission has found that carriers offering scheduled air transport services form a heterogeneous group, with significant differences among carriers relating mainly to operating model ("network" carriers as opposed to "point-to-point" carriers) and level of service offered ("full-service" as opposed to the limited services offered by LCCs). Airlines were considered close substitutes for one another if they operated closely related business models and had a similar level of service.

(537) Against the above-mentioned background, in its Article 6(1)(c) Decision the Commission preliminarily concluded that the Parties are closer competitors to one another than to their LCC and ULCC competitors.

(538) In their response to the Commission's Article 6(1)(c) Decision as well as in a supplementary submission,[640] the Parties claim that the Commission's closeness of competition assessment is flawed, for the following reasons:

(a) Because although the assessment takes into account the Commission's past decisional practice in Ryanair / Aer Lingus III,[641] it does not adequately justify why the distinction between full-service network carriers on the one hand and LCCs and ULCCs on the other is still relevant;[642]

(b) Because the assessment fails to take into account (i) similarities and differences in the prices, frequencies and/or time of departure and arrival offered by the Parties and their competitors on each O&D route of concern, and (ii) passenger behaviour;[643]

---

experience" were inconclusive, as 50% of the respondents who responded to these questions considered their importance 4 or 5 on a scale from 1-5, while the others considered it lower.

639 See e.g. Case M.6663 – Ryanair/Aer Lingus III, paragraph 40 and Case M.7541 – IAG/Aer Lingus, paragraph 162.

640 Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024. Supplementary regression analysis submitted by Lufthansa "p–t - Closeness of competition–n - 0603–4 - Final", dated 7 March 2024.

641 M.6663 – Ryanair/Aer Lingus III, paragraph 40.

642 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraphs 8-12.

643 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraphs 13-14.

(c) Because the different airport choices made by full-service network carriers on the one hand (i.e., large main airports) and LCCs and ULCCs on the other hand (often operating in secondary / regional airports) has no impact on passenger demand for (short-haul) flights from one catchment area to another and thus on the closeness of competition assessment;[644]and,

(d) That in fact, Ryanair is both Lufthansa and ITA's closest competitor[645] due to (i) its overall leading market position in Italy;[646] (ii) certain statements of Ryanair raised during the proceedings before the General Court concerning the State Aid received by Lufthansa during the Covid-19 pandemic;[647] (iii) the similar product portfolio offered by Lufthansa, ITA and Ryanair.[648]

(539) Finally, the Parties also provided their own data analysis on closeness of competition on the O&D routes of concern.[649] The Commission's response to the Parties' data analysis can be found in section 7.7.2 above.

(540) The Commission does not agree with the arguments made by the Parties in their response to the Article 6(1)(c) Decision and to the Statement of Objections, and concludes that the Parties are close competitors, and on many routes even each other's closest competitors, for the following reasons.

(541) *First,* the Commission considers that a distinction between full-service network carriers on the one hand, and LCCs and ULCCs on the other hand is relevant for the assessment of the short-haul O&D overlaps, for the reasons explained in section 9.1.2.1 below. The Commission acknowledges, that certain respondents to its market investigation submit that, for the assessment of short-haul O&D overlaps, the differences between network carriers and LCCs have become blurry.[650] However, evidence in the Commission's file suggests that there is still differentiation between full-service network carriers and their LCC / ULCC competitors that is highly relevant for customer's choice, and that there are several differences in their product offering. More specifically, evidence in the Commission's file (and described below in section 9.1.2.1) suggests that the Parties compete more closely on prices and frequencies with one another than with their competitors on each route. The circumstances which render Lufthansa and ITA closer competitors compared to their LCC / ULCC counterparts are primarily attributable to the fact that the business model of network carriers is still distinct compared to that of LCCs and ULCCs.

644 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraph *40 et seq.*

645 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraph 15 *et seq*.

646 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraphs 16-25.

647 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraph 27 *et seq.*

648 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraph *32 et seq.*

649 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraph *45 et seq.* Supplementary regression analysis submitted by Lufthansa "p–t - Closeness of competition - 0603–4 - Final", dated 7 March 2024.

650 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 8, ID 00861; Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 6, ID 2367.

(542) *Second*, evidence in the Commission's file suggests that, for the reasons explained in section 9.1.2.2 below, contrary to the Parties' view, the different airport choices made by full-service network carriers on the one hand (i.e., large main airports) and LCCs and ULCCs on the other hand (secondary / regional airports) does have a significant impact on customer choice for (short-haul) flights from one catchment area to another and thus on the closeness of competition assessment.[651] Thus, for each of the plausible alternative markets assessed (that is to say also where the Commission leaves the market definition open), the Commission takes into account how closely the different services offered on a market compete, in line with the legal framework set out in section 7.1.1.

(543) *Third*, most competitors, corporate customers, travel agents and tour operators responding to the market investigation consider Lufthansa and ITA to be each other's closest competitor on the analysed short-haul routes.[652] In addition, during the pre-notification market investigation, competitors of the Parties confirmed that Lufthansa and ITA are likely to be each other's closest competitors on the analysed short-haul routes. Ryanair, the competitor which the Parties repeatedly invoke as one of the most important competitors within Italy, noted that "*even if it were to compete with the Parties on certain routes to and from Milan, because of its operation on certain neighbouring airports (primarily in Germany and Belgium), said competition would be distant*"[653]. Wizz Air, which the Parties similarly consider as one of the main competitive forces constraining them clarified that "*in the routes where Wizz Air competes with airlines belonging to the Lufthansa Group and ITA, it considers that the latter two compete closely, whereas Wizz Air competes closely with other low- and ultra-low-cost carriers rather than Lufthansa or ITA.*"[654] These general considerations of the market investigation are further supported by evidence on the Commission's file, which reveal significant differences between the business model, business strategies, pricing considerations and flight-frequencies of Lufthansa and Ita and their LCC / ULCC competitors (see section 9.1.2.1 below).

(544) *Fourth*, and based on the three above-mentioned points, the Commission finds that Ryanair will normally not be the closest competitor of both Lufthansa and ITA on the short-haul O&D routes of concern. In particular, Ryanair's overall strong position in Italy is not relevant to the individual closeness of competition assessment of each of the O&D overlap routes, contrary to the Parties' claims.[655] The assessment of how closely companies compete takes into account to what degree products are closer substitutes within a relevant market.[656] Therefore, Ryanair's success on other O&D routes are not relevant to analyse how closely Ryanair competes with the Parties on the O&D routes under assessment in this Decision. Rather, as explained in detail in sections 9.1.2.1 and 9.1.2.2 and in the route-by-route assessments in sections 9.2-9.4, there are several differentiating factors between the product portfolio of full-service

---

651 The Commission notes that LCC's such as easyJet or Vueling may choose to fly from primary airports based on their business model. Nevertheless, on the routes of concern the Parties primarily compete with ULCC carriers such as Ryanair, with the exception being Rome-Zurich, where they compete with the LCC easyJet. However, in this Rome-Zurich route, easyJet flies to a secondary/regional airport (BSL) rather than a primary one.

652 Responses to questions E.A.7.1. and E.A.7.2. of questionnaire 03 to short-haul competitors.

653 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 14, ID 2367.

654 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 23, ID 861.

655 See, e.g., Response to the SO, paragraphs 145-147.

656 Horizontal Merger Guidelines, paragraph 28.

network carriers and LCCs / ULCCs, and market participants, including Ryanair, consider the Parties to be close, even each other's closest, competitors.

(545) The following sections below will elaborate further on the closeness of competition between Lufthansa, ITA and their competitors on the short-haul overlapping routes, in relation to (i) the Parties and their competitors' business models (section 9.1.2.1); and (ii) operations on a city pair from the same airports and/or airports in proximity (section 9.1.2.2).

9.1.2.1. Closeness of competition on short-haul routes between full-service network carriers on the one hand and, LCCs and ULCCs on the other hand in terms of business model, business strategy, pricing and frequencies

(546) In the light of the results of the market investigation and the evidence presented in this section, the Commission considers the Parties to be close, even each other's closest, competitors on the short-haul routes of concern, because both Lufthansa and ITA are full-network carriers, whereas the remaining competitors are mostly LCCs (e.g., easyJet) and ULCCs[657] (e.g., Ryanair and Wizz Air). More specifically, the Commission draws this conclusion by considering that the business model operated by the Parties, and that operated by their competitors to be a relevant factor for its closeness of competition assessment, for the following reasons.

(547) *First*, full-service network carriers target larger market segments than LCCs and ULCCs do.

(548) In the first place, LCCs and ULCCs are primarily focused on maintaining low operating costs, and in offering the cheapest fares so as to attract price sensitive passengers.[658] In practice, they primarily target P2P and leisure-oriented customers, and as a consequence compete with full-service network carriers on this segment.[659] Full-service network carriers, however, also target connecting passengers, as well as those passengers that have a higher willingness to pay (e.g., business-oriented customers).

(549) The Commission acknowledges that several ULCCs express the view that that the services offered by full-service network carriers on short-haul routes are becoming increasingly similar to those offered by LCCs and ULCCs.[660] In this context, Ryanair submits that *"[d]espite its focus on leisure traffic, Ryanair's business model became more flexible, in order to attract also some business customers*" and that "*in Europe, there is a trend of convergence in this way in the sense that both leisure-focused and business-focused carriers take some traffic of the other kind, making the distinction between them increasingly blurred*."[661]

(550) However, LCCs and ULCCs do not distinguish between classes and thus offer the same basic air travel services to all types of passengers, whereas on the contrary, both Lufthansa and ITA offer business class options for their short-haul flights,

---

657 See paragraph (587) below.

658 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 4, ID 2367.

659 Non-confidential response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 29, ID 11426.

660 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 8, ID 00861; Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 6, ID 2367.

661 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 6, ID 2367.

catering also for passengers that request a premium flight service in terms of complementary services, ticket flexibility etc. Lufthansa and ITA also offer premium flight services not only to business passengers by operating from LIN (at least in part), which is another way to target passengers with higher willingness to pay (even if they are not travelling on business).

(551) This conclusion is supported by Lufthansa's internal document below, prepared in Lufthansa's ordinary course of business (see Figure 34), […].

Figure 34

[…]

Source: Response of Lufthansa and MEF to a Commission's Request for Information (RFI 1), […].

(552) In the Parties' Response to the SO, the Parties continue to argue that customers (with special focus on business customers) have become increasingly price sensitive on European short-haul routes and all airlines compete for all customers.[662] The Commission notes that the considerations set out in the Parties' Response to the SO have been taken into account by the Commission in its assessment. While all customers may consider all the options available to them, including flights operated by LCC carriers, business customers may also consider, or place more weight than other customers do, on other factors, such as the (i) time of departure/arrival, (ii) frequencies offered per day or (iii) the distance/connection of the airport to/from the city centre.[663] As ULCC and LCC carriers often fly fewer times during the day, outside of peak hours and to/from secondary/regional airports, business customers are less likely to choose these carriers, even if they primary consideration might be the price of the flight. At the same time, ULCC and LCC carriers generally offer lower prices, which may be not only the primary, but the sole consideration of leisure customers, which may, in turn, be more prone to choose ULCC and LCC carriers for their purposes. This is substantiated by Lufthansa's internal document in Figure 34. In addition, the Commission notes that LCC and ULCC carriers are focusing on point-to-point traffic and their schedules and business in general are not optimised for connecting traffic.[664] This different business model constitutes one of the main differences between network carriers and LCC/ULCC carriers and its implications on the Commission's assessment is explained further below.[665]

(553) In the second place, both Lufthansa and ITA, in contrast to their LCC competitors, offer loyalty programs (i.e., Lufthansa's Miles&More and ITA's Volare) to attract frequent fliers. In particular, according to Air France-KLM, Lufthansa's loyalty program is the "*largest one in Europe*"[666] and according to Ryanair, frequent flier programs "*give flag carriers a large advantage (…). Business passengers earn loyalty points in their own name while travelling for work and this has proved very difficult to compete against*".[667] Moreover, Ryanair adds that *"[w]ith loyalty programs, customers who regularly fly for business purposes will earn loyalty*

662 Parties' Response to the SO, paragraphs (49)-(53).

663 See also responses to question D.A.1.1. of questionnaire 06 to customers of both short-haul and long-haul flights.

664 See in particular: response to RFI II-1 to Air France-KLM, question 21, ID 11426; response to RFI II-1 to Wizz Air, question 10, ID 11311.

665 See paragraph (580) *et seq* of this Decision.

666 Non-confidential response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 20, ID 11426.

667 Responses of Ryanair to questions E.E.2.11. (a)-(j) to questionnaire 03 to short haul competitors, ID 12597.

points/rewards in their own name. With regular business flying, which is paid for by their employer, these customers will be able to amass loyalty points/rewards, which will enable them to fly for free or heavily discounted when they wish to fly for personal leisure. Similarly, partnerships with credit card companies, such as ITA Airways American Express Card, allow customers to collect loyalty program points through their everyday expenses. These loyalty programs make customers more unwilling to fly with alternative carriers. By flying, for business or for leisure, solely with the airline which operates a loyalty program, the customer will either be earning loyalty points for future use or using loyalty points earned from previous flights/purchases".[668] The above shows that customers may favour airlines with loyalty programmes regardless of whether they are flying on business or for leisure purposes. Therefore, these frequent flier programs result in stickiness by business passengers and other frequent fliers towards network carriers and make it more difficult for LCCs to compete with them.[669]

(554) An internal document, prepared by Lufthansa in its ordinary course of business, demonstrates […].

Figure 35

[…]

Source: Response of Lufthansa and ITA in a Commission's request for information […].

(555) More specifically, the extract in Figure 35 above, indicates that, […],[670] […]. The Commission considers that […] show that Lufthansa values frequent fliers for their loyalty, whereas […] suggests that […].

(556) The Parties argue that the Commission made an incorrect interpretation of Lufthansa's internal document, namely because […].[671] The Commission notes that […]. Instead, the fact that a number of airlines considered […] indicates that to Lufthansa, and all other airlines offering frequent flier programs, the users of these programs are valued and are an important element for their business. Moreover, whether the overall Italian aviation market is competitive is not relevant here as the "fierce competition" referred to by the Parties, is not evident in the routes of concern, as indicated in sections 9.2, 9.3 and 9.4 below.

(557) In terms of LCC competitors offering loyalty programs, the Parties submit that several of them came up with several options to direct their offer to frequent fliers, including Ryanair's "myRyanair Wallet".[672] The Commission notes that that these differ from typical frequent flier programs. In particular, Ryanair itself submits that it does not offer a frequent flier program, and that "*low-cost carriers typically do not*

668 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 18, ID 11422.

669 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 14, ID 11422.

670 According to public sources, MilleMiglia was sold, through an auction, to Trenitalia, the Italian, stateowned, national rail company. Therefore, it is the Commission's understanding that, after the discontinuation of Alitalia, the members of MilleMiglia could not use their miles (frequent flier points) on another airline, including ITA, which is consistent with the Commission decision in SA.58173 - Newco — ITA underlining the discontinuation of activities between Alitalia and ITA. See for example: https://www.avionews.it/item/1257579-millemiglia-alitalia-acquired-bytrenitalia.html#:~:text=The%20Italian%20railway%20State%20company,the%20former%20national%20airline%2 0Alitalia (last accessed 26 April 2024).

671 Observations of the Parties on the Letter of Facts, dated 6 May 2024, paragraph 43.

672 Observations of the Parties on the Letter of Facts, dated 6 May 2024, paragraph 42.

provide loyalty programs as they operate a low margin business model".[673]Furthermore, Wizz Air offers three membership options, namely "WIZZ MultiPass", "Priviledge Pass" and "Discount Club Standard". However, these are paid subscription programs and are different to the "*traditional loyalty program[s] that allow passengers to accumulate air miles for lounge access or upgrades (…)*".[674] In this context, Ryanair comments that *"[e]ven if a low-cost carrier does operate a loyalty program, it is unlikely that they compensate for the generous loyalty programs offered by flag-carrier airlines. For example, Wizz has a Discount Club which requires a paid subscription and does not provide incremental benefits for frequent flyers. Low-cost carriers typically do not provide loyalty programs as they operate a low margin business model*".[675]

(558) The Parties reiterate that they disagree with the Commission's assumption that loyalty programs (i.e., frequent flyer programs) would be a distinctive feature of full-service network carriers and that such programmes would result in stickiness by business passengers and other frequent flyers towards network carriers and make it more difficult for LCCs/ULCCs to compete with them.[676] Contrary to the Parties' views,[677] the Commission considers that loyalty programmes are relevant for its assessment. Notably, the Commission highlights that loyalty programmes are only one of many details relevant for the closeness of competition assessment, not a "*decisive factor*" as the Parties seemingly imply. Moreover, the fact that Ryanair could become competitive without a loyalty programme, even if it was Ryanair's strategic choice not to have one, has no bearing on the conclusion of the closeness of competition assessment. The business model of Ryanair clearly differs from that of the Parties. This, in turn, results in Lufthansa and ITA competing closer with one another than they do with Ryanair on the short-haul routes of concern identified in sections 9.2 and 9.3.

(559) The Parties also argue that the assessment above is not in line with the Commission's practice in cases /M.4439 – *Ryanair / Aer Lingus* and M.6663 – *Ryanair/ Aer Lingus* III, because in their view the Commission concluded in that cases that Ryanair and Aer Lingus were the closest competitors, despite its finding that Aer Lingus operated a frequent flyer program and Ryanair did not, and the Commission did not clarify why it deviates from this practice in this case.[678] The Commission believe that the Parties position is inaccurate, as in neither of these cases the Commission contests that there are a number of elements which may differ in the services offered by Aer Lingus and Ryanair, Moreover, in its assessment of the cases referenced by the Parties, the Commission had to consider that Aer Lingues had undergone a major restructuring, changing its business model to a low-fares model and became a "low-

673 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 18, ID 11422.

674 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 15, ID 11311.

675 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 18, ID 11422.

676 Observations of the Parties on the Letter of Facts, dated 6 May 2024, paragraph 37 *et seq*.

677 Response of Lufthansa and MEF to the SO, paragraphs (49)-(53) and (54) to (58); and, Observations of the Parties on the Letter of Facts, dated 6 May 2024, paragraph 37 *et seq*.

678 Observations of the Parties on the Letter of Facts, dated 6 May 2024, paragraphs 38-39.

frills" airline.[679] Therefore, the assessment of the Commission in those cases was based on significantly different facts than those relevant to this Decision.

(560) Furthermore, the Parties submit that the importance of loyalty programs has declined in recent years and continues to decline and that therefore, frequent flier programs are not a relevant element to the Commission's assessment.[680] The Commission does not contest the evidence submitted by the Parties, indicating that loyalty program users declined over the years. From the evidence submitted, however, the Commission notes that (based on 2022 data), a significant number of passengers, namely 52% continue to use frequent flier programs, and consequently questions the Parties' argument regarding their relevance.

(561) Lastly, the Commission notes that the Parties' claim that loyalty programmes may have lost some of their importance in the recent years does not change the Commission's assessment, as loyalty programmes are still widely used by Lufthansa and ITA's customers, and in any event, they constitute only one of many aspects in the Commission's closeness of competition assessment.[681]

(562) *Second*, the product portfolio offered by the Parties even to economy passengers differs compared to that of LCCs, ULCCs. By way of example, Ryanair, Wizz Air and easyJet (the only competitors of the Parties on the overlapping routes of concern) have stricter luggage allowances than those of Lufthansa and ITA. More specifically, the basic economy option of Lufthansa and ITA allows for carry-on bags that do not fit under the seat (i.e., that need to be placed in the overhead compartments of the cabin) whereas Ryanair and Wizz Air charge an additional fee for this luggage.[682] Furthermore, full-service network carriers allow the carriage of unaccompanied children, travelling with pets, alternatives/rerouting in case of cancellations due to their higher number of frequencies and better customer care.[683] Finally, according to Lufthansa's internal documents, ITA offers "*complementary refreshments in short-haul Economy*",[684] deviating from the basic offering of LCCs and ULCCs, where all on-board services are offered for a fee.

(563) In general, this suggests that, in order for ITA and Lufthansa to be able to compete with the lower price offering of their LCC competitors, they aim at positioning their services (and by doing so the brand) as a premium, differentiated offering from that of their LCC competitors (i.e., so that a higher priced ticket by Lufthansa or ITA to be considered as a more and/or equally attractive option than the cheaper price option of Ryanair by a sufficient amount of passengers, otherwise, everyone would always opt for the cheaper price).

(564) This strategy is evident from the Parties' internal documents that have been prepared in the ordinary course of business. For example, Figure 36 below shows […]. Furthermore, the internal documents of Lufthansa under Figure 36, Figure 37 and

679 See Cases M.4439 – Ryanair / Aer Lingus, paragraph 365 and 367; M.6663 - Ryanair/Aer Lingus III, paragraph 46.

680 Response of Lufthansa and MEF to the SO, paragraph 59 *et seq*.; and, Observations of the Parties on the Letter of Facts, dated 6 May 2024, paragraphs 40-42.

681 Parties' Response to the SO, paragraph (61).

682 Non-confidential response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 29, ID 11426.

683 Non-confidential response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 29, ID 11426.

684 Response of Lufthansa and MEF to a Commission's Request for Information (RFI 19a), […].

Figure 38 below show that […]. Finally, the internal document of SWISS in Figure 39 below demonstrates that […].

Figure 36

[…]

Source: Response of Lufthansa and MEF to a Commission's Request for Information […].

Figure 37

[…]

Source: Response of Lufthansa and MEF to a Commission's Request for Information […].

Figure 38 (yellow boxes added by the Commission)

[…]

Source: Response of Lufthansa and MEF to a Commission's Request for Information […].

Figure 39

[…]

Source: Response of Lufthansa and MEF to a Commission's Request for Information […].

(565) The Parties' Response to the SO argues that the services offered by network carriers and LCC/ULCC carriers have become increasingly similar, especially on European short-haul routes.[685] The Commission considers that even if this is the case, the differences remain significant as explained in paragraph (560) above. In particular, the Parties themselves refer to evidence which reveals significant differences between the network carriers and LCC/ULCC carries e.g. in the offering (namely the existence of a fare band without a cabin bag). In addition, the Parties provide no evidence for their claim that "*for many customers* […] *carrying at least one cabin bag is a necessity*". Therefore, it is unclear on what basis the Parties imply that the Commission should disregard the fare band without a cabin bag entirely and the Commission considers that the Parties arguments do not affect its assessment.[686]

(566) In the Parties' Response to the SO, based on a comparison of the prices of flights between FCO and Brussels offered by Lufthansa, ITA and Ryanair, and between Milan and Hamburg, offered by Lufthansa and Ryanair, the Parties posited that the offering of Lufthansa, ITA and Ryanair are highly comparable. The Commission takes the view that the Parties limited examples do not affect its assessment. Notably, the Parties did not substantiate their selection criteria for their search (cabin bag, choice of route and time, etc.) and did not explain why these few examples may be representative of the overarching situation on the market. Indeed, the Commission considers that it is not and maintains not only that LCC/ULCC carriers have different business models but also that prices of LCC/ULCC carriers and network carriers differ, as explained (and substantiated) in this Decision.[687]

(567) The Commission also notes that while services of full-service network carriers, such as the allowance of unaccompanied minors, pets in the cabin, complementary refreshments may not be pivotal for the assessment, they are services which the Commission has to take into account when considering closeness of competition. In any case, even if these services were not provided, the Commission's assessment would remain the same, as even without considering the provision of these services,

685 Parties' Response to the SO, paragraphs (65) to (80).
686 Parties' Response to the SO, paragraphs (65) to (72).
687 Paragraphs (572)-(601) of this Decision.

several differences between network carriers and LCC/ULCC carriers remain. Similarly, the network and frequency advantage of the combined entity in the majority of the routes of concern, will typically provide their customers with a significantly higher likelihood that an appropriate alternative or rerouting possibility exists in the event of a cancellation compared to LCC/ULCC carriers.[688]

(568) *Third*, full-service network carriers developed more complex pricing systems that allow for the classification of their customers between business and leisure and to engage in price discrimination. By contrast, LCCs and ULCCs have static pricing systems that focus exclusively on load-factors.

(569) On the one hand, according to Lufthansa, its pricing model […][689] and […][690]. Similarly, […], ITA monitors pricing information that relate to, among others, […],[691] which are similar factors to the ones used by Lufthansa to differentiate between customer segments. Likewise, in its response to the Commission's market investigation, Air France-KLM explains that it "*determine[s] leisure motive and business motive segments, which are priced and steered separately.*"[692]

(570) On the other hand, Ryanair, does not price discriminate between the type of customers it serves. Instead, its pricing policy is structured according to demand without profiling its customers.[693] Furthermore, although Wizz Air takes certain leisure and business considerations in its pricing strategy, it does not price discriminate per class. Instead, Wizz Air uniformly prices higher certain routes that are classified as "*business-less price sensitive*" compared to routes that are "*more suitable for leisure*".[694] Lastly, easyJet notes that it does not push business customers toward any particular fares, despite offering fare options which might be more convenient to them.[695] The difference between the pricing models of full-service network carriers, and ULCCs demonstrate that the former target a larger amount of customers (i.e., business customers and/or customers with a higher willingness to pay) in a more systematic way, compared to the latter, that do not specifically target customers by differentiating between business or leisure customers nor specifically target customers with a higher willingness to pay in a systematic manner.

(571) The difference between the pricing models of Lufthansa on the one hand, and Ryanair and Wizz Air on the other hand, as well as the importance of price differentiation in Lufthansa's business model are acknowledged by the former in its internal documents prepared in its ordinary course of business. Figure 40 below, demonstrates that Lufthansa is heavily focused towards […].

---

688 Parties' Response to the SO, paragraphs (78) to (80). Passenger's rights regarding cancellations are identical for all types of carriers.

689 Response of Lufthansa to a Commission's request for information (RFI 30), dated 09 February 2024, question 2.

690 Response of Lufthansa to a Commission's request for information (RFI 30), dated 09 February 2024, question 6.

691 Response of Lufthansa to a Commission's request for information (RFI 30), dated 09 February 2024, question 6.

692 Response of Air France-KLM to question C.2.2. of questionnaire 03 to short-haul competitors, ID 12093.

693 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 6, ID 11422.

694 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 6, ID 11311.

695 Non-confidential response of easyJet to a Commission's request for information (RFI II-1), dated 14 February 2024, question 6, ID 11469.

Figure 40

[…]

Source: Response of Lufthansa and MEF to a Commission's Request for Information […].

(572) By contrast, other documents prepared by Lufthansa in its ordinary course of business, acknowledge that Wizz Air and Ryanair's pricing strategies […]. ULCC pricing and the pricing structure is thus […] as shown in Figure 41 and Figure 42 below.

Figure 41

[…]

Source Response of […].

Figure 42

[…]

Source: […].

(573) Contrary to the arguments in the Parties' Response to the SO, the Commission considers that its assessment on pricing is relevant for the closeness of competition assessment, as it indicates significant differences between the business model of Lufthansa and ITA and their competitors, in particular their approaches to their customers and how they differentiate (or do not differentiate) between customer groups. The Commission considers that the internal documents of Lufthansa underpin the above, even in light of the additional explanations provided in the Parties' Response to the SO, which argued that the pricing approaches of airlines are not relevant from the customers' perspective, and even if it was, the pricing approaches of ULCC/LCCs and network carriers do not differ. In particular the Parties explain that Lufthansa simply offers bundles to attract more customers.[696] The Commission notes that while the approach behind pricing might not be relevant for the customers, the price the customer has to pay as a result of a distinct pricing approach (e.g. when their trip is identified as "business motive" and thereby priced differently) is.

(574) *Fourth*, whilst full-service network carriers like Lufthansa and ITA target customers with a high willingness to pay, LCCs and ULCCs are primarily focused on maintaining low operating costs, and in offering the cheapest fares so as to attract price sensitive passengers.[697] Consequently, the prices offered by Lufthansa and ITA on each of the overlapping routes are closer and more comparable to each other than to the prices offered by their LCC and ULCC competitors, which are generally the lowest. This shows that the Parties are positioned similarly in terms of price/quality ratio and are positioned differently in terms of price/quality ratio than are their LCC and ULCC competitors. The Commission concludes that the Parties compete more closely on prices with each other compared to how closely they compete with the other direct competitors (LCCs and ULCCs) on each route.

(575) In the first place, Figure 43 below, shows a price comparison performed by ITA of the ticket prices offered […].

696 Parties' Response to the SO, paragraphs (92) to (103).

697 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 4, ID 2367.

Figure 43

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information (RFI 30), dated 16 February 2024, ID 11078, page 13.

(576) In the second place, upon request by the Commission, the Parties submitted pricing analyses of their own and their competitors' fares on the O&D routes of concern. Although they failed to provide adequate information for every direct-direct short-haul overlap, the available data, demonstrates a significant level of similarity on the fares offered by the Parties in each short-haul O&D route of concern.

(577) For example, Figure 44 and Figure 45 below compare the Parties and their competitors' prices on the route Rome-Brussels, and show that especially in the latest IATA Summer 2023 and Winter 2023/2024 Seasons, the prices of Lufthansa (LH), including its subsidiaries such as Brussel Airlines (SN) are closer to ITA's (AZ) prices, compared to those of Ryanair (FR). Notably, Ryanair (FR)'s prices, which is the only other direct competitor on the route, are consistently lower than those offered by the Lufthansa and ITA.

Figure 44 – Pricing on the route Rome-Brussels over IATA Summer 2022 and Winter 2022/2023

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex 7, ID 11083.

Figure 45 - Pricing on the route Rome-Brussels over IATA Summer 2023 and Winter 2023/2024

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex , ID 11083.

(578) The price competition between Lufthansa and ITA is also evident on other O&D routes of concern. By way of example, Figure 46 and Figure 47 compare the prices of Lufthansa (LH) and ITA (AZ) on the route Frankfurt-Rome. The Parties failed to provide data on Ryanair's pricing on the route. Nonetheless, the Commission considers that the data on the route Rome-Brussels are indicative of the fact that the Parties compete more closely to one another in terms of fare prices, than with their LCC rivals.

Figure 46 - Pricing on the route Rome-Frankfurt over IATA Summer 2022 and Winter 2022/2023

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information (RFI 30), dated 09 February 2024, Annex 7, ID 11083.

Figure 47 - Pricing on the route Rome-Frankfurt over IATA Summer 2023 and Winter 2023/2024

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information (RFI 30), dated 09 February 2024, Annex 7, ID 11083.

(579) In the third place, the fact that the Parties compete more closely *on prices* with each other than with other direct competitors (LCCs) has also been confirmed in the course of the Commission's market investigation.[698]

[698] See for example, Non-confidential Annex 1, of a response of easyJet to a Commission's request for information (RFI II-1) dated 13 February 2024, ID 11869. Additional evidence was made available to the Parties' external legal counsels over the data room process.

(580) In the fourth place, the closeness of competition between the Parties, in terms of the fare prices on the short-haul O&D routes of concern is also evident from the fact that Lufthansa's prices on each of the routes are the prices that are primarily monitored and taken into consideration by ITA for setting its own prices. According to ITA's submission, […].[699]

(581) The Commission notes that, contrary to what the Partis' Response to the SO implies,[700] it does not contest the fact that the distinction between business and leisure passengers has become increasingly blurred recently. Nevertheless, this does not change the Commission's assessment and conclusions, as the data submitted by the Parties clearly shows differences in pricing between the Parties and LCC/ULCC even in the passenger categories in which they compete. This evidence indicates that LCC/ULCC carriers remain the prime options for price-sensitive customers, while less price-sensitive customers and business customers may opt for the services of Lufthansa and ITA based on various factors (such as airport of operations, frequencies, more convenient time of arrival/departure) even if they may consider price as an important parameter for their choice.

(582) *Fifth*, in terms of network schedule and routes operated, network carriers operate different business models compared to LCCs and ULCCs. Network carriers generally operate to and from their hubs, which are main city airports (e.g., FRA and MUC for Lufthansa and FCO for ITA), in which they build a significant presence in terms of slot holding and routes operated, and bring-in traffic (i.e., feeder traffic) from destinations to their hub airports, connecting passengers to other destinations. Due to their business model, network carriers require a strong presence at hub airports, and thus, enjoy certain benefits including a strong slot portfolio, frequency advantages, access to feed-traffic and economies of scale and scope.

(583) In addition, network carriers have the ability to offset any losses associated with aggressive price retaliation on short-haul routes. As an example, such retaliation may take place against LCCs or ULCCs attempting to enter the routes operated by the network carrier with potentially a lower priced offering. The business model of LCCs and ULCCs does not allow these competitors to easily offset losses generated on certain short-haul routes. Therefore, Lufthansa and ITA compete more closely than they do with LCCs or ULCCs, which may not have the same underlying characteristics and therefore cannot exert the same level of competitive constraint on network carriers as Lufthansa and ITA.

(584) This is due to multiple factors associated with the operation of network carriers:

(a) Network carriers are often able to offer better frequencies due to the larger slot holdings at their hub airports.

(b) Similarly, they benefit from economies of scale (large slot portfolio, based aircraft, airport services, connecting traffic, etc.) on short-haul routes involving their hub airports.

(c) Most importantly, they can utilize potentially unprofitable short-haul routes to feed traffic to other, more profitable routes, such as long-haul routes. Long-haul flights are typically associated with network carriers.

699 Response of Lufthansa and MEF to a Commission's request for information (RFI 30) dated 09 February 2024, paragraph 43.

700 Parties' Response to the SO, paragraphs (104) to (125).

(d) Lastly, network carriers are typically able to better capitalize on other profitable services, such as providing business class and other such services to their customers (for more information on ITA and Lufthansa's business models see sections 7.5 and 7.6 above).

(585) By contrast, LCCs and ULCCs operate a P2P business model. LCCs and ULCCs are cost-oriented, and thus often avoid operating from main airports (see section 9.1.2.2 below),[701] and opt for smaller / regional airports because they offer more "*competitive prices and limited operational restrictions (i.e., to allow for a for a 25-minute turnaround time)*".[702] LCCs and ULCCs business model focuses on ensuring profitability on each route (and thus, unlike network carriers, they cannot fly on unprofitable short-haul routes and recuperate their losses otherwise). Moreover, to ensure profitability LCCs and ULCCs prefer to operate slots during peak hours (early morning hours and late afternoon hours) and to rotate in and out of airports throughout the day, rather than optimising their network according to feeder-traffic considerations.[703]

(586) These differences in the operation of full-service network carriers and LCCs/ULCCs are important on the short-haul O&D routes of concern (where part of the Parties traffic is also P2P). More specifically, as shown in Figure 2 above for Lufthansa to operate […]. Therefore, in order for the Parties to operate their long-haul network profitably, they need to ensure high frequencies from short-haul destinations that will then feed their long-haul network.

(587) In this context, Lufthansa and ITA compete more closely by offering a higher number of frequencies on a weekly basis on the short-haul O&D routes to/from either of the Parties' hubs, compared to how closely they compete with the LCC competitors that are active on those routes. Due to ITA's increase of operations over the past IATA seasons, the frequencies offered in the winter 2023/24 and the summer 2024 seasons are most representative of the frequencies to be expected going forward. Table 23 below demonstrates that the Parties are each other's closest competitors in terms of weekly frequencies offered, with the exception of the routes Milan-Brussels and Rome-Brussels, where Ryanair flies at an equal or higher weekly frequency compared to ITA (and Lufthansa in the case of Rome-Brussels over the summer seasons). The Commission notes that, the frequencies offered by Ryanair on these routes to and from Brussels are exceptional among the O&D routes assessed in this decision, considering Ryanair's large base in Charleroi Airport, and the fact that it operates each route from multiple airports, including from the regional airport Charleroi, while the Parties each operate from the main airport Brussels Zaventem (i.e., Ryanair operates Rome-Brussels from CLR-CIA and BRU-FCO and Milan-Brussels through CLR-BGY and CLR-MXP).[704]

---

701 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraphs 4 and 24, ID 2367.

702 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 5, ID 2367.

703 Non-confidential minutes of a conference call with Air France KLM, dated 16 October 2023, paragraph 27, ID 10199.

704 The Commission notes that it is unclear whether BGY is in the same catchment area as MXP and LIN, and that the Commission has left this question open in this Decisions as the Transaction raised competition concerns under both market definitions, and the Commission's conclusion is not affected by the particular market definition adopted regarding Milan (see paragraphs (192)-(194) of this Decision). For completeness, the Commission notes that in case BGY is excluded from the above, Ryanair's frequencies would decrease as follows: Winter IATA 2022/2023 Season: 7 frequencies,

Table 23 – Weekly frequencies operated by Lufthansa, ITA and their competitors on the short-haul O&D routes of concern

Route	Airline Group	Winter IATA 2022/2023 Season	Summer IATA 2023 Season	Winter IATA 2023/2024 Season	Summer IATA 2024 Season
Milan – Frankfurt (LIN-FRA)	Lufthansa	58	69	72	74
	ITA	15	11	17	15
	Ryanair	3	2	2	3
Rome – Frankfurt (FCO-FRA)	Lufthansa	25	35	28	34
	ITA	0	7	7	12
	Ryanair	3	0	2	2
Rome – Munich (FCO-MUC)	Lufthansa	30	31	33	32
	ITA	7	7	7	12
	Ryanair	0	2	2	3
	Wizz Air	0	1	2	3
Rome – Zurich (FCO-ZUR)	Lufthansa	20	28	22	27
	ITA	7	10	11	14
	easyJet	6	6	9	8
	Wizz Air	2	3	3	3
Milan – Brussels (LIN-MUC)	Lufthansa	26	28	30	28
	ITA	17	17	19	17
	Ryanair	20	17	18	17
Rome – Brussels (FCO-BRU)	Lufthansa	14	18	15	18
	ITA	13	14	15	14
	Ryanair	17	18	24	17

Source: Response of Lufthansa and ITA to a Commission's request for information (RFI 30), Annex 5.

(588) *Sixth*, the Commission notes that on certain routes of concern (i.e., Milan-Düsseldorf, Milan-Stuttgart, Milan-Hamburg and Rome-Hamburg), Lufthansa operates through its LCC carrier, Eurowings. The only other competitor operating these routes apart from the Parties is Ryanair (largely through airports in proximity and not from the same airports as the Parties). In this context, the Commission's market investigation identified differences between the operations of LCCs (e.g., Eurowings) and ULCCs (e.g., Ryanair).

(589) More specifically, an ULCC's business model deviates further from that of a standard LCC, with the former being more cost-oriented and having minimal

Summer IATA 2023 Season: 0 frequencies, Winter IATA 2023/2024 Season: 3 frequencies, Summer IATA 2024 Season: 0 frequencies.

inclusions in the fare and a greater number of add-on fees. According to easyJet (which is an LCC), "*[u]nlike ultra-low-cost carriers like Ryanair and Wizz Air, easyJet does not always opt for cheaper regional airports. Instead, it usually operates from primary airports, i.e., those located closest to the city centre. This is because easyJet wants to be attractive to different types of customers (e.g., business and leisure), including the time-sensitive ones, to ensure that they achieve certain levels of demand throughout the year. Nevertheless, easyJet operates from secondary airports as well, usually when the primary airport that is serving a city is congested".*[705] Similarly, Vueling (another LCC) explains that its main strategic focus is on primary airports, and that "[*t]his is a difference between (…) (a "low-cost" airline) and "ultra low-cost" carriers such as Ryanair or Wizz Air whose business model may entail sacrificing some elements of the quality of their offering, including among others, by choosing to operate from secondary airports. In general, Vueling puts more emphasis on its product/service compared to ultra low-cost airlines and aims to provide a better service, hence the focus on primary airports".*[706] easyJet and Vueling's business model presents similarities to that of Eurowings, as they both choose to operate also from main airports, instead of mostly regional airports/airports of proximity to the main airport.

(590) By contrast, Ryanair chooses to fly mainly from regional airports/airports of proximity to the main airport in the above-mentioned routes of concern. For example, on the route Milan-Stuttgart, Eurowings operates from MXP to STR, whilst Ryanair operates from BGY to FKB. The higher closeness between Eurowings and ITA's activities compared to those of Ryanair have also been confirmed by Air France-KLM, regarding those carriers' operations on the route Milan-Hamburg, where Air France-KLM submitted that "*Eurowings, part of Lufthansa Group is the closest competitor [of ITA] on the route with 1.1 daily flight from MXP, as Ryanair with the same number of frequencies operates from farther BGY (see appendix 03_EA7b), which is not ideal for premium passengers".*[707] For more information on competition between airlines operating on a route from different airports, see section 9.1.2.2 below.

(591) In addition, Wizz Air explained that "*Eurowings, despite being called a low-cost carrier, is part of a group which feeds into full-service carriers and transfer passengers into its wider network, it offers lower fares but typically does not have the same cost structure as a ULCC. It provides an offering of a wide range of services and amenities to their passengers, which often includes in-flight meals, multiple cabin classes, and generous baggage allowances. […] Therefore, while both Eurowings and Wizz Air operate within the low-cost carrier segment, they differentiate themselves through their service offerings, and operating strategy. Eurowings leverages its association with the Lufthansa Group to offer a more full-service-like experience*".[708]

(592) The Commission therefore concludes that, on the routes that are operated by Eurowings, Lufthansa and ITA remain closer competitors compared to Ryanair.

---

705 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 8, ID 1054.

706 Non-confidential minutes of a conference call with Vueling (IAG Group), dated 18 October 2023, paragraph 5, ID 1026.

707 Response of Air France-KLM to question E.A.7.2. of questionnaire 03 to short-haul competitors, ID 12093.

708 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 8, ID 11311.

(593) *Seventh*, the Commission's assessment with respect to closeness of competition on the short-haul routes of concern was corroborated by the responses to the Commission's market investigation. As a general remark, Vueling explained that "*as a low-cost airline [it] competes with Ryanair and Wizz Air closer than with Lufthansa, therefore for Vueling the behaviour of these operators will continue to be more important compared to that of Lufthansa*".[709] Similarly, Wizz Air explained that *"[i]n terms of closeness of competition in the routes where Wizz Air competes with airlines belonging to the Lufthansa Group and ITA, it considers that the latter two compete closely, whereas Wizz Air competes closely with other low- and ultra-low-cost carriers rather than Lufthansa or ITA. In the case of Rome-Zurich, Wizz Air's closest competitor would be easyJet, whereas ITA's closest competitor would be SWISS and vice versa".*[710]

(594) Moreover, the short-haul competitors and customers that expressed a view in the Commission's market investigation indicated that the most important elements of competition on the affected short-haul routes are (i) ticket prices, (ii) daily and weekly frequencies offered; and (iii) time of departure and arrival.[711] Based on these criteria, on all short-haul routes of concern, competitors consider that Lufthansa and ITA compete more closely, compared to how closely they compete with their LCC and ULCC competitors that are also active on the each route (if any).[712] Similarly, based on the above mentioned criteria, on all short-haul routes of concern, customers indicate that Lufthansa and ITA compete more closely compared to how closely they compete with their LCC and ULCC competitors that are also active on the route[713] (with the exception of city pairs Milan-Stuttgart and Milan-Hamburg where in relation to the specific criterion "time of departure and arrival" customers consider that the Parties compete more closely with their LCC competitors than with one another.[714] Moreover, in the general question as to who competes closest with Lufthansa on route Rome – Brussels, a small majority of competitors that expressed a view (by difference of one respondent) considered Ryanair instead of ITA, however, the majority of respondents that expressed a view considered Lufthansa to be ITA's closest competitor on the same route).[715]

(595) Furthermore, the majority of the competitor respondents that expressed a view consider (i) Lufthansa and ITA to be the closest competitors on the routes of

---

709 Non-confidential minutes of a conference call with Vueling, dated 18 October 2023, paragraph 21, ID 1026.

710 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 23, ID 861.

711 Responses to questions E.A.1. and E.A.2. of questionnaire 03 to short-haul competitors; and responses to questions D.A.1.1. and D.A.2.1. of questionnaire 06 to customers of both short-haul and long-haul flights.

712 Responses to questions E.A.3. and E.A.5. of questionnaire 03 to short-haul competitors.

713 Responses to questions D.A.4. and D.A.5. of questionnaire 06 to customers of both short-haul and long-haul flights.

714 Responses to questions D.A.4.3. and D.A.5.3. of questionnaire 06 to customers of both short-haul and long-haul flights. The Commission notes that the difference is marginal and amounts to a small decimal number. More specifically, on MIL-HAM, customers rated the competition between Lufthansa and ITA in terms of "time of departure and arrival" on average to be 2.97/5, whereas competition between the Parties and their LCC competitors to be 3/5. Similarly on MIL-STR, customers rated the competition between Lufthansa and ITA in terms of "time of departure and arrival" on average to be 3.03/5, whereas competition between the Parties and their LCC competitors to be 3.06/5. For completeness, respondents were asked to rate with 1 being: not competing closely at all and 5 being: competing very closely.

715 Responses To questions E.A.7.1 and E.A.7.2 of questionnaire 03 to short-haul competitors.

concern;[716] and that, (ii) they will compete closely on any short-haul route between Italy on the one hand and Germany, Austria, Belgium and Switzerland on the other hand, which Lufthansa Group currently serves with direct flights and where ITA could enter with direct flights in the near future[717] (i.e., Rome-Vienna, Rome-Hamburg and Milan-Vienna).

(596) *Eighth*, Lufthansa and MEF repeatedly submit that the closest competitor to each of Lufthansa and ITA is Ryanair, due to (i) its significant market presence in Italy, (ii) certain public statements made by Ryanair as well as (iii) the results of a data analysis submitted to the Commission.[718]

(597) In the first place, the Commission notes that the overall position of Ryanair in Italy is not reflected in its market shares on a route-by-route basis on the O&D routes discussed in this Decision. Ryanair's market position on the routes discussed in this Decision is weaker compared to other (leisure) routes to and from Italy. Furthermore, as explained in paragraph (596), Ryanair's success on other O&D routes is not relevant to analyse how closely Ryanair competes with the Parties on the O&D routes under assessment in this decision.

(598) In the second place, with regards to Ryanair's statements during the proceedings before the General Court concerning the State Aid received by Lufthansa during the Covid-19 pandemic (T-34/21), namely that Ryanair is "*the closest and most relevant competitor of the Lufthansa Group*", this statement refers to Ryanair's overall market presence (in terms of total slots irrespective to the O&D) in Europe, and not on the route-by-route level that the Commission's assessment is based upon. Ryanair itself clarified to the Commission that this statement should not be read to mean that Ryanair would be the Parties' closest competitor on the routes assessed in this Decision.[719]

(599) In the third place, in their response to the 6(1)c Decision and in a subsequent submission later in the proceedings,[720] the Parties submitted a descriptive analysis and a supplementary cross-sectional[721] regression analysis claiming that (i) Ryanair exerts significant competitive pressure on Lufthansa and Lufthansa's average revenues per P2P passenger on routes where Ryanair is present; and that (ii) ITA does not exert the same competitive pressure on routes where ITA competes with DLH. As explained more in detail in Annex I, these analyses are characterised by serious methodological flaws which make their results unreliable. In particular,

(a) First, studying the relationship between price and competition in airline markets through descriptive[722] or cross-sectional regression analyses alone fundamentally ignore business and market dynamics. As explained in more

---

716 Responses to questions E.A.7.1. and E.A.7.2. of questionnaire 03 to short-haul competitors. The Commission refers to paragraph (959)(959) below regarding the Rome-Brussels route, where a slight majority considered Ryanair as Lufthansa's closest competitor.

717 Responses to question E.A.4. of questionnaire 03 to short-haul competitors.

718 *See* e.g., Form CO, paragraphs 1032, 1033 and 2046.

719 Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 5, ID 11422.

720 The Parties' response to the 6.1.c Decision, paragraph 46 to 57, and the supplementary regression analysis named "ppt - Closeness of competition - 060324 - Final" submitted on 7 March 2024.

721 Cross-sectional analysis refers to a data analysis based on observations from a set of routes in only one (and the same) time period.

722 The Parties submitted a series of charts where two variables measured at the city-pair level are compared against each other, for example a chart shows the average price on a city-pair route and the number of competitors active on that city-pair route across all city-pair routes.

detail in Section 6, in mergers involving airlines, the Commission has traditionally followed the O&D approach, which the Parties did not contest. The analyses submitted by the Parties, however, completely ignore differences across city-pairs, and implicitly assume that all city-pairs are the same, whereas significant heterogeneity across different city-pair routes exist in reality, including variations in demand, airport infrastructure, regulatory environments, and competitive conditions.

(b) Second, drawing a link between prices across routes and competitors' presence on that route while ignoring differences across city-pair routes is equivalent to assuming that carriers decide to enter a certain city-pair for reasons unrelated to demand and supply factors specific to the city pair itself. In essence, comparing prices across city-pair routes without accounting for the variations in demand and supply factors among the different city pairs is equivalent to suggesting that Ryanair, ITA, and other competitors make decisions to enter specific routes entirely at random, disregarding any economic considerations underpinning their strategic choices.

(c) Third, such descriptive analyses are inconsistent with established best practices in economics and econometrics. Pricing and competition are fundamentally interrelated, and hence endogenous in econometrics jargon, meaning they are mutually determined by underlying factors. Without addressing endogeneity concerns, scatterplots and cross-sectional analyses cannot disentangle the direction of the relationship between price and competition. Scatterplots and cross-sectional analyses that treat all markets homogeneously oversimplify the pricing and competition dynamics. As described in Section 2 of Annex I, the standard econometric methods mitigate endogeneity concerns are the so-called fixed-effect methods. Fixed-effect econometric models, by controlling for city-pair fixed effects and other unobserved factors, explicitly account for heterogeneity across markets, and help isolate the impact of changes in the number of competitors on prices while holding constant other influences specific to each route.

(d) Fourth, descriptive or cross-sectional regression analyses that examine snapshots of data at a single point in time may overlook temporal trends and fail to capture the dynamic nature of competition and pricing behaviour. This is true even if a month like April 2023 or October 2022 is chosen:[723] Prices and the number of competitors on city pairs fluctuate over time due to various exogenous shocks, seasonal patterns, and market dynamics. Ignoring this source of variation leads to biased and inconsistent results. On the other hand, as explained in the paragraph above, fixed-effect methods provide a reliable framework to account for temporal dynamics and trends.

(e) Fifth, in any event, and notwithstanding the severe limitations of the analysis, the results of the Parties' cross-sectional regression analysis indicate that in addition to Ryanair other competitors also exercise a significant price constraint on Lufthansa. The Parties' analysis predicts that Lufthansa's prices are […]% lower if it faces competition from Ryanair and […]% lower if Lufthansa faces competition from an airline carrier other than Ryanair, including ITA. Even taken at face value, the Parties' cross-sectional regression

723 Response to the 6(1)(c) decision, footnote 53.

analysis identifies a significant price effect associated to ITA's presence on a route.

(600) In their Response to the SO, the Parties further followed up on their previous analysis about the relationship between Lufthansa's prices and Ryanair's presence by relying on the Commission's methodology as per Section 7.7.1 to investigate the impact of Ryanair's entry on Lufthansa's prices. ([724]) The Commission acknowledges that this approach is a significantly better way to assess the relationship between Lufthansa's prices and Ryanair's entry than what the Parties has previously considered and summarised in the above. However, the Commission also notes the following:

(a) Such analysis is ultimately of little relevance for the Transaction for the very simple fact that the Transaction may entail a loss of competition between Lufthansa and ITA, which would be operated jointly post-merger, and not between Lufthansa and Ryanair, which will continue to compete independently from each other. Should Lufthansa consider a merger with Ryanair, then indeed the Parties' analysis represented an appropriate way to investigate its impact.

(b) The Parties' conclusions that "*Ryanair has a stronger impact on Lufthansa's prices than a generic first competitor*" and that "*If Ryanair is present, the next competitor has almost no further effect on Lufthansa's prices*" ([725]) disregards that these results are not particularly relevant to the affected routes as the Commission's approach focuses directly on ITA's impact on the routes of concern, and finds that ITA competitively constrains Lufthansa, and irrespectively from the presence of Ryanair.

(601) In the fourth place, internal document analysis […] and supports the closeness of competition between the two outlined in this section and underpinned by other evidence, as well as the fact that the Transaction will result in the elimination of an important competitive constraint on all the routes listed in sections 9.2, 9.3 and 9.4 of the Decision. More specifically, the extract in Figure 48 below, which originates from an internal document prepared by Lufthansa in its ordinary course of business, […]. The same conclusion can be reached from the extract in Figure 55 in section 9.1.4.3 below, which states […].

Figure 48

[…]

Source: Response of Lufthansa and ITA in a Commission's request for information […].

(602) The Parties consider that the Commission misinterpreted the content of […].[726] In this context, the Commission's did not imply that the extract in Figure 48 above constitutes evidence in itself that […]. Instead, the Commission views the above document as evidence that […], and in combination with the evidence in section 9.1.4.3 below (referring to Lufthansa's aggressive strategies towards its competitors), it considers that it is not unlikely that Lufthansa would or did react to minimise ITA's growth.

(603) As explained above in Section 7.7.2, when an appropriate methodology is used, the regression analysis indicates that (i) both ITA and Ryanair exert significant

724 See Response to the SO, Annex I, section 5.2.
725 See Response to the SO, Annex I, paragraph 91.
726 Observations of the Parties on Letter of Facts, dated 6 May 2024, paragraph 49.

competitive pressure on Lufthansa – confirming that ITA competes closely with Lufthansa, and (ii) Ryanair does not compete necessarily more closely with Lufthansa than ITA; if anything, the opposite is true with Lufthansa's prices being on average lower in response to ITA's entry on a city-pair route than in response to Ryanair's entry.

9.1.2.2. Closeness of Competition between airlines operating from different airports in proximity on short-haul routes

(604) One of the key considerations behind the Commission's view regarding Lufthansa and ITA being close, even each other's closest, competitors on the O&D routes assessed in this Decision, is that Lufthansa and ITA mostly operate from the same primary airports on both ends of the routes of concern. At the same time, the competitors of Lufthansa and ITA, including Ryanair which the Parties consider as the closest competitor of Lufthansa, primarily compete from distinct secondary / regional airports, which are often time-consuming and costly to access for customers and there are usually fewer transportation options available to do so compared to primary airports. Secondary / regional airports also maintain a lower level of services compared to primary airports, as shown below.

9.1.2.2.1. General remarks regarding the competitive dynamics between primary and secondary / regional airports

(605) There are only a few instances out of the routes discussed in this Decision where Lufthansa and ITA are not utilising the same airports. These are:

(a) Milan-Brussels, where ITA operates from LIN and Lufthansa operates from both LIN and MXP. Both Parties operate from the same airport on the Brussels end of the route (BRU);

(b) Milan-Düsseldorf, where Lufthansa operates the routes BGY-DUS, MXP-CGN, MXP-DUS and ITA operates the route LIN-DUS; and,

(c) Milan-Frankfurt, where ITA operates from LIN and Lufthansa operates from both LIN and MXP. Both Parties operate from the same airport on the Frankfurt end of the route (FRA).

(606) By contrast, the Parties' competitors (if any) operate mostly from regional / secondary airports that are located further away from the relevant city centre (in the majority of cases on both ends of the routes of concern, and to a smaller extent on one end). These are:

(a) BGY on the Milan end and

(1) CRL on the Brussels end on the route Milan-Brussels;

(2) CGN, NRN on the Düsseldorf end on the route Milan-Düsseldorf;

(3) HHN on the Frankfurt end on the route Milan-Frankfurt;

(4) FKB on the Stuttgart end on the route Milan-Stuttgart;

(5) BTS on the Vienna end on the route Milan-Vienna.

(b) On the Rome end of the routes of concern the Commission considers that FCO and CIA belong to the same market (see 6.5.3.9 above). However regional / secondary airports are utilised by competitors on the other end of the routes of concern, namely:

(1) CRL on the Brussels end on the route Rome-Brussels;

(2) HHN on the Frankfurt end on the route Rome-Frankfurt;

(3) FMM on the Munich end on the route Rome-Munich;

(4) BSL on the Zurich end on the route Rome-Zurich.

(607) The Commission's investigation has clearly shown that, considering the operations of Lufthansa and ITA, which are network carriers that mainly fly to primary airports, the passenger air transport services provided by competing airlines flying mainly to regional / secondary airports (even if they are potentially within the same catchment area) are less close substitutes compared to those airlines, which are flying to the same primary airports as Lufthansa and ITA.

(608) *First*, the customers that expressed a view in the Commission's market investigation confirmed that the distance of the airport from the city centre is a somewhat important factor that they take into account when they purchase tickets on the short-haul overlapping routes.[727] More importantly, the vast majority of customer respondents that expressed a view, confirmed that the closest alternative of Lufthansa's offering on each affected short-haul route is ITA's offering, and not one of their competitors' offerings (e.g., Ryanair's etc.).[728]

(609) *Second*, the view that the airport of operation matters for customer choice was echoed by specific explanations given by individual customers, stressing their perspective as business customers:

(a) [A customer] (a customer) *explained* that "*[f]or business travellers the location and convenience of the airport largely drives the purchasing choice*". The airport of operation as a pivotal aspect of customer choice is further highlighted by the fact that, while [A customer] noted that where network and LLC airlines both fly to an "*acceptable airport*" both would be considered by customers, it also noted that HHN, FMM, BSL, CGN, DTM, NRN, LBC, BGY, and FKB are not acceptable substitutes for their primary airport counterparts.[729]

(b) [A customer] remarked that "*[l]ow cost from secondary airports are not competition*".[730]

(c) Similarly, [a customer] explained that "*For the majority of short haul routes in the annex, there is no sufficient competition especially between Germany/Belgium/Switzerland/Austria to Italy and vice-versa. The existing low cost carrier competition is not relevant to most corporate customers and takes place to a large extent on secondary airports with a different catchment area and often poor accessibility and connectivity.*"[731]

(610) *Third*, in the course of the Commission's market investigation, the competitors of Lufthansa and ITA have confirmed that (i) generally LCCs / ULCCs, such as Ryanair and Wizz Air and network carriers, such as Lufthansa and ITA usually fly to

---

727 Responses to question D.A.1. of questionnaire 06 to customers of both short-haul and long-haul flights.

728 Responses to questions D.A.15 – D.A.21 of questionnaire 06 to customers of both short-haul and long-haul flights.

729 Non-confidential response of [a customer] to a Commission's request for information, dated 11 December 2023, question 2, ID 10937.

730 Responses of [a customer] to question H.7-2. of questionnaire 06 to customers of both short-haul and long-haul flights, ID 6894.

731 Responses of [a customer] to question H.7-2. of questionnaire 06 to customers of both short-haul and long-haul flights, ID 8949.

and from different airports, and (ii) the airport of operation is a very significant parameter in the purchasing decision of customers. In particular:

(a) NEOS explained that "*the most significant difference between network and low-cost carriers is the airports they fly to/from, [which is] a factor customers take into account when choosing their flights*".[732]

(b) Similarly, Air France-KLM submitted that e.g., on the Milan-Hamburg route "*Eurowings, part of Lufthansa Group is the closest competitor [of ITA] on the route with 1.1 daily flight from MXP, as Ryanair with the same number of frequencies operates from farther BGY (see appendix 03_EA7b), which is not ideal for premium passengers"*[733], thereby also indicating that the airport of operation is an important element of closeness of competition. Air France-KLM added in a later submission that "*LCCs do not have exactly the same utility for customers, even on short-haul*" (indicating that there is differentiation between network carriers and LCCs) and referred to a variety of differences between ULCCs and LCCs belonging to large airline groups and full-service network carriers, including the airport choice of ULCCs, such as Ryanair and Wizz Air.[734]

(c) Wizz Air noted that "*[w]hile secondary airports offer alternative market access to regions driving demand, primary airports generally provide more efficient ground accessibility and proximity to cities. This results in a higher customer preference for primary airports over their secondary counterparts*". From the supply side perspective Wizz Air adds that "*[g]iven the robust ground connectivity of secondary airports and the broad catchment areas driving demand, these secondary alternatives should be taken into account for the transaction. The merged entity, by maintaining their dominant position at LIN airport for example, secure a superior competitive stance, owing to the strategic location of LIN airport. In this instance, while Milan Malpensa and Milan Bergamo provide a secondary airport for the Milan catchment area, the distance is too long to be a full substitute. Instead, LIN, thanks to better transport connections, has a unique advantage.*"[735] These statements indicate that, while airlines flying to secondary / regional airports may compete with those flying to primary airports, due to clear customer preference toward primary airports, the latter have a "*unique advantage*", which in turn indicates that they compete closely with each other, and in any event more closely than with carriers flying to secondary / regional airports.

(611) *Fourth*, The Commission notes that, as described in section 6.5, many of the secondary / regional airports on the routes of concern are significantly more difficult, time-consuming and costly to access for customers compared to primary airports.

---

732 Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraph 20, ID 11599.

733 Response of Air France-KLM to question E.A.7.2. of questionnaire 03 to short-haul competitors, ID 12093.

734 Response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, questions 28 and 29, ID 11426.

735 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 13, ID 11311.

(612) In the first place, secondary / regional airports[736] relevant for the routes discussed in this Decision are between 45 (BGY) and 124 (HHN) km away from the centre of the cities they serve. For primary airports this distance is between 7 (LIN) and 39 (MUC) kms away. Importantly, none of the secondary airports are connected by direct train to the city centre, while all primary airports are. A bus connection between the city centres and the secondary airports is also not always available. For more information see section 6.5.

(613) In the second place, the Commission notes that secondary / regional airports are – in most cases – significantly harder and more time-consuming to access for customers, especially for customers without access to their own passenger cars. A very significant portion of customers would only be able to rely on public transportation by bus, train or possibly taxi to reach an airport.

(614) In fact, there are several arguments which indicate that travel by personal passenger car or taxi or taxi to secondary / regional airports are likely to be far less relevant modes of transport compared to other options for the following reasons:

(a) Cars are not available to all potential passengers. Based on the latest data available from Eurostat, on average there are 563 cars for every thousand inhabitants within the EU. In addition, the countries affected by the Transaction are not all amongst the countries with the highest number of passenger cars for every thousand inhabitants within the EU.[737]

(b) Regarding taxis, the Commission notes that, while customers without cars could potentially utilise a taxi journey to reach the secondary / regional airport, considering the level of taxi fares in the EU, the cost savings (price advantage generally associated with LCCs) which customers may realise on the basis of the lower air fares from secondary / regional airports would likely be negated to a large extent by the cost of the journey to the airport. In fact, in several cases the price of the journey considering the taxi fares to and from secondary / regional airports may be significantly higher than the prices of network carriers flying to primary airports.

(c) At the same time, even those customers who have access to a passenger car may need to consider the costs of parking this car at the airport, which is again a factor potentially negating any cost savings the customer may realise with LCCs.

(d) Lastly, the Commission notes that even those customers who have access to passenger cars, would likely have such access only to either the origin or the destination airport and would need to rely on other transportation method on at least one end of their journey.[738]

(615) Therefore, the Commission considers in its closeness of competition assessment that the car travel option to secondary / regional airports may not be available to a significant portion of the customers within the EU Member States, while the taxi travel option may raise the price of the overall journey to an extent which renders the

---

[736] The Commission does not consider MXP, CGN and CIA as secondary airports in this assessment due to the considerations described in section 6.5 above.

[737] See https://ec.europa.eu/eurostat/databrowser/view/road_eqs_carhab/default/table?lang=en, accessed on 5 March 2024.

[738] In certain scenarios, customers might have access to rental cars at secondary airports, however considering the costs associated with such rentals, the Commission consider this option similarly as it considers the taxi option.

offering of LCCs uneconomical. This, in turn, requires the Commission to assign more weight in its closeness of competition assessment to the more affordable travel options available to the general public, i.e. train and bus options, which imply longer travel times (including getting to and from the airport) for secondary/regional airports than from primary/ more central airports. In essence, the cost savings achievable by flying to regional/secondary airports will only benefit those customers who are willing to significantly extend their travel time and use the different and less convenient transportation options available from secondary/regional airports.

(616) In the third place, the investigation of the Commission indicates, that train connections play a significant role in considering a secondary / regional airport as substitutable and convenient for customers. As an example, Air France KLM submitted regarding a potential future train connection between Milan and BGY that "*This will add an alternative airport similar to MXP (within same reach), with (U)LCC competition*". Which indicates that Air France-KLM does not consider the existing travel options between Milan and BGY (directly connected to Milan only by bus) as sufficient to consider BGY as a true alternative for network and LCC carriers (their customers) alike.[739]

(617) *Fifth*, the strong differentiation between consumer preferences regarding flights operating to and from secondary / regional airports and flight operating to and from primary airports is also indicated by the fact that Ryanair's load factor has decreased following its switch from FRA to HHN (airports which the Parties consider substitutable).[740] This example indicates that even when the changes in the service provided relate in essence solely to the airport of operation within a potential catchment area, it is already capable of shifting consumer choice.

(618) The Commission notes that it has received particularly strong feedback with regard to certain secondary / regional airports, which are illustrated in the following sections.

(619) Contrary to the Parties Response to the SO, the Commission's assessment does not contradict (i) its previous practice, or (ii) its own methodology. The Commission assesses the relevance of airport choice as a key factor, but not the only factor for the closeness of competition assessment considering the routes of concern identified. This is in line with the approach taken in previous cases, such as M.6663 – Ryanair / Aer Lingus. Contrary to what the Parties imply in the Parties' Response to the SO, the Commission does not conclude that airlines operating from different airports cannot be close or closest competitors, but relies on a closeness of competition assessment, including detailed market investigation feedback, of which the airport of operation is a relevant criterion. Similarly, the Commission's methodology allows for ITA and Lufthansa to be close or even the closest competitors on a route, even if they operate from different airports on that route.[741] In addition, the Commission notes that larger industry trends (e.g. ULCC/LCC carriers choosing to operate from primary airports in some cases) do not change the Commission's closeness of competition assessment in the present case, as these trends have no bearing on the current competitive dynamics on the routes of concern and the Commission's market

739 Response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 44, ID 11426.

740 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 24, ID 11422. The "load factor" measures the seating capacity that has been sold to passengers compared to the overall available seating capacity offered by each airline.

741 Parties' Response to the SO, paragraphs (126) – (140).

investigation has not provided any indication that such trends might be relevant (e.g. indicating a shift of LCC and ULCC carriers to primary airports on the routes of concern assessed in this Decision).[742]

(620) The Commission notes that contrary to the Parties' Response to the SO, there are clear-cut differences in airport choices made by consumers, as shown by the market investigation and considered in the Commission's assessment.[743]

(621) Importantly, the Parties' Response to the SO is based on mistaken notions regarding the accessibility of secondary airports. While some consumers might indeed live closer to the secondary airports, due to differences in population density between large cities and the regions where secondary airports located, it cannot be argued that the average customer is just as likely to live closer to the secondary airport as it is to live closer to the primary airport. This is supported among others by the Parties submission which shows that far more passengers chose to fly from primary airports compared to secondary airports.[744] In addition primary airports are more likely to be well connected through public transportation compared to secondary/regional airports. The claims of the Parties, suggesting without evidence that some customers might have a preference for secondary/regional airports is not supported by the market investigation and does not impact the conclusions drawn by the Commission.[745]

(622) The Parties also argue that the Commission's assessment regarding passenger cars or taxis as transportation is flawed and the Commission should give far more importance to these modes of transport. In particular, the Parties argue that (i) car ownership numbers in Germany and Italy are above average, (ii) a 2010 report from the European Commission noted that cars remain the most important access mode to nearly all European airports, and that half of the passengers in Germany arrive to the airports by car and 18% uses taxis, moreover (iii) a 2019 report regarding BGY shows that 20 % of business passengers and 29 % of leisure passengers utilise the bus or train and bus options. [746] In response, the Commission notes that none of the above impacts its assessment significantly, as the information provided for Germany is highly outdated and potentially obsolete, while the information provided for Italy is specific to BGY and is more likely to be indicative of the lack of connections to this specific airport than the general importance of passenger cars in Italy for reaching airports. The Parties arguments also do not address the issues arising around the potential costs associated with taking taxis to or parking cars at airports or the necessary lack of personal passenger cars on the destination end of the route (even if one were to be "dropped off" at the origin airport). The Commission also notes that the Parties provided no information on countries other than Germany from the DACHB region. Lastly, regarding the Parties arguments on car ownership, see paragraph (612) above.

---

742 Parties' Response to the SO, paragraphs (141) – (163). The Commission notes that for most short-haul routes of concern LCC/ULCC carriers are flying to/from secondary/regional airports on at least one end of the route. Where they do not (e.g. Rome-Vienna) this has been considered in the competitive assessment in Sections 9.2-9.4 of this Decision.

743 Parties' Response to the SO, paragraphs (164) – (168). See questionnaire 06 to customers of both short-haul and long-haul flights and various minutes of conference calls with competitors of Lufthansa and ITA as referenced throughout this decision.

744 Form CO, Annex M.11071 - RFI 3 - DLH Annex 51 – Airports catchment overlaps (passenger data).

745 Parties' Response to the SO, paragraphs (169) – (175).

746 Parties' Response to the SO, paragraphs (176) – (183).

(623) Lastly, the Commission notes that the Parties arguments relating to the overall market position of Ryanair in Italy and on a pan-European level, its brand recognition and the fact that it considers itself the closest competitor of Lufthansa and ITA does not change the Commission's assessment. Even considering these factors, the evidence of the market investigation and the competitive dynamics described in the Commission's assessment (including airport choice, frequencies, prices, etc.) clearly show that Lufthansa and ITA closely compete with each other on the routes of concern. The Commission notes that, the Commission does not contest that Ryanair exerts competitive pressure on Lufthansa and ITA. However, the evidence, which is available in the Commission's file and which has been set out in detail in this Decision, shows that in terms of closeness of competition, Ryanair competes less closely with Lufthansa compared to ITA. The fact that Ryanair is overall a strong player within the EEA and in Italy, which may even be a stronger player than ITA on some measures, has no bearing on the closeness of competition assessment.[747] In addition, as confirmed in the recent CK Telecoms judgement, even in oligopolistic markets, the Commission is only required to assess whether the merging parties are close competitors (rather than "particularly close").[748] Even if ITA and Lufthansa were not the closest competitors, they are clearly, at the very least, close competitors.

9.1.2.2.2. Airport specific feedback regarding the competitive dynamics between primary and secondary / regional airports

9.1.2.2.2.1. Frankfurt – main airport: FRA, secondary / regional airport: HHN

(624) Regarding HHN, NEOS notes that "*travelling time and cost between Hahn and Frankfurt city centre are considerably higher than between Frankfurt Main and Frankfurt city centre. In this context, the overall flight time in a short-haul flight to/from Frankfurt from the one hand and Italy on the other, might be less than the travel time from Frankfurt city-centre to Hahn*".[749]

(625) Ryanair, which the Parties consider to be Lufthansa's main competitor, and which recently exited FRA and started operations in HHN, explained to the Commission that this transfer of operations led to a significant drop in customer demand. More specifically, Ryanair explained that *"[i]n IATA Summer 2019 we [Ryanair] carried 81.0k passengers between Frankfurt Main and Milan. In IATA Summer 2023, after we halted operation to Frankfurt Main, we carried 22.8k passengers between Frankfurt Hahn and Milan.*" In addition, Ryanair explained that it operated daily flights between FRA and Milan, but it only operates biweekly flights between HHN and Milan. It noted that its load factor "*dropped […] following the switch from Main to Hahn between IATA Summer 2019 and IATA Summer 2023*". It also explained that "*Hahn is not comparable to Frankfurt (transport links, proximity to population centres)*".[750]

(626) Lastly, in response to the Commission's eRFI questionnaire, only 3% of the respondents considered that Ryanair's offering to/from BGY on the one hand and to/from HHN on the other hand is the closest alternative to Lufthansa's offering,

---

747 Parties' Response to the SO, paragraphs (188) – (219).

748 Case-376/20 P Commission v CK Telecoms UK Investments, ECLI:EU:C:2023:561.

749 Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraph 21, ID 11599.

750 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, questions 2 and 24, ID 11422.

while 63% of the respondents (the vast majority of customers expressing an opinion) considered ITA's offering to be the closest alternative. Similarly, for the Rome-Frankfurt route only 5% of the respondents considered Ryanair's offering (FCO to HHN) the closest alternative, while 65% (the vast majority of customers expressing an opinion) considered ITA's offering to be the closest alternative.[751]

9.1.2.2.2.2. Zurich – main airport: ZRH, secondary / regional airport: BSL

(627) Regarding BSL, easyJet indicated that: *"(...) if ZRH and BSL were to be considered as substitutable airports for the assessment of route Rome-Zurich, easyJet would consider SWISS to be ITA's closest competitor (as they both operate from ZRH and are network carriers), whereas it would consider Wizz Air to be easyJet's closest competitor (as they both operate from BSL and are LCCs). According to easyJet, competition and competitive dynamics significantly differ depending on the airport. Therefore, who easyJet considers as its closest competitors depends on the airport [of operation] [...]"*.[752]

(628) Wizz Air indicated that "*[t]rough its operation on the Rome-Basel route, Wizz Air considers that it competes to some extent, with airlines operating a Rome-Zurich route for customers travelling to/from Zurich that are price-sensitive. However, Basel has its own distinct catchment area and customer demand*" which indicates that airlines flying to BSL do not compete closely with airlines flying to ZRH due to distinct customer demand.[753]

(629) Similarly, a customer indicated that "*The time (more than an hour drive according to Google Maps) and the cost of travelling between EuroAirport BMF and Zurich is considerable. The cost saved on short-haul flights to/from EuroAirport BMF would likely be outweighed by the transportation cost of travelling to/from EuroAirport BMF*"[754]

9.1.2.2.2.3. Munich – main airport: MUC, secondary / regional airport: FMM

(630) With regard to FMM, Ryanair, which the Parties consider the most important competitor of Lufthansa, explained that it "*would question the comparability of Munich Airport and Memmingen Airport*".[755] Wizz Air noted that "*Wizz Air does not consider that the competition with carriers operating the route Rome-Munich to be strong, through its Rome-Memmingen operation, as Memmingen is far away from Munich (approximately one-and-a-half-hour drive). In this context, Wizz Air explains that in order for passengers to/from Munich to choose to fly to/from Memmingen instead, they would need to be severely price sensitive.*"[756]

---

751 Responses to question D.A.18-1. of questionnaire 06 to customers of both short-haul and long-haul flights.

752 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraphs 12-13, ID 1054.

753 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 4, ID 861.

754 Non-confidential response of [a customer] to a Commission's request for information, dated 11 December 2023, question 1, ID 10937.

755 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 5, ID 11422.

756 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 4, ID 861.

9.1.2.2.2.4. Brussels – main airport: BRU, secondary / regional airport: CRL

(631) With regard to CRL, Ryanair, which the Parties consider the most important competitor of Lufthansa, explained that it "*would question the comparability of […] Brussels Airport and Charleroi Airport*".[757]

9.1.2.2.2.5. Düsseldorf – main airport: DUS, secondary / regional airports: CGN, NRN and DTM

(632) With regard to CGN and NRN, Ryanair, which the Parties consider the most important competitor of Lufthansa, explained that it "*would question the comparability of […] Düsseldorf Airport and Cologne/Niederrhein Airports*".[758] Wizz Air noted that only "*a small number of passengers from Düsseldorf fly to Rome from either Cologne or Dortmund*" which indicates that passengers who intend to fly from/to Düsseldorf to and from Rome do not consider that LCCs flying to and from DTM compete closely with carriers flying to DUS.[759]

9.1.2.2.2.6. Stuttgart – main airport: STR, secondary / regional airport: FKB

(633) With regard to FKB, Ryanair, which the Parties consider the most important competitor of Lufthansa, explained that it "*would question the comparability of […] Stuttgart airport and Baden-Baden Airport*".[760]

9.1.2.2.3. Internal documents of the Parties indicating that airlines operating at primary airports compete less closely with airlines operating at secondary / regional airport

(634) The Commission notes that the views of competitors and customers and the empirical evidence presented above is further substantiated by the internal documents of Lufthansa and ITA.

(635) Lufthansa submitted several internal documents regarding LCC and ULCC competition which describe its strategy employed against these competitors. While these document show that LCCs and ULCCs exert competitive pressure on Lufthansa, these documents also show that Lufthansa considers this pressure to be significantly alleviated once […]. Figure 49 below illustrate this approach of Lufthansa. While this internal document shows that […].

Figure 49

[…]

Response of Lufthansa and MEF to a Commission's request for […].

(636) In addition, the Commission notes that Lufthansa's own internal documents indicate that Lufthansa may compete closely with ITA, even when on a specific route Ryanair might have the highest market share. The below document shows that […], which indicate that Lufthansa competes more closely with ITA than with Ryanair.

---

757 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 5, ID 11422.

758 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 5, ID 11422.

759 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 5, ID 861.

760 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 5, ID 11422.

Figure 50

[…]

Response of Lufthansa and MEF to a Commission's request for information […].

(637) In their Response to the SO, the Parties argue that the Commission made incorrect interpretations of the internal documents presented in Figure 49 and Figure 50 above.[761] The Commission takes the view that the Parties submission does not questions the relevant conclusion it has drawn from these internal documents. Notably:

(a) The Parties vaguely refer to the fact that the overall LCC strategy of Lufthansa is not reflected on this slide, without an explanation on how that affects the information, contained in this slide (Figure 49).

(b) The Commission already considers that Ryanair exerts competitive pressure on Lufthansa. Therefore, the existence of further examples substantiating this sourced from the internal document which includes also Figure 49 above does not affect its assessment.

(c) The Parties explanation to Figure 50 in particular, notably that […], does not affect the Commission's assessment, as Figure 50 above still indicates close competition between Lufthansa and ITA, even considering this additional information.

9.1.3. Competition with train operators

(638) Lufthansa argues that on the routes Milan-Frankfurt, Milan-Stuttgart, Milan-Vienna, Rome-Munich and Rome-Zurich, the Parties face competitive pressure by attractive direct or indirect train options offered by Trenitalia, ÖBB, SBB and/or Deutsche Bahn (or a combination of those). In section 6.8 above, the Commission considers that, for the purpose of this decision, rail passenger services between city-pairs that are longer than 6 hours (such as the four services referred to by Parties in the previous sentence) should not be considered in the same market as air passenger services between the same city-pairs although they may be taken in consideration to the extent that they exert out of market constraints on air passenger services. By contrast, rail services between city-pairs that are up to 3-4 hours long may be considered as exerting direct competitive constraint on air passenger services between the same city-pairs.

(639) The evidence in the Commission's file suggests that the trains on the routes Milan-Frankfurt, Milan-Stuttgart, Milan-Vienna, Rome-Munich and Rome-Zurich, do not exert sufficient competitive pressure on the Parties and their competitors for the reasons listed below.[762]

(640) *First*, according to the Parties' submissions, ITA monitors train alternatives to short-haul routes wherever the travel duration is considered comparable with the flight itinerary (within the range of […] hours), focusing its monitoring activity on […].[763] Similarly, according to the Parties' submissions Lufthansa monitors competition by

761 Response to the SO, paragraphs 184-186.

762 The Commission also refers to the assessment outlined in section 6.8 above.

763 Form CO, paragraph 2352.

train operators […] when the train itinerary's duration is up to approximately […] hours.[764] Therefore, the Parties have explained that […].

(641) In addition, the analysis of internal documents show that […] (see Figure 51 below).

Figure 51

[…]

Source: ITA Presentation […].

(642) Furthermore, the internal document below, prepared by Lufthansa in its ordinary course of business, […] only considers train alternatives of below […] hours as having an influence over Lufthansa's activities on a route.

Figure 52

[…]

Source: Response of Lufthansa and MEF on a Commission's request for information […].

(643) Second, the train operators that expressed a view in the Commission's market investigation consider that passengers will generally prefer air transport services despite the availability of cross—country train services on the same route if the maximum duration of the train journey is above 6 hours..[765] However, the large majority of customers who expressed an opinion in the Commission's market investigation did not consider that trains exert competitive pressure on flights on either of the routes Milan-Frankfurt, Milan-Stuttgart, Milan-Vienna, Rome-Munich or Rome-Zurich.[766]

(644) Third, the customers' view was reiterated by the majority of airlines that expressed a view.[767]

(645) For instance, Air France-KLM submits that based on its market knowledge, *"(…) the train represents a threat for short/medium haul flights when the duration of the train travel is below 3 times the duration of the flight (…), and especially when the train travel is below 4 hours. (…)*" and in order to determine whether trains exert competitive pressure on flights, the "*absolute train travel time is more relev[a]nt than a relative difference between train and plane difference*".[768] In this context, Air France-KLM confirms that it does not consider trains of above four hours on short-haul routes to exert competitive pressure on flights.[769] On a similar note, "*SAS consider[s] trains to exercise an indirect competitive pressure for journeys that take up to three hours (domestic travel)"*,[770] and easyJet confirms that "*(…) generally where the train is less than 3 hours the train will capture the majority of*

764 Form CO, paragraph 2353; Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 26, slides 3-7.

765 Response of SBB to a Commission's pre-notification request for information to train operators, dated 6 September 2023, question 7, ID 852; and Response of Deutsche Bahn to a Commission's pre-notification request for information to train operators, dated 6 September 2023, question 7, ID 883.

766 Responses to questions DB.1, D.B.3 and D.B.6 of questionnaire 06 to customers of both short-haul and long-haul flights.

767 Responses to questions E.B.3 and E.B.6 of questionnaire 03 to short-haul competitors and questions questionnaire 06 to customers of both short-haul and long-haul flights.

768 Response of Air France-KLM to question E.B.4.2. of questionnaire 03 to short-haul competitors, ID 12093.

769 Response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 31(b), ID 11426.

770 Response of SAS to question E.B.4.2. of questionnaire 03 to short-haul competitors, ID 12313.

passengers".[771] Finally, Ryanair submits that "*[c]onsidering it can take roughly 3 hours to travel to and from an airport (including being at the airport 2 hours before a flight) people tend to be unwilling to sit in a train for significantly longer than the time it takes to fly*".[772]

9.1.4. Barriers to entry and expansion

(646) Based on the Commission's market investigation, the most important criteria for an airline to decide whether to enter or expand operations on any of the overlapping short-haul routes are (i) whether Lufthansa (as one of the largest airlines in Europe, which has the possibility to exert significant competitive pressure) is active on a certain route (the criterion that was marked by the respondents to the Commission's market investigation questionnaire as the most important barrier to entry and expand in all of the short-haul routes of concern); (ii) the level of airport charges; and (iii) slot congestion at certain airports.[773] Based on these results, which show how airlines consider the criteria to apply in their decision making regarding entry or expansion, the Commission's market investigation identified several barriers to entry and expansion that reduce the likelihood of existing competitors and new entrants expanding their services or starting new services on the O&D routes assessed in this Decision: in particular, the availability of slots in LIN airport, the large slot portfolio of the Parties in certain airports and the Parties' aggressive practices made possible by those slot portfolios, the airport charges at certain of Lufthansa's hubs and the network effects of network carriers. These barriers are described in sections 9.1.4.1, 9.1.4.2, 9.1.4.4 and (702) below. To the extent that barriers to entry and expansion are route specific, they will be further assessed on a route-by-route basis in sections 9.2, 9.3, and 9.4 and their sub-sections.

9.1.4.1. Slot congestion at Milan Linate Airport

(647) LIN is not only usually the preferred airport of airlines, due to its proximity to the city centre of Milan resulting in shorter travel times to and -rom Milan's city center, for short-haul flights to and from Milan[774] but also one of the centres of ITA's activities as shown in the route-by-route assessment in sections 9.2, 9.3, and 9.4 below. ITA is currently the largest operator at LIN in terms of slots holding with market shares of 53.5% in the 2023 summer and 55% in the 2023/24 winter season. In particular, during the last three IATA seasons, ITA held at least half of the slots during operating hours and around 60% of slots during peak hours. Lufthansa is the second largest player in terms of slot holding in LIN with around 7% of slots [775] (see section 11.4.1.1 for more information).

---

771 Response of easyJet to question E.B.4.2. of questionnaire 03 to short-haul competitors, ID 12368.

772 Response of Ryanair to question E.B.4.2. of questionnaire 03 to short-haul competitors, ID 12597. Additional evidence was made available to the Parties' external legal counsels over the data room process.

773 Responses to questions E.E.2.1.-E.E.2.12. of questionnaire 03 to short-haul competitors.

774 See e.g. non-confidential minutes of a conference call with Wizz Air, dated 16 May 2023, paragraph 4. b. ID 415 and non-confidential minutes of conference call with Air France-KLM, 16 October 2023, paragraph 31, ID 10199. See also 6.5.3.6 above.

775 Response of Assoclearance to the Commission's requests for information dated 4 March and 8 March 2024, ID 11751. Response of Lufthansa and MEF to a Commission's request for information (RFI 24), question 2 and Annex 2. Non-confidential minutes of conference call with easyJet, 24 October 2023, paragraph 16, ID 1054.

(648) In their response to the Commission's Article 6(1)(c) Decision as well as in a subsequent submission,[776] the Parties argue the following:

(a) In line with the Commission's conclusion on the market definition when considering barriers to entry in Milan, the slot availability of other airports within the Milan catchment area should be taken into consideration;[777]

(b) The Commission's approach to consider LIN in isolation does not depict an issue that is specific to the Transaction, as the concerns raised in the market investigation are related to the current situation at LIN, namely that very limited slots are available[778] and to ITA's slot holding therein (being the only airline with a base in LIN) as a result of having been transferred 175 daily slots previously held by Alitalia through a State Aid decision of the Commission;[779] and that,

(c) Lufthansa does not bring a significant increment to ITA's position at LIN, as it primarily operates from MXP in 2023.[780]

(649) The Commission notes the following.

(650) *First*, based on the results of its market investigation despite the existence of at least MXP within the Milan catchment area, competitors consider that slots at LIN give a strong competitive advantage to those who operate them, due to its strategic location and proximity to the city centre compared to MXP (see section 6.5.3.6 above, section 11 below, and paragraph (655) *et seq*.). Therefore, the inability of competitors to obtain slots at LIN is considered a significant barrier to entry, despite the availability of slots at MXP.

(651) *Second*, the Commission's assessment on barriers to entry and expansion are not limited to those that are created because of the Transaction. Factors that make entry or expansion difficult, costly or impossible make it unlikely that competitors would expand or start new operations in the future, independently of whether those factors existed before the Transaction or whether they have been caused or exacerbated by the Transaction. Accordingly, the Commission takes all barriers to entry into account which give incumbent firms advantages over potential competitors, independently of the origin of those barriers.[781]

(652) *Third*, in any event, the Parties are, already pre-Transaction the two largest entities operating from LIN in terms of slot holding, with ITA being the largest one (53.5-55%), followed by Lufthansa which will bring an increment of around 7% of slot-holding, a non-negligible increment, post-Transaction.

---

776 Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024; Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 38 *et seq*.

777 Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024, paragraph 315; Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 38 *et seq*.

778 Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024, paragraph 316.

779 Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024, paragraph 317.

780 Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024, paragraph 318.

781 Horizontal Merger Guidelines, paragraph 70.

(653) The Commission concludes that the slot congestion LIN constitutes a significant barrier to entry and expansion as is apparent from the results of the Commission's market investigation. In this context the Commission considers the following.[782]

(654) *First,* LIN is a level 3 coordinated airport under the IATA Worldwide Slot Guidelines, which indicates that demand significantly exceeds the airport's capacity.[783] For a detailed overview of the congestion levels at LIN, see section 11.4.1.3 below.

(655) In this context, the Commission notes the importance of operating during peak hours for the Parties' competitors, based on their P2P business model (see paragraph (583) above).

(656) In this context, the Commission's market investigation confirmed that market participants consider LIN as a highly congested airport where it is extremely difficult to obtain appropriate slots. Notably, Luxair S.A. explained that despite "*continuous efforts […] it has not managed to obtain any slots in LIN*" and that the Transaction "*would eventually hinder the entry of new competitors at LIN airport*".[784] easyJet similarly explained that "*LIN is an airport where slots are especially hard to access. LIN is a congested and slot constrained airport, and there has been little churn, unlike at other airports*' and that its "*ability to effectively compete with the combined entity will depend on whether it will manage to obtain slots, and if so, on the number of those slots that it will manage to obtain*" in LIN.[785] Wizz Air confirmed that LIN is congested and noted that the Transaction "*could be problematic in Linate Airport, especially considering the difficulty other market players face in obtaining slots*".[786] In addition, Air France-KLM not only confirmed that LIN is highly congested, but added that "*growth is not possible given slots scarcity*".[787] Lastly, both Ryanair and Vueling confirmed that LIN is congested and IAG added that "*it is very difficult to obtain slots*' in LIN.[788]

(657) *Second,* the results of the Commission's market investigation confirmed that LIN and MXP are substitutable from the point of view of customers (when deciding from/to where to book their flights; under the O&D approach) while the results were mixed and the Commission left the market definition open with respect to BGY (see section 6.5.3.6). By contrast, the Commission's market investigation showed that LIN, MXP and BGY are not substitutable from the point of view of airlines when deciding from/to where to offer their flights (under the airport-by-airport approach, see section 6.10.1.3). See also paragraph (648) above.

(658) Respondents such as Marabu, Luxair and Finnair elaborated on the differences between the airports, further indicating the advantages stemming from being active

---

782 Form Co, Annex M.11071 - RFI 9 - Annex 105 - Share of seats at relevant airports S22-S23 and M.11071 - RFI 9 - Annex 106 - Share of flights at relevant airports S22-S23.

783 List of IATA Coordinated Airports (available at: IATA - Coordinated Airports); and, Form CO, paragraphs 818-819.

784 Non-confidential minutes of a conference call with Luxair S.A. dated 9 June 2023, paragraphs 5 and 11, ID 430.

785 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraphs 16 and 17, ID 1054.

786 Non-confidential minutes of a conference call with Wizz Air, dated 16 May 2023, paragraph 4, ID 415.

787 Non-confidential minutes of a conference call with Air France KLM, dated 16 October 2023, paragraphs 13 and 32, ID 10199.

788 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 16, ID 2367; and, Non-confidential minutes of a conference call with Vueling (IAG Group), dated 18 October 2023, paragraph 17, ID 1026.

in LIN. They explained that "*BGY is even further away [from] the city center of Milan than MXP and is therefore even less likely to be considered a substitute to LIN. Price sensitive passengers for which a SSNIP analysis would likely show that they would prefer LIN*" [sic][789] and that the three airports have a different focus "*BGY- LCC, LIN- mainly point to point, MXP- mix of all- intercontinental and local Europe and LCC*",[790] and that "*MXP and LIN [are] not fully comparable, BGY with different catchment area*"[791] and "[BGY] *driven by Ultra Low Cost operation*".[792] Other respondents such as TAP, Ryanair and Wizz Air believe that the airports are fully substitutable.[793]

(659) <u>*Third*</u>, market participants consider LIN an especially well-located airport which is easily reachable from the city centre of Milan through convenient public transport connection, therefore it serves Milan as its primary airport and is a highly attractive airport for airlines and passengers alike. Therefore, even if barriers to entry at MXP and BGY are lower, the market investigation suggests that entering with flights from MXP and BGY is less attractive and would put the airline competing with services of the merged entity from LIN at a disadvantage – resulting in a disincentive to enter or expand from MXP or BGY. Therefore, this does not alleviate the scarcity of slots and the respective barriers market participants experience in relation to LIN. In this context, Wizz Air explains that "*the competitive dynamics are particular (…) due to its spread-out geography. In this context, Wizz Air acknowledges the existence of the 3 primary airports in Milan, namely Malpensa, Linate and Bergamo. According to Wizz Air, Linate is by far the preferred airport, as it is the one closest to Milan Metropolitan city, through a 15-minute subway ride. On the contrary, Malpensa is located significantly farther from the Milan Metropolitan area, and it is not connected with the city centre via subway. Instead, it takes over one hour to reach Malpensa by train from the city centre (and during night hours when trains are not available, the airport is only accessible via taxi, which due to its distance from the city centre, is a very expensive option). In this context, Wizz Air explains that, in its view, Malpensa and Bergamo are only considered as Linate's alternatives because of the latter's limited capacity and are not close substitutes*."[794] easyJet notes in a similar fashion that "*there is limited competition for routes between Milan Linate and Milan Malpensa*" since "[...] *Linate is quite unique, due to the combination of various factor*s".[795] Luxair notes that MXP and BGY cannot be considered as substitutes to LIN, due to their relative distance from Milan's city centre, indicating that slot availability on these airports is not sufficient to counterbalance the constraints at LIN.[796]

9.1.4.2. Slot congestion at other airports relevant for the assessment of the Transaction

(660) The Commission notes that in addition to LIN, other primary airports relevant for the Transaction are also congested, therefore slot constraints on primary airports

789 Response of Marabu Airlines to question C.A.2.2. of questionnaire 03 to short-haul competitors, ID 12550.

790 Response of Finnair to question C.A.2.2. of questionnaire 03 to short-haul competitors, ID 12536.

791 Response of Luxair to question C.A.2.2. of questionnaire 03 to short-haul competitors, ID 7354.

792 Response of Luxair to question C.A.2.2. of questionnaire 03 to short-haul competitors, ID 7354.

793 Response of TAP to question C.A.2.2. of questionnaire 03 to short-haul competitors, ID 12475.

794 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 19(a), ID 861.

795 Non-confidential minutes of conference call with easyJet, 14 August 2023, paragraphs 10 and 11, ID 1054.

796 Non-confidential minutes of conference call with Luxair, 9 June 2023, paragraphs 3 *et seq*, ID 430.

constitute barriers to entry and expansion on a number of the routes. This applies in particular to FRA, MUC and ZRH, which show very high levels of congestion for certain periods of the day as follows:

(a) FRA shows particularly high levels of congestion within the arrival times between 4:50-7:20; 9:20-10:20; 13:10-14:10; 17:00-18:50, and the departure times between 6:50-8:50; 9:50-11:40; 14:00-15:40; 18:50-20:20.[797] In addition, the majority of the short-haul competitors of Lufthansa and ITA noted that it is hard or very hard to obtain slots in FRA.[798]

(b) MUC shows particularly high levels of congestion within the arrival times between 5:10-6:10; 7:30-8:40; 11:30-12:50; 15:40-16:40; 18:40-19:30, and the departure times between 8:40-10:40; 12:50-14:30.[799] In addition, the majority of the short-haul competitors of Lufthansa and ITA noted that it is hard or very hard to obtain slots in MUC.[800]

(c) With regard to Zurich Slot Coordination Switzerland has specifically noted in response to the Commission, that "*As a hub, ZRH has six waves. During these peak periods, it's nearly impossible to get new slots. But outside the peaks, there is still a lot of capacity available.*"[801] Based on the data submitted by Slot Coordination Switzerland ZUR indeed shows high levels of congestion e.g. within the arrival times between 8:00 and 10:00, 13:00 and 15:00 and 19:00 and 21:00 (UTC), and the departure times between 3:00 and 5:00, 10:00 and 11:00, moreover 15:00 and 16:00 (UTC).[802] In addition, the majority of the short-haul competitors of Lufthansa and ITA noted that it is hard or very hard to obtain slots in ZRH.[803]

(661) In this context, the Parties argue that airport congestion is not a significant barrier to entry, considering that on the routes of concern, competitors can operate from non-congested secondary/regional airports.[804] The Commission notes that it has considered slot congestion in its assessment of specific routes, and also considered, whether the effects of airport congestion on the potential entry and expansion plans of competitors are likely to be limited or not.

(662) For instance, the Commission notes that a distinction must be drawn between congestion levels at LIN airports, which result in a prohibitive barrier to entry,[805] compared to the congestion levels at airports set out above, where congestion could potentially deter entry or result in potential entrants having to accommodate their schedules / frequencies to slot availabilities which may impact their profitability

797 Annex "*ITA_LH_Merge_ D8_FRA.xlsx*" to the response of FLUKO Airport Coordination to questionnaire 02 to slot coordinators. Considering Summer IATA Season 2023 data. The Commission notes that congestion levels fluctuate depending on the day.

798 Responses to question E.E.1. of questionnaire 03 to short-haul competitors.

799 Annex "*ITA_LH_Merge_ D8_MUC.xlsx*" to the response of FLUKO Airport Coordination to questionnaire 02 to slot coordinators. Considering Summer IATA Season 2023 data. The Commission notes that congestion levels fluctuate depending on the day.

800 Responses to question E.E.1. of questionnaire 03 to short-haul competitors.

801 Response of Slot Coordination Switzerland to question D.8.4. of questionnaire 02 to slot coordinators.

802 Annex "*ZRH Allocation S23.pdf*" to the response of Slot Coordination Switzerland to questionnaire 02 to slot coordinators. Considering Summer IATA Season 2023 data.

803 Responses to question E.E.1. of questionnaire 03 to short-haul competitors.

804 The Response to the SO, paragraphs (273) – (280).

805 See Section 9.1.4.1 above.

negatively. The Commission therefore considers the barrier slot congestion poses less acute in these airports.[806]

(663) With respect to barriers to entry as a result of slot congestion and/or other reasons in a particular airport, the Parties submit that, these do not constitute barriers to entry, as entry and expansion keeps occurring through airports within the same catchment area (see section 6.5 above) and that thus, the latter need to be taken into account.[807] The Parties reiterate this argument in the Response to the SO.[808]

(664) In response, the Commission notes that it does not contest the fact that there exist secondary / regional airports available in the relative proximity of the airports mentioned above, where competitors can and do operate from. However, the Commission considers that carriers operating at these secondary / regional airports do not compete as closely with Lufthansa and ITA as competitors operating at the same primary airport, such as FRA, MUC and ZRH (for more details please see 9.1.2 above) and are therefore less competitive when competing with services of the merged entity from primary airports. Therefore, the Commission considers that its barriers to entry assessment remains valid as there are barriers to entry and expansion in terms of slot availability in terms of offering services that would compete closely with the merged entity and could constitute a strong constraint. The Commission notes that slot availability on secondary/regional airports means that technically entry on any of the routes could be technically feasible on the routes of concern, but only between secondary/regional airports. Nevertheless, the competitive constraint such services would generate would be limited. To reflect on the Parties' claim that they "*never heard of [such] […] concept*",[809] the Commission clarifies that for a (hypothetical) entrant to exert a sufficiently strong competitive pressure on Lufthansa and ITA on the direct-direct overlap routes, this entrant would likely need to have – among other characteristics – at least a partial presence at the primary airports on the particular route, not only at secondary/regional airports. Therefore, the Commission's assessment above does not change as a result of the Parties arguments in the Response to the SO.[810]

9.1.4.3. Strong combined market position of the Parties post-Transaction (i.e., combined market presence on each affected route and combined slot portfolio at hub airports/airports of focus)

(665) In M.6663 - *Ryanair/Aer Lingus III*, the Commission concluded that the presence of a strong competitor on a route can act as a very significant barrier to entry and expansion.[811] This dynamic – confirmed by the market investigation and the Parties' internal documents as explained below – is caused by a number of market conditions, some of which are particular to the air passenger services market.

(666) *First*, a carrier with a strong presence (hub or base) at a particular airport has the ability to quickly re-allocate flights and frequencies in order to offer the most attractive schedules in response to new entry, for example by re-arranging departure times close to those of the entrant.[812]

806 Considering also the Parties Response to the SO, paragraphs 277-280.
807 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 38 *et seq*.
808 The Response to the SO, paragraphs (257) – (260).
809 Response to the Statement of Objections, paragraphs 277 and 280.
810 See sections 6.5 and 9.1.2.2 above.
811 See Case M.6663 – Ryanair/Aer Lingus III, paragraph 666.
812 See Case M.6663 – Ryanair/Aer Lingus III, paragraph 665.

(667) *Second*, customers in the passenger air services market are relatively price sensitive, and the market is characterised by low switching costs and a relatively high degree of price transparency.

(668) While these market features can, dependent on circumstances, promote price competition, they may also allow for a strong incumbent to efficiently price new competitors out of the market. This is particularly true, if the incumbent benefits from a frequency advantage and/or economies of scale associated with having a large base at the relevant airport.[813] The incumbent may also be able to (partially) offset the losses associated with aggressive price retaliation by feeding the traffic to other, more profitable routes and/or through servicing the more profitable passenger groups (e.g., business class, time-sensitive passengers), which typically require a frequent, regular schedule that only the incumbent can provide. As such, the presence of a strong competitor on a route, and the risk of aggressive retaliation, may in itself deter new entry and thereby act as a significant barrier to entry.[814]

(669) In a submission made by the Parties, it is argued that the latter do not benefit from particular advantages at hub airports that would raise barriers to entry or expansion for competitors.[815] This is because ITA only has a limited position at Lufthansa's hub airports and/or airports of focus and only brings a minimal increment in terms of slots or shares of passengers, flights and seats and that similarly, Lufthansa does not bring a strong increment at ITA's hub in Rome FCO where the combined position of the Parties remains moderate, with sufficient slots remaining for competitors to enter or expand.[816]

(670) In this context, the Commission reiterates its view that its assessment on barriers to entry and expansion should not be and is not limited to those that are created or exacerbated because of the Transaction.

(671) Furthermore, the Commission concludes that the Parties' strong combined market position post-Transaction on the short-haul routes of concern, and their strong combined slot portfolio at hub airports and/or other airports of focus would act as a barrier to entry and/or expansion on the short-haul routes of concern for the reasons listed below.

(672) In the first place, post-Transaction, the Parties' combined market shares in almost all the affected routes will be very high (for more information see sections 9.2, 9.3 and 9.4 below), and in most cases indicative of a dominant position and at least of market power. These market shares would allow Lufthansa and ITA to take advantage of their slot-holding and economies of scale, and to potentially render their competitors' activities unprofitable. On this basis, the majority of competitor respondents to the Commission's market investigation that expressed a view consider that Lufthansa and ITA's combined presence on the affected routes will act as a strong barrier to entry and/or expansion.[817] For example, on the city pairs Milan-Brussels and Rome-Brussels, Air France – KLM, which expressed an interest in entering through its LCC Transavia, specified that it has not yet decided whether to enter, and it will assess,

813 See e.g. Case M.6663 – Ryanair/Aer Lingus III, paragraphs 584-586.
814 See Case M.6663 – Ryanair/Aer Lingus III, paragraph 737.
815 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 4 et seq.
816 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 4 *et seq*.
817 Responses to question E.E.2.7. of questionnaire 03 to short-haul competitors.

among others, the *"[c]ompetitive landscape, as the proposed transaction will result in a more challenging competitive landscape for new entrants*".[818]

(673) In the second place, in the majority of their hub airports and other airports of focus of the Parties (i.e., LIN where ITA has focused its operations and is currently by far the largest operator and other airports such as DUS, HAM and STR where Lufthansa has a significant activity, mostly through Eurowings)[819], the Parties already pre-Transaction hold a significantly high percentage of slots, at levels that are indicative of market power (e.g., BRU and VIE) and/or dominance (e.g., LIN, FRA etc.) with the exception of FCO where the Parties' combined slot holding is lower and not indicative of market power. The Parties' combined slot holding in each hub airport is summarised in Table 24 below:

Table 24: Parties' combined slot holding by airport

Airport	Parties' combined slot holding IATA Summer 2022	Parties' combined slot holding IATA Winter 2021/2022
Milan Linate (LIN)	62.4%	65.4%
Rome Fiumicino (FCO)	25.5%	26.7%
Frankfurt Main Airport (FRA)	64.6%	69.3%
Düsseldorf Airport (DUS)	52.2%	57.5%
Hamburg Airport (HAM)	51%	51%
Stuttgart Airport (STR)	58.7%	59.9%
Munich Airport (MUC)	66.3%	66.6%
Brussels Airport (BRU)	45.7%	47.4%
Zurich Airport (ZRH)	66.3%	61.4%
Vienna Airport (VIE)	42.4% (Lufthansa only as ITA currently not present)	41.7% (Lufthansa only as ITA currently not present)

Source : *Form CO, Figures 55-67.*

(674) In particular, the analysis of internal documents shows that the Parties consider slot-holdings as a strategic advantage that can act as a barrier to entry and expansion as it may be used to prevent entry from competitors […], as shown in Figure 53 below.

Figure 53

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information […].

818 Response of Air France – KLM to a Commission's request for information (RFI II-1) dated 13 February, question 32(b), ID 11426.

819 Form CO, paragraphs (1090)-(1092).

(675) Moreover, further analysis of internal documents shows that it is part of the Parties' strategy to maintain a high percentage of slot holding, and subsequently to defend their strong position in their hubs and airports of focus, as shown in

(676) Figure 54 below.

Figure 54

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information […].

(677) The same internal document further argues that, […].[820]

(678) As demonstrated in Figure 55 below, further analysis of internal documents supports that Lufthansa considers slot-holdings at its hub airports and airports of focus as a strategic advantage that can act as a barrier to entry and expansion as it may be used to prevent entry and/or expansion of rivals, and has an effect also on its operations to Italy.

Figure 55

[…]

Source: Response of Lufthansa and ITA in a Commission's request for information […].

(679) This document makes reference […]. As shown in Figure 55, which consists of an extract from an internal document by Lufthansa, prepared in its ordinary course of business, already pre-Transaction […].

(680) The Parties argue that the Commission, referring to slot-holdings, incorrectly interpreted Lufthansa's internal document that, in fact refers to […].[821] Moreover, the Parties submit that the number of slots used is not informative of the slot capacity available to other airlines, and therefore does not provide any useful insights on potential barriers to entry, which also need to consider all airports in the same catchment area.[822]

(681) In this context, the Commission repeats that high frequencies can only be achieved by obtaining a high number of slot-holdings in airports. Moreover, the Commission considers that irrespective of the slot-holding of competitors in the relevant airports, the mere fact that the Lufthansa is using its slots to obtain a frequency advantage over the routes from Italy to its hub airports (many of which in short-haul routes where the Transaction gives rise to horizontal overlaps) combined with its clearly stated intention, expressed in Figure 55, […] constitute sufficient evidence that Lufthansa uses its high frequencies in these airports to disincentives carriers whose offering would be competing as closely as that of the Parties (i.e., by operating from the same airport) on many of the short-haul routes where the Commission concludes that the Transaction would result in significant impediment to effective competition.

(682) In this context, the responses to the Commission's market investigation confirm that already pre-Transaction, based on their overall slot holding, and in conjunction with other factors such as the congestion levels at each airport and the presence of substitutable airports (i) Lufthansa's competitive position in at least FRA, MUC, ZUR and DUS (and likely BRU and VIE); and (ii) ITA's competitive position in LIN

820 Response of Lufthansa and MEF to a Commission's request for information (RFI 15a), […].

821 Observations of the Parties on the Letter of Facts, dated 6 May 2024, paragraph 46.

822 Lufthansa and MEF's Response to the SO, paragraph 290.

are very strong,[823] and that (iii) the Parties individual and/or combined market position in the above airports constitutes a barrier to entry in the short-haul O&D overlaps of concern.[824]

(683) In this context, the respondents to the Commission's market investigation confirm that their view on the strong competitive position of the Parties stands, irrespective of whether the airports where the Parties hold a strong position constitutes a hub (e.g., FRA, MUC etc. for Lufthansa, and FCO for ITA) or a focus airport (e.g., DUS, HAM, etc. for Lufthansa, and LIN for ITA).[825]

(684) Carriers with a strong presence (hub or base) at a particular airport have the ability to quickly re-allocate flights and frequencies in order to offer the most attractive schedules in response to new entry, for example by re-arranging departure times close to those of the entrant. A strong combined market position, together with a strong combined slot portfolio at hub airports and/or other airports of focus, would act as a barrier to entry and/or expansion on short-haul routes post-Transaction. The intentions of Lufthansa expressed in Figure 55 above […], suggest that Lufthansa will likely expand its aggressive practices to its new hub and airport of focus (i.e., Rome Fiumicino and Milan Linate respectively) post-Transaction.

(685) In the third place, evidence in the file, and in particular, internal documents prepared in Lufthansa's ordinary course of business, suggest that the latter consistently takes action against its competitors, using its strong position at its hub airports to the detriment of competitors, by reacting to entry and expansion of competitors aggressively, for example by […].[826] Figure 56 to Figure 60 below present extracts from Lufthansa's internal documents prepared in its ordinary course of business, where its strategy against its competitors is discussed (emphasis added by the Commission).

(686) The Commission notes that a document […]. [827] […].[828] The same document […].[829] As Figure 56 below points out, […].

Figure 56

[…]

Source: Response of Lufthansa and MEF to a Commission's pre-notification request for information […].

Figure 57

[…]

Source: Response of Lufthansa and MEF to a Commission's pre-notification request for information […].

---

823 Responses to questions G.1.1. and G.2.1. of questionnaire 03 to short-haul competitors. See also congestion levels for each route in Section 9.2.

824 Responses to question E.E.2.7 of questionnaire 03 to short-haul competitors.

825 Response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 33, ID 11426; Response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 21, ID 1131; and Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 19, ID 11422.

826 See for example Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 3), DLH Annex 50, pages 5-7 and 9-10; and, Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 9, pages 10-11 and 16.

827 Response of Lufthansa and MEF to a Commission's request for information […].

828 Ibid.

829 Ibid, pages 42-43.

Figure 58

[…]

Source: Response of Lufthansa and MEF to a Commission's pre-notification request for information […].

Figure 59

[…]

Source: Response of Lufthansa and MEF to a Commission's pre-notification request for information […].

Figure 60

[…]

Source: Response of Lufthansa and MEF to a Commission's pre-notification request for information […].

(687) In the fourth place, some respondents to the Commission's market investigation confirm that Lufthansa's aggressive strategies, focusing among other things on capacity actions deployed against competitors to stop their expansion or potentially even to prompt their exit from certain routes or the specific airport entirely, are effective, and that they act as a barrier to enter or expand on certain routes. More specifically, some respondents indicate that Lufthansa's market position (i.e., either at a certain hub, or on a certain route) has been the reason for them to decide either not to enter short-haul routes within the EEA, not to operate to/from certain airports within the EEA and/or to exit route within the EEA.[830] Ryanair explains that one of the main reasons that it stopped operating a base in Brussels airport in October 2022 was Brussels Airlines' dominance, which made competition "*unattractive*".[831] Similarly, Lufthansa's "*dominance*" in Frankfurt and Munich Airports played an important role for Ryanair's decision to stop operating from Frankfurt Airport and to close its base in Munich Airport.[832] Luxair also explained that its "*interest in operation between LUX [Luxemburg Airport] and ZRH (Switzerland) [was] prevented by [the] dominance of SWISS*",[833] whereas it discontinued its "*LUX-FRA [operation] after Lufthansa market entry due to LH [Lufthansa's] dominant position*".[834] Scandinavian Airlines (SAS) adds that it is "*[e]xceptionally difficult for a small/mid-sized network airline to start competing with LHG [Lufthansa] in LHG's home markets*",[835] and, Wizz Air indicates that it "*tends to avoid markets where Lufthansa is present"*.[836] Moreover, Neos also confirms "*that it generally does not enter routes where Lufthansa is present, as it is too strong of a competitor for Neos to be able to compete against, calling this scenario an "aeronautical suicide*"".[837] Furthermore, Air France-KLM submits that it was "*forced to close Transavia base in MUC in Winter 2017 due to the vigorous reaction of Lufthansa Group, which introduced low-cost carrier Eurowings in Munich at this time"*.[838]

---

830 Responses to questions E.E.4.1.-E.E.4.6. of questionnaire 03 to short-haul competitors.

831 Response of Ryanair to question E.E.4.2. of questionnaire 03 to short-haul competitors, ID 12597.

832 Response of Ryanair to questions E.E.3., E.E.4.4. and E.E.4.6. of questionnaire 03 to short-haul competitors, ID 12597.

833 Response of Luxair to question E.E.4.4. of questionnaire 03 to short-haul competitors, ID 7354.

834 Response of Luxair to question E.E.4.6. of questionnaire 03 to short-haul competitors, ID 7354.

835 Response of SAS to question E.E.3. of questionnaire 03 to short-haul competitors, ID 12313.

836 Response of Wizz Air to question E.E.3. of questionnaire 03 to short-haul competitors, ID 12134.

837 Non-confidential minutes of a conference call with Neos, dated 16 February 2024, paragraph 16, ID 11599.

838 Response of Air France-KLM to question G.4.4. of questionnaire 03 to short-haul competitors, ID 12093.

(688) Finally, Ryanair confirms that the aggressive strategies of Lufthansa resulted in Ryanair exiting a number of routes (i) from Vienna, including to Oslo, Dortmund, Korice, Menorca, and Sibiu; (ii) from Brussels, including to Malpensa in the course of 2022 and 2023; and (iii) from Frankfurt, including to Catania, Barcelona, Krakow, Porto, Pisa, Valencia and Zadar. Ryanair explains that in all of the above routes, Lufthansa has a market share of 77-100%.[839] In general, Ryanair submits that its 2023 presence in Germany has decreased since 2019 by over 17% (Ryanair explains that it uses 2019 as a base year as it is the most recent full year of operations before the Covid-19 pandemic). During the same time, according to Ryanair, Lufthansa's presence in Germany increased from 57% to 59%.[840]

(689) In the fifth place, internal documents reflect how Lufthansa has been successful in its strategy of keeping competitors out of its main airports or of preventing their entry. The excerpt of an internal document shown in Figure 61 […].[841] The document […]. The same document explains: […].[842]

Figure 61 (Red boxes added by the Commission)

[…]

Source: Lufthansa internal document, titled […].

(690) Furthermore, the below internal document prepared by Lufthansa in its ordinary course of business (Figure 62), demonstrates […]. Lufthansa and ITA would be able to take advantage of high market shares, their slot-holding, and economies of scale, and to potentially render their competitors' activities unprofitable.

Figure 62

[…]

Source: Response of Lufthansa and ITA in a Commission's request for information […].

(691) In the Parties' Response to the SO, the Parties contest the above assessment and claim that the Commission's interpretation of the internal documents is incorrect. The Parties also claim that the market circumstances contradict the claims of the competitors of Lufthansa and ITA. More specifically, the Parties argue that the competitors' claims cannot be accepted as they contradict facts related to certain specific routes and the public statements of these competitors. The Parties also explain that the internal documents of Lufthansa and ITA contain information on commercial characteristics and measures, such as […], which are simply required for the operations and profitability of Lufthansa and ITA, and they are not […].[843]

(692) The Commission notes that the Parties explanations of their own internal documents above do not affect the assessment of the Commission, since these explanations do not address the impact of Lufthansa's aggressive strategies and attempts to keep competitors out of its main airport, on market dynamics. The facts that […] have no impact on the Commission's assessment and conclusions in this regard. Similarly, the Parties characterisation of certain practices as […] do not challenge that Lufthansa utilises these practices successfully, creating barriers to entry, and is

839 Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 22, ID 11422.

840 Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024 question 21, ID 11422.

841 Lufthansa internal document, titled […].

842 Ibid, slide 5.

843 Response to the SO, paragraphs (262) – (269).

therefore not susceptible of changing the Commission's assessment and conclusions. Similarly, the explanation regarding the main message of Figure 56 (according to the Parties […]) does not affect the fact that the slide, indicates that […].

(693) Regarding the Parties' claims of contradictions between the statements of the competitors of Lufthansa and ITA and their market behaviour, the Commission notes that the Parties could bring only four such examples (without any references to substantiate them), all of which are irrelevant. Notably:

(a) The Parties refer to Ryanair's claim that Lufthansa's market power made competition unattractive, while being (according to the Parties) "*the largest operator of short haul flights in and out of Belgium and (ii) was at the time and still is the largest operator on the overlapping routes from Brussels to Rome and Milan*"[844] The size of Ryanair's operations between Brussels (involving airports BRU and CRL) and Rome and Milan is irrelevant for Ryanair statements referring to Brussels' primary airport, namely BRU. Put differently, the Commission takes the view that Ryanair's relative success in operating between CRL and Rome / Milan, has no bearing on Ryanair's statements regarding its views on operating from BRU and the conclusions it has drawn from its experience operating there.

(b) The Parties argue that Ryanair's frequencies were higher compared to Lufthansa's on the Vienna-Menorca route, therefor Ryanair's claim that it exited due to Lufthansa's practices is contradictory.[845] However, the frequencies Ryanair operated on the Vienna-Menorca route are not relevant to its statements regarding Lufthansa's behaviour on that route. More specifically, even if Lufthansa had lower frequencies compared to Ryanair, these frequencies may have still been used to disrupt Ryanair's operations and foster an exit, or, at the very least, they may have been sufficient to play a role in Ryanair's exit decision. E.g. Lufthansa could possibly have utilised its frequencies to fly shortly before Ryanair's most profitable departure times to ensure that Ryanair's profitability on the route drops sufficiently to foster exit. The Commission also notes that Ryanair has brought 15 examples where Lufthansa's presence has affected its exit decision, and the Parties contest only one of these.[846] Therefore, even if the Commission fully accepted this argument, 14 further examples would remain to underpin the Commission's assessment and conclusions. The Parties general allegation that information provided by the competitors of Lufthansa and ITA are unsubstantiated cannot prevent the Commission from considering evidence on its file even if it naturally has an impact of the weight the Commission put on those specific pieces of evidence.

(c) Regarding the Parties submission, that Ryanair's press communication is not entirely in line with its communication to the Commission, the Commission takes the view that Ryanair's specific responses and submissions to the Commission's questions within the framework of this investigation cannot be disregarded for the reasons proposed by the Parties. In effect, Ryanair's press communications and submissions to the Commission in the present case are not contradictory. E.g. a Ryanair communication regarding high charges at FRA,

844 Response to the SO, paragraph (265).
845 Response to the SO, paragraph (265).
846 Response to RFI II-1 to Ryanair, question 22, ID 11267.

does not render its other submission's to the Commission controversial. In particular, the fact that Ryanair considers FRA airport charges high, does not contradict the fact that Lufthansa has market power in its hub airports. The Commission also notes that discrepancies between Ryanair's public communication and its more detailed submissions to the Commission only indicate that Ryanair provides a full picture in its responses to the Commission's questions, without limiting or amending its answer to serve public relations considerations.

(d) Wizz Air's statement that it "*tends to*" avoid markets where Lufthansa is present is not contradicted by one example of Wizz Air entering such a route. While it is indeed one exception, Wizz Air did not state that it would exclusively enter routes where Lufthansa is not present, merely that it is likely to ("*tends to*") avoid those routes.[847]

9.1.4.4. Airport charges at Lufthansa's hub airports

(694) The Commission concludes that the high airport charges at Lufthansa's hub and focus airports constitute high barriers to entry and expansion on the short-haul routes of concern for the following reasons.

(695) *First*, the Commission's conclusion has been confirmed by the results of its market investigation, where the majority of competitor respondents that expressed a view consider the high airport charges at Lufthansa's hub airports, to be barriers to entry and expansion on the short-haul routes of concern.

(696) *Second*, according to the Parties' submissions, the total cost per passenger in FRA amounts to EUR 42.82, in MUC EUR 29.49, in ZRH EUR 35.81, in BRU EUR 30.30 and in VIE EUR 29.90.[848]

(697) In view of the relevant high fees per passenger, the Commission considers that they constitute a barrier to entry for the reasons set out in paragraph (690) below The Commission also notes that Ryanair suggested that in the case of Frankfurt and Munich Airports, Lufthansa might have the power to influence airport charges: "*Lufthansa is a very significant player in Germany, and in particular MUC and FRA, and it is not in its best interest (both as a dominant airline in those airports but also as a minority shareholder of Fraport) to vote in favour of the reduction of airport costs in FRA and MUC. Notably, Ryanair considers that the presence of Lufthansa in FRA and MUC influences airport charges in that Lufthansa allows airport charges to remain high to disincentivise entry in these airports by low-cost carriers. Therefore, Lufthansa is protecting its market by making sure barriers to entry such as high airport charges are not removed. Ryanair explains that Under the Airport Charges Directive, airports must consult with airlines on changes to charges. How the consultation is done depends on the airport, and may not always be by majority vote, but a proposal to increase costs can only realistically be resisted if the most important users object. If Lufthansa accepts increases in charges at airports where it has a significant share, then it is inevitable they will go through. In airports where Lufthansa holds the majority of slots (e.g., FRA and MUC), there will be no resistance to charges increases at that airport from users, because it is in Lufthansa's interest to keep costs high in order to keep other potential other –*

847 Response of Wizz Air to question E.E.3. of questionnaire 03 to short-haul competitors, ID 12134.

848 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 12), Annex Q3-13.

including low-cost – airlines, like Ryanair, out of these airports. Ryanair notes that the same principle applies across all airports where the Airport Charges Directive applies, including VIE, BRU and ZUR. In this context, Ryanair explains that any type of remedies involving German hub airports of Lufthansa, such as Frankfurt (FRA) or Munich (MUC), will not be particularly successful since there will be a lack of interest from other airlines, especially low-cost carriers, to sustainably serve those routes profitably (due to the high airport costs)".[849]

(698) In this context, the Parties submit that they do not use airport charges as a mean to increase barriers to entry for competitors, and that the high airport charges also act at Lufthansa's disadvantage.[850] The Parties further submit instances where Lufthansa complained about the high airport charges at its hub airports.[851]

(699) Ryanair, however, listed numerous examples where Lufthansa did not appeal to high airport charges including the following:

(a) "*Lufthansa Group (Brussels Airlines) did not appeal the BRU charge increase in 2023, even if they are the largest airline based at BRU. Ryanair did appeal the charges".*

(b) "Lufthansa did not appeal the 4% cost increase in FRA in 2021. Many German airports have multi-year charge increases agreed with "airport users" (mainly Lufthansa). For example, we [Ryanair] have appealed the CGN charges, Lufthansa Group (Eurowings) have not, even though it is a large base for them.

(c) "We [Ryanair], easyJet and IAG all challenged the c. 40% increase in charges at CPH, but Lufthansa did not join the challenge. There are many other examples of Lufthansa attending consultations but not challenging or appealing when we have (e.g., Helsinki, Tallinn, Prague). There are other times where they did not get involved despite being within the top 5 airlines in a given airport (e.g., Dublin)".[852]

(700) <u>*Third*</u>, contrary to the Parties' view that airport charges do not prevent LCC/ULCC carriers from being present on primary airports,[853] the Commission understands that, due to their cost-oriented business model, high airport charges have a more negative impact on LCCs compared to full-service hub carriers, as the former's business model is designed to capture the most price sensitive passenger demand. LCCs and ULCCs have lower margins to absorb potential fluctuations in their costs. Moreover, their business model is geared towards profiting on each and every customer as they cannot absorb losses of short-haul traffic on the higher margin long-haul operations as opposed to network carriers. Furthermore, Ryanair explains that "[*l*]*ow-cost carriers have significantly lower profits per passenger than flag-carriers. Therefore, the margin for error for low-cost carriers is much smaller. Flag-carriers attract higher yielding customers who are willing to pay significantly higher fares to fly with their chosen carrier. Low-cost carriers rely on low costs to maintain the lowest fares to attract customers. When airport charges increase, flag-carriers business model allows*

---

849 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraphs 22-24, ID 2367.

850 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 8 *et seq*.

851 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 8 *et seq*.

852 Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 30, ID 11422.

853 The Response to the SO, paragraphs (273) – (280).

them to pass on cost increases to the customer without impacting demand to the same extent that passing cost increases on to customers would for a low-cost carrier. (…) Lufthansa's business model allows them to absorb cost increases by passing them onto the customer. As low-cost carriers cannot do this without impacting demand, cost increases hurt Lufthansa's competition and often reduce in capacity cuts that result in Lufthansa gaining higher market share on routes and in airports without having to increase capacity themselves. As a result, consumers end up paying higher fares".[854]

(701) In the Response to the SO, the Parties argue that "*several low-cost carriers are active at the relevant airports*" and bring examples of leisure-focused and ULCC/LCC carriers being active in FRA, MUC, BRU and ZRH.[855] The Commission notes that the fact that some ULCC/LCC carriers may have some sporadic activities on main airports (see sections 9.2.6, 9.3.1 and 9.3.2) does not bring into question the fact (underpinned by several submissions and the current situation on the routes of concern) that ULCC/LCC carriers generally operate from secondary/regional airports and that high airport charges result in a significant entry barrier for these cost-focused carriers (see 9.1.2.2.1). *Fourth*, the results of the Commission's market investigation indicate that high airport charges at German airports resulted in the exit of competitors from certain routes. For example, easyJet explains that it reduced its operations to/from Frankfurt and Munich considerably, because of the high airport charges that *"act as a disincentive for low-cost-carriers to operate from therein"* and because of the fact that *"the German markets are dominated by large and strong domestic players (such as the Lufthansa group)"*.[856] Similarly, publicly available information confirm that Ryanair's exit from airports such as Brussels and Frankfurt was linked to the increase of airport charges.[857]

(702) In their response to the Commission's Article 6(1)(c) Decision, the Parties argue that observations made in relation to high barriers to entry as a result of a strong presence at an airport or due to airport charges need to take into account all airports in the relevant catchment area, and not only a single airport at an individual level.[858] According to the Parties their LCC competitors can easily move their bases to secondary airports when the conditions in primary airports are not advantageous, whereas in any event LCCs can and do pass their costs to customers.[859]

(703) In response, the Commission reiterates the view that it does not contest the fact that LCCs can move or even establish their bases to secondary airports. In fact, the Commission argues that LCCs most often prefer secondary airports, as part of their business model of maintaining low operational costs (which would not be possible, if they had to pay such high airport costs) and offering low fares (see section 9.1.2.2.

---

854 Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 30, ID 11422.

855 Response to the SO, paragraphs 274-276.

856 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 6, ID 1054.

857 Ryanair has closed its base in BRU and no longer has any operations in FRA (*See* Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 30(b), ID 11422.). See also https://corporate.ryanair.com/news/ryanair-closes-brussels-zaventem-base-for-w22-as-a-result-of-increased-charges-taxes/; and https://simpleflying.com/ryanair-scraps-frankfurt-base/. Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 30(b), ID 11422.

858 Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024, paragraph 75.

859 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 8 *et seq*.

above). The Commission, however, considers that carriers operating at these secondary / regional airports do not compete as closely with Lufthansa and ITA as competitors operating at the same primary airport, such as FRA, MUC and ZUR (for more details please see section 9.1.2 above) and are therefore less competitive when competing with services of Lufthansa or ITA. In light of the above, the Commission considers that the high airport costs at Lufthansa's hubs constitute barriers to entry and expansion on the routes identified in sections 9.2, 9.3 and 9.4 of the Decision.

(704) Network effects of network carriers

(705) Evidence in the file suggests that network carriers such as the Parties, and other large airlines that operate hubs in the EEA (e.g., Air France-KLM, IAG etc.) benefit from network effects at their hub airports, which facilitate entering on routes and expanding on certain routes, while providing disincentives to enter or expand on others.

(706) Although the Parties contest that network effects and/or economies of scope can act as a barrier to entry, they concede that network carriers do not have incentives to fly on routes not connected to their hubs.[860] Moreover, evidence in the Commission's file suggests that these network effects affect the airlines' choice of airport of operation and could result in network carriers choosing to fly from more expensive airports to benefit from these network effects. In particular, a report submitted by Lufthansa regarding competition between Brussels International (Zaventem) and Brussels Charleroi airports reads: […].[861] However, […] which shows the relevance of the network and the way the airport choice is focused on ensuring network benefits.[862]

(707) In this context, network effects also constitute a barrier to entry on the overlapping routes for network carriers that do not operate a hub at either end of the route, because such an entry would not be consistent with the latter's business strategy. This has been confirmed by market participants in the course of the Commission's market investigation, such as Air France-KLM which "*does not anticipate entering on any direct routes between Italy and Germany, Belgium, Austria and/or Switzerland since those are not relevant for its strategic network planning. In this context, AFKLM is more interested on routes between Italy and its hubs in France and the Netherlands*",[863] and Air Europa which explains that the "*company is focussed in [its] hub in MAD, so not interested in new routes between Italy and Germany, Austria, Belgium and Switzerland*".[864]

(708) Contrary to the Parties arguments in the Response to the SO, even if these barriers are related to the "*outset of a company's strategy*", e.g. Air France-KLM not having hubs or bases in Rome or Milan, they still indicate that the lack of an established position by Air France KLM in Rome or Milan is a barrier which results in very low likelihood of entry.[865]

---

860 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraphs 18 *et seq*.

861 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 12, page 17.

862 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 12, page 15.

863 Non-confidential minutes of a conference call with Air France, dated 16 October 2023, paragraph 23, ID 10199.

864 Response of Air Europa to question E.E.3. of questionnaire 03 to short-haul competitors, ID 12298.

865 Response to the SO, paragraphs 268-269. Horizontal Merger Guidelines, paragraph 71 (c).

(709) More information on market participants' entry plans on the overlapping routes will be provided on a route-by-route basis in sections 9.2, 9.3 and 9.4 below.

9.1.4.5. Lack of entry on routes

(710) As explained in paragraph (3) above Lufthansa has acquired a number of airlines, including three large formerly national network carriers in the past. Notably, SWISS in 2005, and Brussels Airlines and Austrian Airlines in 2009. In addition, Lufthansa also acquired the German airline Eurowings in 2005.[866]

(711) The Commission considers that the barriers to entry and expansion which prevailed following these acquisitions on routes within the DACHB area and specifically between the origin and destination pairs which were the focus of these transactions may be indicative, at least to some extent, of the competitive dynamics likely to prevail post-Transaction. The Commission's analysis indicates that following the acquisition of a national carrier by Lufthansa, barriers to entry and expansion on routes between the core countries of Lufthansa and the country where the acquired entity has a significant presence appear to increase to a significant extent, which has led, in turn, to a deterioration of competition.

(712) *First*, the Commission has analysed market shares and has identified entry and exit events by competitors of Lufthansa (including network and LCC/ULCC carriers) in order to understand to what extent the presence of Lufthansa and in particular the acquisition of these carriers was generally followed by entry of its competitors.[867]

(713) As a result of this analysis, the Commission has observed that Lufthansa has consistently maintained high market shares on all these routes. In fact, the only route where a competitor of Lufthansa is currently present is the Brussels-Vienna route, where Ryanair competes with Lufthansa from the secondary / regional airport CRL in the Brussels end of the route and flew to VIE on the Vienna route. The reason for this presence is likely the strong presence of Ryanair on both ends of the route. On all other routes analysed by the Commission, currently there are no competitors present.

(714) In addition, entry events between the relevant origins and destinations are scarce and in the vast majority of the cases short-lived. While some entry events have occurred on the routes in the past, all the entrants were LCC (easyJet) or ULCC (Ryanair or Wizz Air) carriers which usually compete from secondary / regional airports. In addition, the average length of these entries is between 3 and 4 IATA Seasons.[868]

(715) *Second*, the Commission has analysed aggregate annual market shares for all direct flights between country pairs in the DACHB region, as set out in Figure 63 to Figure 68. This analysis shows that Lufthansa play a very strong, if not dominant

---

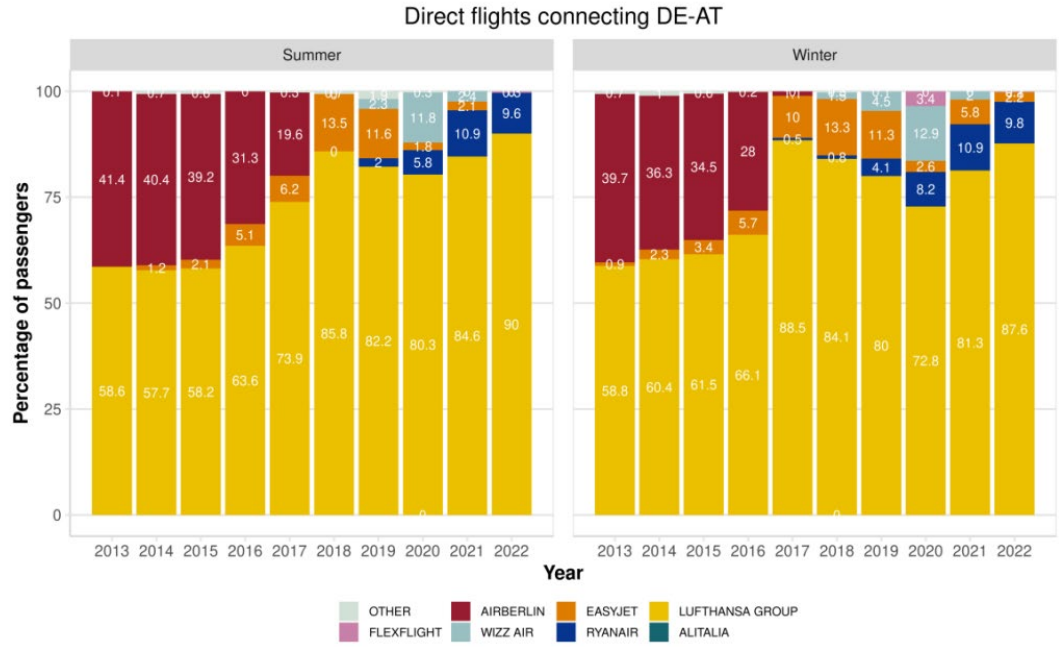
866 Assessed by the Commission in Cases M.3940 – Lufthansa/Eurowings, M.5440 – Lufthansa/Austrian Airlines, M.5335 Lufthansa/Brussels Airlines and M.3770 – Lufthansa/SWISS.

867 The routes analysed are routes which have been (i) identified as routes of concern/subject to remedies in previous merger control decisions of the European Commission related to Lufthansa, namely cases M.3770, M.3940, M.5335, M.5440 and M.863, moreover (ii) relate to at least one origin or destination relevant also for the purposes of the present Decision. On this basis the following routes were analysed: Frankfurt-Zurich, Munich-Zurich, Düsseldorf-Zurich, Hamburg-Zurich, Zurich-Vienna, Düsseldorf-Vienna, Stuttgart-Vienna, Frankfurt-Brussels, Munich-Brussels, Hamburg-Brussels, Zurich-Brussels, Munich-Vienna, Frankfurt-Vienna, Brussels-Vienna. The Commission has relied on the historical market share data submitted by the Parties (IATA passenger data, RFI 36 Annex 100). The Commission highlights that it has considered the broadest possible market definition in its analysis in terms of airport substitutability.

868 Considering airlines which are currently active.

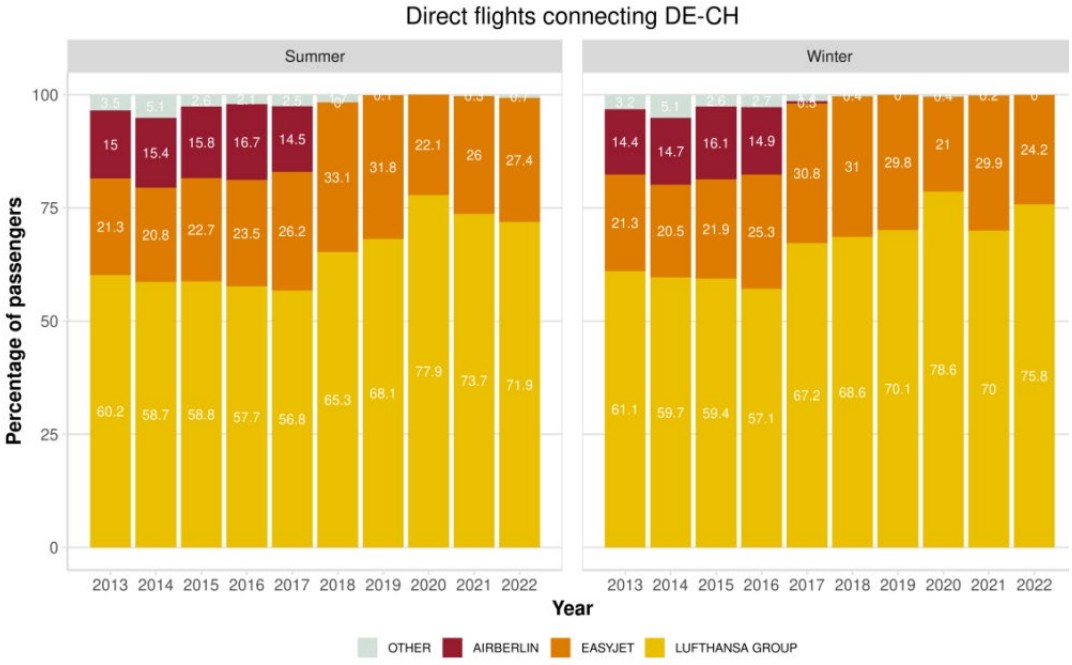
role, in air traffic between those countries and that its position has been stable over time (or even increased) without significant challenges by rivals. The only exception among the six country pairs is the country pair Austria-Belgium where Ryanair has seen significant growth since the onset of the Covid19 pandemic in 2020, but Lufthansa still holds market shares of more than 50% on direct flights between Austria and Belgium.

Figure 63: Aggregate annual market shares on direct flights between Germany and Austria



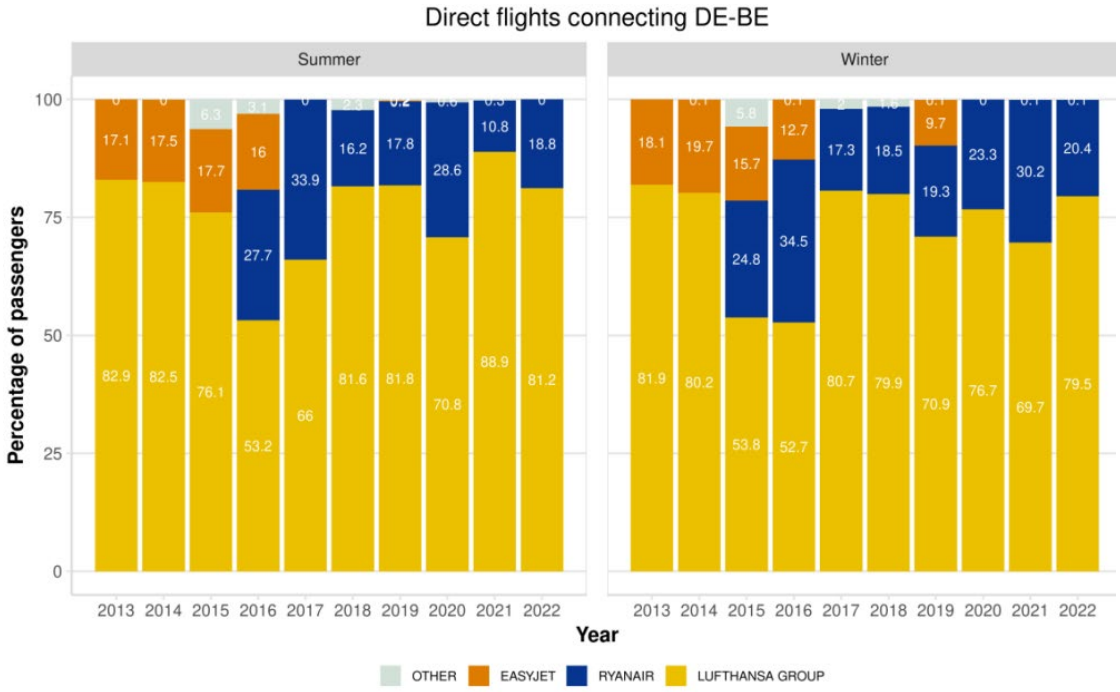
Source: Form CO, Figure 43.

Figure 64: Aggregate annual market shares on direct flights between Germany and Switzerland



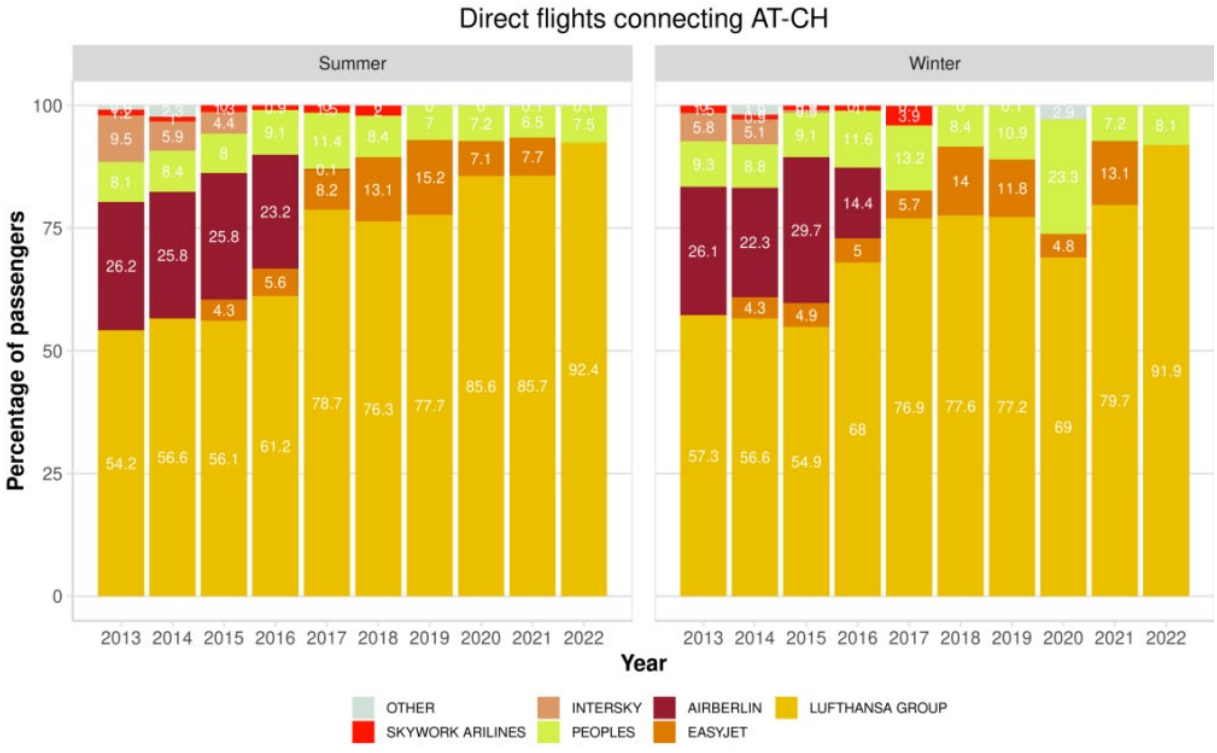
Source: Form CO, Figure 44.

Figure 65: Aggregate annual market shares on direct flights between Germany and Belgium



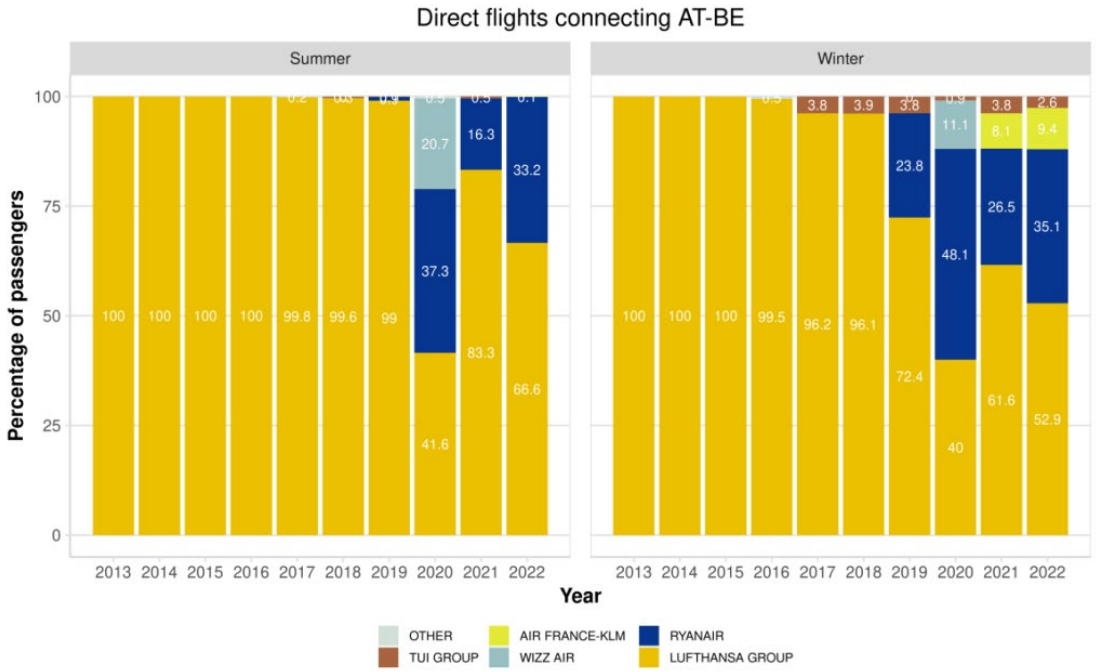
Source: Form CO, Figure 46.

Figure 66: Aggregate annual market shares on direct flights between Austria and Switzerland



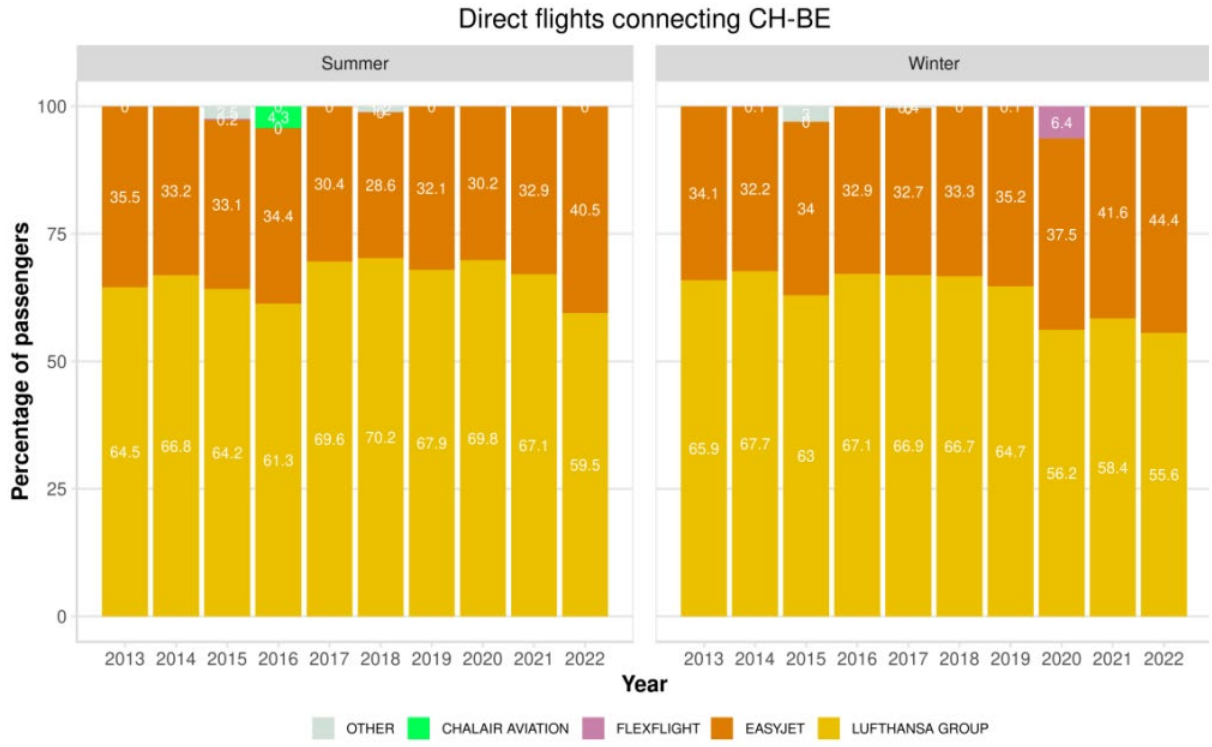
Source: Form CO, Figure 47.

Figure 67: Aggregate annual market shares on direct flights between Austria and Belgium



Source: Form CO, Figure 48.

Figure 68: Aggregate annual market shares on direct flights between Switzerland and Belgium



Source: Form CO, Figure 49.

(716) *Third*, these dynamics are further supported by Ryanair's submission to the Commission, which explains that since 2014 the HHI has increased (i) from 3,181 to 3,846 for short-haul air travel in Austria, (ii) from 1,773 to 2,173 for short-haul air travel in Belgium, (iii) from 2,229 to 3,585 for short-haul air travel in Germany, (iv) from 2,532 to 2,743 for short-haul air travel in Switzerland. Ryanair further

explained in its submission that a significant part of these HHI increases is attributable to Lufthansa.[869]

(717) *Fourth*, an internal document prepared by Lufthansa in its ordinary course of business,[870] confirms its market power (in terms of high market shares) within the DACHB region. More specifically, as shown in Figure 69 below, […] Lufthansa refers in that document to […]:

Figure 69

[…]

Source: Lufthansa internal document, titled „Abstimmung Deep Dive Cont Cluster", 31 March 2022, slide 14 (10093-24284), PROD-15a_Q10-00017130.PPTX

(718) *Fifth*, such high concentration levels, coupled with the steadily increasing market share of Lufthansa in the region is generally associated with higher prices, as found in both the Commission's and the Parties' own regression analyses. This is in line with what Lufthansa points out in Figure 69, where […]. Besides, in an internal document, […].[871]

(719) In the Response to the SO, the Parties argue that Lufthansa's profitability has actually been [details on financials] from 2019 to 2023, especially on routes from […].[872] In its argumentation, Lufthansa provides overall contribution margin returns as percentage of sales for trunk routes within and from DACHB countries. However, the Commission notes that the evidence submitted by Lufthansa only shows that contribution margins as percentage of sales vary to some extent across routes and does not provide any insights as to whether Lufthansa is being more profitable within the DACHB countries or elsewhere. Moreover, the Parties' conclusion appears to rest almost exclusively on [details on financials].

(720) The Parties further claim that the Commission has neglected the fact that it acquired struggling national carriers that either had failed or were loss making at the time[873]. The Commission considers that this argument cannot affect its analysis. First, the Commission understands that in none of these transactions a failing firm defence was raised, so the Parties' assertion seems to (partly) lack any basis. Second, and more importantly, this argument does not dispute that Lufthansa now enjoys, at least in part as a result of these transactions, from a multi-hub system and from market power on hub-to-hub routes with very limited competition.

(721) In the Responds to the SO, the Parties argue that the effects of Lufthansa's past acquisitions cannot be used by the Commission as an indicator of the competitive dynamics likely to prevail post-Transaction, due to the fact that, ITA is a smaller carrier than the carriers previously acquired by Lufthansa, to the strong position of LCCs in Italy, and to the fact that Lufthansa's strong position cannot be solely attributed to these acquisitions. The Parties also criticises that the Commission only used one internal document for its assessment, arguing that its interpretation is also wrong, as […].[874]

869 Responses of Ryanair to questions F.1.1 to F.1.4 of the questionnaire 03 to short-haul competitors.
870 Lufthansa internal document, titled […].
871 Lufthansa internal document, titled […].
872 Figures 1 and 2 from Response to the SO.
873 Response to the SO 39.
874 Response to the SO 271-272 and 33-41.

(722) Contrary to the Parties' arguments, the Commission is taking all relevant elements into account, including the outcome of Lufthansa's prior transactions, which the Commission deems relevant evidence for its assessment. On balance, the Commission considers that Lufthansa's current position on the DACHB markets, following the acquisitions of SWISS, Brussels Airways, Austrian Airways and Eurowings to be at least informative of the post-Transaction scenario (where Lufthansa will expand its hubs to Rome (FCO) and gain a significant presence in Milan (LIN), rather than a clear and highly likely blueprint of the effects of the Transaction. Moreover, the Commission does not solely rely on Lufthansa's market position in DACHB to justify its concerns on the effects of the Transaction, instead it conducted its analysis based on several facts that are specific to this Transaction (i.e., market investigation, regression analysis and in-depth internal document review) and considers that the current competitive dynamics in DACHB at least show that the past-acquisitions of Lufthansa do not contradict its analyses and conclusions on the effects of the Transaction.

(723) Similarly, the Commission considers that the Parties' explanations regarding the context of internal documents do not change the assessment of the Commission. As an example, the fact that flights which are highly profitable for Lufthansa may be beneficial for consumers does not have any bearing regarding the considerations that Lufthansa's operations within the DACHB region and in particular on routes between its hubs are [Details on financials], indicating that it faces lower competition than on other operations.[875]

9.1.5. Evidence on actual entry and expansion

(724) Based on the framework for the assessment of entry and expansion described in section 7.1.3, the Commission's assessment of actual entry and expansion in the current case is presented in the following paragraphs.

(725) The market investigation did not identify new entry or expansion on any of the overlap routes by existing carriers that could be considered as likely, timely and sufficient to restrain any potential anti-competitive effects of the Transaction.[876]

(726) Nevertheless, in their response to the SO the Parties argue that there are no barriers to entry on the routes of concern, and submit evidence of past entry and expansion (which are discussed in the route-by-route sections below, i.e., sections 9.2 and 9.3 below).[877] In this context, the Commission does not conclude that the barriers to entry on the routes of concern are entirely prohibitive of entry and expansion. The entries and or expansion, however, need to be put into perspective.

(727) More specifically, the Parties only refer to entry and/or expansion by Ryanair and Wizz Air. These two carriers, due to their ULCC model, follow a dynamic approach to their network planning that is characterised by a high-switching behaviour,[878] suggesting that they can exit a route or reduce capacity anytime (contrary to network

875 Lufthansa internal document, titled […].

876 Responses to question E.C.1.1. of questionnaire 03 to short-haul competitors.

877 Response to the SO, paragraph 258.

878 This is reflected inter alia in Case M.6663 – Ryanair/Aer Lingus III, paragraph 1582 ("*There are numerous examples of significant shifts in Ryanair's choice of routes served over recent years*"), but also in the Form Co, paragraph 2288 where the Parties refer to the "*switching behaviour*" of LCC/ULCC carriers and in the Response to the SO, paragraph 274: "*Ryanair, which is well known for moving activities between airports depending on the level of incentives that it can obtain*".

carriers that just operate high frequencies on routes, especially to/from their hubs in order to attract connecting traffic).

(728) In addition, Ryanair and Wizz Air, operate from secondary airports, therefore their offering is different (for more information, see section 9.1.2.2 above). Consequently, entry and expansion of ULCCs from secondary airports, cannot lead directly to the conclusion that barriers to entry "*should be disregarded*".[879]

(729) Notably, there has not been a single example of entry or capacity increase by a network carrier competitor. The only example of entry in a primary airport was by Wizz Air, at a relatively low capacity namely, on route Rome-Hamburg (i.e., Hamburg not being a Lufthansa hub, and where neither airport charges nor congestion levels are significantly high). Thus, the arguments brought forward by the Parties do not support the conclusion that barriers to entry are insignificant.[880] In any event, the Commission has taken note of the capacity increases by competitors and has naturally taken them into account, where relevant, in the assessment of particular routes (see sections 9.2 and 9.3 below).

(730) Furthermore, the Commission notes that certain air carriers, such as Wizz Air and Neos, expressed their willingness to start operating on certain of the overlapping short-haul routes to/from Milan. Such entry is conditional, however, on obtaining slots at Milan Linate, an airport that is severely slot congested (see section 9.1.4.1).[881] These operators have confirmed that they currently do not have sufficient slots at Milan Linate to be able to enter on any of the overlapping routes.[882] Thus, the likelihood of Wizz Air and/or Neos entering any of the overlapping routes is not, at this stage, considered by the Commission as timely, likely or sufficient potential entry.

(731) Additionally, Air France-KLM indicated that it is considering entry on the routes Rome-Brussels and Milan-Brussels,[883] as Rome and Milan are popular destinations among Transavia's Dutch leisure-oriented target passengers. [884] Together with Transavia's strong presence in Brussels, Air France-KLM considers that the routes Rome-Brussels and Milan-Brussels are within Transavia's scope of operations, and that they are particularly attractive routes for leisure travellers given that they present a "*year-round strategic potential"*.[885] However, as Air France-KLM does not have a foreseeable entry plan for Transavia on the above-mentioned routes in the near future, its entry is not, at this stage, considered by the Commission as timely, likely or sufficient potential entry either.

(732) In this context, the Commission notes that, according to the Horizontal Merger Guidelines, "for entry to be considered a sufficient competitive constraint on the

879 Response to the SO, paragraph 252.

880 Response to the SO, paragraph 252.

881 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 17, ID 861. Non-confidential response of Neos to a Commission's request for information (RFI 3), question 1, ID 947.

882 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 17, ID 861; and, Non-confidential response of Neos to a Commission's request for information (RFI 3), question 1, ID 947.

883 Responses of Air France-KLM to question E.C.1.1.(a) and (f) of questionnaire 03 to short-haul competitors, ID 12093.

884 Responses of Air France-KLM to question E.C.1.2. of questionnaire 03 to short-haul competitors, ID 12093.

885 Responses of Air France-KLM to question E.C.1.2. of questionnaire 03 to short-haul competitors, ID 12093.

merging parties, it must be shown to be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the merger."[886] Contrary to the Parties' claims, the Commission received no submissions which would indicate timely, likely and sufficient entry or even any substantiated, concrete plans on any of the routes of concern. More specifically, the competitors of Lufthansa and ITA have indicated certain possibilities of entry or expansion on certain routes. However – despite requests from the Commission – they did not provide any indications that these potential plans/considerations would be (i) certain in any way, (ii) underpinned by a clear timeline, or (iii) supported by a clear business case, already obtained slots, planned frequencies, etc. Rather, these plans/considerations were speculative and dependent on a variety of factors. Therefore, contrary to the Parties argument, the Commission cannot accept the possibility of entry or expansion plans indicated in these confidential submissions as sufficient competitive constraints.

9.1.6. Other considerations related to general arguments in the Parties' Response to the SO

(733) The Commission takes note of the fact that in their Response to the SO, the Parties include general arguments regarding the framework of the Commission's assessment. In particular, the Parties argue that:[887]

(a) The Commission relies heavily on market share data (including passenger numbers and capacity data) and/or information such as the number of carriers active on each route that are not always a good proxy for establishing market power.

(b) The intra-European O&Ds are generally concentrated. In particular, the Parties argue that out of the total of 8 332 non-stop routes operated within the EEA, only 37% are served by more than one carrier flying directly, and only 14% are served by more than two carriers flying directly. According to the Parties, the high consolidation on these O&Ds allows new entrants to quickly capture large market shares.

(c) The Commission's competitive assessment contradicts various precedents where 3-to-2 mergers or mergers to monopoly when disregarding a catchment area, including in situations where the combined market share was above 50% and the increment brought by the transaction was above 5%, were not considered as problematic due to the presence of a competitor with a large market share.[888]

(734) The Commission notes the following regarding these arguments:

(735) In its assessment, the Commission has taken into consideration numerous data such as, but not limited to, market shares to underpin its conclusions. Contrary to the Parties' allegations, the Commission has among others, conducted a detailed market investigation, an in-depth internal document review and conducted its own economic analysis that justify the conclusions reached in this Decision.[889]

---

886 Horizontal Merger Guidelines, paragraph 68.

887 Response to the SO, paragraphs 4-11.

888 The Parties refer to certain routes in Cases M.7541 – IAG/Aer Lingus, paragraphs 312 – 334; M.9287 – Connect Airways/Flybe, paragraphs. 334-342 and 361-370; M.5364 – Iberia/Vueling/Clickair, paragraphs 234-236 and 288-290; M.5335 – Lufthansa/SN Airholding, paragraphs 202-225; and M.6447 – IAG/BMI, paragraphs 257-275.

889 See Section 9.

(736) Moreover, the Commission considers that the Parties' argument as regards the levels of concentration on intra-European O&Ds only proves the need to react to further consolidation that harms the market and results in higher prices and less frequencies for the consumers.

(737) Furthermore, the Commission acknowledges that ITA managed to reach relatively high market shares upon entry on all the routes identified in section 9.2, and such a disruptive competitor is of great value in promoting market competition. In effect, the Commission takes the view that evidence on entry which could quickly disrupt concentrated markets should play a role in its assessment repeats that it has not been able to obtain evidence on timely, likely, and sufficient entry (plans) by any of the Parties' competitors (see section 9.1.5 above).

(738) Furthermore, the Parties seek to substantiate their arguments by reference to routes assessed in those decisions, none of which are subject to the present case. However, this contradicts the Parties own view, namely that, individual data points are not always deterministic of whether competition issues arise on a route or not. The Commission identified the routes of concern in this Decision on the basis of an investigation encompassing a multitude of factors. In any event, the Parties invoke specific conclusions picked by them from previous Commission decisions, but do not show how any of these conclusions would apply to the particular facts of the present case entirely. Instead, the Parties rely on contrasting market share levels (a data point the Parties themselves argue to be inconsequential by itself) in an attempt to question the Commission's assessment. Importantly, the Parties also omit to highlight that there are examples in the very same decisions for the opposite, i.e., the Commission raising concerns over routes with similar market shares as in its present assessment.[890]

(739) As a result, the Commission takes the view that the arguments of the Parties do not impact its assessment or conclusions.

9.2. Route-by-route assessment of direct overlaps (current)

9.2.1. Milan – Brussels

9.2.1.1. Market structure

(740) The market structure on the route Milan-Brussels in terms of passengers transported point-to-point is set out in Table 25 below.

Table 25: Milan-Brussels market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[891]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[LIN-BRU]*	13%	16%	15%	16%	18%	20%
Lufthansa Group	38%	24%	33%	34%	40%	36%
[LIN-BRU]	13%	14%	20%	22%	24%	21%
[MXP-BRU]	25%	10%	13%	12%	16%	14%
Parties Combined	**51%**	**40%**	**49%**	**50%**	**57%**	**56%**

890 See e.g. M.7541 – IAG / Aer Lingus, paragraphs 267 and 311, or M.6447 – IAG/ BMI, paragraph 295, 359 and 396.

891 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

Airline	S21	W21/22	S22	W22/23	S23	W23/24
Ryanair	49%	60%	51%	50%	43%	44%
[BGY-CRL]	24%	29%	35%	34%	43%	40%
[MXP-BRU]	24%	31%	17%	16%	-	-
[MXP-CRL]	-	-	-	-	-	4%
Other	-	-	<1%	-	<1%	<1%
[LIN-BRU]	-	-	<1%	-	-	-
[MXP-BRU]	-	-	-	-	<1%	<1%
Delta HHI	991	768	1 026	1 057	1 405	1 421
Post HHI	5 004	5 196	5 004	5 000	5 109	5 061
Total Pax City Pair	**187 617**	**188 416**	**434 347**	**301 337**	**427 930**	**168 087**

Source: IATA passenger data, RFI 50 Annex 100.

(741) The market structure on the route Milan-Brussels in terms of capacity (number of frequencies operated) is set out in Table 26 below.

Table 26: Milan-Brussels market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[BRU-LIN]*	15%	20%	20%	19%	20%	27%	26%
Lufthansa Group	46%	31%	38%	41%	45%	40%	41%
[BRU-LIN]	13%	17%	23%	26%	27%	24%	26%
[BRU-MXP]	34%	14%	15%	16%	18%	17%	16%
Parties Combined	**62%**	**51%**	**58%**	**60%**	**65%**	**67%**	**67%**
Ryanair	38%	48%	42%	40%	35%	33%	33%
[BGY-CRL]	21%	25%	29%	26%	35%	28%	33%
[BRU-MXP]	17%	23%	13%	14%			
[CRL-MXP]						4%	
Sundair *[BGY-BRU]*						<1%	
Other *[BRU-MXP]*		<1%	<1%		<1%		
Delta HHI	*1,431*	*1,260*	*1,495*	*1,557*	*1,804*	*2,162*	*2,129*
Post HHI	*5,275*	*5,000*	*5,114*	*5,204*	*5,436*	*5,584*	*5,587*
Total Seats City Pair	***293,863***	***374,912***	***607,507***	***395,035***	***562,547***	***448,715***	***596,992***

Source: IATA passenger data, RFI 31, Q8.

(742) On the Milan-Brussels city pair the following plausible alternative geographic market definitions exist in line with the market definition findings on the catchment areas:

(a) On the Milan end of the route LIN and MXP may belong to one catchment area together with BGY or, alternatively, LIN and MXP may be separate from BGY (See section 6.5.3.6 above).

(b) On the Brussels end of the route BRU and CRL may belong to one catchment area or BRU may be considered as a separate market from CRL (See section 6.5.3.2 above).

(743) The Commission's assessment below considers the widest plausible market definition, which includes LIN, MXP and BGY on the Milan end of the route, and BRU and CRL on the Brussels end of the route.

(744) However, the assessment below would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (i.e., only LIN and MXP on the Milan end of the route and/or only BRU on the Brussels end of the route).

(745) The Commission notes that if only BGY were to be considered on the Milan end of the route, there would be no need to assess any of the overlaps under any plausible market definition on the Brussels end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from BGY). Therefore, and due to the lack of overlapping activities at BGY and CRL, the (narrowest possible) alternative market definition concerns the catchment area including LIN and MXP on the Milan end of the route and BRU on the Brussels end of the route. Wider possible alternative markets concern (i) LIN, MXP and BGY on the Milan end of the route and BRU on the Brussels end of the route; and (ii) LIN and MXP on the Milan end of the route, and BRU and CLR on the Brussels end of the route.

(746) All three alternative possible market definitions (i.e., the narrowest possible and the other wider possible market definitions), would result in the same outcome: either the removal of Ryanair from the competitive landscape (in light of Ryanair's recent exit from MXP-BRU and its absence in LIN) or no horizontal overlaps between the activities of the Parties (as neither Lufthansa or ITA operate from BGY and/or CLR. Consequently, the concerns outlined in the Commission's assessment below, which focuses on the widest plausible market definition (which includes Ryanair) would not only continue to be relevant under any plausible alternative market definition where the Transaction gives rise to horizontal overlaps, but would be amplified due to the removal of Ryanair from the competitive landscape (i.e., the Transaction would be a merger-to-monopoly), the increased market shares of Lufthansa and ITA and the same or increased barriers to entry and expansion.

(747) Table 27 below, sets out the Parties and their competitor's market shares under the narrowest alternative possible market definition.

Table 27: Milan-Brussels market shares for the alternative plausible market definition (LIN/MXP-BRU) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[892]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	17%	22%	24%	24%	31%	36%
Lufthansa Group	51%	34%	51%	52%	69%	64%
Parties Combined	**68%**	**56%**	**74%**	**75%**	**100%**	**100%**
Ryanair	32%	44%	26%	25%	-	-
Other	-	-	<1%	-	<1%	<1%
Delta HHI	1 724	1 511	2 401	2 427	4 268	4 605
Post HHI	5 628	5 079	6 190	6 263	10 000	9 999
Total Pax City Pair	**142 269**	**134 306**	**283 889**	**198 859**	**245 520**	**93 363**

Source: IATA passenger data, RFI 50 Annex 100.

892 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

9.2.1.2. Lufthansa and MEF's view

(748) Lufthansa and MEF submit that the main airlines serving the route Milan-Brussels based on Summer 2023 data are Lufthansa (through Brussels Airlines), ITA and Ryanair.[893] Moreover, according to Lufthansa and MEF, post-Transaction (i) the Parties will be better placed to compete with Ryanair, who, pre-Transaction is the either strongest competitor on the market or in any event holds a stronger market position than ITA;[894] and, (ii) will be constrained by the potential additional entry and expansion of other carriers, such as easyJet (that was active on the route Milan-Brussels between 2013 and 2017), Vueling, Transavia and TUI Fly Belgium, that are present and active at both Milan and Brussels' airports.[895] In addition, the Parties point out to the fact that over Summer IATA 2024, Ryanair increased its capacity on this route by 27 flights overall for the entire season.[896] Consequently, Lufthansa and MEF submit that there are no barriers to entry and/or expansion on the route Milan-Brussels either as a result of the Parties' combined slot holdings in the Milan and Brussels' airports or as a result of the average congestion rates in the Milan and Brussels' airports.[897] Furthermore, the Parties contest that they hold a frequency advantage over Ryanair, and point out that on Milan – Brussels, certain market investigation participants consider Ryanair to be Lufthansa's closest competitor, namely IAG, Luxair and TUI Group, whereas Wizz Air considers Ryanair to be both Lufthansa and ITA's closest competitor.[898]

9.2.1.3. The Commission's assessment

(749) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Milan – Brussels.

(750) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 25 above, the Parties' combined share (by PAX number) between Summer IATA Season 2021 and Winter IATA Season 2023/2024 was between 40-62% and equal or above 50% in the last three IATA Seasons. For the same time period, the Parties equally held an even higher share based on the number of frequencies they operated on the route during each IATA Season, namely between 51% and 67%, and 67% over Summer IATA 2024 as set out in Table 26. These market shares are themselves evidence of a dominant position held by the Parties after the Transaction.

(751) *Second*, the increment brought about by the Transaction from ITA would be large at 15% to 20% in the last five IATA seasons (by PAX number; see Table 25). This corresponds to a high increase in the HHI of between 768 and 1 421, in line with the Commission's Horizontal Merger Guidelines.[899]

---

893 Form CO, paragraphs 1348-1354.

894 Response of Lufthansa and MEF to the SO, paragraphs 294-301.

895 Form CO, paragraphs 1348-1354 and Response of Lufthansa and MEF to the SO, paragraphs 294-301.

896 Response of Lufthansa and MEF to the SO, paragraphs 294-301.

897 Form CO, paragraphs 1348-1354.

898 Response of Lufthansa and MEF to the SO, paragraphs 294-301.

899 According to paragraph 20 of its Horizontal Merger Guidelines, "*The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances"* arise.

(752) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 5 000 in each of the last five IATA seasons (with an increment of at least 768) based on PAX number. The high combined market share of the Parties, the large increment brought by the transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position.

(753) *Fourth*, even when looking into the widest possible market definition (i.e., one which includes LIN, MXP and BGY on the Milan end of the route, and BRU and CRL on the Brussels end), the Transaction constitutes a 3-to-2 merger for non-stop flights.[900]In addition to the Parties, only Ryanair operates the Milan-Brussels city pair (but from BRU-CLR), and held a market share of 44% in the Winter IATA Season 2023/2024 and 43% in the Summer IATA Season 2023 based on the number of passengers. Ryanair's market share is lower based on capacity, at 33% between Summer IATA Season 2023 and Summer 2024 (see Table 25 and Table 26). Ryanair operated the Milan-Brussels city pair both from BGY to CRL and from MXP to BRU in the past.[901] However, as of Summer IATA Season 2023, Ryanair ceased operating on the route from BRU and MXP and closed its BRU base, and as of then, only operated the route BGY-CRL. Ryanair's Milan-Brussels city pair market share reduction in terms of passengers in Summer IATA Season 2023 appears be the result of its exit from the MXP-BRU route, as explained in section 6.5.3.2 above. Under all alternative possible market definitions where the activities of the Parties would still overlap on the route Milan – Brussels, the competitive assessment would either remain the same, or Ryanair would be removed from the competitive landscape and therefore the Transaction would result to a monopoly.

(754) In this context, the Commission notes that, post-Transaction the Parties will become the largest operator on the Milan-Brussels city pair, holding a significant market share on both IATA Seasons, in terms of passengers and capacity operated, with Ryanair being the only other carrier operating in the Milan-Brussels city pair.

(755) *Fifth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of Ryanair is unlikely to be sufficient to constrain the Parties post-Transaction.

(756) In the first place, prior to the Transaction, in addition to Lufthansa and ITA, only Ryanair operates on the market. Notably, Ryanair's market share has been declining since Ryanair's exit from BRU-MXP in Summer IATA Season 2023 and ranged between 43-44% over the last two completed IATA Seasons, compared to its higher market share between Winter IATA 2021/2022 and 2022/2023 which was in any event declining over this time period as well.

(757) In the second place, even though the Parties would continue to face competition from Ryanair post-Transaction, the Transaction would lead to the elimination of an important competitive constraint, in the form of ITA, an airline that managed to capture 20% of the market in less than three years of operation and has competed

900 As indicated in section 9.2.1.1, under all three alternative possible market definitions (i.e., the narrowest possible and the other two wider possible market definitions) where the activities of the Parties would still overlap on the route Milan – Brussels, Ryanair would be removed from the competitive landscape and therefore the Transaction would result to a monopoly (see paragraph (720) above).

901 Form CO, paragraph 1349.

closely with Lufthansa on the route in the past. See in this respect also paragraph (756) *et seq* below.

(758) In the third place, the Parties would hold a frequency advantage over the only other direct competitor on the route, Ryanair. Based on the information of Table 23, the Parties would, post-Transaction, operate 45 weekly frequencies as compared to the 17 weekly frequencies of Ryanair (based on 2023 figures). Moreover, even with Ryanair's capacity increase of 27 flights overall over Summer IATA 2024 (amounting to an increase of <1 frequency per week, considering that Summer IATA covers 31 weeks), Ryanair will still operate less than half the weekly frequencies (i.e., ~18 weekly frequencies) operated by the Parties (i.e., 45).

(759) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA not only compete closely on this route but, they are each other's closest competitor.[902]

(760) In the first place, ITA and Lufthansa (Brussels Airlines) are both network carriers operating similar business models and attracting similar types of customers (with a higher willingness to pay), whereas Ryanair is an ULCC, operating a P2P business model and focused on price-sensitive leisure travel. (See section 9.1.2.1 above for more information).

(761) In the second place, airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. (see section 9.1.2.2). The Commission's market investigation supports the view that "*there* is a *general preference of the majority of passengers to fly from their local airport"*.[903] Specifically regarding competition on the Milan – Brussels city pair, ITA and Lufthansa (Brussels Airlines) operate the Milan-Brussels city pair from the same primary airport(s) (partially) in Milan (i.e., Brussels Airlines operates from both LIN and MXP and ITA operates from LIN) and Brussels (both operate from BRU) whereas Ryanair operates the Milan-Brussels city pair exclusively through secondary airports of proximity, namely BGY and CLR respectively. (See section 9.1.2.2 above for more information).

(762) In this context, the vast majority of customers that expressed a view in the Commission's market investigation believe that the closest alternative of Lufthansa's offering on the Milan-Brussels route is ITA's offering, and not that of Ryanair.[904]

(763) Moreover, competitors that expressed a view during the Commission's market investigation confirm that the Parties compete closely on the route based on a number of criteria (e.g., prices, frequencies, on-board services, time of departure and arrival, use of loyalty programs etc.) and in general.[905] Moreover, a number of competitors consider Lufthansa and ITA to be each other's closest competitors on the route.[906] Specifically with regards to closeness of competition between BRU, where Lufthansa and ITA operate from and CLR, where Ryanair operates from, "*Ryanair*

---

902 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P*, Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in a significant impediment to effective competition .

903 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

904 Responses to question D.A.15.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

905 Responses to questions E.A.3 and E.A.4 of questionnaire 03 to short-haul competitors.

906 Responses to questions E.A.7.1 and E.A.7.2 of questionnaire 03 to short-haul competitors.

considers BRU and CRL as slightly different markets and not entirely substitutable, given that traffic at BRU is associated to a larger extent with business customers and long-haul connections, however there is likely some degree of convergence of demand between the airports'.[907] Similarly, in the case of Milan, Wizz Air considers that MXP and BGY are not close substitutes to LIN (See paragraph (657) above).[908]

(764) Lastly, the Commission notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time considering LIN and BRU (ITA and Lufthansa present) is around 2 hours. The overall travel time increases to approx. 2 hours 30 minutes when considering MXP and BRU (Lufthansa present). In contrast the overall travel time is approx. 3 hours when considering BGY and CRL (Ryanair present).[909] This shows that Lufthansa and ITA compete closely with each other considering the shorter travel times than they do with Ryanair.

(765) In the third place, the Commission's assessment with respect to the competitive pressure exerted by existing carriers on the route was corroborated by the responses to the Commission's market investigation, where the majority of competitors that expressed a view consider that Lufthansa and ITA are closer competitors of each other on the Milan-Brussels city pair compared to Ryanair.[910]

(766) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(767) In the first place, the relevant airports (with the exception of CLR) are to an extent congested. This is demonstrated by the fact that, from the Milan end, all LIN, MXP and BGY are Level 3 Coordinated Airports, whereas from the Brussels end, BRU is a Level 3 Coordinated Airport (i.e., demand significantly exceeds the airports' capability), CRL is a Level 1 Non-Coordinated Airport, meaning that the airport capability is generally adequate to meet demand and no airport coordination is required.[911]

(768) The average congestion rate per hour band data for Summer IATA Season 2023 at LIN ranges between 73% and 98% between 5:00 am and 8:00 pm, whereas at MXP and at BRU it ranges between 40% and 85%, and 23% and 64%.[912]

---

907 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 12, ID 2367.

908 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 19(a), ID 861.

909 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times. The Commission notes that the Parties made a mistake calculating the travel time between Milan city centre and LIN (40 minutes according to the Parties erroneous calculation), which the Commission has corrected (12 minutes, source: Linate: 12-Minute Metro Ride from City Center (milanolinate-airport.com), accessed on 20 March 2024).

910 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors.

911 List of IATA Coordinated Airports (available at: https://www.iata.org/en/programs/ops-infra/slots/coordinated-airports/#:~:text=Level%202,day%2C%20week%2C%20or%20season.), accessed on 13 March 2024; and, Form CO, paragraphs 818-819. Explanations regarding the meaning of different congestion levels is also available on the same website.

912 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

(769) The average congestion level per hour band for the scheduled weekly flights of Lufthansa (Brussels Airlines) on the Milan-Brussels city pair are as follows: from LIN during Summer IATA Season 2023 ranging between 74-90%, from MXP between 38-52% and from BRU between 19-50%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Lufthansa (Brussels Airlines) on the Milan-Brussels city pair are as follows: from LIN ranging between 83-90%, from MXP between 38-52% and from BRU between 18-61%.[913]

(770) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Milan-Brussels city pair are as follows: from LIN during Summer IATA Season 2023 ranging between 73-90% and from BRU between 27-50%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of ITA on the Milan-Brussels city pair are as follows: from LIN ranging between 83-89% and from BRU between 29-61%.[914]

(771) The above figures indicate that LIN is significantly slot constrained (including during the time of operation of the Parties) whereas MXP and BRU have some slot constraints at peak times but have some spare capacity for new entrants and incumbents to grow.

(772) On the Brussels end, the fact that BRU is not generally congested has been confirmed by market participants such as Ryanair.[915] However, "*Transavia notes that, although the airport is not congested at all its operational hours, slots are not widely available during peak hours (i.e., early morning and late evening hours). According to Transavia, it is important for low-cost-carriers to ensure high utilization and maximisation of the use of an aircraft. Ideally, this would mean scheduling flights with early morning departure, quick turnarounds and evening arrivals. However, this is not easy to achieve in BRU'*.[916]

(773) On the Milan end, the results of the Commission's market investigation strongly support the airlines' preference for LIN and indicate that barriers to entry at the airport are significantly high due to slot congestion at the specific airport. Despite the fact that the Milan catchment area is served by several airports (i.e., MXP and likely BGY), based on the results of the Commission's market investigation, competitors consider that slots at LIN give a strong competitive advantage to those who operate them, due to its strategic location and proximity to the city centre compared to MXP (see section 6.5.3.6 above, section 11 below, and paragraph (655) *et seq*.). Therefore, the inability of competitors to obtain slots at LIN is considered a significant barrier to entry, despite the availability of slots at MXP. (See section 9.1.4.1 above for more information).

(774) In the second place, the Parties' combined market share on the route and combined slot holding in LIN and in BRU will be significantly high, indicative of market power and will act as a barrier to entry and expansion. Despite the fact that both the Milan and Brussels catchment areas are served by several airports, the results of the

913 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

914 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

915 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 16, ID 2367.

916 Non-confidential minutes of a conference call with Air France KLM, dated 16 October 2023, paragraph 29, ID 10199.

Commission's market investigation and internal documents of the Parties support that (i) *"there is a general preference of the majority of passengers to fly from their local airport"*[917] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54.

(775) In the third place, airport charges in BRU are high and could act as a barrier to entry and expansion. For instance, Ryanair's exit from BRU was (at least to some extent) linked to the airport management's decision to increase taxes and airport costs, which suggests that airport costs could act as barriers to entry and expansion on the route.[918] (See section 9.1.4.4 above for more information).

(776) *Eighth*, no further, likely, timely and sufficient entry of competitors is expected on this route. The Commission has analysed the entry plans of all relevant potential competitors which, taken individually and as a whole, do not support that the concentration on the route would be offset by future market entry, or indeed that any market entry would occur at all.

(777) In the first place, TUI Fly confirms that it does not plan on entering the route MIL-BRU. [919]

(778) In the second place, Wizz Air's potential entry is conditional '[*p]ending access to LIN'*, for which '*Wizz Air clarifies that it applied for slots (…) under the normal seasonal procedure as it does every season, however, it has not been able to change the times it already has or to obtain new slots, so such an entry would be conditional on obtaining the necessary slots'*.[920] Therefore, it appears that Wizz Air would only consider entry if it would gain access to suitable slots in LIN, which it currently cannot do. On this basis Wizz Air's submission is not considered as indicative of a timely, likely or sufficient potential entry.

(779) In the third place, in the course of the Commission's market investigation Air France-KLM expressed an interest in operating on the route Milan – Brussels, through its LCC subsidiary Transavia,[921] that operates a base in BRU. However, the prospect of Transavia's entry cannot be considered as indicative of a timely, likely or sufficient potential entry, as such an entry would be subject to a number of factors, including, among others Transavia obtaining slots in LIN and on the development of the competitive landscape on the route, as a result of this Transaction.[922]

---

917 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

918 "*Ryanair to close its Brussels Airport base*", Reuters, 11 January 2023 (available at https://www.reuters.com/business/aerospace-defense/ryanair-is-closing-brussels-airport-base-belga-2023-01-11/).

919 See for example, Response of TUI to a Commission's pre-notification request for information ('RFI 1'), question 6, ID 766.

920 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 17, ID 861. Additional evidence was made available to the Parties' external legal counsels over the data room process.

921 See response of Air France-KLM to question E.C.1.1.(a) of questionnaire 03 to short-haul competitors, ID 12093.

922 Non-confidential response of Air France-KLM to a Commission's request for information (RFI II-1) dated 13 February 2024, question 31, ID 11426. Additional evidence was made available to the Parties' external legal counsels over the data room process.

(780) In the fourth place, the Commission took into consideration Ryanair's capacity expansion on BGY-CLR over Summer IATA 2024 by 27 frequencies over the entire season (amounting to <1 weekly frequency). In this context, the Commission notes that, not only Ryanair continues to offer less than half the weekly frequencies offered by the Parties, it also operates from different airports on both ends of the route and therefore it competes less closely with the Parties, and likely serves a slightly different catchment area compared to the Parties.

(781) In the fifth place, other potential entry and/or expansion plans are subject to the outcome of the Transaction, and thus are not considered as indicative of a timely, likely or sufficient entry.[923] In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[924]. (See section 9.1.5 above for more information.)

(782) *Ninth*, there is specific evidence showing that the Transaction is likely to result in negative effects.

(783) In the first place, while a sizeable share of the respondents indicated that they did not know, the vast majority of competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[925] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[926] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.4 for more detailed results).

(784) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(785) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.2.1.4. Conclusion

(786) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very high combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, the lack of prospect of likely, timely and sufficient entry on the route and the specific evidence on the likely negative effects of the Transaction, the Commission concludes that the Transaction would significantly impede effective competition on the route

923 Additional evidence was made available to the Parties' external legal counsels over the data room process.

924 The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

925 Responses to question I.1 of questionnaire 03 to short-haul competitors.

926 Responses to question H.1.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

Brussels - Milan by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

9.2.2. Milan – Düsseldorf

9.2.2.1. Market structure

(787) The market structure on the route Milan-Düsseldorf in terms of point-to-point passengers transported is set out in Table 28 below.

Table 28: Milan-Düsseldorf market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[927]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[LIN-DUS]*	2%	10%	14%	15%	11%	20%
Lufthansa Group	38%	37%	51%	42%	42%	38%
[BGY-DUS]	<1%	4%	9%	8%	8%	7%
[MXP-CGN]	9%	15%	14%	11%	13%	4%
[MXP-DTM]	-	-	-	-	-	<1%
[MXP-DUS]	29%	18%	27%	24%	20%	26%
Parties Combined	**40%**	**47%**	**65%**	**57%**	**52%**	**59%**
Neos	1%	<1%	1%	<1%	1%	-
[MXP-CGN]	1%	<1%	1%	<1%	<1%	-
[MXP-DTM]	-	-	-	-	<1%	-
Ryanair	59%	52%	35%	42%	47%	41%
[BGY-CGN]	58%	37%	35%	42%	32%	41%
[BGY-NRN]	<1%	15%	-	1%	15%	-
Other *[BGY-CGN]*	-	<1%	-	-	-	-
Delta HHI	151	764	1 404	1 283	896	1 559
Post HHI	5 061	4 970	5 398	5 089	4 959	5 149
Total Pax City Pair	**115 824**	**143 561**	**309 123**	**193 533**	**385 286**	**111 400**

Source: IATA passenger data, RFI 50 Annex 100.

(788) The market structure on the route Milan-Düsseldorf in terms of capacity (number of seats operated) is set out in Table 29 below.

Table 29: Milan-Düsseldorf market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways	3%	16%	17%	17%	15%	28%	19%
[CGN-MXP]	-	-	<1%	-	-	<1%	-
[DUS-LIN]	3%	16%	17%	17%	15%	28%	19%
[DUS-MXP]	<1%	-	-	-	-	-	-

[927] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
Lufthansa Group	49%	42%	56%	51%	48%	42%	50%
[BGY-DUS]	-	4%	9%	8%	8%	7%	9%
[CGN-MXP]	10%	15%	15%	12%	14%	7%	14%
[DTM-MXP]	-	-	-	-	-	<1%	-
[DUS-MXP]	39%	23%	32%	31%	25%	28%	26%
Parties Combined	**52%**	**58%**	**73%**	**68%**	**63%**	**70%**	**69%**
Mhs Aviation *[MXP-NRN]*	-	-	-	<1%	-	-	-
Neos	1%	<1%	1%	1%	1%	-	2%
[CGN-MXP]	1%	<1%	1%	1%	1%	-	2%
[DTM-MXP]	-	-	-	-	<1%	-	-
Ryanair	47%	32%	26%	30%	36%	30%	29%
[BGY-CGN]	46%	23%	26%	30%	24%	29%	19%
[BGY-DUS]	-	-	-	-	-	-	-
[BGY-NRN]	<1%	9%	-	<1%	12%	1%	10%
Titan Airways Malta *[CGN-MXP]*	-	9%	-	-	-	-	-
Other	<1%	<1%	<1%	<1%	<1%	<1%	<1%
[BGY-CGN]	-	<1%	<1%	-	-	-	-
[BGY-DUS]	-	-	-	-	<1%	<1%	-
[CGN-MXP]	<1%	-	<1%	<1%	-	<1%	-
[DUS-MXP]	-	-	-	-	-	-	<1%
Delta HHI	*274*	*1 363*	*1 903*	*1 771*	*1 416*	*2 363*	*1 908*
Post HHI	*4 887*	*4 513*	*6 017*	*5 581*	*5 244*	*5 804*	*5 595*
Total Seats City Pair	***160 188***	***272 388***	***422 140***	***268 249***	***549 442***	***298 139***	***518 356***

Source: IATA passenger data, RFI 31, Q8.

(789) On the Milan-Düsseldorf city pair the following plausible alternative geographic market definitions exist based on the catchment areas:

(a) On the Milan end of the route LIN and MXP may belong to one catchment area together with BGY or, alternatively, LIN and MXP may be separate from BGY (See Section 6.5.3.6 above).

(b) On the Düsseldorf end of the route, DUS and CGN may belong to one catchment area together with DTM and NRN, or DTM and NRN may be considered as separate from the DUS and CGN catchment area (See Section 6.5.3.3 above).

(790) The Commission's assessment below considers the widest plausible market definition, which includes LIN, MXP and BGY on the one hand, and DUS and CGN together with DTM and NRN on the other hand. The market shares and concerns outlined below reflect this plausible definition.

(791) However, the assessment below would remain applicable if the market would be defined more narrowly, encompassing fewer airports where the Transaction would give rise to horizontal overlaps.

(792) The Commission notes that if on the Milan end of the route:

(a) only LIN and MXP were to be considered, the concerns outlined below would not only continue to be relevant under any plausible alternative market definitions on the Düsseldorf end of the route, but would be amplified due the removal of Ryanair from the competitive landscape as Ryanair only operates from BGY (i.e., the Transaction would be a merger-to-monopoly under any plausible alternative market definitions on the Düsseldorf end of the route). In this context, under the narrowest possible market definition, the activities of the Parties would overlap on LIN and MXP on the Milan end of the route, and DUS and CGN on the Düsseldorf end of the route.

(b) if only BGY were to be considered on the Milan end of the route, there would be no need to assess any of the overlaps under any plausible market definition on the Düsseldorf end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from BGY). In any case, since the activities of the Parties do not overlap in any market that only includes BGY on the Milan end of the route, the Commission considers that it is not a plausible relevant market for the purposes of this Decision.

(793) The Commission also notes that if on the Düsseldorf end of the route:

(a) Only DUS and CGN were to be considered, the narrowest possible market definition would be that where LIN and MXP are considered on the Milan end of the route. In this scenario, the concerns outlined below would not only continue to be relevant but would be amplified due to the removal of Ryanair from the competitive landscape (as the latter only operates from BGY). If LIN, MXP and BGY were considered on the Milan end of the route, the concerns would also be amplified, as Ryanair's presence in BGY-NRN would not be considered, and thus, Ryanair's presence on the route would be limited to its BGY-CGN activities, whereas the activities of the Parties would remain unaltered.

(b) Only DUS, CGN and DTM were to be considered, the assessment would be identical to the one in point (a) above, as no carrier currently operates from DTM to Milan.

(c) Only DUS, CGN and NRN were to be considered, the assessment would remain identical to that of the widest possible market definition (see paragraph (786) *et seq.* above), as no carrier currently operates from DTM to Milan.

(d) Only NRN and/or DTM were to be considered, there would be no need to assess any of the overlaps under any plausible market definition on the Milan end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from neither NRN Nor DTM). In any case, the activities of the Parties do not overlap in these markets, therefore, the Commission considers that these are not plausible relevant markets for the purposes of this Decision.

(794) Based on the above, the concerns outlined below would not only continue to be relevant under any relevant plausible alternative market definition where the activities of the Parties overlap but would be amplified due the removal of Ryanair from the competitive landscape (i.e., the Transaction would be a merger-to-monopoly), the increased market shares of Lufthansa and ITA and the increased barriers to entry and expansion.

(795) Table 30 below, sets out the Parties and their competitor's market shares under the narrowest plausible alternative market definition where the activities of the Parties overlap.

Table 30: Milan-Düsseldorf market shares for the alternative plausible market definitions (LIN/MXP-CGN/DUS) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[928]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	5%	23%	25%	31%	24%	40%
Lufthansa Group	92%	76%	74%	69%	75%	60%
Parties Combined	**97%**	**99%**	**99%**	**100%**	**99%**	**100%**
Neos	3%	1%	1%	<1%	1%	-
Delta HHI	889	3 571	3 654	4 219	3 582	4 793
Post HHI	9 458	9 898	9 797	9 907	9 781	10 000
Total Pax City Pair	**47 778**	**62 922**	**173 211**	**96 213**	**173 233**	**57 017**

Source: IATA passenger data, RFI 50 Annex 100.

9.2.2.2. Lufthansa and MEF's View

(796) Lufthansa and MEF submit that the main airlines serving the route Milan-Düsseldorf based on based on Winter 2022/2023 and Summer 2023 data are Lufthansa (through Eurowings and Lufthansa Passenger Airlines), ITA and Ryanair.[929] Lufthansa and MEF consider ITA's market share to be moderate.[930] Moreover, according to Lufthansa and MEF, post-Transaction the Parties will continue to face (i) strong actual competition from Ryanair, which holds a significant market share and has the ability to expand its activities on the route; (ii) actual competition from Neos, which started operating the connection MXP – CGN in Summer 2020; and (iii) potential competition from easyJet, that operates bases in at least one end of the route.[931] Furthermore, Lufthansa and MEF identify Wizz Air as a new entrant on the route[932] and submit that there are no barriers to entry and/or expansion on the route Milan-Düsseldorf because the airports are not congested at either end of the city pair.[933] Finally, the Parties point out that on Milan – Dusseldorf, certain market investigation participants consider Ryanair to be the closest competitor of at least one of the Parties, namely France-KLM, IAG, Luxair, TUI Group and Wizz Air.[934]

9.2.2.3. The Commission's assessment

(797) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Milan - Düsseldorf.

928 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

929 Form CO, paragraphs 1338-1340.

930 Response of Lufthansa and MEF to the SO, paragraphs 302-309.

931 Form CO, paragraphs 1338-1340.

932 Response of Lufthansa and MEF to the SO, paragraphs 302-309.

933 Form CO, paragraph 1341.

934 Response of Lufthansa and MEF to the SO, paragraphs 302-309.

(798) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 28 above, the Parties' combined share (by PAX number) between Summer IATA Season 2021 and Winter IATA Season 2023/2024 was between 40-59% and above 50% in the last four IATA Seasons. For the same time period, the Parties equally held an even higher share based on the number of frequencies they operated on the route during each IATA Season, namely between 52% and 73%, as set out in Table 29 above. These market shares could themselves be evidence that the Parties would hold a dominant position after the Transaction.

(799) *Second*, the increment brought about by the Transaction from ITA would be large at 10% to 20% in the last five IATA seasons based on PAX numbers. This corresponds to a high increase in the HHI of between 764 and 1 739, in line with the Commission's Horizontal Merger Guidelines.[935].

(800) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be between 4 959 – 5 399 during each of the last five IATA seasons (with an increment of at least more than 764) based on PAX numbers. The high combined market share of the Parties, the large increment brought by the transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position.

(801) *Fourth*, in addition to the Parties, only Ryanair operates the Milan - Düsseldorf city pair, and held a market share of 41% in the Winter IATA Season 2023/2024 and 47% in the Summer IATA Season 2023 based on the number of passengers. Ryanair's market share is lower based on capacity, ranging between 19% and 29% between Summer IATA Season 2023 and Summer Season 2024. Furthermore, the Commission's pre-notification market investigation indicates that Neos is neither active on nor does it plan to enter the route.[936] Thus, even when looking into the widest possible market definition, the Transaction constitutes a 3-to-2 merger for non-stop flights.[937]

(802) In this context, the Commission notes that, post-Transaction the Parties will become the largest operator on the Milan - Düsseldorf city pair, holding a significant market share on both IATA Seasons, in terms of passengers and capacity operated, with Ryanair being the Parties' only active competitor.

(803) *Fifth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of Ryanair is unlikely to be sufficient to constrain the Parties post-Transaction.

(804) In the first place, prior to the Transaction, in addition to Lufthansa and ITA, only Ryanair operates on the market with market shares between 35% and 52% for the

---

935 According to paragraph 20 of its Horizontal Merger Guidelines, "*The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances"* arise.

936 Response of Neos to a Commission's pre-notification request for information (RFI 1), questions 6 and 7, ID 947.

937 As indicated in section 9.2.1.1, under all alternative possible market definitions where the activities of the Parties would still overlap on the route Milan – Dusseldorf (i.e., CGN and DUS – LIN and MXP), Ryanair would not be part of the competitive landscape and therefore the Transaction would result to a monopoly.

latest five seasons (a market share that has remained below 50% over the last four completed IATA seasons and was closer to 40% over three of these IATA seasons).

(805) In the second place, even though the Parties would continue to face competition from Ryanair post-Transaction, the Transaction would lead to the elimination of an important competitive constraint, in the form of ITA, an airline that managed to capture 20% of the market with less than 3 years of operation and has competed closely with Lufthansa on the route in the past. See in this respect also paragraph (804) *et seq.* below.

(806) In the third place, the Parties would hold a frequency advantage over the only other direct competitor on the route, Ryanair. According to a Parties' submission and based on Summer IATA 2024 data, for the summer seasons, the Parties would, post-Transaction, operate 37 weekly frequencies (26 operated by Eurowings and 11 operated by ITA) as compared to the 13 weekly frequencies of Ryanair. Similarly based on Winter IATA 2023/2024 data, for the winter seasons, the Parties would, post-Transaction, operate 31 weekly frequencies (19 operated by Eurowings and 12 operated by ITA) as compared to the 11 weekly frequencies of Ryanair.[938]

(807) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA compete closely on this route.[939]

(808) In the first place, ITA and Lufthansa are both network carriers operating similar business models and attracting similar types of customers (with a higher willingness to pay), whereas Ryanair is an ULCC, operating a P2P business model and focused on price-sensitive leisure travel. (See section 9.1.2.1 above for more information).

(809) Specifically on this route, even though Lufthansa operates on the Milan-Düsseldorf city pair through Eurowings (Lufthansa group's LCC), generally the business model and marketing strategy of LCCs' belonging to large airline groups differs from that of ULCCs such as Ryanair. (See section 9.1.2.1 above for more information and in particular paragraphs (586)-(587)).

(810) In the second place, airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. The Commission's market investigation supports the view that "*there* is a *general preference of the majority of passengers to fly from their local airport"*[940] (see section 9.1.2.2). Specifically, regarding competition on the Milan – Düsseldorf city pair, ITA and Lufthansa operate from the same airports (partially) (i.e., Lufthansa operates on MXP-DUS, MXP-CGN and BGY-DUS, whereas ITA operates LIN-DUS). It is true that Ryanair, which operates exclusively from BGY to CGN and to NRN, could be said to operate from some of the same airports as Lufthansa. That being said, although both Eurowings and Ryanair operate the route Milan – Düsseldorf from the airport BGY, only Eurowings and ITA operate from the main airport at Düsseldorf. (See section 9.1.2.2 above for more information).

938 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex 5.

939 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P*, Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in a significant impediment to effective competition.

940 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

(811) In particular, the vast majority of customers that expressed a view in the Commission's market investigation believe that the closest alternative of Lufthansa's offering on the Milan - Düsseldorf route is ITA's offering, and not one that of Ryanair.[941]

(812) Lastly, the Commission notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time:[942]

(a) considering LIN and DUS (ITA present) is around 1 hour 48 minutes;

(b) considering BGY and DUS (Lufthansa present) is around 2 hours 16 minutes;

(c) considering MXP and DUS (Lufthansa present) is around 2 hours 26 minutes;

(d) considering MXP and CGN (Lufthansa present) is around 2 hours 45 minutes;

(e) considering BGY and CGN (Ryanair present) is, similarly to MXP-CGN, around 2 hours 45 minutes; and

(f) considering BGY and NRN (Ryanair present) is around 3 hours 10 minutes.

(813) This shows that ITA competes closely with Lufthansa on this route, considering the shorter travel times, and comparatively less closely with Ryanair.

(814) In the third place, The Commission's assessment with respect to the competitive pressure exerted by existing carriers on the route was corroborated by the responses to the Commission's market investigation. In particular, despite the fact that several market participants such as Air France-KLM, IAG, Luxair, TUI Group and Wizz Air consider Ryanair to be the closes competitor of at least one of the Parties, as correctly pointed out by the Parties,[943] the majority of competitors that expressed a view consider that Lufthansa and ITA are closer competitors of each other on the Milan-Düsseldorf city pair compared to Ryanair,[944] and that, in any event, the Parties compete closely on the route based on a number of criteria (e.g., prices, frequencies, on-board services, time of departure and arrival etc.) and in general.[945]

(815) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(816) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, from the Milan end, all LIN, MXP and BGY are Level 3 Coordinated Airports (i.e., demand significantly exceeds the airports' capability), whereas from the Düsseldorf end, DUS and CGN are Level 3 Coordinated Airport (i.e., demand significantly exceeds the airports' capability), whereas NRN is Level 1 Non-Coordinated Airport.[946]

---

941 Responses to question D.A.16.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

942 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

943 Response of Lufthansa and MEF to the SO, paragraph 309.

944 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors.

945 Responses to questions E.A.3 and E.A.4 of questionnaire 03 to short-haul competitors.

946 List of IATA Coordinated Airports (available at: IATA - Coordinated Airports); and, Form CO, paragraphs 818-819.

(817) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at LIN ranges between 73% and 98% between 5:00 am and 8:00 pm, whereas at MXP, it ranges between 40% and 85%.[947]

(818) The average congestion level per hour band for the scheduled weekly flights of Eurowings on the Milan-Düsseldorf city pair are as follows: from MXP during Summer IATA Season 2023 ranging between 63-72%, from BGY between 64-71% and from DUS between 60-70%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Eurowings on the Milan-Brussels city pair are as follows: from MXP ranging between 38-72%, from BGY between 38-65% and from DUS between 32-67%.[948]

(819) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Milan-Düsseldorf city pair are as follows: from LIN during Summer IATA Season 2023 ranging between 78-91% and from DUS between 68-78%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of ITA on the Milan-Düsseldorf city pair are as follows: from LIN ranging 77% and from DUS between 41-51%.[949]

(820) The above figures indicate that LIN is significantly slot constrained (including during the time of operation of the Parties) whereas MXP and DUS have some slot constraints at peak times but have some spare capacity for new entrants and incumbents to grow.

(821) On the Milan end, the results of the Commission's market investigation strongly support the airlines' preference for LIN and indicate that barriers to entry at the airport are significantly high due to slot congestion at the specific airport. (See section 9.1.4.1 above for more information). Despite the fact that the Milan catchment area is served by several airports (i.e., MXP and likely BGY), based on the results of the Commission's market investigation, competitors consider that slots at LIN give a strong competitive advantage to those who operate them, due to its strategic location and proximity to the city centre compared to MXP (see section 6.5.3.6 above, section 11 below, and paragraph (655) *et seq*.). Therefore, the inability of competitors to obtain slots at LIN is considered a significant barrier to entry, despite the availability of slots at MXP. (See section 9.1.4.1 above for more information).

(822) In the second place, the Parties' combined market share on the route and combined slot holding in LIN and in DUS will be significantly high, indicative of market power and will act as a barrier to entry and expansion. Despite the fact that both the Milan and Düsseldorf catchment areas are served by several airports, the results of the Commission's market investigation and internal documents of the Parties support that (i) *"there is a general preference of the majority of passengers to fly from their local airport*"[950] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See

947 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

948 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

949 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

950 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

section 9.1.4.2 above for more information and in particular Figure 54. (See section 9.1.4.2 above for more information).

(823) *Eighth*, no further, likely, timely and sufficient entry or expansion of competitors is expected on the Milan-Düsseldorf city pair. The Commission has analysed the entry plans of all relevant potential competitors which, taken individually and as a whole, do not support that the concentration on the route would be offset by future market entry, or indeed that any market entry would occur at all.

(824) In the first place, TUI Fly confirms that it does not plan on entering the route MIL-DUS. [951]

(825) In the second place, as indicated by the Parties, Wizz Air operated eight frequencies in total for the connection MXP-DTM for the whole Summer 2024.[952] The Commission notes that eight frequencies overall, throughout the entire Summer IATA 2024 season cannot be seen as a continuous service (which is consistent with the Commission's assessment of Eurowings' activities on routes such as Brindisi-Stuttgart, Brindisi-Düsseldorf and Cagliari-Munich over the Winter IATA Season in section 9.4.6below) and therefore Wizz Air cannot be considered as a new entrant that will constrain the Parties activities. Moreover, the Commission notes that based on Wizz Air's online booking platform (website),[953] the latter will offer 4 frequencies on MXP-DTM over June 2024, and no other flights are planned to be operated until December 2025. Therefore, even if Wizz Air were to be considered as a new entrant on the route, it would in any event have exited in June 2024. Moreover, Wizz Air confirmed that it would consider an entry (continuous operations) conditional '[*p*]*ending access to LIN'*, for which '*Wizz Air clarifies that it applied for slots (...) under the normal seasonal procedure as it does every season, however, it has not been able to change the times it already has or to obtain new slots, so such an entry would be conditional on obtaining the necessary slots'*.[954] Therefore, it appears that Wizz Air would only consider entry with continuous operations if it would gain access to suitable slots in LIN, which it currently cannot do. On this basis Wizz Air's 8 frequencies over Summer IATA 2024 (last four of which to be operated in mid-June) and subsequent exit over the same season, as well as its submission as to a likely entry with continuous operations is not considered as indicative of a timely, likely or sufficient potential entry.

(826) In the third place, other potential entry and/or expansion plans are subject to the outcome of the Transaction, and thus are not considered as indicative of a timely, likely or sufficient entry.[955] In other words, the results of the Commission's market investigation are that potential entrants are only considering potential actions on this route. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the

---

951 See for example, Response of TUI to a Commission's pre-notification request for information ('RFI 1'), question 6, ID 766.

952 Response of Lufthansa and MEF to the SO, paragraph 307.

953 See extract from Wizz Air's online booking platform indicating the frequencies operated on DTM-MXP for the remaining of Summer IATA Season 2024, ID 18949.

954 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 17, ID 861. Additional evidence was made available to the Parties' external legal counsels over the data room process.

955 Additional evidence was made available to the Parties' external legal counsels over the data room process.

generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[956] (See section 9.1.5 above for more information.)

(827) *Ninth*, there is specific evidence showing that the Transaction is likely to result in negative effects.

(828) In the first place, while a sizeable share of the respondents indicated that they did not know, the vast majority of competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[957] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[958] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.4 for more detailed results).

(829) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(830) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.2.2.4. Conclusion

(831) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very high combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, the lack of prospect of likely, timely and sufficient entry on the route and the specific evidence on the likely negative effects of the Transaction, the Commission concludes that the Transaction would significantly impede effective competition on the route Milan - Düsseldorf by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

9.2.3. Milan – Frankfurt

9.2.3.1. Market structure

(832) The market structure on the route Milan – Frankfurt in terms of passengers transported point-to-point, is presented below in Table 31.

956 The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

957 Responses to question I.1 of questionnaire 03 to short-haul competitors.

958 Responses to question H.1.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

Table 31: Milan-Frankfurt market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[959]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[LIN-FRA]*	3%	12%	13%	20%	16%	19%
Lufthansa Group	51%	41%	70%	61%	72%	68%
[LIN-FRA]	31%	24%	42%	38%	43%	40%
[MXP-FRA]	20%	17%	28%	23%	28%	28%
Parties Combined	**54%**	**52%**	**83%**	**81%**	**88%**	**87%**
Ryanair	46%	48%	17%	19%	12%	13%
[BGY-FRA]	46%	47%	-	-	-	-
[BGY-HHN]	-	1%	17%	19%	12%	13%
Other	-	<1%	-	<1%	<1%	<1%
[LIN-FRA]	-	-	-	-	<1%	<1%
[MXP-FRA]	-	<1%	-	<1%	<1%	<1%
Delta HHI	326	940	1 866	2 410	2 284	2 553
Post HHI	5 033	5 011	7 193	6 933	7 854	7 670
Total Pax City Pair	**88 150**	**88 390**	**177 698**	**115 243**	**176 757**	**78 170**

Source: IATA passenger data, RFI 50 Annex 100.

(833) The market structure on the route Milan – Frankfurt in terms of capacity (number of frequencies operated) is set out in Table 32 below.

Table 32: Milan - Frankfurt market shares by capacity (number of frequencies operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[FRA-LIN]*	3%	13%	10%	15%	11%	18%	16%
Lufthansa Group	82%	74%	85%	79%	86%	79%	80%
[BGY-FRA]	<1%	-	<1%	-	-	<1%	-
[FRA-LIN]	47%	40%	41%	46%	42%	43%	40%
[FRA-MXP]	35%	34%	44%	34%	44%	36%	39%
Parties Combined	**85%**	**87%**	**95%**	**95%**	**97%**	**97%**	**96%**
Atlas Air *[HHN-MXP]*	-	-	-	-	<1%	-	-
Luxair *[HHN-MXP]*	-	<1%	-	-	-	-	-
Ryanair	15%	13%	5%	5%	3%	3%	4%
[BGY-FRA]	15%	13%	-	-	-	-	-
[BGY-HHN]	-	<1%	5%	5%	3%	3%	4%
Other *[FRA-MXP]*	-	<1%	-	-	-	-	-
Delta HHI	*456*	*1 966*	*1 741*	*2 424*	*1 854*	*2 812*	*2 565*
Post HHI	*7 415*	*7 766*	*9 067*	*8 995*	*9 374*	*9 357*	*9 195*
Total Seats City Pair	***289 986***	***399 937***	***708 812***	***434 692***	***752 934***	***565 894***	***834 010***

Source: IATA passenger data, RFI 31, Q8.

[959] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

(834) On the Milan - Frankfurt city pair the following plausible alternative geographic market definitions exist in line with the market definition findings on the catchment areas:

(a) On the Milan end of the route LIN and MXP may belong to one catchment area together with BGY or, alternatively, LIN and MXP may be separate from BGY (See section 6.5.3.6 above).

(b) On the Frankfurt end of the route FRA and HHN may belong to one catchment area or, alternatively, they may belong to separate catchment areas (See section 6.5.3.4 above).

(835) The Commission's assessment below considers the widest possible market definition, which includes LIN, MXP and BGY on the Milan end of the route and FRA and HHN on the Frankfurt end of the route.

(836) However, the assessment above would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (where the Transaction would still give rise to horizontal overlaps).

(837) The Commission notes that if on the Milan end of the route:

(a) only LIN and MXP were to be considered, the concerns outlined below would not only continue to be relevant under any plausible alternative market definitions on the Frankfurt end of the route, but would be amplified due the removal of Ryanair from the competitive landscape as Ryanair only operates from BGY (i.e., the Transaction would be a merger-to-monopoly under any plausible alternative market definitions on the Frankfurt end of the route). In this context, under the narrowest possible market definition, the activities of the Parties would overlap on LIN and MXP on the Milan end of the route, and FRA on the Frankfurt end of the route.

(b) if only BGY were to be considered on the Milan end of the route, there would be no need to assess any of the overlaps under any plausible market definition on the Frankfurt end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from BGY).

(838) The Commission also notes that if on the Frankfurt end of the route:

(a) Only FRA were to be considered, the concerns outlined below would not only continue to be relevant but would be amplified due to the removal of Ryanair from the competitive landscape (as the latter only operates from HHN), under all plausible market definitions on the Milan end of the route. More specifically, if only FRA were to be considered, the Transaction would result in a monopoly.

(b) Only HHN were to be considered, there would be no need to assess any of the overlaps under any plausible market definition on the Milan end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from HHN).

(839) The Parties' market share would increase under all the plausible narrower market definitions where the Transaction gives rise to horizontal overlaps (i.e., with less airports considered) since Ryanair is not active in those narrower markets.

(840) Table 33 below, sets out the Parties and their competitor's market shares under the narrowest plausible alternative market definition where the Transaction gives rise to horizontal overlaps.

Table 33: Milan-Frankfurt market shares for the alternative plausible market definition (LIN/MXP-FRA) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[960]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	6%	22%	16%	24%	18%	22%
Lufthansa Group	94%	78%	84%	76%	82%	78%
Parties Combined	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Other	-	<1%	-	<1%	<1%	<1%
Delta HHI	1 115	3 430	2 702	3 665	2 964	3 407
Post HHI	10 000	9 999	10 000	10 000	9 999	9 993
Total Pax City Pair	**47 638**	**46 261**	**147 692**	**93 449**	**155 153**	**67 672**

Source: IATA passenger data, RFI 50 Annex 100.

9.2.3.2. Lufthansa and MEF's view

(841) Lufthansa and MEF submit that the main airlines serving the route Milan-Frankfurt based on Winter 2022/2023 and Summer 2023 IATA seasons are Lufthansa (through Lufthansa Passenger Airlines and Air Dolomiti), ITA and Ryanair.[961] Post-Transaction, according to Lufthansa and MEF, the merged entity will (i) continue to face strong competition from Ryanair a long-standing competitor with a similar market share to that of ITA having increased capacity in Summer IATA 2024,[962] (ii) be constrained by the potential entries of Wizz Air and easyJet, both of which already operate on both legs of the city pair[963] and Neos.[964] Lufthansa and MEF argue that Lufthansa competes closely with low-cost carriers, especially Ryanair, which is also reflected by the internal documents.[965] According to Lufthansa and MEF, the combined entity would also face out-of-market competitive constraints from train operators, namely Deutsche Bahn and Trenitalia, as the former of which offering daily direct connections of approximately 7h 24min.[966] Finally, Lufthansa and MEF submit that there are no barriers to entry and/or expansion on the route Milan-Frankfurt because the airports are not congested, at either end of the city pair.[967] Finally, Lufthansa and MEF note that 47% of all respondents stated that they do not know whether the Transaction will have an impact on competition on this route, further to 7% who did not respond at all.[968]

9.2.3.3. The Commission's assessment

(842) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Milan – Frankfurt.

960 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

961 Form CO, paragraphs 1330-1333.

962 Response of Lufthansa and MEF to the SO, paragraphs 258, 310-316.

963 Form CO, paragraphs 1330-1333.

964 Response of Lufthansa and MEF to the SO, paragraphs 310-316.

965 Response of Lufthansa to the Commission's Article 6(1)(c) decision, dated 5 February 2024, paragraph 15 *et seq*.

966 Form CO, paragraph 1334; and, Response of Lufthansa and MEF to the SO, paragraphs 310-316.

967 Form CO, paragraph 1335; and, Response of Lufthansa and MEF to the SO, paragraphs 310-316.

968 Response of Lufthansa and MEF to the SO, paragraph 316.

(843) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 31 above, the Parties' combined share (by PAX number) between Summer IATA Season 2021 and Winter IATA Season 2023/2024 was between 52-88%. For the same time period, the Parties equally held an even higher share based on the number of frequencies they operated on the route during each IATA Season, namely between 85% and 97%, as set out in Table 32 above. These market shares may be evidence in themselves of a dominant position after the Transaction.

(844) *Second*, the increment brought about by the Transaction from ITA would be large at 12% to 20% in the last five IATA seasons. This corresponds to a high increase in the HHI of between 940 and 2 553 based on PAX numbers, in line with the Commission's Horizontal Merger Guidelines.[969]

(845) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be between 5 011 and 7 854 in each of the last five completed IATA seasons (with an increment of at least 940) based on PAX numbers. The high combined market share of the Parties, the large increment brought by the transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position.

(846) *Fourth*, when looking into the widest possible market definition, the Transaction constitutes a 3-to-2 merger for non-stop flights.[970] In addition to the Parties, only Ryanair operates the Milan - Frankfurt city pair (but from BGY-HHN) and held a market share of 13% in the Winter IATA Season 2023/2024 and 12% in the Summer IATA Season 2023 based on the number of passengers. Ryanair's market share is lower based on capacity, ranging between 3% and 4% between Summer IATA Season 2023 and Summer IATA Season 2024. Under all alternative possible market definitions where the activities of the Parties would still overlap on the route Milan – Frankfurt, the competitive assessment would either remain the same, or Ryanair would be removed from the competitive landscape and therefore the Transaction would result to a monopoly.

(847) In this context, the Commission notes that, post-Transaction the Parties will become the largest operator on the Milan - Frankfurt city pair, holding a significant market share on both IATA Seasons, in terms of passengers and capacity operated, with Ryanair being the Parties' only active competitor.

(848) *Fifth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of Ryanair is unlikely to be sufficient to constrain the Parties post-Transaction.

(849) In the first place, prior to the Transaction, in addition to Lufthansa and ITA, only Ryanair operates on the market with market shares between 12% and 48% for the latest five seasons, and with a market share below 20% over the last four seasons.

---

969 According to paragraph 20 of its Horizontal Merger Guidelines, "*The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances"* arise.

970 As indicated in section 9.2.1.1, under all alternative possible market definitions where the activities of the Parties would still overlap on the route Milan – Frankfurt, Ryanair would be removed from the competitive landscape and therefore the Transaction would result to a monopoly.

Notably, Ryanair's market share has been declining since Ryanair's exit from BGY-FRA in Summer IATA Season 2022.

(850) In the second place, even though the Parties would continue to face competition from Ryanair post-Transaction, the Transaction would lead to the elimination of an important competitive constraint, in the form of ITA, an airline that managed to capture 20% of the market with less than three years of operation and has competed closely with Lufthansa on the route in the past. See in this respect also paragraph (849) below.

(851) In the third place, the Parties would hold a frequency advantage over the only other direct competitor on the route, Ryanair. Based on the information of Table 23 above, the Parties would, post-Transaction, operate 89 weekly frequencies, a significantly higher number as compared to the two to three weekly frequencies of Ryanair (based on 2023 figures).

(852) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA compete closely on this route.[971]

(853) In the first place, ITA and Lufthansa are both network carriers operating similar business models and attracting similar types of passengers, whereas Ryanair is an ULCC operating a P2P business model and focused on leisure travel. (See section 9.1.2.1 above for more information).

(854) The Commission's assessment with respect to the competitive pressure exerted by existing carriers on the route was corroborated by the responses to the Commission's market investigation, where the majority of competitors that expressed a view consider that Lufthansa and ITA are closer competitors of each other on the Milan-Frankfurt city pair compared to Ryanair.[972] Air France-KLM explains that "*Frankfurt Hahn is closer to Luxembourg than Frankfurt (situated 1h35 min by car from [F]rankfurt center). It has no facility to operate large traffic flows. It has around 2.5m pax per year for the moment in comparison to close to 70m for FRA. Only Wizz and Ryanair are operating from HHN on a very low frequency basis and to leisure destinations only. Hahn is only reachable by Bus in 2hours from Frankfurt city. Frankfurt airport is located close to the city and also reachable easily from Mainz/Wiesbaden and Darmstadt which are the four main cities to contribute locally. HAHN cannot play that role. FRA [M]ain airport operates a state of the art train station with hundreds of high-speed and regional train per day connecting FRA [A]irport to rest of Germany, It is one of the main station for Deutsche Bahn.(...)*".[973] Similarly, in the case of Milan, Wizz Air considers that MXP and BGY are not close substitutes to.[974]

(855) In the second place, airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. The Commission's market investigation supports the view that

---

971 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P, *Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in a significant impediment to effective competition.

972 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors.

973 Response of Air France-KLM to question C.A.6.2 of questionnaire 03 to short-haul competitors, ID 12093.

974 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 19(a), ID 861.

"*there* is a *general preference of the majority of passengers to fly from their local airport"*.[975] (See section 9.1.2.2 above for more information). ITA and Lufthansa operate the Milan - Frankfurt city pair from the same primary airport(s) (partially) in Milan (i.e., Lufthansa operates from both LIN and MXP and ITA operates from LIN) and Frankfurt (both operate from FRA) whereas Ryanair operates the Milan - Frankfurt city pair exclusively through secondary airports of proximity, namely BGY and HHN respectively. The Commission notes that Ryanair's market share on the route is declining. More specifically, Ryanair operated the Milan-Frankfurt city pair from BGY to FRA until Winter IATA Season 2021/2022. However, as of Summer IATA Season 2023, Ryanair ceased its operations from FRA, and as of then, only operated the route BGY-HHN. The declining market share of Ryanair on the route Milan - Frankfurt in terms of passengers in Summer IATA Season 2023 appears be the result of its exit from the FRA. In this context, Ryanair explains that "*In IATA Summer 2019 we [Ryanair] carried 81.0k passengers between Frankfurt Main and Milan. In IATA Summer 2023, after we halted operation to Frankfurt Main, we carried 22.8k passengers between Frankfurt Hahn and Milan*. (…) *In IATA Summer 2019 we operated daily flights between Frankfurt Main and Milan. In IATA Summer 2023, we operated biweekly flights between Frankfurt Hahn and Milan*. (…) *Our load factor dropped (...) following the switch from Main to Hahn between IATA Summer 2019 and IATA Summer 2023"*.[976]

(856) Moreover, the vast majority of customers that expressed a view in the Commission's market investigation believe that the closest alternative of Lufthansa's offering on the Milan - Frankfurt route is ITA's offering, and not that of Ryanair.[977] Moreover, the majority of competitor respondents that expressed a view consider that the Parties compete closely on the route based on a number of criteria (e.g., prices, frequencies, on-board services, time of departure and arrival etc.) and in general.[978]

(857) Lastly, the Commission notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time considering LIN and FRA (ITA and Lufthansa present) is around 1 hour 40 minutes. The overall travel time increases to approx. 2 hours 10 minutes when considering MXP and FRA (Lufthansa present). In contrast the overall travel time is approx. 3 hours 10 minutes when considering BGY and HHN (Ryanair present).[979] This shows that Lufthansa and ITA compete closely with each other considering the shorter travel times than they do with Ryanair.

(858) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(859) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, from the Milan end, all LIN, MXP and BGY are

975 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

976 Response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 24, ID 11422.

977 Responses to question D.A.18.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

978 Responses to questions E.A.3 and E.A.4 of questionnaire 03 to short-haul competitors.

979 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

Level 3 Coordinated Airports, whereas from the Frankfurt end, FRA is Level 3 Coordinated Airport and HHN is a Level 1 Non-Coordinated Airport.[980]

(860) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at LIN ranges between 73% and 98% between 5:00 am and 8:00 pm, whereas at MXP, it ranges between 40% and 85%.[981]

(861) The average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Milan-Frankfurt city pair are as follows: from LIN during Summer IATA Season 2023 ranging between 74-84%, from MXP between 34-68% and from FRA between 42-102%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Milan-Frankfurt city pair are as follows: from LIN ranging between 66-91%, from MXP between 41-65% and from FRA between 61-97%.[982]

(862) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Milan-Frankfurt city pair are as follows: from LIN during Summer IATA Season 2023 ranging between 79-94% and from FRA between 75-102%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of ITA on the Milan-Frankfurt city pair are as follows: from LIN ranging between 77-90% and from FRA between 68-97%.[983]

(863) The above figures indicate that LIN and FRA are significantly slot constrained whereas, and MXP has some slot constraints, especially during the time of operation of the Parties, but has some spare capacity for new entrants and incumbents to grow. Nevertheless, the results of the Commission's market investigation strongly support the airlines' preference for LIN and indicate that barriers to entry at the airport are significantly high due to slot congestion at this specific airport. (See section 9.1.4.1 above for more information).

(864) On the Frankfurt end of the route however, competitors such as Ryanair explain that FRA is congested over peak hours.[984] On the Milan end, the results of the Commission's market investigation, strongly support the airline's preference for LIN and indicate that barriers to entry at the airport are significantly high. Despite the fact that the Milan catchment area is served by several airports (i.e., LIN, MXP and likely BGY), based on the results of the Commission's market investigation, competitors consider that slots at LIN give a strong competitive advantage to those who operate them, due to its strategic location and proximity to the city centre compared to MXP (see section 6.5.3.6 above, section 11 below, and paragraph (655) *et seq*.). Therefore, the inability of competitors to obtain slots at LIN is considered a significant barrier to entry, despite the availability of slots at MXP. (See section 9.1.4.1 above for more information).

---

980 List of IATA Coordinated Airports (available at: IATA - Coordinated Airports); and, Form CO, paragraphs 818-819 and 1297.

981 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

982 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

983 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

984 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 16, ID 2367.

(865) In the second place, the Parties' combined slot holding will be significantly high in both LIN and FRA. In particular, in LIN, the Parties' combined slot holding in 2022 amounted to 62.4-65.4%[985] whereas in FRA, the Parties' combined slot holding in 2022 amounted to 64.4-68.8%.[986] In both airports, the Parties' combined slot holdings are indicative of dominance and therefore could act as a barrier to entry and expansion in the Milan-Frankfurt city pair. Despite the fact that both the Milan and Frankfurt catchment areas are served by several airports, the results of the Commission's market investigation and internal documents of the Parties support that (i) *"there is a general preference of the majority of passengers to fly from their local airport"*[987] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54).

(866) In the third place, the Parties' high combined market share on the route Milan-Frankfurt city pair is indicative of dominance and therefore could act as a barrier to entry and expansion in the Milan-Frankfurt city pair. (See section 9.1.4.2 above for more information).

(867) In the fourth place, airport charges in FRA are high and could act as a barrier to entry and expansion. For instance, public sources indicate that Ryanair's exit from FRA was linked to the airport management's decision to increase its airport charges, which suggests that these charges act as barriers to entry and expand on the route.[988] (See section 9.1.4.4 above for more information).

(868) *Eighth*, no further, likely, timely and sufficient entry or expansion of competitors is expected on this route. The Commission has analysed the entry plans of all relevant potential competitors which, taken individually and as a whole, do not support that the concentration on the route would be offset by future market entry, or indeed that any market entry would occur at all.

(869) In the first place, TUI Fly confirms that it does not plan on entering the route MIL-FRA. [989]

(870) In the second place, Wizz Air's potential entry is conditional '[*p*]*ending access to LIN'*, for which '*Wizz Air clarifies that it applied for slots (…) under the normal seasonal procedure as it does every season, however, it has not been able to change the times it already has or to obtain new slots, so such an entry would be conditional on obtaining the necessary slots'*.[990] Therefore, it appears that Wizz Air would only consider entry if it would gain access to suitable slots in LIN, which it currently

985 Form CO, Figure 56.

986 Form CO, Figure 58.

987 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

988 "*Ryanair Closes Frankfurt Am Main Base*", Ryanair, 31 March 2022 (available at: https://corporate.ryanair.com/news/ryanair-closes-frankfurt-am-main-base/#:~:text=%E2%80%9CWe%20are%20disappointed%20to%20announce,by%20the%20Covid%2D19%20pandemic).

989 See for example, Response of TUI to a Commission's pre-notification request for information ('RFI 1'), question 6, ID 766.

990 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 17, ID 861. Additional evidence was made available to the Parties' external legal counsels over the data room process.

cannot do. On this basis Wizz Air's submission is not considered as indicative of a timely, likely or sufficient potential entry.

(871) In the third place, Neos expressed an interest in entering the Milan – Frankfurt route.[991] Nevertheless, it clarifies that it generally does not enters routes where Lufthansa is present, as it is too strong of a competitor for it to be able to compete against, and thus, it would only consider entry or expansion on the route as a result of a remedy during the merger control process of the Transaction or if, due to capacity constraints, Lufthansa would fully exit the route routes, which in turn would leave a market gap, allowing Neos to enter.[992]

(872) In the fourth place, other potential entry and/or expansion plans are subject to the outcome of the Transaction, and thus are not considered as indicative of a timely, likely or sufficient entry.[993] In other words, the results of the Commission's market investigation are that potential entrants are only considering potential actions on this route. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[994] (See section 9.1.5 above for more information.)

(873) *Ninth*, the out-of-market constraints that the Parties will face by train operators are negligible. Based on the results of the Commission's market investigation, Trenitalia, Deutsche Bahn and SBB are offering a daily train connection on the route Milan-Frankfurt. However:

(a) the average travel time of the indirect train option offered by SBB is 7h 30min to 8h long (several other options are available but require several changes and the overall duration of the trip lasts up to 17h)[995]. In all the travel options-travel time exceeds the 6-hour threshold. (See section 6.8 for more information);

(b) the overall duration of the train option (i.e., 7h30min-8h)[996] is significantly longer compared to the overall travel time from Milan city centre to Frankfurt city centre for passengers choosing the flight option (i.e., for passengers flying LIN-FRA the overall travel time is around 1h40min and for passengers flying MXP-FRA the overall travel time is approximately 2h10 min);[997]

(c) the duration of the train option is about twice as long as than the maximum train time that is considered by airlines to exert competitive pressure on short-haul flights (i.e., between 3-4 hours according to the competitors that expressed

991 Response of Neos to a Commission's pre-notification request for information (RFI 1), dated 31 October 2023, question 7, ID 947; Response of Neos to a Commission's pre-notification request for information (RFI 2), dated 6 December 2023, question 1, ID 5220.

992 Non-confidential minutes of a conference call with Neos, dated 16 February 2024, ID 11599, paragraphs 15-18.

993 Additional evidence was made available to the Parties' external legal counsels over the data room process.

994 The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

995 Response of Deutsche Bahn to a Commission's pre-notification request for information (RFI 1 to Train Operators), question 2, ID 883; and, See Information on available train options between Milan and Frankfurt from public sources, ID 18950.

996 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 3), Annex 66.

997 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1.

a view in the Commission's market investigation). (See section (635) for more information); and,

(d) The fact that the out-of-market constraints that the Parties will face by train operators are negligible on the Milan-Frankfurt route was corroborated by the responses to the Commission's market investigation. (See section (635) for more information).

(874) *Ninth*, there is specific evidence showing that the Transaction is likely to result in negative effects.

(875) In the first place, while a sizeable share of the respondents indicated that they did not know, the vast majority of competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[998] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[999] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.4 for more detailed results).

(876) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(877) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.2.3.4. Conclusion

(878) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very high combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, the lack of prospect of likely, timely and sufficient entry on the route, the negligible out-of-market constraints that the Parties will face by train operators, and the specific evidence on the likely negative effects of the Transaction, the Commission concludes that the Transaction would significantly impede effective competition on the route, Milan - Frankfurt by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

9.2.4. Milan – Hamburg

9.2.4.1. Market structure

(879) The market structure on the route Milan – Hamburg in terms of passengers transported point-to-point, is presented below in Table 34. The Commission notes that the table includes both direct and indirect services provided by Lufthansa and ITA and their competitors, since the share of indirect services on the Milan-Hamburg route was above 10% in the last four IATA Seasons. As explained above in Section 6.6.3.1, the Commission considers that direct and indirect flights between the

998 Responses to question I.1 of questionnaire 03 to short-haul competitors.

999 Responses to question H.1.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

same O&D make part of the same market when indirect flights represent at least 10% of passengers on the route.

Table 34: Milan-Hamburg market shares by passenger (direct and indirect air services) in the IATA seasons from Summer 2021 to Winter 2023/2024[1000]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[LIN-HAM]*	-	2%	25%	<1%	19%	<1%
Lufthansa Group	43%	48%	40%	51%	42%	55%
[BGY-HAM]	-	<1%	<1%	<1%	<1%	<1%
[LIN-HAM]	7%	6%	5%	7%	4%	8%
[LIN-ZMB] ([1001])	<1%	<1%	<1%	-	<1%	-
[MXP-HAM]	36%	42%	34%	44%	37%	47%
[MXP-ZMB]	<1%	<1%	<1%	-	<1%	-
Parties Combined	**43%**	**49%**	**66%**	**51%**	**60%**	**55%**
Air France-KLM	3%	1%	<1%	<1%	<1%	1%
[LIN-HAM]	2%	1%	<1%	<1%	<1%	1%
[MXP-HAM]	1%	<1%	<1%	<1%	<1%	<1%
Flexflight *[LIN-LBC]*	-	-	-	-	<1%	-
Neos *[MXP-HAM]*	-	-	6%	-	10%	-
Ryanair *[BGY-HAM]*	54%	50%	28%	48%	29%	43%
Other	<1%	<1%	<1%	1%	1%	1%
[BGY-HAM]	-	-	-	-	<1%	-
[LIN-HAM]	<1%	<1%	<1%	<1%	<1%	<1%
[MXP-HAM]	<1%	<1%	<1%	1%	1%	1%
Delta HHI	-	143	2 051	1	1 563	2
Post HHI	4 752	4 890	5 122	4 906	4 575	4 867
Total Pax City Pair	**52 794**	**47 343**	**146 318**	**72 812**	**182 521**	**42 414**

Source: IATA passenger data, RFI 50 Annex 100.

(880) The market structure on the route Milan – Frankfurt in terms of capacity (number of frequencies operated) is set out in Table 35.

[1000] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

[1001] ZMB is the code for Hamburg Central Railway Station Airport and refers to the railway station at HAM. The route LIN-ZMB refers to a multimodal connection involving HAM. Considering the negligible market shares associated with this connection, this will not be discussed further.

Table 35: Milan-Hamburg market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways	<1%	1%	34%	-	30%	1%	33%
[BGY-HAM]	-	-	<1%	-	-	-	-
[HAM-LIN]	-	1%	34%	-	30%	<1%	33%
[HAM-MXP]	<1%	-	<1%	-	-	<1%	-
Lufthansa Group *[HAM-MXP]*	42%	51%	37%	51%	34%	54%	31%
Parties Combined	**42%**	**52%**	**71%**	**51%**	**64%**	**55%**	**64%**
Neos *[HAM-MXP]*	5%	-	7%	-	9%	-	8%
Ryanair [BGY-HAM]	53%	48%	22%	49%	27%	45%	28%
Other *[HAM-MXP]*	-	-	-	-	<1%	-	-
Delta HHI	*23*	*52*	*2 547*	*0*	*2 017*	*73*	*2 056*
Post HHI	*4 625*	*5 006*	*5 631*	*5 003*	*4 861*	*5 042*	*4 943*
Total Seats City Pair	***55 923***	***59 643***	***166 178***	***80 556***	***230 101***	***73 716***	***204 378***

Source: IATA passenger data, RFI 31, Q8.

(881) Considering the Milan-Hamburg city pair the following plausible alternative geographic market definitions exist based on the catchment areas:

(a) On the Milan end of the route LIN and MXP may belong to one catchment area together with BGY or, alternatively, LIN and MXP may be separate from BGY (See section 6.5.3.6 above).

(b) On the Hamburg end of the route HAM and LBC may belong to one catchment area or may be considered as separate markets (See section 6.5.3.5 above).

(882) The Commission's assessment below considers the widest plausible market definition, whereby LIN, MXP and BGY on the one hand, and HAM and LBC on the other hand would belong to the same catchment areas. The market shares and concerns outlined above reflect this widest plausible market definition.

(883) However, the assessment below would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (and where the Transaction would still give rise to horizontal overlaps).

(884) The Commission notes that if on the Milan end of the route:

(a) only LIN and MXP were to be considered, the concerns outlined below would not only continue to be relevant under any plausible alternative market definitions on the Hamburg end of the route (where the Transaction would give rise to horizontal overlaps), but would be amplified due the removal of Ryanair from the competitive landscape as Ryanair only operates from BGY (i.e., the Transaction would be a merger-to-monopoly under any plausible alternative market definitions on the Hamburg end of the route where the Transaction would give rise to horizontal overlaps). In this context, under the narrowest possible market definition, the activities of the Parties would overlap on LIN and MXP on the Milan end of the route.

(b) if only BGY were to be considered on the Milan end of the route, there would be no need to assess any of the overlaps under any plausible market definition on the Hamburg end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from BGY).

(885) The Commission also notes that if on the Hamburg end of the route:

(a) only HAM were to be considered, the concerns outlined below would remain relevant as all carriers operate the Milan – Hamburg city pair from HAM.

(b) only LBC were to be considered, there would be no need to assess any of the overlaps under any plausible market definition on the Milan end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from LBC).

(886) Thus, the Parties' market share would either remain unchanged or increase under any plausible narrower market definitions where the Transaction gives rise to horizontal overlaps (i.e., with fewer airports considered).

(887) Table 36 demonstrates the Parties and their competitor's market shares under the plausible alternative (narrowest possible) market definitions.

Table 36: Milan-Hamburg market shares for the alternative plausible market definition (LIN/MXP-HAM) by passenger (direct and indirect air services) in the IATA seasons from Summer 2021 to Winter 2023/2024[1002]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	-	3%	36%	<1%	26%	<1%
Lufthansa Group	93%	95%	55%	98%	58%	96%
Parties Combined	**93%**	**98%**	**91%**	**98%**	**85%**	**96%**
Air France-Klm	6%	2%	<1%	1%	<1%	2%
Neos	-	-	8%	-	14%	-
Other	1%	1%	1%	1%	1%	2%
Delta HHI	-	568	3 928	4	3 083	6
Post HHI	8 700	9 563	8 316	9 615	7 394	9 307
Total Pax City Pair	**24 372**	**23 713**	**104 970**	**37 850**	**129 596**	**24 026**

Source: IATA passenger data, RFI 50 Annex 100.

9.2.4.2. Lufthansa and MEF's view

(888) Lufthansa and MEF submit that the main airlines serving the route Milan-Hamburg based on Summer 2022 data are Lufthansa (through Eurowings), ITA and Ryanair.[1003] Moreover, according to Lufthansa and MEF, post-Transaction the Parties will (i) face strong competition from Ryanair (whose market share is similar or higher to that of ITA over the Summer IATA seasons)[1004] and Neos, the latter of which relaunched its MXP-HAM weekly charter connection;[1005] and, (ii) be constrained by the potential additional entry and expansion of other carriers, such as Vueling and easyJet which are present at both MXP and HAM (noting that easyJet was active on the route Milan-Hamburg between 2014 and 2017). Moreover, Lufthansa and MEF submit that there are no barriers to entry and/or expansion on the route Milan-Hamburg either as a result of the Parties' combined slot holdings in the

1002 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

1003 Form CO, paragraphs 1342-1347.

1004 Response of Lufthansa and MEF to the SO, paragraphs 317-325.

1005 Response of Lufthansa and MEF to the SO, paragraphs 317-325.

Milan and Hamburg's airports or as a result of the average congestion rates in the Milan and Hamburg's airports.[1006] Finally, Lufthansa and MEF note that the majority of the competitor respondents to the Commission's market investigation stated that they do not know whether the Transaction will have an impact on competition or that the Transaction would have a neutral impact on the Milan – Hamburg route.[1007]

9.2.4.3. The Commission's assessment

(889) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Milan – Hamburg over the summer IATA seasons.

(890) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route over the summer IATA seasons.[1008] As set out in Table 36 above, the Parties' combined share (by PAX number) between Summer IATA Season 2022 and Summer IATA Season 2023 was between 60-66%. For the three Summer IATA Seasons from 2022-2024, the Parties equally held a high share based on the number of frequencies they operated on the route during each Summer IATA Season, namely between 64% and 71%, as set out in Table 35 above. These market shares may be evidence in themselves of a dominant position after the Transaction.

(891) *Second*, the increment brought about by the Transaction from ITA would be large at 19% to 25% in the last two summer IATA seasons. This corresponds to a high increase in the HHI of between 1 563 and 2 051 based on PAX numbers, in line with the Commission's Horizontal Merger Guidelines.[1009]

(892) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be between 4 575 and 5 022 in each of the last two summer IATA seasons (with an increment of at least 1 563) based on PAX number. The high combined market share of the Parties, the large increment brought by the Transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position over the summer IATA season.

(893) *Fourth*, even when looking into the widest possible market definition (i.e., one which includes LIN, MXP and BGY on the Milan end of the route, and HAM and LBC on the Hamburg end), and which includes not only direct flights but also indirect flights) the Transaction constitutes a 3-to-2 merger in the market that includes both direct and indirect flights, as the share of indirect flights exceeds 10%.[1010] (For more information on short-haul markets that direct and indirect flights, see section 9.4 below). Under all alternative possible market definitions where the activities of the

---

1006 Form CO, paragraphs 1342-1347.

1007 Response of Lufthansa and MEF to the SO, paragraph 325.

1008 The Commission notes that over the winter seasons, ITA had minimal operations on the route Milan – Hamburg since Winter IATA Season 2021/2022 and no longer operates on the route during winter seasons. (Statement of the Parties on the Commission decision pursuant to Article 6(1)(c) Merger Regulation, dated 5 February 2024, paragraph 161).

1009 According to paragraph 20 of its Horizontal Merger Guidelines, "*The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances"* arise.

1010 As indicated in section 9.2.1.1, under all alternative possible market definitions where the activities of the Parties would still overlap on the route Milan – Hamburg, the competitive assessment would either remain the same, or Ryanair would be removed from the competitive landscape and therefore the Transaction would result to a monopoly.

Parties would still overlap on the route Milan – Hamburg, the competitive assessment would either remain the same, or Ryanair would be removed from the competitive landscape and therefore the Transaction would result to a monopoly.

(894) In addition to the Parties, over the Summer IATA season, only Ryanair operates direct flights on the Milan - Hamburg city pair (but from BGY-HAM) and held a market share of 29% in the Summer IATA Season 2023 and 28% in the Summer IATA Season 2022 based on the number of passengers. Ryanair's market share based on capacity, ranges between 22% and 28% between Summer IATA Season 2022 and Summer IATA Season 2024.

(895) According to the Parties submissions, Neos is also active on a seasonal basis on the route (i.e., Summer IATA only). However, in response to the Commission's market investigation Neos explains that its operations on MXP-HAM are chartered flights operated on behalf of a cruise companies.[1011] Neos clarifies its operations on the route Milan – Hamburg "*are exceptionally closed flights, which are not available for direct purchase by customers. In other words, only customers of Costa Cruise and MSC Cruise can purchase seats, these flights are not available through NEOS' website or any distribution channel, and the operations are limited to the needs of the two Cruise companies (e.g., all luggage is collectively transported to the port, and passengers receive them on the cruise boat)".*[1012]

(896) As passengers are unable to purchase dry-seats from typical distribution channels on Neos' flights on the route Milan – Hamburg, the Commission considers that the latter does not compete with the Parties on the route, as there is no demand-side substitutability between the activities of the Parties and Ryanair on the one hand, and Neos on the other.

(897) Furthermore, the other competitor offering indirect flights on the Milan – Hamburg city pair is Air France – KLM, with a negligible presence and very low market share of <1% on both Summer IATA seasons 2022 and 2023.

(898) In this context, the Commission notes that, post-Transaction the Parties will become the largest operator on the Milan - Hamburg city pair over the summer IATA seasons, holding a significant market share both in terms of passengers and capacity operated, with Ryanair being the Parties' only active competitor.

(899) *Fifth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of Ryanair (offering direct flights) and Air France – KLM (offering indirect flights) is unlikely to be sufficient to constrain the Parties post-Transaction.

(900) In the first place, even though the Parties would continue to face competition from Ryanair and to a very minor extent from Air France -KLM (due to its negligible market share) post-Transaction, the Transaction would lead to the elimination of an important competitive constraint, in the form of ITA, an airline that managed to capture 25% of the summer season market within its three years of operation and has competed closely with Lufthansa on the route in the past. See in this respect also paragraph (899) *et seq.* below.

1011 Response of Neos to a Commission's pre-notification request for information (RFI 1), question 6, ID 947.

1012 Non-confidential minutes of a conference call with Neos, dated 16 February 2024, paragraph 7, ID 11599.

(901) In the second place, the Parties would hold a frequency advantage over the only other direct competitor on the route, Ryanair. According to a Parties' submission and based on Summer IATA 2023 and Summer IATA 2024 data, for the summer seasons, the Parties would, post-Transaction, operate triple the frequencies of Ryanair and in particular between 13-15 weekly frequencies (6 operated by Eurowings and 7 operated by ITA over Summer IATA 2024 and 8 operated by Eurowings and 7 operated by ITA over Summer IATA 2023), and, approximately three times more compared to the 5 weekly frequencies of Ryanair.[1013]

(902) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA compete closely on this route.[1014]

(903) In the first place, ITA and Lufthansa are both network carriers operating similar business models and attracting similar types of customers (with a higher willingness to pay), whereas Ryanair is an ULCC, operating a P2P business model and focused on price-sensitive leisure travel. (See section 9.1.2.1 above for more information).

(904) Even though Lufthansa operates on the Milan - Hamburg city pair through Eurowings (Lufthansa group's LCC), generally LCCs' business model and marketing differs from that of ULCCs such as Ryanair. (See section 9.1.2.1 above for more information and in particular paragraphs (586)-(590)).

(905) In the second place, airlines operating a city pair from secondary airports of proximity, like on the present route where Ryanair operates from BGY, do not compete as closely with airlines operating a route from the same primary airports. The Commission's market investigation supports the view that "*there* is a *general preference of the majority of passengers to fly from their local airport"*.[1015] (See section 9.1.2.2 above for more information).

(906) In particular, the vast majority of customers that expressed a view in the Commission's market investigation believe that the closest alternative of Lufthansa's offering on the Milan - Hamburg route is ITA's offering, and not one that of Ryanair.[1016]

(907) In the third place, the Commission's assessment with respect to the competitive pressure exerted by existing carriers on the route was corroborated by the responses to the Commission's market investigation, where the majority of competitors that expressed a view consider that Lufthansa and ITA are closer competitors of each other on the Milan-Hamburg city pair compared to Ryanair.[1017] Moreover, the majority of competitor respondents that expressed a view consider that the Parties compete closely on the route based on a number of criteria (e.g., prices, frequencies, on-board services, time of departure and arrival etc.) and in general.[1018]

1013 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex5.

1014 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P*, Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in a significant impediment to effective competition.

1015 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

1016 Responses to question D.A.17.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

1017 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors.

1018 Responses to questions E.A.3 and E.A.4 of questionnaire 03 to short-haul competitors.

(908) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(909) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, all LIN, MXP, BGY and HAM are Level 3 Coordinated Airports.[1019]

(910) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at LIN ranges between 73% and 98% between 5:00 am and 8:00 pm, whereas at MXP, it ranges between 40% and 85%.[1020]

(911) The average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Milan-Hamburg city pair are as follows: from MXP ranging between 52-72% and from HAM between 0-40% during Summer IATA Season 2023. During Winter IATA Season 2022/2023, average congestion levels from MXP ranged between 38-72% and from HAM between 0-30%.[1021]

(912) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Milan-Hamburg city pair are as follows: from LIN ranging between 74-82% and from HAM between 27-53% during Summer IATA Season 2023.[1022]

(913) The above figures indicate that LIN is significantly slot constrained (including during the time of operation of the Parties), MXP has some slot constraints at peak times, whereas both the latter and HAM have some spare capacity for new entrants and incumbents to grow.

(914) On the Milan end, the results of the Commission's market investigation, strongly support the airlines' preference for LIN and indicate that barriers to entry at the airport are significantly high due to the slot congestion at the specific airport. Despite the fact that the Milan catchment area is served by several airports (i.e., MXP and likely BGY), based on the results of the Commission's market investigation, competitors consider that slots at LIN give a strong competitive advantage to those who operate them, due to its strategic location and proximity to the city centre compared to MXP (see section 6.5.3.6 above, section 11 below, and paragraph (655) *et seq*.). Therefore, the inability of competitors to obtain slots at LIN is considered a significant barrier to entry, despite the availability of slots at MXP. (See section 9.1.4.1 and 9.1.4.2above for more information). In the second place, the Parties' combined slot holding will be significantly high in LIN and high in HAM. In particular, in LIN, the Parties' combined slot holding in 2022 amounted to 62.4-65.4%[1023] whereas in HAM, the Parties' combined slot holding in 2022 amounted to 51%.[1024] In both airports, the Parties' combined slot holdings may in itself be evidence of dominance and therefore could act as a barrier to entry and expansion in the Milan-Frankfurt city. Despite the fact that both the Milan and Hamburg catchment areas are served by several airports, the results of the

1019 List of IATA Coordinated Airports (available at: IATA - Coordinated Airports); and, Form CO, paragraphs 818-819.

1020 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

1021 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

1022 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

1023 Form CO, Figure 56.

1024 Form CO, Figure 58.

Commission's market investigation and internal documents of the Parties support that (i) *"there is a general preference of the majority of passengers to fly from their local airport*"[1025] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54).

(915) In the third place, the Parties' high combined market share on the route Milan-Hamburg city pair is indicative of dominance over the summer seasons and therefore could act as a barrier to entry and expansion in the Milan-Hamburg city pair. (See section 9.1.4.2 above for more information).

(916) *Eighth*, no further, likely, timely and sufficient entry or expansion of competitors is expected on this route. The Commission has analysed the entry plans of all relevant potential competitors which, taken individually and as a whole, do not support that the concentration on the route would be offset by future market entry, or indeed that any market entry would occur at all.

(917) In the first place, TUI Fly confirms that it does not plan on entering the route MIL-HAM. [1026]

(918) In the second place, Wizz Air's potential entry is conditional '[*p*]*ending access to LIN'*, for which '*Wizz Air clarifies that it applied for slots (...) under the normal seasonal procedure as it does every season, however, it has not been able to change the times it already has or to obtain new slots, so such an entry would be conditional on obtaining the necessary slots'*.[1027] Therefore, it appears that Wizz Air would only consider entry if it would gain access to suitable slots in LIN, which it currently cannot do. On this basis Wizz Air's submission is not considered as indicative of a timely, likely or sufficient potential entry.

(919) In the third place, other potential entry and/or expansion plans are subject to the outcome of the Transaction, and thus are not considered as indicative of a timely, likely or sufficient entry.[1028] In other words, the results of the Commission's market investigation are that potential entrants are only considering potential actions on this route. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[1029] (See section 9.1.5 above for more information.) *Ninth*, there is specific evidence showing that the Transaction is likely to result in negative effects.

1025 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

1026 See for example, Response of TUI to a Commission's pre-notification request for information ('RFI 1'), question 6, ID 766.

1027 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 17, ID 861. Additional evidence was made available to the Parties' external legal counsels over the data room process.

1028 Additional evidence was made available to the Parties' external legal counsels over the data room process.

1029 The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

(920) In the first place, while a sizeable share of the respondents indicated that they did not know, the vast majority of competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[1030] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[1031] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.4 for more detailed results).

(921) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(922) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.2.4.4. Conclusion

(923) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very high combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, the lack of prospect of likely, timely and sufficient entry on the route and the specific evidence on the likely negative effects of the Transaction, the Commission concludes that the Transaction would significantly impede effective competition on the route Milan - Hamburg by creating or strengthening a dominant position, in the summer IATA season, under any plausible market definition.

9.2.5. Milan – Stuttgart

9.2.5.1. Market structure

(924) The market structure on the route Milan-Stuttgart in terms of passengers transported point-to-point is set out in Table 37 below.

Table 37: Milan-Stuttgart market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1032]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[LIN-STR]*	1%	<1%	26%	35%	38%	71%
Lufthansa Group *[MXP-STR]*	99%	100%	73%	30%	35%	23%
Parties Combined	**100%**	**100%**	**99%**	**65%**	**73%**	**94%**
Ryanair *[BGY-FKB]*	-	-	1%	34%	26%	6%

1030 Responses to question I.1 of questionnaire 03 to short-haul competitors.

1031 Responses to question H.1.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

1032 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

Airline	S21	W21/22	S22	W22/23	S23	W23/24
Other	-	-	-	1%	<1%	<1%
[LIN-STR]	-	-	-	-	-	<1%
[MXP-STR]	-	-	-	1%	<1%	-
Delta HHI	190	33	3 749	2 113	2 681	3 232
Post HHI	10 000	10 000	9 795	5 414	6 071	8 786
Total Pax City Pair	**7 205**	**12 023**	**34 196**	**42 191**	**79 390**	**19 710**

Source: IATA passenger data, RFI 50 Annex 100

(925) The market structure on the route Milan-Stuttgart in terms of capacity (number of frequencies operated) is set out in Table 38 below.

Table 38: Milan-Stuttgart market shares by capacity (number of frequencies operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[LIN-STR]*	-	-	18%	45%	48%	71%	52%
Lufthansa Group	100%	100%	82%	40%	39%	26%	34%
[LIN-STR]	-	-	<1%	-	<1%	-	-
[MXP-STR]	100%	100%	81%	40%	38%	26%	34%
Parties Combined	**100%**	**100%**	**100%**	**84%**	**87%**	**97%**	**86%**
Ryanair	-	-	<1%	16%	13%	3%	14%
[BGY-FKB]	-	-	<1%	16%	13%	3%	14%
[BGY-STR]	-	-	-	-	-	-	-
Other *[MXP-STR]*	-	-	-	<1%	<1%	-	-
Delta HHI	-	-	*2 929*	*3 539*	*3 702*	*3 642*	*3 537*
Post HHI	*10 000*	*10 000*	*9 912*	*7 344*	*7 668*	*9 345*	*7 604*
Total Seats City Pair	***22 158***	***40 662***	***85 408***	***97 374***	***173 012***	***90 180***	***188 186***

Source : IATA passenger data, RFI 31, Q8.

(926) Considering the Milan-Stuttgart city pair the following plausible alternative geographic market definitions exist based on the catchment areas:

(a) On the Milan end of the route LIN and MXP may belong to one catchment area together with BGY or, alternatively, LIN and MXP may be separate from BGY (See section 6.5.3.6 above).

(b) On the Stuttgart end of the route, STR and FKB may belong to one catchment area or, alternatively, FKB may be considered as a separate market (See section 6.5.3.10 above).

(927) The Commission's assessment above considers the widest plausible market definition, whereby LIN, MXP and BGY on the one hand, and STR together with FKB on the other hand would belong to the same catchment areas, therefore the market shares and concerns outlined above reflect this widest plausible market definition.

(928) However, the assessment above would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (and where the Transaction would still give rise to horizontal overlaps).

(929) The Commission notes that if on the Milan end of the route:

(a) only LIN and MXP were to be considered, the concerns outlined below would not only continue to be relevant under any plausible alternative market definitions on the Stuttgart end of the route, but would be amplified due the removal of Ryanair from the competitive landscape as Ryanair only operates from BGY (i.e., the Transaction would be a merger-to-monopoly under any plausible alternative market definitions on the Stuttgart end of the route where the Transaction would still give rise to horizontal overlaps). In this context, under the narrowest possible market definition, the activities of the Parties would overlap on LIN and MXP on the Milan end of the route, and STR on the Stuttgart end of the route.

(b) if only BGY were to be considered on the Milan end of the route, there would be no need to assess any of the overlaps under any plausible market definition on the Stuttgart end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from BGY). .

(930) The Commission also notes that if on the Stuttgart end of the route:

(a) only STR were to be considered, the concerns outlined below would not only continue to be relevant but would be amplified due to the removal of Ryanair from the competitive landscape (as the latter only operates from FKB), under all plausible market definitions on the Milan end of the route where the Transaction still gives rise to affected markets.

(b) only FKB were to be considered, there would be no need to assess any of the overlaps under any plausible market definition on the Milan end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from FKB).

(931) The Parties' market share would increase under all the plausible narrower market definitions where the Transaction gives rise to horizontal overlaps (i.e., with less airports considered) since Ryanair is not active in those narrower markets.

(932) Table 39 sets out the Parties and their competitor's market shares under the narrowest plausible alternative market definitions where the Transaction gives rise to horizontal overlaps.

Table 39: Milan-Stuttgart market shares for the alternative plausible market definition (LIN/MXP-STR) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1033]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	1%	<1%	26%	54%	52%	76%
Lufthansa Group	99%	100%	74%	45%	48%	24%
Parties Combined	**100%**	**100%**	**100%**	**99%**	**100%**	**100%**
Other	-	-	-	1%	<1%	<1%
Delta HHI	190	33	3 828	4 857	4 962	3 695
Post HHI	10 000	10 000	10 000	9 781	9 938	9 997
Total Pax City Pair	**7 205**	**12 023**	**33 842**	**27 828**	**58 354**	**18 434**

Source: IATA passenger data, RFI 50 Annex 100.

1033 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

9.2.5.2. Lufthansa and MEF's view

(933) Lufthansa and MEF submit that the only airlines serving the route Milan-Stuttgart based on Summer 2023 data are Lufthansa (through Eurowings), ITA and Ryanair, in light of a number of exits from the market in previous years, namely by easyJet, Laudamotion and Air Berlin.[1034] According to Lufthansa and MEF, Ryanair, is a strong competitor in the market, as it managed to gain a significant market share from the beginning of its operations.[1035] Moreover, the Parties also submit that Ryanair expanded its capacity on the route, from 120 overall in Summer IATA 2023 to 154 overall frequencies in Summer IATA 2024.[1036] Furthermore, the Parties consider that they also compete with the *indirect* daily train connection offered by Trenitalia and Deutsche Bahn, of average travel time 7h31min,[1037] and that the attractiveness of this train connection is evident from the eight daily frequencies offered.[1038] In addition, Lufthansa and MEF submit that there are no barriers to entry and/or expansion on the route Milan-Stuttgart either as a result of the Parties' combined slot holdings or average congestion rates in the Milan and Stuttgart airports.

(934) Lufthansa and MEF submit that ITA plans to stop operating the LIN-STR route [details of ITA's future plans].[1039] [Details of ITA's future plans][1040] [details of ITA's future plans],[1041] [details of ITA's future plans].[1042]

(935) Finally, Lufthansa and MEF note that the majority of the competitor respondents to the Commission's market investigation stated that they do not know whether the Transaction will have an impact on competition or that the Transaction would have a neutral impact on the Milan – Stuttgart route.[1043]

9.2.5.3. The Commission's assessment

(936) The Commission will not assess whether the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Milan – Stuttgart, because the Parties sufficiently demonstrated that ITA would exit the route.

(937) In this context, the Parties support their position by demonstrating that [details on ITA's profitability on this route][1044] [details on ITA's profitability on this route].[1045]

(938) Furthermore, the Parties' view was confirmed by ITA's internal documents, and in particular by the ITA Business Plan of [details of ITA's business plan].[1046] More specifically, the Business Plan includes a description of […].[1047]

1034 Form CO, paragraphs 1321-1329.
1035 Form CO, paragraphs 1321-1329.
1036 Response of Lufthansa and MEF to the SO, paragraphs 326-331.
1037 Form CO, paragraphs 1321-1329.
1038 Response of Lufthansa and MEF to the SO, paragraphs 326-331.
1039 Form CO, paragraphs 1321-1329.
1040 Response of Lufthansa and MEF to the SO, paragraphs 326-331.
1041 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 33-36.
1042 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 37, Annex 1 and Annex 2.
1043 Response of Lufthansa and MEF to the SO, paragraph 331.
1044 Response of Lufthansa and MEF to a Commission's request for information (RFI 54), questions 1-4.
1045 Response of Lufthansa and MEF to a Commission's request for information (RFI 54), RFI 54 - ITA Annex Q4 – Confidential.
1046 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), […].

(939) Finally, the Parties confirm that […].

9.2.5.4. Conclusion

(940) For the reasons set out above, and in particular due to ITA's expected exit from the route, the Commission concludes that the Transaction will not result in a significant impediment to effective competition on the Milan – Stuttgart city pair.

9.2.6. Rome – Brussels

9.2.6.1. Market structure

(941) The market structure on the route Rome-Brussels in terms of passengers transported is set out in Table 40 below.

Table 40: Rome-Brussels market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1048]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[FCO-BRU]*	18%	19%	17%	20%	20%	15%
Lufthansa Group *[FCO-BRU]*	22%	21%	29%	31%	36%	25%
Parties Combined	**41%**	**40%**	**46%**	**51%**	**56%**	**41%**
Ryanair	59%	60%	54%	49%	44%	59%
[CIA-BRU]	10%	-	-	-	-	-
[CIA-CRL]	20%	22%	<1%	30%	21%	32%
[FCO-BRU]	29%	36%	33%	19%	24%	28%
[FCO-CRL]	-	1%	21%	-	-	-
Other *[FCO-BRU]*	-	-	-	<1%	<1%	-
Delta HHI	811	811	966	1 258	1 417	778
Post HHI	5 180	5 186	5 039	5 004	5 065	5 171
Total Pax City Pair	**224 586**	**186 631**	**425 439**	**264 787**	**417 403**	**175 812**

Source: IATA passenger data, RFI 50 Annex 100.

(942) The market structure on the route Rome-Brussels in terms of capacity (number of seats operated) is set out in Table 41 below.

Table 41: Rome-Brussels market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways [BRU-FCO]	26%	23%	22%	25%	28%	26%	27%
Lufthansa Group	25%	22%	31%	32%	34%	27%	36%
[BRU-CIA]	-	-	-	-	<1%	-	-
[BRU-FCO]	25%	22%	31%	32%	34%	27%	36%
Parties Combined	**50%**	**45%**	**53%**	**57%**	**62%**	**53%**	**63%**

1047 ITA internal document, titled *[…]*

1048 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
Luxwing Ltd *[CRL-FCO]*	-	-	-	-	-	<1%	-
Ryanair	46%	55%	47%	43%	38%	47%	37%
[BRU-CIA]	8%	-	-	-	-	-	-
[BRU-FCO]	23%	34%	30%	17%	21%	22%	21%
[CIA-CRL]	15%	20%	<1%	26%	17%	24%	17%
[CRL-FCO]	-	<1%	18%	-	-	<1%	-
Other *[BRU-FCO]*	3%	<1%	<1%	-	<1%	<1%	-
Delta HHI	*1 267*	*1 012*	*1 349*	*1 591*	*1 899*	*1 406*	*1 930*
Post HHI	*4 701*	*5 020*	*5 008*	*5 094*	*5 278*	*5 012*	*5 324*
Total Seats City Pair	***319 924***	***279 564***	***545 404***	***322 508***	***543 421***	***413 815***	***555 080***

Source: IATA passenger data, RFI 31, Q8.

(943) On the Rome-Brussels city pair the following plausible alternative geographic market definitions exist based on the catchment areas:

(a) On the Rome end of the route FCO and CIA belong to one catchment area (See section 6.5.3.9 above).

(b) On the Brussels end of the route BRU and CRL may belong to one catchment area or BRU may be considered as a separate market from CRL (See section 6.5.3.2 above).

(944) The Commission's assessment below considers the widest plausible market definition, which includes BRU and CRL on the Brussels end of the route, and FCO and CIA on the Rome end of the route.

(945) However, the assessment below would remain applicable even in case the market would be defined more narrowly encompassing fewer airports (i.e. only BRU or CRL on the Brussels end of the route).

(946) The Commission notes that in case CRL on the Brussels end of the route would be considered a separate geographic market, there would be no need to assess the CRL-Rome routes separately, as there would be no overlap arising because of the activities of the Parties. Therefore, the only alternative plausible overlap concerns the catchment area including only BRU on the Brussels end of the route, which would be the narrowest plausible market definition.

(947) All alternative market definitions (including the narrowest possible one as identified in the previous paragraph) would result in the same outcome: a decrease in Ryanair's presence. Consequently, the concerns outlined in the Commission's assessment below would not only continue to be relevant under the narrowest plausible alternative market definition which limits the relevant market to BRU on the Brussels end of the route, but would be amplified due to the decrease in Ryanair's presence in the competitive landscape, the increased market shares of Lufthansa and ITA and the same or increased barriers to entry and expansion.

(948) The Table below, sets out the Parties and their competitors' market shares under the narrowest alternative possible market definition.

Table 42: Rome-Brussels market shares for the alternative plausible market definitions (FCO/CIA-BRU) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1049]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	22%	25%	21%	29%	25%	22%
Lufthansa Group	28%	28%	37%	45%	45%	37%
Parties Combined	**50%**	**53%**	**58%**	**73%**	**70%**	**60%**
Ryanair	50%	47%	42%	27%	30%	40%
Other	-	-	-	<1%	<1%	-
Delta HHI	1 257	1 380	1 562	2 562	2 246	1 664
Post HHI	5 000	5 014	5 127	6 091	5 811	5 183
Total Pax City Pair	**180 394**	**143 090**	**334 533**	**185 539**	**331 549**	**120 246**

Source: IATA passenger data, RFI 50 Annex 100.

9.2.6.2. Lufthansa and MEF's view

(949) Lufthansa and MEF submit that the main airlines serving the route Rome-Brussels based on Summer 2023 data are Lufthansa (through Brussels Airlines), ITA and Ryanair. According to the Parties, Ryanair is the market leader on the route, holding market shares above 50% in the last two IATA seasons. Lufthansa and MEF further elaborate that Ryanair has bases in FCO, CIA and CRL and although it closed its base in BRU due to a regulatory fee's increase, it continues to serve this airport with aircrafts based outside Belgium. Moreover, the Parties submit that the merged entity will be constrained by potential entrants such as Vueling, who would not face any slot restriction at either side of the route that could prevent them from entering.[1050] Lufthansa and MEF further emphasize that Ryanair exerts a high competitive constraint on Lufthansa and ITA on this route, while Vueling, Transavia and Wizz Air may enter the route. The Parties also highlight that barriers to entry on this route are limited in terms of slot congestion in BRU and airport charges in BRU.[1051] In their Response to the SO, the Parties further argue that the Commission fails to take into account the competitive dynamics, in particular the competitive pressure exerted by Ryanair. The Parties consider that their market shares are "*moderately high*" and refer to Ryanair as a leading player, and the closest competitor of the Parties. The Parties also note that in their view any alleged frequency advantage over Ryanair cannot be a concern on this route. The Parties also note that the Commission's concerns are not in line with its previous case practice. The Parties also argue that the Commission should consider potential future entries on this route and a different interpretation of the results of the market investigations (one that takes "*I do not know*" or lack of responses into account). The Parties also argue that in the market investigation two responses regarding the Rome-Brussels route have been redacted without providing a sufficient non-confidential description of the content.[1052]

1049 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023. This table therefore does not include 4 months of passenger data for Winter 2023/2024 (between December 2023 and March 2024).

1050 Form CO, paragraphs 1311-1320.

1051 Response to the Article 6(1)(c) decision, paragraphs 147.

1052 Response to the SO, paragraphs 332-339. For the Commission's response on the Parties arguments regarding the non-confidential descriptions, see footnote 1064 below.

9.2.6.3. The Commission's assessment

(950) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Rome – Brussels and, in any event as a result of the elimination of important competitive constraints that ITA had exerted on Lufthansa on the route Rome-Brussels.

(951) *First*, the Transaction would lead to the Parties holding a very large combined market share on the route. As set out in Table 40, the Parties' combined market share by number of passengers travelled is very large or at least large and ranges from 40-56% between Summer IATA Season 2021 and Winter IATA Season 2023/2024. Overall, these market shares indicate that the Parties would have notable market power after the Transaction.[1053] The increment brought by the Transaction is also large, at 16-20%.

(952) Moreover, based on the market share data in Table 41 the Parties' combined market share by capacity (number of seats) is higher, and ranges from 45 to 62% between Summer IATA Season 2021 and Winter IATA Season 2023/2024. The increment brought by the Transaction is also large or particularly large, ranging between 22-34%.

(953) *Second*, the increment brought about by the Transaction from ITA would be large at 16% to 20% (by passenger) in the last five IATA seasons. This corresponds to a high increase in the HHI of between 811 and 1 417, in line with the Commission's Horizontal Merger Guidelines.[1054]

(954) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 5 000 in each of the last five IATA seasons (with an increment of at least 811) based on PAX number. The high combined market share of the Parties, the large increment brought by the transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position.

(955) *Fourth*, even when looking into the widest possible market definition, the Transaction constitutes a 3-to-2 merger for non-stop flights. In addition to the Parties, only Ryanair operates the Rome-Brussels city pair, and held a market share of 44% in the Summer IATA Season 2023 and 57% in the Winter IATA Season 2023/2024 based on the number of passengers. Ryanair's market share is similar or lower (depending on the IATA Season) based on capacity, ranging between 47% and 37% between Winter IATA Season 2023/2024 and Summer IATA Season 2024. Ryanair operated the Rome-Brussels city pair from CIA to CRL and FCO to BRU.

(956) In this context, the Commission notes that, post-Transaction the Parties will become on both IATA Seasons the largest operator on the Rome-Brussels city pair in terms of capacity operated and, holding a significant market share on both IATA Seasons, in terms of passengers, with Ryanair being the Parties' only active competitor.

1053 Horizontal Merger Guidelines, paragraph 17. Response to the SO, paragraphs 333.

1054 According to paragraph 20 of its Horizontal Merger Guidelines, "*The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances*" arise.

(957) *Fifth*, the constraint from the remaining competitors on the route (i.e. Ryanair) is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of Ryanair is unlikely to be sufficient to constrain the Parties post-Transaction.

(958) In the first place, prior to the Transaction, in addition to Lufthansa and ITA, only Ryanair operates on the market with market shares between 44% and 60% for the latest five seasons.

(959) In the second place, even though the Parties would continue to face competition from Ryanair post-Transaction, the Transaction would lead to the elimination of an important competitive constraint, in the form of ITA, an airline that managed to capture approximately 20% of the market with less than 3 years of operation and has competed closely with Lufthansa on the route in the past. The Commission notes, that contrary to the Parties Response to the SO, while Ryanair is relevant for the assessment of the competitive dynamics on the Rome-Brussels route, ITA remains an important competitive constraint of Lufthansa on this route based on the Commission's assessment.[1055]

(960) Notably, LCC/ULCC carriers such as Ryanair tend to operate lower frequencies compared to network carriers such as Lufthansa or ITA, which in turn means that Ryanair is present on the market with lower capacities (fewer planes flying fewer trips) and less choice for customers (fewer planes flying fewer times a day). According to a Parties' submission and based on Summer IATA 2024 data, for the summer seasons, the Parties would, post-Transaction, operate 32 weekly frequencies (18 operated by Lufthansa and 14 operated by ITA) as compared to the 17 weekly frequencies of Ryanair.[1056] Similarly based on Winter IATA 2023/2024 data, for the winter seasons, the Parties would, post-Transaction, operate 30 weekly frequencies (15 operated by Lufthansa and 15 operated by ITA) as compared to the 24 weekly frequencies of Ryanair.[1057] The Commission takes the view that contrary to the Parties argument, which considers that this frequency advantage cannot be a "*meaningful concern*", the additional frequencies operated by the Parties render it more likely that customers find a flight-time which fits their travel plans and purposes, which gives Lufthansa and ITA a clear advantage over Ryanair.[1058]

(961) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA not only compete closely on this route but, they are each other's closest competitor.[1059]

(962) In the first place, ITA and Lufthansa (Brussels Airlines) are both network carriers operating similar business models and attracting similar types of passengers, whereas Ryanair is an ULCC, operating a P2P business model and focused on leisure travel. The Commission's assessment with respect to the competitive pressure exerted by

---

1055 Response to the SO, paragraphs 332.

1056 Contrary to paragraph 335 of the Response to the SO, the Parties will have significantly higher frequencies post-Transaction compared to that of their sole competitor Ryanair, which, in turn, results in a frequency advantage.

1057 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q5.

1058 Response to the SO, paragraphs 335.

1059 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P*, Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in a significant impediment to effective competition.

existing carriers on the route was partly corroborated by the responses to the Commission's market investigation, where the majority of competitors that expressed a view consider that ITA's closest competitor is Lufthansa on the Rome-Brussels city pair. When asked about the closest competitor of Lufthansa, a slight majority (one respondent) of the respondents expressing a view considered Ryanair as Lufthansa's closest competitor compared to ITA.[1060] In contrast to the Parties' view,[1061] the Commission, considering the remaining elements that render Lufthansa and ITA's offering as competing closely[1062] does not consider that the slight majority (by difference of one respondent) that considers Ryanair to be Lufthansa's closest competitor on the route to be sufficient to put in question its conclusion that Lufthansa and ITA are each other's closest competitors on the Rome-Brussels city pairs. (See section 9.1.2.1 above for more information.)[1063]

(963) In the second place, ITA and Lufthansa (Brussels Airlines) operate the Rome-Brussels city pair from the same airports in Rome (i.e., both Brussels Airlines and ITA operate from FCO) and Brussels (both operate from BRU) whereas Ryanair operates the Rome-Brussels city pair through two different airports in Rome (i.e., CIA and FCO) and two different airports in Brussels (i.e. BRU and CRL).

(964) The Commission also notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time considering FCO and BRU (Ryanair, ITA and Lufthansa present) is around 2 hours 52-57 minutes. In contrast the overall travel time is approximately 3 hours and 20 minutes when considering CIA and CRL (Ryanair present). This shows that Lufthansa and ITA compete closely with each other considering the shorter travel times than they do with Ryanair (which has a significant portion of its activities between Rome and Brussels focused on CRL, where passengers must consider the longer travel times as shown in this paragraph).[1064]

(965) In the third place, the Commission's market investigation supports the view that airlines operating a city pair from neighbouring airports do not compete as closely with airlines operating the same city pair from the same airports. For instance,

---

1060 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors. Response to the SO, paragraphs 334.

1061 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 16-19.

1062 In any event, the Commission's market investigation has shown that Lufthansa and ITA are close competitors. (See European Commission v. CK Telecoms UK Investments Ltd, Case C-376/20 P, dated 13 July 2023 (ECJ Judgment), where the ECJ ruled that the Commission is not required to conclude that the merging parties are "*particularly close*" competitors. Instead, the ECJ held that mergers between competitors that are not "particularly close" can result in a significant impediment to effective competition.)

1063 Regarding the Parties argument in paragraph 334 of the Response to the SO, notably that two market investigation responses have been redacted without providing a sufficient description of the non-confidential content, the Commission notes the following: The Commission understand that the Parties are referring to the responses of EasyJet and TAP Air Portugal. EasyJet has not submitted a response to the questions indicated by the Parties other than an explanation that they are not active on the routes of concern. Regarding the response of TAP Air Portugal, the Commission notes that it takes note of all responses when conducting its assessment of the market test results, moreover that including the response of TAP Air Portugal together with the non-confidential responses would not change the Commission's assessment above.

1064 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

specifically with regards to BRU and CLR, "*Ryanair considers BRU and CRL as slightly different markets and not entirely substitutable, given that traffic at BRU is associated to a larger extent with business customers and long-haul connections, however there is likely some degree of convergence of demand between the airports*'.[1065] Moreover, showing a more straightforward view on the demand side, compared to that of the supply side mentioned above the vast majority of customers that expressed a view in the Commission's market investigation believe that the closest alternative of Lufthansa's offering on the Rome-Brussels route is ITA's offering, and not that of Ryanair.[1066] (See section 9.1.2.1 above for more information.) While in the case of Rome the Commission takes the view that FCO and CIA belong to the same market, easyJet explained that "*FCO is a more attractive airport than CIA because: (i) CIA is congested because of the Italian government's decision to decrease passenger traffic due to noise pollution concerns (which could lead to the closure of the airport at some point) and Ryanair's well-established base; and, (ii) FCO is better connected to Rome's city centre, through train (30 min ride to city centre) and bus (50 min ride to city centre) compared to CIA which is only connected through bus (40 min ride to city centre)*".[1067]

(966) Moreover, the Commission notes that it does not contest that Lufthansa and ITA compete with Ryanair on this route and that Ryanair exerts a competitive constraint on Lufthansa and ITA. However, the Commission maintains the view that Lufthansa and ITA compete more closely, and that the competitive constraint exerted by ITA is as high or higher than that exerted by Ryanair on this route. In particular, the Commission considers that Ryanair competes less closely with Lufthansa compared to ITA, due to its multiple airports of operation, (ultra) low-cost business model and other factors, which in turn render ITA's competitive constraint on Lufthansa higher than the constraint exerted by Ryanair, or at least high, regardless of its lower market share.[1068] For more details on the Commissions' closeness of competition assessment please see 9.1.2. The route-specific considerations are listed above.

(967) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(968) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, from the Rome end, FCO and CIA are Level 3 Coordinated Airports, whereas from the Brussels end, BRU is also a Level 3 Coordinated Airport (i.e., demand significantly exceeds the airports' capability), whereas CRL is Level 1 Non-Coordinated Airport.[1069]

1065 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 12, ID 2367.

1066 Responses to question D.A.15.3 of questionnaire 06 to customers of both short-haul and long-haul flights.

1067 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 9, ID 1054.

1068 Contrary to the Parties Response to the SO, paragraphs 334.

1069 List of IATA Coordinated Airports (available at: https://www.iata.org/en/programs/ops-infra/slots/coordinated-airports/#:~:text=Level%202,day%2C%20week%2C%20or%20season.), accessed on 13 March 2024; and, Form CO, paragraphs 818-819.

(969) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at FCO ranges between 1% and 74% between 5:00 am and 8:00 pm, at CIA between 1% and 63% and at BRU, it ranges up to 64%.[1070]

(970) The average congestion level per hour band for the scheduled weekly flights of Lufthansa (Brussels Airlines) on the Rome-Brussels city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 17-74%, and from BRU between 19-43%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Lufthansa (Brussels Airlines) on the Rome-Brussels city pair are as follows: from FCO ranging between 29-40%, and from BRU between 18-47%.[1071]

(971) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Rome-Brussels city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 58-68% and from BRU between 19-43%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of ITA on the Rome-Brussels city pair are as follows: from FCO ranging between 29-40% and from BRU between 36-37%.[1072]

(972) Market participants such as Ryanair suggest that Rome (and in particular FCO) is congested during certain peak hours, whereas BRU is not congested.[1073] However, "[o]*n the congestion levels in BRU*, *Transavia notes that, although the airport is not congested at all its operational hours, slots are not widely available during peak hours (i.e., early morning and late evening hours). According to Transavia, it is important for low-cost-carriers to ensure high utilization and maximisation of the use of an aircraft. Ideally, this would mean scheduling flights with early morning departure, quick turnarounds and evening arrivals. However, this is not easy to achieve in BRU'*.[1074]

(973) In the second place, the Parties' combined market share on the route and combined slot holding in FCO and in BRU will be significantly high, and may act as a barrier to entry and expansion.[1075] Despite the fact that the Brussels catchment area is potentially served by two airports, the results of the Commission's market investigation and internal documents of the Parties support that (i) "*there is a general preference of the majority of passengers to fly from their local airport*"[1076] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both

---

1070 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

1071 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

1072 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

1073 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 16, ID 2367.

1074 Non-confidential minutes of a conference call with Air France KLM, dated 16 October 2023, paragraph 29, ID 10199.

1075 See for example responses to question E.C.1 of questionnaire 03 to short-haul competitors where Ryanair notes that *'*[post-Transaction it would be] *very difficult to compete with the scale of operations on the route that Lufthansa and ITA merged would be able to provide especially with a combined loyalty program'.*

1076 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54).

(974) *Eighth*, at this stage of the investigation, based on the available evidence, the Commission is not able to conclude that Lufthansa's and MEF's allegations as regards potential competitive constraints (potential entrants such as Vueling – as noted by the Parties)[1077] would be sufficient to counter the likely negative effects of the Transaction on the Rome-Brussels city pair. This is because, the Commission's market investigation did not confirm or introduce evidence that would allow the Commission to conclude that there is timely, likely or sufficient potential entry or expansion in the Rome-Brussels city pair, post-Transaction.[1078] In other words, the results of the Commission's market investigation are that potential entrants are only considering potential actions on this route. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[1079] (See section 9.1.5 above for more information.)

(975) *Ninth*, there is specific evidence showing that the Transaction is likely to result in negative effects.

(976) In the first place, while a sizeable share of the respondents indicated that they did not know, the majority of the competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[1080] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[1081] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.3 for more detailed results).

(977) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(978) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

1077 Form Co, paragraph 1319.

1078 See for example responses to question E.C.1 of questionnaire 03 to short-haul competitors. While certain airlines do not exclude a potential entry, the Commission could not confirm that these plans are likely, timely and sufficient. Additional evidence was made available to the Parties' external legal counsels over the data room process.

1079 Contrary to the Response of Lufthansa and MEF to the SO, paragraphs 337-338. The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

1080 Responses to question I.1 of questionnaire 03 to short-haul competitors. In response to paragraph 339 of the Response to the SO, the Commission notes that it cannot consider "*I do not know*" responses (or a lack of response) as either positive or negative, as these responses are not indicative of either of these views.

1081 Responses to question H.1.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

9.2.6.4. Conclusion

(979) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very large or at least large combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and the lack of prospect of likely, timely and sufficient entry on the route, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position in both the Winter and Summer IATA Seasons, under any plausible market definition on the route Rome-Brussels by removing the competition exerted by ITA on the market. In any event, and for these same reasons, the Commission concludes that the Transaction would significantly impede effective competition as a result of the elimination of important competitive constraints that ITA had exerted on Lufthansa on the route Rome-Brussels.

9.2.7. Rome – Frankfurt

9.2.7.1. Market structure

(980) The market structure on the route Rome-Frankfurt in terms of passengers transported is set out Table 43 below.

Table 43: Rome-Frankfurt market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1082]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[FCO-FRA]*	17%	13%	3%	2%	19%	12%
Lufthansa Group *[FCO-FRA]*	83%	54%	79%	72%	81%	70%
Parties Combined	**100%**	**66%**	**82%**	**74%**	**100%**	**82%**
Ryanair	<1%	32%	18%	26%	<1%	18%
[CIA-HHN]	<1%	32%	18%	-	-	-
[FCO-HHN]	-	-	<1%	26%	<1%	18%
Other *[FCO-FRA]*	<1%	2%	<1%	-	<1%	<1%
Delta HHI	2 775	1 347	509	257	3 067	1 669
Post HHI	9 914	5 416	7 016	6 105	9 962	7 046
Total Pax City Pair	**75 107**	**81 869**	**179 382**	**93 983**	**177 774**	**66 003**

Source: IATA passenger data, RFI 50 Annex 100.

(981) The market structure on the route Rome-Frankfurt in terms of capacity (number of seats operated) is set out in Table 44 below.

[1082] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

Table 44: Rome-Frankfurt market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[FCO-FRA]*	14%	11%	2%	<1%	15%	18%	25%
Lufthansa Group *[FCO-FRA]*	83%	74%	90%	87%	85%	76%	71%
Parties Combined	**98%**	**86%**	**92%**	**87%**	**100%**	**93%**	**95%**
Nyxair *[FCO-HHN]*	-	-	<1%	-	-	-	-
Ryanair	<1%	13%	8%	12%	<1%	7%	5%
[CIA-HHN]	<1%	13%	8%	-	-	-	-
[FCO-HHN]	-	-	<1%	12%	<1%	7%	5%
Other *[FCO-FRA]*	2%	1%	<1%	<1%	<1%	<1%	-
Delta HHI	*2 393*	*1 679*	*339*	*28*	*2 544*	*2 705*	*3 502*
Post HHI	*9 551*	*7 517*	*8 547*	*7 802*	*9 974*	*8 779*	*9 115*
Total Seats City Pair	***266 459***	***223 514***	***456 067***	***215 766***	***475 848***	***296 540***	***553 862***

Source : IATA passenger data, RFI 31, Q8.

(982) On the Rome-Frankfurt city pair the following plausible alternative geographic market definitions exist based on the catchment areas:

(a) On the Rome end of the route FCO and CIA belong to one catchment area (See section 6.5.3.9 above).

(b) On the Frankfurt end of the route FRA and HHN may belong to one catchment area or HHN may be considered as a separate market from FRA (See section 6.5.3.4 above).

(983) The Commission's assessment below considers the widest plausible market definition, which includes FRA and HHN on the Frankfurt end of the route and FCO and CIA on the Rome end of the route.

(984) However, the assessment below would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (i.e. only FRA or HHN on the Frankfurt end of the route).

(985) The Commission notes that in case HHN on the Frankfurt end of the route would be considered a separate geographic market, there would be no need to assess the HHN-Rome route separately, as there would be no overlap arising because of the activities of the Parties. Therefore, the only alternative plausible overlap concerns the catchment area including only FRA on the Frankfurt end of the route.

(986) This alternative possible market definition (which would be the narrowest plausible market definition), would result in the removal of Ryanair from the competitive landscape. Consequently, the concerns outlined in the Commission's assessment below would not only continue to be relevant under any plausible alternative market definition which limits the relevant market to FRA on the Frankfurt end of the route, but would be amplified due to the removal of Ryanair from the competitive landscape (i.e., the Transaction would be a merger-to-monopoly), the increased market shares of Lufthansa and ITA and the same or increased barriers to entry and expansion.

(987) Table 45 below, sets out the Parties and their competitor's market shares under the narrowest alternative possible market definition.

Table 45: Rome-Frankfurt market shares for the alternative plausible market definition (ROM/CIA-FRA) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1083]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	17%	18%	4%	2%	19%	15%
Lufthansa Group	83%	79%	96%	98%	81%	85%
Parties Combined	**100%**	**97%**	**100%**	**100%**	**100%**	**100%**
Other	<1%	3%	<1%	-	<1%	<1%
Delta HHI	2 799	2 908	757	476	3 078	2 482
Post HHI	10 000	9 489	9 951	10 000	9 999	9 996
Total Pax City Pair	**74 785**	**55 729**	**147 107**	**69 086**	**177 444**	**54 125**

Source: IATA passenger data, RFI 50 Annex 100.

(988) On this basis, the concerns outlined above would not only continue to be relevant under any plausible alternative market definitions but would be amplified due to the reduced presence (absence) of Ryanair, the increased market shares of Lufthansa and ITA and the increased barriers to entry and expansion arising from the reduction of the number of airports included in the market.

9.2.7.2. Lufthansa and MEF's view

(989) Lufthansa and MEF submit that Ryanair, ITA and Lufthansa (under the Lufthansa brand) were the main airlines operating the route Rome-Frankfurt in Summer and Winter 2022 IATA seasons. According to the Parties, the merged entity will face strong competition from Ryanair which has the ability and the incentive to further expand even though it did not operate the route Rome-Frankfurt in Summer 2023 (but will resume its operations in the Winter 2023 IATA season) and decided to close its base at FRA due to charges' increase. They further elaborate that the merged entity will be constrained by potential entry of airlines such as Wizz Air, Vueling or easyJet, which would not face slot restrictions that could prevent them from entering the route.[1084] The Parties further highlight that ITA's increment on this route is low, while Ryanair is active on the route and constrains Lufthansa and ITA significantly. The Parties also emphasize that new entrants may enter the route and that new constructions at FRA may alleviate barriers to entry.[1085] In the Response to the SO, the Parties highlighted that Ryanair must be considered as a well-established, constant and relevant competitor on this route as it has restarted its operations following the "*pause*" of the Summer IATA Season 2023. The Parties also emphasize that Ryanair's market share on this route is above ITA's and that during the market investigation several competitors have indicated that Ryanair is one of the closest competitors of Lufthansa and ITA on this route. The Parties also refer to the fact that Ryanair has increased its capacities on the route, moreover, they claim that the route is attractive for airlines such as Wizz Air and Vueling, which have a base in FCO. The Parties also explain that barriers to entry are limited in light of the construction of a new terminal in FRA. The Parties also argue that the Commission

1083 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

1084 Form CO, paragraphs 1291-1297.

1085 Response to the Article 6(1)(c) decision, paragraph 133-137.

should consider potential future entries on this route and a different interpretation of the results of the market investigations (one that takes "*I do not know*" or lack of responses into account).[1086]

9.2.7.3. The Commission's assessment

(990) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Rome – Frankfurt.

(991) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 43 below, the Parties' combined market share by number of passengers travelled is very high and ranges from 66-100% between Winter IATA Season 2021 and Winter IATA Season 2023/2024. The increment brought by the Transaction is also sizeable or large, reaching up to 19%. These market shares indicate that the Parties would hold a dominant position after the Transaction.

(992) Moreover, based on the market share data in Table 44, the Parties' combined market share by capacity (number of seats operated) is even higher, ranging between 86% and 100% in Summer IATA Season 2021 and Winter IATA Season 2023/2024. The increment brought by the Transaction is sizeable or large in most years and also the last two seasons, reaching up to15% starting with Summer IATA Season 2023. The Commission highlights that with the exception of Summer IATA Season 2022 and Winter IATA Season 2022/03, the market share increment was significant and generally show a growth tendency, therefore the Commission cannot conclude that the market share increment appears to be limited.

(993) Under both indications, the Parties' combined market shares could be indicative of a dominant position.

(994) *Second*, the increment brought about by the Transaction from ITA would be large at 2% to 19% (by passenger) in the last five IATA seasons. This corresponds to a high increase in the HHI of up to 3 067 in line with the Commission's Horizontal Merger Guidelines.[1087]

(995) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 5 000 in each of the last five IATA seasons (with an increment of at least 257) based on PAX number. Furthermore, even when looking into the widest possible market definition, the Transaction constitutes a 3-to-2 merger for non-stop flights. The high combined market share of the Parties, the large increment brought by the transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position.

(996) *Fourth*, even when looking into the widest possible market definition (i.e., one which includes FCO and CIA on the Rome end of the route, and FRA and HHN on the

1086 Response to the SO, paragraphs 258, 340-343.

1087 According to paragraph 20 of its Horizontal Merger Guidelines, "*The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances*" arise.

Frankfurt end), the Transaction constitutes a 3-to-2 merger for non-stop flights.[1088] In addition to the Parties, Ryanair is the only competitor active on the route and held a market share of 16 and % in the Winter IATA Season 2023/2024 and <1% in the Summer IATA Season 2023. In terms of capacity (number of seats), Ryanair's market share is significantly lower, as it held 7% in Winter 2023/2024 IATA Season and will only hold a market share of 5% in the Summer IATA Season 2024. Moreover, Ryanair suspended its operations during an entire IATA Season in Summer 2023.

(997) In this context, the Commission notes that, post-Transaction, the Parties will become by far the largest operator on the Rome-Frankfurt route, holding a very large market share in terms of both passengers and capacity operated, with Ryanair being the Parties' only currently active competitor. While Ryanair is a competitor relevant for the Commission's competitive assessment, its capacity is very limited compared to that of the Parties, and moreover, it has a history of suspending operations on this route as explained above in paragraph (993).[1089]

(998) The Commission notes that even if Ryanair's activities would remain stable or show a growth tendency (which the Commission could not confirm during its market investigation), the competitive constraint exerted by Ryanair would remain limited, due to the relatively low market shares, the fact that Ryanair is a less close competitor of the Parties than they are to each other (see section 9.1.2), and the particularly high distance and limited connectivity between Frankfurt and HHN compared to Frankfurt and FRA (see more details in sections 9.1.2 and 6.5 above).

(999) *Fifth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of Ryanair is unlikely to be sufficient to constrain the Parties post-Transaction.

(1000) In the first place, prior to the Transaction, in addition to Lufthansa and ITA, only Ryanair operates on the market with market shares between <1% and 32% for the latest five seasons.

(1001) In the second place, even though the Parties would continue to face competition from Ryanair post-Transaction, the Transaction would lead to the elimination of an important competitive constraint, in the form of ITA, an airline that managed to capture approximately 15-20% of the market with less than 3 years of operation and has competed closely with Lufthansa on the route in the past.

(1002) In the third place, the Parties would hold a significant frequency advantage over the only other direct competitor on the route, Ryanair. According to a Parties' submission and based on Summer IATA 2024 data, for the summer seasons, the Parties would, post-Transaction, operate 46 weekly frequencies (34 operated by Lufthansa and 12 operated by ITA) as compared to the 2 weekly frequencies of Ryanair. Similarly based on Winter IATA 2023/2024 data, for the winter seasons, the Parties would, post-Transaction, operate 35 weekly frequencies (28 operated by

[1088] As indicated in section 9.2.1.1, under all alternative possible market definitions where the activities of the Parties would still overlap on the route Rome – Frankfurt, Ryanair would be removed from the competitive landscape and therefore the Transaction would result to a monopoly.

[1089] Response to the SO, paragraph 340.

Lufthansa and 7 operated by ITA) as compared to the 2 weekly frequencies of Ryanair.[1090]

(1003) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA not only compete closely on this route but, they are each other's closest competitor.[1091]

(1004) In the first place, ITA and Lufthansa (Lufthansa Passenger Airlines) are both network carriers operating similar business models and attracting similar types of passengers, whereas Ryanair is an ULCC operating a P2P business model focused on leisure travel. The Commission's assessment with respect to the competitive pressure exerted by existing carriers on the route was corroborated by the responses to the Commission's market investigation, where, while some competitors noted Ryanair as the closest competitor, the majority of competitors that expressed a view consider that Lufthansa and ITA are closer competitors to each other on the Rome-Frankfurt city pair compared to Ryanair.[1092] (See section 9.1.2.1 above for more information).

(1005) In the second place, ITA and Lufthansa operate the Rome-Frankfurt route from the same airports in Rome (FCO) and Frankfurt (FRA), whereas Ryanair operates this route on the Frankfurt side exclusively at HHN (until Summer 2022 IATA Season, Ryanair operated the route CIA-HHN, and moved its operations to FCO-HHN in both Winter 2022/2023 and 2023/2024 IATA Seasons). In this context, the Commission's market investigation supports the view that airlines operating a city pair from neighbouring airports do not compete as closely with airlines operating the same city pair from the same airports.

(1006) For example, Air France-KLM explains that "*Frankfurt Hahn is closer to Luxembourg than Frankfurt (situated 1h35 min by car from [F]rankfurt center). It has no facility to operate large traffic flows. It has around 2.5m pax per year for the moment in comparison to close to 70m for FRA. Only Wizz and Ryanair are operating from HHN on a very low frequency basis and to leisure destinations only. Hahn is only reachable by Bus in 2hours from Frankfurt city. Frankfurt airport is located close to the city and also reachable easily from Mainz/Wiesbaden and Darmstadt which are the four main cities to contribute locally. HAHN cannot play that role. FRA [M]ain airport operates a state of the art train station with hundreds of high-speed and regional train per day connecting FRA [A]irport to rest of Germany, It is one of the main station for Deutsche Bahn.(…)*".[1093] While in the case of Rome the difference between FCO and CIA is less clear cut, nevertheless easyJet explained that FCO may be more attractive for airlines compared to CIA (See paragraph (962) above).[1094]

1090 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q5.

1091 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P*, Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in a significant impediment to effective competition.

1092 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors. Response to the SO, paragraph 340.

1093 Response of Air France-KLM to question C.A.6.2 of questionnaire 03 to short-haul competitors, ID 12093

1094 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 9, ID 1054.

(1007) Lastly, the Commission notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time considering FCO and FRA (ITA and Lufthansa present) is around 2 hours. 31-41 minutes. In contrast the overall travel time is approx. 3 hours and 41 minutes when considering FCO and HHN (Ryanair present). This shows that Lufthansa and ITA compete closely with each other considering the shorter travel times than they do with Ryanair.[1095]

(1008) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(1009) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, from the Rome end, all FCO and CIA are Level 3 Coordinated Airports, whereas from the Frankfurt end, FRA is Level 3 Coordinated Airport and HHN is a Level 1 Non-Coordinated Airport.[1096]

(1010) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at FCO ranges between 1% and 74% between 5:00 am and 8:00 pm, at CIA between 1% and 63% and at FRA and HHN, it ranges namely between 21% and 79%, 54% and 102%, and 54% and 102%.[1097]

(1011) The average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Rome-Frankfurt city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 44-74%, and from FRA up to 89%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Rome-Frankfurt city pair are as follows: from FCO ranging between 36-44%, and from BRU between 41-55%.[1098]

(1012) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Rome-Frankfurt city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 53-68% and from FRA between 87-102%. ITA did not provide the relevant information for Winter IATA Season 2022/2023.[1099]

(1013) Market participants such as Ryanair suggest that Rome (and in particular FCO) is congested during certain peak hours.[1100] However, on the Frankfurt end, Ryanair confirms that "*FRA is generally not slot congested (apart from some peak hours1 where it is slightly congested)* (See section 9.1.4 above for more information).

(1014) For further details on the level of congestion at FRA please see Section 9.1.4.2 above.

1095 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1096 List of IATA Coordinated Airports (available at: IATA – Coordinated Airports); and, Form CO, paragraphs 818-819 and 1297.

1097 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

1098 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

1099 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

1100 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 16, ID 2367.

(1015) In the second place, although the Parties' combined slot holding will not be significant in FCO (i.e., 25.5% in 2022), it will be high and indicative of market power in FRA (i.e., 62.4-65.4% in 2022).[1101] As a result, the Parties' combined slot holding in FRA could act as a barrier to entry and expansion in the Rome-Frankfurt city pair (See section 9.1.4.2 above for more information).

(1016) In the third place, the Parties' high combined market share on the route Rome-Frankfurt is indicative of market power and therefore could act as a barrier to entry and expansion.

(1017) Despite the fact that the Frankfurt catchment area is potentially served by two airports, the results of the Commission's market investigation and internal documents of the Parties support that (i) "*there is a general preference of the majority of passengers to fly from their local airport*"[1102] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54).

(1018) In the fourth place, airport charges in FRA are high and could act as a barrier to entry and expansion. For instance, public sources indicate that Ryanair's exit from FRA was linked to the airport management's decision to increase its airport charges, which suggests that airport costs could act as barriers to entry and expand on the route.[1103] (See section 9.1.4.4 above for more information). The Commission notes that FRA is currently expanding.[1104] However, the Commission notes that it has not received any information or statement from market participants suggesting that (i) they would consider entry on this route due to the expansion of FRA, (ii) they would consider that all barriers (including charges, the behaviour of other airlines etc.) would be necessarily alleviated or fully negated by the expansion of the capacity of FRA, or that (iii) any of the considerations outlined above by the Commission would be significantly affected as a result of this construction project. Therefore, the Commission could not confirm the Parties' statements that new entrants may enter the route due to the new constructions at FRA and in general that new constructions at FRA may alleviate barriers to entry.

(1019) *Eighth*, at this stage of the investigation, based on the available evidence, the Commission is not able to conclude that Lufthansa's and MEF's allegations as regards potential competitive constraints (potential entrants such as Vueling, Wizz Air and easyJet – as noted by the Parties)[1105] would be sufficient to counter the likely negative effects of the Transaction on the Rome-Brussels city pair. This is because, the Commission's market investigation did not confirm or introduce evidence that would allow the Commission to conclude that there is timely, likely or sufficient potential entry or expansion in the Rome-Brussels city pair, post-Transaction. In other words, the results of the Commission's market investigation are that potential

1101 Form CO, Figure 58.

1102 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

1103 "*Ryanair Closes Frankfurt Am Main Base*", Ryanair, 31 March 2022 (available at: https://corporate.ryanair.com/news/ryanair-closes-frankfurt-am-main-base/#:~:text=%E2%80%9CWe%20are%20disappointed%20to%20announce,by%20the%20Covid%2D19%20pandemic).

1104 See https://terminal3.frankfurt-airport.com/en/, accessed on 06 March 2023.

1105 Form Co, paragraph 1296.

entrants are only considering potential actions on this route. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[1106] (See section 9.1.5 above for more information.)[1107]

(1020) *Ninth,* there is specific evidence showing that the Transaction is likely to result in negative effects.

(1021) In the first place, while a sizeable share of the respondents indicated that they did not know, the majority of the competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[1108] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[1109] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.3 for more detailed results).

(1022) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(1023) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.2.7.4. Conclusion

(1024) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very high combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and the lack of prospect of likely, timely and sufficient entry on the route, the Commission concludes that the Transaction would significantly impede effective competition on the route Rome – Frankfurt by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

1106 Response to the SO, paragraph 341. The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

1107 See for example responses to question E.C.1 of questionnaire 03 to short-haul competitors. While certain airlines do not exclude a potential entry, the Commission could not confirm that these plans are likely, timely and sufficient. Additional evidence was made available to the Parties' external legal counsels over the data room process.

1108 Responses to question I.1 of questionnaire 03 to short-haul competitors. In response to paragraph 343 of the Response to the SO, the Commission notes that it cannot consider "*I do not know*" responses (or a lack of response) as either positive or negative, as these responses are not indicative of either of these views.

1109 Responses to question H.1.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

9.2.8. Rome – Munich

9.2.8.1. Market structure

(1025) The market structure on the route Rome-Munich in terms of passengers transported is set out in Table 46 below.

Table 46: Rome-Munich market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1110]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[FCO-MUC]*	20%	20%	22%	23%	18%	13%
Lufthansa Group	80%	80%	78%	76%	69%	58%
[CIA-MUC]	-	-	-	<1%	-	-
[FCO-MUC]	80%	80%	78%	75%	69%	58%
Parties Combined	**100%**	**100%**	**100%**	**99%**	**87%**	**72%**
Ryanair *[FCO-FMM]*	-	-	-	1%	9%	14%
Wizz Air *[FCO-FMM]*	-	-	-	-	4%	15%
Other *[FCO-MUC]*	-	-	-	-	<1%	<1%
Delta HHI	3 222	3 145	3 432	3 545	2 505	1 560
Post HHI	10 000	10 000	10 000	9 833	7 667	5 534
Total Pax City Pair	**93 673**	**68 160**	**170 485**	**83 128**	**192 695**	**77 384**

Source: IATA passenger data, RFI 50 Annex 100

(1026) The market structure on the route Rome-Munich in terms of capacity (seats) is set out in Table 47 below.

Table 47: Rome-Munich market shares by capacity (number of frequencies operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[FCO-MUC]*	18%	12%	14%	15%	14%	15%	20%
Lufthansa Group	82%	88%	86%	84%	79%	72%	65%
[CIA-MUC]	-	-	-	<1%	-	-	-
[FCO-MUC]	82%	88%	86%	84%	79%	72%	65%
Parties Combined	**100%**	**100%**	**100%**	**100%**	**93%**	**88%**	**85%**
Ryanair *[FCO-FMM]*	-	-	-	<1%	4%	6%	7%
Wizz Air *[FCO-FMM]*	-	-	-	-	2%	6%	8%
Other *[FCO-MUC]*	<1%	-	<1%	<1%	<1%	<1%	-
Delta HHI	*2 916*	*2 064*	*2 373*	*2 590*	*2 263*	*2 227*	*2 647*
Post HHI	*9 964*	*10 000*	*9 969*	*9 932*	*8 761*	*7 787*	*7 380*
Total Seats City Pair	***208 460***	***226 612***	***431 054***	***263 264***	***454 238***	***344 122***	***558 920***

Source: IATA passenger data, RFI 31, Q8.

[1110] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

(1027) On the Rome-Munich city pair the following plausible alternative geographic market definitions exist based on the catchment areas:

(a) On the Rome end of the route FCO and CIA belong to one catchment area (See section 6.5.3.9 6.5.3.9 above).

(b) On the Munich end of the route MUC and FMM may belong to one catchment area or FMM may be considered as a separate market from MUC (See section 6.5.3.7 above).

(1028) The Commission's assessment below considers the widest plausible market definition, which includes MUC and FMM on the Munich end of the route, and FCO and CIA on the Rome end of the route.

(1029) However, the assessment below would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (e.g. potentially only MUC or FMM on the Munich end of the route). The Commission notes that in case FMM would be considered a separate geographic market, there would be no need to assess the FMM-Rome route separately, as there would be no overlap arising because of the activities of the Parties. Therefore, the only alternative plausible overlap concerns the catchment area including only MUC on the Munich end of the route.

(1030) The alternative market definition (which would be the narrowest plausible market definition), would result in the following outcome: the removal of Ryanair and Wizz Air from the competitive landscape. Consequently, the concerns outlined in the Commission's assessment below would not only continue to be relevant under narrower alternative market definition which limits the relevant market to MUC on the Munich end of the route, but would be amplified due to the removal of Ryanair and Wizz Air from the competitive landscape (i.e., the Transaction would be a merger-to-monopoly), the increased market shares of Lufthansa and ITA and the same or increased barriers to entry and expansion.

(1031) The Table 48 below, sets out the Parties and their competitor's market shares under the narrowest alternative possible market definition.

Table 48: Rome-Munich market shares for the plausible alternative market definition (FCO/CIA-MUC) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1111]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	20%	20%	22%	24%	21%	19%
Lufthansa Group	80%	80%	78%	76%	79%	81%
Parties Combined	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Other	-	-	-	-	<1%	<1%
Delta HHI	3 222	3 145	3 432	3 606	3 311	3 036
Post HHI	10 000	10 000	10 000	10 000	9 998	9 989
Total Pax City Pair	**93 673**	**68 160**	**170 485**	**82 426**	**167 611**	**55 471**

Source: IATA passenger data, RFI 50 Annex 100.

[1111] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

9.2.8.2. Lufthansa and MEF's view

(1032) Lufthansa's and MEF's view Lufthansa and MEF submit that ITA and Lufthansa (under the Lufthansa brand) were the only airlines operating the route Rome-Munich in Winter 2022, while Wizz Air and Ryanair entered the route in Summer 2023. According to the Parties, the merged entity will increasingly be constrained by these two competitors which are likely to grow, and by potential new entrants such as Vueling or easyJet which already operated this route and would not face slot restrictions at either side of the route. The Parties finally argue that the direct night train connection between Munich and Rome operated by ÖBB and Trenitalia could offer a viable alternative for costs and ecological sensitive travellers.[1112] The Parties further emphasize the limited increment on this route, refer to the competitive constraint exerted by the relatively new entrant ULCCs and consider that the barriers to entry and expansion are limited.[1113] The Parties also submit that Ryanair has almost doubled its capacity for the Summer 2024 IATA Season compared to that of the Summer 2023 IATA Season.[1114] In the Response to the SO, the Parties argue that the Commission fails to capture the fierce competition with Ryanair and Wizz Air as new entrants on this route, which continue to constrain Lufthansa and ITA going forward, despite of their high combined market share. The Parties also highlight that the market shares of Lufthansa and ITA have been declining and that with Ryanair and Wizz Air present, the Transaction would lead to a 4-to-3 situation. The Parties explain that the Ryanair and Wizz Air increased their frequencies over Summer IATA 2024 and have a are higher market share than the increment ITA represents, and that therefore their presence will very likely be sufficient to constrain Lufthansa and ITA post-Transaction. The Parties also refer to the fact that both Ryanair and Wizz Air have been expanding on this route. In addition, the Parties argue that the travel time difference between MUC and FMM does not lead to LCC's being less close competitors of Lufthansa and ITA. Instead, Ryanair and Wizz Air are also targeting business customers and flying at business friendly hours. The Parties also argue that the Commission should consider a different interpretation of the results of the market investigations (one that takes "*I do not know*" or lack of responses into account).[1115]

9.2.8.3. The Commission's assessment

(1033) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Rome – Munich.

(1034) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in in Table 46, the Parties' combined market share by number of passengers travelled is very high and ranges from 74-100% between Summer IATA Season 2021 and Winter IATA Season 2023/2024. These market shares indicate that the Parties would hold a dominant position after the Transaction.

(1035) Moreover, based on the market share data in Table 47 the Parties' combined market share by capacity (number of frequencies) is also very high, and ranges from 88 to 100% between Summer IATA Season 2021 and Winter IATA Season 2023/2024.

1112 Form CO, paragraphs 1298-1304.

1113 Response to the Article 6(1)(c) decision, paragraph 138-141.

1114 Parties' submission on barriers to entry on relevant routes, dated 8 March 2024, paragraph 30.

1115 Response to the SO, paragraphs 258, 344-350.

The increment brought by the Transaction is also sizeable or large, ranging between 12-18%.

(1036) *Second*, the increment brought about by the Transaction from ITA would be large at 18% to 22% (by passenger) in the last five IATA seasons. While the increment somewhat decreased in the latest IATA Season for which data is available, it remains significant at 14% (pax) and 20% (capacity), therefore the Commission cannot conclude that the increment is limited. This corresponds to a high increase in the HHI of between 1 640 and 3 545, in line with the Commission's Horizontal Merger Guidelines.[1116]

(1037) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 5 000 during each of the last five IATA seasons (with an increment of at least 1 640) based on PAX number. The high combined market share of the Parties, the large increment brought by the transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position.

(1038) *Fourth*, even when looking into the widest possible market definition (i.e., one which includes FCO and CIA on the Rome end of the route, and MUC and FMM on the Brussels end), the Transaction constitutes a 4-to-3 merger for non-stop flights. in addition to the Parties, only Ryanair and Wizz Air operate between the Rome-Munich city pair.[1117] The competitive constraint of Ryanair and Wizz Air would remain limited post-Transaction for the reasons explained in the following paragraphs.[1118]

(1039) Ryanair held a market share of 12% in the Winter IATA Season 2023/2024 and 9% in the Summer IATA Season 2023. In terms of capacity (number of seats), Ryanair's market share is significantly lower, as it held 6% in Winter 2023/2024 IATA Season and will hold a market share of 7% in the Summer IATA Season 2024.

(1040) Wizz Air held a market share of 14% in the Winter IATA Season 2023/2024 and 4% in the Summer IATA Season 2023. In terms of capacity (number of seats), Wizz Air's market share is significantly lower, as it held 6% in Winter 2023/2024 IATA Season and will hold a market share of 8% in the Summer IATA Season 2024.

(1041) In this context, the Commission notes that, post-Transaction the Parties will become the largest operator on the Rome-Munich city pair, holding a very significant market share on both IATA Seasons, in terms of passengers and capacity operated, with Ryanair and Wizz Air being the Parties' only active competitors. The Commission also notes, that while the Parties' market shares have been declining in the recent years due to the entry of Ryanair and Wizz Air, they continue to hold very high combined market shares. In addition, it is unlikely that the growth of Ryanair and Wizz Air on this route would result in further significant decline in the market shares of the Parties (combined market shares below 40-50%) considering among others the capacities / frequencies flown by these low cost competitors, which together amount

---

1116 According to paragraph 20 of its Horizontal Merger Guidelines, "The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances" arise.

1117 As indicated in section 9.2.1.1, under all alternative possible market definitions where the activities of the Parties would still overlap on the route Rome – Munich, Ryanair and Wizz Air would be removed from the competitive landscape and therefore the Transaction would result to a monopoly.

1118 Response to the SO, paragraphs 344-346.

to a fraction of the of the Parties (see paragraph (1042) below), the level of market shares that LCCs generally capture on other routes of concern where they compete with Lufthansa and ITA, and the fact that both Ryanair and Wizz Air are flying to a regional airport (FMM) as opposed to Lufthansa and ITA, which are flying to a main airport (MUC). Even if Ryanair would manage to double its market shares as a result of additional frequencies on this route, the Parties would continue to have very high combined market shares, indicative of a dominant position.[1119]

(1042) *Fifth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of Ryanair and Wizz Air is unlikely to be sufficient to constrain the Parties post-Transaction.

(1043) In the first place, prior to the Transaction, in addition to Lufthansa and ITA, only Ryanair and Wizz Air operate on the market with market shares between 1% and 12% for Ryanair and 4% and 14% for Wizz Air for the latest five seasons.

(1044) In the second place, even though the Parties would continue to face competition from Ryanair post-Transaction, the Transaction would lead to the elimination of an important competitive constraint, in the form of ITA, an airline that managed to capture approximately 15-20% of the market with less than 3 years of operation and has competed closely with Lufthansa on the route in the past.

(1045) In the third place, the Parties would hold a frequency advantage over the other direct competitors on the route, namely Ryanair and Wizz Air. According to a Parties' submission and based on Summer IATA 2024 data, for the summer seasons, the Parties would, post-Transaction, operate 44 weekly frequencies (32 operated by Lufthansa and 12 operated by ITA) as compared to the 3 weekly frequencies of Ryanair and 3 weekly frequencies of Wizz Air. Similarly based on Winter IATA 2023/2024 data, for the winter seasons, the Parties would, post-Transaction, operate 40 weekly frequencies (33 operated by Lufthansa and 7 operated by ITA) as compared to the 2 weekly frequencies of Ryanair and 2 weekly frequencies of Wizz Air.[1120]

(1046) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA not only compete closely on this route but, they are each other's closest competitor.[1121]

(1047) In the first place, ITA and Lufthansa are both network carriers operating similar business models and attracting similar types of passengers, whereas Ryanair and Wizz Air are ULCCs, operating a P2P business model and focused on leisure travel. The Commission's assessment with respect to the competitive pressure exerted by existing carriers on the route was corroborated by the responses to the Commission's market investigation, where the majority of competitors that expressed a view consider that Lufthansa and ITA are closer competitors of each other on the Rome-

1119 Response to the SO, paragraphs 347 and 348.

1120 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q5.

1121 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P*, Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in significant impediment to effective competition.

Munich city pair compared to Ryanair and Wizz Air.[1122] (See section 9.1.2.1 above for more information).

(1048) In the second place, ITA and Lufthansa operate the Rome-Munich city pair almost entirely from the same airports in Rome (i.e., both Lufthansa and ITA operate almost entirely from FCO) and Munich (both operate from MUC) whereas Ryanair and Wizz Air operate the Rome-Munich city pair exclusively through the FCO-FMM route.

(1049) In this context, the Commission's market investigation supports the view that airlines operating a city pair from neighbouring airports do not compete as closely with airlines operating the same city pair from the same airports. For instance, specifically with regards to MUC and FMM, Ryanair noted that there is only "*very limited substitutability*" between these airports.[1123] Wizz Air explained that it "*does not consider that the competition with carriers operating the route Rome-Munich to be strong, through its Rome-Memmingen operation, as Memmingen is far away from Munich*" and that only "*severely price sensitive*" customers would consider MUC and FMM substitutable.[1124] While in the case of Rome the Commission takes the view that FCO and CIA belong to the same market, easyJet explained that FCO may be more attractive for airlines compared to CIA (See paragraph (962) above).[1125] The Commission notes that the connectivity between FMM and Munich compared to that of MUC and Munich is particularly limited (see 9.1.2.2.2.3) above, therefore the Commission considers that on this route the ULCC competitors are particularly distant competitors of Lufthansa and ITA.

(1050) In addition, the vast majority of customers that expressed a view in the Commission's market investigation believe that the closest alternative of Lufthansa's offering on the Rome-Munich route is ITA's offering, and not one that of Ryanair or Wizz Air.[1126] (See section 9.1.5 above for more information.)

(1051) Lastly, the Commission notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time considering FCO and MUC (ITA and Lufthansa present) is around 2 hours and 31 minutes. In contrast the overall travel time is approx. 3 hours 6-11 minutes when considering FCO and FMM (Ryanair and Wizz Air present). This shows that Lufthansa and ITA compete closely with each other considering the shorter travel times than they do with Ryanair and Wizz Air.[1127]

1122 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors.

1123 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 12, ID 2367.

1124 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 4, ID 861.

1125 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 9, ID 1054.

1126 Responses to question D.A.20.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

1127 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

(1052) Considering the above, while Ryanair and Wizz Air may compete with Lufthansa and ITA on the Rome – Munich routes to some extent, and some customers, including corporate customers may in some circumstances choose an LCC offer compared to Lufthansa's or ITA's, the Commission takes the view based on the available evidence that Lufthansa and ITA compete more closely with each other and less closely with LCCs on this route.[1128]

(1053) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(1054) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, from the Rome end, FCO and CIA are Level 3 Coordinated Airports, whereas from the Munich end, MUC is also a Level 3 Coordinated Airport (i.e., demand significantly exceeds the airports' capability), whereas FMM is Level 1 Non-Coordinated Airport.[1129]

(1055) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at FCO ranges between 1% and 74% between 5:00 am and 8:00 pm, at CIA between 1% and 63% and at MUC, it reaches up to 101%.[1130]

(1056) The average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Rome-Munich city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 53-74%, and from MUC between 33-88%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Rome-Munich city pair are as follows: from FCO ranging between 43-63%, and from MUC between 31-62%.[1131]

(1057) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Rome-Munich city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 40-68% and from MUC between 52-62%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of ITA on the Rome-Munich city pair are as follows: from FCO ranging between 43-59% and from MUC between 48-62%.[1132]

(1058) Market participants such as Ryanair suggest that Rome (and in particular FCO) is congested during certain peak hours.[1133] Furthermore, the Commission's market investigation has shown that market participants tend to consider MUC as airport where it is difficult to expand operations. As an example, AF-KLM notes that MUC is a highly constrained airport as it is one of Lufthansa's hubs.[1134]

(1059) For further details on the level of congestion at MUC please see Section 9.1.4.2 above.

1128 Response to the SO, paragraph 349.

1129 List of IATA Coordinated Airports (available at: https://www.iata.org/en/programs/ops-infra/slots/coordinated-airports/#:~:text=Level%202,day%2C%20week%2C%20or%20season.), accessed on 13 March 2024; and, Form CO, paragraphs 818-819.

1130 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

1131 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

1132 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

1133 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 16, ID 2367.

1134 Responses to question E.E.1 of questionnaire 03 to short-haul competitors.

(1060) In the second place, the Parties' combined market share on the route and combined slot holding in FCO and in MUC will be significantly high, indicative of market power and will act as a barrier to entry and expansion. Despite the fact that the Munich catchment area is potentially served by two airports, the results of the Commission's market investigation and internal documents of the Parties support that (i) "*there is a general preference of the majority of passengers to fly from their local airport*"[1135] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54).

(1061) *Eighth*, the available train connection on the Rome Munich route is a night train, which – according to the Parties – takes approx. 13 hours of travel time.[1136] As explained in more detail in Section 6.8 above, neither Lufthansa or ITA, nor train operators would consider that night trains with such travel times would exert significant competitive pressure on direct flights. In addition, within the framework of the Commission's market investigation, all competitors expressing a view considered that very few passengers (<10%) consider air and train services as close substitutes on the Rome-Munich route even considering a potential permanent price increase of 5-10%, and, moreover, the majority of those customers expressing a view submitted the same response.[1137] Therefore, the Commission's market investigation suggests that night trains do not exert sufficient competitive constraint on the Rome-Munich route and, therefore, they do not affect the above assessment.

(1062) *Ninth,* while Ryanair appears to have expanded its capacities from Summer IATA Season 2023 to Summer IATA Season 2024 on this route, it is unclear whether such increase in capacity is a lasting one, which will continue throughout both the Summer and Winter IATA Seasons, especially considering Ryanair's submission highlighting that "*[f]uture growth [on this route] is entirely contingent on the Transaction and any remedies put in place*."[1138] Even if Ryanair would continue to increase capacity, Lufthansa and ITA would still likely hold very high market shares on this route. Moreover, even if Ryanair would continue increasing capacities on this route, it would remain a less close competitor of Lufthansa compared to ITA, first and foremost due to the fact that it operates from a secondary / regional airport, rather than the same airport as Lufthansa. Therefore, the Commission considers that the assessment above applies even considering potential increases in Ryanair's capacity.

(1063) *Tenth*, at this stage of the investigation, based on the available evidence, the Commission is not able to conclude that Lufthansa's and MEF's allegations as regards potential competitive constraints (potential entrants such as Vueling and easyJet – as noted by the Parties)[1139] would be sufficient to counter the likely negative effects of the Transaction on the Rome-Munich city pair. This is because, the Commission's market investigation did not confirm or introduce evidence that

---

1135 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

1136 Form Co, paragraph 1304.

1137 Responses to questions E.B.3 of questionnaire 03 to short-haul competitors and question D.B.3-1 of questionnaire 06 to customers of both short-haul and long-haul flights.

1138 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 23, ID 11422. Also considering the Response to the SO, paragraph 348.

1139 Form Co, paragraph 1302.

would allow the Commission to conclude that there is timely, likely or sufficient potential entry or expansion in the Rome-Munich city pair, post-Transaction. (See section 9.1.5 above for more information.)

(1064) *Eleventh*, there is specific evidence showing that the Transaction is likely to result in negative effects.

(1065) In the first place, while a sizeable share of the respondents indicated that they did not know, the majority of the competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[1140] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[1141] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.3 for more detailed results).

(1066) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(1067) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.2.8.4. Conclusion

(1068) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very high combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and the lack of prospect of likely, timely and sufficient entry on the route, the Commission concludes that the Transaction would significantly impede effective competition on the route Rome - Munich by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

9.2.9. Rome – Zurich

9.2.9.1. Market structure

(1069) The market structure on the route Rome-Zurich in terms of passengers transported is set out in Table 49 below.

1140 Responses to question I.1 of questionnaire 03 to short-haul competitors. In response to paragraph 350 of the Response to the SO, the Commission notes that it cannot consider "*I do not know*" responses (or a lack of response) as either positive or negative, as these responses are not indicative of either of these views.

1141 Responses to question H.1.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

Table 49: Rome-Zurich market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024\[1142]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[FCO-ZRH]*	28%	20%	22%	15%	18%	15%
Lufthansa Group *[FCO-ZRH]*	53%	47%	49%	41%	44%	32%
Parties Combined	**81%**	**67%**	**70%**	**56%**	**62%**	**47%**
Easyjet *[FCO-BSL]*	19%	33%	29%	31%	26%	39%
Wizz Air *[FCO-BSL]*	-	-	<1%	12%	12%	14%
Other *[FCO-ZRH]*	-	-	-	-	<1%	<1%
Delta HHI	2 929	1 897	2 121	1 259	1 573	940
Post HHI	6 877	5 585	5 811	4 304	4 669	3 928
Total Pax City Pair	**82 039**	**78 656**	**203 319**	**125 897**	**257 832**	**107 616**

Source: IATA passenger data, RFI 50 Annex 100

(1070) The market structure on the route Rome-Zurich in terms of capacity (seats) is set out in Table 50 below.

Table 50: Rome-Zurich market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[FCO-ZRH]*	30%	22%	21%	18%	19%	25%	25%
Lufthansa *Group [FCO-ZRH]*	55%	57%	60%	54%	60%	46%	49%
Parties Combined	**86%**	**79%**	**81%**	**72%**	**78%**	**70%**	**73%**
easyJet *[BSL-FCO]*	14%	21%	19%	20%	14%	21%	18%
Wizz Air *[BSL-FCO]*	-	-	-	8%	7%	9%	8%
Other *[FCO-ZRH]*	<1%	<1%	<1%	-	<1%	-	-
Delta HHI	*3 350*	*2 524*	*2 548*	*1 934*	*2 216*	*2 246*	*2 392*
Post HHI	*7 535*	*6 685*	*6 928*	*5 637*	*6 373*	*5 458*	*5 771*
Total Seats City Pair	***140 639***	***159 923***	***360 710***	***216 825***	***510 933***	***342 590***	***508 454***

Source: IATA passenger data, RFI 31, Q8.

(1071) On the Rome-Zurich city pair the following plausible alternative geographic market definitions exist based on the catchment areas:

(a) On the Rome end of the route FCO and CIA belong to one catchment area (See section 6.5.3.9 above).

(b) On the Zurich end of the route ZRH and BSL may belong to one catchment area or BSL may be considered as a separate market (See section 6.5.3.12 above).

(1072) The Commission's assessment below considers the widest plausible market definition, which includes FCO and CIA on the Rome end of the route, and ZRH and BSL on the Zurich end of the route.

1142 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

(1073) However, the assessment below would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (e.g., potentially only ZRH or BSL on the Zurich end of the route). The Commission notes that in case BSL on the Zurich end of the route would be considered a separate geographic market, there would be no need to assess the BSL-Rome routes separately, as there would be no overlap arising because of the activities of the Parties. Therefore, the only alternative plausible overlap concerns the catchment area including only ZRH on the Zurich end of the route.

(1074) This alternative market definition (which would be the narrowest possible market definition), would result in the removal of easyJet and Wizz Air from the competitive landscape. Consequently, the concerns outlined in the Commission's assessment below would not only continue to be relevant under any plausible alternative market definition which limits the relevant market to ZRH on the Zurich end of the route, but would be amplified due to the removal of easyJet and Wizz Air from the competitive landscape (i.e., the Transaction would be a merger-to-monopoly), the increased market shares of Lufthansa and ITA and the same or increased barriers to entry and expansion.

(1075) Table 51, sets out the Parties and their competitor's market shares under the narrowest alternative possible market definition.

Table 51: Rome-Zurich market shares for the alternative plausible market definition (FCO/CIA-ZRH) by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1143]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	34%	30%	31%	27%	28%	31%
Lufthansa Group	66%	70%	69%	73%	71%	69%
Parties Combined	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Other	-	-	-	-	<1%	<1%
Delta HHI	4 505	4 214	4 275	3 965	4 074	4 283
Post HHI	10 000	10 000	10 000	10 000	9 997	9 999
Total Pax City Pair	**66 153**	**52 776**	**143 195**	**70 943**	**160 213**	**50 408**

Source: IATA passenger data, RFI 50 Annex 100.

9.2.9.2. Lufthansa and MEF's view

(1076) Lufthansa and MEF submit that Lufthansa (through SWISS), ITA, Wizz Air and easyJet are the main airlines operating the route Rome-Zurich. According to the Parties, the merged entity will face strong competition from easyJet (that increased its capacity in Summer IATA 2024) and Wizz Air (that entered in Winter IATA 2022/2023) which hold, respectively, 25% and 12% of market shares in Summer 2023 IATA Season. Lufthansa and MEF further elaborate that the merged entity could be disciplined by potential entry or expansion, for example by airlines such as Vueling or Ryanair which both have bases in Rome and would not face slot restrictions that could prevent them from entering the route Rome-Zurich. Finally, the Parties note that SBB offers a 6h 37min indirect high-speed train connection between Rome and Zurich that could constitute a viable offer for costs and ecological

[1143] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

sensitive travellers.[1144] The Parties further highlight the increment which they consider limited, the potential entries by competitors and the availability of a train connection.[1145]

(1077) In the Response to the SO the Parties argue that the Commission fails to adequately capture the competitive dynamics on this route. Notably, the Parties characterise the market shares of Lufthansa and ITA combined as only "moderately high" against the backdrop of easyJet and Wizz Air's expanding presence. The Parties highlight that the market shares of ITA are below or at the level of the low-cost competitors active on this route. The Parties also consider that NEOS, Vueling and Ryanair are all potential entrants on this route together with other potential entrants.

(1078) The Parties also highlight that the market investigation confirms that easyJet and Wizz Air compete with the Parties on this route and argue that connectivity between BSL and Zurich is far from limited, based on the number of train and bus connections and their prices (as confirmed also by Ryanair within the framework of the market investigation). In addition, the Parties note that the Commission's closeness of competition assessment is flawed as it mainly considers travel time between the airports and Zurich and omit the assessment of other factors, such as luggage check-in waiting times, which may be longer at primary airports. The Parties also noted that the assessment is not in line with the Commission's previous practice and the Commission should consider a different interpretation of the results of the market investigations (one that takes "*I do not know*" or lack of responses into account) considering also that e.g. easyJet submitted "*I do not know*" when asked about the Transaction's impact.[1146]

9.2.9.3. The Commission's assessment

(1079) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Rome – Zurich.

(1080) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 49, the Parties' combined market share by number of passengers travelled is very high and ranges between 46-81% between Summer IATA Season 2021 and Winter IATA Season 2023/2024. These market shares indicate that the Parties would hold a dominant position after the Transaction. The increment brought by the Transaction is also large, at 15-28%.

(1081) Moreover, based on the market share data in Table 50 the Parties' combined market share by capacity (number of frequencies) is significantly higher, and ranges from 70 to 86% between Summer IATA Season 2021 and Winter IATA Season 2023/2024. The increment brought by the Transaction is also particularly large or large, ranging between 18-30%.

(1082) Thus, under both indications, the Parties' combined market shares are indicative of a dominant position. Moreover, as shown in the paragraphs (1080) to (1114) below, while the competitive constraint exerted by Wizz Air and easyJet on this route remain relevant, it will not be sufficient to constraint the combined entity on this route. Even considering the "*significant decline*" in market shares referenced by the

1144 Form CO, paragraphs 1305-1310.
1145 Response to the Article 6(1)(c) decision, paragraph 142-146.
1146 The Response to the SO, paragraphs 258, 351-362.

Parties in their Response to the SO, the market shares of Lufthansa and ITA will remain very large.[1147]

(1083) *Second*, the increment brought about by the Transaction from ITA would be large at 15% to 22% (by passenger) in the last five IATA seasons. This corresponds to a high increase in the HHI of between 918 and 2 121 in line with the Commission's Horizontal Merger Guidelines.[1148]

(1084) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be between 3 962 – 5 811 during each of the last five IATA seasons (with an increment at or more than 918 and up to 2 121).

(1085) The high combined market share of the Parties, the large increment brought by the transaction, the high change in HHI and high HHI post-Transaction indicate that the Transaction would create or strengthen a dominant position.

(1086) *Fourth*, even when looking into the widest possible market definition (i.e., one which includes FCO and CIA on the Rome end of the route, and ZRH and BSL on the Zurich end), the Transaction constitutes a 4-to-3 merger for non-stop flights.[1149] In addition to the Parties, only easyJet and Wizz Air operate the Rome-Zurich city pair.

(1087) easyJet held a market share of 41% in the Winter IATA Season 2023/2024 and 26% in the Summer IATA Season 2023. In terms of capacity (number of seats), easyJet's market share is significantly lower, as it held 21% in Winter 2023/2024 IATA Season and will hold a market share of 18% in the Summer IATA Season 2024.

(1088) Wizz Air held a market share of 13% in the Winter IATA Season 2023/2024 and 12% in the Summer IATA Season 2023. In terms of capacity (number of seats), Wizz Air's market share is significantly lower, as it held 9% in Winter 2023/2024 IATA Season and will hold a market share of 8% in the Summer IATA Season 2024.

(1089) Both easyJet and Wizz Air operated the Rome-Zurich city pair from FCO to BSL.

(1090) In this context, the Commission notes that, post-Transaction the Parties will become the largest operators on the Rome-Zurich city pair, holding a significant market share on both IATA Seasons, in terms of passengers and capacity operated, with easyJet and Wizz Air being the Parties' only active competitors.

(1091) *Fifth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction. In particular, the presence of easyJet and Wizz Air is unlikely to be sufficient to constrain the Parties post-Transaction.

(1092) In the first place, prior to the Transaction, in addition to Lufthansa and ITA, only Wizz Air and easyJet operate on the market with market shares between 26% and 41% for easyJet and <1% and 13% for Wizz Air for the latest five seasons.

(1093) In the second place, even though the Parties would continue to face competition from easyJet and Wizz Air post-Transaction, the Transaction would lead to the elimination

---

1147 Response to the SO, paragraphs 351-354.

1148 According to paragraph 20 of its Horizontal Merger Guidelines, "The Commission is also unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1000 and 2000 and a delta below 250, or a merger with a post-merger HHI above 2000 and a delta below 150, except where special circumstances" arise.

1149 As indicated in section 9.2.1.1, under all alternative possible market definitions where the activities of the Parties would still overlap on the route Rome – Zurich, easyJet and Wizz Air would be removed from the competitive landscape and therefore the Transaction would result in a monopoly.

of an important competitive constraint, in the form of ITA, an airline that managed to capture approximately 15-20% of the market with less than 3 years of operation and has competed closely with Lufthansa on the route in the past (see this together with paragraph (1092) *et seq*. below).

(1094) In the third place, the Parties would hold a frequency advantage over the other direct competitors on the route, easyJet and Wizz Air. According to a Parties' submission and based on Summer IATA 2024 data, for the summer seasons, the Parties would, post-Transaction, operate 41 weekly frequencies (27 operated by Lufthansa and 14 operated by ITA) as compared to the 8 weekly frequencies of easyJet and the 3 weekly frequencies of Wizz Air. Similarly based on Winter IATA 2023/2024 data, for the winter seasons, the Parties would, post-Transaction, operate 33 weekly frequencies (22 operated by Lufthansa and 11 operated by ITA) as compared to the 9 weekly frequencies of easyJet and the 3 weekly frequencies of Wizz Air.[1150]

(1095) *Sixth*, the market investigation has provided further evidence that Lufthansa and ITA not only compete closely on this route but, are each other's closest competitor.[1151]

(1096) In the first place, ITA and Lufthansa are both network carriers operating similar business models and attracting similar types of passengers, whereas easyJet and Wizz Air are an LCC and ULCC, operating a P2P business model and focused on leisure travel. The Commission's assessment with respect to the competitive pressure exerted by existing carriers on the route was corroborated by the responses to the Commission's market investigation, where the majority of competitors that expressed a view consider that Lufthansa and ITA are closer competitors of each other on the Rome-Zurich city pair compared to easyJet and Wizz Air.[1152] (See section 9.1.2.1 above for more information).

(1097) In the second place, ITA and Lufthansa operate the Rome-Zurich city pair from the same airport in Rome (i.e., both Lufthansa and ITA operate from FCO) and Zurich (both operate from ZRH) whereas easyJet and Wizz Air operate the Rome-Munich city pair exclusively through the FCO-BSL route.

(1098) In this context, the Commission's market investigation supports the view that airlines operating a city pair from neighbouring airports do not compete as closely with airlines operating the same city pair from the same airports. For instance, specifically with regards to ZRH and BSL, Ryanair noted that "*Basel Airport is located far away from Zurich and is not necessarily seen by customers and airlines as substitutable to Zurich Airport*".[1153] Wizz Air explained that it while BSL and ZRH compete to some

---

1150 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q5.

1151 It should be noted that, in line with the CJEU's court ruling in Case-376/20 P, *Commission v. CK Telecoms*, judgment of 13 July 2023, the Commission is not required to establish that the Parties are particularly close or the closest competitors, because even a merger between parties who are not particularly close competitors in a concentrated market can result in significant impediment to effective competition.

1152 Responses to questions E.A.7.1 and E.A.7.2. of questionnaire 03 to short-haul competitors. In response to paragraph 362 of the Response to the SO, the Commission notes that it cannot consider "*I do not know*" responses (or a lack of response) as either positive or negative, as these responses are not indicative of either of these views. See also footnote 70 above. The Commission also notes regarding easyJet specifically, that the most likely reason of easyJet not expressing a view, is that it does not consider Basel and Zurich belong to the same catchment area (*see* easyJet's response to questions C.A.10 of questionnaire 03 to short-haul competitors).

1153 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 28, ID 2367.

extent "*Basel has its own distinct catchment area and customer demand*".[1154] Similarly, easyJet explained that it does not operate a base in ZRH, but only in BSL. It noted that even if ZRH and BSL were to be considered as falling within the same catchment area, it would consider that Lufthansa would remain ITA's closest competitor (as they both operate from ZRH and are network carries), while easyJet would compete closely with Wizz Air (as they both operate from BSL and are LCCs).[1155] While in the case of Rome the difference between FCO and CIA is less clear cut, nevertheless easyJet explained that FCO may be more attractive for airlines compared to CIA (See paragraph (962) above).[1156]

(1099) The Commission considers that due to the limited connectivity between Zurich and BSL,[1157] and, moreover the time and costs associated with reaching BSL from Zurich, LCC and ULCC competitors of Lufthansa and ITA on this route are particularly distant competitors (see in more detail 6.5.3.12 and 9.1.2.2.2.2 above).

(1100) In addition, the vast majority of customers that expressed a view in the Commission's market investigation believe that the closest alternative of Lufthansa's offering on the Rome-Zurich route is ITA's offering, and not that of easyJet's or Wizz Air's.[1158] (See section 9.1.2 above for more information.)

(1101) The Commission notes that the Parties' arguments in the Response to the SO has no impact on the Commission's assessment. Notably, the Commission already considers that Wizz Air and easyJet are competing on this route with Lufthansa, albeit evidence shows that they do so less closely compared to ITA. In any event, Lufthansa and ITA are – at the very least – close competitors on this route.[1159]

(1102) Lastly, the Commission notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time considering FCO and ZRH (ITA and Lufthansa present) is around 2 hours 8-13 minutes. In contrast the overall travel time is approximately 3 hours and 11 minutes when considering FCO and BSL (easyJet and Wizz Air present). This shows that Lufthansa and ITA compete closely with each other considering the shorter travel times than they do with easyJet and Wizz Air.[1160]

(1103) Contrary to the Parties' arguments in the Response to the SO, the Commission takes the view that on the route Rome-Zurich, it is appropriate to primarily consider the needs of those passengers who intend to reach Zurich. While certain customers may indeed continue their travel to other parts of Switzerland, it is reasonable to assume

---

1154 Non-confidential minutes of a conference call with Wizz Air, dated 22 September 2023, paragraph 4, ID 861.

1155 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraphs 10 and 12, ID 1054.

1156 Non-confidential minutes of a conference call with easyJet, dated 24 October 2023, paragraph 9, ID 1054.

1157 The Commission notes that contrary to paragraphs 358 and 359 of the Response to the SO, it considers that connectivity between BSL and Zurich is limited, due to lack of regular direct train connection between BSL and Zurich HB and the very limited frequencies of the bus connection.

1158 Responses to question D.A.21.1 of questionnaire 06 to customers of both short-haul and long-haul flights.

1159 Response to the SO, paragraph 357.

1160 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

that most of the passengers flying to Zurich will intend to reach Zurich or its very close proximity. The Commission also notes that contrary to the Parties arguments it is unlikely that the waiting times for various services (e.g., security or baggage check-in) at ZRH would motivate passengers to switch to BSL due to its allegedly shorter waiting times and the Parties could also not substantiate this in any way.[1161]

(1104) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(1105) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, from the Rome end, FCO and CIA are Level 3 Coordinated Airports, whereas from the Zurich end, ZRH is also a Level 3 Coordinated Airport (i.e., demand significantly exceeds the airports' capability), whereas BSL is listed a Level 2 airport (potential for congestion).[1162]

(1106) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at FCO ranges between 1% and 74% between 5:00 am and 8:00 pm, at CIA between 1% and 63%, whereas at ZUR it ranges up to 83%.[1163]

(1107) The average congestion level per hour band for the scheduled weekly flights of Lufthansa on the ROM-ZUR city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 37-68%, and from ZUR it ranges up to 74%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Rome-Zurich city pair are as follows: from FCO ranging between 31-45%, and from ZUR between 56-71%.[1164]

(1108) Similarly, the average congestion level per hour band for the scheduled weekly flights of ITA on the Rome-Zurich city pair are as follows: from FCO during Summer IATA Season 2023 ranging between 40-68% and from ZRH between 46-83%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of ITA on the Rome-Zurich city pair are as follows: from FCO ranging between 43-59% and from ZRH between 36-71%.[1165]

(1109) Market participants such as Ryanair suggest that Rome (and in particular FCO) is congested during certain peak hours.[1166] In addition, the Commission's market investigation has shown that market participants tend to consider ZRH as an airport where it is difficult to expand operations. As an example, AF-KLM notes that "*ZRH is SWISS hub and so one of LH Group Hub. The airport is fully constraint on specific hours of the day during SWISS peak of activity*".[1167]

(1110) For further details on the level of congestion at ZRH please see section 9.1.4.2 above.

1161 Response to the SO, paragraph 360.

1162 List of IATA Coordinated Airports (available at: https://www.iata.org/en/programs/ops-infra/slots/coordinated-airports/#:~:text=Level%202,day%2C%20week%2C%20or%20season.), accessed on 13 March 2024; and, Form CO, paragraphs 818-819.

1163 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

1164 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

1165 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), ITA Annex 136.

1166 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 16, ID 2367.

1167 Responses to question E.E.1 of questionnaire 03 to short-haul competitors.

(1111) In the second place, the Parties' combined market share on both the route and the combined slot holding in FCO and in ZRH will be significantly high, being indicative of market power susceptible of acting as a barrier to entry and expansion. (See section 9.1.4.2 above for more information). Despite the fact that the Zurich catchment area is potentially served by two airports, the results of the Commission's market investigation and internal documents of the Parties support that (i) "*there is a general preference of the majority of passengers to fly from their local airport*"[1168] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54).

(1112) *Eighth*, the Commission notes that the vast majority of customers who expressed a view within the framework of the Commission's market investigation consider that train services are not close substitutes for short-haul flights with regard to Rome-Zurich specifically.[1169] Similarly, a majority of customers who expressed a view considered that even in case of a 5-10% price increase, only very few passengers (<10%) would consider air and train-transport services substitutable on the Rome-Zurich route specifically.[1170] Similarly, a majority of competitors expressing a view consider that very few passengers (<10%) would consider air and train services as close substitutes on the Rome-Zurich route, even in case of a permanent increase of 5-10% in the prices of air transport services.[1171] While SBB considers that train and air-transport services are substitutable on the Rome-Zurich route, it also notes that train travel times are "*rather long*" and consider that the train services on this route exert only some competitive pressure on airlines.[1172] Based on the above, while train services might exert some out of market competitive constraint on short-haul flights on the Rome-Zurich route, the Commission's market investigation suggests any such constraints are likely to be week and, considering the Parties' market shares on this route, would not affect the above assessment.

(1113) The Commission notes that, as a result of its market investigation, it does not consider train connections between Rome and Zurich competing with the passenger air transport services of Lufthansa and ITA. As an out of market constraint the Commission's investigation has indicated that the train connection exerts very limited competitive pressure, if any, on the Rome-Zurich route. For more details see sections 6.8 and (273) *et seq* above.

(1114) *Ninth*, at this stage of the investigation, based on the available evidence, the Commission is not able to conclude that Lufthansa's and MEF's allegations as regards potential competitive constraints (potential entrants such as Ryanair or Vueling – as noted by the Parties)[1173] would be sufficient to counter the likely negative effects of the Transaction on the Rome-Zurich city pair. This is because, the Commission's market investigation did not confirm or introduce evidence that would allow the Commission to conclude that there is timely, likely or sufficient potential

1168 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.
1169 Responses to question D.B.1 of questionnaire 06 to short- and long-haul customers.
1170 Responses to question D.B.3 of questionnaire 06 to short- and long-haul customers.
1171 Responses to question E.B.3 of questionnaire 03 to short-haul competitors.
1172 Response of SBB to a Commission's pre-notification request for information to train operators, dated 6 September 2023, questions 8.1, 8.2 and 10.1, ID 852.
1173 Form Co, paragraph 1308.

entry or expansion in the Rome-Zurich city pair, post-Transaction. In other words, the results of the Commission's market investigation are that potential entrants are only considering potential actions on this route. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[1174] (See section 9.1.5 above for more information.) [1175]

(1115) *Tenth,* there is specific evidence showing that the Transaction is likely to result in negative effects. In the first place, while a sizeable share of the respondents indicated that they did not know, the majority of the competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on the route to be negative.[1176] While the views of customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[1177] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see section 7.7.4 for more detailed results).

(1116) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see section 7.7.2 for more detailed results).

(1117) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see section 7.7.1).

9.2.9.4. Conclusion

(1118) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the Parties' very high combined market shares and large increment brought by the Transaction, the overall concentration level of the market, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and the lack of prospect of likely, timely and sufficient entry on the route, the Commission concludes that the Transaction would significantly impede effective competition on the route Zurich – Rome by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

9.2.10. Conclusion

(1119) In light of the above, the Commission concludes that the Transaction would significantly impede effective competition on the routes Milan – Brussels, Milan – Düsseldorf, Milan – Frankfurt, Milan – Hamburg, Rome – Brussels, Rome – Frankfurt, Rome – Munich and Rome - Zurich.

1174 Response to the SO, paragraphs 355-356. The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

1175 Responses to question E.C.1 of questionnaire 03 to short-haul competitors. Additional evidence was made available to the Parties' legal counsels over the data room process.

1176 Responses to question I.1 of questionnaire 03 to short-haul competitors.

1177 Responses to question HI.1 of questionnaire 0603 to customers of both short-haul and long-haul flights.

9.3. Route-by-route assessment of direct overlaps (future)[1178]

9.3.1. Rome – Hamburg

9.3.1.1. Market structure

(1120) The market structure on the route Rome-Hamburg in terms of passengers transported is set out in Table 52 below. The Commission notes that the table includes both direct and indirect services provided by Lufthansa and ITA and their competitors, since the share of indirect services on the Milan-Hamburg route was above 10% in the last four IATA Seasons. As explained above in Section 6.6.3.1, the Commission considers that direct and indirect flights between the same O&D make part of the same market when indirect flights represent at least 10% of passengers on the route.

Table 52: Rome-Hamburg market shares by passenger (direct and indirect air services) in the IATA seasons from Summer 2021 to Winter 2023/2024[1179]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[FCO-HAM]*	-	<1%	4%	<1%	3%	-
Lufthansa Group	89%	96%	93%	93%	80%	92%
[FCO-HAM]	89%	96%	93%	93%	80%	92%
[FCO-ZMB] (*[1180]*)	<1%	<1%	<1%	<1%	<1%	<1%
Parties Combined	**89%**	**96%**	**97%**	**93%**	**83%**	**92%**
Air France-Klm *[FCO-HAM]*	8%	2%	1%	3%	1%	2%
Flexflight *[FCO-LBC]*	-	-	-	-	<1%	-
Marabu Airlines *[FCO-HAM]*	-	-	-	-	10%	-
Other *[FCO-HAM]*	3%	2%	2%	4%	6%	6%
Delta HHI	-	10	727	1	550	-
Post HHI	7 929	9 174	9 377	8 712	7 100	8 477
Total Pax City Pair	**23 337**	**24 726**	**74 847**	**34 674**	**102 382**	**19 454**

Source: IATA passenger data, RFI 50 Annex 100Source: IATA passenger data, RFI 50 Annex 100.

(1121) The market structure on the route Rome-Hamburg in terms of capacity (number of seats operated) is set out in Table 53 below.

Table 53: Rome-Hamburg market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[FCO-HAM]*	26%	1%	24%	-	20%	-	-
Lufthansa Group *[FCO-HAM]*	74%	99%	76%	91%	60%	98%	54%
Parties Combined	**100%**	**100%**	**100%**	**91%**	**80%**	**98%**	**54%**

[1178] Future potentially overlapping routes have been identified based on the Parties' submissions. See e.g. Form CO, paragraph 1512.

[1179] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

[1180] ZMB is the code for Hamburg Central Railway Station Airport and refers to the railway station at HAM. The route LIN-ZMB refers to a multimodal connection involving HAM. Considering the negligible market shares associated with this connection, this will not be discussed further.

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
Marabu Airlines *[FCO-HAM]*	-	-	-	-	12%	-	-
Neos *[FCO-HAM]*	-	-	-	-	6%	-	5%
Smartlynx Airlines *[FCO-HAM]*	-	-	-	7%	2%	-	-
Wizz Air *[FCO-HAM]*	-	-	-	-	-	2%	41%
Other *[FCO-HAM]*	-	-	<1%	2%	1%	-	-
Delta HHI	*3 847*	*142*	*3 597*	*0*	*2 384*	*0*	*0*
Post HHI	*10 000*	*10 000*	*9 968*	*8 368*	*6 558*	*9 669*	*4 609*
Total Seats City Pair	***10 620***	***23 133***	***61 865***	***24 555***	***105 892***	***28 398***	***139 600***

Source: IATA passenger data, RFI 31, Q8.

(1122) On the Rome-Hamburg city pair the following plausible alternative geographic market definitions exist in line with the market definition findings on the catchment areas:

(a) On the Rome end of the route FCO and CIA belong to one catchment area (See section 6.5.3.9 above).

(b) On the Hamburg end of the route HAM and LBC may belong to one catchment area. Alternatively, LBC and HAM may be considered as a separate market (See section 6.5.3.12 above).

(1123) The Commission's assessment below considers the widest plausible market definition, which includes FCO and CIA on the Rome end of the route, and HAM and LBC on the Hamburg end of the route.

(1124) However, the assessment below would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (i.e., only HAM on the Hamburg end of the route).

(1125) The Commission notes that in case LBC on the Hamburg end of the route was considered as a separate geographic market, there would be no need to assess the Rome-LBC route, as there would be no overlap arising because of the activities of the Parties. Therefore, and due to the lack of overlapping activities at LBC, the (narrowest possible) alternative market definition concerns the catchment area including FCO and CIA on the Rome end of the route and HAM on the Hamburg end of the route.

(1126) The Commission notes that due to the fact that both Lufthansa and its competitors currently operate between the same airports (FCO-HAM), and that ITA is also currently planning to enter the same airport pair (i.e., FCO-HAM),[1181] there is no need to assess this alternative market definitions. In addition, the market shares would remain unchanged, regardless of the market definition.

9.3.1.2. Lufthansa and MEF's view

(1127) Lufthansa and MEF submit that Lufthansa (Eurowings and Lufthansa Passenger Airlines) has been the only airline operating on the route Rome-Hamburg for the period 2018-2023. The Parties argue that the Proposed Transaction would not give rise to competition concerns on the route Rome-Hamburg because the merged entity

[1181] Response of Lufthansa/ITA to a Commission's pre-notification Request for Information (RFI 3), question 8/ M. 11071 - RFI 3 - ITA Annex 31 - Shares and Projections Short Haul Overlap Routes for Q8.

would face competition from recent entrants which launched operations on the airport pair FCO-HAM in Summer 2023 IATA Season (Marabu Airlines through passenger flights and Neos through charter flights) and Wizz Air which started operating the route in April 2024 or other new entrants which would in any case not face any slot restriction that could prevent them from entering the route Rome-Hamburg.[1182] In their response to the Commissions' Article 6(1) c) decision, the Parties primarily referred to the constraint exerted by future entrant Wizz Air and by NEOS as competitors.[1183] In the Response to the SO the Parties argue that based on the Commission's practice routes where other competitors are offering services are usually considered by the Commission as unlikely to give rise to potential competition issues. The Parties also consider that based on the available evidence, Wizz Air's entry is not merely "exploratory". In addition, the Parties consider that the Commission's closeness of competition assessment is flawed and that there is no evidence that Wizz Air would not exert competitive pressure on Lufthansa on this route. The Parties also argue that the Commission should pursue a more route-specific assessment regarding the closeness of competition between Lufthansa, ITA and Wizz Air and that there is no evidence that Wizz Air would actually not exert competitive pressure on Lufthansa on this route. Moreover, the Parties argue that […], and the Commission fails to consider how the entry of Wizz Air […]. The Parties also note that the Commission does not bring any evidence that the potential entry of ITA would already exert a significant constraining influence on Lufthansa, and that therefore the conditions of the Horizontal Merger Guidelines are not met.[1184]

(1128) Moreover, Lufthansa and MEF submit that the future overlaps, including Rome – Hamburg were identified in the Form CO based on […].[1185] In this context, the Parties argue that […],[1186] and that in any event, Wizz Air's entry should dismiss concerns about a potential loss of potential competition.[1187]

(1129) Finally, in relation to whether ITA would enter the Rome – Hamburg route absent the Transaction, Lufthansa and MEF submit that […].[1188]

9.3.1.3. The Commission's assessment

(1130) For a merger with a potential competitor to have significant anti-competitive effects, two basic conditions must be fulfilled.

(a) First, the potential competitor must already exert a significant constraining influence or there must be a significant likelihood that it would grow into an effective competitive force. Evidence that a potential competitor has plans to enter a market in a significant way could help the Commission to reach such a conclusion. Contrary to the Parties arguments, if the Commission finds significant like likelihood that the potential competitor would grow into an effective competitive force, this condition is met.[1189]

1182 Form CO, paragraphs 1513-1521; and, Response to the SO, paragraph 258
1183 Response to the Article 6(1)(c) decision, paragraphs 225-231.
1184 The Response to the SO, paragraphs 448-457.
1185 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 20 and 21.
1186 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 20 and 21.
1187 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 24.
1188 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 22.
1189 The Response to the SO, paragraph 457.

(b) Second, there must not be a sufficient number of other potential competitors, which could maintain sufficient competitive pressure after the merger.[1190]

(1131) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position on the route Rome – Hamburg by removing the potential competition exerted by ITA on the market.

9.3.1.3.1. There is a significant likelihood that ITA would grow into an effective competitive force

(1132) There is a significant likelihood that ITA would grow into an effective competitive force on the Rome-Hamburg route for the following reasons.

(1133) *First*, contrary to the Parties' view,[1191] [details on ITA's future plans].[1192] [Details on ITA's future plans].[1193] The Commission notes that while [details on ITA's future plans].

(1134) In the first place, [details on ITA's future plans].[1194] [Details on ITA's future plans].

Table 54[1195]

[Details on ITA's future plans]

Source: Response of the Parties to the Commission's Request for Information […].

(1135) In the second place, [details on ITA's future plans].*[1196]* Thus, the Commission concludes that, [details on ITA's future plans].

(1136) In the third place, the Commission notes that as of April 2024, Wizz Air is operating on the route. Contrary to the Parties' stance in the Response to the SO, regarding Wizz Air's entry [details on ITA's future plans][1197] [details on ITA's future plans],[1198] the Commission concludes that [details on ITA's future plans]. More specifically, already during the formal notification of the case (i.e., 30 November 2023), the Parties were aware of Wizz Air's entry, as the information was included in the Form CO.[1199] [Details on ITA's future plans].

(1137) In any event, [details on ITA's future plans], further suggesting that ITA is likely to enter the market despite Wizz Air's entry.

1190 Horizontal Merger Guidelines, paragraphs 58 and 60.

1191 Parties' Supplemental Submission on Direct/Indirect and Potential Future Short-Haul Overlaps, dated 2 May 2024, paragraphs 47-52.

1192 […].

1193 Response to RFI 3, Annex 31; corrected for 2024, but confirmed as accurate for 2025 and beyond by response to RFI 44, question 1.

1194 Lufthansa and MEF's response to a Commission's request for information (RFI 50), question 11 and Annex "RFI 50 – ITA Annex Q11";

1195 In addition to [details on ITA's future plans], the Commission refers to (i) the entire content of Lufthansa and MEF's response to a Commission's request for information (RFI 50), question 11 and the Annex "RFI 50 – ITA Annex Q11"; and (ii) the clarifications submitted by the Parties [details on ITA's future plans] in Lufthansa and MEF's response to a Commission's request for Information (RFI 51), questions 4-9, as evidence supporting the conclusions drawn regarding ITA's likelihood of entry on ROM-HAM.

1196 Lufthansa and MEF's response to a Commission's request for information (RFI 53).

1197 Parties' Supplemental Submission on Direct/Indirect and Potential Future Short-Haul Overlaps, dated 2 May 2024, paragraph 50.

1198 The Response to the SO, paragraph 455.

1199 Form CO, paragraph 1519.

(1138) In the fourth place, the Commission reiterates that despite several requests for information, ITA did not provide any explanations which could put in question the Commission's conclusion [details on ITA's future plans].[1200] As a result, the evidence available to the Commission indicates that [details on ITA's future plans].

(1139) For these reasons the Commission also considers that – contrary to the Parties arguments in the Response to the SO, the logic the Commission has deployed in Case M.6663 – RYANAIR/ AER LINGUS III, more specifically in paragraph 1580 and footnote 1434 of the decision, cannot be applied in this case. As described in that decision, the Commission has identified Ryanair routes of potential competition based on a specific logic which considered Ryanair highly dynamic approach to route selection and resulted in a list of routes identified by the Commission as potential routes. This is in stark contrast with the present case, where the Parties themselves submitted the routes of potential competition together [details on ITA's future plans]. While the former case, where the Commission itself explored entry potentials required a highly cautious approach, in the present case the reasons to adopt such a cautious approach are simply not present.[1201] The Commission also notes that contrary to the Parties (unsubstantiated) statement, it is incorrect that "*routes where other competitors are offering services are usually considered by the Commission as unlikely to give rise to potential competition issues*" (i.e. that the Commission should discard all routes of concern where at least one competitor is active) as each case requires an individual assessment based on the characteristics of the airlines involved in the specific transaction and on specific routes (as also done in this case).[1202]

(1140) The Commission notes that [details on ITA's future plans].[1203] Therefore, the Commission concludes that [details on ITA's future plans].

(1141) *Second*, Lufthansa currently holds a market share on the Rome-Hamburg route, which is indicative of dominance. Based on the market share data in Table 52 and Table 53 above, Lufthansa currently holds a market share of close to or more than 90% for the last five IATA Seasons (with the exception of Summer 2023 when Marabu Airlines was active for one IATA Season) considering market shares by passenger numbers. It's market shares remain high at 54% or more considering market shares by capacity, even if Wizz Air's entry on this route for the Summer 2024 Season is considered. Lufthansa currently faces only limited competition: (i) in the 2023 Summer Season, where Marabu Airlines had a 12% market share by capacity and 10% market share by passenger numbers, but has only been present in one (IATA Summer 2023 Season) out of the last six seasons; (ii) in the Winter Season 2022/23 and the Summer Season 2023 where Smartlynx Airlines, a charter airline was present; and, (ii) by the year-long indirect operations of Air France – KLM, which captured 1-8% market share by passenger numbers over the last six IATA seasons, but only very low market share (1-3%) by passenger numbers between Summer IATA 2022 and Winter IATA 2023/2024. These market shares,

---

1200 Response of Lufthansa and MEF to a Commission's request for information (RFI 53), question 1(b); and Response of Lufthansa and MEF to a Commission's request for information (RFI 54), question 5.

1201 See the Parties Response to the SO, paragraph 449 and Case M.6663 – Ryanair/Aer Lingus III, paragraph 1580 et seq.

1202 See the Parties Response to the SO, paragraph 449. For the previous practice of the Commission, see among others also case M.7541 – IAG/Aer Lingus, paragraphs 38 and 59, M.9287 – Connect Airways/Flybe, paragraph 45,

1203 Response to RFI 3, Annex 31; [Confidential details on ITA's future plans] response to RFI 44, question 1. The Response to the SO, paragraph 454.

both based on passengers and capacity, indicate that the Lufthansa holds a dominant position on the Rome-Hamburg route.

(1142) *Third*, contrary to the Parties' view that there is sufficient competitive pressure on the route,[1204] the Commission considers that the market is highly concentrated. Together with Wizz Air, which entered on the route with 4 weekly frequencies year-round,[1205] Lufthansa is the only other airline active on the Rome – Hamburg route with direct services, whereas, Air France-KLM has a very low market presence, and provides only indirect services. Accordingly, the Transaction would prevent the market structure increasing from two direct competitors (one network carrier and a ULCC) to three (two network carriers and a ULCC) (considering only those airlines which are providing direct services).

(1143) Additionally, Marabu Airlines, indicated by the Parties as a competitor on the route for just one season (IATA Summer 2023 Season), is not active on the route anymore. Marabu Airlines is a recently founded Estonian Airline which is focused on leisure travel. In response to the questionnaire of the Commission, Marabu Airlines submitted that its ticket sales are entirely handled by the German airline Condor (which is focused on leisure travel) and that it operates flights between Hamburg and Munich in Germany on the one hand, and Portugal, Spain, Sardinia, Croatia, Greece and Egypt on the other hand. It is therefore not active on the route Rome-Hamburg. Accordingly, Hamburg is not indicated as a destination on Marabu Airlines' website and Marabu Airlines has not listed this route amongst routes it intends to enter.[1206] Lastly, the Parties confirm, and the data submitted by the Parties indicate, that Marabu Airlines did not submit capacity data for Rome-Hamburg for the Winter 2023/24 and the Summer 2024 seasons.[1207]

(1144) Neos, the only airline with a non-negligible market share on this route with a 5% market share in the Summer 2023 IATA Season, confirmed that its flights between Hamburg and Rome are inclusive tour charter flights which are operated on behalf of cruise operators. This means that customers cannot purchase dry seats solely for transportation, and without purchasing the entire service of the cruise operator. As indicated above in Section 6.7, the Commission considers that these services are not in the same product market as scheduled air passengers services.[1208] The Parties confirm that to the best of their knowledge, Neos did not submit capacity data for Rome-Hamburg for the Winter 2023/24 season.[1209]

(1145) *Fourth*, Wizz Air is unlikely to exert a strong competitive constraint on the merged entity's operations in the future.

(1146) In the first place, Wizz Air's operations on the route could reduce in the future. Wizz Air has noted regarding the Rome-Hamburg route that a "*[r]eduction [of Wizz Air's activities] is expected in case of merger resulting market deterioration*" which

---

1204 Parties' Supplemental Submission on Direct/Indirect and Potential Future Short-Haul Overlaps, dated 2 May 2024, paragraphs 44-45 and paragraph 53-54.

1205 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 19, ID 11311.

1206 See flymarabu.com/en/#destinations, accessed on 6 March 2024 and reply of Marabu Airlines to question E.C.2. of the Short-Haul Questionnaire to Competitors, ID 12550.

1207 Form Co, footnote 996 and RFI 36, Annex 100.

1208 See for example, Non-confidential pre-notification request for information to NEOS, question 6, ID 947 and non-confidential minutes of a conference call with Neos, dated 16 February 2024, paragraph 7, ID 11599.

1209 Form Co, footnote 996.

indicates that Wizz Air's entry may be exploratory and does not necessarily ensure that sufficient competition will be maintained in the medium- and long-term.[1210]

(1147) The potentially precarious nature of Wizz Air's position in HAM is further indicated by Wizz Air's statements. Without mentioning HAM specifically, Wizz Air submitted in an earlier phase of the Commission's investigation that the strong presence of Lufthansa or ITA in certain airports has resulted in Wizz Air deprioritising airports.[1211] It also explained that "*Dominant hub carriers such as ITA and Lufthansa have an extensive network and established presence which gives them a competitive advantage. They have a significant share of slots, traffic, and routes. With this advantage these carriers can enter fare wars and dump capacity, engaging in predatory pricing. They have network strength, pricing power, market power and slot flexibility throughout the day to keep competition out of the market. They can optimize their offer on specific route. They will also be the biggest customer at the airport and can exert increased purchasing power on handling and fees. Wizz Air would not have the competitive clout, nor the slot portfolio or pricing power to compete for profit where such unfair competition is present.*"[1212]

(1148) In the second place, Wizz Air would be facing a frequency disadvantage compared to the merged entity in the summer season. Lufthansa currently operates seven weekly flights in the summer season (and four weekly flights in the winter season)[1213] which could be increased by [details on ITA's future plans]. By contrast, Wizz Air intends to operate only four weekly flights.

(1149) In the third place, evidence shows that competition is limited on routes between airports where Lufthansa holds a strong market position within the area formed by Germany, Austria, Switzerland and Belgium (DACHB). The route Rome-Hamburg would be a route between two airports where the merged entity holds a strong position after the Transaction. As described in Section 9.1.4.5, Lufthansa has managed to achieve and maintain consistently high market shares on such routes; where entry events are scarce and in the vast majority of the cases short-lived.

(1150) The above shows, that contrary to the Parties arguments, even considering Wizz Air's past successes in terms of entry into routes from Rome, the Commission cannot consider Wizz Air as a particularly stable and likely long-standing competitor based on the information available. The Commission notes, that even if it would consider Wizz Air as such, this would not change the overall conclusions drawn from the Commission's competitive assessment because the existence of one competitor on the route does not necessarily indicate that the Transaction would not raise competition concerns, especially considering the fact that Wizz Air is a ULCC carrier with limited frequencies and a different business model compared to that of Lufthansa and ITA (see Section 9.1.2 above).[1214]

(1151) In the fourth place, it is unlikely that Air France – KLM, which operates indirect flights on the route, will exercise a sufficient competitive constraint on the Parties, considering its very low market share on the route (mostly around 1% between

---

1210 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 20, ID 11311.

1211 Responses to question G.4.3.(a)-(h) of questionnaire 03 to short-haul competitors.

1212 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 20, ID 11311.

1213 Response of Lufthansa/ITA to request for information RFI 31, Q3, Annex 200.

1214 The Response to the SO, paragraph 450.

Summer IATA 2022 and Winter IATA 2023/2024 with the exception of Winter IATA 2022/2023, where it obtained a, still negligible, 3% market share).

(1152) *Fifth*, ITA would be likely to achieve a sizeable market share on the Rome-Hamburg route after entering the market.

(1153) In the first place, ITA was created by the Italian State on 9 October 2020 and is in fact in a "*ramp-up phase*".[1215] Nevertheless, ITA is already active on several routes with Rome on the one end of the route. Four of these are overlapping routes where both Lufthansa and ITA are active together with at least one ULCC or LCC competitor. As shown in Figure 70 below, ITA has gained significant market shares within two years of entry and experienced growth despite being a very recent entrant. On the Rome-Hamburg route [details on ITA's future plans].[1216] Considering that [details on ITA's future plans], it is likely that it will replicate a similar growth pattern on the Rome-Hamburg route as in these other routes.

Figure 70

Route	ITA entry	Market share (%) in IATA summer Season 2023	Market share (%) in IATA winter Season 2023/24[1217]
Rome-Frankfurt (FCO-FRA)	**2021**	**19%**	**14%**
Rome-Brussels (FCO-BRU)	**2021**	**20%**	**16%**
Rome-Munich (FCO-MUC)	**2021**	**18%**	**14%**
Rome-Zurich (FCO-ZUR)	**2021**	**18%**	**15%**

Source: IATA passenger data, RFI 36 Annex 100.

(1154) In the second place, [details on ITA's future plans].[1218]

(1155) *Sixth*, upon entering the Rome-Hamburg route, ITA would likely become a close, or even the closest, competitor to Lufthansa on the route.

(1156) ITA and Lufthansa are both network carriers operating similar business models and attracting similar types of customers (with a higher willingness to pay), whereas Wizz Air is an ULCC, operating a P2P business model and focused on price-sensitive leisure travel. (See section 9.1.2.1 above for more information). Even though Lufthansa operates on the Rome-Hamburg city pair through Eurowings (Lufthansa's LCC), generally LCCs' business model and marketing, in particular that of LCCs belonging to the same group as network carriers, differs from that of ULCCs such as Wizz Air. (See section 9.1.2.1 above for more information and in

1215 Response of Lufthansa and MEF to a Commission's request for information (RFI 28), question 1.

1216 Response of Lufthansa/ITA to the Commission's pre-notification Request for Information (RFI 3), question 8/ M. […]. Also considering the response of Lufthansa/ITA to the Commission's Request for Information (RFI 44), question 1.

1217 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023. This table therefore does not include 4 months of passenger data for Winter 2023/2024 (between December 2023 and March 2024).

1218 *See* response of Lufthansa/ITA to the Commission's pre-notification Request for Information (RFI 3), question 8/ […] and response of Lufthansa/ITA to the Commission's Request for Information (RFI 24) question 3. Also considering the response of Lufthansa/ITA to the Commission's Request for Information (RFI 44), question 1. ITA has not provided to the Commission its projected future weekly frequency of flights.

particular paragraphs (586)-(587)). The majority of competitors that expressed a view in the Commission's market investigation considered that Lufthansa and ITA are closer competitors of each other on many of the routes of interest compared to Wizz Air or other ULCCs (See section 9.1.2.1 above for more information). The Commission notes that the above does not mean that Wizz Air exerts no competitive pressure on Lufthansa on this route. However, it shows that the competitive pressure exerted by Wizz Air is limited, while ITA would be at least a close competitor to Lufthansa, if not the closest upon entry.[1219]

(1157) *Seventh*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.

(1158) In the first place, the relevant airports are to an extent congested. In particular, HAM is a level 3 coordinated airport. Moreover, the average congestion level per hour band for the scheduled weekly flights of Lufthansa on the ROM-HAM pair are as follows: from ROM (FCO) during Summer IATA Season 2023 ranging between 37-58% and from HAM ranging between 0-46%. During the Winter IATA Season 2022/23 the same congestion levels were ranging between 44-63% (FCO) and 21-46% (HAM).[1220] In addition, from Hamburg more than half of the departing direct flights are operated by Lufthansa.[1221] (See also 6.5.3.5 above).]

(1159) In the second place, the Parties' market share on the route and combined slot holding in HAM will be significantly high, indicative of market power and will act as a barrier to entry and expansion. Furthermore, the merged entity would hold a high number of slots at FCO. The Parties' market shares and slot holdings are a strategy advantage that they can and do use to prevent entry or expansion by competitors and/or to make competitors reduce or terminate operations on a route; and this strategy has shown success in the past (See section 9.1.4.2 above for more information). Specifically, the merged entity would account for around 51% of the flights at HAM airport as well as 25-27% of the flights at FCO airport.[1222]

(1160) Despite the fact that the HAM catchment area is potentially served by two airports, the results of the Commission's market investigation and internal documents of the Parties support that (i) "*there is a general preference of the majority of passengers to fly from their local airport*"[1223] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.3 above for more information and in particular Figure 54).

(1161) *Eighth*, there is specific evidence showing that the Transaction is likely to result in negative effects.

(1162) In the first place, while some indicated that they did not know, the vast majority of competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on potential competition or future competition on routes between Italy on the one hand and Germany, Austria, Belgium and/or Switzerland on

---

1219 The Parties Response to the SO, paragraphs 451-453.

1220 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

1221 Form Co, Figure 67.

1222 Form CO, Figures 55 and 67.

1223 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.

the other hand to be negative.[1224] While the views of customers on the impact of the Transaction on potential competition or future competition on routes between Italy on the one hand and Germany, Austria, Belgium and/or Switzerland on the other hand are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[1225] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.3 for more detailed results).

(1163) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(1164) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.3.1.3.2. There are no sufficient number of other potential competitors which could maintain sufficient competitive pressure post-Transaction

(1165) The Commission's market investigation has not been able to confirm the likely, timely and sufficient entry by any other carrier than the entry by Wizz Air discussed above in section 9.3.1.3.1.[1226] In addition, the Commission's investigation has not revealed any further information which would substantiate the Parties claim that the route is attractive for new entrants.

9.3.1.4. Conclusion

(1166) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the fact that Lufthansa holds a dominant market position on the Rome-Hamburg route, that the market is concentrated with only one other competitor active (Wizz Air), that ITA would likely become the main and a close, if not the closest, competitor of Lufthansa absent the Transaction, that there are barriers to entry and expansion, that there is a lack of prospect of likely, timely and sufficient entry on the route and that there is specific evidence on the likely negative effects of the Transaction, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Rome – Hamburg by removing the potential competition exerted by ITA on the market.

9.3.2. Milan – Vienna

9.3.2.1. Market structure

(1167) The market structure on the route Milan-Vienna in terms of passengers transported is set out in Table 55 below.

1224 Replies to question I.4 of questionnaire 03 to short-haul competitors.
1225 Replies to question H.4 of questionnaire 06 to customers of both short-haul and long-haul flights.
1226 Replies of competitors to question E.C.2. of the Short-Haul Questionnaire to Competitors.

Table 55: Milan-Vienna market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1227]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
Lufthansa Group	26%	16%	31%	37%	27%	31%
[LIN-VIE]	23%	-	-	-	-	-
[MXP-VIE]	3%	16%	31%	37%	27%	31%
Parties Combined	**26%**	**16%**	**31%**	**37%**	**27%**	**31%**
Ryanair	63%	72%	69%	63%	73%	69%
[BGY-BTS]	<1%	13%	17%	17%	16%	10%
[BGY-VIE]	31%	23%	26%	23%	39%	40%
[MXP-VIE]	31%	36%	25%	24%	17%	19%
Wizz Air *[MXP-VIE]*	11%	13%	-	-	-	-
Other *[MXP-VIE]*	-	<1%	<1%	-	-	-
Delta HHI	-	-	-	-	-	-
Post HHI	4 746	5 528	5 693	5 362	6 037	5 741
Total Pax City Pair	**137 207**	**139 164**	**298 521**	**198 396**	**419 029**	**164 376**

Source: IATA passenger data, RFI 50 Annex 100.

(1168) The market structure on the route Milan-Vienna in terms of capacity (number of seats operated) is set out in Table 56 below.

Table 56: Milan-Vienna market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways *[MXP-VIE]*	<1%	-	-	<1%	-	-	-
Lufthansa Group	42%	24%	45%	47%	42%	41%	43%
[LIN-VIE]	33%	-	-	-	<1%	-	-
[MXP-VIE]	9%	24%	45%	47%	42%	41%	43%
Parties Combined	**42%**	**24%**	**45%**	**47%**	**42%**	**41%**	**43%**
Etihad Airways *[MXP-VIE]*	4%	5%	3%	-	-	-	-
Ryanair	45%	59%	52%	53%	58%	59%	57%
[BGY-BTS]	<1%	9%	14%	15%	13%	9%	11%
[BGY-VIE]	21%	17%	18%	18%	31%	34%	32%
[MXP-VIE]	24%	32%	19%	19%	14%	15%	13%
Wizz Air *[MXP-VIE]*	9%	12%	<1%	-	<1%	-	-
Other	-	<1%	<1%	-	-	<1%	-
[BGY-VIE]	-	-	-	-	-	-	-
[MXP-VIE]	-	<1%	<1%	-	-	<1%	-
Delta HHI	*5*	*0*	*0*	*12*	*0*	*0*	*0*
Post HHI	*3 864*	*4 202*	*4 727*	*5 016*	*5 113*	*5 161*	*5 091*
Total Seats City Pair	***251 808***	***280 649***	***476 197***	***254 892***	***578 679***	***347 066***	***590 774***

Source: IATA passenger data, RFI 31, Q8.

[1227] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

(1169) On the Milan-Vienna city pair the following plausible alternative geographic market definitions exist in line with the market definition findings on the catchment areas:

(a) On the Milan end of the route LIN and MXP may belong to one catchment area together with BGY or, alternatively, LIN and MXP may be separate from BGY (See 6.5.3.6 above).

(b) On the Vienna end of the route VIE and BTS may belong to one catchment area or VIE may be considered as a separate market from BTS (See 6.5.3.11 above).

(1170) The Commission's assessment below considers the widest plausible market definition, in which LIN, MXP and BGY on the one hand, and VIE with BTS on the other hand belong to the same catchment areas. Therefore, the market shares and concerns outlined below reflect this plausible definition.

(1171) However, the assessment below would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (where the Transaction would still give rise to potential horizontal overlaps).

(1172) The Commission notes that if on the Milan end of the route:

(a) only LIN and MXP were to be considered, the concerns outlined below would not only continue to be relevant under any plausible alternative market definitions on the Vienna end of the route but would be amplified due the removal of a significant portion of Ryanair's activities from the competitive landscape as Ryanair mostly operates from BGY. In this context, the narrowest possible market definition would be the one where, the activities of the Parties would overlap on LIN and MXP on the Milan end of the route and VIE on the Vienna end of the route.

(b) if only BGY were to be considered on the Milan end of the route, there would be no need to assess any of the overlaps under any plausible market definition on the Vienna end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from BGY). .

(1173) The Commission also notes that if on the Vienna end of the route:

(a) Only VIE were to be considered, the concerns outlined below would not only continue to be relevant but would be amplified due to the reduction of Ryanair's activities, under all plausible market definitions on the Milan end of the route.

(b) Only BTS were to be considered, there would be no need to assess any of the overlaps under any plausible market definition on the Milan end of the route because there would be no overlap arising due to the activities of the Parties (as neither operates from BTS).

(1174) The Parties' market share would increase under all the plausible narrower market definitions where the Transaction gives rise to horizontal overlaps (i.e., with fewer airports considered) since this would lead to a reduction of Ryanair's activities.

(1175) Table 57 below sets out the Parties and their competitor's market shares under the plausible alternative (and narrowest possible) market definition.

Table 57: Milan-Vienna market shares for the alternative narrowest plausible market definition by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1228]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
Lufthansa Group	38%	24%	55%	61%	61%	62%
Parties Combined	**38%**	**24%**	**55%**	**61%**	**61%**	**62%**
Ryanair	46%	56%	45%	39%	39%	38%
Wizz Air	16%	20%	-	-	-	-
Other	-	<1%	<1%	-	-	-
Delta HHI	-	-	-	-	-	-
Post HHI	3 796	4 111	5 054	5 232	5 253	5 287
Total Pax City Pair	**93 894**	**89 930**	**169 713**	**119 326**	**186 238**	**81 575**

Source: IATA passenger data, RFI 50 Annex 100.

9.3.2.2. Lufthansa and MEF's view

(1176) Lufthansa and MEF submit that Lufthansa (Austrian Airlines) and Ryanair are the main airlines serving the route Milan-Vienna. The Parties explained that if ITA was to operate this route, the merged entity would face a sufficient pressure from (i) Ryanair which held a very strong market share of 75% in Summer 2023 IATA Season and increased its frequencies both Winter IATA 2023/2024 and Summer IATA 2024, and (ii) potential additional entry or expansion by airlines such as easyJet and Wizz Air which already operated the route and would not face any slot restriction that could prevent them from entering the route. Moreover, the Parties submit that ÖBB offers a daily direct overnight train connection between Milan and Vienna that constitutes a viable alternative for some passengers.[1229] In response to the Commission's Article 6(1)(c) decision Lufthansa and MEF have added that the Commission (i) should perform a route-specific closeness of competition assessment, (ii) should consider the airport of operation of Lufthansa, its competitors and ITA, and (iii) did not make an accurate interpretation of Lufthansa's internal documents.[1230] In their Response to the SO, the Parties argue that [details on ITA's future plans]. Moreover, the Parties note that, as ITA is currently not active in Vienna, its entry in VIE would result in sunk costs and significant additional investments which need to be taken into account, especially considering also Ryanair's active presence. The Parties also consider that evidence that ITA would become Lufthansa's closest competitor upon entry is "very thin" while Ryanair has been growing on this route. The Parties also argue that there is confidential information on potential new entry in the Commission's case file and contest that the LCC presence in VIE would be shrinking based on certain metrics.[1231]

(1177) Lufthansa and MEF further submit that the future overlaps, including Milan - Vienna were identified in the Form CO based on [details on ITA's future plans].[1232]

1228 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

1229 Form CO, paragraphs 1532-1540.

1230 Response to the Article 6(1)(c) decision, paragraph 232-236. This view was reiterated in Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 28-29.

1231 Response to the SO, paragraphs 258, 458-465. The Commission notes that this confidential evidence was made available to the Parties' legal counsels over the data room process.

1232 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 27.

[details on ITA's future plans].[1233] Finally, Lufthansa and MEF argue that Ryanair's strong (and expanding) market position on the route demonstrates that the competitive pressure exerted by the latter is significant and should eliminate concerns of potential loss of potential competition on the route.[1234]

9.3.2.3. The Commission's assessment

(1178) For a merger with a potential competitor to have significant anti-competitive effects, two basic conditions must be fulfilled, as explained in paragraph (400) above. Evidence that a potential competitor has plans to enter a market in a significant way could help the Commission to reach such a conclusion.[1235]

(1179) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position on the route Milan – Vienna by removing the potential competition exerted by ITA on the market. In any event, the Commission also concludes that the Transaction would also significantly impede effective competition as a result of the elimination of important competitive constraints that ITA's potential market entry had exerted on Lufthansa on the route Milan-Vienna.

9.3.2.3.1. There is a significant likelihood that ITA would grow into an effective competitive force

(1180) There is a significant likelihood that ITA would grow into an effective competitive force on the Milan-Vienna route for the following reasons.

(1181) *First*, contrary to the Parties' view,[1236] [details on ITA's future plans].[1237] [Details on ITA's future plans].[1238]

(1182) In the first place, [Details on ITA's future plans].[1239] [Details on ITA's future plans].

Table 58[1240]

[Details on ITA's future plans]

Source: Response of the Parties to the Commission's Request for Information […]

(1183) In the second place, the Commission considers it likely that ITA [details on ITA's future plans].[1241] Thus, the Commission concludes that, [details on ITA's future plans].

(1184) In this context, [details on ITA's future plans].[1242] [Details on ITA's future plans].[1243] [Details on ITA's future plans].

1233 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 30-31.

1234 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 25-16

1235 Horizontal Merger Guidelines, paragraphs 58 and 60.

1236 Parties' Supplemental Submission on Direct/Indirect and Potential Future Short-Haul Overlaps, dated 2 May 2024, paragraphs 47-52.

1237 […]; see also Form CO, paragraph 1532.

1238 Response to RFI 3, Annex 31; […] response to RFI 44, question 1.

1239 Lufthansa and MEF's response to a Commission's request for information (RFI 50), question 11 and Annex "RFI 50 – ITA Annex Q11".

1240 In addition to […], the Commission refers to (i) the entire content of Lufthansa and MEF's response to a Commission's request for information (RFI 50), question 11 and […]; and (ii) the clarifications submitted by the Parties […] in Lufthansa and MEF's response to a Commission's request for Information (RFI 51), questions 4-9, as evidence supporting the conclusions drawn regarding ITA's likelihood of entry on MIL-VIE.

1241 Lufthansa and MEF's response to a Commission's request for information (RFI 53).

1242 Response of Lufthansa and MEF to a Commission's request for information (RFI 51), question 4.

Figure 71

[….]

Source: Response of Lufthansa and MEF to a Commission's request for information […].

(1185) Moreover, [details on ITA's future plans],[1244] [details on ITA's future plans].[1245] The Commission concludes, [details on ITA's future plans] considered prior to the implementation of the 2023-2027 Business Plan. The Parties' arguments, namely that the document clearly [details on ITA's future plans].[1246]

(1186) In the third place, the Commission reiterates that despite several requests for information, ITA did not provide any explanations which could put in question the Commission's conclusion that [details on ITA's future plans].[1247]

(1187) In the fourth place, the Commission notes that Ryanair has been expanding its activities on Milan – Vienna. In Response to the SO, the Parties point out that Ryanair's increase of its frequencies [details on ITA's future plans][1248] [details on ITA's future plans].[1249] [Details on ITA's future plans].[1250] [Details on ITA's future plans],[1251] [details on ITA's future plans].

(1188) In any event, even if Ryanair's capacity increase [details on ITA's future plans].

(1189) In light of the Parties' Response to the SO, the Commission reiterates that [details on ITA's future plans].[1252] Therefore, the Commission concludes that [details on ITA's future plans].[1253]

(1190) *Second*, Lufthansa currently holds a sizeable market share on the Milan-Vienna route. Based on the market share data in Table 55, Lufthansa's market shares (through Austrian Airlines) range between 16% and 37% between Summer IATA Season 2021 and Winter IATA Season 2023/24. In terms of capacity (Table 56, number of seats operated), Lufthansa holds significantly higher market shares, ranging around 25-47% between Summer IATA Season 2021 and Summer IATA Season 2024. These are the market shares before a potential market entry of ITA and are therefore not equal to the market situation if ITA enters the market.

(1191) *Third*, contrary to the Parties' view that there is sufficient competitive pressure on the route,[1254] the Commission considers, first that the market is highly concentrated. Lufthansa is currently facing competition from only one competing airline, Ryanair. Ryanair held a market share of 67% in the Winter IATA Season 2023/2024 and 73%

1243 Based on paragraph (91) of the Form Co, Lufthansa and the MEF entered into a memorandum of understanding to negotiate on 27 January 2023.

1244 […].

1245 Response of Lufthansa and MEF to a Commission's request for information (RFI 15(b)), […].

1246 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 29.

1247 Response of Lufthansa and MEF to a Commission's request for information (RFI 53), question 1(b); and Response of Lufthansa and MEF to a Commission's request for information (RFI 54), question 5.

1248 Parties' Supplemental Submission on Direct/Indirect and Potential Future Short-Haul Overlaps, dated 2 May 2024, paragraph 50.

1249 Lufthansa and MEF's Response to the SO, paragraph 455.

1250 Form CO, paragraph 1519.

1251 Form CO, paragraph 1535.

1252 Response to RFI 3, Annex 31; […] response to RFI 44, question 1. The Response to the SO, paragraph 454.

1253 Response to RFI 3, Annex 31[…] response to RFI 44, question 1. The Response to the SO, paragraph 459.

1254 Parties' Supplemental Submission on Direct/Indirect and Potential Future Short-Haul Overlaps, dated 2 May 2024, paragraphs 44-45 and paragraph 53-54.

in the Summer IATA Season 2023. In terms of capacity (number of seats), Ryanair's market share is significantly lower, as it held 59% in Winter 2023/2024 IATA Season and will hold a market share of 57% in the Summer IATA Season 2024. The Commission notes that large majority (around 75%) of the operations of Ryanair on the Milan-Vienna route is from BGY which suggests less close competition between Ryanair and Lufthansa and (potentially) ITA as explained above in paragraph (1201).

(1192) Second, Lufthansa does not currently compete with a network carrier on Milan – Vienna. Instead, it competes solely with an ULCC. Accordingly, the Transaction would prevent the market structure from increasing from two competitors (one network carrier and a ULCC) to three (two network carriers and a ULCC).

(1193) *Fourth*, Ryanair is unlikely to exert a sufficiently strong competitive constraint on the merged entity's operations in the future. A large majority (around 75%) of the operations of Ryanair on the Milan-Vienna route is already from BGY as explained in paragraph (1201) of this Decision. While Ryanair has expressed its general intention to continue operating at VIE, the Commission considers that there is the clear risk that Ryanair as a dynamic and cost-driven airline would discontinue operating or operating at lower scale the route Milan-Vienna and/or more generally at VIE in the medium- and long-term for the following reasons: In the first place, the ULCC competitors Ryanair and Wizz Air (which is currently not active on this route and plans to maintain this situation dependent on the outcome of the Transaction)[1255] have both explained to the Commission that (i) they have a general preference for low-cost secondary / regional airports as cost driven carriers and (ii) it is pivotal for them to ensure that each and every short haul passenger generates profit in order for their low-cost business model to function. In particular:

(a) Ryanair has submitted that *"[t]here is a general bias toward flag carriers [such as Austrian] that immediately puts Ryanair at a disadvantage*" (i.e. customers have a preference for flag/network carriers as opposed to ULCCs). Moreover, Ryanair explained that "*Low-cost carriers have significantly lower profits per passenger than flag-carriers. Therefore, the margin for error for low-cost carriers is much smaller. Flag-carriers attract higher yielding customers who are willing to pay significantly higher fares to fly with their chosen carrier. Low-cost carriers rely on low costs to maintain the lowest fares to attract customers*". Ryanair added that "*When airport charges increase, flag-carriers business model allows them to pass on cost increases to the customer without impacting demand to the same extent that passing cost increases on to customers would for a low-cost carrier. As explained above, Lufthansa's business model allows them to absorb cost increases by passing them onto the customer. As low-cost carriers cannot do this without impacting demand, cost increases hurt Lufthansa's competition and often reduce in capacity cuts that result in Lufthansa gaining higher market share on routes and in airports without having to increase capacity themselves. As a result, consumers end up paying higher fares*". These statements indicate that Ryanair's position at primary airports in general (such as VIE) is far more precarious than that of Lufthansa and ITA, which are capable of extracting higher prices from passengers and offset any of their potential losses on short-haul by relying on their long-haul operations. Ryanair also explained that it had to cease its operation in FRA and close its base in BRU due to airport charge

1255 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, question 23, ID 11311.

increases, which Lufthansa did not appeal together with other airlines. This indicates that for Lufthansa it is generally preferrable to allow cost-driven airlines to exit primary airports, rather than to express disagreement against airport charge increases.[1256] These circumstances appear to be applicable throughout primary airports where Ryanair may be active and, therefore, are also relevant for the assessment regarding Ryanair's position in VIE.

(b) Wizz Air has submitted that the strong presence of Lufthansa and ITA in certain airports has resulted in Wizz Air deprioritising certain airports.[1257] It explained that Lufthansa has an extensive network and established presence paired with a significant share of "*Dominant hub carriers such as ITA and Lufthansa have an extensive network and established presence which gives them a competitive advantage. They have a significant share of slots, traffic, and routes. With this advantage these carriers can enter fare wars and dump capacity, engaging in predatory pricing. They have network strength, pricing power, market power and slot flexibility throughout the day to keep competition out of the market. They can optimize their offer on specific route. They will also be the biggest customer at the airport and can exert increased purchasing power on handling and fees. Wizz Air would not have the competitive clout, nor the slot portfolio or pricing power to compete for profit where such unfair competition is present.*" Wizz Air added that "*Milan-Vienna is maintained under consideration, however dependent on the outcome of the LH-ITA merger.*"[1258]

(1194) Therefore, there is the risk that both Ryanair and Wizz Air would choose to switch operations fully to BTS and exit VIE in the future (Ryanair already operates from BTS in part on this route) considering Ryanair's and Wizz Air's submissions above and the general preference of LCC/ULCC carriers to operate from secondary/regional airports as explained above in paragraphs (512), (587), (602) and (604). While BTS may be in the catchment area encompassing VIE, these ULCCs would then lose the level-playing field maintained by having operations in a primary airport, and customers would lose convenient access to the air transport services of these ULCCs. This would result in less close competition between Lufthansa and the ULCCs post-Transaction.

(1195) In the second place, the Commission considers that, while the competitive pressure exerted on Lufthansa in VIE is currently entirely attributable to ULCCs, Lufthansa's internal documents show that conditions for these market players are likely to deteriorate. Notably, Lufthansa states that […].[1259] […].[1260] Lastly, the Commission notes that internal documents of Lufthansa suggest that […].[1261] In addition, based on Lufthansa's internal documents cited above, […].

(1196) The Commission acknowledges that the above documents show that LCCs / ULCCs compete with Lufthansa and ITA. Nevertheless, the above documents, considered together with the submissions of the competitors of Lufthansa described in this

1256 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, questions 7 and 30, ID 11422.

1257 Responses to question G.4.3.(a)-(h) of questionnaire 03 to short-haul competitors.

1258 Non-confidential response of Wizz Air to a Commission's request for information (RFI II-1), dated 13 February 2024, questions 20 and 23, ID 11311.

1259 Form CO, Annex M.11071 - RFI 1 - DLH Annex 9 - […].

1260 Form CO, Annex M.11071 - RFI 3 - DLH Annex 5 – […]. See the Response to the SO, paragraph 464.

1261 Form CO, Annex M.11071 - RFI 3 – DLH Annex 50 – […].

section indicate that Lufthansa has the possibility to successfully leverage its market position against LCC / ULCC competitors, which have limited ability to retaliate or to compete effectively against Lufthansa. Therefore, the competitive pressure exerted by these carriers appears limited and could shrink in the future. For more details see also 9.1.2.1.

(1197) In the third place, the Commission also notes that Ryanair has clearly indicated that Lufthansa's market position has caused it to deprioritize VIE in the past and to cancel several routes from VIE due to the overly dominant position of Lufthansa on those routes. Ryanair also noted that "*Lufthansa/ITA hold 59% of the total slots. Their dominant market share substantially inhibits the development of low-cost competitors which impacts customers*".[1262] Upon further queries from the Commission, Ryanair has explained that, while it may open new route or expand on routes originating from airports, such as VIE, it also cancelled 7 routes from/to VIE where Lufthansa has a dominant position based on its market share according to Ryanair just in the period between April 2023 and March 2024. Ryanair has noted in this respect that "*When a competitor controls the kind of market shares on routes and airports as seen above [in VIE, BRU, ZRH, FRA, MUC and DUS], it becomes extremely difficult for Ryanair to compete. Loyalty programs, bias towards national carrier and feeder traffic for long-haul flights give Lufthansa and Lufthansa's subsidiaries an advantage on routes and in certain airports. This has prevented us from being profitable on Lufthansa dominated routes and airports and as a result we have had to leave.*"[1263] In view of the above, while Ryanair may currently have a relatively strong presence and some growth perspective at VIE, based on its substantiated submissions, it appears that Ryanair is deprioritizing / exiting routes where it competes with Lufthansa. In particular, Ryanair has submitted that it has cancelled the routes Oslo Torp-Vienna, Dortmund-Vienna, Kosice-Vienna, Menorca-Vienna, and Sibiu-Vienna. On all of these routes Lufthansa currently has a strong market position (market shares above 50 %) according to Ryanair as indicated above.[1264] Considering also the slot portfolio which would become available to Lufthansa on the Milan-end of the route post-Transaction (in particular a dominant position at LIN) and the fact that Milan-Vienna would become a route for the merged entity between two airports where it holds a very strong, if not dominant position after the Transaction, it cannot be excluded that the combined entity would be successful in achieving a Ryanair exit or capacity reduction on the route. This could result in achieving a dominant or even monopoly position for the merged entity as opposed to a scenario absent the Transaction, where dynamic competition is considerably more likely to prevail.

(1198) In the fourth place, evidence shows that competition is limited on routes between airports where Lufthansa holds a strong market position within the DACHB area. The route Milan-Vienna would become a route between airports where Lufthansa holds a strong, if not dominant, position after the Transaction. As described in section 9.1.4.5, Lufthansa has managed to achieve and maintain consistently high market shares on such routes; entry events are scarce and in the vast majority of the cases short-lived.

1262 Response of Ryanair to questions G.4.1 - G.4.4 of questionnaire 03 to short-haul competitors, ID 12597.

1263 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, question 22, ID 11422.

1264 Non-confidential response of Ryanair to a Commission's request for information (RFI II-1), dated 13 February 2024, questions 7 and 30, ID 11422. ID 11422, question 22.

(1199) *Fifth*, ITA would be likely to achieve a sizeable market share on the Milan-Vienna route after entering the market.

(1200) In the first place, ITA was created by the Italian State on 9 October 2020 and is in fact in a "*ramp-up phase*".[1265] Nevertheless, ITA is already active on several routes with Milan on the one end of the route. Five of these are overlapping routes where both Lufthansa and ITA are active together with at least one ULCC or LCC competitor. As shown in table Table 59 below ITA has gained significant market shares within two years of entry and experienced growth despite being a very recent entrant. Considering that on the Milan-Vienna route ITA is planning to enter the route utilising LIN on the Milan end and VIE on the Vienna end (i.e. primary airports on both ends), it is not only likely that ITA will replicate the same growth pattern on this route, but in fact it is possible that it will exceed it, considering that Lufthansa flights operate between MXP and VIE, meaning that ITA would have an airport advantage as it would operate between two airports closest to the respective city centres of Milan and Vienna (LIN and VIE) against Lufthansa's (and other competitors') flights.[1266]

Table 59

Route	ITA entry	Market share (%) in IATA summer Season 2023	Market share (%) in IATA winter Season 2023/24
Milan-Brussels (LIN-BRU)	**2021**	**18%**	**20%**
Milan-Düsseldorf (LIN-DUS)	**2021**	**11%**	**19%**
Milan-Frankfurt (LIN-FRA)	**2021**	**16%**	**22%**
Milan-Hamburg (LIN-HAM)	**2021/2022**	**21%**	**<1%**
Milan-Stuttgart (LIN-STR)	**2021**	**38%**	**62%**

Source: IATA passenger data, RFI 36 Annex 100.

(1201) In the second place, [details on ITA's future plans].[1267]

(1202) *Sixth*, upon entering the Milan-Vienna route, ITA would likely become a close, or even the closest, competitor to Lufthansa on the route.

(1203) In the first place, ITA and Lufthansa (through Austrian Airlines) are both network carriers operating similar business models and attracting similar types of customers (with a higher willingness to pay), whereas Ryanair is an ULCC, operating a P2P business model and focused on price-sensitive leisure travel. (See section 9.1.2.1 above for more information). The majority of competitors that expressed a view in the Commission's market investigation considered that Lufthansa and ITA are closer competitors of each other on many of the routes of interest compared to Ryanair or other ULCCs (See section 9.1.2.1 above for more information).

1265 Response of Lufthansa and MEF to a Commission's request for information (RFI-28), question 1.

1266 See Section 6.5.3.11 and 6.5.3.6 of this Decision.

1267 *See* response of Lufthansa/ITA to the Commission's pre-notification Request for Information (RFI 3), question 8/ […] and response of Lufthansa/ITA to the Commission's Request for Information (RFI 24) question 3. Also considering the response of Lufthansa/ITA to the Commission's Request for Information (RFI 44), question 1. […].

(1204) In the second place, Lufthansa (through Austrian Airlines) operates the Milan-Vienna city pair from [details on ITA's future plans] (VIE).[1268] By contrast, a portion of Ryanair's operations involve BTS rather than VIE. On the Milan end, Lufthansa and Ryanair both operate at least partially from the same airport (MXP) [details on ITA's future plans].[1269] However, a large majority (around 75%) of the operations of Ryanair on the Milan-Vienna route is from BGY. As mentioned above, the majority of customers and airport managers who expressed an opinion were of the view that BGY is not or only partially substitutable with LIN and MXP.[1270] On this basis, flights utilising BGY and/or BTS for the Milan-Vienna route do not compete as closely as flights using either MXP or LIN on the Milan end and VIE on the Vienna end of the route.

(1205) Therefore, on this route, upon entry, ITA's offering would constitute a very high-quality offer in terms of airports of operations, as it would operate between two airports closest to the respective city centres of Milan and Vienna (LIN and VIE). This also indicates that – even if they would operate from different airports on the Milan end of the route, the Parties would compete closely with each other, as two higher quality (in terms of airports, service offering, etc. see 9.1.2 *et seq*) offers compared to the ULCC offer of Ryanair. The Commission notes that the Parties arguments emphasizing the growth of Ryanair on the route does not change the results of this assessment. Notably, while Ryanair appears to have been successful in the past years on this route, this does not change the facts that the route is concentrated with two players present and Lufthansa and ITA would compete closely upon ITA's entry.[1271]

(1206) Lastly, the Commission notes that the overall travel times submitted by the Parties (considering the travel time from city centre to city centre on both ends of the route) also show that airlines operating a city pair from secondary airports of proximity do not compete as closely with airlines operating a route from the same primary airports. Notably, the overall travel time considering MXP and VIE (Ryanair and Lufthansa present) is around 2 hours 19-24 minutes. The overall travel time is approximately 2 hours 9 minutes when considering BGY and VIE (Ryanair present). In contrast the overall travel time is approximately 2 hours 55 minutes when considering BGY and BTS (Ryanair present). This shows that Lufthansa and ITA would (upon ITA's entry) compete closely with each other considering the entirety of their activities and the shorter travel times than they do with at least a significant portion of Ryanair's activities (those focused on BTS rather than VIE).[1272]

1268 Response of Lufthansa/ITA to a Commission's pre-notification Request for Information (RFI 3), question 8/ […].

1269 The Response to the SO, paragraph 461. The Commission notes that having a more advantageous position in terms or airport of operations is another factor indicating that ITA would be a close competitor of Lufthansa, since Lufthansa's airports of operations would likely be the second most appealing to customers after ITA's, while Ryanair's operations are tied to another regional airport at least partially on both ends of the route (BGY and BTS).

1270 Responses to questions D.A.2 and D.A.4 of questionnaire 01 to airport managers and question C.F.2 of questionnaire 06 to customers of both short-haul and long-haul flights.

1271 The Response to the SO, paragraph 462.

1272 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

(1207) *Seventh,* as further explained in section 9.1.4, there are several barriers to entry and expansion on the route.[1273]

(1208) In the first place, the relevant airports are to an extent congested. This is demonstrated by the fact that, from the Milan end, all LIN, MXP and BGY are Level 3 Coordinated Airports, whereas from the Vienna end, VIE is a Level 3 Coordinated Airport (i.e., demand significantly exceeds the airports' capability), whereas BTS is Level 2 Non-Coordinated Airport (i.e., there is potential for congestion during some periods of the day, week, or season).[1274]

(1209) Moreover, the average congestion rate per hour band data for Summer IATA Season 2023 at LIN ranges between 73% and 98% between 5:00 am and 9:00 pm, whereas at MXP it ranges namely between 40% and 85%, and 23% and 64% and at VIE between 30% and 129%.[1275]

(1210) The average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Milan-Vienna city pair are as follows: from MXP during Summer IATA Season 2023 ranging between 43-72% and from VIE between 52-68%. During Winter IATA Season 2022/2023, the average congestion level per hour band for the scheduled weekly flights of Lufthansa on the Milan-Vienna city pair are as follows: from LIN ranging between 77-94% and from VIE between 58-129%.[1276] The above figures indicate that LIN and VIE are significantly slot constrained (including during the time of operation of Lufthansa).

(1211) In the second place, Ryanair explained that VIE airport is considered a "*high cost airport*" and that airport charges could act as a barrier to entry and expansion and render VIE less attractive, especially for ULCC and LCC competitors.[1277]

(1212) In the third place, the Parties' combined slot holding in VIE and LIN will be significantly high, indicative of market power and will act as a barrier to entry and expansion. The Parties' market shares and slot holdings are a strategy advantage that they can and do use to prevent entry by competitors; and this strategy has shown success in the past (See section 9.1.4.2 above for more information). When looking at all direct flights departing from VIE, Lufthansa is historically strong at this airport, and continues to have a share above 40% considering direct flights departing from VIE.[1278]

(1213) Despite the fact that both the Milan and Vienna catchment areas are served by several airports, the results of the Commission's market investigation and internal documents of the Parties support that (i)*"there is a general preference of the*

1273 The Commission notes that while there are several barriers to entry and expansion on the route, it does not expect that this would result in an unsuccessful entry by ITA. [Details on ITA's future plans]. Moreover, it has also already entered a number of routes which similar barriers (including ULCC/LCC carriers as a competitors present) in the recent past and is currently operating on those routes successfully after gaining significant market shares. (See Response to the SO, paragraph 460.).

1274 List of IATA Coordinated Airports (available at: https://www.iata.org/en/programs/ops-infra/slots/coordinated-airports/#:~:text=Level%202,day%2C%20week%2C%20or%20season.), accessed on 13 March 2024.

1275 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 1), DLH Annex 38.

1276 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), DLH Annex 135.

1277 Non-confidential minutes of a conference call with Ryanair, dated 10 October 2023, paragraph 13, ID 2367.

1278 Form CO, paragraphs 1102-1104.

majority of passengers to fly from their local airport"[1279] and thus entering a secondary airport would not allow competitors to compete closely with the Parties (see section 9.1.2.2 above for more information); and that (ii) Lufthansa uses its strong market position in primary airports to eliminate competition on both primary and secondary airports of the same catchment area. (See section 9.1.4.2 above for more information and in particular Figure 54).

(1214) *Eighth,* the Commission notes that the majority of customers who expressed a view within the framework of the Commission's market investigation consider that night train services are not close substitutes for short-haul flights.[1280] Therefore, the Commission finds that train services would not exert a sufficient out-of-market competitive constraint on the Parties' operations after the Transaction (for further detail see also section (635)).

(1215) *Ninth*, there is specific evidence showing that the Transaction is likely to result in negative effects.

(1216) In the first place, while some indicated that they did not know, the vast majority of competitors active on short-haul routes and expressing an opinion considered the impact of the Transaction on potential competition or future competition on routes between Italy on the one hand and Germany, Austria, Belgium and/or Switzerland on the other hand to be negative.[1281] While the views of customers on the impact of the Transaction on potential competition or future competition on routes between Italy on the one hand and Germany, Austria, Belgium and/or Switzerland on the other hand are overall mixed and inconclusive, a significant proportion of responding customers consider the impact to be negative.[1282] In addition, several market participants have identified negative effects stemming from Lufthansa's past acquisitions of short-haul carriers in the EEA (see Section 7.7.4 for more detailed results).

(1217) In the second place, a finding that the impact of the Transaction on this route is negative is in line with the Commission's regression analysis which shows that a reduction in the number of direct competitors on a short-haul route as well as the elimination of competition by ITA is associated with significantly higher prices (see Section 7.7.2 for more detailed results).

(1218) In the third place, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see Section 7.7.1).

9.3.2.3.2. There are no sufficient number of other potential competitors which could maintain sufficient competitive pressure post-Transaction

(1219) The Commission's market investigation has not been able to confirm the likely, timely and sufficient entry by any carrier on the route Milan-Vienna.[1283] Notably, the results of the Commission market investigation shows only vague considerations of potential actions on the routes of concern. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to

1279 Response of easyJet to question C.A.1.2. of questionnaire 03 to short-haul competitors, ID 12368.
1280 Responses to question D.B.5 of questionnaire 06 to short- and long-haul customers.
1281 Replies to question I.4 of questionnaire 03 to short-haul competitors.
1282 Replies to question H.4 of questionnaire 06 to customers of both short-haul and long-haul flights.
1283 Replies of competitors to question E.C.2. of the Short-Haul Questionnaire to Competitors.

enter these routes, and the generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions. [1284]

9.3.2.4. Conclusion

(1220) In light of the common considerations on short-haul routes explained in section 9.1, and in view of the above findings related in particular to the fact that Lufthansa holds a sizeable market position on the Milan-Vienna route, that the market is concentrated with only one other competitor active, that the medium- and long-term position of the current ULCC competitors in the primary airport VIE is uncertain in the light of Lufthansa's aggressive strategies, that ITA would likely become the main and a close, if not the closest, competitor of Lufthansa absent the Transaction, that there are barriers to entry and expansion, that there is a lack of prospect of likely, timely and sufficient entry on the route, that train services do not exert a sufficient competitive constraint and that there is specific evidence on the likely negative effects of the Transaction, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Milan-Vienna by removing the potential competition exerted by ITA on the market. In any event, for the same reasons, the Commission concludes that the Transaction would significantly impede effective competition as a result of the elimination of important competitive constraints that ITA's potential market entry had exerted on Lufthansa on the route Milan-Vienna.

9.3.3. Conclusion

(1221) In light of the common considerations on short-haul routes explained in section 9.1, and the considerations above regarding the routes of concerned, the Commission concludes that (i) in the Rome-Hamburg route the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition and (ii) in the Milan – Vienna route the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position or, in any event, as a result of the elimination of important competitive constraints that ITA's potential market entry had exerted on Lufthansa) under any plausible market definition.

9.4. Competitive assessment of direct-indirect overlaps (current)

9.4.1. Introduction

(1222) The Transaction gives rise to 287 direct/indirect overlaps on O&D routes between Italy on the one hand, and Austria, Belgium, Germany and Switzerland on the other. As explained in section 6.6 above, indirect short-haul flights do not generally provide a competitive constraint to direct short-haul flights absent exceptional circumstances, for example, the direct connection does not allow for a one-day return trip or the share of indirect flights in the overall market is significant.

(1223) Given that, as eventually confirmed at this stage by the market investigation in the present case and evidence in the file, it cannot be excluded that indirect flights exert a competitive constraint on direct flights, the Commission will consider that direct and indirect flights between the same O&D are part of the same market when

[1284] Contrary to the Response to the SO, paragraph 463. The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

indirect flights represent at least 10% of passengers on the route (see section 6.6 above).

(1224) In this context, the Commission clarifies that it does not take into account indirect flights in its assessment of the direct/direct overlaps in sections 9.2 and 9.3 above, unless the share of passengers choosing to fly indirectly on each of these routes is above 10%. The only routes where the share of passengers flying indirectly is above 10% are the Milan-Hamburg (actual overlap) and Rome-Hamburg (potential overlap) routes, and thus, the Commission considers indirect flights and takes into consideration the competitive constraints exerted by indirect flights on direct flights (for more information, see Sections 9.2.4 and 9.3.1 above).

9.4.2. Criteria for the assessment of likely problematic direct/indirect overlapping routes

(1225) The Commission, consistent with its previous practice,[1285] has applied the following filters for direct/indirect overlap routes to exclude likely unproblematic routes from the scope of its investigation (the criterion must have been met in all the four last completed IATA Seasons (i.e., Winter IATA 2021/2022 to Summer IATA 2023):

(a) The Parties' combined market share was below 25%; or

(b) One of the Parties had a market share below 2%; or

(c) Short-haul routes where the total share of indirect operations in the relevant market was below 10%; or

(d) At least one end of the city pair is outside the EU and the total annual traffic was below 30 000 passengers; or

(e) The route was below the HHI thresholds of paragraph 20 of the Horizontal Merger Guidelines.

(1226) By applying these filters, the Commission excluded 234 routes from the scope of its investigation.

(1227) Furthermore, following the exclusion of 234 routes, in order to assess whether a significant impediment to effective competition would arise on any of the remaining 53 routes with direct/indirect overlaps, the Commission conducted an individual, route-by-route assessment, and although its assessment was not limited to, it focussed in particular on, those where:

(a) The Parties' combined market share was equal to or above 40% in at least one of the four IATA Seasons between IATA Winter 2021/2022 and IATA Summer 2023; and,

(b) The increment brought by the Transaction was equal to or above 5% in at least one of the four IATA Seasons between IATA Winter 2021/2022 and IATA Summer 2023.

(1228) The Commission's approach is in line with (i) paragraph 17 of its Horizontal Merger Guidelines, which indicates that very large market shares (50% or above) may in themselves be evidence of the existence of a dominant position but that also mergers with firms holding market shares between 40% and 50% could lead to the creation or strengthening of a dominant position; and (ii) Union Courts' past decisional practice,

[1285] Cases M.9287 – Connect Airways / Flybe, paragraph 379; M.7541 – IAG/Aer Lingus, paragraphs 151 *et seq*.; and, M.7333 – Alitalia/Etihad, paragraphs 171 *et seq*. See also Case M.5830 – Aegean/Olympic, footnote 365.

where they consistently held that there is a presumption of dominance when an undertaking enjoys a market share of 50% or above. Moreover, this view is also in line with the Commission's past decisional practice, as it focusses the Commission's assessment on those overlapping routes where the increment brought by the Transaction is 5% or above to identify those markets where the competition removed is likely to matter for customers.[1286]

(1229) That said, the Commission has also taken into account in its assessment the pre-existing market position of the merging parties, mainly whether one of the merging parties already holds an entrenched dominant or near-monopoly position on the route, and whether the Transaction would therefore remove in essence the only outstanding competitive constraint in the market, even if the increment in market share is relatively low.

(1230) Based on its route-by-route assessment, the Commission considers that the Transaction would significantly impede effective competition in either both or one of the two IATA seasons on 8 routes.

(1231) On 7 of these routes, (i) the Transaction would result in a high combined market share held by the Parties post-Transaction (>50%), (ii) the increment brought by the Transaction would be sizeable (>5%), (iii) the passengers choosing indirect flights represent a significant amount in relation to the overall market size (>10%); and, (iv) there are no other competitors apart from one of the two Parties (Lufthansa) operating direct flights (either from the same airports or from secondary airports of proximity). These routes are the following: from Brindisi to Düsseldorf ('BDS – DUS'), from Bari to Frankfurt ('BRI – FRA'), from Bari to Munich ('BRI – MUC'), from Bari to Hamburg ('BRI – HAM'), from Naples to Frankfurt ('NAP – FRA'), from Naples to Düsseldorf ('NAP – DUS'), and from Cagliari to Munich ('CAG – MUC').

(1232) On 1 of these routes, (i) the Transaction would result in a high combined market share held by the Parties post-Transaction (>50%), (ii) the increment brought by the Transaction would be smaller than 5%, but there are specific circumstances related to expected growth by ITA or an expected monopoly position after the Transaction (meaning that the Transaction would remove in essence the only remaining constraint), (iii) the passengers choosing indirect flights represent a significant amount in relation to the overall market size (>10%); and, (iv) there are no other competitors apart from one of the two Parties (Lufthansa) operating direct flights (either from the same airports or from secondary airports of proximity). This route is Naples – Hamburg ('NAP – HAM').

9.4.3. Lufthansa and MEF's views

(1233) The Parties' contest the Commission's approach as well as the significant impediment to effective competition Commission's conclusion that the Transaction would result in a significant impediment to effective competition on the 8 above-mentioned direct/indirect short-haul overlaps.[1287] The Parties' general views are summaries as follows.

1286 For examples of cases where the Commission cleared overlaps due to the low increment in market shares of less than 5% see for example Cases M.8862 – GBT/HRG, paragraphs 112 and 147 and M.8862 – GBT/HRG, paragraphs 118; 128-129; 144-145; 150-152 and 169.

1287 Parties' Supplemental Submission on Direct/Indirect and Potential Future Short-Haul Overlaps, Updated Version dated 2 May 2024, Section A; and, Parties' Response to the SO. The Commission

(1234) *First*, in a submission dated 27 February 2024, Lufthansa and MEF expressed their view that:

(a) indirect connections do not constitute a relevant competitive constraint on short-haul routes; and,

(b) overlaps between the Parties on direct/indirect routes are of no competitive relevance for purposes of assessing the Transaction.[1288]

(1235) Through the submission, the Parties argue the following:

(a) That the results of the Commission's market investigation do not support the view that indirect connections between Italy on the one hand, and Austria, Belgium, Germany and Switzerland on the other hand constitute a relevant competitive constraint on short-haul routes;[1289]

(b) That the Parties are not aware of any competitor that would monitor and/or actively and deliberately track indirect short-haul flights to strategically develop them;[1290]

(c) That the Parties' high combined market share on certain seasons of the direct/indirect short-haul overlaps is not an indication of market power, but rather a result of the low absolute number of passengers travelling on these routes;[1291] and,

(d) That in line with its past decisional practice,[1292] the Commission should deem the routes where a strong competitor exerts sufficient competitive constraint on the Parties unproblematic.[1293]

(1236) *Second*, in a subsequent submission dated 12 March,[1294] the Parties contest:

(a) The way that the Commission is counting the overall passenger numbers for the purposes of its assessment, because, in their view "*bi-directional volumes artificially inflate passenger numbers, without adding value to the assessment. To the contrary, taking into account both directions conveys the (wrong) impression that routes with minimal passenger volumes have a higher travel*

---

notes that the Parties submissions described have included arguments for 11 routes, however the Commission has decided to exclude BDS-STR, NAP-STR and ROM-STR following the Parties' Observations on the Second Letter of Facts, dated 14 May 2024 and due to the planned exit of ITA from the Milan-Stuttgart route (see Section 9.2.5 above).

1288 Lufthansa and MEF's submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes, dated 27 February 2024, paragraph 3.

1289 Lufthansa and MEF's submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes, dated 27 February 2024, paragraphs 27 *et seq.*

1290 Lufthansa and MEF's submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes, dated 27 February 2024, paragraphs 24 and 27.

1291 Lufthansa and MEF's submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes, dated 27 February 2024, paragraph 31.

1292 Case M.9287 – Connect Airways / Flybe, paragraph 411.

1293 Lufthansa and MEF's submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes, dated 27 February 2024, paragraph 35.

1294 Parties' submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes - Supplement statement on direct/indirect short-haul overlaps, dated 12 March 2024.

volume than they de facto do", arguing that they are not aware of an established decisional practice in this regard [1295] as well as,

(b) The criteria applied by the Commission for the purposes of its assessment of short-haul direct-indirect overlaps in the present case, arguing that they either do not follow its past decisional practice or that they neglect the fact that indirect flights cannot constitute a material competitive constraint on direct services.[1296]

(1237) *Third*, in a submission dated 18 March 2024, the Parties argued that on the specific direct/indirect routes with respect to which the Commission preliminarily considered that the Transaction could result to a significant impediment of effective competition, the share of leisure/touristic passengers is relatively high in particular in the summer seasons and for traffic flows originating from Germany/Switzerland.[1297] Although the Parties state that they do not call into question the general O&D approach to market definition for these routes, they note that due to the high share of *"destination insensitive passengers"*[1298] flying on these routes, the merged entity ability and incentive to increase prices post-Transaction would be constrained by the fact that a high share of passengers does not need to go to the specific Italian end of the O&D but would opt for another destination (or another travel date) if the offer of a competitor is more attractive.[1299]

(1238) *Fourth*, in their Response to the SO, the Parties submit that in its assessment, the Commission needs to take into account for the purposes of its substantive assessment: (i) that passenger numbers are low on some of the routes; (ii) the high seasonality of the majority of the direct/indirect overlaps (which is evident from the difference in passenger numbers between the two IATA seasons); (iii) that most passengers on these routes are leisure passengers (75% originating from the German end of the route) that prefer direct flights; (iv) the low share of indirect passengers; (v) the interchangeability of the Italian end of the routes with other holiday destinations in Italy and the Mediterranean that exercise out-of-market constraints on these routes; and, (vi) on the routes involving Naples, there are out-of-market constraints from the airports in Rome, as FCO is connected by way of 2:00 hour train from Naples Central Station.[1300]

(1239) *Fifth,* in a submission dated 2 May 2024,[1301] the Parties argued that if the Commission were to apply its filters, thresholds and/or reasoning as done in its past decisional practice, such as M.9287 – *Connect Airways / Flybe*[1302] and a number of

---

1295 Parties' submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes - Supplement statement on direct/indirect short-haul overlaps, dated 12 March 2024, paragraph 2.

1296 Parties' submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes - Supplement statement on direct/indirect short-haul overlaps, dated 12 March 2024, paragraph 7.

1297 Response to RFI-48, paragraph 18.

1298 That is, passengers that might consider flying to different city or holiday airports without having a clear preference for one destination. Response to RFI-48, paragraph 22.

1299 Response to RFI-48, paragraph 26.

1300 Response of Lufthansa and MEF to the SO, paragraphs 366-372.

1301 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024.

1302 Case M.9287 – Connect Airways / Flybe.

other cases,[1303] the Commission could not have found a significant impediment to effective competition on the 8 routes identified in paragraphs (1228) and (1229) above.[1304] More specifically, the Parties refer to the following filters / thresholds:

(a) The application of an annual traffic filter, to exclude competition concerns on routes with less than 30 000 passengers per annum;[1305]

(b) The application of a filter that the Commission, in fact, already applied, namely the criterion that excludes a significant impediment to effective competition on short-haul routes where the total share of indirect operations in the relevant market was below 10%. The Parties, however, advocate that the filter should have been applied in a different way than that in the Commission's past decisional practice. [1306] More specifically, according to the Commission's precedents, this filter is applied in parallel with four other filters, in a way that all five criteria must have been met in the four last completed IATA seasons (see paragraph (1222)). Instead, the Parties suggest that, (i) the filter should be applied for every season that the Commission assesses; and/or (ii) due to the high seasonality of the 11 direct/indirect overlaps for which the Commission was concerned about a potential significant impediment to effective competition this threshold should have been applied for Summer and Winter IATA seasons separately. In the Parties' view, this is substantiated by the fact that the vast majority of passengers fly directly in summer seasons and their weigh in the overall demand, which makes direct offers decrease significantly in winter seasons;[1307]

(c) A more lenient application of the increment considered as low, in line with past decisions where the Commission concluded that an increment of around 5%,[1308] below 5%,[1309] or up to 5%[1310] on an affected direct/indirect overlap was very low and that such routes did not give rise to significant impediment to effective competition.[1311] The Parties further argue that due to the high seasonality of the 11 direct/indirect overlaps for which the Commission is concerned about a potential significant impediment to effective competition this threshold should have been applied looking at Summer and Winter IATA seasons separately;[1312] and,

---

1303 The Parties also identify, Cases M.3280 – Air France/KLM; M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic; M.8361 – Qatar Airways/Alisarda/Meridiana; M.7541 – IAG/Aer Lingus, M.7333 – Alitalia/Etihad; M.5747 – Iberia/British Airways; and M.5335 – Lufthansa/SN Airholding.

1304 This view is also reiterated by the Parties in Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 48.

1305 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraphs 7-9.

1306 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 7.

1307 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 12.

1308 Case M.9287 – Connect Airways/Flybe, paragraph 410 *et seq*.

1309 Case M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraph 197 *et seq*.

1310 Case M.7541 – IAG/Aer Lingus, paragraph 412 *et seq*.

1311 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraphs 7 and 13-14.

1312 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 15.

(d) Exclusion of routes where (at least) one party discontinued its activities on these routes for reasons unrelated to the transaction.[1313]

(1240) According to the same submission, the Parties argue the following.

(1241) For the direct/indirect short-haul routes where the Commission was concerned about a potential significant impediment to effective competition, ITA's indirect offer cannot be considered a significant competitive constraint over Lufthansa's direct offer. Given that the latter does not offer direct services daily, the driver for indirect traffic is the fact that the direct offering is not available to passengers on a daily basis (and hence the indirect option becomes attractive only on the days of the week when a direct flight is not available). According to the Parties, this means that ITA's indirect offer is complementary to and not in competition with Lufthansa's direct offering.[1314] That the city pairs where the Commission was concerned about a significant impediment to effective competition are characterised by strong seasonality (i.e., the city pairs mostly popular over the summer season and serve as holiday / leisure routes) which justifies why the share of passengers flying indirectly is lower over the summer seasons and why the share of direct flights is low over the winter seasons. Thus, indirect flights do not provide a material competitive constraint to direct flights over summer.[1315]

(1242) *Fifth*, in their Observations on the Second Letter of Facts, the Parties explain that on some of the routes where the Commission was concerned about a potential significant impediment to effective competition as a result of direct/indirect overlaps, in one of the two IATA Seasons (i.e., Winter) neither Lufthansa nor ITA offer direct services. That is to say, the overlap arising on some of these routes over Winter IATA Season is, in reality, an indirect/indirect one. Consequently, the Parties argue that, considering that on certain direct/indirect overlaps arising as a result of the Transaction, the Parties' services only overlap indirectly for a significant share of the relevant seasons, these indirect/indirect overlaps should be assessed accordingly, and separately from the direct/indirect overlaps.[1316]

9.4.4. The Commission's assessment

(1243) With reference to the above-mentioned submissions of the Parties, the Commission notes the following.

(1244) *First*, the Commission's market investigation found that indirect connections between Italy on the one hand, and Austria, Belgium, Germany and Switzerland on the other hand constitute a relevant competitive constraint on short-haul routes where indirect flights represent 10% or above of the overall market size (see section 6.6.3.1 above).

(1245) *Second*, internal documents prepared by Lufthansa and ITA show the importance of indirect short-haul flights.

1313 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraphs 7 and 16-18.

1314 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraphs 21, 23, 25, 27, 29, 34, 35, 37, 38 and 41.

1315 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraphs 21, 25, 29, 32, 37 and 40.

1316 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 46.

(1246) When calculating the potential price increases to be expected after the Transaction (see section 7.7.1 above for more detailed information), Lufthansa included […].[1317] This shows that, according to Lufthansa's view, competition from […] matters as its removal can lead to price effects.

(1247) Furthermore, Figure 72 below shows that […].

Figure 72

[…]

Source: Response of Lufthansa and MEF to a commission's request for information (RFI 30), dated 16 February 2024, ID 11078, page 13.

(1248) Likewise, other competitors also monitor indirect competition on short-haul routes.[1318] In this context, Wizz Air confirms that it "*monitors competition on all relevant routes (...) as part of its strategic evaluation (...)*" and that various factors are taken into consideration, including "*direct and indirect O&D passenger flows*".[1319] Moreover, although NEOS considers that once a city pair is served by sufficient direct connections, indirect flights are not competitive when it comes to point-to-point short-haul routes, it also confirms that "*indirect connections become relevant when the direct offering is not sufficient (e.g., in terms of weekly frequencies etc). Indirect short-haul flights often exert competitive pressure on direct short-haul flights, especially to/from smaller airports in Italy, e.g., to Catania and the airports of Sardinia. (...) Overall, when there are two direct connections offered, passengers would likely not consider indirect flights as these two direct flights exert sufficient competition on each other. NEOS highlights that summer and winter seasons must be distinguished when considering flights to less well-connected regions of Italy, as these flights are often seasonal*".[1320]

(1249) Furthermore, despite the Parties' arguments that, to their knowledge, airlines generally do not strategically develop indirect flights, the extract from an internal document in Figure 73 below prepared by Lufthansa in its ordinary course of business shows that the Parties consider that indirect connections are an important element of their business, as they result in benefits to passengers, including increased connectivity. The document suggests […],[1321] […].

Figure 73

[…]

Source: Response of Lufthansa and MEF to a Commission's request for information […].

(1250) <u>*Third*</u>, the Commission neither contests, nor deviates through its assessment from the approach that direct and indirect flights compete less with one another when other strong direct competitors are active on a route. This is reflected in how the Commission does not find in the present Decision any significant impediment to effective competition on routes where another competitor was active with a direct flight (even from secondary airport(s) of proximity on one or even both ends of the

---

1317 RFI 35, Annex Q6, including routes such as Bari-Munich.

1318 Response of Wizz Air to questions C.4.1. and C.4.2. of questionnaire 03 to short-haul competitors, 12134.

1319 Response of Air France-KLM to a Commission's request for information (RFI II-1), dated 13 February 2024, question 17, ID 11426.

1320 Non-confidential minutes of a conference call with Neos, dated 16 February 2024, paragraphs 24-26, ID 11599.

1321 Response of Lufthansa and MEF to a Commission's request for information (RFI 15a), […].

route). In particular, -available IATA data on passenger preferences suggest that (i) passengers favour direct connections compared to indirect connections, where both options are available, but that (ii) normally when only one direct flight is available a non-negligible share of passengers choose an indirect flight as demonstrated in Table 60 below. Thus, contrary to the Parties' view, the Commission did consider in its assessment of short-haul direct/indirect overlaps the competitive constraint imposed by alternative direct flights (if any).

Table 60: Share of direct and indirect passengers on 11 direct/indirect overlapping and 10 direct/direct overlapping short-haul routes more closely investigated – based on data from IATA Summer season 2023

Route	Share of pax		Total pax	# of direct connections	Airlines with direct connection on route
	Direct	Indirect			
MILAN-BRUSSELS (MIL-BRU)	99%	1%	432975	3	ITA AIRWAYS, LUFTHANSA GROUP, RYANAIR
ROME-BRUSSELS (ROM-BRU)	98%	2%	425245	3	ITA AIRWAYS, LUFTHANSA GROUP, RYANAIR
MILAN-VIENNA (MIL-	100%	0%	420803	2	LUFTHANSA GROUP, RYANAIR
MILAN-DUESSELDORF	97%	3%	395239	3	ITA AIRWAYS, LUFTHANSA GROUP, RYANAIR
ROME-ZURICH	98%	2%	262103	4	EASYJET, ITA AIRWAYS, LUFTHANSA GROUP, WIZZ AIR
ROME-MUNICH	99%	1%	195068	4	ITA AIRWAYS, LUFTHANSA GROUP, RYANAIR, WIZ AIR
MILAN-HAMBURG	87%	13%	182521	4	ITA AIRWAYS, LUFTHANSA GROUP, (NEOS), RYANAIR
ROME-FRANKFURT	98%	2%	181963	3	ITA AIRWAYS, LUFTHANSA GROUP, RYANAIR
MILAN-FRANKFURT	100%	0%	177636	3	ITA AIRWAYS, LUFTHANSA GROUP, RYANAIR
ROME-HAMBURG	67%	33%	102382	3	LUFTHANSA GROUP, WIZZ AIR, MARABU AIRLINES
NAPLES-DUESSELDORF	87%	13%	89063	1	LUFTHANSA GROUP
NAPLES-FRANKFURT	91%	9%	83799	2	LUFTHANSA GROUP, OTHER
BARI-FRANKFURT	88%	12%	63054	2	LUFTHANSA GROUP, RYANAIR
NAPLES-HAMBURG	52%	48%	46749	2	FLEXFLIGHT, LUFTHANSA GROUP
BARI-MUNICH	93%	7%	31000	1	LUFTHANSA GROUP
CAGLIARI-MUNICH	90%	10%	22946	1	LUFTHANSA GROUP
BRINDISI-DUESSELDORF	86%	14%	19664	1	LUFTHANSA GROUP
BARI-HAMBURG	52%	48%	19132	1	LUFTHANSA GROUP

Source: IATA passenger data, RFI 36 Annex 100.

(1251) *Fourth*, the Commission notes that the use of bi-directional data to count the overall market sizes is in line with its past decisional practice. For example, in M.3280 – *Air France / KLM*,[1322] the Commission explains that it uses MIDT[1323] (i.e., Market

[1322] Case M.3280 – Air France / KLM.

[1323] Case M.3280 – Air France / KLM, paragraphs 86 et seq.

Information Data Tapes, which is information sourced from airline booking systems). The number of passengers reported using MIDT corresponds to the sum of the number of bookings for each of the two legs or one-way flights (and not for each return flight); and thus provide bi-directional data, in the sense that they count each passenger twice if they purchased a round-trip and once if they purchased a one way trip.

(1252) Moreover, in M.5335 – *Lufthansa/SN Airholding*,[1324] and M.5747 – *Iberia/British Airways*,[1325] the parties refer to MIDT traffic data. Finally, even though in M.5747 – *Iberia/British Airways*, the Commission acknowledges certain limitations of MIDT in terms of coverage (i.e., it does not cover direct bookings with airlines, thus excluding LCCs) it did not change approach in terms of the use of bi-directional data, for the application of exclusion filters (i.e., those mentioned in paragraph (1222) above). The Commission has followed this practice of using bi-directional data ever since. Deviating from this practice now, in line with what the Parties suggest, would result in doubling the filter the Commission has used in the past to exclude certain routes from its review.

(1253) *Fifth*, the Commission's exclusion filters (i.e., those mentioned in paragraph (1222) above) are consistent with its past decisional practice.

(1254) In the first place, the Parties assert that the application of a 30 000 annual passenger threshold is necessary for the assessment of short-haul direct/indirect overlaps.[1326] Nonetheless, this view is inaccurate because, as established in the Commission's past decisional practice (see paragraph (1222) above), this filter does not constitute a general filter applied by the Commission, unless one end of the city pair is outside the EU.

(1255) Even though the Commission took into consideration the number of passengers on intra-EU short-haul direct/indirect overlaps in the past,[1327] this was one element among others in the Commission's assessment and was not used as filter to exclude routes entirely from the Commission's assessment. Furthermore, the Commission is not bound to follow its past practice if that means that it would leave unaddressed markets where the Transaction would significantly impede effective competition. The Commission, however, reviews the past decisions that the Parties refer to below:

– M.9287 – *Connect Airways/Flybe*

(1256) In *Connect Airways/Flybe*, the transaction gave rise to 22 direct/indirect short-haul affected markets after the application of the filters in paragraph (1222) above,[1328] Out of these 22 overlaps, all of which were ultimately cleared, the Commission did not find a significant impediment to effective competition on the basis of very low passenger numbers on 8 routes. On 5 of these 8 routes, the annual passenger number was <5 000, whereas for the remaining 3, the annual passenger number was between 15 000 and 30 000.

1324 Case M.5335 – Lufthansa/SN Airholding.
1325 Case M.5747 – Iberia/British Airways.
1326 Parties' submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes - Supplement statement on direct/indirect short-haul overlaps, dated 12 March 2024, paragraph 8.
1327 Case M.2041 – United Airlines / US Airways, paragraph 64.
1328 Case M.9287 – Connect Airways/Flybe, paragraph 58.

(1257) By way of comparison, the present case gave rise to 53 direct/indirect short-haul affected markets after the application of the filters in paragraph (1222) above (i.e., more than double the overlaps of *Connect Airways / Flybe*, indicating that the network issue arising in this present case is, more significant than that in *Connect Airways / Flybe.* This is because Lufthansa and ITA are network carriers which cover more routes, by offering connectivity to many destinations from their hubs, and thus resulting in several overlaps). Furthermore, if the Commission were to disregard from its assessment, routes where the annual passenger number did not exceed 30 000 in its assessment of the short-haul direct/indirect overlaps arising as a result of this Transaction, it would have dismissed, without conducting a route-specific assessment 22 routes (i.e., almost three times the routes cleared in *Connect Airways / Flybe* based on annual traffic) and disregarding (i) the fact that on many of those routes, the Transaction would result in the elimination of the only competitive constraint imposed on Lufthansa's direct operations, namely ITA's indirect operations; and (ii) the effects on connectivity in on these routes resulting from the fewer available options, in terms of alternative carriers operating on the routes, post-Transaction.

(1258) In the present case the Commission did not raise concerns on any routes with annual passenger number <20 000[1329], whereas it only finds a significant impediment to effective competition on 4 routes where the annual passenger number was >20 000 and <30 000 (and in 3 of these routes, significant impediment to effective competition was found only on a seasonal basis). In the present case, the application of a 30 000 passenger filter or fragmentation by season) to identify potentially problematic routes(would (i) disaggregate a competition problem caused by network competition; and (ii) would prevent the Commission from effectively looking into the clearly more significant network issue arising in this case (i.e., significantly more direct/indirect overlaps arising as a result of this Transaction) as a result of the Transaction resulting of the merger of the significant route coverage and networks which two network carriers, Lufthansa and ITA bring to the table and (iii) into routes with a larger amount of passengers in the aggregate compared to *Connect Airways / Flybe.* Consequently, it would be unjustifiable to leave unaddressed markets where it cannot be excluded based on objective criteria that the Transaction would significantly impede effective competition (and more specifically, that would result in a monopoly post-Transaction) based on a higher passenger traffic filter that was not, in any event, defined by the Commission as a filter for intra-EEA routes (for the filters, see 9.4.2 above).

– M.7333 – *Alitalia/Etihad*

(1259) In *Alitalia/Etihad*, the Commission concluded no significant impediment to effective competition on one short-haul route (i.e., Copenhagen-Catania for the IATA winter season) because passenger numbers were very low during this season (i.e., <3 000).[1330] As indicated in paragraph (1255) above, in this case the Commission did not raise concerns on any routes with annual passenger number <20 000.[1331]

1329 The number of annual passengers was calculated by the Commission based on Winter IATA 2022/2023 and Summer IATA 2023 passenger data.

1330 Case M.7333 – Alitalia / Etihad, paragraphs 299 and 311.

1331 The number of annual passengers was calculated by the Commission based on Winter IATA 2022/2023 and Summer IATA 2023 passenger data.

– M.6607 – *US Airways/American Airlines*

(1260) The Parties compare the assessment of 27 direct/indirect overlaps in *US Airways/American Airlines* with the direct/indirect short-haul overlaps arising in this case.[1332] However, this comparison is inaccurate, as the direct/indirect overlaps in the former relate to routes where at least one end of the city pair is outside the EU and thus, the filter for the exclusion of routes of less than 30 000 passengers becomes applicable, as already explained in 9.4.2 above. By contrast, in this present case the Commission looked intosignificant impediment to effective competition in relation to direct/indirect overlaps in routes where both ends of the city pairs are located inside the EU. Considering that the Commission set different filters for routes with (at least) one leg outside of the EU and for routes with both legs within the EU as already indicated in paragraph (1222) above, *US Airways/American Airlines* is not a relevant precedent that binds the Commission's assessment in this present case.

– M.3280 – *Air France/KLM*

(1261) The Parties compare the assessment of 2 direct/indirect overlaps in *Air France/KLM* with the direct/indirect short-haul overlaps arising in this case.[1333] However, this comparison is inaccurate.

(1262) The Commission's analysis of the Eindhoven – Paris city pair in *Air France / KLM* concerned potential overlaps,[1334] and therefore, the question considered was whether the route would give incentives for market entry by one of the two parties. In the present case, the Commission only looked into the effects of the Transaction on actual overlaps in its short-haul direct/indirect assessment, and thus, looked into significant impediment to effective competition on city pairs where both Parties are already active (one with a direct and the other with an indirect connection). Moreover, similarly to *Air France / KLM*, in the present case the Commission assessed and decided to not raise concerns on 7 direct/indirect short-haul potential overlaps where it considered that it would be too speculative to assume that one of the Parties would have the incentive to enter.

(1263) Additionally, as regards the Clermont/Ferrand-Amsterdam city pair in *Air* France*/KLM,* the Commission concluded that no competition concerns were deemed to arise for a combination of reasons, including a low annual passenger number of <8 000 and the fact that less than 10% of transfer passengers took connecting flights in Amsterdam.[1335] In this context, the Commission repeats its view that, as indicated in paragraph (1255) above, in the present case the Commission did not raise concerns on any routes with annual passenger number <20 000[1336] with the exception of one route with 19 784 passengers (i.e., more than double the annual passenger number concerned on the Clermont/Ferrand-Amsterdam city pair in *Air France/KLM*).

(1264) In the second place, the Parties argue for an application of the filter excluding competition concerns from short-haul routes where the total share of indirect

---

1332 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 8.

1333 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 8.

1334 Case M.3280 – Air France/KLM, paragraph 83.

1335 Case M.3280 – Air France/KLM, paragraph 83.

1336 The number of annual passengers was calculated by the Commission based on Winter IATA 2022/2023 and Summer IATA 2023 passenger data.

operations in the relevant market was below 10% (see paragraph (1222) above), in a way that is not compatible with the Commission's past decisional practice (see paragraph (1235)(b) above). The Commission clarifies that the application of this filter in the present case does not deviate from, and in fact, is in line with its past decisional practice.

(1265) Further this filter is merely a first step in the analysis, identifying the routes where connectivity depends also on indirect services and where accordingly customers place value on indirect connections, across years and seasons. Even, after the application of this filter, routes where indirect flights do not exert sufficient competitive pressure on direct flights can still be filtered out on the route-by-route competitive assessment, where the Commission conducts a more calibrated assessment of the market share increment compared to the pre-existing position of the other merging party.

(1266) The application in the present case of the criterion (i) over every relevant season and/or (ii) separately by Summer and Winter IATA seasons as suggested by the Parties, would neither be justified nor appropriate, as it not only would imply an unjustified departure from prior Commission practice but, more importantly, it would prevent the Commission from effectively looking into routes where the overall share of indirect flights remains substantial, and, in some cases, where the Transaction would result in the last constraint to the (only existing) direct flight removed or in quasi-monopoly situations..

(1267) In the third place, the Parties assert that the application of a "around 5% increment" filter is necessary and/or that the Commission is following a stricter approach compared to its past decisional practice for the assessment of short-haul direct/indirect overlaps.[1337] Contrary to the Parties' view, the actual filter that the Commission applied to exclude likely unproblematic routes from its scope of concerns, in relation to the increment brought by the Transaction, was below 2%. Therefore, the fact that the Commission focused its assessment in this present case, on routes where the increment brought by the Transaction was 5% or above over at least one IATA Season between Winter IATA 2021/2022 and Summer 2023 already shows a more lenient approach than the Commission's filters.

(1268) Furthermore, the Commission notes the following regarding its past decisional practice cited by the Parties.[1338]

– M.9287 – *Connect Airways/Flybe*

(1269) Even though the Commission considered a "*around 5% increment*" to be low and that competition concerns could be excluded for the assessment of short-haul direct/indirect overlaps,[1339] this was one element among others in the Commission's assessment and was not used as filter to exclude routes entirely from the Commission's assessment. Furthermore, the Commission is not bound to follow its past practice if that means that it would leave unaddressed markets where the Transaction would significantly impede effective competition.

1337 Parties' submission on the competitive irrelevance of indirect connections on short-haul routes and indirect/indirect overlaps on long-haul routes - Supplement statement on direct/indirect short-haul overlaps, dated 12 March 2024, paragraph 11; and, Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraphs 7 and 13-14.

1338 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 13.

1339 Case M.9287 – Connect Airways / Flybe, paragraph 410.

– M.8964 – *Delta/Air France-KLM/Virgin Group/Virgin Atlantic*

(1270) The Commission concluded that an increment of *up to 5%* on an affected direct/indirect overlap was very low (also taking into account that other airlines would exert competitive pressure on the parties post-transaction).[1340] The more lenient approach that the Commission followed in the above-mentioned case is in line with the Commission's approach in the present case, where the Commission focuses its route-by-route assessment mostly on routes where the increment brought by the Transaction was equal to or above 5% in at least one of the four IATA Seasons between IATA Winter 2021/2022 and IATA Summer 2023 (see paragraph (1224) above).

(1271) Furthermore, the Commission notes that, in *Delta/Air France-KLM/Virgin Group/Virgin Atlantic,* the Commission did not focus its assessment on certain direct/indirect overlaps, due to a combination of elements, e.g., the increment brought by the transaction being up to 5%, together with the fact that other direct competitors were active and exercising competitive pressure on the parties. Similarly, in the present case, the Commission considered but eventually excluded from its scope of concerns, routes where other direct competitors are active, and only focuses its assessment on routes where (i) there are no other competitors active and offering direct flights, and (ii) the competitors offering indirect flights collectively only capture an insignificant market share (a competitive fringe) compared to the combined market share of the Parties, which resembles a monopoly or quasi-monopoly situation.

– M.7541 – *IAG/Aer Lingus*

(1272) The approach taken in the case M.7541 – IAG/Aer Lingus is in line with the Commission's approach in this present case as well, as the Commission focuses its route-by-route assessment mostly on routes where the increment brought by the Transaction was equal to or above 5% in at least one of the four IATA Seasons between IATA Winter 2021/2022 and IATA Summer 2023 (see paragraph (1224) above).

(1273) Exceptionally, for the route NAP – HAM, where the increment brought by the Transaction would be smaller than 5%, see paragraph (1229) above for an explanation of the specific circumstances that led to the Commission finding a significant impediment to effective competition.

(1274) Additionally, it shall be noted that that the low increment brought by the Transaction was accepted to justify that the Transaction does not result in significant impediment to effective competition in several short-haul direct/indirect overlaps where the Commission considered it as a sufficient justification (e.g., city pair Naples – Düsseldorf over the Summer IATA season, Bologna – Zurich and Genoa - Munich).

(1275) Furthermore, the application of the criterion (i) over every relevant season and/or (ii) separately by Summer and Winter IATA seasons as suggested by the Parties,[1341] would neither be justified nor appropriate, as it would part from prior Commission practice without any justification and prevent the Commission from effectively looking into routes where there may be competition concerns, in particular where the

1340 Case M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraph 197 *et seq*.

1341 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 15.

Transaction would result in the last constraint to the (only existing) direct flight removed or in quasi-monopoly situations.

(1276) *Sixth*, with respect to the Parties' argument on alternative holiday destinations and "*destination insensitive passengers*", the Commission notes the following.

(1277) In the first place, the results of its investigation indicate that the O&D approach remains appropriate to investigate the effects on competition of the Transaction. In the first place, this was confirmed by market participants who explained that this approach adequately reflects the perspective of customers, as set out in section 6.1.3 above. None of the market participants with whom the Commission interacted during its investigation brought up the issue of "destination insensitive passengers". In the second place, the Commission has not been able to identify internal documents of the Parties that would reflect the relevance of "destination insensitive passengers" for the competitive interactions between airlines on the relevant routes.

(1278) In the second place, even if the prices of flights to other holidays destinations may constrain to a certain extent the merged entity on these routes post-Transaction, the main constraint is the competitive pressure exerted by flights on the same routes and which the Transaction is likely to significantly reduce.

(1279) In the third place, the Parties did not provide any evidence that would allow the Commission to assess the competitive constraint other holidays destination may exerts on the routes of concern. For example, the Parties did not explain which holiday destinations are substitutable,[1342] which airline operates flights to these destinations[1343] and what are the conditions offered for flights to these destinations, such as the airports used, the frequencies offered or the prices charged.

(1280) In the fourth place, the choice of holidays destinations by "destination insensitive passengers" are influenced by the overall cost of the holiday, that includes several cost elements in addition to the cost of the flight (costs such as, accommodation, car rental, activities at the destination). It is therefore not clear, and the Parties did not explain, to what extent the price of the flight is important in the choice of holiday destination and to what extent the Parties take in fact into consideration flight prices to other holiday destinations.

(1281) In the fifth place, the Parties provide no evidence allowing the Commission to estimate the share of "*destination insensitive passengers*" on the routes of concern in order to assess whether it is indeed significant enough to constrain the prices of the merged entity post-Transaction.

(1282) In the sixth place, while the Parties argue that the tourist flows on these routes are relatively high in particular in summer, the concerns of the Commission are not limited only to the summer seasons but apply with respect to most routes also to the winter season.

(1283) Consequently, since the Parties ultimately do not contest the general O&D approach to market definition, since the Commission's investigation does not support that "destination insensitive customers" or the difference on the thickness of the O&Ds

---

[1342] The Parties suggest in general terms that destinations in Italy or even more widely in the Mediterranean region (Southern France, Greece, Spain or Turkey) are substitutable from the point of view of tourists.

[1343] Alternative destinations to Italy are likely to be served mainly by the Parties. Strong presence of Lufthansa could be expected on routes from DACHB to alternative holiday destinations. It is therefore likely that the merged entity would feel limited competitive constraint from flight to alternative holidays destinations.

by seasons play a role for the competitive interactions between airlines on the relevant routes and since the Parties did not provide (i) the necessary elements that would allow the Commission to assess the competitive constraints exerted by flights to alternative holiday destinations or (ii) evidence to support that the thickness of the route should affect the competitive assessment, even when the Parties still operate on these routes despite their low thickness, the Commission will conduct its competitive analysis of the routes of concerns only with respect to the carriers and flights operating on each route of concern.

(1284) *Seventh*, the Parties unjustifiably consider Lufthansa's direct offering and ITA's indirect offering on each city pair as complementary because of customers' choice being limited to indirect flights on certain days of the week (i.e., those when a direct flight is not operated by Lufthansa).[1344] The Commission points out the following.

(1285) In the first place, on the days where Lufthansa offers direct flights ITA's indirect flights remain virtually the only alternative (as evidenced in the Parties' combined market shares; see sections 9.4.5 and 9.4.6 below). In addition, often Lufthansa provides daily indirect flights either throughout the year or on a seasonal basis which are also in competition with ITA's indirect services, calling into question the argument that the services are purely complementary because of the lack of daily direct flights.[1345]

(1286) In the second place, neither the Commission's market investigation in this case, nor its past decisional practice provide indications that customers would consider that there is no substitutability between flights to a city pair offered on different days of the week or even at different times of the day. Besides, the Parties' argument is not supported by the conclusions on market definition either, namely that the O&D approach remains appropriate for the analysis of the Transaction (i.e., an analysis that does not distinguish flights based on the day of the week), and which in any event has not been contested by the Parties at any point of the process (see section 6.1 above).[1346]

(1287) In the third place, the Parties raise this argument only for direct/indirect short-haul overlaps while disregarding it for the competition on direct/direct overlaps where on several routes, the competitors offer limited weekly frequencies and do not operate direct flights on a daily basis (e.g., based on the Parties' argumentation, on city pairs such as Milan – Frankfurt, Rome – Frankfurt and Rome – Munich where their competitors offer 2-3 weekly frequencies, the Transaction should then result to a monopoly for the remaining days of the week. See Table 23 above for more information).

(1288) In the fourth place, the Parties' argument is not supported by any evidence. Further, it was brought forward at very a very late stage of the proceedings (day 65) not allowing the Commission to investigate it further.

1344 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraphs 21, 23, 25, 27, 29, 34, 35, 37, 38 and 41.

1345 Response of Lufthansa and MEF to a Commission's request for information (RFI 54), DLH Annex Q7 – Confidential.

1346 The Parties confirm that they do not generally contest the Commission's market definition practice in Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 47.

(1289) *Eighth*, the Commission does not contest the seasonality of the city pairs identified sections 9.4.5 and 9.4.6 below, which is evident from the lower demand (i.e., lower passenger numbers) over Winter IATA compared to Summer IATA season. However, it considers that this seasonality element is irrelevant as such for its assessment, as it does not (and should not) have a bearing on whether the Transaction will result in a significant impediment to effective competition on a specific city pair for specific IATA seasons, which as results from the discussion at section 6, and more specifically, sections 6.1 and 6.2 of this Decision, where the context in which the impact of the Transaction needs to be assessed is defined.

(1290) *Ninth,* the Commission disagrees that the certain overlaps should be assessed as indirect/indirect ones simply because both the Parties offer indirect connections only over one of the two IATA Seasons. More specifically, on routes where depending on the IATA Season, the overlap is either direct/indirect or indirect/indirect, the Commission's assessment should be seasonal and should depend on the type of overlap that arises. By way of example, on routes Brindisi – Düsseldorf and Cagliari - Munich, where over the Winter IATA season the Parties confirm that neither Lufthansa or ITA operate continuous direct connections, the Commission considered the overlaps over the Summer IATA Seasons as direct/indirect and over the Winter IATA Seasons as indirect/indirect.).[1347] The Commission considers that it would not make sense to conduct an indirect/indirect assessment when the Parties' overlap is a direct/indirect one, as the Parties seem to suggest.

(1291) *Tenth,* in relation to the Parties' argument on the routes involving Naples, namely that there are out-of-market constraints from the airports in Rome, as FCO is connected by way of 2:00 hour train from Naples Central Station,[1348] the Commission notes the following.

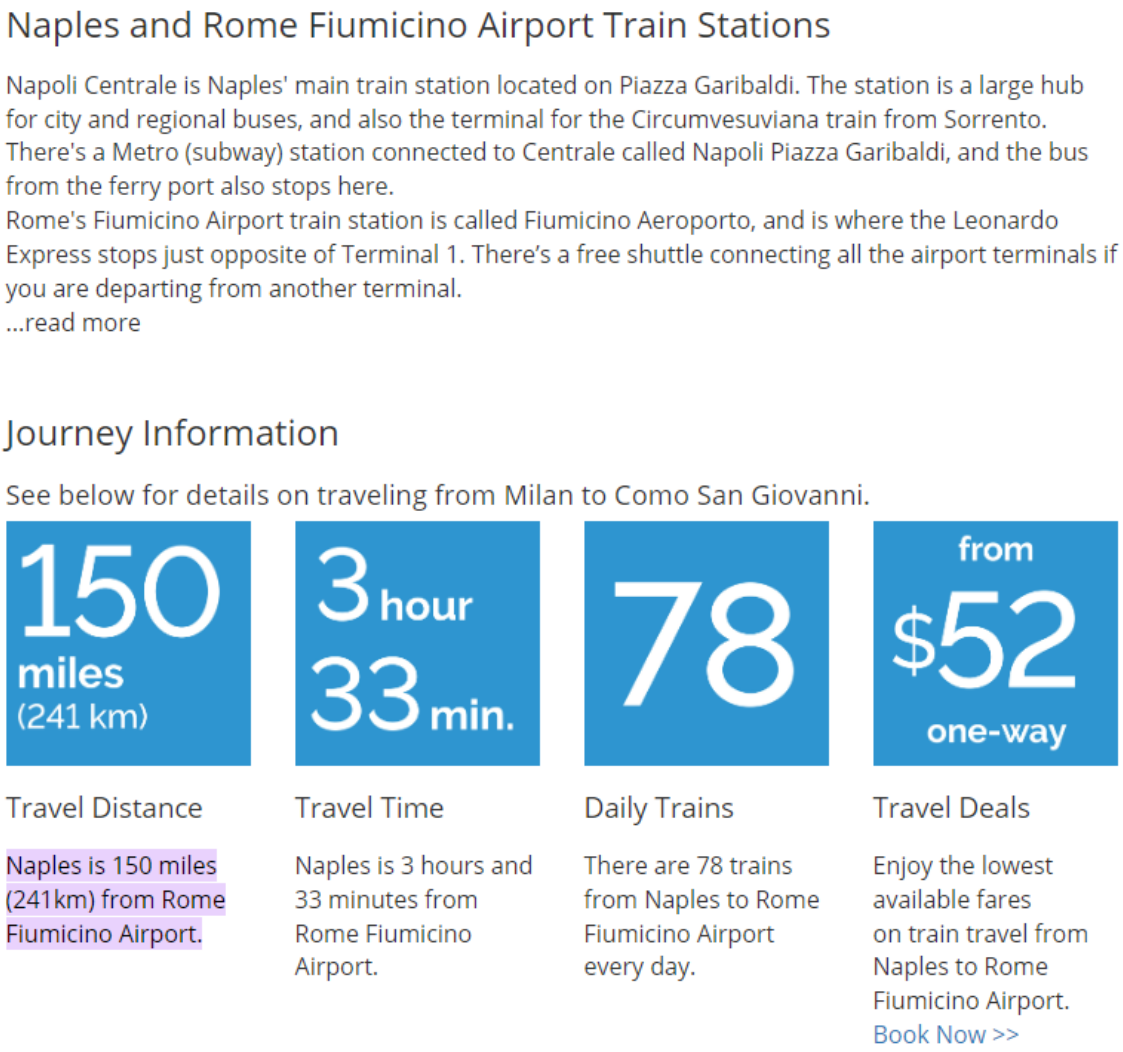
(1292) In the first place, the Parties did not put forward an airport substitutability claim between the airports in Rome and Naples and therefore, the Commission did not formally investigate whether FCO and NAP are substitutable. However, according to Figure 74 below, which constitutes publicly available information from Italia Rail's website,[1349] the travel distance from Naples to FCO is 241 km, and the travel time (via train) lasts (up to) 3h 33 minutes. Therefore, even though there are 78 daily trains available, based on its past decisional practice, where the Commission compares actual distances and travelling times to the indicative benchmark of 100 km or 1 hour/60 minutes driving time (for more information see section 6.5.1 above), NAP and FCO are not substitutable.

1347 For example, on route Brindisi – Stuttgart, the Parties explained that Lufthansa operated overall four direct flights over each of the entire season of Winter 2022/2023 and 2023/2024, whereas it operates continuous direct flights (on a weekly basis) over the Summer IATA Season. (Response of Lufthansa and MEF to the Commission's Statement of Objections, dated 11 April 2024, paragraph 374). In this case, the Commission assessed the overlap on Brindisi – Stuttgart as a direct/indirect one over summer and as an indirect/indirect one over winter.

1348 Response of Lufthansa and MEF to the SO, paragraph 372.

1349 See Italia Rail's website, "*Train from Naples to Rome Fiumicino Airport*", ID 19078.

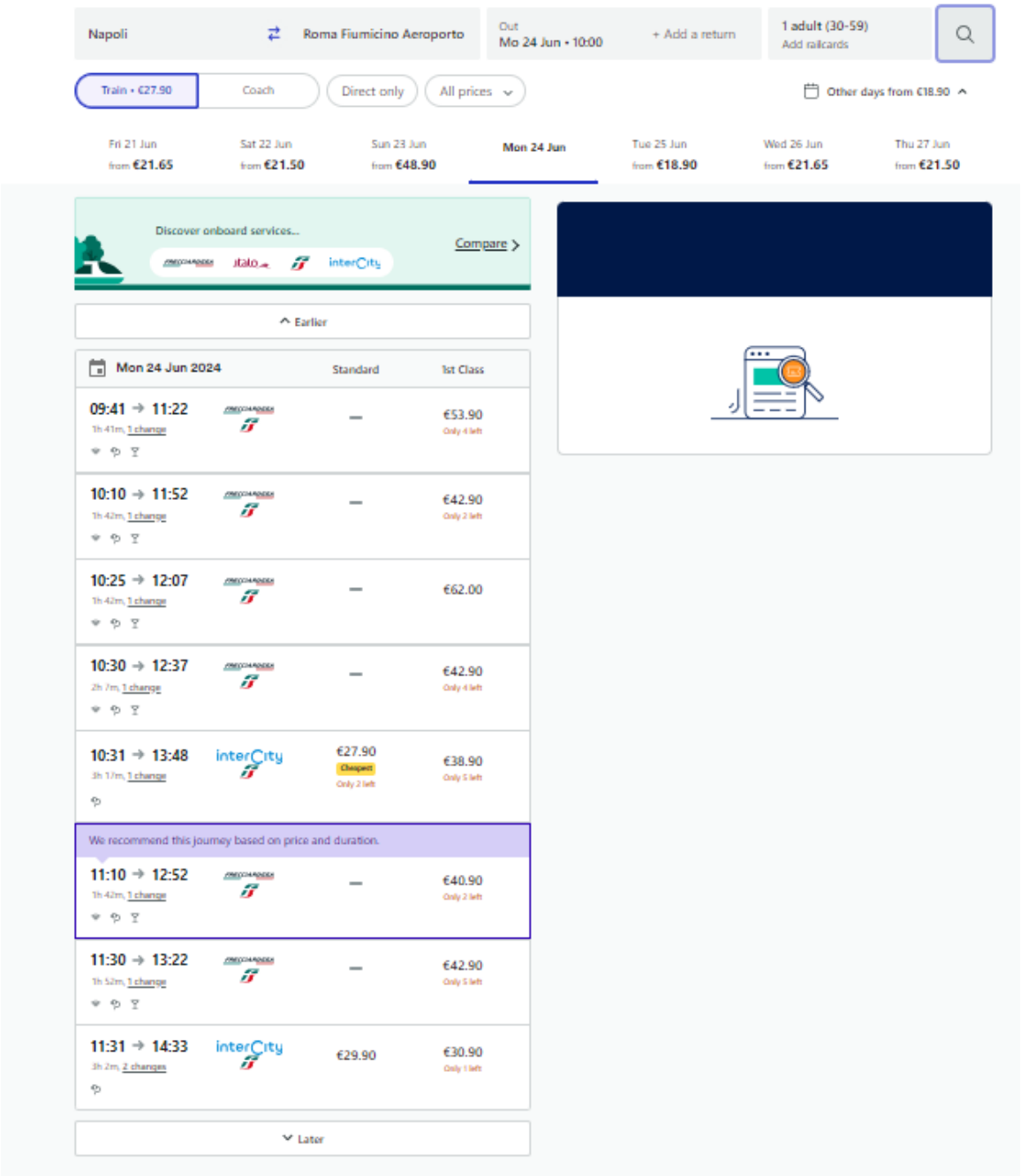
Figure 74



Source: Italia Rail's website, "Train from Naples to Rome Fiumicino Airport", ID 19078.

(1293) In the second place, according to publicly available information, there exist several daily train connections from Napoli Centrale (i.e., Naples Central Station, to FCO) with an overall travel time between 1h 41 mins and 3h 17 mins, as indicated in Figure 75 below.

Figure 75



Source: Trainline Booking Platform, ID 19074.

(1294) The indirect travel option from NAP however, is seamless, whereas the option to self-connect to FCO is more burdensome. This is because, none of the train options from Naples to FCO are direct and, in fact, require the passengers to change at Roma Termini, often with limited transfer time (e.g., 10 minutes). On the contrary, the indirect flight options that ITA offers from NAP require passengers from Naples to reach NAP airport, by a direct 25 minute train (i.e., four times faster than the speediest travel time to FCO via train), without having to change trains and carry their luggage all the way to Rome (e.g., check-in luggage at NAP and receiving it at the end destination).

(1295) In the third place, self-connecting to FCO puts a certain level of risk on passengers. In particular, passengers chose to self-connect from Naples to FCO also carry the risk of losing their flight (e.g., in case of a train delay), and having to pay an additional ticket to be rebooked on another flight. On the contrary, if they flew indirectly from NAP and missed their connecting flight due to a delay on the first leg of the route, the airline would be responsible to rebook them on another flight without additional cost, compensate them for the delay, and if applicable, for any additional expenses/losses caused as a result of the missed connection.

(1296) Taking into account the reasoning set out in section 9.1, the reasoning set out in section 7.7 on the likely impact of the Transaction (and in particular the fact that Lufthansa's predictions of price increases after the Transaction, as described in section 7.7.1, include overlaps between direct and indirect short-haul flights) as well as for the reasons set out in the route-by route assessment below (sections 9.4.5 - 9.4.6), the Commission considers that the Transaction will significantly impede effective competition on 8 direct-indirect short-haul routes from, from Brindisi to Düsseldorf ('BDS – DUS'), from Bari to Frankfurt ('BRI – FRA'), from Bari to Munich ('BRI – MUC'), from Bari to Hamburg ('BRI – HAM'), from Naples to Frankfurt ('NAP – FRA'), from, from Naples to Düsseldorf ('NAP – DUS'), from Naples to Hamburg ('NAP – HAM'), and from Cagliari to Munich ('CAG – MUC').

9.4.5. Route-by-route assessment on the routes with direct/indirect overlaps where the Transaction would lead to a likely significant impediment to effective competition on Winter and Summer IATA seasons

(1297) Table 61 below list the routes where the Commission considers that the Transaction would lead to a significant impediment of effective competition on both IATA seasons.

Table 61: Market shares of the Parties on short-haul direct/indirect overlaps

City pair	Season	Total pax/season	Annual pax (W22+ S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Bari-Munich (BRI-MUC)	21W	5 446	39 695	14%	11%	88%	99%	9 741	1 951	no direct competition
	22S	27 388		5%	4%	96%	100%	9 971	831	no direct competition
	22W	8 695		13%	10%	89%	99%	9 815	1 850	no direct competition
	23S	31 000		7%	6%	94%	99%	9 882	1 098	no direct competition
	23W	6 166		17%	11%	84%	95%	9 061	1 858	no direct competition

City pair	Season	Total pax/season	Annual pax (W22+ S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Naples-Frankfurt (NAP-FRA)	21W	27 507	107 294	6%	3%	46%	49%	4 947	319	['Ryanair (50%)']
	22S	73 455		5%	3%	97%	100%	9 962	506	no direct competition
	22W	23 495		19%	10%	86%	95%	9 098	1 653	no direct competition
	23S	83 799		9%	5%	95%	100%	9 949	922	no direct competition
	23W	15 559		21%	15%	85%	100%	9 941	2 544	no direct competition

Source: IATA passenger data, RFI 50 Annex 100.

9.4.5.1. Bari – Munich

9.4.5.1.1. Market Structure

(1298) Considering the Bari - Munich city pair, the following plausible alternative geographic market definitions exist based on the catchment areas (See section 6.5.3.7 above): BRI – Munich (widest plausible market definition consisting of both MUC and FMM), BRI – MUC (narrowest plausible market definition where the Transaction gives rise to horizontal overlaps) and BRI – FMM (the Transaction does not give rise to a horizontal overlap).[1350]

(1299) The Commission's assessment below considers the widest plausible market definition, where MUC together with FMM belong to the same catchment area, therefore the market shares and concerns outlined above reflect this plausible definition.

(1300) However, the assessment below would remain applicable even if the market was to be defined more narrowly, encompassing only BRI - MUC, where the Transaction would still give rise to horizontal overlaps. This is because, the competitive landscape would remain unaltered in this situation (as no other competitor operates on the route BRI – FMM).

(1301) Moreover, there would be no need to assess the effects of the Transaction on the city pair based on the alternative plausible market definition that only encompasses BRI - FMM, because would be no overlap arising due to the activities of the Parties (as neither operates from FMM).

9.4.5.1.2. Lufthansa and MEF's view

(1302) Lufthansa and MEF argue that on this city pair, indirect flights do not provide a material competitive constraint to direct flights over the Summer IATA seasons, due to the strong seasonality characterising the route, and the indication that most customers are leisure customers that chose to fly directly. In this context, Lufthansa

[1350] On the substitutability of BRI see footnote 316 above.

and MEF consider that indirect flights must not be considered as forming part of the same market as direct flights over summer, and that, as a result there should be no overlap between Lufthansa and ITA's activities over Summer IATA seasons.[1351] The Parties also point to the low increment brought by the Transaction over Summer IATA seasons 2022 and 2023, namely 4.4% and 5.9% respectively.[1352] The Parties argue that the Commission's concerns should be limited to Winter IATA Seasons, and that they would not be justified, due to the low passenger demand during winter, the moderate increment brought by the Transaction over Winter IATA 2022/2023 and 2023/2024, namely 10% and 11% respectively, as well as the fact that Wizz Air carried 300 passengers indirectly on the route (capturing 4% market share over Winter IATA 2023/2024, without submitting any direct capacity on this route, either on Winter IATA 2023/2024 or on Summer IATA 2024).[1353]

9.4.5.1.3. The Commission's assessment

(1303) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Bari - Munich.

(1304) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 61 above, the Parties' combined share (by PAX number) between Winter IATA Season 2021/22 and Winter IATA Season 2023/2024 was between 95-100%. These market shares indicate that the Parties would hold a monopoly or a quasi-monopoly position after the Transaction, depending on the season.

(1305) *Second*, the increment brought about by the Transaction from ITA would be large at 4% to 11% in the last four IATA seasons. This corresponds to a high increase in the HHI of between 831 and 1 951.

(1306) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 9 000 in each of the last four IATA seasons (with a minimum HHI level of 9 741 over the last four IATA seasons). Thus, the high combined market share of the Parties, the large increment in the Parties' joint market position, as well as the HHI and change in HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1307) *Fourth*, even when looking into the widest possible market definition, if one excludes the Parties, no other airline operates the Bari - Munich city pair with direct connections and therefore the Transaction would lead to a monopoly or quasi monopoly on the route, depending on the season. Although certain competitors offer indirect connections (e.g., Vueling via Barcelona and Rome combined, Turkish Airlines via Istanbul or Air France - KLM via Amsterdam/Paris) they only manage to capture a negligible or no market share at all, depending on the season. In this context, the Transaction would lead to the elimination of the only competitive constraint over Lufthansa, in the form of ITA, an airline that managed to capture

1351 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 29; and, Response of Lufthansa and MEF to the SO, paragraphs 392-395.

1352 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 29; and, Response of Lufthansa and MEF to the SO, paragraphs 392-395.

1353 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 30; and, Response of Lufthansa and MEF to the SO, paragraphs 392-395; and, Response of Lufthansa and ITA to a Commission's request for information (RFI 62), question 2.

11% of the market by offering indirect routes, in less than 3 years of operation. The fact that ITA was the only actual constraint on Lufthansa indicates that it was also its close competitor.

(1308) *Fifth*, as results also from the considerations in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Bari - Munich city pair, as well as their market position in terms of combined slot holding in MUC (which exceeds 66% as indicated in Table 24 above) are clearly indicative of dominance and therefore could act as a barriers to entry and expansion in the Bari-Munich city pair. (See section 9.1.4.3 above for more information). Moreover, airport charges in MUC are high and could act as a barrier to entry and expansion. (See section 9.1.4.4 above for more information). Munich airport is also congested at certain hours of the day (see section 9.1.4.2 for more information).

(1309) *Sixth*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Proposed Transaction.[1354]

(1310) More specifically, the Commission contests the Parties' view regarding Wizz Air's entry,[1355] over Winter 2023/2024 from Memmingen on the Munich end of the route (i.e., on BRI-FMM), capturing 4% market share. Even if Wizz Air operated some direct flights, the Commission understands that Wizz Air is not active on the route.[1356] This has been confirmed by the Parties, by clarifying that Wizz Air did not submit a direct capacity on this route, either on Winter IATA 2023/2024 or on Summer IATA 2024, and that the passengers that Wizz Air carried on Winter IATA 2023/2024 amounted to 300 indirect passengers that flew through Tirana.[1357]

(1311) Taking into consideration the elements identified above, the Commission considers that the Transaction will result in the Parties not competing with one another, compared to before the Transaction where ITA was the main competitive constraint over Lufthansa, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity in indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.5.1.4. Conclusion

(1312) In light of the common considerations on direct/indirect short-haul routes explained in sections 9.1 and 9.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint

---

1354 See non-confidential response of TUI to a Commission's request for information (RFI II-2), dated 4 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-2), dated 4 March 2024, question 2, ID 11695. Additional evidence was made available to the Parties' legal counsels over the data room process.

1355 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 30.

1356 For more information, please see document ID 18770. Response of Lufthansa and MEF to a Commission's request for information (RFI 62), question 2.

1357 Response of Lufthansa and MEF to a Commission's request for information (RFI 62), question 2.

imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospects of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would significantly impede effective competition on the route Bari - Munich by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

9.4.5.2. Naples – Frankfurt

9.4.5.2.1. Market Structure

(1313) Considering the Naples - Frankfurt city pair the following plausible alternative geographic market definitions exist based on the catchment areas (See sections 6.5.3.4 and 6.5.3.13above): Naples - Frankfurt (widest plausible, consisting of both NAP and QSR on the Naples end of the route, and FRA and HHN on the Frankfurt end of the route), NAP - FRA (narrowest plausible where the Transaction gives rise to horizontal overlaps) Naples – FRA (consisting of both NAP and QSR on the Naples end of the route), Naples – HHN (consisting of both NAP and QSR on the Naples end of the route), NAP – HHN, and, NAP – Frankfurt (consisting of both FRA and HHN on the Frankfurt end of the route).

(1314) The Commission's assessment below considers the widest plausible market definition, where NAP and QSR belong in the same catchment area on the Naples end of the route, and FRA together with HHN belong to the same catchment area on the Frankfurt end of the route. Therefore, the market shares and concerns outlined above reflect this plausible definition.

(1315) However, the assessment above would not only remain applicable, but would also be amplified if the relevant market was to be defined more narrowly (and where the Transaction would still give rise to horizontal overlaps) irrespective of the alternative plausible market definition. This is due to the removal of Ryanair from the competitive landscape (which it only operates from HHN).

(1316) Moreover, there would be no need to assess the effects of the Transaction on the city pair based on all the alternative plausible market definitions that only encompass QSR on the Naples end of the route and/or HHN on the Frankfurt end of the route, because there would be no overlap arising as a result of the activities of the Parties (as neither operates from either QSR or HHN).

9.4.5.2.2. Lufthansa and MEF's view

(1317) Lufthansa and MEF argue that on this city pair, indirect flights do not provide a material competitive constraint to direct flights over the Summer IATA seasons, due to the strong seasonality characterising the route, and the indication that most customers are leisure customers that chose to fly directly. In this context, Lufthansa and MEF consider that indirect flights must not be considered as forming part of the same market as direct flights over summer, and that, as a result there should be no overlap between Lufthansa and ITA's activities over Summer IATA seasons.[1358] The Parties also point out to the low increment brought by the Transaction over Summer IATA seasons 2022 and 2023, namely 2.6% and 4.9% respectively.[1359] The Parties argue that the Commission's concerns should be limited to Winter IATA Seasons,

[1358] Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 32; and, Response of Lufthansa and MEF to the SO, paragraphs 396-400.

[1359] Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 32; and, Response of Lufthansa and MEF to the SO, paragraphs 396-400.

and that they would not be justified, due to the low passenger demand during winter, the moderate increment brought by the Transaction over Winter IATA 2022/2023 and 2023/2024, namely 19% and 21% respectively, the fact that Ryanair is a possible candidate for re-entry and Wizz Air is a candidate for entry on the route.[1360]

9.4.5.2.3. The Commission's assessment

(1318) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Naples - Frankfurt.[1361]

(1319) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 61 above, the Parties' combined share (by PAX number) between Winter IATA Season 2021/2022 and Winter IATA Season 2023/2024 was between 49-100% and 95-100% in the last four IATA seasons. The lower market share in the 2021 winter season (at 49%) is not representative of the current competitive environment because Ryanair was active on the route at that time but is not operating the route anymore. These market shares indicate that the Parties would hold a monopoly or quasi monopoly position after the Transaction depending on the season, especially following Ryanair's exit from the route on Winter IATA Season 2021/2022.

(1320) *Second*, the increment brought about by the Transaction from ITA would entrench even more Lufthansa's market position by up to 10% in the last four IATA seasons with an increment between 5-10% in the last two IATA seasons. This corresponds to a high increase in the HHI up to 1 653, with an increment between 922 and 1 653 in the last two IATA seasons.

(1321) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 9 000 in each of the last three IATA seasons (with a minimum HHI level of 9 098 over the last three IATA seasons). The lower HHI level in the 2021 winter season (at 4 947) is not representative of the situation to be expected because Ryanair was still active on the route at that time but is not operating the route anymore. Thus, the Parties' high combined market share, the large increment in the Parties' joint market position, as well as the HHI and change in HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1322) *Fourth*, even when looking into the widest possible market definition,[1362] if one excludes the Parties, no other airline operates direct flights on the Naples - Frankfurt city pair and therefore the Transaction would lead to a monopoly or quasi monopoly

---

1360 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 30; and, Response of Lufthansa and MEF to the SO, paragraphs 396-400.

1361 For the distinction between direct/indirect flights see Section 6.6 above.

1362 The Commission's assessment considers the widest possible market definition, which includes FRA and HHN on the Frankfurt end of the route. However, it notes that the assessment would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (i.e., only FRA on the Frankfurt end of the route). The Parties' market share would remain unaltered under all relevant alternative market definitions, as the available alternative market definitions are narrower in terms of airports considered and, in any event, no other competitor flies on the route from HHN. The Commission also notes that in case HHN and FRA were to be considered as separate geographic markets, there would be no need to assess Naples - HHN separately, as there would be no overlap arising because of the activities of the Parties. Based on the above, the concerns outlined below would continue to be relevant under any plausible alternative market definition.

on the route, depending on the season. Although certain competitors offer indirect connections (e.g., Air France - KLM via Amsterdam/Paris) they only manage to capture a negligible or no market share at all, depending on the season. In this context, the Transaction would lead to the elimination of the only competitive constraint over Lufthansa, in the form of ITA, an airline that managed to capture 6% of the market by offering indirect routes, in less than 3 years of operation. The fact that ITA was the only actual constraint on Lufthansa indicates that it was also its close competitor.

(1323) *Fifth*, as results also from the considerations in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Naples - Frankfurt city pair, as well as their market position in terms of combined slot holding in FRA (exceeding 64% as indicated in Table 24) are clearly indicative of dominance and therefore could act as barriers to entry and expansion in the Naples - Frankfurt city pair. (See section 9.1.4.3 above for more information). Moreover, airport charges in FRA are high and could act as a barrier to entry and expansion. For instance, public sources indicate that Ryanair's exit from FRA was linked to the airport management's decision to increase its airport charges, which suggests that these charges act as barriers to entry and expand on the route.[1363] (See section 9.1.4.4 above for more information). Frankfurt airport is also congested at certain hours of the day (see section 9.1.4.2 for more information). Finally, the market investigation revealed that the high congestion levels at NAP are also strong barriers to entry, as the airport "*has an annual capacity limit - which has been met*".[1364]

(1324) *Sixth*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Proposed Transaction.[1365]

(1325) More specifically, the Parties' submission that Ryanair and Wizz Air are possible entrants on the route is merely an assumption that is based on Ryanair's past activity on NAP-HHN and Wizz Air's presence in NAP and HHN, it is not supported by any evidence and has not been confirmed by the Commission's market investigation. In particular, the Commission notes that, Wizz Air indicated that it is undecided as to whether to enter this route,[1366] and thus does not fulfil the likely, timely and sufficient entry criterion. The responses to the Commission's market investigation only show vague considerations (if any at all) of potential actions on the routes of concern. In particular, the Commission did not find that potential entrants had developed specific plans or adopted preparatory steps to enter these routes, and the

---

1363 "*Ryanair Closes Frankfurt Am Main Base*", Ryanair, 31 March 2022 (available at: https://corporate.ryanair.com/news/ryanair-closes-frankfurt-am-main-base/#:~:text=%E2%80%9CWe%20are%20disappointed%20to%20announce,by%20the%20Covid%2D19%20pandemic).

1364 Response of easyJet to question E.E.1.2.(e) of questionnaire 03 to short-haul competitors, ID 12368.

1365 See non-confidential response of TUI to a Commission's request for information (RFI II-1), dated 4 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-2), dated 4 March 2024, question 2, ID 11695. Additional evidence was made available to the Parties' legal counsels over the data room process.

1366 Response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11696.

generic planning that it did find lacked detail and was typically subject to numerous caveats and conditions.[1367]

(1326) Taking into consideration the elements identified above, the Commission considers that the Transaction will result in the Parties not competing with one another, compared to before the Transaction where ITA was the main competitive constraint over Lufthansa, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity on indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.5.2.4. Conclusion

(1327) In light of the common considerations on direct/indirect short-haul routes explained in section 9.19.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospect of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would significantly impede effective competition on the route Naples - Frankfurt by creating or strengthening a dominant position, in both the Winter and Summer IATA Seasons, under any plausible market definition.

9.4.5.3. Conclusion

(1328) In light of the above, the Commission concludes that the Transaction would lead to a significant impediment to effective competition due to the creation or strengthening of a dominant position on the routes Bari – Munich and Naples – Frankfurt, in both the winter and summer IATA seasons under any plausible market definition.

9.4.6. Route-by-route assessment on the routes where the Transaction would lead to a likely significant impediment to effective competition on either Winter or Summer IATA seasons

(1329) Table 62 below lists the routes where the Transaction would likely lead to a significant impediment of effective competition on one of the two IATA seasons.

[1367] The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

Table 62: Market shares of the Parties on short-haul direct/indirect overlaps

City pair	Season	Total pax/season	Annual pax (W22+ S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Brindisi-Düsseldorf (BDS-DUS)	21W	330	20 476	100%	71%	28%	98%	9 701	3 936	no direct competition
	22S	21 325		13%	3%	97%	100%	9 994	516	no direct competition
	22W	812		100%	88%	12%	99%	9 853	2 048	no direct competition
	23S	19 664		14%	5%	95%	100%	10 000	867	no direct competition
	23W	854		100%	92%	8%	100%	9 953	1 402	no direct competition
Bari – Frankfurt (BRI-FRA)	21W	13 27	70 823	9%	8%	22%	30%	5 788	351	[Ryanair (70%)]
	22S	48 589		10%	6%	50%	56%	5 059	636	[Ryanair (44%)]
	22W	7 769		43%	33%	53%	86%	7 583	3 509	[Ryanair (14%)]
	23S	63 05		12%	6%	43%	50%	4 954	544	[Ryanair (50%)]
	23W	6 839		39%	31%	69%	100%	9 938	4 262	No direct competition
Bari-Hamburg (BRI-HAM)	21W	1 370	21 373	100%	1%	81%	82%	6 922	224	no direct competition
	22S	16 477		39%	6%	89%	95%	8 998	1 019	no direct competition
	22W	2 241		100%	-	73%	73%	5 760	51	no direct competition
	23S	19 132		48%	14%	82%	96%	9 196	2 261	no direct competition
	23W	1 909		100%	-	68%	68%	5 057	7	no direct competition

City pair	Season	Total pax/season	Annual pax (W22+ S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Naples-Düsseldorf (NAP-DUS)	21W	14 598	109 136	23%	5%	93%	98%	9 604	962	no direct competition
	22S	86 705		11%	-	99%	100%	9 956	84	no direct competition
	22W	20 073		40%	5%	91%	96%	9 224	927	no direct competition
	23S	89 063		13%	2%	98%	100%	9 914	304	no direct competition
	23W	11 086		48%	12%	86%	98%	9 526	2 014	no direct competition
Naples-Hamburg (NAP-HAM)	21W	5 627	54 211	75%	-	89%	89%	7 985	28	no direct competition
	22S	41 306		48%	2%	96%	98%	9 538	307	no direct competition
	22W	7 462		100%	-	89%	89%	7 965	-	no direct competition
	23S	46 749		48%	3%	95%	98%	9 524	572	no direct competition
	23W	3 810		100%	-	91%	91%	8 362	-	no direct competition
Cagliari – Munich (CAG-MUC)	21W	256	24 338	33%	-	67%	67%	5 564	-	no direct competition
	22S	21 589		5%	2%	96%	98%	9 611	327	no direct competition
	22W	1 392		93%	76%	9%	85%	7 464	1 382	no direct competition
	23S	22 946		10%	6%	92%	98%	9 597	1 038	no direct competition
	23W	1 771		93%	86%	9%	95%	9 008	1 471	no direct competition

Source: IATA passenger data, RFI 50 Annex 100

9.4.6.1. Brindisi – Düsseldorf

9.4.6.1.1. Market Structure

(1330) Considering the Brindisi - Düsseldorf city pair the following plausible alternative geographic market definitions exist based on the catchment areas (See section 6.5.3.3 above): BDS – Düsseldorf (the widest plausible market, consisting of DUS, CGN, DTM and NRN), BDS- Düsseldorf (the narrowest plausible market where the Transaction gives rise to affected markets, consisting of DUS and CGN), BDS – Düsseldorf (consisting of DUS, CGN and NRN), BDS – Düsseldorf (consisting of DUS, CGN and DTM).[1368]

(1331) The Commission's assessment below considers the widest plausible market definition, where DUS, CGN, DTM and NRN belong to the same catchment area, therefore the market shares and concerns outlined above reflect this plausible definition.

(1332) However, the assessment below would remain applicable even if the market was to be defined more narrowly (including either DUS and CGN together or DUS only in the same market). This is because, the competitive landscape would remain unaltered under all plausible alternative market definitions (as no other competitor operates on the Brindisi – Düsseldorf city pair from the above-mentioned alternative airports).

(1333) Moreover, there would be no need to assess the effects of the Transaction on the city pair based on the alternative plausible market definitions that only encompass either NRN or DTM at the Düsseldorf end of the route because would be no overlap arising due to the activities of the Parties (as neither operates from these airports).

9.4.6.1.2. Lufthansa and MEF's view

(1334) Lufthansa and MEF argue that (i) the route is of no competitive relevance due to the limited annual passenger volume; (ii) the increment brought by the Transaction over Summer IATA seasons 2022 and 2023 is low; and, (iii) ITA's indirect offer is complementary to Lufthansa's direct offer, in the sense that ITA's increment is the result of passengers wishing to fly over days of the week that no direct flight is available.[1369]

9.4.6.1.3. The Commission's assessment

(1335) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Brindisi – Düsseldorf over the Summer IATA Season.[1370]

1368 On the substitutability of BDS see footnote 317 above.

1369 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 23; and, Response of Lufthansa and MEF to the SO, paragraphs 380-385.

1370 The Parties confirm that neither Lufthansa or ITA operate direct connections over the Winter IATA Seasons on Brindisi - Dusseldorf. (Response of Lufthansa and MEF to the Commission's Statement of Objections, dated 11 April 2024, paragraph 380).
Considering that the overlap between the Parties' activities over winter is an indirect/indirect one, the Commission applied an annual traffic filter to exclude likely unproblematic indirect/indirect short-haul routes from the scope of its investigation, and namely on short-haul routes where the total annual traffic to is below 15 000 passengers (in line with its past decisional practice; See e.g., Case M.9287 – Connect Airways / Flybe, footnote 341).
Based on this filter, the Transaction will not result to a significant impediment of effective competition on the Brindisi – Dusseldorf city pair over winter, even though the total annual traffic exceeds 15 000 passengers (i.e., 20 467 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger

(1336) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 62 above, the Parties' combined share (by PAX number) between Winter IATA Season 2021/22 and Summer IATA Season 2023 was 100%. These market share indicates that the Parties would hold a monopoly position after the Transaction.

(1337) *Second*, taking into account Lufthansa's significantly high market share in the last two completed Summer IATA Seasons (2022 and 2023), namely ranging between 95%-97%, the increment brought about by the Transaction from ITA would be between 3% to 5% in the last two completed Summer IATA Seasons (2022 and 2023). This corresponds to an increase in the HHI of between 516 and 867, which in essence means that the Parties would have captured the entire market, leaving almost no increment to be gained. [1371]

(1338) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 9 990 in each of the last two completed Summer IATA Seasons (2022 and 2023) (with a minimum HHI level of 9 994 over Summer IATA Season 2022). Thus, the monopoly position of the Parties post-Transaction, the relevant increment on the Parties' joint market position, as well as the HHI and change in HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1339) *Fourth*, even when looking into the widest possible market definition, if one were to exclude the Parties, no other airline operates direct flights between the Brindisi - Düsseldorf city pair and therefore the Transaction would lead to a monopoly on the route. Although certain competitors offer multi-stop indirect connections (e.g., Turkish Airlines via Istanbul and Rome combined, or Air France - KLM via Amsterdam/Paris and Rome combined) they did not manage to capture any market share over the last two completed Summer IATA Seasons (2022 and 2023). In this context, the Transaction would lead to the elimination of the only competitive constraint over Lufthansa, in the form of ITA, an airline that managed to capture 5% of the market over summer, by offering indirect routes, within less than 3 years of operation. The fact that ITA was the only actual constraint on Lufthansa indicates that it was also its close competitor.

(1340) *Fifth*, as results also from the considerations in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Brindisi - Düsseldorf city pair, as well as their market position in terms of combined slot holding in DUS (which amounts to ~58% over the summer season, as indicated in Table 24 above) are clearly indicative of dominance and therefore could act as barriers to entry and expansion in the Brindisi - Düsseldorf city pair. (See section 9.1.4.3 above for more information).

(1341) *Sixth*, the Parties do not make any arguments on potential market entry on the route. Similarly, the Commission's investigation does not support a finding of market entry

---

data). This is because, the overall seasonal traffic is well below 7 500 passengers (i.e., amounted to 330 passengers over Winter IATA 2021/2022 and 812 passengers over Winter IATA 2022/2023).

[1371] According to paragraphs 16 and 20 of the Horizontal Merger Guidelines, the overall concentration level in a market may also provide useful information about the competitive situation. The absolute HHI levels are an initial indication of the competitive pressure in the market post-, whereas the Commission is unlikely to identify horizontal competition concerns in a merger with a post-merger HHI between 1 000 and 2 000 and a delta below 250, Transaction. In this case, the HHI is already significantly high, at a minimum of 9 994 and the increase in the HHI (delta) is higher than 250, at 516-867, suggesting that the increase is significant and could result in competition concerns.

that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Proposed Transaction.[1372]

(1342) Taking into consideration the elements identified above, the Commission considers that over the Summer IATA Seasons the Transaction will result in the Parties not competing with one another, compared to before the Transaction where ITA was the main competitive constraint over Lufthansa, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity, in indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.6.1.4. Conclusion

(1343) In light of the common considerations on direct/indirect short-haul routes explained in section 9.19.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospect of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would significantly impede effective competition on the route Brindisi - Düsseldorf by creating or strengthening a dominant position, in the Summer IATA Season, under any plausible market definition.

9.4.6.2. Bari – Frankfurt

9.4.6.2.1. Market Structure

(1344) Considering the Bari - Frankfurt city pair the following plausible alternative geographic market definitions exist based on the catchment areas (See section 6.5.3.4 above): BRI - Frankfurt (widest plausible, consisting of both FRA and HHN), BRI - FRA (narrowest plausible where the Transaction gives rise to horizontal overlaps) and BRI - HHN.[1373]

(1345) The Commission's assessment below considers the widest plausible market definition, where FRA together with HHN belong to the same catchment area, therefore the market shares and concerns outlined below reflect this plausible definition.

(1346) However, the assessment above would remain applicable, for the narrowest plausible market where the Transaction would give rise to horizontal overlaps (i.e., one that only includes FRA on the Frankfurt end of the route). This is because, both Parties operate from FRA, and no other competitor operates the city pair from HHN on the Frankfurt end of the route. More specifically, Ryanair is no longer active over the Winter IATA Season on BRI-HHN. In this context, Ryanair confirmed its market

[1372] See non-confidential response of TUI to a Commission's request for information (RFI II-1), dated 4 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11695. Additional evidence was made available to the Parties' legal counsels over the data room process.

[1373] On the substitutability of BRI see footnote 316 above.

exit due to the operator's poor performance over winter.[1374] For completeness, Ryanair still operates the BRI-HHN route over Summer IATA Seasons.

(1347) Therefore, there would be no need to assess the effects of the Transaction on the city pair based on the alternative plausible market definition that only encompasses BRI-HHN, because there would be no overlap arising as a result of the activities of the Parties (as neither operates from HHN).

9.4.6.2.2. Lufthansa and MEF's view

(1348) Lufthansa and MEF argue (i) that the route is of no competitive relevance over winter due to the high seasonality resulting to limited passenger volumes over the winter, and in particular last two completed Winter IATA Seasons (2022/2023 and 2023/2024); (ii) the low percentage of indirect traffic on the route; and (iii) that Ryanair having a strong presence in Bari, being active on the route over Summer IATA Seasons and having been active on the route over Winter IATA Season remains a likely candidate for re-entry.[1375]

9.4.6.2.3. The Commission's assessment

(1349) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Bari – Frankfurt over Winter IATA Seasons.

(1350) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 62 above, the Parties' combined share (by PAX number) between Winter IATA Season 2021/22 and Winter IATA Season 2023/2024 was between 30-100% and (i.e., following Ryanair's exit from the route over winter) the Parties held a monopoly over Winter 2023/2024).

(1351) *Second*, the increment brought about by the Transaction from ITA would be large at 8% to 33% in the last three completed Winter IATA Seasons (2021/2022, 2022/2023 and 2023/2024). This corresponds to a high increase in the HHI of between 351 and 4 262.

(1352) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 7 500 over the last two completed Winter IATA seasons (with a minimum HHI level of 7 583 over Winter IATA 2022/2023). Following Ryanair's exit from the route over winter, the HHI over Winter IATA 2023/2024 was even higher, at 9 938. Thus, the high combined market share of the Parties, the large increment on their joint market position, as well as the HHI and change in HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1353) *Fourth*, when looking into the widest possible market definition, in addition to the Parties, Ryanair used to operate the Bari – Frankfurt city pair on BRI-HHN and held a market share between 14-70% over Winter IATA Season 2021/22 to Winter IATA Season 2023/2024. However, following Ryanair's exit, the Parties hold a monopoly on the Bari - Frankfurt city pair based on Winter IATA 2023/2024 data, in terms of

[1374] Response of Ryanair to a Commission's request for information (RFI II-3), questions 1 and 2, ID 14182. Additional information was made available to the Parties' legal counsels over the data room process.

[1375] Observations of the Parties on the Second Letter of Facts, dated 14 May 2024, paragraphs 38-43; and Response of Lufthansa and MEF to the SO, paragraphs 386-391.

passenger numbers. The fact that ITA was the only actual constraint on Lufthansa indicates that it was also its close competitor.

(1354) *Fifth*, as results also from the considerations in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Bari - Frankfurt city pair as well as the Parties' position in terms of slot holding in FRA, are indicative of dominance and therefore could act as barriers to entry and expansion in the Bari - Frankfurt city pair. (See section 9.1.4.3 above for more information). Moreover, airport charges in FRA are high and could act as a barrier to entry and expansion. For instance, public sources indicate that Ryanair's exit from FRA was linked to the airport management's decision to increase its airport charges, which suggests that these charges act as barriers to entry and expand on the route.[1376] (See section 9.1.4.4 above for more information). Frankfurt airport is also congested at certain hours of the day (see section 9.1.4.2 for more information).

(1355) *Sixth*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Proposed Transaction.[1377] More specifically, the Parties' submission that Ryanair is a possible entrant on the route over Winter IATA is merely an assumption that is based on (i) Ryanair's presence on BRI-HHN over summer and its past activity over winter, and (ii) its overall presence in BRI and HHN, that is not supported by any actual evidence of entry over Winter and has not been confirmed by the Commission's market investigation.

(1356) Taking into consideration the elements identified above, the Commission considers that over the Winter IATA Seasons the Transaction will result in the Parties not competing with one another, compared to before the Transaction where ITA was the main competitive constraint over Lufthansa, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity, in indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.6.2.4. Conclusion

(1357) In light of the common considerations on direct/indirect short-haul routes explained in sections 9.1 and 9.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospect of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would

---

1376 "*Ryanair Closes Frankfurt Am Main Base*", Ryanair, 31 March 2022 (available at: https://corporate.ryanair.com/news/ryanair-closes-frankfurt-am-main-base/#:~:text=%E2%80%9CWe%20are%20disappointed%20to%20announce,by%20the%20Covid%2D19%20pandemic).

1377 See non-confidential response of TUI to a Commission's request for information (RFI II-2), dated 4 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11695. Additional evidence was made available to the Parties' external legal counsels over the data room process.

significantly impede effective competition on the route Bari - Frankfurt by creating or strengthening a dominant position, in the Winter IATA Season, under any plausible market definition.

9.4.6.3. Bari – Hamburg

9.4.6.3.1. Market Structure

(1358) Considering the Bari - Hamburg city pair the following plausible alternative geographic market definitions exist based on the catchment areas (See section 6.5.3.5 above): BRI - Hamburg (widest plausible, consisting of both HAM and LBC), BRI - HAM (narrowest plausible where the Transaction gives rise to horizontal overlaps) and BRI - LBC.[1378]

(1359) The Commission's assessment below considers the widest plausible market definition, where HAM together with LBC belong to the same catchment area, therefore the market shares and concerns outlined above reflect this plausible definition.

(1360) However, the assessment below would remain applicable even if the market was to be defined more narrowly, encompassing only BRI - HAM, where the Transaction would still give rise to horizontal overlaps. This is because, the competitive landscape would remain unaltered in this situation (as no other competitor operates on the route BRI – LBC).

(1361) Moreover, there would be no need to assess the effects of the Transaction on the city pair based on the alternative plausible market definition that only encompasses BRI-LBC, because there would be no overlap arising as a result of the activities of the Parties (as neither operates from LBC).

9.4.6.3.2. Lufthansa and MEF's view

(1362) Lufthansa and MEF argue that (i) the route is of no competitive relevance due to the limited annual passenger volume; (ii) the increment brought by the Transaction over Summer IATA seasons 2022 and 2023 is low; (iii) the route is highly seasonal; and, (iv) ITA's indirect offer is complementary to Lufthansa's direct offer, in the sense that ITA's increment is the result of passengers wishing to fly over days of the week that no direct flight is available.[1379] Moreover, according to Lufthansa and MEF, Ryanair is a candidate for entry in the route, in light of its strong presence in Bari, and Leav submitted limited capacity on the route with chartered flights and not scheduled direct flights (i.e., Capacity of 1 frequency in Summer IATA 2023, corresponding to 180 seats throughout the entire season), which is, according to the Parties, an indication that an airline may offer seats on this route.[1380]

9.4.6.3.3. The Commission's assessment

(1363) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Bari – Hamburg over the Summer IATA season.

1378 On the substitutability of BRI see footnote 316 above.

1379 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 27; and Response of Lufthansa and MEF to the SO, paragraphs 428-431. For the Commission's view please see section 9.4.4 above.

1380 Response of Lufthansa and MEF to the SO, paragraph 429; and, Response of Lufthansa and MEF to a Commission's request for information (RFI 62), question 1.

(1364) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route over the summer IATA seasons. As set out in Table 62 above, the Parties' combined share (by PAX number) over Summer IATA season 2022 and Summer IATA season 2023 was between 95-96%.

(1365) *Second*, the increment brought about by the Transaction from ITA would be significant at 6% to 14% in the last two summer IATA seasons. This corresponds to a high increase in the HHI of between 1 019 and 2 261. Furthermore, as set out in section 9.3.1.3.1, ITA has plans to expand by offering services on the route Rome-Hamburg (in addition to service on the route Milan-Hamburg). This is likely to increase ITA's market share on the route Bari-Hamburg, as ITA will be able to offer another connection between Hamburg and Bari, connecting in Rome.

(1366) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 8 000 in each of the last two summer IATA seasons (with a minimum HHI level of 8 998). Furthermore, as set out in section 9.3.1.3.1, ITA has plans to expand by offering direct services on the route Rome-Hamburg (in addition to its direct services on the route Milan-Hamburg). Considering that ITA already offers 4 daily connections on the Bari - Rome route (i.e., 28 weekly frequencies based on Summer IATA 2024, Winter IATA 2024/2025 and Summer IATA 2025 data),[1381] the chances are that it will be in a position to offer additional convenient connections with limited layover time on the Bari – Hamburg route, through Rome. Consequently, ITA's expansion on Rome-Hamburg is likely to increase ITA's market share on the route Bari-Hamburg. Thus, the Parties' high combined market share, ITA's potential expansion on Rome-Hamburg, as well as the HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1367) *Fourth*, even when looking into the widest possible market definition, if one excludes the Parties, no other airline operates direct flights on the Bari - Hamburg city pair and the Transaction would lead to a quasi-monopoly on the route over the IATA summer season. Although certain competitors offer indirect connections (e.g., Air France - KLM via Amsterdam/Paris and Turkish Airlines via Istanbul) they only manage to capture a negligible market share over the IATA summer season. In this context, the Transaction would lead to the elimination of the only competitive constraint over Lufthansa, in the form of ITA, an airline that managed to capture 14% of the market by offering indirect routes, with less than 3 years of operation. The fact that ITA was the only actual competitive constraint on Lufthansa indicates that it was also its close competitor.

(1368) *Fifth*, as results also from the considerations in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Bari - Hamburg city pair, as well as their market position in terms of combined slot holding in HAM (which amounts to 51% as indicated in Table 24 above) are indicative of dominance and therefore could act as barriers to entry and expansion in the Bari – Hamburg city pair. (See section 9.1.4.3 above for more information).

(1369) *Sixth*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-

[1381] Response of Lufthansa and MEF to a Commission's request for information (RFI 59), question 11.

competitive effects of the Proposed Transaction.[1382] More specifically, the Parties' submission that Ryanair is a possible entrant on the route is merely an assumption that is based on Ryanair's presence in Bari and is not supported by any evidence of potential entry and has not been confirmed by the Commission's market investigation. The Parties have not substantiated either that Ryanair operates in Hamburg.[1383]

(1370) Taking into consideration the elements identified above, the Commission considers that over the Summer IATA Seasons the Transaction will result in the elimination of ITA as the main competitive constraint over Lufthansa before the Transaction, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity, in indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.6.3.4. Conclusion

(1371) In light of the common considerations on direct/indirect short-haul routes explained in sections 9.1and 9.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospect of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would significantly impede effective competition on the route Bari - Hamburg by creating or strengthening a dominant position, in the Summer IATA Season, under any plausible market definition.

9.4.6.4. Naples – Düsseldorf

9.4.6.4.1. Market Structure

(1372) Considering the Naples - Düsseldorf city pair the following plausible relevant alternative geographic market definitions exist based on the catchment areas (See section 6.5.3.3 and 6.5.3.13 above): Naples – Düsseldorf (the widest plausible, consisting both NAP and QSR on the Naples end of the route, and of DUS, CGN, DTM and NRN on the Düsseldorf end of the route) and NAP- Düsseldorf (the narrowest plausible market where the Transaction gives rise to affected markets, consisting of DUS and CGN). Furthermore, the remaining plausible alternative geographic market definitions consist of Naples (NAP & QSR) – Düsseldorf (DUS & CGN), Naples (NAP & QSR) – Düsseldorf (DUS, CGN & DTM), Naples (NAP & QSR) – Düsseldorf (DUS, CGN & NRN), NAP – Düsseldorf (DUS, CGN and NRN), NAP – Düsseldorf (DUS, CGN & DTM), NAP – Düsseldorf (DUS, CGN & NRN), QSR - Düsseldorf (DUS, CGN, NRN & DTM), QSR - Düsseldorf (DUS &

1382 See non-confidential response of TUI to a Commission's request for information (RFI II-1), dated 4 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11695. Additional evidence was made available to the Parties' legal counsels over the data room process.

1383 Response of Lufthansa and MEF to a Commission's request for information (RFI 62), question 1. See extract from Leav's website where the destinations where the latter operates are listed, ID 18954.

CGN), QSR - Düsseldorf (DUS, CGN & DTM) and QSR - Düsseldorf (DUS, CGN & NRN).

(1373) The Commission's assessment below considers the widest plausible market definition, where on the Naples end of the route, both NAP and QSR belong to the same catchment area, and, on the Düsseldorf end of the route DUS, CGN, DTM and NRN belong to the same catchment area. Therefore, the market shares and concerns outlined above reflect this plausible definition.

(1374) However, the assessment below would remain applicable even if the market was to be defined more narrowly (under all other plausible market definitions where the Transaction would still give rise to horizontal overlaps). This is because, the competitive landscape would remain unaltered under all plausible alternative market definitions (as no other competitor operates on the Naples – Düsseldorf city pair from the above-mentioned alternative airports).

(1375) Moreover, there would be no need to assess the effects of the Transaction on the city pair based on the alternative plausible market definitions that encompass either (i) QSR on the Naples end of the route; or (ii) NRN and/or DTM on the Düsseldorf end of the route, because there would be no overlap arising due to the activities of the Parties (as neither operates from these airports).

9.4.6.4.2. Lufthansa and MEF's view

(1376) Lufthansa and MEF argue that (i) the route is of no competitive relevance due to the limited annual passenger volume; (ii) the increment brought by about the Transaction over Winter IATA Seasons 2022/2023 and 2023/2024 is moderate; and, (iii) ITA's indirect offer is complementary to Lufthansa's direct offer, in the sense that ITA's increment is the result of passengers wishing to fly over days of the week that no direct flight is available.[1384] Finally, according to Lufthansa and MEF, Wizz Air is a possible candidate for entry on the route.[1385]

9.4.6.4.3. The Commission's assessment

(1377) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Naples – Düsseldorf over the Winter IATA season.

(1378) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route over the winter IATA seasons. As set out in Table 62 above, the Parties' combined share (by PAX number) between over the last three completed winter IATA seasons (2021/2022, 2022/2023 and 2023/2024) was between 96-98%.

(1379) *Second*, the increment brought about by the Transaction from ITA over the winter IATA season would be significant at 5%-12% over the last three completed winter IATA seasons. This corresponds to a significant increase in the HHI of between 927 and 2 014.

(1380) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 9 000 in each of the last three completed winter IATA seasons (with a minimum HHI level of 9 224). Thus, the Parties' high combined market share, the significant increment in the Parties' joint market position, as well as the HHI and

1384 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 34; and Response of Lufthansa and MEF to the SO, paragraphs 423-435.

1385 Response of Lufthansa and MEF to the SO, paragraph 434.

change in HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1381) *Fourth*, even when looking into the widest possible market definition,[1386] if one excludes the Parties, no other airline operates direct flights on the Naples - Düsseldorf city pair and the Transaction would lead to a quasi-monopoly on the route over the winter IATA season. Although certain competitors offer indirect connections (e.g., Air France - KLM via Amsterdam/Paris and Turkish Airlines via Istanbul) they only manage to capture a negligible market share over the IATA winter season. In this context, the Transaction would lead to the elimination of the only competitive constraint over Lufthansa, in the form of ITA, an airline that managed to capture 12% of the market by offering indirect routes, with less than 3 years of operation. The fact that ITA was the only actual constraint on Lufthansa indicates that it was also its close competitor.

(1382) *Fifth*, as results also from the considerations in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Naples – Düsseldorf city pair, as well as their market position in terms of combined slot holding in DUS (which amounts to ~58% over the summer season, as indicated in Table 24 above) are indicative of dominance and therefore could act as a barriers to entry and expansion in the Naples - Düsseldorf city pair. (See section 9.1.4.3 above for more information). Finally, the market investigation revealed that the high congestion levels at NAP are also strong barriers to entry, as the airport "*has an annual capacity limit - which has been met*".[1387]

(1383) *Sixth*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Proposed Transaction.[1388] More specifically, the Parties' submission that Wizz Air is a possible entrant on the route is merely an assumption based on its presence in NAP, that is not supported by any evidence and has not been confirmed by the Commission's market investigation. In this context, the Commission notes that, Wizz Air indicated that it is undecided as to whether to enter this route,[1389] and thus not fulfilling the Commission's likely, timely and sufficient entry criterion. In other words, in its response to the Commission's market investigation Wizz Air only showed vague considerations of potential actions on the

---

1386 The Commission's assessment considers the widest possible market definition, which includes DUS, CGN, DTM and NRN on the Düsseldorf end of the route. However, it notes that the assessment would remain applicable even in case the market would be defined more narrowly, encompassing fewer airports (i.e., only DUS and CGN on the Düsseldorf end of the route). The Parties' market share would remain unaltered under all relevant plausible alternative market definitions, as the available alternative market definitions are narrower in terms of airports considered and, in any event, no other competitor flies on the route from DTM and NRN. The Commission also notes that in case DTM and NRN were to be considered as separate geographic markets, there would be no need to assess Naples-DTM and/or Naples-NRN separately, as there would be no overlap arising because of the activities of the Parties. Similarly, if QSR were to be considered a separate geographic market, there would be no need to assess any routes from Dortmund to this airport separately, as there would be no overlap arising because of the activities of the Parties. Based on the above, the concerns outlined below would continue to be relevant under any plausible alternative market definition.

1387 Response of easyJet to question E.E.1.2. (e) of questionnaire 03 to short-haul competitors, ID 12368.

1388 See non-confidential response of TUI to a Commission's request for information (RFI II-1), dated 4 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11695 Additional evidence was made available to the Parties' external legal counsels over the data room process.

1389 Response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11695.

routes of concern, often with caveats and without any underlying specific plans or preparatory steps taken.[1390]

(1384) Taking into consideration the elements identified above, the Commission considers that over the Winter IATA Seasons the Transaction will result in the Parties not competing with one another, compared to before the Transaction where ITA was the main competitive constraint over Lufthansa, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity, in indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.6.4.4. Conclusion

(1385) In light of the common considerations on direct/indirect short-haul routes explained in section 9.19.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospect of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would significantly impede effective competition on the route Naples – Düsseldorf by creating or strengthening a dominant position, in the Winter IATA Season, under any plausible market definition.

9.4.6.5. Naples – Hamburg

9.4.6.5.1. Market Structure

(1386) Considering the Naples – Hamburg city pair the following plausible alternative geographic market definitions exist based on the catchment areas (See sections 6.5.3.5 and 6.5.3.13 above): Naples – Hamburg (widest plausible, consisting of both NAP and QSR on the Naples end of the route, and HAM and LBC on the Hamburg end of the route), NAP – HAM (narrowest plausible where the Transaction gives rise to horizontal overlaps) Naples – HAM (consisting of both NAP and QSR on the Naples end of the route), Naples – LBC (consisting of both NAP and QSR on the Naples end of the route), NAP – LBC, and, NAP – Hamburg (consisting of both HAM and LBC on the Hamburg end of the route).

(1387) The Commission's assessment below considers the widest plausible market definition, where NAP and QSR belong in the same catchment area on the Naples end of the route, and HAM together with LBC belong to the same catchment area on the Hamburg end of the route. Therefore, the market shares and concerns outlined above reflect this plausible definition.

(1388) However, the assessment above would remain applicable, even if the relevant market was to be defined more narrowly (and where the Transaction would still give rise to horizontal overlaps, i.e., on the city pair that only includes NAP on the Naples end of the route and HAM on the Hamburg end) irrespective of the alternative plausible

[1390] Response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11695. The Commission notes that the Parties external legal advisors had access to the evidence available in the Commission's file in this respect through the data room process.

market definition. This is because the competitive landscape would remain unaltered in this situation (as no competitor operates on the route from either QSR or LBC).

9.4.6.5.2. Lufthansa and MEF's view

(1389) Lufthansa and MEF argue (i) that it is uncertain whether ITA will enter the ROM-HAM with direct flights and whether it will grow on Naples-Hamburg as a result; (ii) that the increment brought by the Transaction over the Summer IATA Seasons is low and consequently, it will not change the competitive landscape on this route; and, (iii) that ITA's indirect offer is complementary to Lufthansa's direct offer, in the sense that ITA's increment is the result of passengers wishing to fly over days of the week that no direct flight is available.[1391]

9.4.6.5.3. The Commission's assessment

(1390) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Naples – Hamburg over the Summer IATA season.

(1391) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route over the summer IATA seasons. As set out in Table 62 above, the Parties' combined share (by PAX number) between the last two summer IATA seasons, over Summer IATA Season 2022 and Summer IATA Season 2023 was between 96-98%.

(1392) *Second*, even though the increment brought by the Transaction would be small (2-3% in the last two summer IATA seasons) and the increase in the HHI moderate (between 307 and 572), post-Transaction Lufthansa's dominant market position will be strengthened. This is because the market is highly concentrated. Following the Transaction, the HHI would be higher than 9 000 in each of the last two summer IATA seasons (with a minimum HHI level of 9 524 over the last two summer IATA seasons). Furthermore, as set out in section 9.3.1.3.1, ITA has plans to expand by offering direct services on the route Rome-Hamburg (in addition to its direct service on the route Milan - Hamburg). Considering that ITA already offers 4 daily connections on the –Naples - Rome route (i.e., 28 weekly frequencies based on Summer IATA 2024, Winter IATA 2024/2025 and Summer IATA 2025 data),[1392] the chances are that it will be in a position to offer additional convenient connections with limited layover time on the Naples – Hamburg route, through Rome. Consequently, ITA's expansion on Rome-Hamburg is likely to increase ITA's market share on the route Naples - Hamburg.Thus, the Parties' high combined market share, ITA's potential expansion on Rome-Hamburg, as well as the HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1393) *Third*, even when looking into the widest possible market definition, if one were to exclude the Parties, no other airline operates direct flights on the Naples - Hamburg city pair and therefore the Transaction would lead to a monopoly on the route over the winter IATA season. Although certain competitors offer indirect connections (e.g., Air France - KLM via Amsterdam/Paris and Turkish Airlines via Istanbul) they

1391 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 35; and Response of Lufthansa and MEF to the SO, paragraphs 436-438. For the Commission's view please see section 9.4.4 above.

1392 Response of Lufthansa and MEF to a Commission's request for information (RFI 59), question 10.

only manage to capture a negligible market share over the IATA winter season. In this context, the Transaction would lead to the elimination of the only competitive constraint over Lufthansa, in the form of ITA, an airline that managed to capture 3% of the market by offering indirect routes, with less than 3 years of operation. The fact that ITA was the only actual competitive constraint on Lufthansa indicates that it was also its close competitor.

(1394) *Fourth*, as further explained in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Naples – Hamburg city pair, as well as their market position in terms of combined slot holding in HAM are indicative of dominance and therefore could act as barriers to entry and expansion in the Naples - Hamburg city pair. (See section 9.1.4.3 above for more information). Finally, the market investigation revealed that the high congestion levels at NAP are also strong barriers to entry, as the airport "*has an annual capacity limit - which has been met*".[1393]

(1395) *Fifth*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Proposed Transaction.[1394]

(1396) Taking into consideration the elements identified above, the Commission considers that over the Summer IATA Seasons the Transaction will result in the Parties not competing with one another, compared to before the Transaction where ITA was the main competitive constraint over Lufthansa, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity, in indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.6.5.4. Conclusion

(1397) In light of the common considerations on direct/indirect short-haul routes explained in sections 9.1and 9.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospect of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would significantly impede effective competition on the route Naples - Hamburg by creating or strengthening a dominant position, in the Summer IATA Season, under any plausible market definition.

1393 Response of easyJet to question E.E.1.2. (e) of questionnaire 03 to short-haul competitors, ID 12368.

1394 See non-confidential response of TUI to a Commission's request for information (RFI II-2), dated 8 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-3), dated 8 March 2024, question 2, ID 11928. Additional evidence was made available to the Parties' external legal counsels over the data room process.

9.4.6.6. Cagliari – Munich

9.4.6.6.1. Market structure

(1398) Considering the Cagliari - Munich city pair the following plausible alternative geographic market definitions exist based on the catchment areas (See section 6.5.3.7 above): CAG – Munich (widest plausible market definition consisting of both MUC and FMM), CAG – MUC (narrowest plausible market definition where the Transaction gives rise to horizontal overlaps) and CAG - FMM.[1395]

(1399) The Commission's assessment below considers the widest plausible market definition, where MUC together with FMM belong to the same catchment area, therefore the market shares and concerns outlined above reflect this plausible definition.

(1400) However, the assessment below would remain applicable even if the market was to be defined more narrowly, encompassing only CAG - MUC, where the Transaction would still give rise to horizontal overlaps. This is because, the competitive landscape would remain unaltered in this situation (as neither the Parties nor any other competitors operate on the route CAG – FMM).

(1401) Therefore, there would be no need to assess the effects of the Transaction on the city pair based on the alternative plausible market definition that only encompasses CAG-FMM, because would be no overlap arising due to the activities of the Parties (as neither operates from FMM).

9.4.6.6.2. Lufthansa and MEF's view

(1402) Lufthansa and MEF argue that on this city pair, indirect flights do not provide a material competitive constraint to direct flights over the Summer IATA seasons, due to the strong seasonality characterising the route, and the indication that most customers are leisure customers that chose to fly directly. In this context, Lufthansa and MEF consider that indirect flights must not be considered as forming part of the same market as direct flights over summer, and that, as a result there should be no overlap between Lufthansa and ITA's activities over Summer IATA seasons.[1396] The Parties also point out to the low increment brought by the Transaction and the low indirect passenger traffic over Summer IATA seasons 2022 and 2023, namely 2% and 6% respectively.[1397] In addition, the Parties' submit that ITA's indirect offer is complementary to Lufthansa's direct offer over summer, in the sense that ITA's increment is the result of passengers wishing to fly over days of the week that no direct flight is available.[1398]

9.4.6.6.3. The Commission's assessment

(1403) For the reasons set out below, the Commission concludes, that the Transaction would significantly impede effective competition as a result of the creation or strengthening

1395 The Parties did not submit an airport substitutability claim for the Cagliari end of the route.

1396 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 25; and Response of Lufthansa and MEF to the SO, paragraphs 417-420.

1397 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 25; and, Response of Lufthansa and MEF to the SO, paragraphs 417-420.

1398 Parties' Supplemental submission on direct/indirect and potential future short-haul overlaps, dated 2 May 2024, paragraph 25.

of a dominant position under any plausible market definition on the route Cagliari – Munich over the Summer IATA Season.[1399]

(1404) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route over summer. As set out in Table 62 above, the Parties' combined share (by PAX number) in Summer IATA Seasons 2022 and 2023 was 98%.

(1405) *Second*, the increment brought about by the Transaction from ITA or Lufthansa would be notable at up to 6% in the last two completed summer seasons. This corresponds to an important increase in the HHI of up to 1 038 in the last two completed summer IATA seasons.

(1406) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be higher than 9 000 in each of the last two completed summer IATA seasons (with a minimum HHI level of 9 597). Thus, the Parties' high combined market share, the large increment in the Parties' joint market position, as well as the HHI and change in HHI post-Transaction, indicate that the Transaction would create or strengthen a dominant position.

(1407) *Fourth*, even when looking into the widest possible market definition, if one were to exclude the Parties, no other airline operates direct flights on the Cagliari - Munich city pair over the summer IATA season and therefore the Transaction would lead to a dominant position or quasi-monopoly on the route depending on the season. The remaining indirect competitors (e.g., Vueling via Barcelona) only managed to obtain a 2% market share. In this context, the Transaction would lead to the elimination a significant competitive constraint over Lufthansa, in the form of ITA, whose market share is at 6%, three times higher than the remaining competitor(s). The fact that ITA was the only actual constraint on Lufthansa indicates that it was also its close competitor.

(1408) *Fifth*, as results also from the considerations explained in section 9.1.4, there are several barriers to entry and expansion on the route. In particular, the Parties' high combined market share on the route Cagliari - Munich city pair, as well as their market position in terms of combined slot holding in MUC (which exceeds 66% over the summer season, as indicated in Table 24 above) are indicative of dominance and therefore could act as barriers to entry and expansion in the Cagliari-Munich city pair. (See section 9.1.4.3 above for more information). Moreover, airport charges in MUC are high and could also act as a barrier to entry and expansion. (See section 9.1.4.4 above for more information). Munich airport is also congested at certain hours of the day (see section 9.1.4.2 for more information).

[1399] The Parties confirm that neither Lufthansa nor ITA operate continuous direct connections over the Winter IATA Seasons on Cagliari - Munich. In fact, over Winter IATA 2022/2023 and Winter IATA 2023/2024, Lufthansa only operated two and four direct flights respectively, whereas ITA only offered indirect connections. (Response of Lufthansa and MEF to the SO, paragraph 419).
Considering that the overlap between the Parties' activities over winter is an indirect/indirect one, the Commission applied an annual traffic filter to exclude likely unproblematic indirect/indirect short-haul routes from the scope of its investigation, and namely on short-haul routes where the total annual traffic to is below 15 000 passengers (in line with its past decisional practice; See e.g., Case M.9287 – Connect Airways / Flybe, footnote 341).
Based on this filter, the Transaction will not result to a significant impediment of effective competition on the Cagliari - Munich city pair over winter, even though the total annual traffic exceeds 15000 passengers (i.e., 24 338 annual passengers based on IATA Winter 2022/2023 and Summer 2023 data), because the overall seasonal traffic over winter was low and amounted to 1 392 passengers over Winter IATA 2022/2023 and 1 771 passengers over Winter IATA 2023/2024 (i.e., well below 7 500 passengers over the winter).

(1409) *Sixth*, the Parties do not identify any potential market entry on the route. Similarly, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Proposed Transaction.[1400]

(1410) Taking into consideration the elements identified above, the Commission considers that over the Summer IATA Seasons the Transaction will result in the Parties not competing with one another, compared to before the Transaction where ITA was the main competitive constraint over Lufthansa, and, in the increase of the Parties' market power. Consequently, the Commission considers that the Transaction will likely result in higher prices for consumers and potentially negative effects on connectivity, in indirect routes between Italy and the DACHB countries, possibly with fewer frequencies operated by the Parties and/or even less incentives for competitors to enter the route with direct connections and compete with the Parties, as their strong combined position will act as barriers to entry. (See section 9.1.4.3 for more information on how the Parties strong market position can result in barriers to entry).

9.4.6.6.4. Conclusion

(1411) In light of the common considerations on direct/indirect short-haul routes explained in section 9.4.4 above, and in view of the above findings related in particular to the Parties' very high combined market shares, the limited constraint imposed by competitors, the fact that the Parties compete closely, the existence of barriers to entry and expansion, and the lack of prospect of likely, timely and sufficient entry on the route the Commission concludes, that the Transaction would significantly impede effective competition on the route Cagliari - Munich by creating or strengthening a dominant position in the Summer IATA Seasons, under any plausible market definition.

9.4.6.7. Conclusion

(1412) In light of the above the Commission concludes that the Transaction would lead to a significant impediment of effective competition due to the creation or strengthening of a dominant position, on routes Brindisi – Düsseldorf, Bari – Hamburg, Naples – Hamburg and Cagliari – Munich over the Summer IATA season and on routes Bari – Frankfurt and Naples – Düsseldorf over the Winter IATA season, under all plausible market definitions.

10. COMPETITIVE ASSESSMENT – HORIZONTAL OVERLAPS ON LONG-HAUL ROUTES

(1413) When taking into account Lufthansa's JV partners (e.g., United Airlines, Air Canada, All Nippon Airways and Air China) as part of the Parties' activities, in accordance with the Commission's practice described in section 10.1, the Transaction results in

[1400] See non-confidential response of TUI to a Commission's request for information (RFI II-1), dated 4 March 2024, question 1, ID 11686. See non-confidential response of Wizz Air to a Commission's request for information (RFI II-2), dated 6 March 2024, question 2, ID 11695. The Commission notes that in its response to a Commission's request for information (RFI II-2), dated 6 March 2024, question 1 (ID 11695) Wizz Air indicates that it is active on the route Cagliari – Memmingen as of Summer 2022. However, this refers to a typo, as Wizz Air is in fact not active on this route. In fact, Wizz Air most likely refers to its activities on the route Catania-Memmingen. See information from Wizz Air's website indicating that it does not operate flights from Cagliari to any destination, ID 18952. Finally, additional evidence was made available to the Parties' legal counsels over the data room process.

numerous horizontal overlaps on long-haul routes. These overlaps result primarily between cities located in Austria, Belgium, Germany, Italy or Switzerland, on one end of the route, and cities located in non-European destinations, primarily in North America, but also in Asia and Africa, located at the other end of the route. The horizontal overlaps on long-haul routes can be broadly grouped into four categories:

(1414) Overlaps of direct flights (current): The Transaction results in six horizontally overlapping long-haul routes where both ITA and Lufthansa's joint venture partners United Airlines or Air Canada currently operate a direct (i.e., non-stop) connection. These six routes are Rome-New York, Rome-Washington, Milan-New York, Rome-San Francisco, Rome-Chicago and Rome-Toronto. For the latter two routes, ITA's market shares are not yet available, as it entered these routes in Summer 2024.

(1415) Overlaps of direct and indirect flights (current): The Transaction results in 65 horizontally overlapping long-haul routes where either Lufthansa (or one of its JV partners) or ITA currently operates a direct connection, whereas the other merging party (or one of its JV partners) operates an indirect, one-stop connection on that route.

(1416) Overlaps of direct and indirect flights (future): The Transaction results in […] horizontally overlapping long-haul routes where either Lufthansa (or one of its JV partners) or ITA has concrete plans to operate a direct connection within the next three years, whereas the other Party (or one of its JV partners) operates an indirect, one-stop connection on that route only.

(1417) Overlaps of indirect flights: The Transaction results in 2 805 horizontally overlapping long-haul routes where both Lufthansa and/or its JV partners, as well as ITA currently operate an indirect, one-stop connection only.

(1418) Of these long-haul overlaps identified above, the Commission concludes that the Transaction would significantly impede effective competition on the following 3 routes where both ITA and one of Lufthansa's JV partners has a direct connection: Rome-Washington, Rome-San Francisco, and Rome-Toronto (summer only).

10.1. Common considerations on horizontal overlaps on long-haul routes

(1419) This section sets out general considerations concerning the competitive analysis of the Transaction regarding passenger air transport services on long-haul routes. These general remarks are relevant, to different degrees, for all the overlapping long-haul routes discussed in sections 10.2 and 10.3. They lay out the reasons why the activities of Lufthansa's metal-neutral A++ JV should be aggregated with the activities of ITA when assessing the Transaction (section 10.1.1) and the reasons why the presence of independent parties will still likely constrain Lufthansa when defining ITA's strategic decisions, such as the planning of its long-haul operations (section 10.1.1, paragraphs (1431) to (1433)), explain that access to feeder traffic plays an important role in sustaining viable long-haul operations (section 10.1.2), describe the general competitive landscape on the long-haul routes discussed in this Decision (section 10.1.3), explain how whether an airline offers a direct or an indirect long-haul flight influences how closely it competes with other airlines active on the same long-haul route (section 10.1.4), and outline the main barriers to entry and expansion on the long-haul routes discussed in this Decision, namely access to feeder traffic, availability of traffic rights, availability of slots and the existing large slot portfolios of the merged entity, the profitability of the route, the strong competitive position of the Parties as well as the availability of aircrafts and crews (section 10.1.5).

10.1.1. Treatment of Lufthansa's metal-neutral JV partners

10.1.1.1. Introduction

(1420) In previous decisions, the Commission considered the activities of certain JV partners of the parties to the transaction in relation to routes covered by joint venture agreements as part of the parties' activities.[1401] This decisional practice is also relevant for the Transaction as, on the transatlantic routes between the EEA and North America, Lufthansa is a member of the A++ JV together with United Airlines and Air Canada.[1402]

(1421) All partners of the above joint venture cooperate extensively in relation to key parameters of airline competition, […]. In the Parties' words, this means that […].[1403] Moreover, parties to the A++ JV agreement cooperate […].[1404]

(1422) The intensity and breadth of such cooperation has as a consequence that the partners of the joint venture are indifferent which airline effectively operates the "metal" (i.e., the aircraft) and therefore, for all the reasons explained above, their joint venture becomes "metal neutral".[1405]

(1423) Against the above background, in its Statement of Objections, the Commission preliminarily concluded that the activities of the A++ JV and ITA should be assessed as those of a single entity for the purposes of the competitive assessment involving routes between the EEA and North America.

10.1.1.2. Lufthansa and MEF's view

(1424) The Parties do not contest the relevance of the Commission's decisional practice for Lufthansa's A++ JV and indicate that, pursuant to such decisional practice, "*DLH does not compete with the A++JV Partners on transatlantic routes (such that United's and Air Canada's market shares are to be attributed to DLH)*".[1406]

1401 See, e.g., Case M.8964 – Delta/Air France-KLM/Virgin Group/Virgin Atlantic, paragraphs 176-178. In this case, the Commission found that the joint venture agreement entered between Delta, Air France-KLM and Alitalia as well as the joint venture agreement entered into between Delta and Virgin Atlantic involved "*extensive cooperation such as revenue-sharing and joint management of schedules, pricing and capacity*". The Commission therefore treated them as a single entity for the purposes of assessing market shares and aggregated their market positions with that of the other involved parties. Likewise, in Case M.7541 – IAG/Aer Lingus, paragraphs 146-147. In this case the Commission found that the joint venture agreement entered into between British Airways, American Airlines, Iberia and Finnair involved "*extensive cooperation such as revenue-sharing and joint management of schedules, pricing and capacity on all routes between North America and Europe*". The Commission therefore treated them as single entity for the purposes of assessing market shares and aggregated the market positions of IAG and its JV partners with those of Aer Lingus. Similarly, in Case M.6828 – Delta/Virgin, paragraphs 84-87, the Commission assessed the Transaction considering the market position of Delta as well as its JV partners Air France/KLM/Alitalia as a single one on all relevant routes and aggregated the market positions of Delta and its JV partners with those of Virgin. The Commission recently followed the same approach in Cases M.9637 – IAG/Air Europa and M.9489 – Air Canada/Air Transat, where, in the former, it aggregated the market positions of IAG and its JV partners American Airlines and LATAM with those of Air Europa on the overlapping routes; and, in the latter, it aggregated the market positions of Air Canada and its JV partner Lufthansa with those of Air Transat on the overlapping routes.

1402 This decisional practice is also relevant for the J+ JV between Lufthansa and ANA and the C+ JV between Lufthansa and Air China. However, Lufthansa and MEF do not contest the Commission's decisional practice with respect to these two JVs.

1403 Parties' responses to RFI 51, paragraph 11.

1404 Form CO, paragraph 2217.

1405 See, e.g., Case M.6828 – Delta/Virgin, paragraph 6.

1406 Response of Lufthansa to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraph 131.

(1425) However, the Parties argue that the above decisional practice of aggregating the activities of all JV partners with those of the target company does not apply to the integration of ITA into the A++ JV for the following reasons:

(1) while ITA will be controlled by Lufthansa post-Transaction under an EU merger control perspective, this will not be the case from a US perspective and any coordination of ITA and Lufthansa's US related activities will be considered in breach of US antitrust laws until the antitrust immunity (ATI) will be granted by the US Department of Transport (DoT);[1407]

(2) it is not yet certain whether ITA, which is currently not a party of the A++ agreement, will join the A++ JV post-Transaction because such integration will depend on the granting of ATI. In the case at hand the Parties submit that, as shown by Lufthansa's internal documents and confirmed by one competitor during the market investigation,[1408] "*there is a clear possibility that such clearance may not be granted*".[1409] Therefore, according to the Parties, the Commission should "*take the possibility into account that such* [ATI] *clearance is not granted […] and cannot take the integration of ITA in A++ for granted*";[1410]

(3) the granting of ATI to ITA […] and "*an application for the inclusion of ITA into the A++ could be made even absent the Proposed Transaction*";[1411] and

(4) the Transaction "*would not lessen the incentives for the A++ JV Partners to compete with ITA post-merger until such time it would (potentially) become part of A++*",[1412] considering *inter alia* that […].[1413] In addition, the Parties will implement effective measures to ensure antitrust compliance, such as ring-fencing any competitively sensitive information from the respective other side. Furthermore, the Parties submit that it is unlikely that "*the incentive to compete will cease completely*", as there will still be third-party competition on long-haul routes and therefore "*a potential increase in ITA's price may not result in corresponding revenue gains for the JV Partner but could instead benefit a competitor*".[1414]

(1426) In a supplementary submission and in their Response to the SO, the Parties further argued that the activities of Lufthansa, the A++ JV partners and ITA should not be assessed as those of a single entity, on the basis that:

(1) prior to the granting of ATI, strong competition will remain between ITA and the A++ JV in light of the fact that MEF, which the Commission considers exercising joint control over ITA, will have strong interest and adequate governance powers to ensure that ITA's profitability, of which long-haul is a central stream, will be further developed;

1407 Response of Lufthansa to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraph 131. Response to the SO, paragraph 482

1408 Response to the SO, paragraphs 480-481.

1409 Response of Lufthansa to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraphs 130 and Response to the SO, paragraph 478.

1410 Response of Lufthansa to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraphs 130 and Response to the SO, paragraph 479.

1411 Response of Lufthansa to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraphs 129. Response to the SO, paragraph 477.

1412 Response of Lufthansa to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraphs 131.

1413 Response to the SO, paragraph 489.

1414 Response to the SO, paragraph 491.

(2) prior to the granting of ATI, ITA and the A++ JV partners both have the obligation to develop their activities. Therefore, according to Lufthansa "*neither the A++ Parties nor ITA would reduce their operations from/to Italy without a respective change in market environment*". Against this background, the Parties submit that "*neglecting the valuable North American traffic would be economic mismanagement on DLH's part and would also be contrary to DLH's commitments, particularly in the absence of any benefits for ITA from A++ pre-ATI*";[1415] and

(3) ITA's integration in the A++ JV should be subject to the antitrust regime, rather than to a merger control proceeding which, according to the Parties, "*is not designed for considering uncertain future circumstances concerning the set-up of the concentration, particularly where serious concerns are justified mainly based on such uncertain circumstances*", i.e., the granting of ATI to ITA.[1416] Therefore, according to the Parties, "*ITA joining the A++ agreement should be best evaluated if and when it will become relevant, in the context of the ATI process in the US and in the antitrust review under EU rules*". [1417]

10.1.1.3. Commission's assessment

(1427) The Commission contests the arguments made by the Parties to the extent set out below and, based on the results of the investigation, concludes that its prior practice on the treatment of the metal-neutral revenue-sharing joint ventures should also apply to this case for the following reasons.

(1428) *First*, it is not disputed that, following Lufthansa's acquisition of ITA, Lufthansa will exercise, under the meaning of the Merger Regulation, control over ITA and, therefore, that ITA will become one single entity with significant structural links with Lufthansa which, in turn, is coordinating its activities on the relevant long-haul routes with its JV partners and shares revenues with them. Even though each of the interested parties to the Transaction (namely Lufthansa, its JV partners and MEF) cannot independently steer the key decision making of ITA, which as further explained below, will need to be taken into account both for the JV cooperation framework and the concurrent interest of MEF in expanding ITA's operation on long-haul, the Commission considers that the structural link that the Transaction creates between Lufthansa and ITA means that the incentives to compete are dampened as of closing of the Transaction for the following reasons.

(1429) In the first place, ITA, controlled by Lufthansa and tied to its strategic management, would have fewer incentives to compete with its parent company Lufthansa and therefore, by extension, with the JV partners:

(1) Any strategy or action by ITA that would result in revenue loss for the JV partners on the overlapping routes (among which could be strategies such as lowering prices; opening new routes in competition with the JV; or cooperating with a JV's competitor) would result in harm to Lufthansa's revenues, as the JV will distribute less revenues to its partners. ITA and MEF could only engage in such strategies with the consent of Lufthansa (which has veto rights over the Reserved Matters such as […], as set out in section 2.3).

1415 Parties' submission on the treatment of the JV, dated 15 March 2024, paragraphs 14 *et seq*.

1416 Response to the SO, paragraph 494. Parties' submission on the treatment of the JV, dated 15 March 2024, paragraphs 24 *et seq*.

1417 Response to the SO, paragraph 495.

(2) Conversely, any strategy or action by ITA that would result in revenue gains for the JV partners on the overlapping routes (among which could be strategies such as increasing prices; decreasing capacity; deferring or cancelling the opening of new routes; or ceasing to cooperate with a competitor) would result in gains in Lufthansa's revenues, as the JV will distribute more revenues to its partners. Therefore, Lufthansa would have incentives to support such competitive strategy or action as part of its control rights over ITA, but would need to reach the consensus of MEF, which has veto rights over the Reserved Matters.

(1430) In the second place, Lufthansa would have no incentives to compete with ITA as ITA would become Lufthansa's controlled subsidiary after the Transaction and Lufthansa would partake in ITA's revenues:

(1) Any strategy or action by the JV that would result in revenue loss for ITA on the overlapping routes would result in harm to Lufthansa's revenues. Accordingly, Lufthansa would have no incentives to approve such strategy or action as part of its rights in the JV.

(2) Conversely, any strategy or action by the JV partners that would be in line with the interest of the JV and result in revenue gains for ITA on the overlapping routes would result in gains in Lufthansa's revenues. Therefore, Lufthansa would have incentives to support such strategy or action as part of its rights in the JV.

(1431) In the third place, contrary to the Parties' supplementary arguments, the dampening of effective competition between ITA and the JV partners will not be completely prevented by MEF's interest in strengthening ITA's long-haul operations and profitability. MEF may still pursue the declared objective of increasing ITA's network between Italy and North America, exercising, where appropriate, its control mechanism and veto rights over ITA's strategic decisions, but, as a result of ITA's structural links with Lufthansa, this could only happen in line with the concurrent interest of Lufthansa, which itself coordinates on these routes with its JV partners.

(1432) Furthermore, MEF's interest in strengthening ITA's long-haul operations and profitability can be consistent with a strategy of the Parties to dampen effective competition between ITA and the A++ JV. This is because a dampening of effective competition on long-haul routes would lead to increased profitability of ITA's long-haul operations via increased prices charged to passengers (in addition to other potential synergies). Such profitable price increases could be carried out without either ITA or the A++ JV partners leaving the respective routes, considering that price increases, if kept below the level that would imply a drop in passenger numbers sufficient to necessitate frequency reductions, would not necessarily result in reduced operations.

(1433) That said, while the structural change brought about by the Transaction will affect the competitive dynamics on all routes covered by the JV agreements, including the routes listed in this Decision, the Commission acknowledges that the Transaction would not completely remove ITA's incentives to compete against Lufthansa's JV partners considering that both the JV partners and MEF would still influence, even though to a different extent, the key decision making of the JVs and of ITA respectively. To this end, Lufthansa would still need to take into account both the JV cooperation frameworks and the concurrent interest of MEF in ITA.

(1434) In the first place, as further illustrated in section 2.3, Lufthansa cannot decide independently on ITA's strategic decisions, which include decisions relating to the annual budget, business plan, fleet plan, route portfolio and changes to strategic cooperation agreements; likewise, Lufthansa cannot take decisions relating to the JVs without reaching consensus with its partners.

(1435) In the second place, MEF, which will not profit from the operations of the JVs on the long-haul routes prior to ITA's integration in the JVs (which, furthermore, remains subject to antitrust approvals at least for the A++ JV), will protect its interest in ITA, notably pursuing the objective of ITA's industrial development and future growth, with particular focus on the strengthening of national hubs and its entry into strategic markets and increase of long-haul routes. To achieve these ends, MEF will continue to have extensive governance powers, including the veto rights on the Reserved Matter. Moreover, as further described in section 2.3, […].

(1436) Consequently, the presence of independent parties with interests potentially in conflict with one-another, namely United Airlines and Air Canada on the A++ JV side and ANA on the J+ JV side, and MEF on ITA's side, will likely constrain Lufthansa to a certain extent when defining ITA's strategic decisions, such as the planning of its long-haul operations. Therefore, despite the dampening of the incentives to compete as of closing of the Transaction particularly on long-haul routes, these incentives will not be completely removed as far as ITA's strategic decisions can only be taken in compliance both with the interest of Lufthansa, which itself coordinates with its JV partners and in compliance with the concurrent interest of MEF in expanding ITA's long-haul operations.

(1437) *Second*, contrary to what the Parties claim, the above structural change in the competitive situation on the routes operated by the JVs and ITA constitutes the direct long-lasting effect of Lufthansa's acquisition of control over ITA, which is precisely what the Commission has to assess under the Merger Regulation, irrespective of any current or prospective entry of ITA into the JV agreement and without prejudice to any antitrust proceedings, including any potential assessment of a future JV agreement under EU antitrust rules.

(1438) This is in line with the core rationale of the Merger Regulation, which provides that a concentration that may impede effective competition in the internal market should be subject to *ex-ante* merger control, rather than to an *ex-post* behavioural control via antitrust rules.

(1439) *Third*, the Parties' arguments according to which strong competition will remain between ITA, Lufthansa and its A++ JV partners "*pre-ATI*",[1418] […],[1419] […], as it does not consider that, under the Merger Regulation, the Commission should investigate, on a forward-looking basis, both the current and expected structure of all the markets concerned, taking into account any long lasting related effects of the Transaction, including the Parties' declared objective of making ITA (and its related FCO hub) part of Lufthansa's JVs as soon as possible.

(1440) In addition to the outlined structural effect stemming immediately from the closing of the Transaction, the Commission considers that it should also take into account the planned integration of ITA in the joint ventures under the present merger control procedure, without prejudice to any antitrust proceedings, including any potential

[1418] Parties' Response to the SO, pages 116-119.
[1419] Parties' Response to the SO, paragraph 489.

assessment of a future JV agreement under EU antitrust rules, for the following reasons.

(1441) *First*, as acknowledged by the Parties, the Parties are likely to pursue ITA's integration in the JVs without delay.

(1442) *Second*, the Commission's investigation clearly shows that ITA's integration in the JVs is central to the Parties' deal rationale and an objective of the Transaction to be pursued immediately following the closing of the Transaction.

(1443) In the first place, Lufthansa and MEF have indicated that "[a]*fter closing of the Proposed Transaction,* [they] *would like to integrate ITA into the A++ joint venture to realise the maximum efficiencies from the Transaction*".[1420]

(1444) In the second place, several internal documents of Lufthansa confirm that [Details on plans for JV integration].[1421] Namely, in the internal presentation below, [Details on plans for JV integration].[1422] In addition, [Details on plans for JV integration].

Figure 76: Lufthansa internal document

[…]

Source: Lufthansa internal document, […].

Figure 77: Lufthansa internal document

[…]

Source: Lufthansa internal document, […].

(1445) *Third*, based on the overall amount of evidence indicated in this section, the Commission considers that ITA's integration into the JVs and the Transaction are closely linked: on the one hand, Lufthansa considers that ITA standalone may be unprofitable and that ITA's integration into the JVs is needed to make the investment work; on the other hand, MEF and ITA, which is currently a Sky Team member together with Air France-KLM and Delta, would not have developed plans to integrate its operations into the A++ and J+ JVs absent the Transaction.

(1446) In light of the above, the Commission's merger investigation shall focus, without prejudice to any antitrust proceeding, including any potential assessment of a future JV agreement under EU antitrust rules, where relevant, both on the current and expected structure of all the markets concerned, taking into account the Parties' declared objective of making ITA part of the JVs as soon as possible.

(1447) Moreover, even assuming that the Parties' arguments according to which *(i)* the Commission should assess the likelihood of the granting of ATI to ITA for merger-related purposes and *(ii)* the JV partners would keep separated their activities on transatlantic routes by implementing "*all required protocols and procedures to prevent such new air carrier affiliate from participating in, or receiving any information with respect to the* [A++] *Agreement or related thereto*"[1423] were to be considered for merger-related purposes - *quod non* for the reasons explained above in paragraphs (1425) to (1444) - an overall analysis of Lufthansa's internal documents further suggest that:

1420 Response of Lufthansa and MEF to a Commission's pre-notification request for information (RFI 9), paragraph 48.

1421 [Reference to an internal document from Lufthansa].

1422 [Reference to an internal document from Lufthansa].

1423 Form CO, paragraph 1222. Parties' submission on treatment of the JV, dated 15 March 2024, paragraphs 22 *et seq*.

(1448) *First*, Lufthansa itself [details on plans for JV integration]. In the following internal documents, Lufthansa indicates [details on plans for JV integration], and that, to this end, [details on plans for JV integration].[1424]

Figure 78: Lufthansa internal document

[…]

Source: […].

Figure 79: Lufthansa internal document

[…]

Source: […].

(1449) Contrary to the claims brought by the Parties in their Response to the SO,[1425] the above documents indicate that ITA's successful integration in the A++ JV constitutes one of the main assumptions upon which the Transaction relies on, and it is not contested that this remains the case irrespective of any change in the structure of the Transaction that occurred since the preparation of these documents.

(1450) *Second*, Lufthansa's internal documents listed below indicate that [details on content of DLH internal documents]. Contrary to the Parties' arguments, Lufthansa's internal documents show [details on content of DLH internal documents].

Figure 80: Lufthansa internal document

[…]

Source: […].

(1451) In a separate internal document [details on content of DLH internal documents].[1426]

(1452) The Commission notes that, [details on plans for JV integration].

(1453) Furthermore, additional internal documents show that [details on plans for JV integration and content of DLH internal documents],[1427] [details on plans for JV integration and content of DLH internal documents] (emphasis added).[1428]

(1454) *Third*, these internal documents show that [details on plans for JV integration and content of DLH internal documents].[1429] Indeed, [details on plans for JV integration and content of DLH internal documents].[1430] In any case, [details on plans for JV integration and content of DLH internal documents].[1431]

(1455) Furthermore, the Commission considers that the above internal documents further confirm that [details on plans for JV integration].[1432][details on plans for JV integration].

(1456) In view of the overall elements available to the Commission and in line with previous decisional practice, which also applies to target airlines that were not (yet) a party to the JV agreement and/or that were not (yet) immunised under antitrust law,

1424

1425

1426

1427 Response to the SO, paragraph 486.

1428

1429 Lufthansa and MEF's response to the 6(1)(c) decision, paragraph 131. Response to the SO, paragraphs 482 - 484.

1430

1431

1432

for the present case, the Commission concludes that, without prejudice to any antitrust proceeding, including any potential assessment of a future JV agreement under EU antitrust rules, the activities of the A++ JV and ITA should be assessed as those of a single entity for the purposes of the competitive assessment involving routes between the EEA and North America.

10.1.2. Relevance of feeder traffic for long-haul operations

(1457) Access to feed traffic plays an important role in long-haul operations.

(1458) In order to reach a profitable load-factor, long-haul routes generally connect larger metropolitan areas, since more regional destinations do not have sufficiently high demand for profitable operations. For the long-haul routes covered by this Decision, the hub-and-spoke model is by far the most common business model, because it is able to sustain regular and significant operations by feeding passengers into the long-haul network of the carrier. In the hub-and-spoke business model, network carriers, such as Lufthansa and ITA, rely on a dense network of domestic and short-haul flights which "feed" passengers into their airport hubs in order for these passengers to connect to a long-haul flight with the Parties from their airport hubs. For long-haul flights, passengers that connect with a short-haul or domestic flight at either or both ends of the long-haul route is commonly referred to as "feeder traffic".

(1459) A more detailed discussion of ITA and Lufthansa's specific hub-and-spoke business models and the importance of feeder traffic to the Parties' business model is provided in sections 7.5 and 7.6, respectively.

(1460) The importance of having access to a wide feeder network on one or both ends of the route to operate a route profitably is illustrated by Lufthansa's internal documents. For example, in the internal document cited below, Lufthansa finds that […].

Figure 81: Lufthansa internal document

[…]

Source: […].

(1461) During the market investigation, competitors were asked to explain the role of feeder traffic at each end of the route in their company's ability to enter or expand their air passenger services on each route; and to what extent access to feeder traffic at any end of the route influences the competitive dynamics on the route. Contrary to the claim brought by the Parties in their Response to the SO,[1433] the view of almost all competitors was that feeder traffic is generally indispensable and essential for the viability and economic sustainability of a route by filling seats and improving load factors.[1434] This conclusion is not contradicted by the (selected) quotes from two competitors reported by the Parties in their Response to the SO.[1435] Namely, while IAG indicates that there should not be a separate market definition for feeder traffic (as it is not the only way to create "*economies of traffic density*"), it still recognizes that "*carrying connecting passengers can support long-haul operations due to economies of traffic density*", considering that "[b]*y carrying more total paying passengers overall on a trunk long-haul route, airlines can raise load factors and lower average unit costs for all passengers*".[1436] This further confirms that having

1433 Response to the SO, paragraph 520.

1434 Replies to question D.B.14 of Questionnaire Q4 to Long-Haul Competitors.

1435 Response to the SO, paragraph 286.

1436 See IAG's response to Q19 of the Commission's request for information to International Airlines Group, dated 18 March 2024, ID 012009.

your own network of feeder traffic at one or both ends of the route or, in IAG's words, "*carrying connecting passengers*" clearly impacts the competitive dynamics on the route. Moreover, access to feeder traffic impacts competitive dynamics as airlines compete not only on long-haul routes but also for feeder routes that contribute passengers to those long-haul flights.

(1462) Further, as indicated in sections 10.2 and 10.3, connecting passengers constitute a significant part of the overall passengers travelling on the trunk routes related to the long-haul overlaps of concern. On average, connecting passengers account for 34% of the total passengers travelling on the trunk routes Rome-Washington, Rome-San Francisco and Rome-Toronto.[1437]

(1463) A pure point-to-point business model (which does not rely on feeder traffic for the sustainable operation of long-haul flights) is rarely used for long-haul operations. In fact, for the long-haul routes of concern covered in this Decision, only Air Transat on the Rome-Toronto route operates under a pure point-to-point business model (during the summer seasons only).

10.1.3. Competitive landscape

(1464) For the transatlantic long-haul routes between Italy and North America for which the Commission concludes that the Transaction would significantly impede effective competition, this section discusses the main competitors that the Parties face and more generally the competitive environment in which the Parties operate on these routes.

(1465) On these routes, the A++ JV (including Lufthansa, United Airlines and Air Canada) as well as ITA primarily compete against two other transatlantic metal-neutral joint ventures: the Blue Skies joint venture between Delta Air Lines, Air France-KLM and Virgin Atlantic ("Blue Skies JV"), as well as the joint venture involving certain members of the Oneworld alliance, including American Airlines, airlines belonging to the IAG group (British Airways, Iberia, Aer Lingus) and Finnair ("AA-IAG JV").

(1466) The Blue Skies JV is a metal-neutral profit-sharing joint venture whose partners closely cooperate on pricing, schedules and connecting services. The geographic scope of the joint venture encompasses non-stop routes between the EU and the UK, on the one hand, and the United States, Canada, Mexico, and related beyond routes, on the other hand.[1438] The Blue Skies joint venture has airport hubs in Paris (CDG and ORY), Amsterdam (AMS), and London (LHR) in Europe, and airport hubs in New York (JFK), Atlanta (ATL), Boston (BOS), Los Angeles (LAX), Minneapolis (MSP), Salt Lake City (STL), Seattle (SEA) and Detroit (DTW) in North America.[1439]

(1467) Likewise, the AA-IAG JV is a metal-neutral revenue-sharing joint venture including joint management of schedules, pricing and capacity. The joint venture covers all routes operated by members of the JV between Europe, including Italy, on one end of the route, and Canada, Mexico and the United States, on the other end of the route.[1440] The AA-IAG JV has airport hubs in London (LHR and LGW), Madrid

1437 Response to the SO, paragraph 505 and Table 4. Figure is for Summer 2023.

1438 Non-confidential minutes of the conference call with Delta dated 19 October 2023, paragraph 6, ID 1165.

1439 Response of Lufthansa/MEF to a Commission's Request for Information (RFI 23), Annex Q7.

1440 Non-confidential minutes of the conference call with IAG dated 6 November 2023, paragraph 13, ID 2353.

(MAD), Helsinki (HEL), Dublin (DUB) and Barcelona (BCN) in Europe, and airport hubs in Charlotte (CLT), Chicago (ORD), Dallas (DFW), Los Angeles (LAX), Miami (MIA), New York (JFK), Philadelphia (PHL) and Phoenix (PHX) in North America.[1441]

(1468) For comparison, the A++ JV has airport hubs in Frankfurt (FRA), Munich (MUC), Zurich (ZRH), Vienna (VIE) and Brussels (BRU) in Europe, and airport hubs in Chicago (ORD), Denver (DEN), Houston (IAH), New York (EWR), San Francisco (SFO), Washington (IAD), Los Angeles (LAX), Montreal (YUL), Toronto (YYZ) and Vancouver (YVR) in North America.

(1469) In line with previous decisional practice, and without prejudice to the application of antitrust rules to any existing or envisaged agreements between the Parties and their JV partners,[1442] for the present case, the Commission considers the activities of each of the Blue Skies JV and AA-IAG JV to refer to a single entity for the purposes of the competitive assessment involving transatlantic routes between Europe and North America.[1443]

(1470) Together, the A++ JV, the Blue Skies JV and the AA-IAG JV accounted for about 73% of all passenger traffic between Italy and North America (including the United States and Canada) in Winter 2022/23 IATA season and 76% in Summer 2023 IATA season with ITA, separately, accounting for 16% and 10%, respectively.[1444] In terms of capacity of direct flights, the three metal-neutral transatlantic joint ventures accounted for 62% in Winter 2023/24 and 69% in Summer 2024 with ITA, separately, accounting for 26% and 18%, respectively.[1445]

(1471) The importance of the three transatlantic joint ventures for the competitive landscape for air passenger traffic between Europe and North America is also reflected in the Parties' internal documents. For example, the below excerpt from an internal presentation from Lufthansa refers to traffic between Europe and North America as an […]. Similarly, Greek airline Aegean, which is currently not part of any of three transatlantic joint ventures, finds that "*for transatlantic traffic, there exists an oligopoly on transatlantic routes between the three JVs that are now dominating this market*".[1446]

Figure 82: Lufthansa internal document, dated […]

[…]

Source: M.11071 - DLH Annex 5.4.83 - […].

(1472) Lufthansa commonly describes its long-haul traffic to North America as […]. As seen from the following excerpt from a Lufthansa [Details on content of DLH internal document]. While other factors may also play a role in […], this suggests that the competitive pressure on Lufthansa is lower on long-haul traffic to North America than it is on long-haul traffic to other regions.

1441 Response of Lufthansa/MEF to a Commission's Request for Information (RFI 23), Annex Q7

1442 It is in this context that the potential benefits that consumers may receive from the JVs, including those referred to by United Airlines in its observations to the Statement of Objections, dated 17 April 2024 (ID 13683), should be assessed.

1443 See, e.g., Cases M.9637 – IAG/Air Europa; M.9489 – Air Canada/Air Transat.

1444 Response of Lufthansa/MEF to a Commission's Request for Information (RFI 36), Annex 100.

1445 Response of Lufthansa/MEF to a Commission's Request for Information (RFI 31), Annex Q3. Capacity figures are based on frequency and consider direct connections only.

1446 Non-confidential minutes of the conference call with Aegean dated 21 February 2024, paragraph 5, ID 11431.

Figure 83: Lufthansa internal document, dated […]

[…]

Source: […].

(1473) While the previous two excerpts from Lufthansa's internal documents relate […]. As shown in the internal document from Lufthansa below […].

Figure 84: Lufthansa internal document,[…]

[…]

Source: PROD-19a_Q02-[…].

(1474) In addition to the two other transatlantic joint ventures, the Parties also compete with Air Transat on the route Rome-Toronto, as well as, to a significantly more limited extent, with the indirect connections of TAP Air Portugal, Turkish Airlines, and Icelandair on each of the three long-haul routes of concern.

(1475) Air Transat is a Canadian full-service (primarily) point-to-point carrier, mainly operating scheduled flights and, to a limited extent, charter flights. For the next years, it aims to operate only scheduled flights.[1447] Air Transat's long-haul strategy focusses on destinations in Europe during the summer as well as so-called "sun-destinations" (including Mexico, Caribbean, and Central and South America) during the winter.[1448] Within Europe, Air Transat mainly operates to France, the UK and the Iberian Peninsula (Spain and Portugal) but it also has flights to Italy, Greece, Croatia, the Netherlands, Switzerland and Belgium. Based on the available information, Air Canada (a member of the A++ JV) is Air Transat's main competitor on routes between Canada and Europe as Air Canada holds an average market share of 40%, while Air Transat has an average market share of 20%, across these routes.

10.1.4. Relevance of indirect connections for the assessment of closeness of competition on long-haul routes

(1476) This section contains observations on closeness of competition between the Parties and their competitors based on the distinction between direct and indirect connections.

(1477) As outlined in section 6.6, the Commission considers that direct (non-stop) flights and indirect (one- or multi-stop) flights are part of the same product market when considering long-haul flights. Therefore, in the route-by-route assessment of the relevant long-haul routes, the Commission will include both direct and indirect flights in the market share as well as HHI estimates. In addition, in the competitive assessment, the Commission will consider the impact that indirect flights have on the Parties' direct operations on a route-by-route basis bearing in mind that on some routes, indirect flights are an important competitive constraint on the Parties. Nevertheless, based on the results of the market investigation as well as based on passengers' actual ticket purchasing behaviour (i.e., their revealed preferences), the Commission considers that airline passengers prefer direct flights over indirect flights. As outlined in more detail below, this is relevant for the assessment of closeness of competition on the overlapping long-haul routes.

1447 Non-confidential minutes of the conference call with Air Transat dated 21 November 2023, paragraph 13, ID 7141.

1448 Non-confidential minutes of the conference call with Air Transat dated 21 November 2023, paragraph 10, ID 7141.

10.1.4.1. Lufthansa and MEF's view on the relevance of indirect connections

(1478) Lufthansa and MEF submit that indirect connections remain a strong competitive constraint on routes irrespective of the number of direct operations.[1449] In particular, the Parties have provided quantitative evidence according to which the share of indirect passengers is significant, even on routes on which there are several competitors with a direct connection. In addition, the Parties disagree with the view expressed by some market participants in the market investigation that business passengers prefer direct flights over indirect flights.

10.1.4.2. Evidence on passenger preferences for direct connections

(1479) The below provides a summary of the available evidence on passenger preferences for direct connections compared to indirect connections.

(1480) *First*, long-haul competitors consistently consider that passengers have a preference for direct connections over indirect connections.

(1481) According to long-haul competitors, passengers consider the availability of direct flights as well as the total flight duration (which is impacted by whether the flight is direct or indirect) as the most important criteria when purchasing a long-haul airline ticket after the price of the ticket (and together with the frequencies offered per week).[1450] In terms of factors that limit the substitutability between direct and indirect flights, long-haul competitors list most commonly the difference in total travel time, difference in price, duration of the lay-over and whether the lay-over happens during the night (between 12am and 6am).[1451]

(1482) In addition, many long-haul competitors consider that there are certain passenger groups (particularly business travellers) that have a stronger preference for direct flights over indirect flight, whereas there are other passenger groups (particularly young leisure travellers) that usually purchase the cheapest available ticket, independently of whether the flight is direct or indirect. For instance, LOT Polish Airlines explained that "*[b]usiness travellers would typically choose direct flights when flying on short business trips*" whereas "*[t]he group that would typically choose the cheapest flight available are the passengers traveling for leisure purpose, for example people who entered their adulthood recently*". Air Europa, Air France-KLM, Air Transat, Asiana, Etihad, IAG, Japan Airlines, and Turkish Airlines provided similar responses during the market investigation.[1452]

(1483) However, as correctly pointed out by Lufthansa and MEF in the Response to the SO,[1453] it may not only be business passengers that have stronger preferences for direct flights over indirect flights. Instead, as reflected in the responses by some long-haul competitors, other passenger groups such as senior travellers and families with children may also have a stronger preference for direct flights over indirect

---

1449 Parties' comments on the 6(1)(c) decision, paragraphs 81-95.

1450 Responses to question D.A.A.1 of questionnaire 04 to long-haul competitors. Contrary to the Parties' arguments in the Response to the SO (paragraph 228), long-haul competitors correctly understood this question. This is evident from the narrative responses provided by individual competitors which all clearly indicate that competitors understood that they were providing a rating on how important the availability of direct flights compared to indirect flights is for air passengers when they choose an airline. See Section 1.2 of the Commission's Letter of Facts, dated 29 April 2024.

1451 Responses to question C.D.4 of questionnaire 04 to long-haul competitors.

1452 Responses to question C.D.6 of questionnaire 04 to long-haul competitors.

1453 Response by Lufthansa and MEF to the SO, paragraph 232.

flights.[1454] Overall, contrary to the claim by Lufthansa and MEF in the Response to the SO,[1455] the Commission's assessment does not divide passenger groups into precisely defined groups of those that prefer direct flights over indirect flights and those that do not. Instead, the Commission's market investigation shows that passengers, in general, prefer direct over indirect flights. However, the strength of this preference may not be homogenous across passenger groups, as suggested by the responses of most long-haul competitors, including those cited by Lufthansa and MEF in the Response to the SO.[1456]

(1484) In addition, several of the responding long-haul competitors indicated that the number of available airlines offering a direct connection has an impact on whether passengers consider indirect flights as a close substitute for the direct flight. For instance, LOT Polish Airlines stated that the "*[n]umber of available airlines offering direct connections has a significant impact on passengers considering indirect flights. More direct flights available on the market contribute to lower interest in indirect flights*". Similarly, Aerolíneas Argentinas explained that "*[a]s more carriers offer direct options on the market, additional prices options will be available for passengers that will make a decision for direct services, if prices keep relatively competitive. So more direct services will mean less passengers on indirect options*". Also, according to United Airlines, "*indirect options on an O&D city pair will be less attractive where there are a significant number of nonstop seats and nonstop schedule options. However, indirect options remain competitively relevant to the extent they offer a lower price and/or meet other customer preferences*". For routes with only one competitor offering a direct connection, over 75% of responding customers stated that passengers generally consider indirect flights as a close alternative to direct connections.[1457] The following airlines also confirmed that the extent to which indirect connections compete with direct connections depends, among other factors, such as price and capacity, on the number of airlines offering a direct connection: ANA, Turkish Airlines, Asiana, Condor, Air Transat, Air Europa, Singapore Airlines, Air France-KLM and Japan Airlines.[1458]

(1485) Finally, in March 2023, during the Commission's market investigation in M.10149 – Korean Air / Asiana, Lufthansa itself indicated […].[1459] This response indicates that Lufthansa itself considers that […]. While Lufthansa argued that their response applied to […] and not to flights between North America and Europe, Lufthansa has not provided any evidence that suggests that, while […], direct flights are not preferred by customers on long-haul routes between North America and Europe.[1460]

(1486) <u>*Second*</u>, passenger behaviour shows that passengers prefer direct flights over indirect flights on long-haul routes, and that a higher proportion of passengers chooses direct flights over indirect flights as the number of direct competitors on a route increases. This is demonstrated in the following submission by Lufthansa and MEF, showing

---

1454 Response by Lufthansa and MEF to the SO, paragraph 232.

1455 Response by Lufthansa and MEF to the SO, paragraph 238.

1456 Contrary to what Lufthansa and MEF submit in paragraphs 239-241 of the Response to the SO, the Commission's assessment of passenger preferences for direct flights over indirect flights does not rely on a distinction between time-sensitive and non-time sensitive passengers, or between corporate and leisure customers.

1457 Responses to question C.C.4 of questionnaire 06 to short- and long-haul customers.

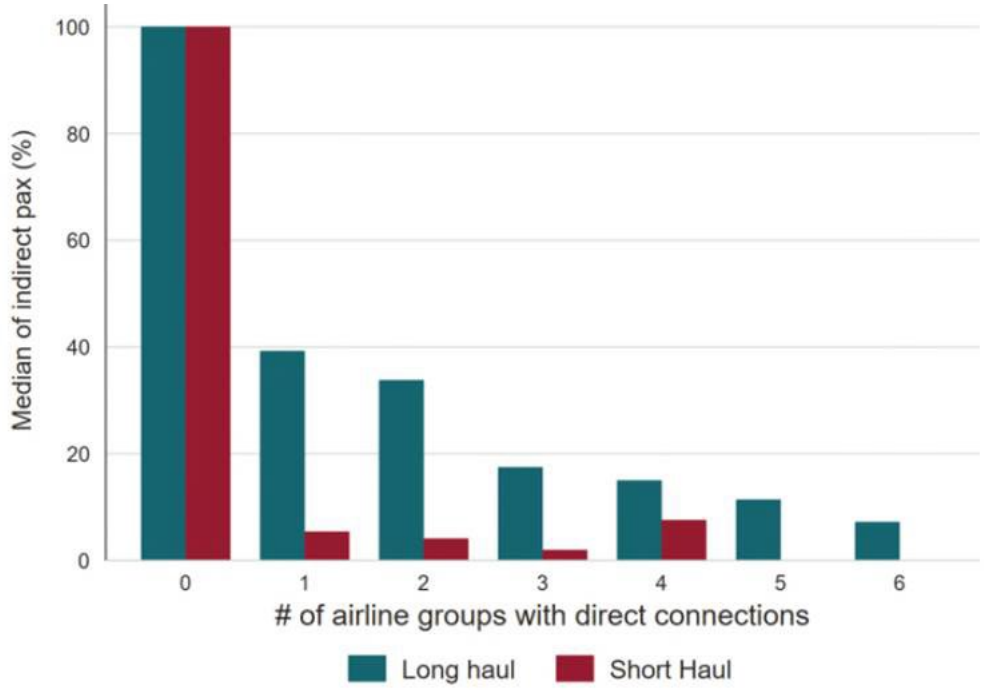
1458 Responses to question C.D.10 of questionnaire 04 to long-haul competitors.

1459 Response of Lufthansa and MEF to the Commission's request of information 9, "RFI 9 - DLH Annex 85 - […].

1460 Response by Lufthansa and MEF to the SO, paragraph 237.

the relationship between the share of indirect passengers on a route as well as the number of direct connections on that route. As can be seen, according to the Parties' estimates, the number of indirect passengers drops to below 40% with only a single carrier with a direct connection present and drops to below 20% with more than two carriers present.

Figure 85: Median share of indirect passengers on long-haul (IT to US/CA) and short-haul (IT to DACHB) routes vs number of airline groups with direct connections (W21/22-S23)



Source: Response of Lufthansa and MEF to the 6(1)(c) decision, Figure 13.

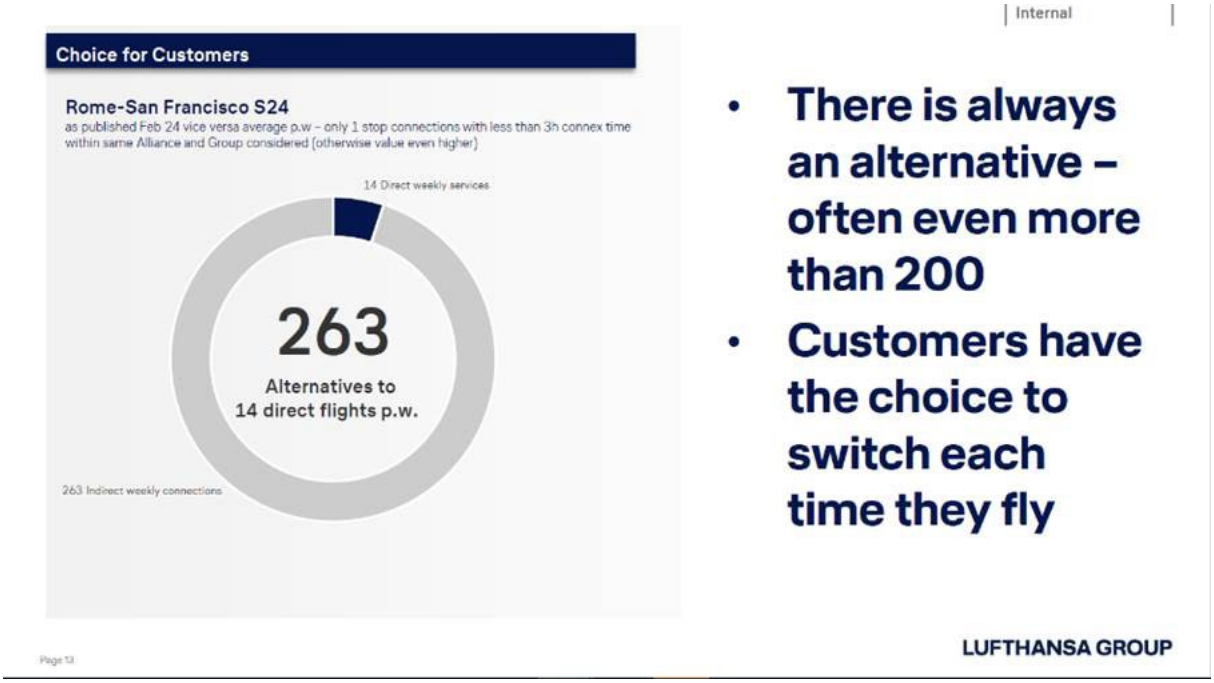
(1487) The claim by Lufthansa and MEF according to which this assessment is inconsistent with the Commission's assessment of indirect flights on short-haul routes is unfounded.[1461] In particular, in the assessment of short-haul routes, given the more limited relevance of indirect connections compared to long-haul routes, the Commission considers that indirect connections are not part of the same market as direct connections, unless more than 10% of passengers on a route fly via an indirect connection. Conversely, in the Commission's assessment of long-haul routes, indirect connections are always included in the same market as direct connections, independently of the share of passengers flying via an indirect connection on a route. However, the fact that most passengers choose a direct connection over an indirect connection, even when there is only a single airline offering a direct connection, shows that passengers prefer direct connections, even in long-haul, and that therefore the distinction between direct and indirect connections is a relevant one for the assessment of closeness of competition in long-haul.

(1488) A further illustration of the fact that passengers prefer direct connections over indirect connections is provided also in the following chart presented by the Parties. As shown by the presentation slide below, on the route Rome-San Francisco, there are 263 weekly indirect connections in S24 whereas there are only 14 weekly direct connections. The Parties refer to these figures to illustrate that customers have significant choice on this route. However, when looking at customers' actual choices

[1461] Response by Lufthansa and MEF to the SO, paragraph 242.

when flying on this route, even in S23, where ITA and United Airlines offered only 6 (rather than 14) weekly direct connections, the total share of passengers flying with a direct connection was close to 50%.[1462] If passengers were indifferent between direct and indirect connections, then the share of passengers flying on a direct connection on this route should be equal to 5% (= 14 / 278) rather than 50%. This therefore further supports the notion that passengers prefer direct connections over indirect connections.[1463]

Figure 86: Slide from a presentation by Lufthansa and MEF to the Commission



Source: Slides from a presentation by Lufthansa to the Commission on network planning (23 February 2024), (ID 11281), page 13.

(1489) The fact that most passengers choose direct flights over indirect flights, even though customers in the passenger air services market are relatively price sensitive and the market is characterised by low switching costs and a relatively high degree of price transparency confirms, rather than contradicts, that passengers prefer direct flights over indirect flights.

(1490) In conclusion, the Commission considers that the available evidence shows that passengers prefer direct connections over indirect connections. In addition, the available evidence shows that the competitive constraint imposed by competitors with only indirect connections on a route decreases with the number of direct competitors active on the route.

1462 Calculations based on IATA passenger data, RFI 36 Annex 100.

1463 In response to paragraph 243 of the Response to the SO, the likely reason that a high share of passengers continues to choose indirect connections over direct connections on this route is most likely the low frequency of direct connections in Summer 2023. In particular, as shown in Table 71, United Airlines and ITA offered less than one daily frequency on this route in Summer 2023 (with ITA only offering two weekly frequencies and United Airlines only offering four weekly frequencies). However, the number of weekly direct frequencies has increased to 14 average weekly frequencies since Summer 2024, which means that the share of passengers choosing indirect connections has likely further decreased on this route.

10.1.4.3. Relevance to the competitive assessment for long-haul routes

(1491) Given that passengers prefer direct connections to indirect connections, the Commission considers that on routes where two or more airlines offer a direct connection, the airlines offering a direct connection compete more closely with each other than with airlines that only offer indirect connections on the route.

(1492) As noted at the outset of this section, in line with its market definition, the Commission considers that indirect connections do exert some competitive constraint on direct connections. Therefore, the Commission's analysis includes both direct and indirect connections in its market share and HHI estimates and considers in more detail the relevance of the competitive constraint from indirect connections on direct connections on a route-by-route basis.

10.1.5. Barriers to entry and expansion

(1493) The Commission's market investigation confirmed the existence of several barriers to entry and expansion for the long-haul routes discussed in this Decision.

(1494) The following sub-sections discuss the most important barriers to entry and expansion on the long-haul routes of concern, including: i) access to feeder traffic, ii) availability of traffic rights, iii) availability of slots and existing large slot portfolio of the Parties, iv) profitability of the route, v) the strong competitive position of the Parties, and vi) availability of aircrafts and crews.

(1495) The above barriers to entry apply, to a different extent, to both direct and indirect flights. The Parties' argument according to which "*the identified barriers to entry are not relevant for indirect traffic as indirect connection (i) are not really bound to traffic rights, (ii) do not require feeder traffic and (iii) are in general based on existing slot portfolios*" are vague, unsubstantiated and not supported by the overall evidence collected by the Commission during its market investigation, as further illustrated in the following sections 10.1.5.1 to 10.1.5.6.[1464]

10.1.5.1. Access to feeder traffic

(1496) As explained in section 10.1.2, long-haul routes can be difficult to operate sustainably without access to feeder traffic, which generally constitutes a significant advantage, and feeder traffic is required for significant operations. Therefore, access to feeder traffic constitutes a significant barrier to entry and expansion on many of the long-haul routes covered by this Decision, although to varying degrees.

(1497) The Transaction is likely to raise barriers to entry for competitors by limiting the availability of feeder traffic on the long-haul O&Ds of concern because ITA operates an airport hub at Rome-FCO whereas Lufthansa's JV partners operate airport hubs at several of the destination airports. The destination airports where United Airlines (Lufthansa's JV partner) operates a hub include Chicago-O'Hare (ORD), Los Angeles International (LAX), New York-Newark Liberty (EWR), San Francisco International (SFO) and Washington-Dulles (IAD). In addition, Air Canada (Lufthansa's joint venture partner) operates an airport hub at Toronto Pearson (YYZ).[1465] Following the Transaction, the Parties (and their JV partners) will have an airport hub on both ends of the route on each of the three routes of concern: Rome-Washington, Rome-San Francisco, and Rome-Toronto. Compared to their competitors, the Parties will therefore face fewer barriers to expand on these routes

1464 Response to the SO, paragraph 281.

1465 Response of Lufthansa/MEF to a Commission's Request for Information (RFI 23), Annex Q7.

given their access to feeder traffic on both ends of the route (whereas no competitor has access to feeder traffic on either end of these routes).

(1498) The notion that having an airport hub at both ends of the route raises the barriers to entry and expansion for rival airlines is evidenced by the market share of the A++ JV on existing hub-to-hub routes between Lufthansa's airport hubs in Central Europe, on one side of the route, and the airport hubs of Lufthansa's JV partners United Airlines and Air Canada, on the other side of the route.[1466] Table 63 below shows that, on existing hub-to-hub routes, Lufthansa's A++ JV currently enjoys high to very high market shares (in terms of passengers flown), with market shares above 50% in 48 of 50 of such routes in Winter 2022/23 and 47 out of 50 in Summer 2023. In addition, the market shares of the A++ JV are above 80% in over half of such routes (34 out of 50 in Winter 2022/23 and 25 out of 50 in Summer 2023).

Table 63: Market shares of the A++ JV on existing hub-to-hub routes

Origin	Destination	Market share of the A++ JV	
		Winter 2022/23	Summer 2023
Brussels	Chicago	86.1%	82.7%
Brussels	Denver	80.6%	79.2%
Brussels	Houston	68.8%	65.6%
Brussels	Los Angeles	36.3%	45.9%
Brussels	New York	65.8%	64.6%
Brussels	San Francisco	51.8%	60.5%
Brussels	Washington	85.0%	83.5%
Brussels	Montreal	95.8%	78.6%
Brussels	Toronto	66.0%	78.2%
Brussels	Vancouver	77.2%	81.6%
Frankfurt	Chicago	89.5%	87.3%
Frankfurt	Denver	92.2%	88.4%
Frankfurt	Houston	90.9%	89.4%
Frankfurt	Los Angeles	58.9%	49.2%
Frankfurt	New York	42.5%	47.2%
Frankfurt	San Francisco	92.5%	64.5%
Frankfurt	Washington	86.2%	73.5%
Frankfurt	Montreal	97.6%	97.9%
Frankfurt	Toronto	72.2%	60.1%
Frankfurt	Vancouver	98.5%	60.7%
Munich	Chicago	86.8%	81.6%
Munich	Denver	95.1%	90.6%
Munich	Houston	85.8%	85.1%
Munich	Los Angeles	80.6%	70.3%
Munich	New York	86.2%	80.0%
Munich	San Francisco	92.4%	89.0%
Munich	Washington	82.2%	77.6%

[1466] Lufthansa has airport hubs in Brussels, Frankfurt, Munich, Vienna and Zurich; United Airlines has airport hubs in Chicago, Denver, Houston, Los Angeles, New York, San Francisco and Washington; and Air Canada has airport hubs in Montreal, Toronto and Vancouver.

Origin	Destination	Market share of the A++ JV	
Munich	Montreal	94.3%	92.8%
Munich	Toronto	93.1%	91.3%
Munich	Vancouver	87.3%	91.4%
Vienna	Chicago	85.8%	86.5%
Vienna	Denver	88.8%	90.9%
Vienna	Houston	73.8%	75.8%
Vienna	Los Angeles	57.6%	76.3%
Vienna	New York	83.1%	83.2%
Vienna	San Francisco	75.0%	75.4%
Vienna	Washington	88.2%	84.3%
Vienna	Montreal	93.7%	95.3%
Vienna	Toronto	94.6%	96.0%
Vienna	Vancouver	80.3%	84.6%
Zurich	Chicago	85.4%	82.8%
Zurich	Denver	79.8%	77.1%
Zurich	Houston	69.9%	66.3%
Zurich	Los Angeles	80.2%	73.6%
Zurich	New York	73.5%	70.3%
Zurich	San Francisco	88.7%	88.0%
Zurich	Washington	79.3%	70.3%
Zurich	Montreal	92.4%	64.8%
Zurich	Toronto	93.0%	90.7%
Zurich	Vancouver	84.8%	92.2%

Source: IATA passenger data, RFI 36 Annex 100.

(1499) In response to Lufthansa and MEF's claim in the Response to the SO that "*it remains entirely unclear (and the Commission does not even seek to assess) to what extent these high market shares are actually explained by the presence of hubs at both ends or whether the high shares are due to other route characteristics*",[1467] the Commission notes that such an explanation of the barriers to entry and expansion created by hub-to-hub routes was provided, for example in paragraph 1557 of the SO. In addition, the Parties have not provided any alternative (pro-competitive) explanation for the fact that there is an extremely high correlation between the market share of the A++ JV and the route being a hub-to-hub route for the A++ JV.

(1500) The importance of having an airport hub on at least one end of the route for operating direct long-haul connections is also acknowledged by the Parties. According to Lufthansa and MEF, "*network carriers would not plan to operate a new direct connection between two cities of which none is a hub airport for that carrier*"; instead, network carriers would only serve such city-pairs indirectly via their hubs as connecting stops.[1468]

1467 Response by Lufthansa and MEF to the SO, paragraph 515.

1468 Lufthansa and MEF's Submission on Barriers to Entry dated 8 March 2024, paragraph 25.

10.1.5.2. Availability of traffic rights

(1501) In order for an airline to operate flights outside its home jurisdiction and enter another country's airspace, an air-services agreement ("ASA") for traffic rights needs to be in place between the two countries. In addition, the airline has to obtain the rights from the relevant national or regional regulatory authorities to operate services between the two countries. ASAs can grant different degrees of freedoms/rights to airlines and can limit the number of services operated between the countries, the type of services these carriers can provide, and the number of carriers allowed to operate these services.

(1502) The market investigation shows that the availability of traffic rights granted to carriers according to existing ASAs may constitute a barrier to entry and expansion on some of the overlap routes.

(1503) *First*, air carriers generally consider the availability of traffic rights to be an important factor in the decision whether to enter or expand on a new route.[1469] In a similar way, air carriers consider a lack of availability of traffic rights to be a barrier to entry and expansion.[1470]

(1504) *Second*, air carriers confirm that their ability to influence the availability of traffic rights is limited considering that traffic rights are negotiated between the governments of the relevant countries or between supranational entities, limiting the ability of airlines to directly influence such negotiations.[1471] Moreover, reaching such agreements generally takes a while as negotiations occur relatively infrequently and a resolution may therefore not be achieved quickly. While the airline could ask or lobby its government to initiate such negotiations, it does not have any direct influence on the result of such discussions.

(1505) In relation to the availability of traffic rights specifically on the overlapping long-haul routes of concern, responding long-haul competitors explain that the EU-US Open Skies Agreement covers traffic rights for routes between the EU and the United States.[1472] This agreement allows airlines based in the EU or the US to operate on any routes between the EU and the US without restriction in terms of traffic rights. Therefore, traffic rights do not appear to constitute a barrier to entry or expansion on routes between the EU and the United States, except for airlines based neither in the EU nor in the US (such as the Gulf carriers).

10.1.5.3. Availability of slots and existing large slot portfolios of the Parties

(1506) The market investigation shows that slot constraints at relevant airports constitute a barrier to entry and expansion on some of the overlapping long-haul routes.

(1507) *First*, air carriers consider that the availability of slots for take-off and landing is generally one of the most important criteria when deciding to enter a new long-haul route or expand operations, as without access to a sufficient number of slots entry on a new route is not possible.[1473] Access to slots therefore appears to be a necessary but not sufficient condition to enter a route. In a similar way, air carriers consider a lack of availability of slots to be a barrier to entry and expansion.[1474]

1469 Replies to questions D.B.10 of Questionnaire Q4 to Long-Haul Competitors.
1470 Replies to questions D.B.7 of Questionnaire Q4 to Long-Haul Competitors.
1471 Replies to questions D.B.11 of Questionnaire Q4 to Long-Haul Competitors.
1472 Replies to questions D.B.10 of Questionnaire Q4 to Long-Haul Competitors.
1473 Replies to questions D.B.6 of Questionnaire Q4 to Long-Haul Competitors.
1474 Replies to questions D.B.7 of Questionnaire Q4 to Long-Haul Competitors.

(1508) *Second*, some of the relevant long-haul airports discussed in this Decision are congested. IATA categorises two airports relevant to the overlapping long-haul routes of concern as "Level 3" coordinated airports.[1475] These two airports are Rome-Fiumicino (FCO) and Toronto-Pearson (YYZ). In addition, IATA categorises San Francisco International Airport (SFO) as a "Level 2" coordinated airport. The Commission considers that for "Level 3" and "Level 2" designated airports, the availability of slots may constitute a (significant) barrier for airlines to enter or expand on routes relevant for these airports.

(1509) *Third*, the Parties would have strong slot holdings at the relevant long-haul airports discussed in this Decision, making it harder for competitors to enter or expand. The table below provides estimates of the position of Lufthansa's JV partners at the relevant destination airports for the long-haul routes of concern. While Lufthansa and MEF have not been able to provide the precise number and share of slots held by Lufthansa's JV partners, they have estimated the number and share of slots held using the number of flights offered in Summer 2023. The figures in Table 64 below correspond to the sum of all scheduled departures and arrivals (including passenger and cargo flights). The data is based on published schedule data from the global travel data provider OAG. Lufthansa and MEF note that the share of flights does not necessarily equate to a slot share, as available and unused slots are not included in this estimate.

Table 64: Average weekly departures / arrivals of Lufthansa's JV partners at their airport hubs

City (airport)	Carrier	Average of weekly departure/ arrival (S23)	Share of total departure/ arrival (S23)
Washington (IAD)	United Airlines	3 075	69%
San Francisco (SFO)	United Airlines	3 370	47%
Toronto (YYZ)	Air Canada	3 778	53%

Source: Response by Lufthansa and MEF to RFI 44 question 6.

(1510) The table shows that Lufthansa's JV partners have strong positions in terms of the number and share of slots held at all the destination airports considered for the long-haul routes of concern.

(1511) Similarly, ITA holds a significant slot portfolio at Rome-FCO with up to 36% of total slots held by ITA, depending on the time of the day (see the Table 65 and Figure 87 below for a more detailed overview, ITA's slots are shown in yellow).

[1475] List of IATA Coordinated Airports (available at: IATA - Coordinated Airports); and, Form CO, paragraphs 818-819.

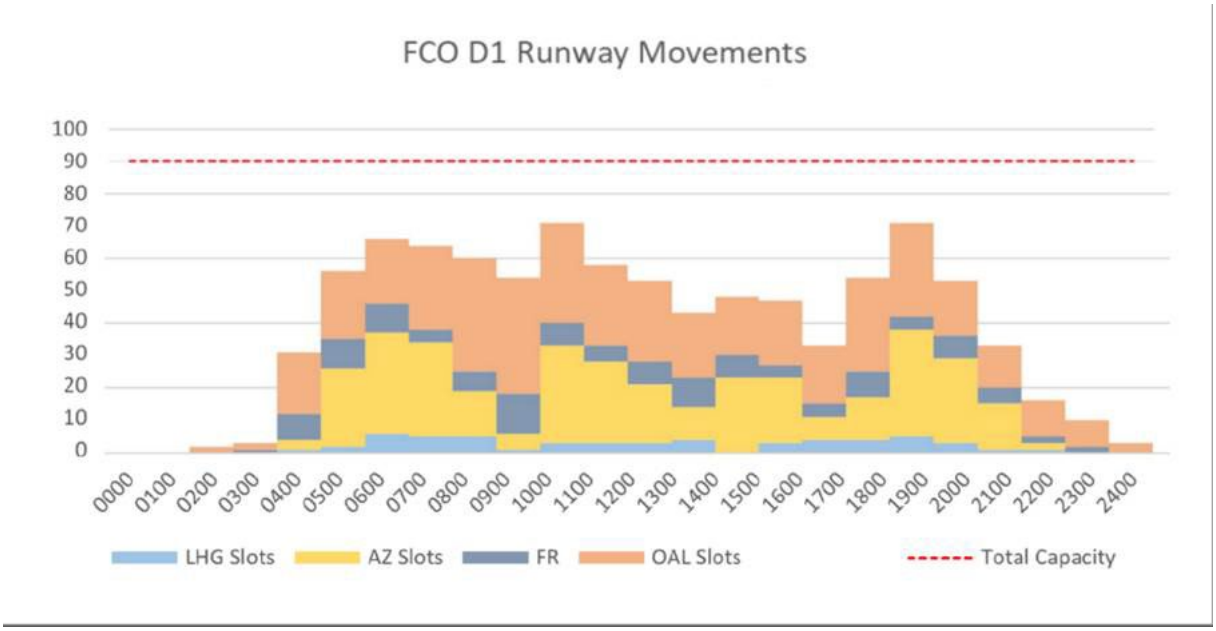
Table 65: Slot holding of Lufthansa and ITA at Rome-FCO

Slot holding of DLH/ ITA at FCO – Summer 2023

Airport	Average slot holding (operating hours)			Average slot holding (peak hours)			Highest slot holding		
	Pre-Transaction (DLH)	Post-Transaction	Increment brought by ITA	Pre-Transaction (DLH)	Post-Transaction	Increment brought by ITA	Pre-Transaction (DLH)	Post-Transaction	Increment brought by ITA
FCO	2%	18%	16%	4%	39%	35%	6%	42% Hour band 18:00-18:59 UTC	36%

Source: Form CO, Annex 8.3.

Figure 87: Slot holding of Lufthansa and ITA at Rome-FCO by time of the day



Source: Form CO, Annex 8.3.

(1512) The fact that ITA holds a significant slot portfolio at Rome-FCO whereas Lufthansa's JV partners hold significant slot portfolios at the destination airports means that they both can adapt flexibly to changes in capacity and pricing and thereby exert competitive constraints on each other pre-Transaction. Conversely, air carriers without a significant number of airport slots at either the origin or destination airport are less able to adapt flexibly to changes in capacity in pricing on such routes which may in turn constitute a barrier to entry and expansion for such carriers.[1476]

[1476] Contrary to Lufthansa and MEF's argument in paragraph 290 of the Response to the SO, the Commission does not claim that ITA's slot portfolio at Rome-FCO prevents other airlines from also building up a significant slot portfolio at Rome-FCO. However, the existing significant slot portfolio of

(1513) The market investigation carried out by the Commission did not provide any evidence supporting the Parties argument that "*establishing a new long-haul route does not require a lot of slots: two per day would be sufficient*"[1477], neither have the Parties corroborated their statement which, therefore, remains unsubstantiated.

10.1.5.4. Profitability of the route

(1514) The market investigation shows that the profitability of the route is an important factor when deciding to enter a new route and therefore limited profitability could serve as a barrier to entry.[1478] Profitability of the route is affected by various factors, such as the level of demand on the route, the air carrier's ability to attract connecting passengers, economies of scale and scope, the share of business demand, *inter alia*. Each of these elements can serve as a barrier to entry on its own due to its effect on the profitability of the route.

(1515) *First*, the market investigation shows that the level of demand and the traffic size on the route serves as an important factor in the decision to enter or expand on the overlap routes.[1479] This means that for routes with relatively low demand significant barriers to entry are likely to exist for a competitor to enter the route with a direct connection.

(1516) *Second*, as described also in section 10.1.5.1, the market investigation's results, which are not contradicted by the arguments brought by the Parties in their Response to the SO,[1480] show that having a network and the ability to offer connecting flights are important elements for profitability and could therefore constitute a barrier to entry.[1481] Insufficient demand on the route means that air carriers will have difficulty to fill their planes. On certain routes, this may mean that a carrier can only operate profitably if this carrier can fill its planes on the route by relying on feeder traffic and transporting connecting passengers to supplement the stand-alone profitability of the route. Alternatively, on other routes, it may mean that, while the carrier can still be able to operate profitably on the route, this carrier will only be able to operate with significantly lower frequency on the route compared to carriers with (better) access to feeder traffic on the route. As described above, competitors consider that the frequency offered on the route is among the most important elements for passengers when choosing a carrier. Therefore, having a network and the ability to offer connecting traffic can serve both as a barrier to entry and expansion on a route.

(1517) *Third*, the market investigation confirms that economies of scale and scope are important to operate the routes profitably and could serve as a barrier to entry on routes between the EEA and North America.[1482]

(1518) Not having an airport hub at one or both ends of the route may impede rivals' ability to enter and expand on these routes. This is, among other reasons, due to the existence of economies of scale when operating from an airport. Generally, the more flights an airline operates from an airport, the lower tend to be its marginal and

---

ITA at this airport means that ITA can adapt more flexibly to changes in capacity and pricing on the long-haul routes of concern, compared to rivals that currently do not have a significant slot portfolio at Rome-FCO. This also applies to those airports where Lufthansa's JV partners hold a large slot portfolio.

1477 Parties' Response to the SO, paragraph 292.

1478 Replies to question D.B.6 of Questionnaire Q4 to Long-Haul Competitors.

1479 Replies to question D.B.6 of Questionnaire Q4 to Long-Haul Competitors.

1480 Response to the SO, paragraph 292.

1481 Replies to questions D.B.7 of Questionnaire Q4 to Long-Haul Competitors.

1482 Replies to question D.B.6 of Questionnaire Q4 to Long-Haul Competitors.

average costs of operating an additional flight from this airport. This is because operating from an airport requires certain fixed costs (e.g., renting airport facilities, hiring ground staff) that become proportionally smaller to each flight, the more flights an airline operates at the airport. In addition, having a larger flight schedule at an airport enables airlines to optimise costs more efficiently at this airport (e.g., airport crews can be utilised more efficiently). This means that airlines that typically operate without having an airport hub (i.e., that do not rely on a dense network of domestic and short-haul flights which "feed" passengers onto long-haul flights) at either end of the route, face additional barriers to entry and expand. Similarly, having a hub only at one end of the route puts a carrier at a disadvantage compared to carriers having hubs at both ends of the route, decreasing the incentive for the carrier to prioritize the route within its route portfolio.

(1519) *Fourth*, on routes where the share of business passengers is significant, the ability to offer business class/premium services will affect the carriers' profitability and therefore could serve as a barrier to entry on the route. The market investigation confirms that the potential for business or corporate customers is an important element that is taken into account by air carriers when deciding to enter a new long-haul route.[1483]

(1520) *Fifth*, market participants note that the opportunity costs, meaning, the profitability of the route compared to other routes on which the aircraft and crew are currently used or could be used or the higher attractiveness of other passenger routes, can constitute a barrier to entry or expansion when deciding to operate certain long-haul routes.[1484]

10.1.5.5. The strong competitive position of the Parties

(1521) In previous cases, the Commission found that the strong/dominant position of a carrier on a route could constitute a significant barrier to entry on the market for passenger air services. In the Ryanair/Aer Lingus III decision, the Commission found that the presence of a strong competitor on a route can act as a very significant barrier to entry and expansion. This dynamic is caused by a number of market conditions, which are particular to the air passenger services market. First, a carrier with a strong presence (hub or base) at a particular airport has the ability to quickly re-allocate flights and frequencies in order to offer the most attractive schedules in response to new entry, for example by re-arranging departure times close to those of the entrant. Second, customers in the passenger air services market are relatively price sensitive, and the market is characterised by low switching costs and a relatively high degree of price transparency. While these market features can, dependent on circumstances, promote price competition, they may also allow for a strong incumbent to efficiently price new competitors out of the market. This is particularly true if the incumbent benefits from a frequency advantage and/or economies of scale associated with having a large base at the relevant airport. The incumbent may also be able to (partially) offset the losses associated with aggressive price retaliation by feeding the traffic to other, more profitable routes and/or through servicing the relatively profitable TS (time sensitive) segment, which typically requires a frequent, regular schedule that only the incumbent can provide. As such, the presence of a strong competitor on a route, and the risk of aggressive retaliation, may in itself deter new entry and thereby act as a significant barrier to entry.

1483 Replies to questions D.B.6 of Questionnaire Q4 to Long-Haul Competitors.

1484 Replies to question D.B.7 of Questionnaire Q4 to Long-Haul Competitors.

(1522) In the present case, the Commission's market investigation overall confirmed that the strong competitive position of the Parties on long-haul routes would constitute a barrier to entry or expansion post-Transaction. As explained in section 10.1.5.1, the merged entity would operate on a hub-to-hub basis on each of the three problematic long-haul routes discussed in this Decision, and as shown in sections 10.2 and 10.3, it would hold large market shares and capacity shares on each of the routes. The majority of the competitors that expressed an opinion during the Commission's investigation clearly indicated that the Parties (including their JV partners) hold a strong competitive position on the long-haul routes listed in sections 10.2 and 10.3,[1485] and that the strong position of the merged entity (to whom, contrary to the Parties' claim in their Response to the SO,[1486] the respondents referred, without including the airlines belonging to the A++ JV), would constitute a barrier to entry and expansion on long-haul routes.[1487] As a way of example, Virgin Atlantic commented that "*market consolidation would increase, impacting specially FCO-CAI, FCO-SFO and FCO-WAS, where Star Alliance carriers will hold 100% of the capacity share.* [The Lufthansa] *Group together with its partners would gain a significant presence in those specific long haul routes, which would create further challenges for rival airlines to enter or compete effectively on those routes*".[1488] Similarly, according to one of the Parties' main competitors, "*the merged entity would make it even more difficult for* [Air France-KLM] *to consider opening one of th*[ese] *routes because the main competitor would be even stronger. Beyond opening routes from Italy, the merged entity would even threaten* [Air France-KLM]*'s feeding from Italy to long-haul destinations*".[1489]

(1523) Furthermore, as further explained in section 10.1.5.3, the Parties' high slot portfolio at both origin and destination on most of the overlapping long-hauls routes included in this Decision - which the Commission, contrary to the Parties' argument,[1490] always calculated having regard to all relevant airports at least potentially falling within the same catchment areas and not at the level of a single airport, except for airports that are not used for long-haul operations - allows them to respond more dynamically to competitive changes. This factor makes it harder for airlines with smaller slot portfolios at these airports to compete vis-à-vis the merged entity.

10.1.5.6. Availability of aircrafts and crews

(1524) The results of the market investigation, which are not contradicted by the vague arguments brought by the Parties in their Response to the SO,[1491] show that the availability of aircrafts and crews is crucial for the ability of airlines to enter or expand on the overlap routes and therefore serves as a barrier to entry. The aircraft has to be suitable for flying the long-haul overlap routes and the crew has to be trained to operate the specific aircraft used on the route.[1492] In this regard, there are widespread reports that airlines are currently facing significant delays in aircraft deliveries due to production bottlenecks,[1493] as well as significant crew shortages.[1494]

1485 Replies to questions D.A.B.1 of Questionnaire Q4 to Long-Haul Competitors.
1486 Parties' responses to RFI 51, paragraph 291.
1487 Replies to questions D.B.6 of Questionnaire Q4 to Long-Haul Competitors.
1488 Virgin Atlantic's replies to questions D.B.21 of Questionnaire Q4 to Long-Haul Competitors.
1489 Air France-KLM's replies to questions D.B.6. of Questionnaire Q4 to Long-Haul Competitors.
1490 Parties' responses to RFI 51, paragraph 290.
1491 Response to the SO, paragraph 292.
1492 Replies to question D.B.6 of Questionnaire Q4 to Long-Haul Competitors.
1493 For example: https://www.reuters.com/business/aerospace-defense/airlines-body-urges-jetmakers-fix-aircraft-delivery-delays-2023-06-04/. ID 12585.

These delays in aircraft deliveries and crew shortages may hinder air carriers' ability to enter and expand on the overlapping long-haul routes of concern.

10.2. Route-by-route assessment of direct overlaps (current)

(1525) The Commission considers that the Transaction would significantly impede effective competition on the following three routes in which both Lufthansa's A++ JV partner United Airlines and ITA have a current direct connection: Rome-Washington and Rome-San Francisco.

(1526) These two routes are characterised, in addition to the fact that the Parties have direct connections, by the following common features:

(a) High combined market shares: On each route, the Parties' combined market share is above 50% in the last two seasons (and up to 71%). As outlined in paragraph 17 of the Horizontal Merger Guidelines, very large market shares may in themselves be evidence of the existence of a dominant market position. In addition, according to paragraph 27 of the Horizontal Merger Guidelines, the larger the market share, the more likely a firm is to possess market power.

(b) No non-stop competition: On each route, there is no other direct competitor active at any point of the year. As outlined in section 10.1.4, this means that the Parties are close competitors on these routes. As outlined in paragraph 28 of the Horizontal Merger Guidelines, the higher the degree of substitutability between the merging firms' products (i.e., the closer the merging firms compete with one another), the more likely it is that the merging firms will raise prices significantly.

(c) Significant increment: ITA's market share on these routes is already significant and expected to grow further in the coming years. As outlined in paragraph 27 of the Horizontal Merger Guidelines, the larger the addition of market share, the more likely it is that the merger will lead to a significant increase in market power.

(1527) Each route is discussed in more detail below.

10.2.1. Rome-Washington

10.2.1.1. Market structure

(1528) The market structure on the route Rome-Washington in terms of passengers transported point-to-point (direct and indirect), average weekly (direct) frequencies, as well as a breakdown of connections on the route by airport pair and main competitors is presented in Table 66 to Table 68 respectively.

(1529) On this route, Rome-Fiumicino (FCO) is the only relevant airport near Rome, as Rome-Ciampino (CIA) is not used for any long-haul connections (both direct and indirect). Washington Dulles International Airport (IAD), Ronald Reagan Washington National Airport (DCA) and Baltimore/Washington International Thurgood Marshall Airport (BWI) are all located, even though to a different extent, near Washington D.C. Therefore, the assessment in this section includes the following airport pairs: FCO-IAD, FCO-DCA and FCO-BWI. The Commission's approach on airport substitutability is in line with Lufthansa and MEF's views on airport substitutability for Rome and Washington, as outlined in section 6.5.3.13. The

---

[1494] For example: https://www.lemonde.fr/en/economy/article/2023/11/21/airlines-predict-global-pilot-shortages-as-aircraft-orders-go-through-the-roof_6275890_19.html. ID 12583.

following figures on the market structure include both time-sensitive and non-time-sensitive passengers, as well as direct and indirect connections.[1495]

(1530) On the route Rome-Washington, the only airlines with direct flights are United Airlines and ITA, both across the whole year. All other airline carriers active on this route operate via indirect flights only.

Table 66: Market shares for Rome-Washington (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/24[1496]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	**6%**	**2%**	**2%**	**5%**	**17%**	**20%**
A++ JV	**35%**	**47%**	**69%**	**43%**	**54%**	**51%**
United Airlines	*26%*	*35%*	*62%*	*32%*	*49%*	*44%*
Lufthansa Group	*6%*	*9%*	*5%*	*9%*	*3%*	*5%*
Air Canada	*4%*	*2%*	*2%*	*2%*	*2%*	*2%*
Parties' combined share	**41%**	**49%**	**71%**	**49%**	**71%**	**70%**
Blue Skies JV	**31%**	**24%**	**9%**	**21%**	**8%**	**10%**
Delta Air Lines	*24%*	*18%*	*6%*	*14%*	*5%*	*6%*
Air France-KLM	*7%*	*6%*	*3%*	*8%*	*4%*	*4%*
AA-IAG JV	**16%**	**12%**	**10%**	**20%**	**9%**	**9%**
IAG	*5%*	*10%*	*6%*	*16%*	*6%*	*8%*
American Airlines	*10%*	*2%*	*5%*	*4%*	*3%*	*1%*
TAP Air Portugal	10%	11%	4%	5%	4%	3%
Turkish Airlines	1%	3%	2%	2%	2%	<1%
Icelandair	-	-	<1%	<1%	<1%	3%
Other	1%	2%	4%	3%	5%	4%
HHI Δ	389	216	220	445	1 867	1 991
HHI post-merger	2 960	3 238	5 215	3 232	5 293	5 154
# of passengers	**17 728**	**13 593**	**93 773**	**25 981**	**127 173**	**27 311**
Market size (EUR)	**8 695 002**	**8 839 122**	**77 192 837**	**23 976 963**	**123 227 013**	**N/A**

Source: IATA passenger data, RFI 50 Annex 100. Market sizes from RFI 41 Q2-Q11.

1495 Table 67 includes direct flights only as frequency is commonly only recorded for direct flight.

1496 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available up until January 2024. This table therefore does not include two months of passenger data for Winter 2023/2024 (February 2024 and March 2024). In addition, market size data in EUR for Winter 2023/2024 was not yet available at the time of writing this Decision.

Table 67: Average weekly frequencies for Rome-Washington (direct only) in the IATA seasons from Summer 2021 to Summer 2024[1497]

Airline	Airport Pair	S21	W21/22	S22	W22/23	S23	W23/24	S24
United Airlines	FCO-IAD	-	<1	7	< 1	7	6	12
ITA	FCO-IAD	-	-	-	-	4	3	6
Parties' combined frequency		**-**	**<1**	**7**	**< 1**	**11**	**9**	**18**
Parties' combined share		**-**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Competitors' combined frequency		**-**	**-**	**-**	**-**	**-**	**-**	**-**
Competitors' combined share		**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total frequency		**-**	**<1**	**7**	**<1**	**11**	**9**	**18**

Source: RFI 31, Q3, Annex 100.

(1531) Table 68 below shows, out of a carrier's flights between Rome and Washington, the number and proportion of passengers that goes to each airport. The table below shows that since Summer 2023, the airport pair FCO-IAD is the most common connection for all competitors on this route, with, however, a significant proportion of passengers of the Blue Skies JV and the AA-IAG JV also flying on the airport pairs FCO-DCA and FCO-BWI.

Table 68: Airport-pair breakdown for Rome-Washington (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/24

Airline	Airport pair	S21	W21/22	S22	W22/23	S23	W23/24
A++ JV	FCO-IAD	77%	75%	97%	83%	97%	95%
	FCO-DCA	22%	24%	2%	17%	3%	4%
	FCO-BWI	2%	<1%	1%	<1%	1%	1%
ITA Airways	FCO-IAD	60%	42%	26%	35%	94%	95%
	FCO-BWI	4%	4%	39%	28%	4%	3%
	FCO-DCA	36%	55%	35%	37%	2%	2%
Blue Skies JV	FCO-IAD	61%	50%	54%	57%	54%	55%
	FCO-DCA	27%	28%	23%	24%	24%	23%
	FCO-BWI	13%	22%	23%	19%	22%	23%
AA-IAG JV	FCO-IAD	30%	72%	45%	71%	57%	75%
	FCO-DCA	50%	10%	28%	18%	22%	10%
	FCO-BWI	20%	19%	27%	11%	20%	15%

[1497] The IATA data also shows capacity for Ethiopian Airlines on this route in Winter 2023/2024 and Summer 2024. However, this capacity relates entirely to a fuel stop in Rome on the route Addis Ababa (Ethiopia) to Washington and it is not possible to book a ticket on the Rome-Washington leg of this journey only. This capacity has therefore been excluded from this table. See also: https://simpleflying.com/ethiopian-airlines-swap-dublin-rome-north-america-stop/. ID 12584.

Airline	Airport pair	S21	W21/22	S22	W22/23	S23	W23/24
Other	FCO-IAD	99%	98%	97%	97%	96%	72%
	FCO-BWI	<1%	<1%	2%	<1%	4%	27%
	FCO-DCA	1%	1%	<1%	3%	<1%	1%

Source: IATA passenger data, RFI 50 Annex 100.

(1532) In terms of a potential split by airport pair, the Commission has left open whether IAD, DCA and BWI are all part of the same market. As discussed, the market shares presented above include all potential airport pairs. However, the Parties' combined market shares would be even higher for the last two seasons (S23 and W23/24) if only the airport pair FCO-IAD was considered, compared to a broader market definition, as shown in Table 69 below. On the other two airport pairs (FCO-DCA, FCO-BWI) relevant for this route, the number of passengers flown by the Parties is low or immaterial in the last two seasons (see Table 68 above) and therefore, as the Parties primarily compete on the airport pair FCO-IAD, no separate market shares are presented for these airport pairs.

Table 69: Market shares for the airport pair FCO-IAD (direct and indirect flights; time-sensitive and non-time-sensitive passengers,) in the IATA seasons from Summer 2021 to Winter 2023/24[1498]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA	**5%**	**1%**	**<1%**	**2%**	**18%**	**21%**
A++ JV	**41%**	**49%**	**77%**	**49%**	**59%**	**56%**
Lufthansa Group	*9%*	*13%*	*6%*	*12%*	*4%*	*5%*
United Airlines	*28%*	*35%*	*70%*	*34%*	*54%*	*49%*
Air Canada	*4%*	*1%*	*1%*	*2%*	*1%*	*1%*
Parties' combined share	**46%**	**51%**	**78%**	**51%**	**77%**	**77%**
"Blue Skies" JV	**28%**	**17%**	**6%**	**16%**	**5%**	**6%**
Air France-KLM	*10%*	*8%*	*4%*	*10%*	*4%*	*5%*
Delta Air Lines	*19%*	*8%*	*2%*	*6%*	*1%*	*1%*
AA-IAG JV	**7%**	**12%**	**5%**	**19%**	**6%**	**8%**
IAG	*7%*	*12%*	*5%*	*19%*	*6%*	*8%*
TAP Air Portugal	15%	15%	5%	7%	4%	3%
Turkish Airlines	2%	4%	2%	3%	2%	1%
Royal Air Maroc	1%	<1%	1%	1%	1%	0%
Other	1%	2%	3%	2%	5%	5%
# of passengers	**11 767**	**9 712**	**81 132**	**19 275**	**113 124**	**23 732**

Source: IATA passenger data, RFI 50 Annex 100.

(1533) In terms of a split by time-sensitive and non-time-sensitive passengers, non-time-sensitive passengers (Economy + Premium Economy) accounted for 87% of passengers in Summer 2023 and 88% in Winter 2022/23, whereas time-sensitive

[1498] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available up until January 2024. This table therefore does not include two months of passenger data for Winter 2023/2024 (February 2024 and March 2024).

passengers (Business Class + First Class) accounted for 13% of passenger in Summer 2023 and 12% in Winter 2022/23 on the route Rome-Washington:[1499]

- With regards to non-time sensitive passengers, the Parties' combined shares are in line with their combined share across passenger types (about 72% for Summer 2023 and 49% for Winter 2022/23). The main competitors are the "Blue Skies" JV and the AA-IAG JV.
- With regards to time-sensitive passengers, the Parties' combined market shares exceed their combined share across passenger types (by about 10 percentage points in both Summer 2023 and Winter 2022/23). The main competitors are the "Blue Skies" JV and the AA-IAG JV.

10.2.1.2. Lufthansa and MEF's view

(1534) Lufthansa and MEF submit that the main airlines serving the route Rome-Washington based on Summer 2023 data are ITA, Lufthansa's A++ JV partners United Airlines and Air Canada, IAG (together with its JV partner American Airlines) and Delta (together with its JV partner Air France-KLM). In their response to the 6(1)(c) decision, Lufthansa and MEF further argue that the increment brought about by the Transaction from ITA is rather limited, as it only reached a low two-digits numbers in Summer 2023. Moreover, according to Lufthansa and MEF, post-Transaction the Parties will be constrained by potential additional entry and expansion of other carriers. Finally, Lufthansa and MEF submit that no relevant slot restrictions exist on either side of the route Rome-Washington for new entrants.[1500] In their response to the 6(1)(c) decision, Lufthansa and MEF further submit that i) the competitive constraint from indirect connections on this route is significant, ii) the increment brought about by the Transaction is not large, and iii) the results of the market investigation as reported in the 6(1)(c) decision are not conclusive.[1501]

(1535) In the Response to the SO, Lufthansa and MEF further submit that a) indirect flights, including from competitors such as TAP Air Portugal, Turkish Airlines, Icelandair, and others, constitute an important competitive constraint on this route, as evidenced by the significant share of passengers flying on indirect connections on this route, and b) the Blue Skies JV and the AA-IAG JV are relevant competitors on this route with market shares of around 10%.[1502]

10.2.1.3. The Commission's assessment

(1536) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Rome-Washington during both IATA Winter and Summer season.

(1537) *First*, the Transaction would lead to the Parties holding a very high or at least high combined market share on the route. As set out in Table 66, the Parties' combined

---

1499 RFI 14 - Annex Q25 – Market Shares Compartments. As the market shares presented by passenger types come from different sources than the market shares across passenger types, there are small (immaterial) inconsistencies between the market shares based on this source and those presented in Table 66.

1500 Form CO, paragraphs 1407-1410.

1501 Response by Lufthansa and MEF to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraphs 190-193.

1502 Response by Lufthansa and MEF to the Commission's Statement of Objections, dated 11 April 2024, paragraphs 533 to 536.

share over the last six IATA seasons was between 49% and 71% since Summer 2022 (the season that United Airlines entered this route with a direct connection), with ITA only entering this route with a direct service in Summer 2023, where the combined share of the Parties was equal to 71% (and with partial market shares for Winter 2023/24 equal to 70%). In addition, both United Airlines and ITA are planning to increase their current capacity on this route in the next two seasons (from close to zero capacity in Winter 2022/23 to 9 average weekly connections in Winter 2023/24 and from 11 average weekly connections in Summer 2023 to 18 average weekly connections in Summer 2024). These capacity increases are likely to further increase the Parties' strong position on this route (around 70% market share in seasons where both United Airlines and ITA had a direct connection). According to the Commission's Horizontal Merger Guidelines, very large market shares (50% or above) may in themselves be evidence of a dominant market position.[1503]

(1538) *Second*, the increment brought about by the Transaction from ITA is large at 17% to 20% in the first two seasons (Summer 2023 and Winter 2023/24) that ITA has started offering a direct connection on this route. This corresponds to a substantial increase in the HHI of between 1 867 and 1 991.[1504] In addition, ITA plans to [information on ITA's expansion plans] average weekly frequencies in Summer 2023 to [information on ITA's expansion plans]weekly frequencies [information on ITA's expansion plans] (corresponding to almost [information on ITA's expansion plans] available seats, or almost [information on ITA's expansion plans] of total O&D demand on this route based on Summer 2023).[1505] In this regard, the low increments cited by Lufthansa and MEF in relation to this route are misleading since they relate to seasons where ITA had not yet entered this route with a direct connection.[1506] Overall, the very high level and the large increment in the Parties' joint market position is an indicator that the Transaction could lead to a significant increase in market power and create or strengthen a dominant position on this route.

(1539) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be at between 5 293 and 5 154 based on the first two seasons in which ITA has entered this route with a direct connection. Furthermore, the Transaction constitutes a 2-to-1 merger for direct flights during both the summer and winter season.

(1540) *Fourth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction.

(1541) In the first place, prior to the Transaction, no competitor other than ITA and the A++ JV has achieved a market share above 10% since ITA started direct operations on this route in Summer 2023. Compared to the Parties' joint market share of over 70% during these seasons, these competitors are unlikely to exert a sufficient competitive constraint on the Parties to eliminate the significant impediment to effective competition caused by the Transaction.

1503 Horizontal Merger Guidelines, paragraph 17.

1504 According to paragraph 16 of the Horizontal Merger Guidelines, the "*change in the HHI (known as the 'delta') is a useful proxy for the change in concentration directly brought about by the merger*".

1505 Form CO, paragraph 1363. This is calculated as follows: The total demand on the O&D Rome-Washington in Summer 2023 was equal to 127 173 (see Table 66 above) whereas [information on ITA's expansion plans]. Therefore, [information on ITA's expansion plans].

1506 Response by Lufthansa and MEF to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraphs 191.

(1542) In the second place, access to feeder traffic at Rome-FCO constitutes a significant advantage on the route Rome-Washington. Indeed, about 53% of ITA's passengers travelling on the route in Summer 2023 transferred onto other services at FCO, whereas this percentage was significantly lower (less than 5%) for United Airlines, which is without access to its own feeder network at FCO prior to the Transaction.[1507] The Parties would be the only competitor operating the route with access to their own feeder traffic at FCO. Furthermore, as Washington-IAD is an airport hub of Lufthansa's joint venture partner United Airlines, the Transaction combines two carriers which are particularly competitive on the route as they both have access to their own feeder network. Furthermore, following the Transaction, the Parties would also be the only competitor operating the route with access to their own (or that of a joint venture partner's) feeder traffic at both ends of the route after the Transaction. Therefore, as explained in section 10.1.5.1, the Parties would face fewer barriers to expansion than their rivals, given that they can attract a higher volume of connecting passengers on both ends of the routes (both in Rome and in Washington) compared to their rivals. The profits that the Parties would derive from their passengers connecting at both ends of the route would not be affected by price competition on the trunk route (i.e., the direct Rome-Washington route) and the Parties would have a stable base of profits in the form of these connecting passengers that would give them a competitive advantage on the trunk route, resulting in making the route less attractive for their rivals.

(1543) In the third place, the competitive constraints imposed on the Parties from indirect flights appear to be limited on this route. Contrary to the Parties' argument according to which the Commission is "*focussing on direct competitors only*",[1508] the Commission acknowledges that indirect flights generally compete with direct flights for long-haul travel, but notes that they represent a different value proposition, and would only be an alternative to a subset of passengers, as further explained in section 10.1.4. This is also in line with the limited market share that each competitor with indirect connections has been able to achieve on this route since ITA's entry with a direct flight in Summer 2023 (below 10% for each competitor on the route, including the Blue Skies JV and the AA-IAG JV).[1509] With regards to the indirect connections referenced by Lufthansa and MEF that are offered by TAP Air Portugal, Turkish Airlines, Icelandair on this route,[1510] each of these competitors transported less than 5% of the total passengers flying on this route over the last two seasons since ITA offered a direct connection and in total, these airlines accounted for less than 7% of the overall market.[1511] Therefore, the competitive constraints imposed on the Parties from these indirect competitors appears to be limited on this route.

(1544) *Fifth*, the market investigation has provided further evidence that Lufthansa and ITA compete closely on this route.

(1545) In the first place, long-haul competitors of the Parties consider that Lufthansa (including its JV partners) and ITA are the most competitive airlines on this route with, on average, each receiving 4.7 out of 5 stars (with 1 star indicating a very weak

1507 RFI 29, Annex Q13_Q14.

1508 Response to the Statement of Objection, paragraph 535.

1509 ITA and United Airlines are the only carriers on this route with a direct connection in Summer 2023. As can be seen in Table 66, all other airline carriers have a market share below 10% (direct and indirect combined) on this route.

1510 Response to the Statement of Objection, paragraph 534.

1511 RFI 31, Q3, Annex 100.

competitor and 5 stars indicating a very strong competitor). All remaining current and potential competitors on this route, including American Airlines, Delta, Air France-KLM, IAG and TAP, received significantly lower ratings of 3.0 and below.[1512]

(1546) In the second place, all responding long-haul competitors consider that the Parties are each other's closest competitor on this route (i.e., all respondents consider ITA as Lufthansa's closest competitor, and vice versa).[1513]

(1547) In the third place, ITA and Lufthansa's JV partner United Airlines both operate direct services on the route. As outlined in section 10.1.4, carriers that provide direct scheduled flights compete more closely with each other than they do with carriers providing indirect connections. The Parties are therefore closer competitors with each other than they are with carriers that offer indirect services on the route. This is particularly relevant for the route Rome-Washington, where indirect operations only provide a limited competitive constraint on the Parties.

(1548) In the fourth place, the Parties are close competitors when considering the airport pairs served by the airlines belonging to the A++ JV and ITA compared to their competitors. As shown in Table 69 above, the Parties' combined market share is even higher (at 77% in Summer 2023 and 79% in partial Winter 2023/24) when considering the airport pair FCO-IAD only. Therefore, this implies that the Parties compete even more closely with each other for passengers with a preference for IAD over other airports in the Washington catchment area.

(1549) In the fifth place, [information about ITA's monitoring activity of rivals on this route]., whereas [information about Lufthansa's monitoring activity of rivals on this route].[1514] In addition to the various other evidence presented in this section, this shows that the Parties consider each other close competitors on this route.

(1550) In the sixth place, as explained in section 10.1.5.3, ITA holds a significant slot portfolio at Rome-FCO whereas Lufthansa's joint venture partner United Airlines holds a significant slot portfolio at Washington-IAD, which means that they both can adapt flexibly to changes in capacity and pricing and thereby exert competitive constraints on each other.

(1551) In the seventh place, United Airlines (Lufthansa's A++ JV partner) currently is the only airline with a hub in IAD and therefore has competitive advantages at this airport compared to rivals, including the ability to compete at efficient scale and to operate important connections, including on this route, during periods in which slots are in high demand.[1515]

(1552) *Sixth*, as explained in section 10.1.5, there are several barriers to entry and expansion on the route.

(1553) In the first place, the strong position of the Parties constitutes a barrier to entry for the reasons set out in section 10.1.5.5 above. For Rome-Washington, this is due to the Parties holding a significant frequency advantage on the route as compared to

1512 Responses to question D.A.B.1 of questionnaire 04 to long-haul competitors.

1513 Responses to questions D.A.C.3 and D.A.C.4 of questionnaire 04 to long-haul competitors.

1514 Response of Lufthansa and MEF to the Commission's RFI 29 Q11 and RFI 41 Q13. In addition to [information about ITA's monitoring activity of rivals on this route] whereas [information about Lufthansa's monitoring activity of rivals on this route].

1515 Non-confidential minutes of the conference call with Air France-KLM dated 6 November 2023, paragraph 15, ID 9836.

other competitors and holding a significant number of slots at both ends of the route, allowing them to react to market entry or expansion.

(1554) In the second place, as regards the availability of slots, IAD is a Level 2 coordinated airport, which may limit the ability of other competitors to compete effectively via this airport.

(1555) In the third place, for the route Rome-Washington, access to feeder traffic at both ends of the route, including at Rome-FCO, constitutes a significant advantage. Indeed, over the three seasons (S22-S23) since United Airlines entered this route with a direct connection, between 44% and 48% of passengers travelling on the route transferred onto other services at either end of the route.[1516] Following the Transaction, the Parties (and their JV partners) would be the only carriers operating the route with its own network of feeder traffic at both ends of the route.

(1556) *Seventh*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Transaction.[1517] In particular, no competitor indicated during the market investigation that they were concretely planning to enter this route with a direct connection.

(1557) *Eighth*, while the views of competitors and customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding long-haul competitors and customers consider the impact to be negative. The Parties' main competitors on this route (Delta and American Airlines) consider that the impact of the Transaction on this route is uncertain with Delta explaining that it is "*not able to predict the effects of the Transaction as it cannot anticipate how the overall market will react*".[1518] Further, Air France-KLM, Condor, LOT, Neos and Turkish Airlines consider that the impact of the Transaction on this route is negative, while IAG and Lufthansa's JV partner Air Canada considers that the impact is neutral. Only Lufthansa's JV partner United Airlines considers that the impact of the Transaction on this route is positive for passengers in terms of lower prices and/or higher quality of services offered.[1519] [1520] The Commission notes that the views by Lufthansa's JV partners United Airlines and Air Canada may be biased as they have a clear financial interest in this Transaction as ITA is likely to join the A++ JV following the potential approval of the Transaction and all partners will share their revenues generated from the long-haul routes covered by the agreements. In addition, two long-haul competitors (Air France-KLM, LOT) consider that the Transaction would increase the barriers to entry and/or expansion on this route, whereas Delta considers that the impact of the Transaction on barriers to entry and/or expansion on this route depends on "*how the overall market will react*".[1521] Finally, 29% of customers that expressed an opinion consider the impact of the Transaction on this route to be negative, whereas the remaining 38% and 33% consider the impact of Transaction to be respectively neutral and positive.[1522]

1516 RFI29 – Annex Q13_14.

1517 Additional evidence was made available to the Parties' external legal counsels over the data room process.

1518 Responses to questions G.1 and G.2 of questionnaire 04 to long-haul competitors.

1519 Responses to question G.1 of questionnaire 04 to long-haul competitors.

1520 The Commission also analysed the response from one anonymous participant.

1521 Responses to question G.11 of questionnaire 04 to long-haul competitors.

1522 Responses to question H.2 of questionnaire 06 to short- and long-haul customers.

(1558) *Ninth*, based on the various factors considered above, the Commission considers that, despite the mixed feedback from competitors and consumers, the impact of the Transaction on this route is likely to be negative. This conclusion is further reinforced by the results of the Commission's regression analysis which shows that a reduction in the number of direct competitors on a long-haul route is associated with significantly higher prices and that the competitive constraint exerted by indirect competitors is more limited than that exerted by direct competitors (see section 7.7.2 for more detailed results). In addition, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see section 7.7.1).

10.2.1.4. Assessment of potentially narrower markets

(1559) The Commission's assessment above considers the widest plausible market definition, where IAD, DCA and BWI would belong to the same catchment areas. Therefore, the market shares and concerns outlined above reflect this plausible definition. The Parties' combined market shares are even higher for the last two seasons (S23 and W23/24) if only the airport pair FCO-IAD is considered, compared to a broader market definition. Otherwise, the Commission's assessment on the presence of competitors, closeness, barriers to entry, and evidence of entry, remains largely the same for a narrower market considering only the airport pair FCO-IAD. On the airport pairs FCO-DCA and FCO-BWI the overlap between the Parties is immaterial. Therefore, while the Commission's conclusion remains the same no matter the precise market definition, the concerns identified for a broader market including IAD, DCA and BWI airports are even more severe when considering only the airport pair FCO-IAD.

(1560) Concerning the plausible distinction between TS and NTS passengers, the Commission's assessment has been carried out on the widest plausible market definition (i.e., TS and NTS combined). The Commission's assessment on the presence of competitors, closeness, barriers to entry, and evidence of entry, would remain largely the same for TS and NTS passengers. The only significant difference is that the Parties' combined market shares exceed their combined share across passenger types (by about 10 percentage points in both Summer 2023 and Winter 2023/24). Therefore, while the Commission's conclusion remains the same no matter the precise market definition, the concerns identified for a broader market including both TS and NTS passengers are even more severe when considering TS passengers as a separate market.

(1561) Based on the above, the concerns outlined above continue to be relevant under any plausible relevant alternative market definition that includes IAD airport.

10.2.1.5. Conclusion

(1562) In light of the common considerations on long-haul routes explained in section 10.1, and in view of the above findings related in particular to the Parties' very high combined market share and large increment brought by the Transaction, the overall concentration level of the market, the fact that the constraint from the remaining competitors on the route is likely to be insufficient, the closeness of competition between the Parties, the existence of barriers to entry and expansion, the absence of likely, timely and sufficient entry or expansion on the city pair post-Transaction as well as the evidence on the effects of the Transaction, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position in relation to the Rome-

Washington city pair, in both the Winter and Summer IATA Seasons, under any plausible market definition that includes IAD airport.

10.2.2. Rome-San Francisco

10.2.2.1. Market structure

(1563) The market structure on the route Rome-San Francisco in terms of passengers transported point-to-point (direct and indirect), average weekly (direct) frequencies, as well as a breakdown of connections on the route by airport pair and main competitors is presented in Table 70 to Table 72 respectively.

(1564) On this route, Rome-Fiumicino (FCO) is the only relevant airport near Rome, as Rome-Ciampino (CIA) is not used for any long-haul connections (both direct and indirect). San Francisco International Airport (SFO), Oakland International Airport (OAK), Oakland Norman Y. Mineta San José International Airport (SJC) and San José Charles M. Schulz–Sonoma County Airport (STS) are located, even though to different extents, near San Francisco. Therefore, the assessment in this section includes the following airport pairs: FCO-SFO, FCO-OAK, FCO-SJC and FCO-STS, but, as explained below, the assessment will not change materially if all or some airport pairs other than FCO-SFO were not considered part of the same market. The Commission's approach on airport substitutability is in line with Lufthansa and MEF's views on airport substitutability for Rome and San Francisco, as outlined in section 6.5.3.13. The following figures on the market structure include both time-sensitive and non-time-sensitive passengers, as well as direct and indirect connections.[1523]

(1565) On the route Rome-San Francisco, the only airlines with direct flights are United Airlines and ITA, with ITA flying a direct connection across the whole year and United Airlines flying a direct connection in the summer season only. All other airline carriers active on this route operate via indirect flights only.

Table 70: Market shares for Rome-San Francisco (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/2024[1524]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	**4%**	**1%**	**8%**	**8%**	**14%**	**29%**
A++ JV	**40%**	**56%**	**51%**	**46%**	**53%**	**40%**
United Airlines	*22%*	*32%*	*25%*	*21%*	*42%*	*19%*
Lufthansa Group	*13%*	*21%*	*17%*	*23%*	*8%*	*17%*
Air Canada	*5%*	*3%*	*8%*	*2%*	*3%*	*4%*
Parties' combined share	**44%**	**57%**	**58%**	**54%**	**67%**	**69%**
Blue Skies JV	**25%**	**21%**	**17%**	**15%**	**8%**	**11%**
Air France-KLM	*11%*	*14%*	*12%*	*10%*	*5%*	*6%*
Delta Air Lines	*13%*	*7%*	*4%*	*5%*	*3%*	*5%*
Virgin Atlantic Airways	*<1%*	*<1%*	*1%*	*<1%*	*<1%*	*<1%*

1523 Table 71 includes direct flights only as frequency is commonly only recorded for direct flight.

1524 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available up until January 2024. This table therefore does not include two months of passenger data for Winter 2023/2024 (February 2024 and March 2024). In addition, market size data in EUR for Winter 2023/2024 was not yet available at the time of writing this Decision.

Airline	S21	W21/22	S22	W22/23	S23	W23/24
AA-IAG JV	**19%**	**11%**	**14%**	**21%**	**11%**	**12%**
IAG	*5%*	*10%*	*6%*	*17%*	*6%*	*8%*
American Airlines	*14%*	*1%*	*9%*	*5%*	*4%*	*4%*
Finnair	-	-	*<1%*	-	*<1%*	-
Turkish Airlines	2%	1%	3%	2%	5%	3%
TAP Air Portugal	9%	10%	3%	4%	2%	4%
Other	1%	1%	5%	3%	7%	1%
HHI Δ	290	118	773	771	1 517	2 325
HHI post-merger	2 992	3 867	3 924	3 661	4 774	5 040
# of passengers	**17 581**	**14 763**	**99 437**	**30 680**	**132 268**	**21 188**
Market size (EUR)	**9 742 732**	**8 889 607**	**78 794 473**	**24 773 398**	**132 960 327**	***N/A***

Source: IATA passenger data, RFI 50 Annex 100. Market sizes from RFI 41 Q2-Q11.

Table 71: Average weekly frequencies for Rome-San Francisco (direct only) in the IATA seasons from Summer 2021 to Summer 2024

Airline	Airport Pair	S21	W21/22	S22	W22/23	S23	W23/24	S24
United Airlines	FCO-SFO	-	-	-	-	4	< 1	7
ITA	FCO-SFO	-	-	-	-	2	2	6
Parties' combined frequency		**-**	**-**	**-**	**-**	**6**	**2**	**12**
Parties' combined share		**-**	**-**	**-**	**-**	**100%**	**100%**	**100%**
Competitors' combined frequency		**-**	**-**	**-**	**-**	**-**	**-**	**-**
Competitors' combined share		**-**	**-**	**-**	**-**	**-**	**-**	**-**
Total frequency		**-**	**-**	**-**	**-**	**6**	**2**	**12**

Source: RFI 31, Q3, Annex 100.

(1566) Table 72 shows, out of a carrier's flights between Rome and San Francisco, the number and proportion of passengers that goes to each airport. The table below shows that passengers fly this route almost exclusively on the airport pair FCO-SFO.

Table 72: Airport-pair breakdown for Rome-San Francisco (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/24

Airline	Airport pair	S21	W21/22	S22	W22/23	S23	W23/24
A++ JV	FCO-SFO	100%	100%	100%	100%	100%	100%
	FCO-OAK	<1%	<1%	<1%	<1%	<1%	<1%
ITA Airways	FCO-SFO	99%	97%	95%	99%	100%	100%
	FCO-OAK	1%	3%	5%	1%	<1%	<1%

Airline	Airport pair	S21	W21/22	S22	W22/23	S23	W23/24
Blue Skies JV	FCO-SFO	99%	99%	99%	99%	99%	99%
	FCO-OAK	1%	1%	1%	1%	1%	1%
AA-IAG JV	FCO-SFO	100%	99%	100%	100%	100%	100%
	FCO-OAK	<1%	1%	<1%	<1%	<1%	<1%
Other	FCO-SFO	100%	100%	100%	100%	100%	100%
	FCO-OAK	<1%	<1%	<1%	<1%	<1%	<1%

Source: IATA passenger data, RFI 50 Annex 100.

(1567) In terms of a potential split by airport pair, the Commission has left open whether SFO, OAK, SJC and STS are all part of the same market. As discussed, the market shares presented above include all potential airport pairs. However, the Parties' market shares do not change materially if airport pairs other than FCO-SFO were not considered part of the same market.

(1568) In terms of a potential split by time-sensitive and non-time-sensitive passengers, non-time-sensitive passengers (Economy + Premium Economy) accounted for 84% of passengers in Summer 2023 and 85% in Winter 2022/23, whereas time-sensitive passengers (Business Class + First Class) accounted for 16% of passenger in Summer 2023 and 15% in Winter 2022/23 on the route Rome-San Francisco:[1525]

- With regards to non-time sensitive passengers, the Parties' combined shares are broadly in line with their combined share across passenger types (about 68% for Summer 2023 and 58% for Winter 2022/23). The main competitors are the "Blue Skies" JV and the AA-IAG JV.
- With regards to time-sensitive passengers, the Parties' combined shares are broadly in line with their combined share across passenger types (about 69% for Summer 2023 and 51% for Winter 2022/23). The main competitors are the "Blue Skies" JV and the AA-IAG JV.

10.2.2.2. Lufthansa and MEF's view

(1569) Lufthansa and MEF submit that the main airlines serving the route Rome-San Francisco based on Summer 2023 data are ITA, Lufthansa, including its A++ JV partners United Airlines and Air Canada, Air France-KLM (together with its JV partner Delta) and IAG (together with its JV partner American Airlines). Moreover, according to Lufthansa and MEF, post-Transaction the Parties will be constrained by potential additional entry and expansion of other carriers, such as Norse. Finally, Lufthansa and MEF submit that no relevant slot restrictions exist on either side of the route Rome-San Francisco for new entrants.[1526] In their response to the 6(1)(c) decision, Lufthansa and MEF further submit that i) the competitive constraint from indirect connections on this route is significant, and ii) the results of the market investigation as reported in 6(1)(c) decision are not conclusive.[1527]

1525 RFI 14 - Annex Q25 – Market Shares Compartments. As the market shares presented by passenger types come from different sources than the market shares across passenger types, there are small (immaterial) inconsistencies between the market shares based on this source and those presented in Table 70.

1526 Form CO, paragraphs 1413-1418.

1527 Response by Lufthansa and MEF to the Commission's 6(1)(c) decision, dated 5 February 2024, paragraphs 194-195.

(1570) In the Response to the SO, Lufthansa and MEF further submit that a) indirect flights, including from competitors such as the Blue Skies JV, the AA-IAG JV, TAP Air Portugal, Turkish Airlines, and others, constitute an important competitive constraint on this route, as evidenced by the significant share of passengers flying on indirect connections on this route, and b) the Commission's approach on this route is inconsistent with the *IAG/Aer Lingus* decision.[1528]

10.2.2.3. The Commission's assessment

(1571) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition that includes SFO on the route Rome-San Francisco during both IATA Winter and Summer season.

(1572) *First*, the Transaction would lead to the Parties holding a very high combined market share on the route. As set out in Table 70, the Parties' combined share since ITA and Lufthansa's joint venture partner United Airlines entered this route in Summer 2023 with a direct connection was 67% in Summer 2023 and 69% in partial Winter 2023/24. According to the Commission's Horizontal Merger Guidelines, very large market shares above 50% may in themselves be evidence of a dominant market position.[1529]

(1573) *Second*, the increment brought about by the Transaction from ITA would be sizeable to large at 14 to 29 percentage points in the first two seasons that ITA has started offering a direct connection on this route (Summer 2023 and Winter 2023/24). This corresponds to a substantial increase in the HHI of between 1 517 and 2 325.[1530] In addition, ITA plans to [information on ITA's expansion plans], from its current 2 weekly frequencies in Summer 2023 to [information on ITA's expansion plans]weekly frequencies [information on ITA's expansion plans] (corresponding to almost [information on ITA's expansion plans] overall available seats, or around [information on ITA's expansion plans] of the total O&D demand on this route based on Summer 2023).[1531] Furthermore, ITA plans to [information on ITA's expansion plans] to [information on ITA's expansion plans] average weekly frequencies in Winter 2026/27 (corresponding to about [information on ITA's expansion plans] available seats, or over [information on ITA's expansion plans] of the total O&D demand in Winter 2022/23). The very high level and the large increment in the Parties' joint market position is an indicator that the Transaction could lead to a significant increase in market power and create or strengthen a dominant position on this route.

(1574) *Third*, the market is highly concentrated. Following the Transaction, the HHI would be at least 4 774 and 5 040 based on the last two seasons since both ITA and United Airlines entered this route with a direct connection. Furthermore, the Transaction constitutes a 2-to-1 merger for direct flights during the summer seasons, whereas in the winter seasons ITA will be the only carrier with a direct connection. As outlined in section 10.1.4, this suggests that the Parties are close competitors on this route.

1528 Response by Lufthansa and MEF to the Commission's Statement of Objections, dated 11 April 2024, paragraphs 537 to 540.

1529 Horizontal Merger Guidelines, paragraph 17.

1530 According to paragraph 16 of the Horizontal Merger Guidelines, the "*change in the HHI (known as the 'delta') is a useful proxy for the change in concentration directly brought about by the merger*".

1531 Form CO, paragraph 1363. This is calculated as follows: The total demand on the O&D Rome-San Francisco in Summer 2023 was equal to 132 268 (see Table 70 above) whereas [information on ITA's expansion plans].

(1575) *Fourth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction.

(1576) In the first place, prior to the Transaction, in addition to ITA and the A++ JV, only the Blue Skies JV and the AA-IAG JV have achieved material shares on this route, with Blue Skies ranging between 11% and 25% for the last six seasons and between 8% and 11% since ITA started direct operations, and the AA-IAG JV reaching between 10% and 21% for the last six seasons and between 10% and 11% since ITA started direct operations. With regards to the other competitors referenced by Lufthansa and MEF for this route (TAP Air Portugal and Turkish Airlines),[1532] these two airlines each transported only 5% or less of the total passengers travelling on this route over the last two seasons and overall constituted only around 7% of the total market. Therefore, these competitors are unlikely to impose a significant competitive constraint on the Parties, both individually and in aggregate.

(1577) In the second place, access to feeder traffic at Rome-FCO will constitute a significant advantage on the route Rome-San Francisco. Indeed, about 47% of ITA's passengers travelling on the route in Summer 2023 transferred onto other services at FCO, whereas the same percentage for United Airlines was significantly lower (less than 5% in Summer 2023). United Airlines is the only other carrier with a direct connection on this route, and, prior to the Transaction, did not access to its own feeder network at FCO.[1533] The Parties would be the only competitor operating the route with access to their own feeder traffic at FCO. Furthermore, Lufthansa's joint venture partner United Airlines is the only air carrier on this route with an airport hub in San Francisco. As a result of this network aspect, about 23% of United Airlines' passengers on this route in Summer 2023 transferred onto other services at SFO. The Transaction therefore combines two carriers which are particularly competitive on the route as they both have access to their own feeder network. Furthermore, following the Transaction, the Parties would be the only competitor operating the route with access to their own (or that of a joint venture partner's) network of feeder traffic at both ends of the route (whereas all other competitors do not have a network of feeder traffic at either end of the route). Therefore, as explained in section 10.1.5.1, the Parties would face fewer barriers to expansion than their rivals, given that they can attract a higher volume of connecting passengers on both ends of the routes (both in Rome and in San Francisco) compared to their rivals. The profits that the Parties would derive from their passengers connecting at both ends of the route would not be affected by price competition on the trunk route (i.e., the direct Rome-San Francisco route) and the Parties would have a stable base of profits in the form of these connecting passengers that would give them a competitive advantage on the trunk route, resulting in making the route less attractive for their rivals.

(1578) In the third place, the competitive constraints imposed on the Parties from competitors with indirect flights only appears to be limited on this route. Contrary to the Parties' argument according to which the Commission is "*focussing on direct competitors only*",[1534] the Commission acknowledges that indirect flights generally compete with direct flights for long-haul travel, but notes that they represent a different value proposition, and would only be an alternative to a subset of passengers, as further explained in section 10.1.4. This is also in line with the limited

1532 Response to the Statement of Objection, paragraph 537.
1533 RFI 29, Annex Q13_Q14.
1534 Response to the Statement of Objection, paragraph 538.

market share that each competitor with indirect connections only has been able to achieve on this route since ITA's entry with a direct flight in Summer 2023 (12% or below for each competitor on the route).[1535] While, as noted by Lufthansa and MEF, overall, a significant proportion of passengers on this route travel via indirect connections,[1536] the proportion of passengers travelling with an indirect connection of one of the Parties' competitors (rather than with indirect connections offered by the Parties themselves) is relatively low (33% and 31% in the last two seasons since ITA's entry) compared to the market share achieved by the Parties via their direct and indirect connections (67% and 69%).

(1579) *Fifth*, the market investigation has provided further evidence that Lufthansa and ITA compete closely on this route.

(1580) In the first place, long-haul competitors of the Parties consider that Lufthansa (including its JV partners) and ITA are the most competitive airlines on this route with, on average, receiving 4.5 and 4.7 out of 5 stars, respectively. All remaining current and potential competitors on this route have significantly lower ratings, including American Airlines (3.2), Delta (3.3), Air France-KLM (2.6), IAG (3.4) and TAP (2).[1537]

(1581) In the second place, all except one responding long-haul competitors consider that ITA is Lufthansa's closest competitor on this route, whereas all responding long-haul competitors consider that Lufthansa is ITA's closest competitor.[1538]

(1582) In the third place, the Parties (including their JV partners) both operate direct services on the route. As outlined in section 10.1.4, carriers that provide direct scheduled flights compete more closely with each other than they do with carriers providing indirect connections. The Parties are therefore closer competitors with each other than they are with carriers that offer indirect services on the route. This is particularly relevant for the route Rome-San Francisco, where indirect operations only provide a limited competitive constraint on the Parties.

(1583) In the fourth place, [information about ITA's monitoring activity of rivals on this route] whereas [information about Lufthansa's monitoring activity of rivals on this route].[1539] In addition to the various other evidence presented in this section, this shows that the Parties consider each other close competitors on this route.

(1584) In the fifth place, as explained in section 10.1.5.3, ITA holds a significant slot portfolio at Rome-FCO whereas Lufthansa's joint venture partner United Airlines holds a significant slot portfolio at San Francisco-SFO, which means that they both can adapt flexibly to changes in capacity and pricing and thereby exert competitive constraints on each other.

(1585) In the sixth place, United Airlines (Lufthansa's A++ JV partner) currently is the only airline with a hub in SFO and therefore has competitive advantages at this airport

---

1535 ITA and United Airlines are the only carriers on this route with a direct connection in Summer 2023 and Winter 2023/24. As can be seen in Table 70, all other airline carriers have a market share equal to 12% or below on this route in these two seasons.

1536 Response by Lufthansa and MEF to the Commission's Statement of Objections, dated 11 April 2024, paragraph 537.

1537 Responses to question D.A.B.1 of questionnaire 04 to long-haul competitors.

1538 Responses to questions D.A.C.3 and D.A.C.4 of questionnaire 04 to long-haul competitors.

1539 Response of Lufthansa and MEF to the Commission's RFI 29 Q11 and RFI 41 Q13. In addition to [information about ITA's monitoring activity of rivals on this route]. on this route, whereas [information about Lufthansa's monitoring activity of rivals on this route].

compared to rivals, including the ability to compete at efficient scale and to operate important connections, including on this route, during periods in which slots are in high demand.

(1586) *Sixth*, as explained in section 10.1.5, there are several barriers to entry and expansion on the route.

(1587) In the first place, for the route Rome-San Francisco, access to feeder traffic at both ends of the route, including at Rome-FCO, constitutes a significant advantage. Indeed, in Summer 2023, around 33% of all passengers travelling on the trunk route transferred onto other services at either end of the route.[1540] Following the Transaction, the Parties (and their JV partners) would be the only carriers operating the route with its own network of feeder traffic at both ends of the route.

(1588) In the second place, the strong position of the Parties constitutes a significant barrier to entry for the reasons set out in section 10.1.5.6 above. For Rome-San Francisco, this is due to the Parties holding a significant frequency advantage on the route as compared to other competitors and holding a significant number of slots at both ends of the route, allowing them to react to market entry or expansion.

(1589) In the third place, as regards the availability of slots, SFO is a Level 2 coordinated airport, which may limit the ability of other competitors to compete effectively via this airport.

(1590) *Seventh*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Transaction.[1541] In particular, no competitor indicated during the market investigation that they were concretely planning to enter this route with a direct connection.

(1591) *Eighth*, while the views of competitors and customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding long-haul competitors and customers consider the impact to be negative. The Parties' main independent competitors on this route (Delta and American Airlines) consider that the impact of the Transaction on this route is uncertain with Delta explaining that it is "*not able to predict the effects of the Transaction as it cannot anticipate how the overall market will react*".[1542] This view is also shared by Egyptair. Air France-KLM, Condor, LOT, Neos and Turkish Airlines consider that the impact of the Transaction on this route is negative, while IAG and Lufthansa's JV partner Air Canada consider that the impact is neutral. Only Lufthansa's joint venture partner United Airlines considers that the impact of the Transaction on this route is positive for passengers in terms of lower prices and/or higher quality of services offered.[1543] The Commission notes that the views by Lufthansa's JV partners United Airlines and Air Canada may be biased as they have a clear financial interest in this Transaction as ITA is likely to join the A++ JV following the potential approval of the Transaction and all partners will share their revenues generated from the long-haul routes covered by the JV agreement. In addition, one long-haul competitor (Air France-KLM) considers that the Transaction would increase the barriers to entry and/or expansion on this route, whereas Delta

1540 RFI29 – Annex Q13_14.

1541 Additional evidence was made available to the Parties' legal counsels over the data room process.

1542 Responses to questions G.1 and G.2 of questionnaire 04 to long-haul competitors.

1543 Responses to question G.1 of questionnaire 04 to long-haul competitors. The Commission also analysed the response from one anonymous participant.

considers that the impact of the Transaction on barriers to entry and/or expansion on this route depends on "*how the overall market will react*".[1544] Finally, 25% of customers that expressed an opinion consider the impact of the Transaction on this route to be negative, whereas the remaining 42% and 33% consider the impact of Transaction to be respectively neutral and positive.[1545]

(1592) *Ninth*, based on the various factors considered above, the Commission considers that, despite the mixed feedback from competitors and consumers, the impact of the Transaction on this route is likely to be negative. This conclusion is further reinforced by the results of the Commission's regression analysis which shows that a reduction in the number of direct competitors on a long-haul route is associated with significantly higher prices and that the competitive constraint exerted by indirect competitors is more limited than that exerted by direct competitors (see section 7.7.2 for more detailed results). In addition, the finding that the impact of the Transaction on this route is negative is also in line with the internal documents of Lufthansa predicting price increases, including […] (see section 7.7.1).

(1593) *Tenth*, contrary to the submission by Lufthansa and MEF,[1546] the Commission's finding of a significant impediment of effective competition on this route is consistent with the Commission's decisional practice, including in *Case M.7541 – IAG/Aer Lingu*s. While Lufthansa and MEF do not specify in which respect this conclusion is inconsistent with the *IAG/Aer Lingus* decision and instead only refer to a section at the beginning of their Response to the SO, in this section, Lufthansa and MEF submit that no competition concerns were found on some overlapping long-haul routes in the *IAG/Aer Lingus* decision, citing the Dublin-New York route, where both of the parties had a direct connection and combined market shares above 50% and where the market share of a remaining competitor was similar or higher to the increment brought by the Transaction, even with increments above 20 percentage points.

(1594) The competitive situation on the Dublin-New York route in the *IAG/Aer Lingus* case is, however, factually different from the competitive situation on the route Rome-San Francisco route in the present case. First, as discussed above, ITA has significant growth plans on the route Rome-San Francisco route, whereas such growth plans were not part of the competitive assessment on the Dublin-New York route in the *IAG/Aer Lingus* case. Second, the increment brought about by the Transaction in the present case is already, even prior to these growth plans, significantly above the market share of the largest remaining competitor (29% vs. 12% in Winter 2023/24), whereas this was not so on the Dublin-New York route in the *IAG/Aer Lingus* case. Third, in the present case, ITA and Lufthansa's joint venture partner United Airlines are the only competitors with a direct connection on the Rome-San Francisco route (with ITA flying the full year and United Airlines during the summer season only), whereas on the Dublin-New York route in the *IAG/Aer Lingus* case, there were two other competitors present, besides the Parties, that offered a direct connection. In any event, Lufthansa and MEF's comparison of the competitive assessment in this case with the *IAG/Aer Lingus* case does not consider to what extent the various common considerations relevant for the present case, including those described in sections 7.7 and 10.1, as well as the various route-specific considerations described in this section compare against the relevant considerations in the *IAG/Aer Lingus* case. In addition

1544 Responses to question G.11 of questionnaire 04 to long-haul competitors.
1545 Responses to question H.2 of questionnaire 06 to short- and long-haul customers.
1546 Response to the SO, paragraph 539.

to the Commission's prior practice not binding it in its assessment of individual cases, the Commission's finding of a significant impediment to effective competition on this route is in any event not inconsistent with the Commission's decisional practice, including that in *Case M.7541*.

10.2.2.4. Assessment of potentially narrower markets

(1595) The Commission's assessment above considers the widest plausible market definition, where SFO and OAK as well as the other identified airports belong to the same catchment areas. Therefore, the market shares and concerns outlined above reflect this plausible definition. However, as airports other than SFO currently represent only an immaterial share of passengers on indirect connections on this route, the Commission's assessment on the strength of the Parties, the presence of competitors, closeness, barriers to entry, and evidence of entry, remains the same, independently of whether airports other than SFO are considered part of the same catchment area as SFO.

(1596) Concerning the plausible distinction between TS and NTS passengers, the Commission's assessment has been carried out on the widest plausible market definition (i.e., TS and NTS combined). The Commission's assessment on the presence of competitors, closeness, barriers to entry, and evidence of entry, remains largely the same for TS and NTS. The Parties' combined market shares with regards to time-sensitive passengers are broadly in line with their combined share across non-time sensitive passengers. Therefore, the Commission's conclusion remains the same no matter the precise market definition.

(1597) Based on the above, the concerns outlined above continue to be relevant under any plausible alternative market definition that includes the airport SFO.

10.2.2.5. Conclusion

(1598) In light of the common considerations on long-haul routes explained in section 10.1, and in view of the above findings related in particular to the Parties' very high combined market shares and the sizeable to large increment brought by the Transaction, the overall concentration level of the market, the fact that the constraint from the remaining competitors on the route is likely to be insufficient, the closeness of competition between the Parties, the existence of barriers to entry and expansion, the absence of timely, likely and sufficient entry or expansion on the city pair post-Transaction as well as the evidence on the effects of the Transaction, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position in relation to the Rome-San Francisco city pair, in both the Winter and Summer IATA Seasons, under any plausible market definition that includes the airport SFO.

10.3. Route-by-route assessment of direct overlaps (recently launched services)

(1599) The Commission considers that the Transaction would significantly impede effective competition on the route Rome-Toronto in which Lufthansa's A++ JV partner Air Canada has an established direct connection, whereas ITA recently launched a direct service on this route in Summer 2024. The Commission's concerns on this route are limited to the IATA Summer season only, [information on ITA's entry plans]. While ITA's entry is not yet reflected in the historical market shares, the Parties already

overlap with direct operations on this route as of the date of the publication of this Decision.[1547]

10.3.1. Rome-Toronto

10.3.1.1. Market structure

(1600) The market structure on the route Rome-Toronto in terms of passengers transported point-to-point (direct and indirect), average weekly (direct) frequencies, as well as a breakdown of connections on the route by airport pair and main competitors is presented in Table 73 to Table 75 respectively. ITA started operations on this route on 10 May 2024, during the course of these proceedings, and is currently actively operating on this route.[1548] As a result of the historical nature of the IATA passenger data that is used to calculate market shares, ITA's entry on this route is not yet reflected in the market shares presented below.

(1601) On this route, Rome-Fiumicino (FCO) is the only relevant airport near Rome, as Rome-Ciampino (CIA) is not used for any long-haul connections (both direct and indirect). Toronto Pearson International Airport (YYZ) and Billy Bishop Toronto City Airport (YTZ) are all located, even though to a different extent, near Toronto. Therefore, the assessment in this section includes the following airport pairs: FCO-YYZ and FCO-YTZ, but, as explained below, the assessment will not change materially if the airport pair FCO-YTZ was not considered part of the same market. The Commission's approach on airport substitutability is in line with Lufthansa and MEF's views on airport substitutability for Rome and Toronto, as outlined in section 6.5.3.13. The following figures on the market structure include both time-sensitive and non-time-sensitive passengers, as well as direct and indirect connections.[1549]

(1602) On the route Rome-Toronto, the only airlines with direct flights are Air Canada, Air Transat and ITA (from Summer 2024). ITA and Air Transat operate on this route during the summer season only. All other airline carriers active on this route operate via indirect flights only.

Table 73: Market shares for Rome-Toronto (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/24[1550]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	**<1%**	**<1%**	**<1%**	**1%**	**<1%**	**<1%**
A++ JV	**85%**	**74%**	**55%**	**78%**	**55%**	**80%**
Air Canada	*84%*	*65%*	*53%*	*72%*	*53%*	*77%*
Lufthansa Group	*1%*	*6%*	*1%*	*4%*	*1%*	*2%*
United Airlines	*<1%*	*3%*	*1%*	*3%*	*1%*	*1%*
Parties' combined share	**85%**	**74%**	**55%**	**79%**	**55%**	**80%**

[1547] ITA has started operating the route Rome-Toronto on 10 May 2024. Response by Lufthansa and MEF to the Commission's RFI 44, Q5.

[1548] Response by Lufthansa and MEF to the Commission's RFI 44, Q5.

[1549] Table 74 includes direct flights only as frequency is commonly only recorded for direct flight.

[1550] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available up until January 2024. This table therefore does not include two months of passenger data for Winter 2023/2024 (February 2024 and March 2024). In addition, market size data in EUR for Winter 2023/2024 was not yet available at the time of writing this Decision.

Airline	S21	W21/22	S22	W22/23	S23	W23/24
Blue Skies JV	**3%**	**11%**	**2%**	**9%**	**3%**	**6%**
Air France-KLM	*3%*	*11%*	*2%*	*9%*	*3%*	*6%*
AA-IAG JV	**4%**	**6%**	**<1%**	**5%**	**1%**	**4%**
IAG	*4%*	*6%*	*<1%*	*5%*	*1%*	*4%*
Air Transat	<1%	<1%	40%	<1%	39%	-
TAP Air Portugal	7%	8%	1%	3%	1%	4%
Other	1%	1%	2%	4%	2%	6%
HHI Δ	7	3	6	162	6	23
HHI post-merger	7 292	5 686	4 639	6 380	4 577	6 548
# of passengers	**22 552**	**10 617**	**173 339**	**27 523**	**250 203**	**24 873**
Market size (EUR)	**13 544 401**	**6 085 443**	**109 820 035**	**24 290 495**	**199 788 769**	**N/A**

Source: IATA passenger data, RFI 50 Annex 100. Market sizes from RFI 41 Q2-Q11.

Table 74: Average weekly frequencies for Rome-Toronto (direct only) in the IATA seasons from Summer 2021 to Winter 2023/24[1551]

Airline	Airport Pair	S21	W21/22	S22	W22/23	S23	W23/24	S24
Air Canada	FCO-YYZ	2	1	6	2	8	4	10
ITA	FCO-YYZ	-	-	-	-	-	-	5
Parties' combined frequency		**2**	**1**	**6**	**2**	**8**	**4**	**15**
Parties' combined share		**100%**	**100%**	**60%**	**98%**	**62%**	**100%**	**74%**
Air Transat	FCO-YYZ	-	-	4	< 1	5	-	5
Competitors' combined frequency		**-**	**-**	**4**	**< 1**	**5**	**-**	**5**
Competitors' combined share		**-**	**-**	**40%**	**2%**	**38%**	**-**	**26%**
Total frequency		**2**	**1**	**10**	**2**	**13**	**4**	**20**

Source: RFI 31, Q3, Annex 100.

(1603) Table 75 below shows, out of a carrier's flights between Rome and Toronto, the number and proportion of passengers that goes to each airport. The table below shows that most passengers fly this route on the airport pair FCO-YYZ.

[1551] The IATA data also shows capacity for Ethiopian Airlines on this route in Winter 2023/2024 and Summer 2024. However, this capacity relates entirely to a fuel stop in Rome on the route Addis Ababa (Ethiopia) to Toronto and it is not possible to book a ticket on the Rome-Toronto leg of this journey only. This capacity has therefore been excluded from this table. See also: https://simpleflying.com/ethiopian-airlines-swap-dublin-rome-north-america-stop/. ID 12584.

Table 75: Airport-pair breakdown for Rome-Toronto (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/24

Airline	Airport pair	S21	W21/22	S22	W22/23	S23	W23/24
A++ JV	FCO-YYZ	100%	99%	99%	99%	99%	98%
	FCO-YTZ	<1%	1%	1%	1%	1%	2%
ITA Airways	FCO-YYZ	100%	100%	100%	100%	100%	100%
Blue Skies JV	FCO-YYZ	100%	100%	100%	100%	100%	100%
AA-IAG JV	FCO-YYZ	100%	100%	100%	100%	100%	100%
Other	FCO-YYZ	100%	100%	100%	100%	98%	100%
	FCO-YTZ	-	-	-	-	1%	-
	FCO-YHM[1552]	-	-	<1%	-	<1%	-
	FCO-YKF[1553]	-	-	-	-	<1%	-

Source: IATA passenger data, RFI 50 Annex 100.

(1604) In terms of a potential split by airport pair, the Commission has left open whether YYZ and YTZ are part of the same market. As discussed, the market shares presented above include all potential airport pairs. However, the Parties' market shares do not change materially if the airport pair FCO-YTZ was not considered part of the same market.

(1605) In terms of a potential split by time-sensitive and non-time-sensitive passengers, non-time-sensitive passengers (Economy + Premium Economy) accounted for 92% of passengers in Summer 2023 and for 86% in Winter 2022/23, whereas time-sensitive passengers (Business Class + First Class) accounted for 8% of passenger in Summer 2023 and for 14% in Winter 2022/23 on the route Rome-Toronto:[1554]

- With regards to non-time sensitive passengers, the Parties' combined shares are slightly below their combined share across passenger types (about 4 percentage points in both Summer 2023 and Winter 2022/23 at 51% and 75%, respectively). The main competitors are Air Transat during the Summer season and the "Blue Skies" JV during the Winter season.
- With regards to time-sensitive passengers, the Parties' combined market shares exceed their combined share across passenger types (by about 38 percentage points in Summer 2023 at 93% and 7 percentage points at 86% in Winter 2022/23). Air Transat is not active as a significant competitor for time-sensitive passengers according to the data provided by Lufthansa and MEF.

1552 While John C. Munro Hamilton (YHM) airport is not mentioned as a relevant airport within the catchment area of Toronto by Lufthansa and MEF, it appears in the passenger data for the route Rome-Toronto that was used by Lufthansa and MEF to compute market shares for this route. As the share of passengers flying on this route via YHM airport is immaterial, this airport is not further discussed in this decision.

1553 While Region of Waterloo International Airport (YKF) airport is not mentioned as a relevant airport within the catchment area of Toronto by Lufthansa and MEF, it appears in the passenger data for the route Rome-Toronto that was used by Lufthansa and MEF to compute market shares for this route. As the share of passengers flying on this route via YKF airport is immaterial, this airport is not further discussed in this decision.

1554 RFI 14 - Annex Q25 – Market Shares Compartments. As the market shares presented by passenger types come from different sources than the market shares across passenger types, there are small (immaterial) inconsistencies between the market shares based on this source and those presented in Table 73.

10.3.1.2. Lufthansa and MEF's view

(1606) Lufthansa and MEF submit that the main airlines serving the route Rome-Toronto based on Summer 2023 data are Lufthansa's A++ JV partners (particularly Air Canada) and Air Transat. Air Transat offers direct flights only in summer seasons. During the winter seasons, according to Lufthansa and MEF, post-Transaction the Parties will be constrained by additional carriers, such as Air France-KLM and IAG (with indirect flights only). In addition, Lufthansa and MEF consider that new entrants face no relevant slot restriction on either side of the Rome-Toronto route.[1555] In the 6(1)(c) decision, Lufthansa and MEF further argue that i) the Parties do not compete more closely for Business Class passengers as ITA only had very few Business Class passengers on this route, and ii) Air Transat competes more closely with Air Canada than ITA does.[1556]

(1607) In the Response to the SO, Lufthansa and MEF further submit that a) Air Transat exerts a strong competitive constraint on Lufthansa's JV partner Air Canada, and b) indirect flights constitute an important competitive constraint on this route, as evidenced by the significant share of passengers flying via indirect connections on this route as well as the prominent display of indirect connections on Google Flights for this route.[1557]

10.3.1.3. Submission by third-party carrier Air Canada

(1608) On 17 April 2024, following the adoption of the Commission's Statement of Objections, Air Canada, Lufthansa's joint venture partner in the A++ JV (together with United Airlines), submitted written observations on the SO, focussing on the Commission's preliminary assessment of the route Rome-Toronto. In these observations, Air Canada argues that the Commission's assessment of the route Rome-Toronto "*fails to meet the legal and evidentiary standards required by law to demonstrate a SIEC* [significant impediment to effective competition]".[1558]

(1609) More specifically, Air Canada argues that the SO a) incorrectly groups together time-sensitive and non-time-sensitive passengers in its assessment which "*artificially inflates Air Canada's market position*", b) overstates ITA's position, which only started operations on this route in May 2024, c) disregards fierce competition from Air Transat, d) fails to consider that there are no substantial barriers to entry, e) provides no evidence on merger-specific harm to consumers and f) misrepresents the results of the market investigation, including by relying primarily on statements by biased third-parties.[1559]

10.3.1.4. The Commission's assessment

(1610) For the reasons set out below, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position under any plausible market definition on the route Rome-Toronto during the IATA Summer season only.[1560]

1555 Form CO, paragraphs 1582-1588.

1556 Response by Lufthansa and MEF to the Commission's 6(1)(c) decision, paragraphs 243-244.

1557 Response to the SO, paragraphs 548 to 553.

1558 Air Canada's observations on the SO, dated 17 April 2024, paragraph 3.

1559 Air Canada's observations on the SO, dated 17 April 2024, paragraph 3.

1560 The Commission does not identify any concerns in the IATA Winter seasons, because ITA does not plan to operate on this route during the IATA Winter seasons and therefore there is no overlap during the winter seasons.

(1611) *First*, even prior to ITA's entry, Lufthansa and its JV partner Air Canada hold a very high market share on the route. As set out in Table 73, the market share of the A++ JV over the last two IATA Summer seasons was 55% (and 85% in Summer 2021 although, as noted by Lufthansa and MEF,[1561] this season may still have been significantly affected by the COVID pandemic). According to the Commission's Horizontal Merger Guidelines, very large market shares above 50% may in themselves be evidence of a dominant market position.[1562]

(1612) *Second*, while this is not yet reflected in the historical market share data, ITA's entry on this route in May 2024 has the likely effect of significantly increasing the Parties' combined market share on this route. From the current Summer 2024 season onwards, ITA operates on this route with 5 average weekly frequencies during the summer season, which is expected to increase to [information on ITA's expansion plans] average weekly frequencies [information on ITA's expansion plans].[1563] This corresponds to about [information on ITA's expansion plans] overall seats during the summer seasons ([information on ITA's expansion plans] of the total O&D demand on this route, based on Summer 2023).[1564] The very high level of joint market shares and the expected large increment in the Parties' joint market position, which will derive from ITA's entry and expansion on this route, is an indicator that the Transaction is likely to lead to a significant increase in market power and create or strengthen a dominant position on this route.

(1613) With regards to Air Canada's submission that the Commission is overstating ITA's position on this route, Air Canada does not actually present any evidence for this claim and instead only makes general statements relating to the fact that ITA is a recent entrant on this route and the fact that ITA may choose, absent the Transaction, to exit the route due to profitability considerations.[1565] [Information on ITA's network strategy].[1566] [Information on ITA's network strategy].[1567] In relation to Air Canada's claim that demand on this route is not strong enough to sustain, on a long-term basis, more than two independent direct competitors on this route,[1568] the Commission notes that the level of demand (as represented by the total number of passengers travelling on this route and the total market size in terms of revenues earned) in the summer season significantly exceeds the total level of demand on other long-haul routes that have sustained more than two competitors with direct flights for significant periods of time.[1569]

(1614) *Third*, the market is highly concentrated. Even prior to ITA's entry, the HHI on the route was high, namely between 4 577 and 7 292 during the last three summer seasons. Following ITA's direct entry, the level of concentration is likely to further increase on this route following the Transaction. Furthermore, the Transaction

---

1561 Response to the SO, paragraph 13.

1562 Horizontal Merger Guidelines, paragraph 17.

1563 Response by Lufthansa and MEF to RFI 29, ITA Annex Q6.

1564 This is calculated as follows: The total demand on the O&D Rome-Toronto in Summer 2023 was equal to 250 203 (see Table 73 above) whereas [information on ITA's expansion plans].

1565 Air Canada's observations on the SO, dated 17 April 2024, paragraphs 39 to 47.

1566 Form CO, paragraph 1572.

1567 M.11071 – RFI 1 - ITA Annex 1 - […], and M.11071 – RFI 3 - ITA Annex 41 - […].

1568 Air Canada's observations on the SO, dated 17 April 2024, paragraphs 40 and 41.

1569 For example, on the Rome-New York route, during the winter season, there are currently three independent competitors with direct flights, namely ITA, United Airlines (as part of the A++ JV) and Delta (as part of the Blue Skies JV). The total demand on the route Rome-Toronto during the summer season significantly exceeds the total demand on the route Rome-New York during the winter season. Sources: IATA passenger data, RFI 50 Annex 100 and market sizes in EUR, RFI 41 Q2-Q11.

constitutes a 3-to-2 merger for direct flights during the summer season. In addition to the Parties, only Air Transat operates the route with direct services (in the summer season only). The total market share of all indirect connections on this route represents only around 15% on this route during the last two summer seasons (in which both Air Canada and Air Transat had a direct connection on this route). As explained in section 10.1.4, the proportion of passengers travelling indirectly on this route is expected to further decrease following ITA's entry on this route with a direct connection.

(1615) *Fourth*, the constraint from the remaining competitors on the route is likely to be insufficient to eliminate the significant impediment to effective competition caused by the Transaction.

(1616) *In the first place,* prior to the Transaction, in addition to the A++ JV, only Air Transat has consistently achieved significant market shares during the summer seasons (around 40% in the last two summer seasons since its direct entry), with no other competitor achieving more than 3% market share during the last two summer seasons (where both Air Canada and Air Transat had a direct connection on this route).

(1617) With regards to the submission by Air Canada, according to which Air Transat "*is a strong competitive alternative*" on this route and according to which the Commission's assessment of the route contradicts the Commission's assessment in the proceeding M.9489 – Air Canada / Transat where the Commission found that Air Canada and Air Transat are close competitors,[1570] the Commission notes that in highly concentrated markets, such as this one, where prior to ITA's entry, the two largest competitors (Air Canada and Air Transat) accounted for over 90% of the total market over the last two summer seasons, it is possible and not inconsistent for the Commission to identify competition concerns both when considering a merger between these two competitors, as well as between one of these competitors and a recent entrant, such as ITA. In addition, as confirmed in the recent CK Telecoms judgement, even in oligopolistic markets, the Commission is only required to assess whether the merging parties are close competitors (rather than "particularly close").[1571] It is possible and consistent with the Commission's present assessment that both Air Transat and ITA are close competitors to Lufthansa and its JV partners on this route.

(1618) *In the second place,* access to feeder traffic at both Rome-FCO and Toronto-YYZ will constitute a significant advantage on the route Rome-Toronto. Following the Transaction, the Parties would be the only competitor operating the route with access to their own feeder traffic at Rome-FCO. Furthermore, Toronto-YYZ is an airport hub of Lufthansa's joint venture partner Air Canada, whereas Air Transat is a point-to-point carrier without access to feeder traffic in Toronto. The Parties would therefore be the only competitor operating the route with access to their own (or that of a joint venture partner's) feeder traffic at each end of the route. Therefore, as explained in section 10.1.5.1, the Parties would face fewer barriers to expansion than their rivals, given that they can attract a higher volume of connecting passengers on both ends of the routes (both in Rome and in Toronto) compared to their rivals. The profits that the Parties would derive from their passengers connecting at both ends of the route would not be affected by price competition on the trunk route (i.e., the

1570 Air Canada's observations on the SO, dated 17 April 2024, paragraphs 49 to 55.

1571 Case-376/20 P Commission v CK Telecoms UK Investments, ECLI:EU:C:2023:561.

direct Rome-Toronto route) and the Parties would have a stable base of profits in the form of these connecting passengers that would give them a competitive advantage on the trunk route.

(1619) *In the third place*, the Parties and their JV partners would hold a frequency advantage over the other direct competitors on the route. ITA and the A++ JV would operate 17 weekly frequencies during the summer season (based on ITA's entry and expansion plans on this route) compared to the 5 weekly frequencies of Air Transat, the only other competitor with direct flights on this route. As explained in section 10.1.5.5, the lower number of frequencies and thus the lower capacity of Air Transat means that the competitive constraint it may impose on the Parties is limited. As explained above, it would be difficult for Air Transat (or any other competitor) to increase its frequencies following the Transaction to similar levels as the Parties, since it would not have access to connecting traffic at Rome-FCO or Toronto-YYZ.

(1620) *In the fourth place*, for the summer season, the competitive constraints imposed on the Parties from indirect flights appear to be limited on this route. While indirect flights generally compete with direct flights for long-haul travel, they represent a different value proposition, and would only be an alternative to a subset of passengers, as further explained in section 10.1.4. This is also in line with the limited market share that each competitor with indirect connections has been able to achieve on this route, both individually and in aggregate.

(1621) In their Response to the SO, Lufthansa and MEF contest that indirect flights exert only limited competitive constraint on the Parties' operations on the route Rome-Toronto. Lufthansa and MEF submit that results from Google Flights for the route Rome-Toronto route show that "*additional travel time is often compensated by lower price*" as Google's algorithm classifies several indirect offers as well as Air Transat's direct offer on this route for a specific date as "Best Flights" (rather than the Parties' direct offers).[1572] However, as acknowledged by Lufthansa and MEF, the Parties' direct flight offers available for that date are offered at a significant price premium compared to the indirect flight offers classified by Google Flights as "Best Flights" for that date.[1573] Google Flights results suggest that passengers see indirect flight as relevant substitutes to the Parties' direct flights on this route only when indirect flights are offered at a significant discount compared to direct flights. This is consistent with the Commission's finding that indirect flights are likely to exert only limited competitive constraint on the Parties' operations on the route Rome-Toronto (as competitors with direct flight appear to be able to sell tickets on this route at a significant price premium compared to competitors with indirect flight offers which is an expression of the market power that direct competitors have on this route).

(1622) *Fifth*, Air Canada submits that, from a Canadian perspective, Italy is a "*non-location bound vacation destination*" and that therefore other destinations, primarily other Mediterranean destinations, "*impose competitive constraints*" on the Parties as "*passengers can choose to go elsewhere*".[1574] However, this claim by Air Canada is entirely unsubstantiated and can therefore not factor into the Commission's assessment of this route. While Air Canada submitted statistics according to which Canadians travel to various destinations in Europe, these statistics provide no

1572 Response by Lufthansa and MEF to the Commission's Statement of Objections, paragraph 552.

1573 The indirect flight offers classified as "Best flights" for that date are offered at EUR 394-608 whereas the direct flight offers of Lufthansa's JV partner Air Canada and ITA are offered for EUR 1 323 and EUR 2 551, respectively. ID 11923.

1574 Air Canada's observations on the SO, dated 17 April 2024, paragraphs 56 to 62.

indication on the extent to which passengers travelling from Toronto consider Rome substitutable with other destinations in Europe.

(1623) *Sixth*, the market investigation has provided further evidence that Lufthansa (including its JV partners) and ITA will compete closely on this route during summer seasons following ITA's entry in Summer 2024,

(1624) *In the first place*, long-haul competitors of the Parties consider Lufthansa (including its JV partners) to be the most competitive airline on this route (4.2 stars out of 5) and Air Transat the second most competitive (4 stars), both offering direct connections. Other carriers, operating the route with indirect connections only, are considered as being less competitive, rated at most 3 stars (e.g., Air France-KLM, IAG and TAP with 3, 2.8 and 2.4 stars respectively).

(1625) *In the second place*, 5 out of 6 responding long-haul competitors considered Lufthansa (and its JV partners) to be the closest competitor to ITA on this route with the remaining competitor considering Air Transat to be the closest.[1575]

(1626) *In the third place*, the Parties will both operate direct services on the route from Summer 2024 onwards. As outlined in section 10.1.4, carriers that provide direct scheduled flights compete more closely with each other than they do with carriers providing indirect connections. The Parties are therefore closer competitors with each other than they are with carriers that offer indirect services on the route. This is particularly relevant for the route Rome-Toronto, where indirect operations only provide a limited competitive constraint on the Parties.

(1627) *In the fourth place*, [information about ITA's monitoring activity of rivals on this route].[1576] In addition to the various other evidence presented, [information about Lufthansa's monitoring activity of rivals on this route] (in May 2024, as explained above at paragraph (1596)).

(1628) *In the fifth place*, as explained in section 10.1.5.3, ITA holds a significant slot portfolio at Rome-FCO whereas Lufthansa's joint venture partner Air Canada holds a significant slot portfolio at Toronto-YYZ, which means that they both can adapt flexibly to changes in capacity and pricing and thereby exert competitive constraints on each other.

(1629) *Seventh*, as explained in section 10.1.5, there are several barriers to entry and expansion on the route.

(1630) *In the first place*, the strong position of the Parties constitutes a significant barrier to entry for the reasons set out in section 10.1.5.5 above. For Rome-Toronto, this is due to the Parties holding a significant frequency advantage on the route as compared to other competitors.

(1631) *In the second place,* as regards the availability of slots, YYZ, where almost all passengers traveling between Italy and Toronto land, is a Level 3 coordinated airport, meaning that this airport is congested and available slots to airlines hoping to enter or expand via this airport are limited.

(1632) *In the third place*, for the route Rome-Toronto, access to feeder traffic at both ends of the route, including at Rome-FCO, constitutes a significant advantage. Indeed, over the last five seasons (S21-S23), between 26% and 57% of passengers travelling on

1575 Responses to question D.A.C.4 of questionnaire 04 to long-haul competitors

1576 Response of Lufthansa and MEF to the Commission's RFI 29 Q11. [Information about ITA's monitoring activity of rivals on this route].

the route transferred onto other services at the ends of the route.[1577] Following the Transaction, the Parties (and their JV partners) would be the only carriers operating the route with its own network of feeder traffic at each end of the route. The importance of having access to a wide network of connecting traffic on this route was also confirmed by the Parties' main competitor, Air Transat. It explained that in relation to transatlantic flights, "*connecting flows play a very important role for its expansion. For example, on Toronto-Rome, Air Canada will increase its frequencies to 12 flights per week in Summer 24. This is possible due to connecting passenger flows coming to Toronto. Adding ITA to its network will enable the same on the other side of the route*".[1578] This contradicts the Lufthansa and MEF's argument according to which point-to-point carriers, such as Air Transat, do not face any relevant barriers in competing head-to-head with network carriers, such as the Parties, that have access to feeder traffic on one or both ends of the route.[1579]

(1633) *In the fourth place*, contrary to the submission by Lufthansa and MEF,[1580] the fact that Air Transat increased its capacity on this route between Summer 2022 and Summer 2023 does not, in itself, provide evidence that there are no significant barriers to entry and expansion on this route. In this regard, Air Transat's capacity increase was very modest, from 4 average weekly flights in Summer 2022 to 5 average weekly flights in Summer 2023, whereas Lufthansa's JV partner Air Canada increased its capacity over the same period from 6 to 8 average weekly flights (and, again, in Summer 2024 to 10 average weekly flights). In addition, Air Transat already operated on this route prior to Summer 2023 and therefore this small increase in capacity does not provide any indication on potential barriers to entry on this route.

(1634) *Eighth*, the Commission's investigation does not support a finding of market entry that would be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the Transaction.[1581] In particular, no competitor indicated during the market investigation that they were concretely planning to enter this route with a direct connection. With regards to the potential entry claims made by Air Canada for this route,[1582] including by airlines such as WestJet and Neos, the Commission notes that these entry claims remain hypothetical and unsubstantiated and are therefore not comparable to ITA's entry on this route which is operating direct flights on this route since May 2024.

(1635) *Ninth*, while the views of competitors and customers on the impact of the Transaction on this route are overall mixed and inconclusive, a significant proportion of responding long-haul competitors and customers consider the impact to be negative. The Parties' main competitor on this route Air Transat considers that the impact of the Transaction on this route is negative.[1583] It explained that its "*operations are likely to be hampered by the Transaction, as it will impact its ability to grow in Italy*".[1584] The view that the impact of the Transaction on this route is negative is also shared by Air France-KLM, Condor, and LOT, while Neos, IAG and

1577 RFI29 – Annex Q13_14.
1578 Non-confidential minutes of a call with Air Transat, 21 November 2023, paragraph 28.
1579 Response to the SO, paragraph 508.
1580 Response to the SO, paragraph 258.
1581 Additional evidence was made available to the Parties' external legal counsels over the data room process.
1582 Air Canada's observations on the SO, dated 17 April 2024, paragraphs 64 to 75.
1583 Responses to questions G.1 of questionnaire 04 to long-haul competitors.
1584 Non-confidential minutes of a call with Air Transat, 21 November 2023, paragraph 32.

Lufthansa's joint venture partner Air Canada, Turkish Airlines consider that the impact is neutral. Egyptair and Delta consider that the impact of the Transaction on this route is uncertain. No responding long-haul competitor considers that the impact of the Transaction on this route is positive for passengers in terms of lower prices and/or higher quality of services offered.[1585] In addition, four long-haul competitors (Air Transat, Air France-KLM, LOT and Condor) consider that the Transaction would increase the barriers to entry and/or expansion on this route.[1586] Finally, 28% of customers that expressed an opinion consider the impact of the Transaction on this route to be negative, whereas the remaining 43% and 29% consider the impact of Transaction to be respectively neutral and positive.[1587]

(1636) *Tenth*, based on the various factors considered above, the Commission considers that, despite the mixed feedback from competitors and consumers, the impact of the Transaction on this route is likely to be negative. This conclusion is further reinforced by the results of the Commission's regression analysis which shows that a reduction in the number of direct competitors on a long-haul route is associated with significantly higher prices and that the competitive constraint exerted by indirect competitors is more limited than that exerted by direct competitors (see section 7.7.2 for more detailed results).[1588] In addition, the finding that the impact of the Transaction on this route is negative is also in line with the regression analysis performed by Lufthansa when assessing the impact of the Transaction prior to making a decision to invest in ITA (see section 7.7.1).

10.3.1.5. Assessment of potentially narrower markets

(1637) The Commission's assessment above considers the widest plausible market definition, where YYZ and YTZ belong to the same catchment areas, therefore the market shares and concerns outlined above reflect this plausible definition. However, as YTZ currently represents only an immaterial share of passengers on this route, the Commission's assessment on the strength of the Parties, the presence of competitors, closeness, barriers to entry, and evidence of entry, remains the same, independently of whether YTZ is considered part of the same catchment area as YYZ.

(1638) Concerning the plausible distinction between TS and NTS passengers, the Commission's assessment has been carried out on the widest plausible market definition (i.e., TS and NTS combined). The Commission's assessment on the presence of competitors, closeness, barriers to entry, and evidence of entry, remains largely the same for time-sensitive and non-time sensitive passengers. The only significant difference is that the A++ JV has significantly higher market shares when considering TS passengers only (with 93% market share in Summer 2023). This is because Air Transat is not active as a significant competitor for time-sensitive passengers according to the data provided by Lufthansa and MEF. However, and

1585 Responses to question G.1 of questionnaire 04 to long-haul competitors. The Commission also analysed the response from one anonymous participant.

1586 Responses to question G.11 of questionnaire 04 to long-haul competitors.

1587 Responses to question H.2 of questionnaire 06 to short- and long-haul customers.

1588 The fact that ITA's entry is increasing overall capacity on this route which is likely to result in lower prices, as outlined by Air Canada in its observations on the SO (paragraphs 72 to 82) cannot be seen as evidence against the possibility that the Parties will be able to sustain higher prices on this route following the Transaction compared to the counterfactual scenario where Lufthansa (and its JV partners) remain independent competitors of ITA. In particular, after the Transaction, the Parties would have incentives to reduce their capacity on this route compared to the counterfactual scenario in order to sustain higher prices compared to what they could charge absent the Transaction.

contrary to the submission by Air Canada,[1589] the Commission's conclusion also applies when considering NTS passengers only. As outlined in paragraph (1601), the Parties' combined market shares remain above 50% in the summer season, even when considering NTS passengers only.[1590] In addition, the various further points that are relevant for the competitive assessment, as outlined by the Commission in section 10.3.1.4, equally apply if one considers NTS passengers as part of a separate market on this route, as proposed by Air Canada. Therefore, while the Commission's conclusion remains the same no matter the precise market definition, the concerns identified for a broader market including both TS and NTS passengers are even more severe when considering TS passengers as a separate market.

(1639) Based on the above, the concerns outlined above continue to be relevant under any plausible alternative market definition.

10.3.1.6. Conclusion

(1640) In light of the common considerations on long-haul routes explained in section 10.1, and in view of the above findings related in particular to Lufthansa's (including its JV partners') current high market share, the expected future increment in the Parties' joint market position following ITA's entry, the overall concentration level of the market, which is likely to further increase following ITA's expected direct entry on this route, the closeness of competition between the Parties, the limited competitive constraints imposed on the Parties from indirect flights, the existence of barriers to entry and the uncertainty with respect to likely sufficient entry or expansion on the city pair post-Transaction, the Commission concludes that the Transaction would significantly impede effective competition as a result of the creation or strengthening of a dominant position in relation to the Rome-Toronto city pair, in the Summer IATA season only, under any plausible market definition.

11. AIRPORT INFRASTRUCTURE SERVICES

11.1. Legal Framework

(1641) According to paragraph 36 of the Horizontal Merger Guidelines, *"some proposed mergers would, if allowed to proceed, significantly impede effective competition by leaving the merged firm in a position where it would have the ability and incentive to make the expansion of smaller firms and potential competitors more difficult or otherwise restrict the ability of rival firms to compete. In such a case, competitors may not, either individually or in the aggregate, be in a position to constrain the merged entity to such a degree that it would not increase prices or take other actions detrimental to competition. For instance, the merged entity may have such a degree*

1589 Air Canada's observations on the SO, dated 17 April 2024, paragraphs 7 to 15.

1590 With regards to Air Canada's claim that the Parties' combined market share for NTS passengers on this route is overstated because it does not include passengers that travel on this route indirectly via the purchasing of separate, non-interlined tickets (paragraph 35), this claim remains hypothetical and unsubstantiated, and has not received any support based on the results of the Commission's extensive market investigation. Even if such indirect passengers without interlining tickets constitute a significant proportion of overall demand on this route (for which the Commission has not received any relevant evidence), Air Canada has further not provided any relevant evidence that shows that the Parties' combined market share for such passengers is below that of its overall combined market shares on this route.

of control, or influence over, the supply of inputs or distribution possibilities that expansion or entry by rival firms may be more costly".[1591]

(1642) The Transaction raises competition concerns with respect to Milan Linate airport (LIN). Accordingly, the Commission will first assess whether the Transaction, by reinforcing the merged entity's slot holding at LIN and granting it broader access to its infrastructure, gives the merged entity the ability and incentive to prevent other carriers from getting access to airport infrastructure in LIN and therefore to the markets for the provision of passenger air transport services from LIN. The Commission will then analyse the overall effects of the merged entity's slot holding position on the ability of their rivals to compete in LIN.[1592]

11.2. Airports with respect to which the Transaction dose not raise concerns

(1643) The table below provides the Parties' market shares in terms of slot holding in the airports in which the Transaction gives rise to affected markets.

Table 76: The Parties' share of slot holding by airport

City	Airline	S21	W21	S22	W22	S23	W23
Brussels (BRU)	Lufthansa	44%	44%	46%	47%	49%	46%
	ITA	2%	2%	2%	2%	2%	2%
	Combined	46%	46%	48%	49%	51%	48%
Brindisi (BDS)	Lufthansa	7%	1%	8%	1%	8%	2%
	ITA	13%	21%	16%	27%	16%	26%
	Combined	20%	22%	24%	28%	24%	28%
Bari (BRI)	Lufthansa	5%	2%	6%	2%	6%	3%
	ITA	11%	16%	11%	20%	15%	22%
	Combined	16%	18%	17%	22%	21%	25%
Cagliari (CAG)	Lufthansa	5%	<0.5%	5%	<0.5%	5%	<0.5%
	ITA	30%	0%	11%	30%	24%	48%
	Combined	35%	<0.5%	16%	30%	29%	48%
Catania (CTA)	Lufthansa	7%	3%	7%	3%	7%	3%
	ITA	12%	14%	12%	18%	14%	16%
	Combined	19%	17%	19%	21%	21%	19%
Düsseldorf (DUS)	Lufthansa	48%	49%	49%	47%	49%	46%
	ITA	<0.5%	1%	1%	1%	1%	1%
	Combined	48%	50%	50%	48%	50%	47%
Rome (FCO)	Lufthansa	6%	7%	7%	6%	6%	5%
	ITA	44%	27%	29%	34%	29%	30%
	Combined	50%	34%	36%	40%	35%	35%
Florence (FLR)	Lufthansa	29%	28%	31%	29%	27%	24%
	ITA	0%	0%	3%	7%	7%	12%
	Combined	29%	28%	34%	36%	34%	36%
Frankfurt (FRA)	Lufthansa	69%	70%	71%	72%	71%	71%
	ITA	<0.5%	<0.5%	<0.5%	<0.5%	<0.5%	1%
	Combined	69%	70%	71%	72%	71%	72%
Genoa (GOA)	Lufthansa	7%	8%	9%	9%	7%	8%
	ITA	22%	21%	23%	34%	26%	38%
	Combined	29%	29%	32%	43%	33%	46%
Geneva (GVA)	Lufthansa	23%	20%	22%	21%	23%	22%
	ITA	1%	1%	1%	1%	1%	1%
	Combined	24%	21%	23%	22%	24%	23%

[1591] Guidelines on the assessment of horizontal mergers under the Council Regulation on the control of concentrations between undertakings, OJ C 31, 5 February 2017, p. 5.

[1592] Cases M.8869 – Ryanair/LaudaMotion, paragraph 507; M.8672 – EasyJet/Certain Air Berlin Assets, paragraph 92; M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 164.

City	Airline	S21	W21	S22	W22	S23	W23
Milan (LIN)	Lufthansa	8%	7%	8%	8%	8%	7%
	ITA	60%	53%	60%	64%	62%	57%
	Combined	68%	60%	68%	72%	70%	64%
Munich (MUC)	Lufthansa	73%	75%	75%	73%	72%	72%
	ITA	<0.5%	<0.5%	<0.5%	<0.5%	<0.5%	<0.5%
	Combined	73%	75%	75%	73%	72%	72%
Olbia (OLB)	Lufthansa	12%	1%	13%	0%	11%	1%
	ITA	19%	0%	8%	32%	0%	0%
	Combined	31%	1%	21%	32%	11%	1%
Palermo (PMO)	Lufthansa	4%	1%	5%	2%	6%	2%
	ITA	14%	15%	14%	20%	14%	20%
	Combined	18%	16%	19%	22%	20%	22%
Stuttgart (STR)	Lufthansa	50%	55%	55%	54%	55%	52%
	ITA	0%	0%	<0.5%	2%	1%	2%
	Combined	50%	55%	55%	56%	56%	54%
Lamezia Terme (SUF)	Lufthansa	7%	2%	9%	2%	8%	3%
	ITA	22%	24%	19%	24%	20%	28%
	Combined	29%	26%	28%	26%	28%	31%
Turin (TRN)	Lufthansa	5%	8%	9%	10%	11%	11%
	ITA	7%	5%	6%	10%	8%	10%
	Combined	12%	13%	15%	20%	19%	21%
Trieste (TRS)	Lufthansa	11%	14%	17%	20%	15%	14%
	ITA	33%	31%	32%	41%	38%	53%
	Combined	44%	45%	49%	61%	53%	67%
Venice (VCE)	Lufthansa	18%	17%	17%	16%	16%	16%
	ITA	4%	3%	2%	4%	3%	5%
	Combined	22%	20%	19%	20%	19%	21%
Zurich (ZRH)	Lufthansa	71%	68%	69%	68%	68%	68%
	ITA	1%	<0.5%	<0.5%	<0.5%	<0.5%	1%
	Combined	72%	68%	69%	68%	68%	69%

Source: Response to RFI-64, annex Q3-Q4 and response to RFI-64B – follow up.

(1644) The Commission first notes that participants in the Commission's market investigation did not raise concerns with respect to the airports noted in the table above. In addition, the Commission further notes the following with respect to each airport specifically: The Parties' combined market shares in BRI (22-25%), CTA (21%), GVA (21-24%); PMO (20-22%); TRN (20-21%) and VCE (20-22%) are below the ceiling under which it can be presumed that a Transaction is not liable to impede effective competition.[1593] The Parties' combined market shares in BDS (20-28%), OLB (21-32%), and SUF (26-31%) will remain well below the level that would typically raise competition concerns.[1594] In DUS, FRA MUC, and ZRH, the Transaction will not bring about a meaningful change to the Parties' position as it creates a negligible increment in slot holding (up to 1%). In BRU, the Transaction will give rise to a very modest increment of 2% in slot holding and the congestion level in BRU (30-50% depending on the season)[1595] is well below 60% and *prima facie* would not be problematic.[1596] In CAG, the Parties' combined market shares in the summer seasons (29-35%) remain below the level that would typically raise competition concerns. In the winter seasons the Transaction will not bring about a meaningful change to the Parties' position as it creates a negligible increment in slot

1593 Horizontal Merger Guidelines, recital 18.

1594 Horizontal Merger Guidelines, recital 17.

1595 Response to RFI-64B – follow up.

1596 Case M.8633 Lufthansa / Certain Air Berlin Assets, paragraph 196. On the relevance of congestion level to the analysis see paragraph (1644) below.

holding (<0.5%). In FCO, the Parties combined market share (34-35% in the past five seasons) will remain below the level that would typically raise competition concerns. The congestion level in FCO (36-44% depending on the season)[1597] is well below 60%, a level that is prima facie is not problematic. In FLR, the Parties combined market shares (28-36%) will remain below the level that would typically raise competition concerns. The congestion level in FLR (below 30%)[1598] is well below 60%, a level that is prima facie is not problematic. In GOA, the Parties' combined market share in the winter season (29-33%) will remain below the level that would typically raise competition concerns. The Parties' combined market shares in the summer season are higher (29-46%) but will remain below the level (50%) that gives rise to a presumption of dominance.[1599] In STR the Transaction will not bring about a meaningful change to the Parties' position as it creates a negligible increment in slot holding (up to 1%) in the summer season and a very modest increment (2%) in the winter season. The congestion level at STR (16-26%)[1600] is well below 60%, a level that is prima facie is not problematic. In TRS, the Parties' market share in terms of slot holding in the last three seasons was above 50% (53-67%) and the increment considerable (14-20%). However, TRS is not a coordinated airport,[1601] and its congestion level is therefore low. In these circumstances the Transaction is not likely to give rise to competition concerns in TRS.

11.3. Milan-Linate: The views of Lufthansa and MEF

(1645) Lufthansa and MEF argue that the merged entity would neither have the ability nor the incentive to foreclose their rivals because (i) it would still face strong competitors already operating successfully at LIN and (ii) the Transaction does not bring any aircraft increment as Lufthansa does not have an aircraft based at LIN.[1602]

(1646) In their responses to the Article 6(1)(c) Decision and to the SO, Lufthansa and MEF argued that the situation in LIN is not Transaction-specific because it derives mainly from ITA's pre-Transaction slot holding and that the Transaction will not bring a significant increment to ITA's position in LIN.[1603]

11.4. Milan-Linate: The Commission's assessment

11.4.1. Ability to foreclose

(1647) To be able to provide passenger air transport, an air carrier needs access to airport infrastructure. At congested airports, an air carrier must thus hold slots to operate routes from or to those airports. Lack of access to slots is therefore a barrier to an air carrier's ability to compete for passengers between an airport and the destinations served from the airport. An airline's slot holding at an airport provides a measure of its ability to compete on the passenger air transport markets to or from that airport.[1604] Air carriers holding a large slot portfolio may adopt practices aimed at preventing entry or expansion by other carriers at airports, such as predatory pricing,

---

1597 Response to RFI-64B – follow up.
1598 Response to RFI-64B – follow up.
1599 Horizontal Merger Guidelines, recital 17.
1600 Response to RFI-64B – follow up.
1601 Response to RFI-64B, question 2.
1602 Form CO, paragraphs 1685-1686.
1603 Response to the Article 6(1)(c) decision, paragraphs 317-318; Response to the SO, paragraph 636, first and second bullet points.
1604 Case M.8633 – Lufthansa/Certain Air Berlin assets, paragraphs 165-166.

"slot hoarding",[1605] "slot babysitting",[1606] or use of their "slot shuffling power"[1607] to engage in exclusionary conduct.[1608]

(1648) For the merged entity to be able to foreclose its competitors post-Transaction, the following conditions must be fulfilled: (i) the slots that the merged entity would hold post-Transaction represent a significant share of the airport capacity, in particular at peak times; (ii) the Transaction has a material impact on the merged entity's slot holding at the airport, in particular at peak times; and (iii) the merged entity's slot holding could negatively affect the overall availability of slots as an input for the passenger air transport markets to or from the relevant airport.[1609] Condition (iii) requires that (a) the airport at which the merged entity would hold a large portfolio of slots does not have sufficient available capacity (i.e. its level of congestion is high); and (b) the airports considered as substitutable by air carriers do not have sufficient available capacity either.[1610] The Commission will support this analysis with evidence from market participants and internal documents of the Parties on the strength of the position of the Parties in LIN and about the ability of the merged entity to engage in foreclosure strategy in LIN post-Transaction.

11.4.1.1. Condition (i): ITA and Lufthansa enjoy a very high slot holding in LIN

(1649) According to the information provided by the slot coordinator of LIN, in the last four IATA seasons, ITA enjoyed very high slot holding in LIN representing more than half of the available slots. ITA is by far the largest slot holder in LIN, Lufthansa being the second with 6.7-6.9% of available slots.[1611]

Table 77: Share of slot holding in LIN (out of total technically available slots[1612] in operating hours)

Airline	S22	W22/23	S23	W23/24
ITA Airways	54.8%	55%	53.5%	55%
Lufthansa Group	6.9%	6.8%	6.9%	6.7%
Parties Combined	61.7%	61.8%	60.4%	61.7%
easyJet	5.6%	6.4%	5.5%	6.3%
Air France-KLM	5.1%	4.8%	4.8%	4.8%
IAG	4.8%	5%	4.8%	5.2%
Aeroitalia	-	1.3%	2.3%	4.8%
Wizz Air	1.3%	3.3%	3.3%	2.6%

1605 "Slot hoarding" involves the operation of small aircraft and/or low load factors in order to keep slots rather than lose them under the "use-it-or-lose-it" principle.

1606 "Slot babysitting" involves the transfer of slots to non-competing airlines, such as partner airlines within an airline group or an alliance before shifting them to uses that are more profitable.

1607 "Slot shuffling power" refers to the ability to move a flight to a timing close to the timing operated by a competitor or envisaged by a new entrant.

1608 Cases M.8964 Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 427; M.8633 – Lufthansa/Certain Air Berlin Assets, paragraphs 169.

1609 Cases M.9287 - Connect Airways / Flybe, paragraph 442 and 445; M.8964 Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 405; M.8869 - Ryanair/LaudaMotion, paragraph 508; M.8672 – EasyJet/Certain Air Berlin Assets, paragraphs 99, 102; M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 182.

1610 Cases M.8633 – Lufthansa/Certain Air Berlin assets, paragraphs 183; M.8672 - EasyJet/Certain Air Berlin Assets, paragraph 103; M.8633 – Lufthansa/Certain Air Berlin Assets, paragraphs 183.

1611 Response to RFI-24, question 2 and annex Q2. See also non-confidential minutes of conference call with EasyJet, 24 October 2023, paragraph 16, ID 1054.

1612 Technically available slots is the theoretical number of slots that could be allocated. In practice, limitations related to the use of slots reduce the real number of available slots. Although the table show 11-18% non-allocated slots, LIN is in fact completely congested (see section 11.4.1.3 below).

Airline	S22	W22/23	S23	W23/24
Volotea	3.2%	0.6%	-	-
Others	3.3%	0.8%	1.2%	5.6%
Not allocated	15%	16%	17.7%	11%
total	100%	100%	100%	100%

Source: Response to RFI to Assoclearance (ID 11751) and response to RFI II-2 to Assoclearance (ID 11918).

(1650) Information provided by the Parties shows the same situation. The information in the table below was provided by the Parties based on available public sources. As can be seen, there are small differences between the information in this table and the information in the previous table with respect to slot holding and congestion during operating hours. The Commission considers the information provided by Assoclearance to be more accurate since as slot coordinator it has the complete information. Nevertheless, the information provided by the Parties confirm that they hold about 60% of technically available slots in LIN during operating hours, increasing to at least 65% during peak hours and at least 80% (up to 100%) in the highest holding hour.

Table 78: Average slot holding of Lufthansa and ITA in LIN

Summer 2022			
	Operating hours	**Peak hours[1613]**	**Highest holding 06:00 – 06:59 UTC**
ITA	51%	58%	77%
Lufthansa	7%	7%	6%
Combined	**58%**	**65%**	**83%**
Congestion rate	76%	89%	92%
Winter 2022			
	Operating hours	**Peak hours[1614]**	**Highest holding 16:00 – 16:59 UTC**
ITA	51%	62%	83%
Lufthansa	6%	6%	17%
Combined	**57%**	**68%**	**100%**
Congestion rate	77%	87%	100%
Summer 2023			
	Operating hours	**Peak hours[1615]**	**Highest holding 16:00 – 16:59 UTC**
ITA	50%	60%	55%
Lufthansa	7%	7%	28%
Combined	**57%**	**67%**	**83%**
Congestion rate	77%	89%	98%

[1613] According to Lufthansa and MEF in Summer 2022, peak hours were considered to be from 05:00 to 06:59 UTC, from 08:00 to 09:59 UTC and from 16:00 to 17:59 UTC. Form CO, paragraph 1641 and response to RFI-25, question 6.

[1614] According to Lufthansa and MEF in Winter 2022, peak hours were considered to be the hour bands 06:00 to 13:59 UTC, 16:00-16:59 UTC and from 20:00 to 20:59 UTC. Form CO, paragraph 1654 and response to RFI-25, question 6.

[1615] According to Lufthansa and MEF in Summer 2023, peak hours were considered to be the hour bands 05:00 to 06:59 UTC, 09:00-09:59 UTC, 14:00-14:59 UTC and from 16:00 to 18:59 UTC. Form CO, paragraph 1666 and response to RFI-25, question 6.

Winter 2023			
	Operating hours	**Peak hours[1616]**	**Highest holding 16:00 – 16:59 UTC**
ITA	50%	60%	83%
Lufthansa	7%	7%	22%
Combined	**57%**	**67%**	**94%**
Congestion rate	77%	78%	98%

Source: response to RFI-21 Annex 1; response to RFI-22, question 9; response to RFI-46.

11.4.1.2. Condition (ii): the Transaction has a material impact on the merged entity's slot holding at the airport, in particular at peak times.

(1651) The Transaction will bring together the number 1 and number 2 slot holders in LIN with an increment of around 6 to 7% in slot holding during operating hours and peak hours. This increment cannot be considered a negligible increment. For completeness, the Commission observes that a similar increment was considered in previous case as a significant increment that raised competition concerns.[1617] As a result of the Transaction, the competitive pressure exerted by the second largest competitor operating in LIN (that is, Lufthansa as an independent competitor to ITA) will be eliminated. In addition, the larger number of slots would provide the merged entity with reinforced slot shuffling power allowing it more possibilities and flexibility in exercising that power. In addition, hoarding and babysitting tactics could be applied to a larger number of slots, withholding a larger share of slots from competitors.

11.4.1.3. Condition (iii)(a) LIN is a highly congested airport

(1652) Traffic at Linate airport started to be restricted in the year 2000 when the city built a new terminal at the old Malpensa Airport to develop it into a big international airport. In order to facilitate the development of the new airport, the Italian Government started introducing limitations with Ministerial Decree no. 15 of 3 March 2000, with respect to which destinations could be served from Linate, imposing limits on capacity and frequencies. Throughout the years those restrictions have been progressively modified. The current limitation can be broadly summarised as follows:

(a) 18 scheduled commercial movements per hour.

(b) Only flights with narrow body or single aisle aircraft type are allowed.

(c) Only scheduled point-to-point flights in the European Union or to airports located within a radius of 1 500 km.

(1653) According to Lufthansa and MEF, LIN is a highly congested airport with technical utilisation rates above 75% during operating hours and close to 90% during peak hours. However, as explained by Lufthansa and MEF, restrictions on the allocation

[1616] According to Lufthansa and MEF in winter 2023, peak hours were considered to be the hour bands 06:00-13:59, 16:00-16:59 and 20:00-20:59. response to RFI-46.

[1617] In a previous case the Commission considered an increment of 5-8% to have material impact on the merged entity's slot holding. Commitments offered by Lufthansa to limit the increment to 3% were rejected because the increment was considered still material and brought Lufthansa's total slot holding after the Transaction to 52%, resulting in a dominant slot holding position for Lufthansa at Duesseldorf airport and allowing it to prevent the entry and expansion of competitors at that airport (Case M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 203-205 and 309).

of the technically available slots lead to the conclusion that in practice no capacity is currently available in LIN with the exception of weekends.[1618]

(1654) Carriers confirmed this conclusion. One carrier explained that it has been trying to establish a presence in LIN since 2017 and never managed to obtain slots during weekdays but only during weekends. The carrier explained that "*the availability of LIN week-day slots is a question of competitiveness for the airline"*. The carrier tried to operate weekend slots in order to *"stabilise its offer"* in LIN but had to give them back "*as they were of no commercial value in attracting demand from business customers."*[1619]

(1655) A second carrier reported a similar experience where slots granted in LIN for Winter 2020 and Summer 2021 were not operated because they *"did not provide the capability for us to launch a long-term successful route of LIN. If we had used these slots, our presence would have been subscale and uncompetitive."*[1620]

(1656) A third carrier explained that "*LIN is an airport where slots are especially hard to access. LIN is a congested and slot constrained airport, and there has been little churn, unlike at other airports."*[1621] A fourth carrier explained that it "*applied for slots in Milan LIN under the normal seasonal procedure as it does every season, however, it has not been able to change the times it already has or to obtain new slots."*[1622] A fifth carrier added that "*ITA has a significant slot portfolio in Milan LIN, which is both highly congested and highly regarded by business travellers."*[1623]

(1657) As can be seen in the table below, according to the information provided by the Italian slot coordinator, Assoclearance, in each of Summer 2022, Winter 2022, Summer 2023 and Winter 2023, very few slots were available, mostly in the weekends.[1624] They were available only in the following three hour windows: about half of the slots were available during the first hour window early in the morning, 6% in one hour window in the afternoon (14:00, 15:00 and 12:00 UTC respectively) and 6-17% in one hour window in the evening. Overall, the congestion rate in Linate is above 95%, and 100% at the peak hours as identified by Lufthansa and MEF.[1625]

1618 Form CO, paragraph 1682. Although LIN has nominally 18 slots (arrival and departure) per hour, additional restrictions apply: (1) there are additional limits specifically for arrivals or departures (14 arrivals/departures each per hour); (2) there are limits for shorter intervals within each hour (6 slots per 20 minutes); (3) there are limits in apron/parking stand capacity; (4) there are terminal capacity limitations; (5) limitation to a maximum 600 Non-Schengen departing passengers per hour; (6) there are further slot limitations during specific times.

1619 Non-confidential minutes of conference call with Luxair, 9 June 2023, paragraphs 3-5, ID 430.

1620 Response to RFI II-1 to Ryanair, question 34.c., ID 11267.

1621 Non-confidential minutes of conference call with EasyJet, 24 October 2023, paragraph 16, ID 1054.

1622 Non-confidential minutes of conference call with Wizz Air, 22 September 2023, paragraph 17, ID 861.

1623 Non-confidential minutes of conference call with Air France-KLM, 16 October 2023, paragraph 13, ID 10199.

1624 Response of Assoclearance to the questionnaire to slot coordinators, annex 3_E1_2_LIN, ID 6129.

1625 See footnotes 1618 - 1621.

Table 79: Available slots in LIN during operating hours[1626]

Hour (UTC)		Share of available slots[1627]		
	Summer 2022	Winter 2022	Summer 2023	Winter 2023
04:00	56%	N/A*	55%	N/A*
05:00	0%	50%	0%	44%
06:00	0%	0%	0%	0%
07:00	0%	0%	0%	0%
08:00	0%	0%	0%	0%
09:00	0%	0%	0%	0%
10:00	0%	0%	0%	0%
11:00	0%	0%	0%	0%
12:00	0%	0%	6%	6%
13:00	0%	0%	0%	0%
14:00	6%	0%	0%	0%
15:00	0%	6%	0%	0%
16:00	0%	0%	0%	0%
17:00	0%	0%	0%	0%
18:00	0%	0%	0%	6%
19:00	0%	0%	0%	0%
20:00	17%	0%	11%	0%
21:00	0%	11%	0%	6%
22:00	N/A*	0%	N/A*	0%
Total available slots	4%	4%	4%	3%

Source: response of Assoclearance to questionnaire 02 to slot coordinators, annex 2 (question D.9), ID 6130 and response to RFI II-3 to Assoclearance, ID 11989.

**N/A = non-operational hour.*

11.4.1.4. Condition (iii)(b): congestions at substitutable airports

(1658) As explained in section 6.10 above, the Commission will examine the effects of the Transaction in a market for airport infrastructure services encompassing LIN alone and therefore not considering other airports as substitutable. There are therefore no other substitutable airports to consider.

1626 The information was provided on a seasonal basis without differentiating between the days of the week. As explained in paragraphs (973) - (974) above, the available slots were in fact only during the weekends.

1627 Since the technical capacity of LIN is 18 slots per hour, each slot represents approximately 5.5% of hourly capacity.

11.4.1.5. Market participants raise foreclosure concerns with respect to LIN

(1659) Market participants raised concerns with respect to the position of the merged entity and its ability to foreclose. Their statements lend support to the findings in sections 11.4.1.1 - 11.4.1.4 above that show that post-Transaction the merged entity will have the ability to foreclose competitors in LIN.

11.4.1.5.1. The position of Lufthansa and ITA in LIN

(1660) The large majority of carriers responding to the question,[1628] were of the view that considering ITA's slot holding per airport, the congestion levels LIN and the alternative (substitutable) airports available, ITA already holds a dominant position in LIN.[1629] Almost half of the carriers expressing a view said that this position caused their company or other carriers to deprioritize or exit the airport in the past.[1630]

(1661) The large majority of carriers responding to the question considered that the Transaction would improve the market position of Lufthansa and ITA in this airport, resulting in the creation or strengthening of a dominant position to the detriment of competition.[1631] One carrier explained that "*Lufthansa Group will add 8.7% to the 57% capacity share controlled by ITA on the EEA flights from LIN airport, strengthening its dominant position. Other competitors are not allowed to add frequencies as the airport is totally capped. This would create unsustainable levels of concentration, to the detriment of competitors that will no longer be able to compete with the Merged Entity for traffic to/from this unique and highly valuable airport."*[1632] Another carrier added that *"ITA are approximately 60% of capacity at LIN. Lufthansa Group account for a further 7%. In total this will equate to over two thirds of capacity at LIN. This will have a chilling affect* [sic] *on competition, resulting in less choice and higher price on consumers. Their dominant market share substantially inhibits the development of low cost competitors which impacts customers."*[1633] This was also the position of the LIN airport manager, saying that "*As the Transaction (Merger) will involve the consolidation and coordination of Capacity, Schedule, Pricing, Inventory management between the two airlines,* ***which at LIN will have a dominant position in terms of slots*** *at LIN it might effect* [sic] *the time sensitive passengers which is predominant."* [emphasis added].[1634]

(1662) Almost half of respondents among short-haul competitors expressing an opinion were of the view that the joint market position of Lufthansa and ITA post-Transaction may cause them or other carriers to deprioritize or exit the airport.[1635] Neos, for example, stated that *"in order for itself as well as other competitors to be*

1628 The analysis focuses on short-haul carriers because LIN is a short-haul airport (MXP is the long-haul airport of Milan). Long-haul carriers are generally not active in LIN and therefore will not be affected by the situation post-Transaction is LIN. These carriers expressed less concern regarding the Transaction with respect to LIN, as reflected in responses to questions E.1 – E.6 of questionnaire 04 to long-haul competitors.

1629 Responses to question G.2 of questionnaire 03 to short-haul competitors. See also Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraphs 10 and 12, ID 11599.

1630 Responses to question G.4-3 of questionnaire 03 to short-haul competitors.

1631 Responses to question G.3 of questionnaire 03 to short-haul competitors.

1632 Response of Air France-KLM to question G.3.h) of questionnaire 03 to short-haul competitors, ID 12093.

1633 Response of Ryanair to question G.3.h) of questionnaire 03 to short-haul competitors.

1634 Response of S.E.A to question D.E.2 of questionnaire 01 to airport managers.

1635 Responses to question G.4-5 of questionnaire 03 to short-haul competitors.

able to continue being competitive in Milan post-Transaction, Lufthansa cannot be dominant in LIN."[1636]

11.4.1.5.2. The merged entity's ability to foreclose

(1663) The large majority of respondents among short-haul competitors considered that each of the Parties' or their combined slot-portfolio constitutes or would constitute a barrier to entry and expansion for short-haul competitors post-Transaction.[1637] Neos, for example, stated that *"if Lufthansa and ITA keep the same percentage of slots in LIN post-Transaction, it would be more difficult for other carriers to compete on routes like Milan – Frankfurt, or Milan – Hamburg."*[1638]

(1664) <u>First</u>, the holding of a significant share of slots in LIN, a highly congested airport, restricts the number of carriers and their operations. The Transaction would exacerbate this situation by concentrating an even larger share of slots in the hands of the merged entity and reducing further the number of carriers operating in the airport (by merging two carriers into one). As explained by S.E.A, the airport manager of LIN, *"[Lufthansa] and ITA joint activities at LIN will restrict further the access to slots"*.[1639] The Commission considers that this will follow not only from the reduced number of carriers operating in LIN but also because of the increased ability of the merged entity to engage in foreclosure tactics as explained further below.

(1665) Air France-KLM, for example, explained with respect to low cost carriers that "*if an operator such as Lufthansa has a significant presence in an airport, it would probably make it difficult for a low-cost carrier to operate on a point-to-point basis from that airport (e.g., because most likely Lufthansa will hold a significant share of the slots that are attractive to low-cost carriers, those being the ones during the morning peak hours and the late evening hours, as well as the fact that, a flag carrier, in order to serve its network, use its high slot capacity to offer many frequencies to its destinations, making an entry for a low-cost carrier less attractive). This is likely to be the case at LIN and possibly at FCO."*[1640]

(1666) <u>Second</u>, respondents explained that the remaining slots will not allow carriers to operate on a sustainable scale. One carrier explained for example that "*Post-Transaction, Wizz Air estimates that the merged entity will have approx. 69% of Linate's slots, and therefore, even if Wizz Air obtains a small number of slots, it will not be able to compete with the merged entity in routes to/from Milan meaningfully, risking the creation of a similar situation to that of Frankfurt and/or Munich, where no carrier can compete with Lufthansa due to its strong and well established presence in those airports. In this context, Wizz Air explains that, even if a small number of slots are given to a new entrant in order for them to enter a specific route, this will likely not to be possible on the routes where the merged entity will be active at, due to the latter's significant slot holding.*[1641] Wizz Air added that a large slot

---

1636 Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraph 12, ID 11599.

1637 Responses to question G.4-1 of questionnaire 03 to short-haul competitors.

1638 Non-confidential minutes of a conference call with NEOS, dated 16 February 2024, paragraph 13, ID 11599.

1639 Response of S.E.A to question F.1 of questionnaire 01 to airport managers.

1640 Non-confidential minutes of conference call with Air France-KLM, 16 October 2023, paragraph 27, ID 10199; Response of Ryanair to question G.4-2 of questionnaire 03 to short-haul competitors; Non-confidential minutes of conference call with Luxair, 9 June 2023, paragraph 11, ID 430.

1641 Non-confidential minutes of conference call with Wizz Air, 22 September 2023, paragraph 19.b, ID 861. See also Condor's Observations of 12 December 2023, paragraph 31, ID 11270, stating in more

holding by the merged entity in LIN would deny other carriers sufficient slots at attractive times throughout the day to enable sufficient scale of operation. By contrast, the slot holding of the merged entity would allow it flexibility in operating multiple schedule and route combination that would translate into a competitive advantage over other carriers.[1642]

(1667) Third, respondents raised concerns that "*the significant slot portfolios of these airlines at hubs mean that Lufthansa group can react strongly to entry / expansion on the routes where it is active by competitors.*"[1643] In that respect respondents raised the concern that the merged entity will be able to engage in slot shuffling.[1644] One carrier for example opined that *"post-Transaction the merged entity will have the ability to launch e.g., several time a day a "shadow service" on a specific route (dump capacity), thereby making it impossible for competitors to successfully launch their own services, which would ultimately negatively impact competition."*[1645] Wizz Air added that a carrier may employ such tactic even if the flights are unprofitable in the short term because of the long term benefits it may enjoy from the lack of competition.[1646] This view is confirmed by a Lufthansa internal document stating that the proposed strategies against LCCs are *"[…]."*[1647]

(1668) Ryanair opined that *"it would be relatively straight-forward for the merged entity to inhibit competitors in LIN. The merged entity could coordinate its pre-merger schedules so that its market share on routes from LIN increases, whilst at the same time rationalising the total number of routes that it offers. It can then redirect those freed up slots into growth on other routes and attack its competitors."*[1648]

(1669) Fourth, respondents raised concerns based on past and current behaviour regarding the ability of the merged entity to engage in slot hoarding. One carrier noted a statement of Lufthansa's CEO in 2022 that it operated 18 000 additional and unnecessary flights in winter only to secure Lufthansa's slots during the winter season 2022.[1649] Carriers noted that *"according to press articles, about a third of ITA LIN slots are loss-making for ITA but are still operated beyond the 80% utilisation rate so ITA can keep the slots, thus having the effect of foreclosing competitors from Milan's most strategic airport"*.[1650]

---

general terms that "*the significant market shares at all airports mentioned above* [that is, the Parties' hub airports, including LIN] *are also not likely to be challenged by competitors because competitors will not be able to obtain slots."*

1642 Response to RFI II-1 to Wizz Air, question 26.a., ID 11311.

1643 Non-confidential minutes of conference call with Ryanair, 10 October 2023, paragraph 18, ID 2367. See also Condor's Observations of 12 December 2023, paragraph 31, ID 11270, stating that competitors "*will fear the merged entity's response to market entry or expansion."*

1644 See footnote 1612 above.

1645 Non-confidential minutes of conference call with Wizz Air, 22 September 2023, paragraph 19.b, ID 861 and the Response to RFI II-1 to Wizz Air, question 26.a., ID 11311. See also Response of Condor to question G.4-2 of questionnaire 03 to short-haul competitors; Condor's Observations of 12 December 2023, ID 11270, paragraph 39. See also, response to the RFI to Luxair, response to question 1.a., page 3, ID 11174.

1646 Response to RFI II-1 to Wizz Air, question 27, ID 11311.

1647 Lufthansa internal document *"[…]"*.

1648 Response to RFI II-1 to Ryanair, question 27.a.., ID 11267.

1649 Response to the RFI to Luxair, question 7, ID 11174, and response to RFI II-1 to Air France-KLM, question 41 (ID 11426). The Parties, noting this point in their Response to the SO did not contest it. Their response, referring to several types of conduct noted in the SO, was that they are not prohibited by the regulatory framework applicable to the use of slots; Response to the SO, paragraphs 643 et seq.

1650 Response to RFI II-1 to Air France-KLM, question 36.a. (ID 11426).

(1670) In that respect, respondents explained that *"owning slots at most or all hours of the day enable the carrier to block some additional capacity, for example, by distributing the 80-20 rule* [1651] *across their large portfolio"*[1652] providing the carrier, in effect, with another mean of hoarding slots rather than returning them to the pool.

(1671) […] also raised the concern that post-Transaction the merged entity could *"[…]."*[1653] According to […], [1654] Internal documents of the Parties also confirm this concern (see section 11.4.1.6 below).

(1672) <u>*Fifth*</u>, a carrier explained that "*price dumping by Lufthansa on short-haul routes can be cross-subsidised by the long-haul part of a journey which Lufthansa realises through feeding its hubs and long-haul flights from these hubs."*[1655] This concern is particularly relevant to LIN as the Commission notes that there are already indications that post-Transaction the merged entity will use LIN to connect long-haul passengers to its hubs rather than using MXP for direct long-haul flights.[1656]

(1673) Dumping practices could also mean "capacity dumping", by increasing the frequency of flights in order to squeeze out competitors. Wizz Air explained that *"in the case of* [Berlin Tegel]*, Lufthansa transitioned to an hourly service for all domestic routes following Easyjet's acquisition of Air Berlin slots. This change also saw the introduction of additional Eurowings services. As for DUS, there was a significant increase in Eurowings' capacity to ensure the maintenance of a dominant position in the market. In LIN, ITA has not fully utilized all available slots and appears to be relying on minimum service guarantees to Sardinia."*[1657]

(1674) <u>*Sixth*</u>, concerns were also raised that the merged entity may use its position as the largest slot holder to influence airport decisions to foreclose competitors. A carrier argued that "*under the Airport Charges Directive, airports must consult with airlines on changes to charges. How the consultation is done depends on the airport, and may not always be by majority vote, but a proposal to increase costs can only realistically be resisted if the most important users object. If Lufthansa accepts increases in charges at airports where it has a significant share, then it is inevitable they will go through. In airports where Lufthansa holds the majority of slots (e.g., FRA and MUC), there will be no resistance to charges increases at that airport from users, because it is in Lufthansa's interest to keep costs high in order to keep other potential other – including low-cost – airlines, like Ryanair, out of these airports. Ryanair notes that the same principle applies across all airports where the Airport Charges Directive applies."*[1658] Ryanair provided several examples with respect to which it argues that Lufthansa did not challenge the increase in airport charges

---

1651 The "80:20" or "use-it-or-lose-it" rule set in Regulation (EEC) No 95/93 on common rules for the allocation of slots at European Union airports (slot regulation), requires airlines to operate slots at least 80 percent of the time to retain the right to use them in the upcoming equivalent season.

1652 Response to RFI II-1 to Wizz Air, question 26.a., ID 11311. See also response to the RFI to […], question 1.a., ID 11199.

1653 Response to the RFI to […], question 1.a., ID 11199.

1654 Response to the RFI to […], question 1.b., ID 11199.

1655 Non-confidential minutes of conference call with Ryanair, 10 October 2023, paragraph 18, ID 2367.

1656 For example, […]. See also Condor's Observations of 12 December 2023, paragraphs 23 and 24, ID 11270. The airport manager of both LIN and MXP also believes that *"in general terms the new entity will re-direct former direct flows and connectivity at MXP through indirect connectivity via the Hubs of the new entity, to the detriment of consumer interests."* Response of S.E.A to question F.1 of questionnaire 01 to airport managers.

1657 Email of Wizz Air of 5 March 2024, ID 11591.

1658 Non-confidential minutes of conference call with Ryanair, 10 October 2023, paragraph 23, ID 2367.

although Ryanair and other carriers did challenge them.[1659] According to Ryanair the increase in airport charges led it to close its base in BRU keeping there only limited operations and to cease all operations in FRA.[1660]

(1675) In their Response to the SO the Parties did not contest the factual elements in Ryanair's statements according to which Lufthansa did not oppose increases in airport charges and that as a result of such increases Ryanair had to cut down on its operations is BRU and FRA. The Parties explained that airport charges cannot be regarded as instruments used by carriers since they are set by the airport and approved by Independent Supervisory authority. Furthermore, high airport costs are a disadvantage for Lufthansa and therefore it has no economic incentive to support them.[1661]

(1676) The Commission notes that even if the decision regarding the level of airport charges is not at the hands of Lufthansa, its support (or non-opposition) for increase in the level of charges in the airports in which it is the main user (that is, customer) may facilitate the adoption of such decision by the airport. Because of their business model, low-cost carriers are more sensitive to high airport charges than Lufthansa. Ryanair explained and the Parties did not contest, that it had to decrease activities in some airports due to increased airport charges. The Commission considers, therefore, that Lufthansa may have in fact an interest in higher airport charges if they would result in foreclosing low-cost carriers and decrease competition in an airport.

11.4.1.6. Internal documents confirm the Parties' ability to foreclose

(1677) The Commission notes that in a past case relating to Lufthansa it was found, based on Lufthansa's internal documents, [information about Lufthansa's internal documents].[1662] [Information about Lufthansa's internal documents].[1663]

(1678) Internal documents submitted in the context of the current case demonstrate that [information about Lufthansa's internal documents].

Figure 88

[Information about Lufthansa's internal documents]

Source: Lufthansa internal document […].

(1679) A presentation on [information about Lufthansa's internal documents][1664] [information about Lufthansa's internal documents].[1665] [Information about Lufthansa's internal documents]. The presentation [information about Lufthansa's internal documents].

Figure 89

[Information about Lufthansa's internal documents]

Lufthansa internal document […].

1659 BRU, FRA, CGN, Copenhagen, Helsinki, Tallinn, Prague, Dublin; Response to RFI II-1 to Ryanair, question 30.a., ID 11267.

1660 Response to RFI II-1 to Ryanair, question 30.b., ID 11267.

1661 Response to the SO, paragraph 639.

1662 [confidential – Lufthansa's internal document]"

1663 Case M.8633 – Lufthansa / Certain Air Berlin Assets, paragraphs 175-181 (non-public version).

1664 Lufthansa internal document […].

1665 Lufthansa internal document […].

Figure 90

[Information about Lufthansa's internal documents]

Lufthansa internal document […].

(1680) In a presentation on [information about Lufthansa's internal documents].[1666]

(1681) An internal presentation (see Figure 91 below) referring to [information about Lufthansa's internal documents].[1667]

Figure 91

[Information about Lufthansa's internal documents]

Source: Lufthansa internal document […].

(1682) Another Lufthansa internal document about [Lufthansa's internal document]:

Figure 92

[Information about Lufthansa's internal documents]

Source: […].

(1683) Internal documents also show that ITA [details of ITA's strategies]. For example, in an internal document of ITA it is suggested [details of ITA's strategies].[1668] Internal documents of both Parties note that […]. A Lufthansa document notes […][1669] and ITA […].[1670]

(1684) In a recent document, ITA states that *"[details of ITA's plans]."*[1671] The Commission understands [details of ITA's plans], showing how post-Transaction the merged entity could protect its dominant position in LIN. Furthermore, in the absence of a timely clearance of the Transaction by the Commission, [details of ITA's plans]. Furthermore, in the absence of a timely clearance of the Transaction by the Commission, [details of ITA's plans].

(1685) Other internal documents suggest that ITA [details of ITA's strategies].[1672]

(1686) Internal documents show that ITA […][1673] [1674]

(1687) In the Response to the SO, the Parties argue that *"there is a regulatory framework for obtaining and maintaining slots, within which the airlines are free to act and – if they legally and legitimately do so – such behaviour can hardly be interpreted as a relevant anti-competitive behaviour."*[1675] This argument cannot be accepted. Competition concerns for the purpose of merger control may arise when the actions of the merged entity may lead to foreclosure. The fact that certain actions are permitted under the regulatory framework applicable to slots, does not mean that

---

1666 Lufthansa internal document *"[…]"*.
1667 Lufthansa internal document *"[…]"*.
1668 ITA internal document *"[…]"*.
1669 Lufthansa internal document *"[…]"*.
1670 ITA internal document, *"[…]"*.
1671 ITA internal document, *"Linate W23 - Back up plan"*, dated July 2023, page 2, ID 10421-039731. See also Lufthansa internal document, *"[…]"*.
1672 ITA internal email exchange of *"[…]"*.
1673 Email exchange […].
1674 Internal ITA email […]; email exchange […].
1675 Response to the SO, paragraph 644.

they cannot be considered as anti-competitive when they may result in foreclosure.[1676]

(1688) The Parties also argued that the internal documents of Lufthansa relate to […] in airports with respect to which the Commission did not find that Lufthansa held dominant position and therefore cannot be interpreted as *"anti-competitive"* (the Commission understands that the Parties allude to abuse of dominant position). Consequently, the Commission cannot rely on them to find that post-Transaction the merged entity would have the ability to foreclose competitors in LIN.[1677]

(1689) This argument also cannot be accepted. The analysis above raised the concern that post-Transaction the merged entity will have the ability to foreclose competitors in LIN based on the strength of the slot holding position of the merged entity post-Transaction in LIN, the material impact of the Transaction on this position and the congestion level at LIN. The internal documents of Lufthansa reviewed above reinforce these concerns showing that these are not merely theoretical concerns but that there are concrete examples in which Lufthansa was indeed able to use its slot holdings in several airports to successfully foreclosure competitors. The Commission is not required in addition to form a view whether those examples were *"anti-competitive"* or an abuse of Lufthansa's dominant position in the airports concerned.

11.4.1.7. Counter-strategies

(1690) In their Response to the SO the Parties also argued that carriers could relocate to other airports in the same catchment area in reaction to higher airport charges.[1678] However, as explained in section 6.10 above, the relevant market for airport infrastructure services is LIN alone and the other Milan airports, MXP and BGY, are not substitutable. Consequently, relocation to MXP or BGY is not a relevant counterstrategy.

(1691) In more general terms, as observed by the Commission in previous cases, there are limited effective and timely counter-strategies that Lufthansa's competitors would be likely to deploy in case of foreclosure strategy by Lufthansa. There is no possibility for an air carrier to be less reliant on access to airport infrastructure or to sponsor the expansion of airport capacity or the opening of new airports.[1679]

11.4.1.8. Conclusions

(1692) Based on the high combined slot holding of Lufthansa and ITA in LIN, the high congestion at LIN and the views of market participants, and internal documents showing past behaviour of the Parties, the Commission finds that the Transaction is likely to create or strengthen a dominant slot holding position for the merged entity in LIN resulting in the ability for the merged entity to foreclose its competitors.

1676 If fact, Article 8b of Council Regulation (EEC) No 95/93 on common rules for the allocation of slots at Community airports, explicitly states that the rules on the allocation of slots therein are without prejudice to the powers of public authorities to require the transfer of slots between air carriers and to direct how these are allocated pursuant the requirement of competition law.

1677 Response to the SO, paragraphs 648-652.

1678 Response to the SO, paragraph 640.

1679 Cases M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 184; M. 8672 – easyJet / Certain Air Berlin assets, paragraph 104; M.8869 – Ryanair/Laudamotion, paragraphs 318 and 510; M.9287 – Connect Airways/Flybe, paragraph 444; and M. 8964 Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 407.

11.4.2. Incentive to foreclose

(1693) A dominant carrier at a relevant airport would in principle have a strong incentive to pursue a foreclosure strategy, as any new service or expansion by another carrier would be likely to introduce or increase competition on one of the dominant carrier's routes. Such a dominant carrier would have a greater incentive than any other carrier at the airport to keep slots out of reach of other carriers. The incentive to foreclose would also grow with the increased size of the slot portfolio it would control at the airport.[1680]

(1694) Therefore, the Commission needs to analyse (i) the market shares of the merged entity in the relevant passenger air transport markets; and (ii) the relative capacity constraints faced by the merged entity and its competitors.[1681]

(1695) In the specific framework of its assessment of the merged entity's incentives to foreclose other air carriers' access to airports, the Commission will take account of its share on the market for passenger air transport at LIN and the merged entity's fleet deployed in that airport.[1682]

(1696) *First*, as can be seen in Table 116 below, in terms of market shares at LIN in number of passengers, ITA represented more than half of the passengers. The Transaction will increase this share by about 7%, represented by Lufthansa. The Commission considers that, those market shares may be sufficient to give an incentive to the merged entity to engage in a foreclose strategy.[1683]

Table 80: Market shares in number of passengers in LIN

	Summer 2022	**Winter 2022**	**Summer 2023**
ITA	55.9%	58.6%	52%
Lufthansa	7.3%	7%	7.2%
Combined	63.2%	65.6%	59.2%

Source: Response to RFI-22, Table 2.

(1697) *Second*, in terms of capacity and capacity constraints, ITA is the only carrier with a base[1684] at LIN with 27 aircraft.[1685] In addition, as described in section 11.4.1, due to the lack of available slots at LIN, the competitors of the merged entity would be prevented from expanding their capacity or starting operations at LIN with a sufficient scale to operate efficiently and compete effectively with the merged entity.[1686]

(1698) As a consequence, given the merged entity's large passenger air transport capacity in LIN, it may be able to capture the part of the demand from foreclosed competitors,

1680 Case M.9287 – Connect Airways / Flybe, paragraph 454; M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 425; M.8869 – Ryanair/LaudaMotion, paragraph 529; M.8672 – EasyJet/Certain Air Berlin Assets, paragraph 143; M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 266.

1681 Cases M.9287 – Connect Airways / Flybe, paragraph 455; M.8672 – EasyJet/Certain Air Berlin Assets, paragraph 142; M.8633 – Lufthansa/Certain Air Berlin assets, paragraph 267.

1682 Case M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 268.

1683 Compare, Case M.8633 – Lufthansa/Certain Air Berlin assets, paragraphs 271-272.

1684 An airline base is an airport where an airline permanently bases aircraft and crew and from where it operates routes.

1685 Response to RFI-22, question 8.

1686 Compare, Case M.8633 – Lufthansa/Certain Air Berlin Assets, paragraphs 275.

giving it an additional incentive to foreclose access to the markets for the provision of passenger air transport services.[1687]

(1699) In addition, evidence from internal documents of the Parties, reviewed in section 11.4.1.6 above, shows that the Parties engaged successfully in the past in foreclosure strategies and indicates their intention to continue with such practices, including with respect to LIN. It can be concluded from these documents that the merged entity will have the incentive to engage in foreclosure strategy in LIN post-Transaction.

(1700) In their Response to the SO the Parties did not challenge the finding above and limited their response to stating that "*the Proposed Transaction… does not materially change the Parties' incentive to foreclose competitors in LIN.*"[1688] The Commission notes however that the Transaction will bring about a significant increment of about 7% in terms of slots and number of passengers which the merged entity would have an interest to protect and therefore increase its the incentive to foreclose.

11.4.3. Overall effect

(1701) Effective competition would be significantly harmed if the foreclosed air carriers played a sufficiently important role in the competitive process on the passenger air transport markets from and to the overlap airport. The higher the proportion of carriers which would be foreclosed on these markets, the more likely it would be that the merger would result in a significant price increase in the passenger air transport markets and, therefore, to significantly impede effective competition therein.[1689]

(1702) On that basis, the Commission will assess whether the creation or strengthening of the merged entity's dominant slot holding position at LIN post-Transaction would result in less effective competition for passenger air transport from or to LIN.

(1703) As noted in section 11.4.1.1, ITA is by far the largest slot holder in LIN and Lufthansa is the second largest slot holder in LIN with a smaller slot holding compared to ITA. The slot holding of the merged entity post-Transaction will be significantly larger than those of its competitors in LIN, which hold a small and fragmented share of slots.

(1704) The Commission notes that, when an air carrier holds a significant slot portfolio at a given airport while the remaining slot holding is very fragmented and slots are held by a large number of small air carriers, the latter are unable to translate these slots into a viable alternative to dominant air carriers.[1690]

(1705) As indicated by the results of the market investigation reviewed in section 11.4.1.5 above, the significant difference in slot holdings and deployed capacity (ITA is the only carrier with a base in LIN, with 27 aircraft) already means that ITA's competitors are not likely to have a sufficiently large portfolio of slots and capacity

---

1687 Compare, Case M.8633 – Lufthansa/Certain Air Berlin Assets, paragraphs 276.

1688 Response to the SO, paragraph 637.

1689 Cases M.9287 – Connect Airways / Flybe, paragraph 456; M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 429; M.8869 – Ryanair/LaudaMotion, paragraph 534; M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 278.

1690 Cases M.9287 – Connect Airways / Flybe, paragraph 457; M.8964 – Delta / Air France-KLM / Virgin Group / Virgin Atlantic, paragraph 431; M.8869 – Ryanair / LaudaMotion, paragraph 536; M.8672 – easyJet/Certain Air Berlin Assets, paragraph 161; M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 285.

to react to any anti-competitive behaviour by ITA.[1691] As explained by several competitors and LIN's airport manager in section 11.4.1.5.2 above, the Transaction is likely to make the situation even we worse since the merged entity will have a materially stronger slot holding in LIN post-Transaction.

(1706) Furthermore, this situation will not be likely to change. As noted in section 11.4.1.3 above, LIN is highly congested. Competitors of the merged entity are therefore not likely to have access to additional slots that would allow viable entry or expansion of their activities in LIN.

(1707) In light of the above, given that the Transaction may result in a disadvantage for their rivals by further increasing barriers to enter or expand at LIN, and that the competitors of the merged entity could be foreclosed. the Commission raises the concern that the dominant slot holding position of the merged entity would likely have a significant detrimental effect on competition in the markets for the provision of passenger air transport services at LIN.

11.5. Conclusion

(1708) The Commission finds that, as a result of its dominant slot holding position at LIN, the merged entity would have the ability and incentive post-Transaction to foreclose access of its competitors to the markets for the provision of passenger air transport services at LIN, leading to anti-competitive effects on the markets for the provision of passenger air transport services from and to LIN. On that basis, the Commission concludes that the Transaction is likely to significantly impede competition was a result of the creation or strengthening of a dominant position in the market for airport infrastructure services in LIN

12. MARKETS WHERE THE TRANSACTION DOES NOT SIGNIFICANTLY IMPEDE EFFECTIVE COMPETITION

12.1. Competitive assessment – horizontal short-haul direct-direct overlap (future)

(1709) As described in sections 9.2 (current direct-direct overlaps) and 9.3 above (future direct-direct overlaps), the Commission has found a significant impediment of effective competition on the direct-direct overlap routes Milan – Brussels, Milan – Düsseldorf, Milan – Frankfurt, Rome – Frankfurt, Rome – Munich, Rome – Zurich, Rome – Hamburg, Milan – Hamburg, Rome – Brussels, and Milan – Vienna. The Commission considers that on the remaining direct-direct overlap route (future), the Transaction would not result in a significant impediment of effective competition. This relates to the future overlap on the route Rome-Vienna.

12.1.1. Rome – Vienna

12.1.1.1. Market structure

(1710) The market structure on the route Rome – Vienna in terms of passengers transported is set out in Table 81 below.

[1691] Compare, Case M.8633 – Lufthansa/Certain Air Berlin Assets, paragraph 287.

Table 81: Rome-Vienna market shares by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1692]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways *[CIA-BTS]*	<1%	-	-	-	-	-
Lufthansa Group *[FCO-VIE]*	23%	20%	35%	30%	28%	30%
Parties Combined	**23%**	**20%**	**35%**	**30%**	**28%**	**30%**
Ryanair	62%	55%	32%	43%	49%	44%
[CIA-BTS]	9%	15%	<1%	9%	6%	7%
[CIA-VIE]	31%	-	-	-	-	-
[FCO-VIE]	22%	40%	32%	35%	43%	37%
Wizz Air *[FCO-VIE]*	14%	26%	33%	27%	23%	26%
Delta HHI	4	-	-	-	-	-
Post HHI	4 637	4 030	3 338	3 490	3 710	3 521
Total Pax City Pair	**150 245**	**91 758**	**256 427**	**168 821**	**365 926**	**138 788**

Source: IATA passenger data, RFI 50 Annex 100.

(1711) The market structure on the route Rome-Vienna in terms of capacity (number of seats operated) is set out in Table 82 below.

Table 82: Rome-Vienna market shares by capacity (number of seats operated) (direct air services only)

Airline	S21	W21/22	S22	W22/23	S23	W23/24	S24
ITA Airways	<1%	-	<1%	-	-	-	-
[BTS-CIA]	<1%	-	-	-	-	-	-
[BTS-FCO]	-	-	<1%	-	-	-	-
Lufthansa Group *[FCO-VIE]*	38%	29%	44%	39%	35%	33%	33%
Parties Combined	**38%**	**29%**	**44%**	**39%**	**35%**	**33%**	**33%**
Ryanair	49%	48%	27%	37%	42%	40%	47%
[BTS-CIA]	5%	10%	<1%	7%	5%	6%	6%
[CIA-VIE]	25%	-	-	-	-	-	-
[FCO-VIE]	19%	37%	27%	30%	37%	34%	41%
Smartwings *[BTS-FCO]*	-	-	<1%	-	-	-	-
Wizz Air *[FCO-VIE]*	13%	24%	29%	24%	22%	26%	20%
Other *[FCO-VIE]*	-	-	-	-	<1%	-	-
Delta HHI	*5*	*0*	*8*	*0*	*0*	*0*	*0*
Post HHI	*4 017*	*3 652*	*3 496*	*3 467*	*3 528*	*3 428*	*3 692*
Total Seats City Pair	***216 226***	***144 899***	***344 676***	***206 580***	***466 925***	***271 422***	***492 458***

Source: IATA passenger data, RFI 31, Q8.

[1692] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023, and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

(1712) On the Rome – Vienna city pair, the following plausible alternative geographic market definitions exist in line with the market definition findings on the catchment areas:

(a) On the Rome end of the route FCO and CIA belong to one catchment area (See section 6.5.3.9 above).

(b) On the Vienna end of the route VIE and BTS may belong to one catchment area or VIE may be considered as a separate market from BTS (See section 6.5.3.11 above).

(1713) The Commission's assessment below considers the plausible market definition where the overlap between the Parties' activities would be most pronounced, namely where VIE would constitute a separate market from BTS. Therefore, the market shares and assessment outlined below reflect this plausible definition.

(1714) However, the assessment below would remain applicable even in case the market would be defined more widely, encompassing also BTS on the Vienna end of the route. The Commission notes that, in case BTS on the Vienna end of the route would be included in the catchment area, the market share of the Parties would be smaller and that of its rival Ryanair would be larger. On this basis, the reasons why the Transaction does not significantly impede effective competition on the route would be amplified due to the increased presence of Ryanair, the slightly reduced market share of Lufthansa and slightly reduced potential future market share of ITA, and the reduced barriers to entry and expansion arising from the increase in the number of airports included in the market. In addition, there would be no need to assess the BTS-Rome routes separately, as there would be no potential overlap between the Parties.

(1715) The market shares of the Parties and their competitors under this narrower plausible alternative (and narrowest possible) market definition, i.e., FCO and CIA on the Rome end, and VIE on the Vienna end of the route, are set out in Table 83 below.

Table 83: Rome-Vienna market shares for the narrowest plausible alternative market definition by passenger (direct air services only) in the IATA seasons from Summer 2021 to Winter 2023/2024[1693]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
Lufthansa Group	25%	23%	35%	33%	29%	32%
Parties Combined	**25%**	**23%**	**35%**	**33%**	**29%**	**32%**
Ryanair	59%	47%	32%	38%	46%	40%
Wizz Air	16%	30%	33%	29%	25%	28%
Delta HHI	-	-	-	-	-	-
Post HHI	4 356	3 634	3 338	3 372	3 580	3 412
Total Pax City Pair	**137 100**	**78 438**	**256 073**	**154 285**	**345 000**	**129 202**

Source: IATA passenger data, RFI 50 Annex 100.

[1693] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available for November 2023, December 2023 and January 2024. This table therefore does not include 2 months of passenger data for Winter 2023/2024 (namely February 2024 and March 2024).

12.1.1.2. Lufthansa and MEF's view

(1716) Lufthansa and MEF submit that Lufthansa (Austrian Airlines), Ryanair and Wizz Air are the main airlines operating the route Rome-Vienna. The Parties explain that the merged entity would face strong competition from Ryanair and Wizz Air, as shown by the market shares gained by Ryanair between Summer 2022 and Summer 2023 to Lufthansa's detriment. In this context, the Parties note that Ryanair increased its capacity over Summer IATA 2024. Moreover, both airlines are aiming at increasing their footprint in Italy. Finally, Lufthansa and MEF submit that no slot restriction exists on either side of the Rome-Vienna route for potential new entrants.[1694] In response to the Commission's Article 6(1)(c) Decision Lufthansa and MEF have added that the Commission (i) should perform a route-specific closeness of competition assessment, (ii) should consider the airport of operation of Lufthansa, its competitors and ITA, and (iii) did not make an accurate interpretation of Lufthansa's internal documents.[1695] In their Response to the SO, the Parties refer to their argumentation with regard to Milan-Vienna also for the route Rome-Vienna. The Parties add that the competitive pressure is even higher on the route Rome-Vienna compared to Milan-Vienna due to the presence of Wizz Air. In addition, the Parties refer to frequency increases by Ryanair, Wizz Air's alleged intention to remain active in VIE, and internal documents of Lufthansa which show that […].[1696]

(1717) Lufthansa and MEF further submit that the future overlaps, including Milan – Vienna were identified in the Form CO based on the list of routes included in ITA's business Plan for 2023-2027 and are subject to changes.[1697] Moreover, in relation to whether ITA would enter the Milan – Vienna route absent the Transaction, Lufthansa and MEF submit that absent the Transaction, ITA should reconsider the possibility of entering exactly because, in such a case, the assumptions underlying the 2023-2027 Business Plan would not be valid anymore and ITA could not rely on the expected synergies from being part of the Lufthansa group.[1698] Finally, Lufthansa and MEF argue that Ryanair's strong (and expanding) market position on the route demonstrates that the competitive pressure exerted by the latter is significant and should eliminate concerns of potential loss of potential competition on the route.[1699]

12.1.1.3. The Commission's assessment

(1718) For a merger with a potential competitor to have significant anti-competitive effects, two basic conditions must be fulfilled. First, the potential competitor must already exert a significant constraining influence or there must be a significant likelihood that it would grow into an effective competitive force. Evidence that a potential competitor has plans to enter a market in a significant way could help the Commission to reach such a conclusion. Second, there must not be a sufficient number of other potential competitors, which could maintain sufficient competitive pressure after the merger.

(1719) These conditions are not fulfilled in the present case.

1694 Form CO, paragraphs 1522-1531.

1695 Response to the Article 6(1)(c) decision, paragraph 232-236. This view was reiterated in Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 28-29.

1696 Response to the SO, paragraphs 258, 466-472.

1697 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraph 27.

1698 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 30-31.

1699 Parties' Observations on the Second Letter of Facts, dated 14 May 2024, paragraphs 25-16

(1720) While on the one hand, the evidence shows that ITA has concrete plans to enter the route (at VIE at the Vienna end of the route) and that Lufthansa currently holds a sizeable market share on the Rome-Vienna route, the Commission considers that ITA does not already exert a significant constraining influence on Lufthansa and that there is not a significant likelihood that ITA would grow into an effective competitive force on the route, for the following reasons.

(1721) First, Lufthansa is currently facing competition from two competing airlines, Ryanair and Wizz Air. Assessing the market FCO-VIE, where the overlap between the Parties would be most pronounced, Ryanair held a market share of 40% in the Winter IATA Season 2023/2024 and 46% in the Summer IATA Season 2023. Wizz Air held a market share of 28% in the Winter IATA Season 2023/2024 and 25% in the Summer IATA Season 2023.

(1722) Second, while the two competitors are ULCCs, they operate from the same airports at both ends of the route as the Parties, namely VIE and FCO airports. This means that the offer in terms of airports served will be identical between the three remaining competitors (the merged entity, Ryanair, Wizz Air).

(1723) Moreover, the Commission notes that, while the majority of competitors active on short-haul routes and expressing an opinion considered that the impact of the Transaction on potential competition or future competition on routes between Italy on the one hand and Germany, Austria, Belgium and/or Switzerland on the other hand would be negative, the views of customers on the impact of the Transaction on potential competition or future competition on routes between Italy on the one hand and Germany, Austria, Belgium and/or Switzerland on the other hand are overall mixed and inconclusive.

(1724) In view of the significant presence of two competing carriers on this route, coupled with the inconclusive results of the market investigation, the Commission concludes that, all these elements considered, the Transaction would not significantly impede effective competition on the route Rome – Vienna by removing the potential competition exerted by ITA on the market.

12.2. Competitive assessment – horizontal short-haul direct-indirect overlaps (current)

12.2.1. Introduction

(1725) In the following sections the Commission will describe the (i) direct-indirect overlaps, which do not raise competition concerns, followed by (ii) indirect-indirect overlaps for the winter IATA seasons, and lastly the purely (meaning in both IATA seasons) indirect-indirect overlaps.

12.2.2. Direct-indirect overlaps

(1726) As regards to the direct-indirect routes, as explained in section 9.4 above, the Commission considers that the Transaction will significantly impede effective competition on 8 direct-indirect short-haul routes from, from Brindisi to Düsseldorf ('BDS – DUS'), from Bari to Frankfurt ('BRI – FRA'), from Bari to Munich ('BRI – MUC'), from Bari to Hamburg ('BRI – HAM'), from Naples to Frankfurt ('NAP – FRA'), from, from Naples to Düsseldorf ('NAP – DUS'), from Naples to Hamburg ('NAP – HAM'), from Cagliari to Munich ('CAG – MUC').

(1727) The Commission considers that on the remaining 45 direct-indirect overlap routes (see section 9.4), the Transaction would not result in a significant impediment of effective competition.

(1728) Of these 45 routes, 38 relate to current overlaps on the following city pairs: Olbia – Brussels ('OLB – BRU'), Olbia – Düsseldorf ('OLB – DUS'), Olbia – Frankfurt ('OLB – FRA'), Olbia – Munich ('OLB – MUC'), Olbia – Stuttgart ('OLB – STR'), Olbia – Zurich ('OLB – ZRH), Naples – Stuttgart ('NAP-STR'), Rome – Stuttgart ('ROM – STR'), Brindisi – Stuttgart ('BDS – STR'), Lamezia Terme – Stuttgart ('SUF – STR'), Palermo-Stuttgart ('PMO – STR'), Bari – Zurich ('BRI – ZRH'), Cagliari – Düsseldorf ('CAG – DUS'), Lamezia Terme – Frankfurt ('SUF – FRA'), Munich – Tunis (MUC – TUN'), Naples-Brussels ('NAP – BRU'), Naples-Zurich ('NAP – ZRH'), Palermo-Brussels ('PMO – BRU'), Florence – Brussels ('FLR – BRU'), Trieste – Munich ('TRS – MUC'), Brindisi – Munich ('BDS – MUC'), Cagliari – Zurich ('CAG – ZRH'), Cagliari – Hamburg ('CAG – HAM'), Catania – Hamburg ('CTA – HAM'), Catania – Frankfurt ('CTA – FRA'), Catania – Munich ('CTA – MUC'), Lamezia Terme – Düsseldorf ('SUF – DUS'), Lamezia Terme – Zurich ('SUF – ZRH'), Palermo – Geneva ('PMO – GVA'), Rome – Florence ('FLR – ROM'), Bologna – Zurich ('BLQ – ZRH'), Genoa – Munich ('GOA – MUC'), Palermo – Hamburg ('PMO – HAM'), Milan – Geneva ('MIL – GVA'), Genoa – Frankfurt ('GOA – FRA'), Florence – Geneva ('FLR – GVA'), Catania – Brussels ('CTA – BRU'), and Palermo – Frankfurt ('PMO – FRA').

(1729) The remaining 7 routes relate to future overlaps on the following city pairs: Rome – Pristina ('ROM – PRN'), Bologna – Naples ('BLQ – NAP'), Naples – Stockholm ('NAP – STO'), Lamezia Terme – Hanover ('SUF – HAJ'), Nice – Prague ('NCE – PRG'), Prague – Valencia ('PRG – VLC'), and, Verona – Copenhagen ('VRN – CPH').

(1730) Finally, as explained in section 9.4 above, on the following 6 routes, the Commission considers that the Transaction will only result in a significant impediment of effective competition on one of the two IATA Seasons. In particular, the Commission considers that the Transaction will not result in a significant impediment of effective competition on: Bari – Frankfurt ('BRI – FRA') for the Summer IATA Season only, Brindisi – Düsseldorf ('BDS – DUS') for the Winter IATA Season only, Cagliari – Munich ('CAG – MUC') for the Winter IATA Season only, Naples – Hamburg ('NAP – HAM') for the Winter IATA Season only, Naples – Düsseldorf ('NAP – DUS') for the Summer IATA Season only, and, Bari – Hamburg ('BRI-HAM') for the Winter IATA Season only.

12.2.2.1. Routes where ITA ceased to operate

(1731) Table 84 below lists the routes to/from Olbia where activities of the Parties overlapped until Winter 2023/2024.

Table 84

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Olbia-Brussels (OLB-BRU)	21W	11	10500	100%	0%	100 %	100%	10000	0	no direct competition
	22S	15105		22%	9%	56%	66%	5427	1049	['Tui Group (33%)']
	22W	499		100%	99 %	1%	100%	10000	198	no direct competition
	23S	10001		29%	0%	98%	98%	9532	0	no direct competition
	23W	6		100%	0%	100 %	100%	10000	0	no direct competition

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Olbia-Düsseldorf (OLB-DUS)	21W	62	110961	100%	0%	100%	100%	10000	0	no direct competition
	22S	128452		3%	0%	61%	61%	4515	6	['Condor Flugdienst (22%)' 'Corendon Group (17%)']
	22W	409		55%	30%	60%	90%	8157	3588	no direct competition
	23S	110552		3%	0%	79%	79%	6649	0	['Condor Flugdienst (21%)']
	23W	46		100%	0%	100%	100%	10000	0	no direct competition
Olbia-Frankfurt (OLB-FRA)	21W	29	49463	100%	0%	100%	100%	10000	0	no direct competition
	22S	47557		3%	0%	38%	38%	5275	8	['Condor Flugdienst (62%)']
	22W	542		91%	87%	13%	99%	9817	2171	no direct competition
	23S	48921		5%	0%	48%	48%	5000	0	['Condor Flugdienst (52%)']
	23W	16		100%	0%	100%	100%	10000	0	no direct competition
Olbia-Munich (OLB-MUC)	21W	375	58975	1%	0%	99%	99%	9737	0	no direct competition
	22S	59806		1%	0%	68%	68%	5651	36	['Condor Flugdienst (32%)']
	22W	481		37%	29%	67%	96%	9280	3925	no direct competition
	23S	58494		2%	0%	64%	64%	4831	0	['Condor Flugdienst (23%)' 'Marabu\xa0Airlines (12%)']
	23W	134		5%	0%	100%	100%	10000	0	no direct competition

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Olbia-Stuttgart (OLB-STR)	21W	416	43151	6%	0%	100%	100%	10000	0	no direct competition
	22S	46076		2%	0%	82%	82%	7040	11	['Condor Flugdienst (18%)']
	22W	657		18%	16%	84%	100%	9909	2630	no direct competition
	23S	42494		2%	0%	100%	100%	9945	0	no direct competition
	23W	198		2%	0%	100%	100%	10000	0	no direct competition
Olbia-Zurich (OLB-ZUR)	21W	1099	117793	1%	0%	1%	1%	9766	0	['Easyjet (99%)']
	22S	98724		1%	0%	32%	33%	5583	9	['Easyjet (67%)']
	22W	127		100%	87%	12%	98%	9689	2046	no direct competition
	23S	117666		1%	0%	29%	29%	5885	0	['Easyjet (71%)']
	23W	2		100%	0%	100%	100%	10000	0	no direct competition

Source: IATA passenger data, RFI 50 Annex 100.

(1732) The Commission does not consider that the Transaction will result in a significant impediment of effective competition on these routes, because ITA ceased its operations in Olbia in February 2023, upon expiration of a public service obligation ("PSO") that ITA has been awarded in order to operate routes from OLB to ROM and MIL (and thus, enabled the operation of the indirect connections listed in Table 84 above). [Information on ITA's PSO tender participation].[1700] . […][1701] .

(1733) Therefore, the Commission considers that the possibility for a significant impediment to effective competition on these routes because of the Transaction is improbable and/or unlikely to occur.

12.2.2.2. Routes where ITA will cease to operate

(1734) Table 85 lists the routes to/from Stuttgart where ITA will cease to operate as of 2024.

[1700] Form CO, paragraphs 56-58; and, Response of Lufthansa and MEF to a Commission's request for information (RFI 38), question 20.

[1701] Response of Lufthansa and MEF to a Commission's request for information (RFI 38), question 20.

Table 85

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Brindisi-Stuttgart (BDS-STR)	21W	466	19784	4%	0%	97%	97%	9455	83	no direct competition
	22S	16442		4%	1%	99%	100%	9996	145	no direct competition
	22W	2140		79%	73%	26%	100%	9991	3893	no direct competition
	23S	17644		10%	5%	95%	100%	10000	1002	no direct competition
	23W	1239		82%	77%	22%	100%	9952	3461	no direct competition
Lamezia-terme-Stuttgart (SUF-STR)	21W	676	54066	3%	0%	2%	2%	9479	0	['Ryanair (97%)']
	22S	35651		1%	0%	40%	40%	5195	22	['Ryanair (60%)']
	22W	1538		31%	28%	4%	31%	5683	199	['Ryanair (69%)']
	23S	52528		2%	2%	38%	40%	5192	175	['Ryanair (60%)']
	23W	1196		44%	42%	2%	44%	5065	170	['Ryanair (56%)']
Naples-Stuttgart (NAP-STR)	21W	10929	69407	10%	0%	99%	99%	9763	0	no direct competition
	22S	50300		7%	0%	98%	99%	9785	88	no direct competition
	22W	18769		23%	6%	91%	97%	9356	1097	no direct competition
	23S	50638		11%	4%	95%	100%	9928	808	no direct competition
	23W	9850		23%	14%	85%	98%	9665	2291	no direct competition
Palermo-Stuttgart (PMO-STR)	21W	812	63146	19%	1%	17%	18%	6847	29	['Ryanair (81%)']
	22S	60068		3%	0%	27%	28%	5979	18	['Ryanair (72%)']
	22W	2996		47%	32%	33%	65%	5435	2098	['Ryanair (35%)']
	23S	60150		6%	4%	26%	29%	5783	187	['Ryanair (70%)']
	23W	1478		100%	82%	17%	100%	9933	2870	no direct competition
Rome-Stuttgart (ROM-STR)	21W	23166	94438	8%	0%	98%	98%	9642	12	no direct competition
	22S	53706		14%	1%	96%	97%	9486	273	no direct competition
	22W	27057		21%	4%	91%	95%	9076	816	no direct competition
	23S	67381		13%	4%	93%	98%	9549	800	no direct competition
	23W	15503		24%	7%	89%	95%	9117	1204	no direct competition

Source: IATA passenger data, RFI 50 Annex 100

(1735) NAP-STR, ROM-STR, BDS-STR, SUF-STR and PMO-STR are routes where Lufthansa offers direct connections via Eurowings, and where ITA offers indirect connections through LIN. Thus, one leg of the above-mentioned routes is MIL-STR, whereas the second leg is an Italian domestic flight from NAP, ROM, BDS, SUF and PMO respectively, to LIN.

(1736) The Commission does not consider that the Transaction will result in a significant impediment of effective competition on these routes, because of […]. Upon […], the Transaction will no longer result in direct/indirect overlaps between the activities of the Parties on these routes. (For more information see section 9.2.5 above).

12.2.2.3. Routes of potential competition

(1737) Table 86 lists the direct/indirect routes where the activities of the Parties might overlap in the future.[1702]

Table 86

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Bologna-Naples (BLQ-NAP)	21W	6	12310	100%	17%	83%	100%	10000	2778	no direct competition
	22S	156		100%	9%	6%	15%	6960	104	no direct competition
	22W	519		18%	1%	1%	2%	3643	1	['Aeroitalia (42%)' 'Flexflight (40%)']
	23S	11791		6%	3%	0%	3%	3263	0	['Aeroitalia (26%)' 'Flexflight (24%)' 'World Ticket Ltd (45%)']
	23W	778		25%	25%	0%	25%	6256	0	['Neos (75%)']
Lamezia-terme-Hanover (SUF-HAJ)	21W	28	1242	100%	0%	54%	54%	5026	0	no direct competition
	22S	1316		86%	0%	84%	84%	7282	76	['Corendon Group (14%)']
	22W	65		100%	25%	69%	94%	8845	3408	no direct competition
	23S	1177		100%	1%	98%	98%	9682	116	no direct competition
	23W	118		100%	4%	90%	94%	8884	761	no direct competition

[1702] The table includes certain limited market shares which appear to show overlaps, however these appear to be temporary and very limited operations (potentially representing fewer than one flight in terms of passengers).

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Naples-Stockholm (NAP-STO)	21W	3302	26210	100%	-	89%	89%	-	-	no direct competition
	22S	23980		75%	-	62%	62%	-	-	['Sas (25%)']
	22W	3646		100%	-	87%	87%	-	-	no direct competition
	23S	22564		76%	-	55%	55%	-	-	['Sas (24%)']
	23W	2443		100%	-	91%	91%	-	-	no direct competition
Nice-Prague (NCE-PRG)	21W	5681	35829	100%	-	72%	72%	-	-	no direct competition
	22S	24675		51%	-	41%	41%	-	-	['Smartwings (49%)']
	22W	8027		100%	-	87%	87%	-	-	no direct competition
	23S	27802		55%	-	44%	44%	-	-	['Smartwings (45%)']
	23W	6691		100%	-	78%	78%	-	-	no direct competition
Prague-Valencia (PRG-VLC)	21W	5118	42936	100%	-	71%	71%	-	-	no direct competition
	22S	22948		31%	-	22%	22%	-	-	['Smartwings (67%)']
	22W	7499		97%	-	67%	67%	-	-	['Smartwings (3%)']
	23S	35437		25%	-	19%	19%	-	-	['Smartwings (75%)']
	23W	8754		48%	-	31%	31%	-	-	['Smartwings (51%)']
Rome-Pristina (ROM-PRN)	21W	3615	962	19%	-	18%	18%	-	-	['Wizz Air (81%)']
	22S	22229		2%	-	2%	2%	-	-	['Wizz Air (98%)']
	22W	437		100%	-	87%	87%	-	-	no direct competition
	23S	525		100%	-	74%	74%	-	-	no direct competition
	23W	164		100%	-	70%	70%	-	-	no direct competition

Source: IATA passenger data, RFI 50 Annex 100.

(1738) The Commission concludes that the Transaction does not lead to a significant impediment of effective competition on the routes sited in Table 86 above, for the following reasons.

(1739) *First*, in relation to route **BLQ-NAP,** ITA does not operate a direct connection**.** Instead, it only operates an indirect flight of a minimum duration of 3 hours. Lufthansa does not operate a direct connection on this route either and there is no evidence on the Commission's file indicating entry on the route by Lufthansa with a direct connection. Moreover, the Commission notes that the city pair is served by direct train connection offered by Trenitalia, of a duration of approximately 3h30minutes – 4 hours.[1703] The direct train connection offered by Trenitalia is falls below the 3 – 4 hours threshold that the Commission's market investigation suggested as exercising competitive pressure on flights. Therefore, the Commission considers that even post-Transaction, the combined entity will face significant competitive pressure from these direct train connections.

(1740) Therefore, in light of the existence of a convenient direct train connection, as well as the lack of evidence of entry by either of the Parties with a direct connection on the route, the Commission considers that the possibility for a significant impediment to effective competition on this route as a result of the Transaction is improbable and/or unlikely to occur.

(1741) *Second*, as of Summer IATA 2024, Lufthansa will operate direct flights on the routes **SUF-HAJ, NAP-STO, NCE-PRG**, and **PRG-VLC**. However, ITA does not currently offer any direct nor indirect flights connecting these city pairs, and, in any event, according to its business plan for the next 3 years, […].[1704]

(1742) Therefore, the Commission considers that a significant impediment to effective competition on these routes as a result of the Transaction is improbable and/or unlikely to occur.

(1743) *Third*, on the route **ROM-PRN**, neither Lufthansa nor ITA operates direct flights. In particular, ITA has no flight to PRN from either Rome or Milan, whereas […].[1705]

(1744) *Fourth,* with regard to future direct-indirect overlaps, in its past decisional practice with regards to short-haul indirect flights, the Commission noted that "*indirect flights do not generally provide a competitive constraint to direct flights absent exceptional circumstances, for example, the direct connection does not allow for a one-day return trip or the share of indirect flights in the overall market is significant.*"[1706] In in the present case, and with regard to the routes listed in Table 86, in the absence of any specific plans to enter these routes, the Commission does not have any elements to assess whether the other party potentially is in a position to operate one of these routes indirectly in the future.[1707]

(1745) Therefore, the Commission considers that the possibility for a significant impediment to effective competition on these routes as a result of the Transaction is improbable and/or unlikely to occur.

1703 For an example of Trenitalia's train offering on route Naples – Bologna, see ID 13824 which consists of a snapshot if Trenitalia's website, demonstrating available train options for 17 April 2024.

1704 Response of Lufthansa and MEF to a Commission's request for information (RFI 40), question 2(b) and RFI 3 - ITA Annex 34 - Table Q11(c).

1705 Response of Lufthansa and MEF to a Commission's request for information (RFI 29), question 37; and Response of Lufthansa and MEF to a Commission's request for information (RFI 40), question 2(b).

1706 M.9287 – Connect Airways/Flybe, decision dated 05 July 2019, paragraph 57.

1707 According to the Parties' submissions, "*there is no strategic development of indirect connections on short haul routes which are rather a side-effect of a carrier's network operation". See* response of Lufthansa and MEF to a Commission's request for information (RFI 40), question 2(b).

12.2.2.4. Routes of low combined market share, with another direct competitor active

(1746) The Commission concludes that the possibility for a significant impediment to effective competition on the routes listed in Table 87 below as a result of the Transaction is improbable and/or unlikely to occur.

Table 87

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Bari-Zurich (BRU-ZUR)	21W	7222	51372	12%	9%	2%	11%	7868	38	['Easyjet (88%)']
	22S	44159		5%	3%	21%	24%	3405	114	['Easyjet (39%)' 'Wizz Air (36%)']
	22W	13674		14%	11%	3%	14%	7544	64	['Easyjet (86%)']
	23S	37698		13%	8%	20%	28%	5737	324	['Easyjet (70%)']
	23W	9948		23%	17%	4%	21%	6374	134	['Easyjet (77%)']
Cagliari-Düsseldorf (CAG-DUS)	21W	1213	74058	2%	0%	2%	2%	9612	0	['Neos (98%)']
	22S	69100		4%	0%	44%	44%	4867	22	['Neos (2%)' 'Ryanair (54%)']
	22W	1885		37%	34%	9%	43%	4948	599	['Ryanair (56%)']
	23S	72173		4%	1%	37%	38%	5166	104	['Ryanair (61%)']
	23W	2069		69%	66%	1%	66%	5375	76	['Ryanair (31%)']
Florence-Brussels (FLR-BRU)	21W	48042	243657	9%	0%	9%	9%	8127	0	['Ryanair (90%)']
	22S	135792		5%	0%	30%	30%	5716	28	['Ryanair (69%)']
	22W	61010		12%	1%	11%	12%	7699	30	['Ryanair (87%)']
	23S	182647		4%	0%	22%	22%	6455	20	['Ryanair (77%)']
	23W	47433		10%	2%	7%	9%	8186	26	['Ryanair (90%)']
Lamezia-terme-Frankfurt (SUF-FRA)	21W	11280	33771	8%	8%	0%	8%	8484	2	['Ryanair (92%)']
	22S	31259		9%	8%	40%	47%	4898	603	['Condor Flugdienst (52%)' 'Ryanair (1%)']
	22W	16134		10%	10%	0%	10%	8201	8	['Ryanair (90%)']
	23S	17637		25%	21%	5%	26%	5720	214	['Condor Flugdienst (71%)' 'Ryanair (2%)' 'Tui Group (1%)']
	23W	12200		15%	15%	1%	15%	7382	23	['Ryanair (85%)']

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Munich-Tunis (MUC-TUN)	21W	10794	70884	12%	0%	23%	23%	5539	2	['Tunisair (71%)']
	22S	32815		14%	2%	41%	44%	4424	204	['Tunisair (50%)']
	22W	19543		13%	2%	28%	30%	5026	137	['Tunisair (64%)']
	23S	51341		7%	1%	24%	24%	3362	26	['Nouvelair Tunisie (26%)' 'Tunisair (45%)']
	23W	18289		4%	1%	19%	20%	3532	49	['Nouvelair Tunisie (45%)' 'Tunisair (33%)']
Naples-Brussels (NAP-BRU)	21W	38182	202544	19%	8%	12%	20%	5803	196	['Easyjet (6%)' 'Ryanair (73%)']
	22S	137129		7%	3%	36%	39%	4631	203	['Ryanair (56%)' 'Tui Group (5%)']
	22W	43124		24%	13%	12%	25%	6085	316	['Ryanair (74%)']
	23S	159420		7%	2%	33%	36%	4844	160	['Ryanair (60%)' 'Tui Group (4%)']
	23W	27963		28%	17%	9%	26%	5850	320	['Ryanair (72%)']
Naples-Zurich (NAP-ZUR)	21W	37191	199410	3%	0%	15%	15%	7342	6	['Easyjet (84%)']
	22S	145381		1%	1%	35%	35%	5382	36	['Easyjet (64%)']
	22W	28117		13%	4%	40%	44%	4867	343	['Easyjet (54%)']
	23S	171293		2%	1%	38%	39%	5192	77	['Easyjet (61%)']
	23W	40895		7%	4%	20%	24%	6295	155	['Easyjet (76%)']
Palermo-Brussels (PAM-BRU)	21W	40300	145089	8%	5%	1%	6%	8098	14	['Easyjet (4%)' 'Ryanair (88%)']
	22S	99301		14%	7%	14%	21%	5644	191	['Ryanair (69%)' 'Tui Group (7%)']
	22W	41152		12%	7%	2%	9%	8276	25	['Ryanair (88%)']
	23S	103937		17%	9%	6%	15%	6461	110	['Ryanair (77%)' 'Tui Group (6%)']
	23W	28653		12%	7%	2%	10%	8192	37	['Ryanair (88%)']

City pair	Season	Total pax/season	Annual pax (W22+S23)	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Trieste-Munich (TRS-MUC)	21W	136	3920	99%	17%	83%	100%	10000	2810	no direct competition
	22S	4633		11%	0%	15%	16%	7360	10	['Tui Group (84%)']
	22W	341		100%	5%	95%	100%	10000	947	no direct competition
	23S	3579		22%	2%	19%	22%	6604	86	['Tui Group (78%)']
	23W	254		100%	16%	84%	100%	10000	2654	no direct competition

Source: IATA passenger data, RFI 50 Annex 100.

(1747) The Commission concludes that the Transaction does not lead to a significant impediment of effective competition on the above-mentioned routes, for the following reasons.[1708]

(1748) First, the Parties' combined market shares on all of the above-mentioned routes are overall moderate between Winter IATA Seasons 2021/2022 and Summer IATA 2023.[1709] In particular:

(a) On route BRI – ZRH, the Parties' combined market share ranges between 11%-14% over Winter IATA Seasons 2021/2022 and 2022/2023, and between 24%-28% over Summer IATA Seasons 2022 and 2023.

(b) On route CAG-DUS, the Parties' combined market share ranges between 2%-43% over Winter IATA Seasons 2021/2022 and 2022/2023, and between 38%-44% over Summer IATA Seasons 2022 and 2023.

(c) On route SUF-FRA, the Parties' combined market share ranges between 8%-10% over Winter IATA Seasons 2021/2022 and 2022/2023, and between 26%-47% over Summer IATA Seasons 2022 and 2023.

(d) On route MUC-TUN, the Parties' combined market share ranges between 23%-30% over Winter IATA Seasons 2021/2022 and 2022/2023, and 24%-44% over Summer IATA Seasons 2022 and 2023.

(e) On route NAP-BRU, the Parties' combined market share ranges between 20%-25% over Winter IATA Seasons 2021/2022 and 2022/2023, and 36%-39% over Summer IATA Seasons 2022 and 2023.

(f) On route NAP-ZRH, the Parties' combined market share ranges between 15%-44% over Winter IATA Seasons 2021/2022 and 2022/2023, and 35%-39% over Summer IATA Seasons 2022 and 2023.

1708 The Commission notes that for its assessment it has considered the IATA Seasons for which complete data is available, which are the seasons from Winter IATA Seasons 2021/2022 until Summer IATA 2023 (included). However, even if the Commission considered the data available for Winter IATA Season 2023/2024, the assessment would not change. In particular, for the routes Trieste – Munich and Cagliari – Düsseldorf, where the market shares of Lufthansa and ITA are above 50%, see footnote 1716 and paragraph (1745)(b).

1709 The Commission notes that these market shares may be considered "overall moderate" only in the very specific circumstances of the present case, including particularly active competitors on the Italian market, the direct/indirect nature of the overlaps and the results of the market investigation in the present case.

(g) On route PMO-BRU, the Parties' combined market share ranges between 6%-9% over Winter IATA Seasons 2021/2022 and 2022/2023, and 15%-21% over Summer IATA Seasons 2022 and 2023.

(h) On route FLR-BRU, the Parties' combined market share ranges between 9%-12% over Winter IATA Seasons 2021/2022 and 2022/2023, and 22%-30% over Summer IATA Seasons 2022 and 2023.[1710]

(i) On route TRS-MUC, the Parties' combined market share ranges between 16%-22% over the Summer IATA Seasons 2022 and 2023.[1711]

(1749) *Second*, combined with the low combined market shares,[1712] in many of the routes identified in Table 87 above, the increment brought by the Transaction is minimal, and ranging between 0%-3%. In particular:

(a) On route BRI – ZRH, the increment brought by the Transaction ranges between 2% and 3% except for one IATA season, namely Summer IATA 2023, where the increment is significant, at 8%.

(b) On route CAG-DUS, the increment brought by the Transaction ranges between 0% and 1% except for one IATA season, namely Winter IATA 2022/2023, where the increment is significant, at 9%.

(c) On route SUF-FRA, the increment brought by the Transaction over the winter seasons is 0%, whereas it is significant over the summer seasons, between 5-8%.

(d) On route MUC-TUN, the increment brought by the Transaction ranges between 0% and 2%.

(e) On route NAP-BRU the increment brought by the Transaction ranges between 2% and 3% except for one IATA season, namely Summer IATA 2023, where the increment is significant, at 8%.

(f) On route NAP-ZRH, the increment brought by the Transaction ranges between 0% and 1% with the exception of one IATA season, namely Winter IATA 2022/2023, where the increment is higher, at 4%.

(g) On route PMO-BRU the increment brought by the Transaction over the winter seasons is 2%, whereas it is significant over the summer seasons, at 9%.

(h) On route FLR-BRU, the increment brought by the Transaction is negligible over both IATA seasons, namely between 0%-1%.

1710 According to the Parties' submissions, Florence-Brussels is only regularly operated directly during the Summer IATA Seasons by Lufthansa (via Brussels Airlines). In the last Winter seasons, Brussels Airlines had only one flight with a total capacity of 141 seats. (See response of Lufthansa and MEF to a Commission's request for information (RFI 38), question 10). Therefore, the Commission notes that the Transaction does not give rise to a direct/indirect overlap over the Winter IATA Seasons, as Lufthansa only operates direct flights over summer. For more information on the assessment of indirect/indirect short-haul overlaps, see section 12.2.3.2 below.

1711 The Commission notes that the Transaction does not give rise to a direct/indirect overlap over the Winter IATA Seasons, as Lufthansa only operates direct flights over summer. For more information on the assessment of indirect/indirect short-haul overlaps, see section 12.2.3.2 below.

1712 The Commission notes that these combined market shares may be considered "low" only in the very specific circumstances of the present case, including particularly active competitors on the Italian market, the direct/indirect nature of the overlaps and the results of the market investigation in the present case.

(i) On route TRS-MUC, the increment brought by the Transaction over the summer seasons is 0-2%.

(1750) *Third*, there is at least one other active competitor offering direct connections (in most cases from an airport of proximity on at least one end of the route) and often holding a higher market share than that of the Parties combined in the widest plausible market.[1713] In particular:

(a) On route BRI – ZRH, easyJet is active (operating from BSL on the Zurich end, and from the same airport as the Parties from the Bari end, i.e., BRI) with a market share ranging between 86% – 88% over Winter IATA Seasons 2021/2022 and 2022/2023, and between 36%-39% over Summer IATA Seasons 2022 and 2023. The remaining market shares are captured by other indirect competitors.

(b) On route CAG-DUS, Neos was active during Winter IATA 2021/2022 with a market share of 98%. Moreover, Ryanair entered the route as of Summer IATA 2022 (operating from NRN on the Dusseldorf end, and from the same airport as the Parties from the Cagliari end, i.e., CAG) with a market share of 56% over Winter IATA Season 2022/2023, and between 54%-61% over Summer IATA Seasons 2022 and 2023.

(c) On route SUF-FRA, Ryanair is active (operating from HHN on the Frankfurt end, and from the same airport as the Parties from the Lamezia Terme end, i.e., SUF) with a market share ranging between 90% – 92% over Winter IATA Seasons 2021/2022 and 2022/2023, and between 1%-2% over Summer IATA Seasons 2022 and 2023. However, another competitor is active on the route seasonally over the summer seasons, namely Condor, which operates from the same airport as the Parties on both ends (i.e., FRA and SUF), and obtained a market share of 52%-71% over the same period.

(d) On route MUC-TUN, Tunisair is active (operating from the same airports as the Parties on both ends) with a market share ranging between 64% – 71% over Winter IATA Seasons 2021/2022 and 2022/2023, and 41%-50% over Summer IATA Seasons 2022 and 2023. Moreover, during Summer IATA 2023, there was entry by Nouvelair Tunisie, which managed to capture 26% of the market share, suggesting that barriers to entry and expand are low. Where applicable, the remaining market shares are captured by other indirect competitors (such as Air Europa through Madrid, Air France – KLM through Paris).

(e) On route NAP-BRU, currently Ryanair is active (operating from CLR on the Brussels end and from NAP on the Naples end) with a market share ranging between 73% – 74% over Winter IATA Seasons 2021/2022 and 2022/2023, and 56%-60% over Summer IATA Seasons 2022 and 2023. Over the summer season, another competitor, namely TUI Fly is active with direct flights from the same airports of operation as the Parties (i.e., BRU and NAP) with a market share between 4% and 5%.

(f) On route NAP-ZRH, easyJet is active (operating from BSL on the Zurich end, and from the same airport as the Parties from the Naples end, i.e., NAP) with a market share ranging between 54% – 84% over Winter IATA Seasons

[1713] The Commission notes that the considerations outlined in these sections are specific to the assessment of competition between direct and indirect flights and do not apply to the assessment between direct/direct flights above.

2021/2022 and 2022/2023, and between 61%-64% over Summer IATA Seasons 2022 and 2023.

(g) On route PMO-BRU currently Ryanair is active (operating from CLR on the Brussels end and from PMO on the Palermo end) with a market share 88% over Winter IATA Seasons 2021/2022 and 2022/2023, and 69% - 77% over Summer IATA Seasons 2022 and 2023. Over the summer season, another competitor, namely TUI Fly is active with direct flights from the same airports of operation as the Parties (i.e., BRU and PMO) with a market share between 8% and 9%.

(h) On route FLR-BRU currently Ryanair is active with direct flights, operating from both BRU (where the Parties also operate from) and CLR on the Brussels end and from and from PSA on the Florence end. Ryanair's market share is significant and ranging between 87%-90% over Winter IATA Seasons 2021/2022 and 2022/2023, and between 69%-77% over Summer IATA Seasons 2022 and 2023.

(i) On route TRS-MUC, the Tui Group is active over summer (operating from the same airports as the Parties, i.e., TRS and MUC) with a market share ranging between 78% - 84% over Summer IATA Seasons 2022 and 2023.

(1751) *Fourth*, without prejudice to the Commission's findings on closeness of competition between airlines operating each short-haul route from the same airports (see section 9.1.2 above), the Commission considers that the direct flights offered by competitors even when from secondary airports of proximity, are likely to compete closely with the direct flights offered by Lufthansa, due to the views expressed by customers and confirmed by competitors during the market investigation as regards direct short-haul flights. In particular that (i) direct and indirect routes are generally not substitutable between Italy on the one hand and DACHB on the other, (ii) but passengers consider indirect flights as substitutable if there is only one company offering a direct flight.[1714] Likewise, the similarity in the overall travel time between ITA's indirect flight option (from the main airport serving each region, however including additional layover time) and the competitors' direct option from a secondary airport of proximity (only on one end of each route, if so) which requires additional travel time to reach the secondary airport from the city centre, also suggest that the direct flights offered by competitors from secondary airports of proximity on these routes are at least similarly competitive with Lufthansa's direct flights as ITA's indirect flights from the same airport. For example:

(a) According to the Parties' submission, the minimum travel time from Zurich city centre to ZRH (based on the most efficient mean of transport) is 12 minutes, whereas to BSL is 1h 05 minutes.[1715] The additional travel time to BSL is comparable to a layover of ITA on routes **BRI – ZRH** and **NAP - ZRH** which, according to ITA's own website, last 0h 50 – 1h 05 minutes (ITA also offers additional indirect options with longer layovers of >3h) for both routes.

1714 Responses to question C.C.1 of questionnaire 06 to customers of both short-haul and long-haul flights; responses to question C.C.2 of questionnaire 06 to customers of both short-haul and long-haul flights; responses to question C.4 of questionnaire 03 to short-haul competitors, and, Responses to question C.5 of questionnaire 03 to short-haul competitors.

1715 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

(b) According to the Parties' submission, the minimum travel time from Stuttgart city centre to STR (based on the most efficient mean of transport) is 16 minutes, whereas to FKB is 1h 20 minutes.[1716] The additional travel time to FKB is more comparable to a layover of ITA on route **SUF - STR**, according to ITA's own website, last >3h.

(c) According to the Parties' submission, the minimum travel time from Dusseldorf city centre to DUS (based on the most efficient mean of transport) is 06 minutes, whereas to NRN is 1h 0 minutes.[1717] The additional travel time to NRN is more comparable to a layover of ITA on route **CAG - DUS** which, according to ITA's own website, last 1h 10 minutes to 1h 50 minutes (ITA also offers additional indirect options with longer layovers of >3h).

(d) According to the Parties' submission, the minimum travel time from Brussels city centre to BRU (based on the most efficient mean of transport) is 16 minutes, whereas to CRL is 0h 40 minutes.[1718] The additional travel time to HHN is comparable to most of the layovers of ITA on routes **NAP – BRU** and **PMO - BRU** which, according to ITA's own booking platform (website), last between 1h 05 minutes to 1h 20 minutes for the former (whereas ITA also offers additional indirect options with longer layovers, e.g., 2h40 minutes, >3h etc.) and 0h 50 minutes to 1h 50 minutes for the latter (ITA also offers additional indirect options with longer layovers of >3h); and,

(e) According to the Parties' submission, the minimum travel time from Frankfurt city centre to FRA (based on the most efficient mean of transport) is 10 minutes, whereas to HHN is 1h 15 minutes.[1719] The additional travel time to HHN is comparable to most of the layovers of ITA on route **SUF – FRA** which, according to ITA's own booking platform (website), last 1h 05 minutes (ITA also offers additional indirect options with longer layovers, e.g., 2h40 minutes, >3h etc.).

(f) According to the Parties' submission, the minimum travel time from Florence city centre to FLR is 15 minutes, whereas to PSA is 55 minutes.[1720] The additional travel time to PSA is comparable to most of the layovers of ITA on route FLR – BRU which, according to ITA's own booking platform (website), last 1 hour (ITA also offers additional indirect options with longer layovers, e.g., 2h45 minutes, >3h etc.).

(1752) As demonstrated above, the similarity between the travel time to the secondary airport (to fly directly) and the duration of ITA's layovers renders the overall travel times of ITA's indirect flights and the third-party competitors' direct flights from proximity airports comparable. Thus, ITA's indirect flights likely to compete closely with the direct flights offered by competitors from secondary airports of proximity on these routes and more closely than they compete with Lufthansa's direct flights from the same airport (the latter of which is likely to offer the most attractive flight

---

1716 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1717 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1718 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1719 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1720 Response to RFI 56, question 3a.

option in terms of overall travel time, as it operates directly from main airports on both ends of the route).

(1753) Moreover, where competitors operate from the same main airports as the Parties from both ends of the route (i.e., Tunisair on MUC-TUN, Tui Fly on NAP-BRU and PMO-BRU, Condor on SUF-FRA and the Tui Group on TRS-MUC),[1721] the latter's operations are likely to compete more closely with Lufthansa's direct flights compared to the indirect flights of ITA, due to the preference expressed by customers and confirmed by competitors for direct short-haul flights.

(1754) *Fifth*, as indicated above, for most city pairs, the other direct competitors operate from secondary airports of proximity on one end of each route (i.e., on all routes with the exception of Tunisair on MUC-TUN, Tui Fly on NAP-BRU and PMO-BRU, and Condor on SUF-FRA). Consequently, under the narrowest plausible product market definition (i.e., the one taking into account only the primary airports of each city, see Section 6.5 above), the direct activities of the Parties' competitors (e.g., Ryanair, easyJet) do not belong in the same market as the activities of the Parties. Thus, under the narrowest plausible market definition, the transaction would result in higher combined market shares and/or (quasi-) monopolies of the Parties post-Transaction. However, the Commission considers that, in light of the findings that (i) there is a general preference by customers for direct short-haul flights, as well as (ii) it is likely that Lufthansa and ITA both compete more closely with the other direct operators compared to how closely they compete with each other on the routes indicated in this section, the out of market constraints exerted by the direct flights from secondary airports will be strong. Therefore, even under the narrowest possible market definition, it is unlikely that the Transaction would result in significant impediment of effective competition, as the latter will continue to exert significant (out-of-market) competitive pressure over the Parties' activities on the direct/indirect overlapping routes identified in this section.

12.2.2.5. Routes where an important competitor is offering direct flights

(1755) Table 88 below lists a number of routes where the Transaction gives rise to horizontally affected markets, and where the combined market share of the Parties often exceeds 50%, but the Commission nonetheless concludes that the possibility for a significant impediment on effective competition as a result of the Transaction is improbable and/or unlikely to occur, due to the direct operations of a rival on the city pair (often from a regional airport of proximity).

[1721] The Commission notes that based on public sources it appears that Tui Group has exited the TRS-MUC route, however, the Commission cannot exclude re-entry on the route and Lufthansa's activities re limited on this thin route with around 3,500 passengers in the summer season where the direct/indirect overlap occurs, as indicated above in Table 87.

Table 88

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Bari-Frankfurt (BRI-FRA)	21W	13271	70823	9%	8%	22%	30%	5789	352	['Ryanair (70%)']
	22S	48589		10%	6%	50%	56%	5059	637	['Ryanair (44%)']
	22W	7769		43%	33%	53%	86%	7584	3510	['Ryanair (14%)']
	23S	63054		12%	6%	43%	50%	4954	545	['Ryanair (50%)']
	23W	6839		39%	31%	69%	100%	9939	4262	no direct competition
Brindisi-Munich (BDS-MUC)	21W	810	40720	60%	43%	16%	59%	5122	1399	['Ryanair (40%)']
	22S	36501		5%	3%	17%	20%	6818	100	['Ryanair (80%)']
	22W	2040		48%	44%	4%	48%	5001	379	['Ryanair (52%)']
	23S	38680		5%	3%	15%	18%	7051	95	['Ryanair (82%)']
	23W	1757		64%	59%	5%	64%	5375	569	['Ryanair (36%)']
Cagliari-Zurich (CAG-ZUR)	21W	810	67500	8%	0%	59%	59%	4703	0	['Easyjet (34%)']
	22S	65828		2%	1%	36%	37%	5262	39	['Easyjet (62%)']
	22W	1655		63%	55%	18%	73%	5779	1966	['Easyjet (20%)']
	23S	65845		4%	3%	45%	48%	4937	248	['Easyjet (52%)']
	23W	1933		70%	65%	31%	96%	9204	4014	no direct competition
Catania-Frankfurt (CTA-FRA)	21W	32460	116405	5%	4%	17%	21%	6628	148	['Ryanair (79%)']
	22S	64903		17%	11%	60%	71%	5851	1272	['Ryanair (29%)']
	22W	26251		19%	16%	24%	40%	5113	765	['Ryanair (59%)']
	23S	90154		13%	9%	55%	64%	5383	1012	['Ryanair (36%)']
	23W	39265		10%	9%	11%	20%	4372	198	['Ryanair (60%)' 'Wizz Air (20%)']

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Catania-Hamburg (CTA-HAM)	21W	5030	31309	34%	0%	89%	89%	8026	28	no direct competition
	22S	25721		41%	3%	94%	97%	9465	651	no direct competition
	22W	4215		73%	0%	87%	87%	7681	54	no direct competition
	23S	27094		48%	12%	85%	97%	9402	1967	no direct competition
	23W	9084		20%	0%	29%	29%	5376	1	['Wizz Air (66%)']
Catania-Munich (CTA-MUC)	21W	7498	127829	30%	15%	78%	93%	8729	2361	no direct competition
	22S	73647		7%	4%	61%	64%	5236	430	['Wizz Air (33%)']
	22W	31174		17%	6%	20%	26%	4981	241	['Wizz Air (65%)']
	23S	96655		7%	1%	56%	57%	4727	155	['Wizz Air (38%)']
	23W	26112		15%	6%	15%	21%	5841	181	['Wizz Air (72%)']
Florence-Rome (FLR-FCO)	21W	57	19219	26%	53%	11%	63%	4466	1108	no direct competition
	22S	9470		1%	99%	0%	99%	9749	17	no direct competition
	22W	5843		0%	94%	0%	95%	8955	23	no direct competition
	23S	13376		2%	97%	0%	97%	9379	22	no direct competition
	23W	4924		0%	98%	0%	98%	9671	24	no direct competition
Lamezia-terme-Düsseldorf (SUF-DUS)	21W	114	53019	100%	79%	18%	96%	9323	2770	no direct competition
	22S	54727		2%	1%	59%	60%	4448	92	['Condor Flugdienst (27%)' 'Corendon Group (14%)']
	22W	1076		100%	86%	13%	99%	9798	2278	no direct competition
	23S	51943		4%	3%	68%	71%	5861	394	['Condor Flugdienst (29%)']
	23W	1417		100%	91%	5%	96%	9251	913	no direct competition

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Palermo - Frankfurt (PMO-FRA)	21W	15524	78036	18%	16%	15%	30%	5771	460	['Ryanair (70%)']
	22S	62633		12%	7%	26%	32%	5627	342	['Ryanair (68%)']
	22W	6895		52%	42%	38%	79%	6720	3146	['Ryanair (20%)']
	23S	71141		11%	6%	33%	40%	5203	423	['Ryanair (60%)']
	23W	5849		57%	46%	54%	100%	9986	4956	no direct competition
Palermo -Geneva (PMO-GVA)	21W	1899	43242	71%	56%	15%	71%	5891	1679	['Easyjet (29%)']
	22S	30985		17%	8%	9%	17%	7112	146	['Easyjet (83%)']
	22W	2859		89%	66%	18%	84%	7161	2333	['Easyjet (11%)']
	23S	40383		12%	7%	4%	11%	7902	57	['Easyjet (88%)']
	23W	2147		100%	80%	20%	100%	9963	3179	no direct competition
Catania-Brussels (CTA-BRU)	21W	21432	110606	26%	17%	4%	21%	5393	137	['Easyjet (9%)' 'Ryanair (64%)']
	22S	103720		19%	11%	24%	35%	4492	531	['Ryanair (53%)' 'Tui Group (8%)']
	22W	37046		21%	16%	1%	17%	6988	33	['Ryanair (79%)']
	23S	73560		27%	18%	29%	47%	3816	1059	['Ryanair (35%)' 'Tui Group (14%)']
	23W	39338		11%	7%	1%	7%	5396	9	['Ryanair (67%)' 'Wizz Air (22%)']
Palermo - Frankfurt (PMO-FRA)	21W	15524	78036	18%	16%	15%	30%	5771	460	['Ryanair (70%)']
	22S	62633		12%	7%	26%	32%	5627	342	['Ryanair (68%)']
	22W	6895		52%	42%	38%	79%	6720	3146	['Ryanair (20%)']
	23S	71141		11%	6%	33%	40%	5203	423	['Ryanair (60%)']
	23W	5849		57%	46%	54%	100%	9986	4956	no direct competition

Source: IATA passenger data, RFI 50 Annex 100.

(1756) The Commission concludes that on most of the routes indicated in Table 88, the Transaction will not result in a significant impediment to effective competition due to the direct operations of a rival on the city pair (often from a regional airport of proximity).

(1757) This is supported by the results of the Commission's market investigation on substitutability between direct and indirect flights between Italy on the one hand, and, Germany, Austria, Belgium and/or Switzerland on the other hand. In particular, as already indicated in section 6.6.3.1 above, the majority of customers who expressed an opinion in the market investigation were of the view that these flight operations are not substitutable, whereas only a large share of customers, about 40%, considered that convenient indirect flights are substitutable to direct flights when there is only one direct flight option.[1722] Similarly, half of the carriers considered that when there is only one direct flight option, customers may consider the direct option substitutable with convenient indirect flights.[1723] The views expressed during the Commission's market investigation, are supported by factual evidence, suggesting that the more direct short-haul flights available, the less the attractiveness of the indirect alternatives, as customers tend to opt for the direct option (see Table 60 above).[1724]

(1758) Therefore, for the purposes of its assessment, the Commission only considered city pairs where no other direct competitor is active on the route. As indicated in Table 88 above:

(a) Ryanair is active on the route **BRI – FRA** with a direct flight over the Summer IATA Seasons,[1725] operating from HHN on the Frankfurt end, and from the same airport as the Parties from the Bari end (i.e., BRI);

(b) Ryanair is active on the route **BDS – MUC** with a direct flight, operating from FMM on the Munich end, and from the same airport as the Parties on the Brindisi end (i.e., BDS);

(c) easyJet is active on the route **CAG – ZRH** with a direct flight, operating from BSL on the Zurich end, and from the same airport as the Parties on the Cagliari end (i.e., CAG);

(d) on the route **CTA – HAM,** no third-party competitor was active and offering direct flights between Winter IATA 2021 and Summer IATA 2023. However,

---

1722 Responses to question C.C.1 of questionnaire 06 to customers of both short-haul and long-haul flights; and Responses to question C.C.2 of questionnaire 06 to customers of both short-haul and long-haul flights.

1723 Responses to question C.4 of questionnaire 03 to short-haul competitors and Responses to question C.5 of questionnaire 03 to short-haul competitors.

1724 As explained in section 6.6.3, the Commission considers that, in accordance to its prior practice, direct and indirect flights between the same short-haul route O&D make part of the same market when indirect flights represent at least 10% of passengers on the route. Nevertheless, as explained in this paragraph, the Commission's market investigation suggests that the more direct short-haul flights available, the less the attractiveness of the indirect alternatives. In fact, if two direct alternatives compete on a route, the competitive pressure exerted by the indirect alternatives appear to be minimal. On this basis, while based on the market definition certain indirect flights may be part of the same market as two (or more) direct flights by other operators, the Commission considers that the Transaction will not result in a significant impediment to effective competition on such routes. This consideration also rests on the specific circumstances of this case, in particular the Italian market, where a number of competitors are active and constantly increasing their activities.

1725 On the contrary, the Commission concludes that the Transaction results in a significant impediment to effective competition on the route BRI – FRA over the Winter IATA Seasons, as Ryanair exited. According to Ryanair, its exit from these routes over the winter IATA seasons was linked to the "routes' poor performance during the Winter IATA 2021/2022 season as a result of competition from larger flag-carrier competitors operating out of Frankfurt-Main", the only ones being Lufthansa and ITA. Moreover, the Commission's market investigation did not bring up evidence of market entry on route BRI – FRA over the Winter IATA Seasons, see section 9.4.6.2.3 above.

as of Summer 2024, Wizz Air entered with two (direct) weekly frequencies on both Winter and Summer IATA Seasons, operating from the same airports as the Parties on both ends (i.e., HAM and CTA);[1726]

(e) Ryanair is active on the route **CTA – FRA** with a direct flight, operating from HHN on the Frankfurt end, and from the same airport as the Parties on the Catania end, i.e., CTA);

(f) Wizz Air is active on the route **CTA – MUC** with a direct flight, operating from FMM on the Munich end, and from the same airport as the Parties on the Catania end, i.e., CTA);

(g) Condor is active on the route **SUF – DUS** with a direct flight over the Summer IATA Seasons, operating from the same airport as the Parties on both ends (i.e., SUF and DUS). Over Summer IATA 2022, Corendon Airlines was also active on the route;[1727]

(h) easyJet is active on the route **SUF – ZRH** with a direct flight, operating from BSL on the Zurich end, and from the same airport as the Parties on the Lamezia Terme end, i.e., SUF);

(i) Ryanair is active on the route **PMO – FRA** with a direct flight, operating from HHN on the Frankfurt end, and from the same airport as the Parties on the Palermo end (i.e., PMO);

(j) easyJet is active on the route **PMO - GVA** with a direct flight, operating from the same airport as the Parties on both ends (i.e., PMO and GVA);[1728] and,

(k) Ryanair is active on the route **CTA – BRU** with a direct flight operating from CRL on the Brussels end, and from the same airport as the Parties from the Catania end (i.e., CTA);

(l) Ryanair is active on the route **PMO – FRA** with a direct flight operating from HHN on the Frankfurt end, and from the same airport as the Parties from the Palermo end (i.e., PMO);

(1759) Regarding the route **FLR – ROM**, the Commission notes that there are no direct flights competing on this route. However, Trenitalia and Italo Treno operate a number of daily direct connections on the route FLR – ROM, of 1h30 minutes to 2h 35 minutes travel duration. These travel durations fall within the time-range where based on the previous practice of the European Commission air and train passenger transport services may be substitutable with each other (see section 6.8 above). Therefore, while the Commission cannot consider any direct air passenger transport competition on this route, it considers that, also in light of the direct-indirect nature of the overlap, the relatively short and direct train connection exerts sufficient competitive pressure on this route.

1726 The Commission notes that the Transaction does not give rise to a direct/indirect overlap over the Winter IATA Seasons, as Lufthansa only operates direct flights over summer. For more information on the assessment of indirect/indirect short-haul overlaps, see section 12.2.3.2 below.

1727 The Commission notes that the Transaction does not give rise to a direct/indirect overlap over the Winter IATA Seasons, as Lufthansa only operates direct flights over summer. For more information on the assessment of indirect/indirect short-haul overlaps, see section 12.2.3.2 below.

1728 The Commission notes that the Transaction does not give rise to a direct/indirect overlap over the Winter IATA Seasons, as Lufthansa only operates direct flights over summer. For more information on the assessment of indirect/indirect short-haul overlaps, see section 12.2.3.2 below. (See Response of Lufthansa and MEF to a Commission's request for information (RFI 57), question 4(b)).

(1760) Moreover, the market share of the third party operating on the route is, in all cases significant, and often higher than the combined market share of the Parties:[1729]

(a) On the route **BRI – FRA**, even though Ryanair operates from HHN, its market share over the Summer IATA Seasons of 2022 and 2023 is significant, and ranges between 44% and 50% whereas the Parties' combined market share ranges between 50% and 56% over the same time period;

(b) on the route **BDS – MUC** even though Ryanair operates from FMM, its market share from Winter IATA 2021/2022 to Summer 2023 ranges between 40% and 82% whereas the Parties' combined market share ranges between 18% and 59% over the same time period;

(c) on the route **CAG – ZRH** even though easyJet operates from BSL, its market share from Winter IATA 2021/2022 to Summer 2023 is significant, and ranges between 20% and 62%;

(d) on **CTA – HAM,** Wizz Air operates (as of Summer IATA 2024) two weekly frequencies, compared to Eurowings that operates four (direct) weekly frequencies over the Summer IATA Seasons, therefore the Commission considers that it is likely to obtain significant market shares on this route. The Commission also notes that this route is also covered by the Commitments set out in section 14.5.1 below, as the Short-Haul Remedy Taker will be able to provide indirect connections between CTA and HAM;

(e) on the route **CTA – FRA**, even though Ryanair operates from HHN, its market share from Winter IATA 2021/2022 to Summer 2023 ranges between 29% and 79% whereas the Parties' combined market share ranges between 21% and 71% over the same time period;

(f) on the route **CTA – MUC**, even though Wizz Air operates from FMM, its market share from Sumer IATA 2022 (when it entered the route) to Summer IATA 2023 ranges between 33% and 65% whereas the Parties' combined market share ranges between 26% and 64% over the same time period;

(g) on the route **SUF – DUS** where Condor is active over the Summer IATA Seasons, its market share is significant over Summer IATA 2022 and Summer IATA 2023, and ranges between 27% and 29%. Over Summer IATA 2022, when Corendon Airlines was also active on the route, it managed to also obtain a significant market share of 14%;

(h) on the route **SUF – ZRH,** even though easyJet operates from BSL, its market share over the Summer IATA Seasons of 2022 and 2023 is significant, and ranges between 43% and 44%, whereas its market share over the Winter IATA 2021/2022 and 2022/2023 Seasons is meaningfully lower, between 3% and 4%; and,

(i) on the route **PMO – FRA,** where Ryanair operates from HHN, its market share is significant from Winter IATA 2021/2022 to Summer 2023, and ranges between 20% and 70% whereas the Parties' combined market share ranges between 60% and 68% over the same time period;

[1729] The Commission notes that these combined market shares may be considered non-problematic in light of the competition only in the very specific circumstances of the present case, including particularly active competitors on the Italian market, the direct/indirect nature of the overlaps and the results of the market investigation in the present case.

(j) on the route **PMO – GVA,** where easyJet is active over the Summer IATA Seasons, its market share is significant over Summer IATA 2022 and Summer IATA 2023, and ranges between 83% and 88% whereas the Parties' combined market share ranges between 11% and 17% over the same time period; and,

(k) on the route **CTA – BRU,** where Ryanair operates from CRL, its market share is significant from Winter IATA 2021/2022 to Summer 2023, and ranges between 35% and 79% whereas the Parties' combined market share ranges between 17% and 47% over the same time period;

(l) on the route **PMO – FRA,** where Ryanair operates from HHN, its market share is significant from Winter IATA 2021/2022 to Summer 2023, and ranges between 20% and 70% whereas the Parties' combined market share ranges between 30% and 79% over the same time period.

(1761) On the route **FLR – ROM**, the duration of both Trenitalia and Italo Treno's direct train options are attractive and fall below the 3-4 hour threshold that the Commission's market investigation suggested as exercising competitive pressure on flights. Therefore, the Commission considers that even post-Transaction, the combined entity will face significant competitive pressure from these direct train connections.

(1762) In addition, without prejudice to the Commission's findings on closeness of competition between airlines operating each short-haul route from the same airports (see section 9.1.2 above), the Commission considers that the direct flights offered by competitors even when from secondary airports of proximity, are likely to be competitive compared with the direct flights offered by Lufthansa, as expressed by customers and confirmed by competitors over direct short-haul flights.[1730] Likewise, the similarity in the overall travel time between ITA's indirect flight option (from the main airport serving each region, however including additional layover time) and the competitors' direct option from a secondary airport of proximity (only on one end of each route, if so) which requires additional travel time to reach the secondary airport from the city centre, also suggest that ITA's indirect flights are likely to compete closely with the direct flights offered by competitors from secondary airports of proximity on these routes and with Lufthansa's direct flights from the same airport. For example:

(a) According to the Parties' submission, the minimum travel time from Frankfurt city centre to FRA (based on the most efficient mean of transport) is 10 minutes, whereas to HHN is 1h 15 minutes.[1731] The additional travel time to HHN is comparable to most of the layovers of ITA on routes **BRI – FRA, CTA – FRA** and PMO - FRA which, according to ITA's own booking platform (website), last: (a) on BRI – FRA, 0h 55 minutes (whereas ITA also offers additional indirect options with longer layovers of >2h); (b) on CTA – FRA between 1h 0 minutes to 1h 10 minutes (whereas ITA also offers additional indirect options with longer layovers, e.g., 1h 55 minutes, >3h etc.);

1730 Responses to question C.C.1 of questionnaire 06 to customers of both short-haul and long-haul flights; responses to question C.C.2 of questionnaire 06 to customers of both short-haul and long-haul flights; responses to question C.4 of questionnaire 03 to short-haul competitors and Responses to question C.5 of questionnaire 03 to short-haul competitors.

1731 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

and (c) on PMO – FRA between 0h 55 minutes to 1h 10 minutes (whereas ITA also offers additional indirect options with longer layovers of >2h);

(b) According to the Parties' submission, the minimum travel time from Munich city centre to MUC (based on the most efficient mean of transport) is 30 minutes, whereas to FMM is 1h 10 minutes.[1732] The additional travel time to FMM is comparable to a layover of ITA on routes **CTA – MUC** and **BDS - MUC** which, according to ITA's own booking platform (website), last between 1h 0 minutes to 1h 55 minutes (whereas ITA also offers many other options with longer layovers of >3h etc.) in the case of the former route and 0h 50 minutes (but also other travel options with longer layovers of >3h) in the case of the latter route; and,

(c) According to the Parties' submission, the minimum travel time from Zurich city centre to ZRH (based on the most efficient mean of transport) is 12 minutes, whereas to BSL is 1h 05 minutes.[1733] The additional travel time to BSL is comparable to a layover of ITA on routes **SUF – ZRH** and **CAG - ZRH** which, according to ITA's own website, last 1h 0 minutes (whereas ITA also offers additional indirect options with longer layovers of >3h) for both the former and the latter routes.

(d) According to the Parties' submission, the minimum travel time from Stuttgart city centre to STR (based on the most efficient mean of transport) is 16 minutes, whereas to FKB is 1h 20 minutes. [1734] The additional travel time to FKB is more comparable to a layover of ITA on route **PMO - STR** which, according to ITA's own website, lasts 1 h 30 minutes (whereas ITA also offers additional indirect options with longer layovers of >3h).

(1763) As demonstrated above, the similarity between the travel time to the secondary airport (to fly directly) and the duration of ITA's layovers renders the overall travel times of ITA's indirect flights and the third-party competitors' direct flights from proximity airports comparable.

(1764) Furthermore, where competitors operate from the same main airports as the Parties from both ends of the route (i.e., Wizz Air on **CTA – HAM**, easyJet on **PMO – GVA** and Condor on **SUF – DUS**), the latter's operations are likely to compete more closely with Lufthansa's direct flights compared to the indirect flights of ITA, due to the preference expressed by customers and confirmed by competitors for direct short-haul flights.[1735]

(1765) Finally, as indicated above, for most city pairs, the other direct competitors operate from secondary airports of proximity on one end of each route (i.e., on all routes except for Wizz Air on **CTA – HAM**, easyJet on **PMO – GVA** and Condor on **SUF – DUS**). Consequently, under the narrowest plausible product market definition (i.e., the one taking into account only the primary airports of each city, see Section 6.5

1732 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1733 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1734 Response of Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q1 – Data on minimum travel times.

1735 Responses to question C.C.1 of questionnaire 06 to customers of both short-haul and long-haul flights; responses to question C.C.2 of questionnaire 06 to customers of both short-haul and long-haul flights; responses to question C.4 of questionnaire 03 to short-haul competitors and Responses to question C.5 of questionnaire 03 to short-haul competitors.

above), the direct activities of the Parties' competitors (e.g., Ryanair) do not belong in the same market as the activities of the Parties. Thus, under the narrowest plausible market definition, the transaction would result in higher combined market shares and/or (quasi-) monopolies of the Parties post-Transaction. However, the Commission considers that, in light of the findings that (i) there is a general preference by customers for direct short-haul flights, as well as (ii) it is likely that Lufthansa and ITA both compete more closely with the other direct operators compared to how closely they compete with each other on the routes indicated in this section, the out of market constraints exerted by the direct flights from secondary airports will be strong and thus, even under the narrowest possible market definition, the latter will continue to exert significant (out-of-market) competitive pressure over the Parties' activities on the direct/indirect overlapping routes identified in this section. Therefore, it is unlikely that the Transaction would result in significant impediment of effective competition on these routes.

12.2.2.6. Routes where ITA's increment is minimal

(1766) Table 89 below lists a number of routes where the Transaction gives rise to horizontally affected markets, and where the combined market share of the Parties often exceeds 50%, but the Commission nonetheless concludes that the possibility for a significant impediment on effective competition as a result of the Transaction is improbable and/or unlikely to occur, due to the negligible activity of ITA on each route, resulting in a minimal increment (<2%).[1736]

Table 89

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Bologna-Zurich (BLQ-ZUR)	21W	554	14865	95%	1%	58%	59%	5134	166	no direct competition
	22S	4731		33%	3%	90%	93%	8641	458	no direct competition
	22W	3146		31%	1%	93%	94%	8934	208	no direct competition
	23S	11719		12%	1%	96%	97%	9485	265	no direct competition
	23W	4335		17%	2%	95%	97%	9441	378	no direct competition
Genoa-Munich (GOA-MUC)	21W	375	12695	72%	21%	73%	94%	8896	3106	no direct competition
	22S	9671		1%	1%	99%	100%	9967	131	no direct competition
	22W	3954		3%	1%	98%	99%	9829	287	no direct competition
	23S	8741		3%	2%	97%	100%	9952	450	no direct competition
	23W	2164		10%	7%	91%	98%	9584	1253	no direct competition

[1736] The filter that the Commission has applied in its practice to exclude likely unproblematic routes from its scope of concerns, in relation to the increment brought by the Transaction, was <2%. See cases M.9287 – Connect Airways / Flybe, paragraph 379; M.7541 – IAG/Aer Lingus, paragraphs 151 et seq.; and, M.7333 – Alitalia/Etihad, paragraphs 171 et seq. See also case M.5830 – Aegean/Olympic, footnote 365. This must be distinguished from cases where the increment is higher.

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Naples-Düsseldorf (NAP-DUS)	21W	14598	109136	23%	5%	93%	98%	9604	962	no direct competition
	22S	86705		11%	0%	99%	100%	9956	84	no direct competition
	22W	20073		40%	5%	91%	96%	9225	927	no direct competition
	23S	89063		13%	2%	98%	100%	9914	305	no direct competition
	23W	11086		48%	12%	86%	98%	9526	2015	no direct competition

Source: IATA passenger data, RFI 50 Annex 100.

(1767) Regarding **NAP – DUS**, the Commission concluded that the Transaction will result in a significant impediment to effective competition over the Winter IATA Season (see section 9.4.6.4.3 above). However, the Commission concludes that the Transaction will not result in a significant impediment to effective competition over the Summer IATA Season, considering ITA's negligible market share over Summer IATA 2022 and Summer IATA 2023 which was 0% and 1.5% respectively. Due to the negligible activity of ITA, the Commission concludes that the latter is unlikely to exercise a competitive constraint over Lufthansa's activities on NAP - DUS over the summer season, and that post-Transaction the competitive dynamics will, in essence, remain unchanged.

(1768) Similarly, on route **BLQ – ZRH**, the Commission concludes that the Transaction will not result in a significant impediment to effective competition, considering ITA's negligible market share between Winter 2021/2022 and Summer 2023, which was consistently 1% (and exceptionally 3% over Summer IATA 2022). Due to the negligible activity of ITA, the Commission concludes that the latter is unlikely to exercise a competitive constraint over Lufthansa's activities on BLQ - ZRH over the summer season, and that post-Transaction the competitive dynamics will, in essence, remain unchanged.

(1769) Finally, the Commission reaches the same conclusion on route **GOA – MUC**, due to ITA's *de minimis* market share between Winter 2021/2022 and Summer 2023, which was consistently between 1% and 2% (and exceptionally 21% over Winter IATA 2021/2022).

(1770) In this context, the Commission concludes that the 21% market share that ITA obtained over Winter IATA 2021/2022 is <u>not</u> representative of its actual competitive position on the route because: (i) over the remaining season's ITA's market share was significantly low, and in fact negligible, on a consistent basis; and (ii) the high market share during Winter IATA 2021/2022 is the result of an exceptionally low number of passengers (i.e., 375 passengers) during the Covid19 pandemic. Although the Commission did not apply a passenger traffic filter for its assessment of direct/indirect overlaps in this present case, the inconsistency between the passenger traffic on this route during the remaining IATA seasons, compared to Winter IATA 2021/2022 justifies the conclusion reached regarding the competitive landscape. Consequently, due to the negligible activity of ITA, the Commission concludes that the latter is unlikely to exercise a competitive constraint over Lufthansa's activities on GOA - MUC over the summer season, and that post-Transaction the competitive dynamics will, in essence, remain unchanged.

12.2.3. Indirect-indirect overlaps

12.2.3.1. Routes where the Transaction gives rise to indirect/indirect overlaps during the winter season

(1771) Table 90 below lists a number of routes where the Transaction gives rise to indirect/indirect horizontally affected markets.

(1772) In its past decisional practice, the Commission applied filters to exclude likely unproblematic indirect/indirect short-haul routes from the scope of its investigation (the criterion must have been met in the four last completed IATA Seasons):

(a) The Parties' combined market share are below 25%; or,

(b) One of the Parties has a market share below 2%; or,

(c) The total annual traffic is below 15 000 passengers, or;

(d) The route was below the HHI thresholds of paragraph 20 of the Horizontal Merger Guidelines.[1737]

Table 90

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Bari-Hamburg (BRI-HAM)	21W	1370	21373	100%	1%	81%	82%	6922	224	no direct competition
	22S	16477		39%	6%	89%	95%	8998	1020	no direct competition
	22W	2241		100%	0%	73%	73%	5761	52	no direct competition
	23S	19132		48%	14%	82%	96%	9196	2262	no direct competition
	23W	1909		100%	0%	68%	68%	5058	7	no direct competition
Brindisi-Dusseldorf (BDS-DUS)	21W	330	20476	100%	71%	28%	98%	9702	3937	no direct competition
	22S	21325		13%	3%	97%	100%	9994	517	no direct competition
	22W	812		100%	88%	12%	99%	9853	2049	no direct competition
	23S	19664		14%	5%	95%	100%	10000	868	no direct competition
	23W	854		100%	92%	8%	100%	9953	1403	no direct competition
Cagliari-Hamburg (CAG-HAM)	21W	141	13933	100%	0%	18%	18%	6992	0	no direct competition
	22S	10240		47%	6%	87%	93%	8648	1027	no direct competition
	22W	273		100%	0%	11%	11%	4146	0	no direct competition
	23S	13660		53%	19%	74%	94%	8776	2878	no direct competition
	23W	383		100%	0%	13%	13%	3033	0	no direct competition

[1737] M.9287 – Connect Airways / Flybe, decision dated 05 July 2019, footnote 341.

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Catania-Hamburg (CTA-HAM)	21W	5030	31309	34%	0%	89%	89%	8026	28	no direct competition
	22S	25721		41%	3%	94%	97%	9465	651	no direct competition
	22W	4215		73%	0%	87%	87%	7681	54	no direct competition
	23S	27094		48%	12%	85%	97%	9402	1967	no direct competition
	23W	9084		20%	0%	29%	29%	5376	1	['Wizz Air (66%)']
Florence-Brussels (FLR-BRU)	21W	48042	243657	9%	0%	9%	9%	8127	0	['Ryanair (90%)']
	22S	135792		5%	0%	30%	30%	5716	28	['Ryanair (69%)']
	22W	61010		12%	1%	11%	12%	7699	30	['Ryanair (87%)']
	23S	182647		4%	0%	22%	22%	6455	20	['Ryanair (77%)']
	23W	47433		10%	2%	7%	9%	8186	26	['Ryanair (90%)']
Genoa-Frankfurt (GOA-FRA)	21W	3077	2927	6%	3%	95%	98%	9680	582	no direct competition
	22S	1733		80%	3%	88%	92%	8496	612	no direct competition
	22W	799		87%	3%	87%	90%	8158	437	no direct competition
	23S	2128		100%	24%	71%	96%	9181	3471	no direct competition
	23W	810		83%	23%	53%	76%	6076	2428	['Condor Flugdienst (17%)']
Lamezia-terme-Düsseldorf (SUF-DUS)	21W	114	53019	100%	79%	18%	96%	9323	2770	no direct competition
	22S	54727		2%	1%	59%	60%	4448	92	['Condor Flugdienst (27%)' 'Corendon Group (14%)']
	22W	1076		100%	86%	13%	99%	9798	2278	no direct competition
	23S	51943		4%	3%	68%	71%	5861	394	['Condor Flugdienst (29%)']
	23W	1417		100%	91%	5%	96%	9251	913	no direct competition

City pair	Season	Total pax/season	Annual pax	Indirect share	ITA	DLH	Parties combined	Post HHI	Delta HHI	Direct competitor share
Milan-Geneva (LIN-GVA)	21W	718	4496	90%	11%	75%	87%	7657	1703	no direct competition
	22S	9678		20%	81%	15%	97%	9358	2508	no direct competition
	22W	1366		95%	10%	75%	85%	7390	1515	no direct competition
	23S	3130		100%	9%	79%	88%	7787	1351	no direct competition
	23W	1105		100%	11%	78%	90%	8113	1795	no direct competition
Naples-Hamburg (NAP-HAM)	21W	5627	54211	75%	0%	89%	89%	7985	28	no direct competition
	22S	41306		48%	2%	96%	98%	9539	307	no direct competition
	22W	7462		100%	0%	89%	89%	7966	0	no direct competition
	23S	46749		48%	3%	95%	98%	9524	572	no direct competition
	23W	3810		100%	0%	91%	91%	8362	0	no direct competition
Palermo-Geneva (PMA-GVA)	21W	1899	43242	71%	56%	15%	71%	5891	1679	['Easyjet (29%)']
	22S	30985		17%	8%	9%	17%	7112	146	['Easyjet (83%)']
	22W	2859		89%	66%	18%	84%	7161	2333	['Easyjet (11%)']
	23S	40383		12%	7%	4%	11%	7902	57	['Easyjet (88%)']
	23W	2147		100%	80%	20%	100%	9963	3179	no direct competition
Palermo-Hamburg (PMA-HAM)	21W	821	13394	100%	1%	78%	79%	6438	133	no direct competition
	22S	9199		100%	12%	87%	99%	9789	2065	no direct competition
	22W	1623		100%	0%	84%	84%	7216	21	no direct competition
	23S	11771		98%	23%	68%	90%	8235	3063	no direct competition
	23W	1347		100%	0%	72%	73%	5713	54	no direct competition
Trieste-Munich (TRS-MUC)	21W	136	3920	99%	17%	83%	100%	10000	2810	no direct competition
	22S	4633		11%	0%	15%	16%	7360	10	['Tui Group (84%)']
	22W	341		100%	5%	95%	100%	10000	947	no direct competition
	23S	3579		22%	2%	19%	22%	6604	86	['Tui Group (78%)']
	23W	254		100%	16%	84%	100%	10000	2654	no direct competition

Source: IATA passenger data, RFI 50 Annex 100.

(1773) The Commission concluded that the Transaction will result in a significant impediment to effective competition on a number of routes where there is a direct/indirect overlap, during Summer IATA seasons only (see section 9.4.6):

(a) Brindisi- Dusseldorf;

(b) Bari – Hamburg; and,

(c) Naples – Hamburg

(1774) However, on the above-mentioned routes, the overlaps arising because of the Transaction are only indirect/indirect over the Winter IATA Season, as neither of the Parties operates direct flights on these routes over the winter. By applying the filters indicated in paragraph (1768) above, the Commission concludes that it is unlikely that the Transaction will result in a significant impediment of effective competition on these routes over the Winter IATA Season, considering that the total *seasonal* traffic is well below 7 500 passengers (i.e., half the total annual traffic set in the filter). In particular:

(a) On route **BDS – DUS**, where the Transaction gives rise to an indirect/indirect overlap over the Winter IATA Season,[1738] although the total annual traffic exceeds 15 000 passengers (i.e., 20 476 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data), the overall seasonal traffic over winter is well below 7 500 passengers (i.e., amounted to 330 passengers over Winter IATA 2021/2022 and 812 passengers over Winter IATA 2022/2023).

(b) On route **BRI – HAM**, where the Transaction gives rise to an indirect/indirect overlap over the Winter IATA Season,[1739] although the total annual traffic exceeds 15 000 passengers (i.e., 21 373 annual passengers based on IATA Winter 2022/2023 and Summer 2023 data), the overall seasonal traffic over winter is well below 7 500 passengers (i.e., amounted to 1 370 passengers over Winter IATA 2021/2022 and 2 241 passengers over Winter IATA 2022/2023.

(c) On route **NAP – HAM**, where the Transaction gives rise to an indirect/indirect overlap over the Winter IATA Season, although the total annual traffic exceeds 15 000 passengers (i.e., 54 211 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data), the overall seasonal traffic over winter is well below 7 500 passengers (i.e., amounted to 5 627 passengers over Winter IATA 2021/2022 and 7 462 passengers over Winter IATA 2022/2023).

(1775) Likewise, the Commission further concludes, that due to the annual traffic being below the 15 000-passenger threshold set in its past decisional practice, (which equates with a 7,500 passenger threshold per season), it is unlikely that the Transaction will result in a significant impediment of effective competition on the following routes:

(a) **CTA - HAM** over the Winter IATA season where an indirect/indirect overlap arises. More specifically, although the total annual traffic exceeds 15 000

1738 The Parties confirm that neither Lufthansa or ITA operate direct connections over the Winter IATA Seasons on this route. (Response of Lufthansa and MEF to the Commission's Statement of Objections, dated 11 April 2024, paragraph 380).

1739 The Parties confirm that neither Lufthansa or ITA operate continuous direct connections over the Winter IATA Seasons on this route. In fact, over Winter IATA 2022/2023 and Winter IATA 2023/2024, Lufthansa only operated four direct flights respectively, whereas ITA only offered indirect connections. (Response of Lufthansa and MEF to the Commission's Statement of Objections, dated 11 April 2024, paragraph 374).

passengers (i.e., 31 309 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data), the overall seasonal traffic over winter is well below 7 500 passengers (i.e., amounted to 5 030 passengers over Winter IATA 2021/2022 and 4 215 passengers over Winter IATA 2022/2023).

(b) **CAG – HAM** over the Winter IATA season where an indirect/indirect overlap arises. More specifically, although the total annual traffic does not exceed 15 000 passengers (i.e., 13 933 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data), whereas the overall seasonal traffic over winter is well below 7 500 passengers (i.e., amounted to 141 passengers over Winter IATA 2021/2022 and 273 passengers over Winter IATA 2022/2023).[1740]

(c) **SUF – DUS** over the Winter IATA season where an indirect/indirect overlap arises. More specifically, although the total annual traffic exceeds 15 000 passengers (i.e., 53 019 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data), the overall seasonal traffic over winter is well below 7 500 passengers (i.e., amounted to 114 passengers over Winter IATA 2021/2022 and 1 076 passengers over Winter IATA 2022/2023).

(d) GOA – FRA over both Summer and Winter IATA Seasons where an indirect/indirect overlap arises. More specifically, the total annual traffic does not exceed 15 000 passengers (i.e., 2 927 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data).

(e) MIL – GVA over both Summer and Winter IATA Seasons where an indirect/indirect overlap arises. More specifically, the total annual traffic does not exceed 15 000 passengers (i.e., 4 496 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data).

(f) PMO - HAM over both Summer and Winter IATA Seasons where an indirect/indirect overlap arises. More specifically, the total annual traffic does not exceed 15 000 passengers (i.e., 13 394 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data).

(g) PMO – GVA over Winter IATA Season where an indirect/indirect overlap arises. More specifically, although the total annual traffic exceeds 15 000 passengers (i.e., 43 242 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data), the overall seasonal traffic over winter is well below 7 500 passengers (i.e., amounted to 1 899 passengers over Winter IATA 2021/2022 and 2 859 passengers over Winter IATA 2022/2023).

1740 The Commission notes that over the Summer IATA Seasons, the Transaction gives rise to a direct/indirect overlap on route CAG-HAM. Based on Summer IATA 2022 and 2023 data, the combined market share of the Parties will range between 93%-94% and the increment brought by the Transaction between 6% and 19%. Moreover, no other competitor offers direct flights on this city pair over the Summer IATA Season. Even though the Commission did not find a significant impediment to effective competition on this route, the short-haul remedy package will cover this route since: (i) the route MIL-HAM is part of the New Entrant Remedy package (see remedy sections 14.5.1.1.1 and 14.5.3.1.1 below); and, (ii) the SPA Commitment will give access to all of ITA's domestic network to the new short-haul entrant (see remedy section 14.5.1.1.2 and 14.5.3.1.2 below). Thus, the Commitments will allow the new entrant on the short-haul routes to operate one leg of the CAG-HAM route (MIL-HAM), whilst benefiting from connecting traffic from ITA's operations on CAG-LIN. Therefore, passengers will have an alternative indirect option on the CAG-HAM route, partially operated by ITA and partially operated by the short-haul new entrant.

(h) **TRS – MUC** over both Summer and Winter IATA Seasons where an indirect/indirect overlap arises. More specifically, the total annual traffic does not exceed 15 000 passengers (i.e., 3 920 passengers based on IATA Winter 2022/2023 and Summer 2023 passenger data).

(1776) The Commission further concludes that the Transaction will not result in a significant impediment of effective competition on route **FLR-BRU** over the Winter IATA Season, where the Transaction gives rise to an indirect/indirect overlap, despite the fact that the total annual traffic on the route exceeds the 15 000 passenger threshold (and the seasonal traffic over winter exceed 7 500 passengers). This is because of the low combined market share of the Parties over the Winter IATA Seasons of 2021/2022 and 2022/2023 (i.e., 9%-12% respectively) as well as the existence of an important competitor with a significantly higher market share, namely Ryanair, which operates the city pair from BRU and CLR to PSA (an airport in the proximity of FLR) and its market share is in itself evidence of a dominant position on the route, as it held 87%-90% of the market over the same time period. (See section 12.2.2.4 above on a competitive assessment on the route FLR – BRU over the summer seasons).

12.2.3.2. Indirect/indirect short-haul overlaps

(1777) The Commission assessed the 1274 indirect/indirect short-haul overlaps that the Transaction gave rise to. As indicated above, in its past decisional practice, the Commission applied filters to exclude likely unproblematic indirect/indirect short-haul routes from the scope of its investigation (the criterion must have been met in the four last completed IATA Seasons):

(a) The Parties' combined market shares are below 25%; or,

(b) One of the Parties has a market share below 2%; or,

(c) The total annual traffic is below 15 000 passengers; or,

(d) The route was below the HHI thresholds of paragraph 20 of the Horizontal Merger Guidelines.[1741]

(1778) After considering the filters indicated above in paragraph (1773), 38 potentially problematic routes remain. For these routes the Commission conducted an individual, route-by-route assessment, and although its assessment was not limited to, it focussed in particular on, those where:

(a) The Parties' combined market share was equal to or above 40% in at least one of the four IATA Seasons between IATA Winter 2021/2022 and IATA Summer 2023; and,

(b) The increment brought by the Transaction was equal to or above 5% in at least one of the four IATA Seasons between IATA Winter 2021/2022 and IATA Summer 2023.

(1779) The Commission assessed these overlaps and concluded that the Transaction does not result in significant impediment to effective competition on either of these routes, due to either the generally low passenger traffic, or the availability of direct competition. The Commission notes that it could not exclude on this basis the following routes: BRI-NCE (Summer 2022 IATA Season), PMO-AMS (Winter 2022/2023 Season), ZRH-TUN (Summer 2022 IATA Season).

[1741] Case M.9287 – Connect Airways / Flybe, decision dated 05 July 2019, footnote 341.

(1780) For BRI-NCE, PMO-AMS and ZRH-TUN, the Commission has considered the following specific circumstances:

(a) On the route BRI-NCE, easyJet has entered to route as a direct competitor in the Summer 2023 Season.

(b) On the route PMO-AMS, direct competitors were active on the route during all other IATA Seasons (considering the last 4 complete IATA Seasons).

(c) On the route ZRH-TUN a direct competitor has entered in the last two complete IATA Seasons.

(1781) Based on the circumstances described in section 12.2.3.2, the Commission concludes that the Transaction does not result in significant impediment to effective competition on the short-haul indirect/indirect overlap routes.

12.3. Competitive assessment – horizontal overlaps on long-haul routes

12.3.1. Assessment of non-problematic direct overlaps

(1782) The Commission considers that on the long-haul overlap routes between Milan-New York, Rome-New York, and Rome-Chicago, where both Lufthansa's joint venture partner United Airlines and ITA currently (or very recently) offer direct connections, the Transaction would not significantly impede effective competition for the following reasons.

12.3.1.1. Milan-New York

12.3.1.1.1. Market structure

(1783) The market structure on the route Milan-New York in terms of passengers transported point-to-point (direct and indirect) under the widest plausible market definition is presented in Table 91 below.

(1784) On this route, Milan Malpensa Airport (MXP), Milan Linate Airport (LIN), and Milan Bergamo Airport (BGY) are the relevant airports near Milan. Newark Liberty International Airport (EWR), John F. Kennedy International Airport (JFK), LaGuardia Airport (LGA) and New York Stewart International Airport (SWF) are all located, even though to a different extent, near New York. Therefore, the assessment in this section includes the following airport pairs: MXP-EWR, MXP-JFK, MXP-LGA, MXP-SWF, LIN-EWR, LIN-JFK, LIN-LGA LIN-SWF, BGY-EWR, BGY-JFK, BGY-LGA and BGY-SWF. The following figures on the market structure include both time-sensitive and non-time-sensitive passengers, as well as direct and indirect connections.

(1785) On the route Milan-New York, the following airlines operate with direct flights (based on Winter 2023/24 and Summer 2024): American Airlines, Delta, Emirates, ITA (as explained below ITA exited this route in January 2024), La Compagnie, Neos and Lufthansa's joint venture partner United Airlines. Other airline carriers active on this route operate via indirect flights only.

Table 91: Market shares for Milan-New York (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/24[1742]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA	**1%**	**<1%**	**13%**	**14%**	**15%**	**12%**
A++ JV	**25%**	**20%**	**17%**	**15%**	**15%**	**15%**
Lufthansa Group	*<1%*	*2%*	*2%*	*2%*	*2%*	*2%*
Air Canada	*<1%*	*<1%*	*<1%*	*<1%*	*<1%*	*<1%*
United Airlines	*24%*	*17%*	*14%*	*12%*	*13%*	*13%*
Parties' combined share	**26%**	**21%**	**29%**	**29%**	**30%**	**27%**
Blue Skies JV	**24%**	**20%**	**20%**	**14%**	**20%**	**15%**
Air France-KLM	*<1%*	*<1%*	*1%*	*1%*	*1%*	*1%*
Delta	*23%*	*19%*	*19%*	*13%*	*18%*	*14%*
Virgin Atlantic	-	*<1%*	*<1%*	*<1%*	*<1%*	*<1%*
AA-IAG JV	**19%**	**10%**	**11%**	**13%**	**10%**	**17%**
IAG	*<1%*	*<1%*	*<1%*	*<1%*	*1%*	*2%*
American Airlines	*19%*	*9%*	*11%*	*12%*	*9%*	*16%*
Emirates	25%	40%	27%	27%	26%	22%
Neos	6%	7%	7%	11%	9%	12%
La Compagnie	-	<1%	4%	4%	3%	4%
Other	<1%	1%	1%	1%	2%	3%
HHI Δ	**50**	**33**	**421**	**417**	**443**	**353**
HHI post-merger	**2 237**	**2 583**	**2 168**	**2 075**	**2 134**	**1 882**
# of passengers	**107 729**	**132 294**	**479 102**	**265 662**	**576 048**	**171 940**
Market size (EUR)	**57 929 217**	**70 224 526**	**329 411 443**	**187 543 668**	**430 733 710**	**N/A**

Source: IATA passenger data, RFI 50 Annex 100. Market sizes from RFI 63 Q2.

(1786) The market structure on this route would not change significantly under any other plausible market definition.[1743]

12.3.1.1.2. Competitive assessment

(1787) According to Lufthansa and MEF, ITA has ceased direct operations on this route since January 2024 in order for ITA to fully focus its long-haul operations on its hub in Rome-Fiumicino.[1744] Lufthansa and MEF submit that therefore the Milan-New York route should not be assessed as a direct overlap between the Parties.

(1788) However, given that ITA's business plan from March 2023, covering the period 2023-2027, was already designed assuming that the Transaction will take place (see also section 7.2.3), the Commission considers that it cannot conclude with sufficient

[1742] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available up until January 2024. This table therefore does not include two months of passenger data for Winter 2023/2024 (February 2024 and March 2024). In addition, market size data in EUR for Winter 2023/2024 was not yet available at the time of writing this Decision.

[1743] RFI 64, Q2.

[1744] Form CO, paragraph 1191.

certainty that ITA would also exit this route in the relevant counterfactual where the Transaction does not take place.

(1789) Nevertheless, even assuming ITA would continue to operate a direct connection on this route absent the Transaction, for the reasons set out below, the Commission concludes that the Transaction would not significantly impede effective competition on the route Milan-New York under any plausible market definition during both IATA Winter and Summer season.

(1790) *First*, the Parties' combined share on this route is moderate at 30% or below in each of the last six IATA seasons.

(1791) *Second*, the Parties will continue to face important competition on this route from several competitors with sizable market shares. Namely, as shown in Table 91, the Transaction would leave, in addition to Lufthansa and its A++ JV partners, the following relevant competitors: The Blue Skies JV with markets shares between 14% and 24%, the AA-IAG JV with market shares between 10% and 19%, Emirates with market shares between 21% and 40%, and Neos with market shares between 6% and 13% during the last six IATA seasons. In addition, the above competitors, together with La Compagnie, will continue to offer direct connections on this route. For the reasons outlined in section 10.1.4, airline passengers prefer direct flights over indirect flights and therefore these five competitors will continue to be close competitors to the Parties on this route.

(1792) *Third*, while the views of competitors and customers on the impact of the Transaction on this route are overall mixed and inconclusive, the market investigation did not reveal any substantiated competition concerns for this route.[1745]

(1793) *Fourth*, the Commission has taken into consideration multiple exceptional factors of this case, namely that ITA's long-term competitiveness as a standalone carrier is highly uncertain (see section 7.2.2) and that, following the Transaction, ITA will retain some ability and incentive to compete against Lufthansa's A++ joint venture partners, in particular due to the presence of MEF as a controlling shareholder (see section 10.1.1).

(1794) In conclusion, the Transaction would not significantly impede effective competition with respect to the Milan-New York route during both IATA Winter and Summer season.

12.3.1.2. Rome-New York

12.3.1.2.1. Market structure

(1795) The market structure on the route Rome-New York in terms of passengers transported point-to-point (direct and indirect) is presented in Table 92 below.

(1796) On this route, Rome-Fiumicino (FCO) is the only relevant airport near Rome, as Rome-Ciampino (CIA) is not used for any long-haul connections (both direct and indirect). Newark Liberty International Airport (EWR), John F. Kennedy International Airport (JFK), LaGuardia Airport (LGA) and New York Stewart International Airport (SWF) are all located, even though to a different extent, near New York. Therefore, the assessment in this section includes the following airport pairs: FCO-EWR, FCO-JFK, FCO-LGA and FCO-SWF, but, as explained below, the assessment will not change materially if the airport pairs FCO-LGA and FCO-SWF

[1745] Responses to questions G.1 of questionnaire 04 to long-haul competitors. Responses to question H.2 of questionnaire 06 to short- and long-haul customers.

were not considered part of the same market. The following figures on the market structure include both time-sensitive and non-time-sensitive passengers, as well as direct and indirect connections.

(1797) On the route Rome-New York, the only airlines with direct flights are United Airlines, ITA, and Delta across the whole year, as well as American Airlines and Norse (since Summer 2023) in the summer season only. All other airline carriers active on this route operate via indirect flights only.

Table 92: Market shares for Rome-New York (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/2024[1746]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	**25%**	**19%**	**22%**	**35%**	**19%**	**30%**
A++ JV	**30%**	**38%**	**32%**	**28%**	**26%**	**28%**
United Airlines	*28%*	*34%*	*29%*	*23%*	*23%*	*22%*
Lufthansa Group	*1%*	*3%*	*3%*	*5%*	*3%*	*5%*
Air Canada	*<1%*	*<1%*	*1%*	*<1%*	*1%*	*1%*
Parties' combined share	**54%**	**57%**	**55%**	**63%**	**45%**	**57%**
Blue Skies JV	**25%**	**31%**	**23%**	**26%**	**21%**	**29%**
Delta Air Lines	*25%*	*31%*	*23%*	*26%*	*21%*	*29%*
Air France-KLM	-	-	*<1%*	-	*<1%*	*<1%*
AA-IAG JV	**15%**	**3%**	**16%**	**5%**	**16%**	**6%**
American Airlines	*14%*	*1%*	*15%*	*2%*	*13%*	*2%*
IAG	*1%*	*2%*	*2%*	*3%*	*2%*	*4%*
Norse Atlantic Airways	-	-	-	-	12%	-
TAP Air Portugal	3%	3%	1%	1%	1%	1%
Other	3%	6%	5%	5%	5%	6%
HHI Δ	1 453	1 444	1 432	1 946	1 009	1 650
HHI post-merger	3 795	4 288	3 784	4 678	2 928	4 216
# of passengers	**137 876**	**94 036**	**457 221**	**177 669**	**630 874**	**118 561**
Market size (EUR)	**66 899 733**	**50 033 529**	**307 527 048**	**130 324 595**	**517 380 602**	**N/A**

Source: IATA passenger data, RFI 50 Annex 100. Market sizes from RFI 41 Q2-Q11.

(1798) The market structure on this route would not change significantly under any other plausible market definition.[1747]

12.3.1.2.2. Competitive assessment

(1799) For the reasons set out below, the Commission concludes that the Transaction would not significantly impede effective competition on the route Rome-New York under any plausible market definition during both IATA Winter and Summer season.

[1746] At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available up until January 2024. This table therefore does not include two months of passenger data for Winter 2023/2024 (February 2024 and March 2024). In addition, market size data in EUR for Winter 2023/2024 was not yet available at the time of writing this Decision.

[1747] RFI 64, Q2.

(1800) *First*, despite the Parties' high combined market shares, they will continue to face competition from both the Blue Skies JV and the AA-IAG JV on this route. While the Parties, following the Transaction, will have an airport hub on both ends of the route, both Delta, a member of the Blue Skies JV, and American Airlines, a member of the AA-IAG JV, have an airports hub at New York-JFK airport.[1748] Therefore, in this particular case, these airlines have access to feeder traffic from their short-haul and domestic operations at JFK airport which strengthens their profitability on this route. In addition, the fact that these JVs have an airport hub on one end of this route could mean that these airlines can flexibly adapt capacity in order to respond to changes in demand on this route. Furthermore, given the importance of economies of scale, the fact that both the Blue Skies JV and the AA-IAG JV have airport hubs at JFK airport might enable these airlines to operate direct and indirect operations on this route at a relatively low cost-base and therefore act as a significant competitor to the Parties. Therefore, the Blue Skies JV and the AA-IAG JV are significant competitors to the Parties on this route (albeit the Parties will have some advantages as a result of having an airport hub on both ends of the route).

(1801) *Second*, during the last summer season (Summer 2023), which is the first season since Norse's direct entry on this route, the Parties' combined market share was below 50%, i.e., below the dominance threshold as set out in the Horizontal Guidelines.

(1802) *Third*, during the summer seasons, the Parties will continue to face important competition on this route from three competitors with sizable market shares. Namely, as shown in Table 92, the Transaction would leave, in addition to Lufthansa and its A++ JV partners, the following relevant competitors: the Blue Skies JV with markets shares between 21% and 25%, the AA-IAG JV with market shares between 15% and 16%, and Norse with a market share equal to 12% in the first season that it had entered this route.[1749] The above competitors will continue to offer direct connections on this route during the summer season. For the reasons outlined in section 10.1.4, airline passengers prefer direct flights over indirect flights and therefore these three competitors will continue to be close competitors to the Parties on this route.

(1803) *Fourth*, during the winter seasons, the Parties, despite their high combined market shares, will continue to face competition on this route from a strong competitor, the Blue Skies JV, with market shares ranging from 26% to 31%, as shown in Table 92. The Blue Skies JV will continue to offer direct connections on this route during the winter seasons. As the AA-IAG JV does not have any direct connection on this route in the winter season, its market share is relatively modest during the winter seasons, ranging from 3% to 6%. However, given that JFK airport is an airport hub for American Airlines, a member of the AA-IAG JV, as described at paragraph (1796) above, it therefore is a relevant potential direct competitor on this route during the winter season. Norse is not active during the winter season.

1748 Response of Lufthansa/MEF to a Commission's Request for Information (RFI 23), Annex Q7.

1749 The Commission's in-depth investigation has revealed that, as a result of Norse's relatively unique business model, operating as a low-cost point-to-point long-haul carrier, Norse's continued operation on this route is uncertain. Nevertheless, even if Norse were to exit this route in the future, the Parties would continue to face competition from the Blue Skies JV and the AA-IAG JV.

(1804) *Fifth*, while the views of competitors and customers on the impact of the Transaction on this route are overall mixed and inconclusive, the market investigation did not reveal any substantiated competition concerns for this route.[1750]

(1805) *Sixth*, the Commission has taken into consideration multiple exceptional factors of this case, namely that ITA's long-term competitiveness as a standalone carrier is highly uncertain (see section 7.2.2) and that, following the Transaction, ITA will retain some ability and incentive to compete against Lufthansa's A++ joint venture partners, in particular due to the presence of MEF as a controlling shareholder (see section 10.1.1).

(1806) In conclusion, the Transaction would not significantly impede effective competition with respect to the Rome-New York route during both IATA Winter and Summer season.

12.3.1.3. Rome-Chicago

12.3.1.3.1. Market structure

(1807) The market structure on the route Rome-Chicago in terms of passengers transported point-to-point (direct and indirect) is presented in Table 93 below.

(1808) ITA started operations on this route on 7 April 2024 and is currently actively operating on this route.[1751] As a result of the historical nature of the IATA passenger data that is used to calculate market shares, ITA's entry on this route is not yet reflected in the market shares presented below, which only cover a part of the Winter 2023/24 season.

(1809) On this route, Rome-Fiumicino (FCO) is the only relevant airport near Rome, as Rome-Ciampino (CIA) is not used for any long-haul connections (both direct and indirect). Chicago O'Hare International Airport (ORD) and Chicago Midway International Airport (MDW) are both located, even though to a different extent, near Chicago. Therefore, the assessment in this section includes the following airport pairs: FCO-ORD and FCO-MDW, but, as explained below, the assessment will not change materially if the airport pair FCO-MDW was not considered part of the relevant market. The following figures on the market structure include both time-sensitive and non-time-sensitive passengers, as well as direct and indirect connections.

(1810) On the route Rome-Chicago, the only airlines with direct flights are ITA (since Summer 2024) across the whole year, as well as United Airlines and American Airlines in the summer season only. All other airline carriers active on this route operate via indirect flights only.

1750 Responses to questions G.1 of questionnaire 04 to long-haul competitors. Responses to question H.2 of questionnaire 06 to short- and long-haul customers.

1751 Response by Lufthansa and MEF to the Commission's RFI 44, Q5.

Table 93: Market shares for Rome-Chicago (direct and indirect flights; time-sensitive and non-time-sensitive passengers) in the IATA seasons from Summer 2021 to Winter 2023/2024[1752]

Airline	S21	W21/22	S22	W22/23	S23	W23/24
ITA Airways	**1%**	**1%**	**1%**	**4%**	**<1%**	**<1%**
A++ JV	**28%**	**48%**	**46%**	**41%**	**45%**	**55%**
United Airlines	*18%*	*24%*	*36%*	*18%*	*36%*	*21%*
Lufthansa Group	*7%*	*22%*	*8%*	*21%*	*8%*	*27%*
Air Canada	*3%*	*2%*	*2%*	*2%*	*1%*	*7%*
Parties' combined share	**30%**	**49%**	**47%**	**45%**	**45%**	**55%**
Blue Skies JV	**13%**	**13%**	**3%**	**10%**	**4%**	**9%**
Delta Air Lines	*11%*	*9%*	*2%*	*6%*	*2%*	*6%*
Air France-KLM	*2%*	*5%*	*1%*	*5%*	*1%*	*3%*
AA-IAG JV	**41%**	**18%**	**42%**	**30%**	**43%**	**23%**
American Airlines	*35%*	*6%*	*39%*	*14%*	*38%*	*8%*
IAG	*6%*	*12%*	*3%*	*16%*	*5%*	*16%*
TAP Air Portugal	12%	12%	4%	5%	2%	5%
Other	5%	8%	5%	9%	6%	7%
HHI Δ	81	78	99	319	31	41
HHI post-merger	2 870	3 080	4 006	3 159	3 917	3 758
# of passengers	**20 819**	**16 817**	**134 056**	**33 997**	**180 807**	**22 737**
Market size (EUR)	**10 233 151**	**8 818 559**	**91 743 853**	**25 931 845**	**163 331 617**	**N/A**

Source: IATA passenger data, RFI 50 Annex 100. Market sizes from RFI 41 Q2-Q11.

(1811) The market structure on this route would not change significantly under any other plausible market definition.[1753]

12.3.1.3.2. Competitive assessment

(1812) For the reasons set out below, the Commission concludes that the Transaction would not significantly impede effective competition on the route Rome-Chicago under any plausible market definition during both IATA Winter and Summer season.

(1813) *First*, despite the Parties' high combined market share, they will continue to face competition from the AA-IAG JV on this route. While the Parties, following the Transaction, will have an airport hub on both ends of the route, American Airlines, a member of the AA-IAG JV, has an airport hub at Chicago-ORD airport.[1754] Therefore, in this particular case, the AA-IAG JV has access to significant feeder traffic from American Airlines' short-haul and domestic operations at ORD airport which strengthens its profitability on the route. In addition, the fact that the AA-IAG JV has an airport hub on one end of the route could mean that it can flexibly adapt capacity in order to respond to changes in demand on this route. Furthermore, given

1752 At the time of writing this Decision, passenger data for the Winter 2023/2024 season was only available up until January 2024. This table therefore does not include two months of passenger data for Winter 2023/2024 (February 2024 and March 2024). In addition, market size data in EUR for Winter 2023/2024 was not yet available at the time of writing this Decision.

1753 RFI 64, Q2.

1754 Response of Lufthansa/MEF to a Commission's Request for Information (RFI 23), Annex Q7.

the importance of economies of scale, the fact that the AA-IAG JV has an airport hub at ORD airport might enable it to operate on this route at a relatively low cost-base and therefore act as a significant competitor to the Parties. Therefore, the AA-IAG JV is a significant competitor to the Parties on this route (albeit the Parties will have some advantages as a result of having an airport hub on both ends of the route).

(1814) *Second*, during the summer seasons, the Parties will continue to face competition on this route from a strong competitor, the AA-IAG JV, with market shares ranging in the past, before ITA's market entry, from 41% to 43%, as shown in Table 93. The AA-IAG JV will continue to offer direct connections on this route during the summer seasons. In addition, the Blue Skies JV will keep offering indirect connections on this route, with a market share ranging from 3% to 13% during the summer seasons. Finally, even though it is unclear how competitive TAP Air Portugal will remain on this route in light of the fact that United Airlines and American Airlines' entry on this route in Summer 2022 seems to have impacted TAP's market share during the last two summer season, TAP had a sizeable market share on this route in Summer 2021 equal to 12%.

(1815) *Third*, during the winter season, only ITA operates a direct connection on this route, whereas Lufthansa and its A++ JV partners only operate indirect connections. For the reasons outlined in section 10.1.4, airline passengers prefer direct flights over indirect flights and therefore Lufthansa's A++ JV is likely only to exert limited competitive constraint on ITA on this route. In addition, the Parties will continue to face similar competitive pressure as that from the A++ JV from other airlines with indirect connections on the route. This includes the AA-IAG JV, whose market share on this route during the winter season ranged from 18% to 30%, the Blue Skies JV, whose market share ranged from 9% to 13%, and TAP Air Portugal, whose market share ranged from 7% to 9%, before ITA's market entry.

(1816) *Fourth*, while the views of competitors and customers on the impact of the Transaction on this route are overall mixed and inconclusive, the market investigation did not reveal any substantiated competition concerns for this route.[1755]

(1817) *Fifth,* the Commission has taken into consideration multiple exceptional factors of this case, namely that ITA's long-term competitiveness as a standalone carrier is highly uncertain (see section 7.2.2) and that, following the Transaction, ITA will retain some ability and incentive to compete against Lufthansa's A++ joint venture partners, in particular due to the presence of MEF as a controlling shareholder (see section 10.1.1).

(1818) In conclusion, the Transaction would not significantly impede effective competition with respect to the Rome-Chicago route during both IATA Winter and Summer season.

[1755] Responses to questions G.1 of questionnaire 04 to long-haul competitors. Responses to question H.2 of questionnaire 06 to short- and long-haul customers.

12.3.2. Assessment of non-problematic direct-indirect overlaps

(1819) Consistent with its practice,[1756] the Commission has applied the following filters to exclude likely unproblematic direct / indirectly overlapping routes from the scope of its investigation. For a route to be excluded, at least one of the filters must have been met in all the 4 last completed IATA seasons and for all passenger segmentations:[1757]

(a) The Parties' combined market share was below 25%, or

(b) one of the Parties had a market share below 2%, or

(c) the total annual traffic was below 30 000 passengers,[1758] or

(d) the route was below the HHI thresholds of paragraphs 19 and 20 of the Horizontal Merger Guidelines.[1759]

(1820) Routes where one of the Parties offers a direct flight and the other offers an indirect flight only and that are excluded based on the above filters are not further discussed in this Decision.

(1821) In relation to the remaining overlapping routes where one of the Parties offers a direct flight and the other offers an indirect flight, the Commission has identified the following relevant 12 overlapping O&Ds with origin/destination in the EEA or Switzerland[1760] for which it has found that, even though the conditions for applying the above filters are not met, the Transaction would not significantly impede effective competition:[1761] Athens-Washington (ATH-WAS), Brussel-Tokyo (BRU-TYO), Naples-New York (NAP-NYC), Rome-Boston (ROM-BOS), Rome-Buenos Aires (ROM-BUE), Rome-Delhi (ROM-DEL), Rome-Los Angeles (ROM-LAX), Rome-Miami (ROM-MIA), Rome-Sao Paulo (ROM-SAO), Rome-Tokyo (ROM-TYO), Venice-New York (VCE-NYC), and Zurich-Cairo (ZRH-CAI).

1756 Cases M.9287 - Connect Airways/Flybe (2019), footnote 341 and paragraph 419; M.8361 – Qatar Airways/Alisarda/Meridiana (2017), paragraph 44, M.7541 - IAG/Aer Lingus (2015), paragraphs 44 and 151; M.7333 – Alitalia/Etihad (2014), paragraph 171; M.6828 – Delta/Virgin (2013), footnote 77; M.6607 – US Airways/American Airlines (2013), paragraph 32; M.5830 – Aegean/Olympic I (2011), footnote 365; and M.5747 – BA/Iberia/BA, footnote 50.

1757 The four seasons are Winter 2021/22, Summer 2022, Winter 2022/23, and Summer 2023. Complete passenger data for the IATA Winter 2023/24 season was not available in time for the publication of the Decision.

1758 The total annual traffic was calculated based on the sum of passengers in Winter 2021/22 and Summer 2022, as well as based on the sum of passengers in Winter 2022/23 and Summer 2023. The number of passengers corresponds to bi-directional data, in the sense that it counts each passenger twice if they purchased a round-trip and once if they purchased a one-way trip.

1759 In particular, the Commission excluded concerns on markets where, for the last four completed seasons, the i) post-merger HHI was below 1 000, ii) the post-merger HHI was between 2 000 and 3 000 and the HHI delta was below 250, or iii) the post-merger HHI was above 2 000 and the HHI delta was below 150.

1760 According to a bilateral Agreement between the European Community and the Swiss Confederation on Air Transport (the "ATA"), the Commission has, on an exceptional basis, full jurisdiction to assess potential competition concerns involving undertakings active in air transport markets in Switzerland and, in particular, any concerns on air transport routes between Switzerland and third countries under Article 11(1) of the ATA.

1761 The route Zurich-Cairo is a medium-haul route (with 3-6 hours flight time) rather than long-haul (above 6 hours). For simplicity, this section discusses all relevant routes with one end of the route in the EEA or Switzerland and the other end of the route outside the EEA or Switzerland, independently of whether these routes are medium- or long-haul.

12.3.2.1.Market structure

(1822) A summary of the market shares of these 12 routes is provided in the table below.

Table 94: Summary of market shares on each non-problematic direct/indirect overlapping route

City Pair	Season	Total passengers	ITA	Lufthansa + JV partners	Parties' combined shares	Post-merger HHI	HHI Δ	Main Competitor (%)
ATH-WAS	W21/22	14 438	<1%	56%	56%	3 593	3	AA-IAG JV (18%)
	S22	157 830	<1%	70%	71%	5 127	16	AA-IAG JV (10%)
	W22/23	26 430	1%	56%	57%	3 658	119	AA-IAG JV (17%)
	S23	179 376	6%	62%	68%	4 807	781	Blue Skies JV (13%)
BRU-TYO	W21/22	13 012	<1%	88%	88%	7 813	3	Blue Skies JV (3%)
	S22	43 020	<1%	65%	65%	4 382	2	Turkish Airlines (7%)
	W22/23	36 938	1%	54%	55%	3 258	92	AA-IAG JV (9%)
	S23	107 992	2%	49%	52%	3 023	242	Emirates Airline (12%)
NAP-NYC	S22	83 353	5%	64%	69%	5 143	632	AA-IAG JV (12%)
	S21	109 890	10%	61%	71%	5 352	1 221	AA-IAG JV (13%)
ROM-BOS	W21/22	27 984	13%	33%	46%	2 753	864	Blue Skies JV (20%)
	S22	203 760	26%	10%	36%	3 350	501	Blue Skies JV (46%)
	W22/23	60 520	42%	14%	56%	3 690	1 174	AA-IAG JV (22%)
	S23	250 810	26%	9%	35%	3 375	459	Blue Skies JV (46%)
ROM-BUE	W21/22	28 992	1%	10%	11%	2 376	19	Air Europa (28%)
	S22	170 612	37%	6%	42%	2 710	418	Aerolíneas Argentinas (26%)
	W22/23	133 506	48%	2%	49%	3 487	161	Aerolíneas Argentinas (31%)
	S23	281 884	39%	7%	46%	3 621	563	Aerolíneas Argentinas (38%)
ROM-DEL	W21/22	16 702	<1%	3%	3%	2 030	<1	Qatar Airways (29%)
	S22	58 368	-	5%	5%	1 386	-	Etihad Airways (23%)
	W22/23	58 926	28%	3%	31%	1 883	174	Emirates Airline (19%)
	S23	81 362	52%	6%	58%	3 584	580	Etihad Airways (9%)

City Pair	Season	Total passengers	ITA	Lufthansa + JV	Parties' combined	Post-merger	HHI Δ	Main Competitor
ROM-LAX	W21/22	22 562	2%	39%	41%	3 061	150	Blue Skies JV (32%)
	S22	162 336	43%	21%	64%	4 503	1 824	AA-IAG JV (14%)
	W22/23	46 958	38%	18%	56%	3 745	1 370	Blue Skies JV (18%)
	S23	172 714	36%	20%	56%	3 703	1 415	AA-IAG JV (16%)
ROM-MIA	W21/22	25 634	15%	20%	34%	2 201	576	Blue Skies JV (22%)
	S22	134 995	53%	8%	61%	4 251	833	AA-IAG JV (22%)
	W22/23	76 696	66%	5%	70%	5 182	635	AA-IAG JV (11%)
	S23	147 988	45%	7%	52%	3 358	669	AA-IAG JV (21%)
ROM-SAO	W21/22	23 132	5%	10%	16%	1 699	109	TAP Air Portugal (24%)
	S22	170 018	29%	7%	36%	2 240	394	LATAM Airlines (23%)
	W22/23	123 584	41%	2%	43%	2 902	189	LATAM Airlines (29%)
	S23	278 086	36%	4%	39%	2 701	268	LATAM Airlines (30%)
ROM-TYO	W21/22	2 190	6%	32%	37%	2 130	365	Qatar Airways (20%)
	S22	17 136	1%	20%	21%	1 522	44	Etihad Airways (21%)
	W22/23	32 028	27%	14%	41%	2 313	739	Etihad Airways (15%)
	S23	93 553	40%	13%	53%	3 154	1 058	Emirates Airline (13%)
VCE-NYC	W21/22	29 386	6%	43%	48%	2 965	482	Blue Skies JV (30%)
	S22	208 862	2%	46%	48%	3 674	214	Blue Skies JV (41%)
	W22/23	60 514	10%	38%	49%	3 003	792	Blue Skies JV (31%)
	S23	285 044	4%	43%	47%	3 485	336	Blue Skies JV (41%)
ZRH-CAI	W21/22	18 802	<1%	78%	78%	6 283	7	Turkish Airlines (9%)
	S22	41 438	1%	78%	79%	6 381	167	Turkish Airlines (7%)
	W22/23	32 988	2%	74%	75%	5 844	249	Aegean Airlines (9%)
	S23	53 866	4%	66%	70%	5 069	525	Other (10%)

Source: IATA passenger data, RFI 36 Annex 100.

(1823) The market structure on these routes would not change significantly under any other plausible market definition.[1762]

[1762] RFI 64, Q2.

12.3.2.2. Competitive assessment

(1824) For the reasons set out below, the Commission concludes that the Transaction would not significantly impede effective competition on these routes under any plausible market definition during both IATA Winter and Summer season:

(1825) *First*, the Parties' combined share is moderate or relatively moderate (below 40%)[1763] or below the dominance threshold (below 50%)[1764] over each of the last four complete IATA seasons for 6 out of 12 routes. As of the remaining 6 routes where the Parties' combined markets shares are higher than 50% in some of the last four complete IATA seasons, on three of these routes (i.e., Athens-Washington, Brussel-Tokyo, and Zurich-Cairo), the increment arising as a result of the Transaction is small (between 1% and 6%). On the other three routes (i.e., Rome-Miami, Rome-Los Angeles and Naples-New York), the Parties will continue to face significant competition from both the Blue Skies JV and the AA-IAG JV. Notably:

(a) On the Rome-Miami route, while the A++ JV does not have an airport hub in Miami, American Airlines (which is part of the AA-IAG JV) does have an airport hub in Miami.[1765] Therefore, as further illustrated in section 10.1.2 of this Decision, the AA-IAG JV has access to significant feeder traffic in Miami. In addition, the fact that this JV has an airport hub on one end of this route could mean that it can flexibly adapt capacity in order to respond to changes in demand on this route. Furthermore, given economies of scale, the fact that the AA-IAG JV has an airport hub in Miami means that this airline can operate on this route at relatively low cost. Therefore, the AA-IAG JV is a significant (potential) competitor to the Parties on the Rome-Miami route. This is also exemplified by its sizeable market shares on this route, equal to between 11% and 32% over the last six seasons.[1766] Other relevant competitors on this route include the Blue Skies JV (with market shares ranging from 6% to 21%), TAP Air Portugal (with market shares ranging from 4% to 13%) and Air Europa (with market shares ranging from 2% to 15%).[1767]

(b) On the Rome-Los Angeles route, both the AA-IAG JV and the Blue Skies JV are competitors to the Parties. In particular, in addition to United Airlines (A++ JV), both American Airlines (AA-IAG JV) and Delta (Blue Skies JV) have an airport hub at LAX airport in Los Angeles.[1768] Therefore, as further illustrated in section 10.1.2 of this Decision, both the AA-IAG JV and the Blue Skies JV have access to significant feeder traffic in Los Angeles. In addition, the fact that these JVs have an airport hub on one end of this route could mean that these airlines can flexibly adapt capacity in order to respond to changes in demand on these routes. Furthermore, given economies of scale, the fact that both the Blue Skies JV and the AA-IAG JV have airport hub at LAX airport means that these airlines can operate on these routes at relatively low cost. This is also exemplified by their market shares on this route, with the AA-IAG JV

1763 This applies to Rome-Delhi (except in Summer 2023) and Rome-Sao Paulo (except in Winter 2022/23).
1764 This applies to Rome-Boston (except in Winter 2022/23), Rome-Buenos Aires, Rome-Tokyo (except Summer 2023), and Venice-New York.
1765 RFI 23, Annex Q7.
1766 IATA passenger data, RFI 36 Annex 100.
1767 IATA passenger data, RFI 36 Annex 100.
1768 RFI 23, Annex Q7.

having a market share equal to between 14% and 27% over the last six seasons and the Blue Skies JV having a market share equal to 10% to 35%.[1769]

(c) On the Naples-New York route (summer only),[1770] Delta of the Blue Skies JV started a direct operation with five weekly frequencies in Summer 2024. While this direct entry is not reflected in the historical market share data, it is likely that, given that passengers prefer direct flights over indirect flights, Delta will compete closely with United Airlines' direct connection on this route, whereas ITA, which only operates indirectly on this route, will be a less close competitor to United Airlines on this route.

(1826) *Second*, the increment arising as a result of the Transaction is low (below 5%) to moderate (between 5% and 10%) on 6 out of 12 of these routes. Notably, based on the last four seasons, the increment is low on Athens-Washington (except in Summer 2023 where it was 6%), Brussel-Tokyo, and Zurich-Cairo and moderate on Rome-Buenos Aires, Rome-Delhi, and Rome-Sao Paulo. In addition, on the Venice-New York the increment was slightly above 10% only in Winter 2022/23.

(1827) *Third*, in addition to the route Naples-New York, the Parties face competition from competitors with a direct connection on the following routes. During both summer and winter seasons, Delta (from the Blue Skies JV) operates direct connections on the Rome-Boston and Venice-New York routes, Aerolíneas Argentinas on the Rome-Buenos Aires route, and LATAM Airlines on the Rome-Sao Paulo route.[1771] For the reasons outlined in section 10.1.4, passengers prefer direct connections over indirect connections, and therefore these competitors are particularly strong competitors to the Parties on these routes.

(1828) *Fourth*, while the views of competitors and customers on the impact of the Transaction on these routes are overall mixed and inconclusive, the market investigation did not reveal any substantiated competition concerns for these routes.[1772]

(1829) *Fifth*, the Commission has taken into consideration multiple exceptional factors of this case, namely that ITA's long-term competitiveness as a standalone carrier is highly uncertain (see section 7.2.2) and that, following the Transaction, ITA will retain some ability and incentive to compete against Lufthansa's A++ joint venture partners, in particular due to the presence of MEF as a controlling shareholder (see section 10.1.1).

(1830) In conclusion, the Transaction would not significantly impede effective competition with respect to the 12 direct / indirect overlapping routes identified above.

12.3.3. Assessment of non-problematic indirect-indirect overlaps

(1831) Consistent with its practice,[1773] the Commission has applied the following filters to exclude likely unproblematic routes where the Parties overlap indirectly only from

---

1769 IATA passenger data, RFI 36 Annex 100.

1770 As ITA and the A++ JV both only operate indirectly on this route in winter seasons, the route Naples-New York in the winter season is discussed in the next section.

1771 Based on IATA frequency data, RFI 31 Annex 100.

1772 Responses to questions G.1 of questionnaire 04 to long-haul competitors. Responses to question H.2 of questionnaire 06 to short- and long-haul customers.

1773 Cases M.9287 - Connect Airways/Flybe (2019), footnote 341 and paragraph 419; M.8361 – Qatar Airways/Alisarda/Meridiana (2017), paragraph 44, M.7541 - IAG/Aer Lingus (2015), paragraphs 44 and 151; M.7333 – Alitalia/Etihad (2014), paragraph 171; M.6828 – Delta/Virgin (2013), footnote 77;

the scope of its investigation. For a route to be excluded, at least one of the filters must have been met in all the 4 last completed IATA seasons and for all passenger segmentations:[1774]

(a) The Parties' combined market share was below 25%, or

(b) one of the Parties had a market share below 2%, or

(c) the total annual traffic was below 30 000 passengers,[1775] or

(d) the route was below the HHI thresholds of paragraphs 19 and 20 of the Horizontal Merger Guidelines.[1776]

(1832) Routes where the Parties overlap via indirect connections only that are excluded based on these filters are not further discussed in this Decision.

(1833) In relation to the remaining overlapping long-haul routes where both Parties offer indirect flights only, the Commission has identified the following 38 relevant overlapping O&Ds with origin/destination in the EEA or Switzerland[1777] for which it has found that, even though the conditions for applying the above filters are not met, the Transaction would not significantly impede effective competition: Athens-Boston (ATH-BOS), Athens-Los Angeles (ATH-LAX), Athens-Miami (ATH-MIA), Barcelona-Delhi (BCN-DEL), Barcelona-Tokyo (BCN-TYO), Bologna-New York (BLQ-NYC), Catania-New York (CTA-NYC), Florence-Boston (FLR-BOS), Florence-Los Angeles (FLR-LAX), Florence-New York (FLR-NYC), Geneva-Sao Paulo (GVA-SAO), Madrid-Tokyo (MAD-TYO), Milan-Boston (MIL-BOS), Milan-Buenos Aires (MIL-BUE), Milan-Los Angeles (MIL-LAX), Milan-Miami (MIL-MIA), Milan-San Francisco (MIL-SFO), Milan-Tokyo (MIL-TYO), Milan-Washington (MIL-WAS), Munich-Sao Paulo (MUC-SAO), Naples-Boston (NAP-BOS), Naples-New York (NAP-NYC), Palermo-New York (PMO-NYC), Rome-Charlotte (ROM-CLT), Rome-Denver (ROM-DEN), Rome-Dallas/Fort Worth (ROM-DFW), Rome-Detroit (ROM-DTT), Rome-Orlando (ROM-ORL), Rome-San Diego (ROM-SAN), Rome-Seattle (ROM-SEA), Rome-Tampa (ROM-TPA), Venice-Boston (VCE-BOS), Venice-Los Angeles (VCE-LAX), Venice-Miami (VCE-MIA), Venice-San Francisco (VCE-SFO), Venice-Tokyo (VCE-TYO), Venice-Washington (VCE-WAS), and Zurich-Buenos Aires (ZRH-BUE).

M.6607 – US Airways/American Airlines (2013), paragraph 32; M.5830 – Aegean/Olympic I (2011), footnote 365; and M.5747 – BA/Iberia/BA , footnote 50.

1774 The four seasons are Winter 2021/22, Summer 2022, Winter 2022/23, and Summer 2023. Complete passenger data for the IATA Winter 2023/24 season was not available in time for the publication of the Decision.

1775 The total annual traffic was calculated based on the sum of passengers in Winter 2021/22 and Summer 2022, as well as based on the sum of passengers in Winter 2022/23 and Summer 2023. The number of passengers corresponds to bi-directional data, in the sense that it counts each passenger twice if they purchased a round-trip and once if they purchased a one-way trip.

1776 In particular, the Commission excluded concerns on markets where, for the last four completed seasons, the i) post-merger HHI was below 1 000, ii) the post-merger HHI was between 2 000 and 3 000 and the HHI delta was below 250, or iii) the post-merger HHI was above 2 000 and the HHI delta was below 150.

1777 According to the ATA, the Commission has, on an exceptional basis, full jurisdiction to assess potential competition concerns involving undertakings active in air transport markets in Switzerland and, in particular, any concerns on air transport routes between Switzerland and third countries under Article 11(1) of the ATA.

12.3.3.1.Market structure

(1834) A summary of the market shares is provided in the table below.

Table 95: Summary of market shares on each non-problematic indirect/indirect overlapping route

City Pair	Season	Total passengers	ITA	Lufthansa + JV partners	Parties' combined share	Post-merger HHI	HHI Δ	Main Competitor (%)
ATH-BOS	W21/22	16 360	<1%	60%	60%	4 031	25	Blue Skies JV (15%)
	S22	124 060	2%	27%	29%	2 594	82	Blue Skies JV (44%)
	W22/23	21 588	3%	51%	53%	3 414	260	AA-IAG JV (18%)
	S23	137 370	3%	26%	28%	2 768	135	Blue Skies JV (47%)
ATH-LAX	W21/22	19 620	<1%	42%	42%	2 513	5	Blue Skies JV (25%)
	S22	166 376	4%	40%	44%	2 602	284	AA-IAG JV (25%)
	W22/23	32 764	3%	46%	49%	2 916	289	AA-IAG JV (21%)
	S23	180 914	5%	39%	44%	2 537	360	Blue Skies JV (23%)
ATH-MIA	W21/22	13 824	<1%	42%	42%	2 676	2	Turkish Airlines (27%)
	S22	83 982	3%	28%	31%	2 252	146	AA-IAG JV (30%)
	W22/23	21 792	6%	42%	48%	2 972	485	Turkish Airlines (21%)
	S23	92 932	4%	33%	37%	2 324	250	Turkish Airlines (23%)
BCN-DEL	W21/22	30 840	-	11%	11%	1 783	-	Qatar Airways (28%)
	S22	65 834	-	15%	15%	1 525	-	Etihad Airways (24%)
	W22/23	64 596	3%	7%	10%	1 593	44	Etihad Airways (28%)
	S23	77 882	12%	15%	28%	1 916	377	Etihad Airways (29%)
BCN-TYO	W21/22	6 498	1%	23%	24%	1 538	30	Qatar Airways (19%)
	S22	41 608	<1%	30%	30%	1 757	9	Qatar Airways (17%)
	W22/23	61 122	3%	27%	30%	1 679	164	Etihad Airways (16%)
	S23	155 618	12%	27%	39%	2 103	656	Emirates Airline (18%)
BLQ-NYC	W21/22	4 852	1%	42%	43%	3 337	99	Blue Skies JV (33%)
	S22	19 061	6%	40%	46%	3 313	484	AA-IAG JV (25%)
	W22/23	10 948	10%	36%	46%	3 492	716	AA-IAG JV (31%)
	S23	28 128	17%	34%	51%	3 554	1 174	AA-IAG JV (25%)

City Pair	Season	Total passengers	ITA	Lufthansa + JV partners	Parties' combined share	Post-merger HHI	HHI Δ	Main Competitor (%)
CTA-NYC	W21/22	3 556	61%	10%	71%	5 498	1 261	Blue Skies JV (28%)
	S22	23 857	48%	26%	74%	5 695	2 497	Blue Skies JV (13%)
	W22/23	7 576	67%	11%	78%	6 434	1 457	Blue Skies JV (17%)
	S23	30 191	51%	30%	80%	6 656	3 007	Blue Skies JV (13%)
FLR-BOS	W21/22	9 160	<1%	47%	47%	3 636	23	Blue Skies JV (51%)
	S22	40 602	3%	43%	46%	3 258	285	Blue Skies JV (46%)
	W22/23	17 084	6%	45%	51%	3 599	562	Blue Skies JV (43%)
	S23	53 190	7%	34%	40%	2 730	436	Blue Skies JV (46%)
FLR-LAX	W21/22	9 980	<1%	49%	49%	4 668	4	Blue Skies JV (49%)
	S22	44 352	5%	47%	52%	4 488	503	Blue Skies JV (43%)
	W22/23	14 294	2%	52%	54%	4 759	201	Blue Skies JV (45%)
	S23	47 462	8%	38%	47%	3 553	625	Blue Skies JV (47%)
FLR-NYC	W21/22	10 157	<1%	52%	53%	4 813	35	Blue Skies JV (46%)
	S22	43 458	4%	46%	50%	4 099	398	Blue Skies JV (39%)
	W22/23	19 178	13%	46%	58%	4 823	1 152	Blue Skies JV (37%)
	S23	53 521	12%	39%	50%	3 735	889	Blue Skies JV (34%)
GVA-SAO	W21/22	38 290	<1%	28%	28%	2 064	18	Blue Skies JV (20%)
	S22	30 072	3%	27%	30%	2 223	150	TAP Air Portugal (24%)
	W22/23	42 690	8%	18%	26%	2 060	283	Blue Skies JV (22%)
	S23	36 468	3%	25%	28%	2 186	142	TAP Air Portugal (24%)
MAD-TYO	W21/22	6 372	<1%	14%	14%	1 441	7	Emirates Airline (20%)
	S22	35 710	<1%	17%	17%	1 503	4	Etihad Airways (21%)
	W22/23	48 838	4%	19%	23%	1 430	143	Etihad Airways (19%)
	S23	151 170	13%	18%	31%	1 575	481	Emirates Airline (15%)
MIL-BOS	W21/22	16 084	1%	39%	40%	2 346	55	Blue Skies JV (31%)
	S22	69 682	5%	36%	41%	2 384	382	Blue Skies JV (27%)
	W22/23	29 724	6%	30%	37%	2 325	391	AA-IAG JV (32%)
	S23	92 320	6%	28%	34%	2 163	346	Blue Skies JV (33%)

City Pair	Season	Total passengers	ITA	Lufthansa + JV partners	Parties' combined share	Post-merger HHI	HHI Δ	Main Competitor (%)
MIL-BUE	W21/22	29 374	1%	14%	15%	2 299	23	Air Europa (30%)
	S22	60 306	20%	16%	37%	2 253	662	Air Europa (21%)
	W22/23	56 324	36%	7%	43%	2 569	479	Air Europa (20%)
	S23	72 104	30%	18%	48%	2 824	1 056	Air Europa (14%)
MIL-LAX	W21/22	33 892	<1%	35%	36%	2 149	32	Blue Skies JV (30%)
	S22	144 192	7%	35%	42%	2 386	495	AA-IAG JV (25%)
	W22/23	49 210	5%	30%	35%	2 171	281	AA-IAG JV (36%)
	S23	157 900	6%	31%	37%	2 106	388	AA-IAG JV (28%)
MIL-MIA	W21/22	54 028	1%	27%	28%	1 616	67	AA-IAG JV (31%)
	S22	113 134	14%	18%	32%	1 835	491	AA-IAG JV (34%)
	W22/23	82 346	16%	18%	35%	2 116	596	AA-IAG JV (38%)
	S23	124 100	9%	16%	25%	1 669	296	AA-IAG JV (36%)
MIL-SFO	W21/22	10 528	<1%	56%	56%	3 773	2	Blue Skies JV (20%)
	S22	57 511	1%	58%	59%	4 010	167	Blue Skies JV (16%)
	W22/23	21 594	1%	55%	56%	3 704	147	AA-IAG JV (18%)
	S23	71 912	5%	47%	53%	3 439	502	AA-IAG JV (19%)
MIL-TYO	W21/22	7 218	3%	37%	41%	2 244	251	Japan Airlines (14%)
	S22	51 584	<1%	31%	31%	1 682	14	Etihad Airways (15%)
	W22/23	65 984	6%	28%	33%	1 731	307	Etihad Airways (17%)
	S23	201 236	11%	27%	38%	1 906	598	Emirates Airline (13%)
MIL-WAS	W21/22	13 712	<1%	44%	44%	2 548	9	Blue Skies JV (26%)
	S22	68 666	4%	50%	53%	3 203	354	Blue Skies JV (19%)
	W22/23	28 784	6%	41%	47%	2 831	456	AA-IAG JV (25%)
	S23	90 578	5%	38%	44%	2 538	411	Blue Skies JV (24%)
MUC-SAO	W21/22	19 406	<1%	35%	35%	2 036	10	Blue Skies JV (16%)
	S22	40 118	2%	34%	35%	2 087	110	LATAM Airlines (15%)
	W22/23	30 062	4%	27%	31%	1 947	207	TAP Air Portugal (19%)
	S23	43 802	2%	31%	33%	2 047	151	TAP Air Portugal (17%)

City Pair	Season	Total passengers	ITA	Lufthansa + JV partners	Parties' combined share	Post-merger HHI	HHI Δ	Main Competitor (%)
NAP-BOS	W21/22	4 078	<1%	48%	48%	2 959	24	AA-IAG JV (22%)
	S22	42 314	4%	37%	41%	3 016	269	AA-IAG JV (35%)
	W22/23	6 150	5%	51%	57%	3 742	566	Blue Skies JV (30%)
	S23	59 680	6%	28%	34%	2 865	331	AA-IAG JV (38%)
NAP-NYC (Winter only)	W21/22	5 618	4%	42%	47%	3 268	352	Blue Skies JV (25%)
	W22/23	13 637	24%	38%	62%	4 671	1 806	Blue Skies JV (29%)
PMO-NYC	W21/22	9 166	74%	12%	86%	7 619	1 770	Blue Skies JV (13%)
	S22	60 960	53%	26%	78%	6 311	2 717	Blue Skies JV (10%)
	W22/23	16 122	68%	15%	83%	7 099	2 022	Blue Skies JV (15%)
	S23	71 630	54%	30%	84%	7 171	3 247	Other (7%)
ROM-CLT	W21/22	5 004	1%	39%	40%	3 193	108	Blue Skies JV (31%)
	S22	45 838	1%	14%	16%	6 277	35	AA-IAG JV (77%)
	W22/23	7 990	5%	25%	30%	3 399	262	AA-IAG JV (43%)
	S23	67 052	1%	12%	12%	5 900	21	AA-IAG JV (75%)
ROM-DEN	W21/22	11 196	<1%	74%	75%	5 804	29	Blue Skies JV (13%)
	S22	61 434	2%	67%	69%	5 090	321	AA-IAG JV (17%)
	W22/23	18 522	4%	67%	70%	5 241	492	AA-IAG JV (15%)
	S23	77 320	2%	66%	68%	4 858	213	AA-IAG JV (16%)
ROM-DFW	W21/22	14 632	1%	25%	26%	2 711	71	AA-IAG JV (46%)
	S22	91 054	1%	9%	10%	5 891	19	AA-IAG JV (78%)
	W22/23	26 924	7%	18%	25%	2 458	259	AA-IAG JV (51%)
	S23	133 402	2%	7%	10%	5 380	34	AA-IAG JV (76%)
ROM-DTT	W21/22	6 574	3%	25%	27%	4 344	131	Blue Skies JV (70%)
	S22	43 796	8%	19%	27%	3 749	311	Blue Skies JV (64%)
	W22/23	16 586	11%	19%	30%	4 089	412	Blue Skies JV (64%)
	S23	79 602	2%	14%	16%	6 085	48	Blue Skies JV (81%)

City Pair	Season	Total passengers	ITA	Lufthansa + JV partners	Parties' combined share	Post-merger HHI	HHI Δ	Main Competitor (%)
ROM-ORL	W21/22	10 426	3%	45%	49%	3 784	315	Blue Skies JV (36%)
	S22	46 916	9%	33%	42%	3 148	597	AA-IAG JV (30%)
	W22/23	18 180	18%	22%	40%	3 377	795	Blue Skies JV (39%)
	S23	66 448	8%	39%	47%	3 395	588	AA-IAG JV (26%)
ROM-SAN	W21/22	7 820	4%	43%	47%	3 265	349	AA-IAG JV (30%)
	S22	41 608	5%	44%	50%	3 481	480	AA-IAG JV (36%)
	W22/23	14 064	9%	38%	47%	3 133	694	AA-IAG JV (36%)
	S23	52 610	5%	44%	48%	3 341	416	AA-IAG JV (35%)
ROM-SEA	W21/22	9 098	4%	24%	28%	2 851	176	Blue Skies JV (46%)
	S22	57 280	7%	27%	34%	2 340	387	Blue Skies JV (36%)
	W22/23	17 940	9%	14%	22%	2 510	234	Blue Skies JV (39%)
	S23	76 590	2%	19%	21%	1 787	73	Blue Skies JV (31%)
ROM-TPA	W21/22	6 844	2%	42%	44%	3 828	200	Blue Skies JV (43%)
	S22	40 056	9%	30%	38%	3 278	516	AA-IAG JV (31%)
	W22/23	12 496	10%	24%	34%	3 243	493	Blue Skies JV (41%)
	S23	53 550	3%	30%	34%	3 226	208	Blue Skies JV (37%)
VCE-BOS	W21/22	7 872	1%	44%	46%	2 802	117	Blue Skies JV (30%)
	S22	49 604	5%	34%	39%	2 354	337	Blue Skies JV (28%)
	W22/23	13 434	6%	42%	48%	3 066	524	Blue Skies JV (23%)
	S23	64 208	6%	25%	32%	2 183	320	Blue Skies JV (34%)
VCE-LAX	W21/22	14 284	<1%	46%	46%	3 311	45	Blue Skies JV (34%)
	S22	77 916	5%	40%	46%	2 724	436	Blue Skies JV (26%)
	W22/23	22 636	5%	36%	40%	2 757	341	Blue Skies JV (32%)
	S23	87 936	6%	36%	42%	2 505	434	Blue Skies JV (31%)
VCE-MIA	W21/22	16 282	1%	43%	44%	2 729	99	Blue Skies JV (22%)
	S22	55 734	7%	24%	31%	2 054	319	AA-IAG JV (37%)
	W22/23	28 040	17%	25%	43%	2 705	883	AA-IAG JV (29%)
	S23	55 580	9%	19%	28%	1 782	357	AA-IAG JV (34%)

City Pair	Season	Total passengers	ITA	Lufthansa + JV partners	Parties' combined share	Post-merger HHI	HHI Δ	Main Competitor (%)
VCE-SFO	W21/22	8 662	<1%	65%	66%	4 801	36	Blue Skies JV (22%)
	S22	50 534	<1%	59%	59%	3 946	20	Blue Skies JV (21%)
	W22/23	13 932	<1%	66%	66%	4 785	49	Blue Skies JV (18%)
	S23	57 220	4%	53%	57%	3 707	452	Blue Skies JV (19%)
VCE-TYO	W21/22	1 484	1%	47%	48%	2 947	89	Emirates Airline (14%)
	S22	11 622	<1%	38%	38%	2 340	4	Turkish Airlines (22%)
	W22/23	14 702	7%	31%	39%	2 745	461	Turkish Airlines (31%)
	S23	52 200	15%	30%	44%	2 972	874	Emirates Airline (27%)
VCE-WAS	W21/22	8 550	<1%	46%	46%	2 919	43	Blue Skies JV (23%)
	S22	47 970	<1%	47%	47%	2 695	19	Blue Skies JV (21%)
	W22/23	15 408	1%	46%	47%	3 018	110	Blue Skies JV (24%)
	S23	61 666	4%	40%	44%	2 585	342	Blue Skies JV (24%)
ZRH-BUE	W21/22	20 962	<1%	50%	50%	3 280	13	Blue Skies JV (18%)
	S22	24 400	4%	46%	50%	3 296	339	Blue Skies JV (21%)
	W22/23	31 462	2%	45%	47%	3 166	176	Air Europa (23%)
	S23	29 400	4%	45%	50%	3 302	389	Blue Skies JV (19%)

Source: IATA passenger data, RFI 36 Annex 100.

(1835) The market structure on these routes would not change significantly under any other plausible market definition.[1778]

12.3.3.2. Competitive assessment

(1836) For the reasons set out below, the Commission concludes that the Transaction would not significantly impede effective competition on these routes under any plausible market definition during both IATA Winter and Summer season:

(1837) *First*, the Parties' combined share is only moderately high (below 40%)[1779] or below the dominance threshold (below 50%)[1780] on 28 out of 38 of these routes in each of the last four complete IATA seasons. On two additional routes, the Parties'

1778 RFI 64, Q2.

1779 This applies to the following 9 routes: Barcelona-Delhi, Geneva-Sao Paulo, Madrid-Tokyo, Milan-Miami, Munich-Sao Paulo, Rome-Charlotte, Rome-Dallas/Fort Worth, Rome-Detroit, and Rome-Seattle.

1780 In addition to the routes listed in the previous footnote, this applies to the following 19 routes: Athens-Los Angeles, Athens-Miami, Barcelona-Tokyo, Florence-Boston (except in Winter 2022/23 where it was slightly above 50%), Milan-Boston, Milan-Buenos Aires, Milan-Los Angeles, Milan-Tokyo, Milan-Washington (except in Winter 2021/22 and Summer 2022), Naples-Boston (except in Winter 2022/23), Rome-Orlando, Rome-San Diego, Rome-Tampa, Venice-Boston, Venice-Los Angeles, Venice-Miami, Venice-Tokyo, Venice-Washington, and Zurich-Buenos Aires.

combined share is below or only slightly above 50% in most of the last four seasons.[1781]

(1838) *Second*, the increment arising as a result of the Transaction is low (below 5%)[1782] to moderate (between 5% and 10%)[1783] on 25 out of 38 of these routes.

(1839) *Third*, on most of these routes (except those discussed in more detail below, see sixth point), the Parties' combined market shares are below the dominance threshold with at most moderate increments (up to 10%) or the increment from the Transaction is low (<5%).

(1840) *Fourth*, on most of these routes, the Parties will continue to face competition from several competitors with sizable market shares and, on many routes, the Parties will continue to face competition from at least one competitor with a market share that is higher or of similar magnitude to the Parties' combined market share.

(1841) *Fifth*, on some routes, the Parties face competition from competitors with a direct connection on the route. During the summer season only, American Airlines (from the AA-IAG JV) operates a direct connection on the Rome-Charlotte route, whereas Delta (from the Blue Skies JV) operates direct connections on the Athens-Boston and Rome-Dallas/Fort Worth routes. In addition, American Airlines operates a direct connection on the Rome-Dallas/Fort Worth route during both summer and winter seasons.[1784] For the reasons outlined in section 10.1.4, passengers prefer direct connections over indirect connections, and therefore these competitors are particularly strong competitors to the Parties' indirect connections on these routes.

(1842) *Sixth*, the only indirect-indirect overlapping long-haul routes on which the Parties' combined market shares are very high (above 50%) in more than one of the last four complete seasons and where the increment from the Transaction is significant (over 10%) are Palermo-New York, Catania-New York, and Naples-New York (winter only).

(1843) *In the first place*, on the Palermo-New York route, where the Parties' combined market share is high and the increment arising from the Transaction significant, the following countervailing factor applies. Neos has entered with a direct connection, starting with two weekly connections since Summer 2024 onwards.[1785] For the reasons outlined in section 10.1.4, airline passengers prefer direct flights over indirect flights and therefore Neos is likely to be a particularly strong competitor to the Parties' indirect connections on this route.

(1844) *In the second place*, on the route Catania-New York, where the Parties' combined market share is high and the increment arising from the Transaction significant, the following countervailing factors apply. First, demand on this route during the winter seasons is particularly low (<8 000 in Winter 2022/23). Second, during the summer

---

1781 This applies to the following routes: Bologna-New York, Florence-New York.

1782 Based on the last four seasons, this applies to the following 8 routes: Athens-Boston, Athens-Los Angeles, Munich-Sao Paulo, Rome-Charlotte, Rome-Denver, Venice-San Francisco, Venice-Washington, and Zurich-Buenos Aires.

1783 Based on the last four seasons, this applies to the following 17 routes: Athens-Miami, Florence-Boston, Florence-Los Angeles, Geneva-Sao Paulo, Milan-Boston, Milan-Los Angeles, Milan-Washington, Milan-San Francisco, Naples-Boston, Rome-Dallas/Fort Worth, Rome-San Diego, Rome-Seattle, Rome-Tampa, Venice-Boston, Venice-Los Angeles, Venice-Miami (except in Winter 2022/23), and Venice-Tokyo.

1784 Based on IATA frequency data, RFI 31 Annex 100.

1785 Response by Lufthansa and MEF to RFI 41, Annex 1.1.

seasons, the other two joint ventures have a sizeable number of connections from Catania to their long-haul hubs in Europe. In particular, based on Summer 2024, Air France-KLM (of the Blue Skies JV) has 13 average weekly frequencies connecting Catania with its hubs in Amsterdam and Paris, whereas IAG (of the AA-IAG JV) has 16 average weekly frequencies connecting Catania with its hubs in Dublin, London and Madrid.[1786] These short-haul connections can be used by passengers to connect to long-haul flights to New York with the Blue Skies JV and the AA-IAG JV. Third, given the relatively low level of demand on this route, if the Parties were to increase prices on this route after the Transaction, competitors could enter or expand on this route with a relatively small number of short-haul connections from Catania to their long-haul hubs in Europe.

(1845) *In the third place*, on the route Naples-New York (winter only), where the Parties' combined market share is high and the increment arising from the Transaction significant, the following countervailing factors apply. First, demand on this route during the winter seasons is particularly low (<14 000 in Winter 2022/23 and <6 000 in Winter 2021/2022). Second, during the winter seasons, the other two joint ventures have a sizeable number of connections from Naples to their long-haul hubs in Europe. In particular, based on Winter 2023/2024, Air France-KLM (of the Blue Skies JV) has 19 average weekly frequencies connecting Naples with its hubs in Amsterdam and Paris, whereas IAG (of the AA-IAG JV) has 15 average weekly frequencies connecting Naples with its hubs in Dublin, London and Madrid. Third, given the relatively low level of demand on this route, if the Parties were to increase prices on this route after the Transaction, competitors could enter or expand on this route with a relatively small number of short-haul connections from Naples to their long-haul hubs in Europe. Fourth, the Parties will continue to face competition on these routes from competitors with sizeable market shares. Namely, as shown in Table 95, the Transaction would leave, in addition to Lufthansa and its A++ JV partners United Airlines and Air Canada, the Blue Skies JV with markets shares over 25% for the last two winter seasons.

(1846) *Seventh*, the market investigation did not reveal any substantiated competition concerns for these routes.[1787]

(1847) *Eighth*, the Commission has taken into consideration multiple exceptional factors of this case, namely that ITA's long-term competitiveness as a standalone carrier is highly uncertain (see section 7.2.2) and that, following the Transaction, ITA will retain some ability and incentive to compete against Lufthansa's A++ joint venture partners, in particular due to the presence of MEF as a controlling shareholder (see section 10.1.1).

(1848) In conclusion, the Transaction would not significantly impede effective competition with respect to the 38 indirect / indirect overlapping routes identified above.

12.4. Horizontal overlaps in cargo air transport services

(1849) The activities of the Parties overlap in the provision of cargo air transport services and give rise to horizontally affected markets on (i) intra-European routes and

---

1786 Based on IATA frequency data, RFI 31 Annex 100. Given that Air France-KLM does not operate any flights from Orly Airport (Paris) to New York, connections by Air France between Catania and Orly Airport (Paris) were excluded from this calculation.

1787 Responses to questions G.1 of questionnaire 04 to long-haul competitors. Responses to question H.2 of questionnaire 06 to short- and long-haul customers.

intercontinental routes of air cargo transport from (ii) Europe to North America, (iii) North America to Europe, (iv) Europe to Japan and (v) Japan to Europe.

(1850) The Parties do not expect that the Transaction will give rise to any competition concerns in relation to air cargo transport services.

(1851) The Commission concludes that the Transaction would not significantly impede effective competition as a result of horizontal non-coordinated effects in the cargo air transport services markets on (i) intra-European routes or intercontinental routes of air cargo transport from (ii) Europe to North America, (iii) North America to Europe, (iv) Europe to Japan and (v) Japan to Europe.

(1852) First, the Parties' combined market shares are limited and the increment stemming from the Transaction is small. This is due to the fact that the activities of ITA on the cargo air transport services market are limited. As regards intra-European routes of air cargo transport, the combined market share would be around -[20-30]%, with an increment of only [0-5]%.[1788] As regards intercontinental routes of air cargo transport, the combined market shares of the Parties would remain below [30-40]%, with ITA bringing a minimal increment of [0-5]% or less, as summarised in Table 96 below.

Table 96 Air cargo market shares of the Parties on Intercontinental routes – 2022

Routes from Europe to	**DLH**	**ITA**	**Combined**
North America	[20-30]%	[0-5] %	[20-30]%
Japan	[20-30]%	[0-5] %	[20-30]%
Routes to Europe from	**DLH**	**ITA**	**Combined**
North America	[20-30]%	[0-5] %	[20-30]%
Japan	[20-30]%	[0-5] %	[20-30]%

Source: Form CO, Table 12.

(1853) Second, while it emerges from its Business Plan 2023-2027 that […], the expected market share and revenue growth […] would be very limited.[1789]

(1854) Third, there will remain sufficient alternative providers on the relevant geographic markets.[1790]

(1855) Fourth, market investigation did not provide indications that the Transaction could give rise to competitive concerns on the markets for cargo air transport services. A majority of market respondents who expressed a view did not believe that the Transaction would have an impact on cargo handling services. They considered ITA to be too small to have an impact on the overall market.

(1856) Consequently, the Commission concludes that the Transaction would not significantly impede effective competition as a result of horizontal non-coordinated effects in the cargo air transport services markets on (i) intra-European routes or intercontinental routes of air cargo transport from (ii) Europe to North America, (iii) North America to Europe, (iv) Europe to Japan and (v) Japan to Europe.

1788 Form CO, Table 11. As the Parties point out (in Form CO, paragraph 2062) these market shares do not include alternative modes of transport (notably road and train transport), which might lead to overestimating of the Parties' position.

1789 See Form CO, Table 13.

1790 See reply to RFI 9, Annex 133.

12.5. Non-horizontal overlaps

(1857) The Proposed Transaction gives rise to relevant vertical relationships between the activities of Lufthansa in the upstream markets for (i) MRO services; (ii) ground handling services, (iii) cargo handling services, and (iiv) flight training services, and ITA's activities in the downstream market for passenger and cargo air transport services, as the Parties have an individual or combined market share exceeding 30% on certain markets. In addition, the Transaction gives rise to non-horizontal overlaps in relation to ITA's provision of feeder traffic to third-party airlines, including to competitors that are active on routes where Lufthansa is also active on.

12.5.1. MRO

(1858) The Proposed Transaction gives rise to vertically affected markets in relation to line maintenance services at FRA, MUC, STR, DUS, BRU, FCO, and FLR airports.[1791] The Proposed Transaction does not give rise to vertically affected markets in relation to heavy maintenance services, engine maintenance services and components maintenance services as the Parties' individual and combined market shares on the upstream and downstream market (under the narrowest definition) do not exceed 30%.

Table 97 Line maintenance services

Airport	Provision of line maintenance services by Lufthansa (upstream market) - 2022	Parties' market share in passenger transport services (downstream) - 2022	Acquisition of line maintenance services – 2022
FRA	[70-80]-[70-80]% ([5-10]-[10-20]% […])	[60-70]% (ITA:[0-5]%)	ITA: [0-5]%
MUC	[60-70]-[70-80]% ([0-5]% […])	[70-80]% (ITA:[0-5]%)	ITA: [0-5]%
STR	[40-50]-[50-60]% ([0-5]% […])	[50-60]% (ITA:[0-5]%)	ITA: [0-5]%
DUS	[30-40]-[40-50]% ([0-5]% […])	[40-50] (ITA:[0-5]%)	ITA: [0-5]%
BRU	[30-40]-[30-40]% ([0-5]% […])	[40-50]% (ITA:[0-5]%)	ITA: [0-5]%
FCO	[5-10]-[10-20]% ([0-5]% […])	[30-40]% (ITA:[20-30]%)	ITA: [20-30]%
FLR	[10-20]-[20-30]% ([0-5]% […])	[20-30]% (ITA:[0-5]%)	ITA: [0-5]%

Source: Form CO, Table 6.25, RFI 66.

[1791] See Form CO, table 6.25.

(1859) As is shown in Table 97 above, Lufthansa […]. ITA, on the other hand, is not a significant customer of line maintenance services at any of the airports where Lufthansa is active, with the exception of FCO. While ITA outsources line maintenance to third-party providers, it has signed an exclusive contract for the provision of line maintenance services at the FCO airport with Atitech, until 2028 (renewable).[1792] Atitech is also empowered to provide line maintenance services to ITA at several other airports, including FRA and MUC. Although the combined market shares of the Parties on the downstream air passenger markets at FRA, MUC, STR, DUS, and BRU are relatively high, the increment resulting from the Transaction is small or very small.

(1860) In light of the foregoing, the Proposed Transaction does not raise any foreclosure concerns in the market for line maintenance services or MRO services more widely and hence does not give rise to a significant impediment of effective competition with respect to these markets.

12.5.2. Ground handling services

(1861) The Proposed Transaction gives rise to potential vertical relationships between the activities of Lufthansa in the upstream market for ground handling services and ITA's activities in the downstream market for passenger air transport services as the Parties have a market share exceeding 30% of passenger traffic at FRA and MUC airports (if including self-handling).

(1862) ITA is fully sourcing ground handling services in the airports where it operates and, according to the Business Plan for [details of ITA's business plan].[1793] It has a contract with Swissport as the main provider of groundling services at the two main airports where ITA operates, i.e. FCO and LIN. […].[1794]

(1863) Given that Lufthansa is not active in the provision of ground handling services in FCO and LIN airports, the Proposed Transaction cannot result in any customer foreclosure in the two main ITA hubs.

12.5.2.1. Ground handling services at FRA

(1864) As is visible from the Table 98 below, ITA has a very limited significance as a customer for ground handling services at FRA airport where Swissport is currently empowered to provide ground handling services to it, so the Transaction could not give rise to customer foreclosure. Even if ITA were to switch to Lufthansa, there would remain a sufficiently large customer base for other ground handling providers.

(1865) At the same time, given the limited scope of ground handling services provided to third parties by Lufthansa in FRA (see Table 98 below), the Proposed Transaction cannot affect Lufthansa's incentive to provide ground handling services to other airlines and thus lead to input foreclosure. As explained by Lufthansa,[1795] […].

(1866) Although the combined market shares of the Parties on the downstream air passenger market are relatively high, the increment resulting from the Transaction is very small ([0-5]%).

1792 Form CO, paragraph 2079.
1793 Form CO, paragraph 2110.
1794 Form CO, paragraphs, 2110-2112.
1795 Form CO, paragraph 2120.

Table 98 Ground handling services at FRA

	2021	2022	2023
Provision of ground handling services by Lufthansa(upstream)	[60-70]% ([0-5]% […])	[60-70]% ([0-5]% […])	[60-70]% ([0-5]% […])
Parties' market share in passenger transport services (downstream)	[60-70]%	[60-70]%	[60-70]%
ITA's share in purchase of ground handling services	[0-5]%	[0-5]%	[0-5]%

Source: Form CO, paragraph 2118.

12.5.2.2. Ground handling services at MUC

(1867) Similarly to the situation at FRA, at MUC Swissport is currently empowered to provide handling services to ITA, which however does not represent an important customer of ground-handling services at MUC (see Table 99 below). Consequently, the Transaction could not give rise to customer foreclosure.

(1868) At the same time, given the limited scope of ground handling services provided to third parties by Lufthansa in MUC (see Table 99 below), the Proposed Transaction cannot affect Lufthansa's incentive to provide ground handling services to other airlines and thus lead to input foreclosure.

(1869) Although the combined market shares of the Parties on the downstream air passenger market are relatively high, the increment resulting from the Transaction is very small ([0-5]%).

(1870) In addition, airlines would still have other supply alternatives at the airport (such as Swissport or AeroGround).

Table 99 Ground handling services at MUC

	2021	2022	2023
Provision of ground handling services by Lufthansa (upstream)	[50-60]% ([0-5]% […])	[50-60]% ([0-5]% […])	[60-70]% ([5-10]% […])
Parties' market share in passenger transport services (downstream)	[60-70]%	[70-80]%	[60-70]%
ITA's share in purchase of ground handling services	[0-5]%	[0-5]%	[0-5]%

Source: Form CO, paragraph 2121.

12.5.2.3. Conclusion

(1871) The Commission deems that the Transaction would not significantly impede effective competition through input or customer foreclosure with respect to ground handling services.

(1872) Even in the hypothetical scenario where Lufthansa after the Proposed Transaction raised its prices, this would likely have a limited impact on Air Passenger Services providers as ground handling services account for a small proportion of the overall costs for Air Passenger Services.

12.5.3. Cargo handling services

(1873) The Proposed Transaction gives rise to a relevant vertical relationship between the activities of Lufthansa in the upstream market for cargo handling services at MUC and ITA's activities in the downstream market for air cargo transport services. The Transaction give rise to one vertically affected market with respect to cargo handling services at MUC, where Lufthansa estimates its market shares in landside cargo handling to go above 30%.

(1874) However, this link is not material in light of ITA's extremely limited market shares in air cargo transport (less than [0-5]% in intra-European air cargo transport and [0-5]% on intercontinental routes in 2022) and who is therefore not an important customer on the market for landside cargo services. As a result, even if ITA were to purchase all its cargo handling services from Lufthansa, there would remain a sufficiently large customer base for all competitors.

(1875) The Transaction also does not raise any input foreclosure concerns: Lufthansa only provides limited cargo handling services to third-party airlines at MUC (where it operates as warehouse ground handling agent and provides airmail handling services). Competitors on the market for air cargo transport services have sufficient alternatives to source services, such as CargoGate (the largest warehouse space in MUC), Swissport Cargo Services (also handling Swiss Air Lines) and LUG Cargo. Also located at Munich Airport Cargo area are several landside consolidation agents, with AHTS and AirTruck being the largest ones, providing import and export BUP-services (Build up Pallet) for freight forwarders.

(1876) Consequently, the Commission deems that the Transaction would not significantly impede effective competition through input or customer foreclosure with respect to cargo handling services.

12.5.4. Flight training services

(1877) The Proposed Transaction does not give rise to any actual vertical link in relation to flight training services considering that ITA currently sources its training needs internally.

(1878) The Proposed Transaction would only give rise to vertical link between the activities of Lufthansa the upstream market for flight training services at European level and ITA's activities in the downstream market for demand of such services should the market be further segmented by aircraft type, as Lufthansa's share would exceed 30% in relation to certain similar models (see Table 100 below).

Table 100 DLH's market shares in flight training services by simulator model

Type	Market share Europe	External customers	Notes
747	[30-40]%	[30-40]%	[…]
A300/310	[50-60]%	[90-100]%	[…]
A340	[30-40]%	[20-30]%	[…]
A380	[30-40]%	[40-50]%	[…]
CRJ1/2/7/9	[40-50]%	[60-70]%	[…].
Q400	[30-40]%	[90-100]%	[…]

Source: Form CO, paragraph 2129.

(1879) As Table 100 indicates, the aircraft simulator models in respect of which DLH's market shares exceed 30% are predominantly ones that are being faded out. Three of the models are also mostly used captively by Lufthansa.

(1880) Given the very limited significance of ITA as a customer for flight training services – which is evident considering that it currently needs only three FFS to train its pilots – and also the limited market shares of Lufthansa in the market for the provision of flight training services, the Proposed Transaction cannot affect Lufthansa's incentive to provide training services to other customers nor restrict Lufthansa's competitors from gaining access to market opportunities.

(1881) Moreover, Lufthansa's lack of market power in the upstream market for flight training services precludes an incentive to foreclose, especially given that several large and structured operators are active on that market, such as CAE Inc.; FlightSafety International; L3Harris; Avenger Flight Group; United Airlines; Emirates; Pan AM Flight Academy, and Delta.

(1882) Consequently, the Commission deems that the Transaction would not significantly impede effective competition through input or customer foreclosure with respect to flight training services.

12.5.5. Online flight ticket distribution

(1883) The Commission does not consider that the Transaction would lead to a significant impediment of effective competition in relation to distribution of flight tickets. Apart from providing air passenger services, both Lufthansa and ITA sell tickets for their flights through both direct and indirect channels (e.g. their own websites or OTAs). The Transaction would lead to vertically affected markets (i.e. passenger air travel services (upstream) and distribution of flight tickets (downstream)) only under the narrowest plausible market definition, assuming that the relevant online flight ticket distribution markets are national in scope. The affected markets would be Austria, Belgium, Germany, Italy, and Switzerland.

(1884) Even under this narrowest understanding of the relevant geographic market, however, the Parties would not have the ability of incentive to foreclose third-party indirect distributors. In no case the combined market shares of the Parties in passenger tickets sold would exceed 50% and the increment would be minimal or

next to non-existent (below 1%),[1796] so the Transaction would not bring about a material change in the market conditions. Moreover, as both Parties currently have a similar mix of distribution channels and currently distribute the majority of their tickets (>50%) via indirect channels,[1797] there is no reason to suspect that they would change their distribution strategy and withhold their content from indirect distributors. In fact, foreclosing intermediaries from access to their flight tickets could harm their own business model, as it heavily relies on this distribution channel.

12.5.6. Feeder traffic

12.5.6.1. Introduction

(1885) In the air transport sector, there are various types of agreements between independent airlines that allow passengers to purchase a single ticket for an indirect route including two or more legs where each leg is operated by one of the airlines that is party to the agreement. Interlining agreements are commercial agreements between airlines to enable one airline to book passengers on another airline's flights and allow passengers to travel on one ticket despite their journey being on flights operated by multiple airlines. Such agreements also enable passengers to check their bags from the point of origin through to their final destination. Codeshare agreements are an enhanced form of interline agreements which allow flights operated by one airline also to be marketed by its codeshare partner under that carrier's own code, which means that airlines publish and market flights of their code-sharing partners under their own airline designator and the flight number as part of their published timetable or schedule.

(1886) Interlining and codeshare arrangements are in principle mutually beneficial to the airlines participating in such agreements as they give each party the opportunity to increase its load factors. In principle, they also benefit passengers as they increase connection opportunities, allow passengers to be compensated in case of missed connections and spare them from having to take back luggage and re-check it at the connection airport.

(1887) As part of their cooperative efforts, some carriers have formed global alliances. An alliance is an agreement between two or more airlines to link each of the airlines' route networks and coordinate on specified activities (e.g., marketing and sales; coordination of airport operations).

(1888) ITA is currently a member of the SkyTeam alliance, together with Aerolíneas Argentinas, Aeroméxico, Air Europa, Air France-KLM, China Airlines, China Eastern, Czech Airlines, Delta, Garuda Indonesia, Kenya Airways, Korean Air, Middle East Airlines, Saudia, TAROM, Vietnam Airlines, Virgin Atlantic, and Xiamen Air. As part of its membership in the SkyTeam alliance, ITA has extensive interline and codeshare agreements with most members of the SkyTeam alliance and hence provides extensive feeder traffic to these airlines.

(1889) Lufthansa is a member of Star Alliance, which includes Aegean Airlines, Air Canada, Air China, Air India, Air New Zealand, All Nippon Airways, Asiana, Austrian Airlines, Avianca, Brussels Airlines, Copa Airlines, Croatia Airlines, EgyptAir, Ethiopian Airlines, EVA Air, LOT Polish Airlines, Scandinavian Airlines, Shenzhen Airlines, Singapore Airlines, South African Airways, SWISS International Air Lines, TAP Portugal, Thai Airways, Turkish Airlines and United Airlines.

[1796] Reply to RFI65B.
[1797] Reply to RFI 65.

(1890) The theory of harm examined in relation to feeder traffic relates to a risk of foreclosure whereby the Parties would deny competing air carriers access or hamper their access (e.g., by raising the price charged for such access) to feeder traffic. The concern is that the Parties may have the ability and incentive to foreclose rivals' access to feeder traffic on such routes where the other merging party also operates in order to divert passengers from the rival to whom feeder traffic has been provided to the other merging party.

(1891) As regards the Transaction, the Parties may foreclose rivals' access to feeder routes flown by ITA between Rome and smaller destinations in and around Italy with the aim of diverting these passengers onto flights that connect through Lufthansa's hubs which equally allow these passengers to reach their final destinations.[1798]

(1892) For example, according to this theory of harm, the Parties could deny or hamper access to ITA's flights connecting Rome-Fiumicino (FCO) with various smaller locations in Italy and neighbouring countries for passengers connecting to/from a flight operated by another carrier between Rome-FCO and a destination in Asia where Lufthansa also operates. As a result, prices may increase on the various air transport markets between smaller destinations in Italy and neighbouring countries at one end of the route and the destination in Asia at the other end, as the competitive pressure on Lufthansa on these routes would be reduced as a result of the Transaction. In addition, the foreclosure strategy may also result in increased prices on the stand-alone "trunk route" between Rome-FCO and the destination in Asia, as the restricted access to feeder traffic may cause the airlines relying on such access to decrease capacity on the "trunk route" or (in the extreme) decide to exit the "trunk route" altogether.

(1893) The Commission has focussed its investigation on the impact of the Transaction on ITA's feeder traffic. This is because of a lack of concern raised by market participants on the impact of the Transaction on Lufthansa's pre-existing feeder arrangements and because Lufthansa has a significantly larger long-haul network than ITA. The Parties therefore stand to benefit more significantly from a strategy of reducing ITA's feeder traffic to its rivals than vice versa (reducing Lufthansa's feeder traffic in order to benefit ITA's long-haul operations).

12.5.6.2. Overview of feeder traffic provided by ITA

(1894) ITA is currently a member of the SkyTeam alliance, together with Aerolíneas Argentinas, Aeroméxico, Air Europa, Air France-KLM, China Airlines, China Eastern, Czech Airlines, Delta, Garuda Indonesia, Kenya Airways, Korean Air, Middle East Airlines, Saudia, TAROM, Vietnam Airlines, Virgin Atlantic, and Xiamen Air.[1799] As part of its membership in the SkyTeam alliance, ITA has extensive interline and codeshare agreements with most members of the SkyTeam alliance and hence provides extensive feeder traffic to these airlines.[1800]

(1895) In addition, ITA has various bi-lateral codeshare and interline agreements, including with members of other airline alliances (e.g., Ethiopian Airlines, American Airlines, and Qatar Airways) as well as with airlines that are not part of an airline alliance

[1798] Conversely, the Parties could, in theory, also foreclose rivals' access to feeder routes flown by Lufthansa between its hubs and smaller destinations in Europe with the aim of diverting these passengers onto flights that connect through ITA's long-haul hub Rome-FCO. However, as described further below in this section, such concerns are not relevant in the present case.

[1799] Source: https://www.skyteam.com/en/. Accessed on 8 April 2024.

[1800] RFI 16 Annex Q2, Form CO.

(e.g., Etihad, LATAM and Emirates). As a result, ITA also provides feeder traffic to these airlines.

(1896) The total volume of feeder traffic provided by ITA to various airlines in calendar year 2023 was equal to around […] passengers whose tickets sold by other companies generated ITA revenues equal to around EUR […].[1801] The large majority of the feeder traffic that ITA provided to third-party airlines was to other members of the SkyTeam alliance, and particularly to Delta and Air France-KLM. ITA also provided feeder traffic to certain airlines that are currently not part of one of the large airline alliances, including to Etihad, Hainan Airlines, Emirates and LATAM Airlines.

(1897) Table 101 below provides an overview of feeder traffic provided by ITA at FCO to other carriers on the relevant long-haul routes. These routes and carriers have been selected on the basis of thresholds reflecting the importance of the feeder traffic provided by the Parties relative to the total number of passengers travelling on the services provided by the carrier in question on the route.

(1898) Consistent with the Commission's practice in M.6447 - IAG/bmi,[1802] the criteria to select routes which the Commission investigated more closely are i) feeder traffic provided by ITA to the third-party carrier service in question accounted for 1% or more of the total number of passengers of the third-party carrier on a relevant route in at least one of the last two complete IATA seasons (Winter 2022/23 and Summer 2023), ii) only long-haul routes to which ITA provided more than 1 000 passengers feeder traffic in either Winter 2022/23 or Summer 2023 are considered, and iii) only routes where Lufthansa and/or its JV partners operate are considered. On that basis, the Commission identified 39 relevant routes, as set out in Table 101 below.

(1899) These thresholds focus the Commission's analysis on the routes where (i) feed from ITA is significant, and therefore where a hypothetical foreclosure may potentially impact the operations of the third-party carriers; and (ii) Lufthansa and/or its JV partners operate on this city-pair and therefore they compete with the third party carrier (so, the Parties may have an incentive post-Transaction to foreclose the third-party carrier).

(1900) The applied thresholds are therefore adequate in the present case to focus the Commission's analyses on routes where feeder traffic could be a material input to the operations of a third-party carrier.

Table 101: Feeder traffic provided by ITA at Rome-FCO on certain long-haul routes in Winter 2022/23 and Summer 2023

Destination City	Carrier to which feeder traffic is provided	ITA's feeder traffic (pax)		Total pax transported by carrier		ITA's feed traffic share (%)	
		W22/23	S23	W22/23	S23	W22/23	S23
Amman (AMM)	Royal Jordanian	4 364	11 483	13 532	35 620	32.2	32.2
Hangzhou (HGH)	Air China	4 528	8 883	13 187	29 670	34.3	29.9
Chongqing (CKG)	Hainan Airlines	4 630	6 043	13 096	23 547	35.4	25.7
Shenzhen (SZX)	Hainan Airlines	-	4 039	-	17 402	-	23.2

1801 RFI 63, Q3.

1802 Case M.6447 – IAG/bmi, footnote 229.

Destination City	Carrier to which feeder traffic is provided	ITA's feeder traffic (pax)		Total pax transported by carrier		ITA's feed traffic share (%)	
Wenzhou (WNZ)	China Eastern Airlines	555	4 928	8 595	21 405	6.5	23.0
Beijing (BJS)	Air China	231	12 711	1 079	71 339	21.4	17.8
Shanghai (SHA)	China Eastern Airlines	16	8 901	464	65 281	3.4	13.6
Casablanca (CMN)	Royal Air Maroc	2 140	6 334	32 095	55 411	6.7	11.4
Buenos Aires (BUE)	Aerolíneas Argentinas	5 659	7 400	28 681	66 054	19.7	11.2
Mexico City (MEX)	Aeroméxico	61	7 802	1 186	74 436	5.1	10.5
Chengdu (CTU)	Sichuan Airlines	119	4 195	11 971	45 510	1.0	9.2
Detroit (DTT)	Delta Airlines	-	4 073	-	51 461	-	7.9
Sao Paulo (SAO)	LATAM Airlines	5 128	5 658	48 520	71 487	10.6	7.9
Beirut (BEY)	Middle East Airlines	545	1 474	7 753	19 184	7.0	7.7
Guangzhou (CAN)	China Southern Airlines	1 493	2 496	7 559	33 930	19.8	7.4
Perth (PER)	Qantas Airways	-	1 257	-	17 458	-	7.2
Boston (BOS)	Delta Airlines	373	5 685	4 540	84 824	8.2	6.7
Atlanta (ATL)	Delta Airlines	6 984	10 242	57 185	162 411	12.2	6.3
Taipei (TPE)	China Airlines	93	3 048	1 609	49 601	5.8	6.1
Jeddah (JED)	Saudia	863	1 520	18 986	25 334	4.5	6.0
Riyadh (RUH)	Saudia	1 052	1 253	14 589	21 551	7.2	5.8
New York (NYC)	Delta Airlines	10 155	12 709	86 543	222 535	11.7	5.7
Seoul (SEL)	Asiana Airlines	732	4 458	23 918	81 665	3.1	5.5
Seoul (SEL)	Korean Air	1 959	5 903	33 797	111 497	5.8	5.3
Toronto (YTO)	Air Canada	1 707	9 753	29 030	188 976	5.9	5.2
Montreal (YMQ)	Air Canada	732	6 520	20 889	168 478	3.5	3.9
Doha (DOH)	Qatar Airways	7 796	6 511	138 127	179 448	5.6	3.6
Philadelphia (PHL)	American Airlines	1 668	3 251	45 616	100 550	3.7	3.2
Dallas Fort Worth (DFW)	American Airlines	57	4 260	2 521	137 602	2.3	3.1
Charlotte (CLT)	American Airlines	-	2 197	-	89 011	-	2.5
Dubai (DXB)	Emirates Airlines	4 106	7 832	185 704	327 622	2.2	2.4
Cairo (CAI)	Egyptair	1 466	1 298	38 790	65 403	3.8	2.0
Singapore (SIN)	Singapore Airlines	454	1 048	27 648	58 320	1.6	1.8
Chicago (CHI)	United Airlines	-	1 798	-	110 364	-	1.6

Destination City	Carrier to which feeder traffic is provided	ITA's feeder traffic (pax)		Total pax transported by carrier		ITA's feed traffic share (%)	
New York (NYC)	American Airlines	30	1 783	1 988	115 766	1.5	1.5
Chicago (CHI)	American Airlines	49	1 549	2 481	103 427	2.0	1.5
Washington (WAS)	United Airlines	34	1 491	3 145	106 214	1.1	1.4
Tel Aviv (TLV)	El Al	698	1 685	71 862	129 577	1.0	1.3
New York (NYC)	United Airlines	1 552	2 097	78 318	204 710	2.0	1.0

Source: Response to RFI 42, question 1.

12.5.6.3. Lufthansa and MEF's view

(1901) As discussed in section 6.9, Lufthansa and MEF consider that there is no separate feeder market since Lufthansa and ITA do not actively engage in feeder traffic as an independent commercial activity. Nevertheless, Lufthansa and MEF have assessed whether the Transaction may result in foreclosure of ITA's feeder traffic to Lufthansa's rivals on long-haul routes.

(1902) According to Lufthansa and the MEF, the Transaction does not raise such foreclosure concerns related to feeder traffic for the following reasons.

(1903) In the Form CO, Lufthansa and MEF focussed on the 10 most important short-haul routes on which ITA transported passengers on behalf of another carrier in IATA Summer 2022 season (in terms of number of passengers transported by ITA as feeder traffic).[1803] According to the Parties, no foreclosure concerns arise on these routes for several reasons. First, on two of these routes (Madrid-Rome and Amsterdam-Rome), direct flights are also operated by third-party carriers that could replace ITA as a provider of feeder traffic on these routes. Second, for routes feeding traffic into long-haul connections from Rome to Naples and Venice, direct long-haul connections from Rome-FCO for many North American destination are available and therefore passengers can choose these direct connections rather than flying via Naples or Venice. Third, for routes ending in Rome-FCO, various third-party carriers fly into this airport from across Europe and therefore any foreclosure strategy involving this airport as the final destination would be ineffective.

(1904) In addition, the Parties claim that during the summer season, most small Italian airports are not only connected to Rome-FCO (for which ITA provides the main feeder traffic option) but also to other European hubs. For example, according to the Parties, Catania airport (CTA) is connected not only with Rome-FCO, but also with Amsterdam-Schiphol (AMS), Barcelona-El Prat (BCN), Paris-Charles de Gaulle (CDG), Copenhagen Airport (CPH), Madrid-Barajas (MAD) and London-Heathrow (LHR).[1804] Similarly, during the winter season, most small Italian airports remain connected to at least one other European hub, in addition to Rome-FCO. In any event, according to Parties, if ITA were to restrict its feeder traffic to these small Italian airports, independent European carriers (such as Air France-KLM) could

1803 Form CO, paragraphs 2162-2163.

1804 Form CO, paragraph 2164. Similarly, Lufthansa and MEF also assert that Palermo (PMO), Bari (BRI), Naples (NAP), Venice (VCE), LIN and Genoa (GOA) are connected to various European hubs other than FCO. However, Lufthansa and MEF do not substantiate this view and/or explain why exactly these Italian airports were selected for this analysis.

operate additional flights to these small Italian airports during the winter season to replace the traffic lost from ITA's feeder network.[1805]

(1905) Finally, the Parties focus on the 10 most important carriers to which ITA provides feeder traffic (based on number of passengers transported by ITA during the IATA Summer 2022 season).[1806] According to the Parties, no foreclosure concerns arise in relation to these carriers for the following reasons. First, Delta (the carrier to which ITA provided the most feeder traffic) has already been able to reduce its feeder traffic from ITA since the Transaction was announced while still expanding capacity to/from FCO. Second, Air France-KLM (the carrier to which ITA provided the second most feeder traffic) has a large short-haul network in Europe, including to various destinations in Italy and therefore does not rely on ITA's feeder traffic to compete effectively. Third, the remaining 8 carriers could turn to various alternative carriers with a large network in Europe (including Italy) that could provide them with feeder traffic instead of ITA.[1807]

(1906) In an RFI submission during the Phase II investigation, Lufthansa and MEF further argued that ITA's feeder traffic typically only accounts for a small proportion of the total traffic of long-haul routes operated by third-party airline carriers to/from Rome-FCO and that, for the limited number of long-haul routes operated by rivals where ITA's feeder traffic accounts for a higher share, either ITA will have no incentives to stop providing feeder traffic post-Transaction due to these rival carriers being part of the Star Alliance (of which Lufthansa is also a part) or because Lufthansa does not compete with these third-party carriers on these routes.[1808]

12.5.6.4. The Commission's assessment

(1907) As outlined in more detail in section 6.9, the Commission considers that there is a separate market for feeder traffic. The following sections assess the Parties' ability and incentive to engage in vertical foreclosure strategies and what impact such strategies would likely have on effective competition on the relevant routes.

12.5.6.4.1. Ability to foreclose

(1908) As outlined in section 10.1.2, having access to a wide network of short-haul flights at an airport in order to feed the long-haul flights can constitute an important input for long-haul competitors. Therefore, given that the provision of feeder traffic to third-party carriers (i.e., the upstream market) can constitute an important input for the provision of long-haul flights of these third-party carriers (i.e., the downstream market), the restriction of access to that input can potentially raise competition problems.[1809]

(1909) From a practical perspective, ITA would have the ability to restrict access to its feeder traffic to third-party carriers, either by terminating existing feeder agreements, by demanding higher prices for continuing such existing feeder agreements and/or through other means (e.g., by limiting the routes on which ITA continues to provide feeder traffic). In particular, Special Prorate Agreements ("SPAs") support interlining and code-sharing and specifically define the distribution of the revenues and the settlement of ticket costs between carriers and may include a commission in favour

1805 Form CO, paragraph 2165.
1806 Form CO, paragraph 2167.
1807 Form CO, paragraph 2167.
1808 Lufthansa and MEF's response to RFI 42, Q1.
1809 Non-horizontal Merger Guidelines, paragraph 34.

of the ticketing carriers. SPAs have varying terms with an end date (typically requiring annual extension) or with an open end. It is also customary for SPAs to have a 30-day prior written notice termination clause that can be exercised by either carrier at any time, without cause. Codeshare agreements are typically open-ended and have varying termination clauses.[1810]

(1910) However, while ITA would, from a practical perspective, have the ability to limit the access of feeder traffic to third-party air carriers post-Transaction, it seems unlikely that such a strategy would result in an effective foreclosure of these rivals. Table 101 above shows that feeder traffic provided by ITA generally represents a relatively small share of the total of passengers on the third-parties' long-haul flights on each relevant route. Out of the 39 long-haul routes identified in Table 101, ITA's feeder traffic on average accounted for only around 8% and 9% of total traffic in Winter 2022/23 and Summer 2023, respectively.[1811]

(1911) There are only six routes where ITA's feeder traffic accounted for at least 20% of total traffic in Winter 2022/23 or Summer 2023 (ROM-AMM, ROM-HGH, ROM-CKG, ROM-SZX, ROM-WNZ, ROM-BJS) and only three routes (ROM-AMM, ROM-HGH, ROM-CKG) where it accounted for more than 30% in at least one of the last two seasons.

12.5.6.4.2. Incentive to foreclose

(1912) The Parties' incentive to foreclose rivals on certain long-haul routes from ITA's feeder traffic depends on the Parties' downstream market share (i.e., the market share of the Parties on the routes on which ITA provides the feeder traffic). The table below summarises the Parties' combined market share on each of the six long-haul routes on which ITA provides at least 20% feeder traffic to at least one competitor active on these routes.

Table 102: Parties' combined market shares on selected long-haul routes

Route	Parties' combined market share	
	W22/23	S23
ROM-AMM	<1%	<1%
ROM-BJS	23%	70%
ROM-CKG	1%	13%
ROM-HGH	93%	89%
ROM-SZX	18%	12%
ROM-WNZ	3%	16%

Source: RFI 63, Annex Q1.

(1913) The table shows that on four of the six routes (ROM-AMM, ROM-CKG, ROM-SZX, ROM-WNZ), the Parties' combined market share is low to moderate. Therefore, on these routes, the Parties' incentive to foreclose competitors from access to ITA's feeder traffic appears low. On the other two routes (ROM-BJS, ROM-HGH), the Parties have high combined market shares and therefore have, prima facie, a higher incentive to foreclose rivals from ITA's feeder traffic.

(1914) On these two routes, ITA provides feeder traffic to Air China, as shown in Table 101 above. Air China is a Star Alliance partner of Lufthansa.[1812] In addition, Air China and Lufthansa are part of the C+ joint venture, covering routes between Europe and

1810 RFI 63, Q4.
1811 Lufthansa and MEF's response to RFI 42, question 1.
1812 Form CO, paragraph 214.

China.[1813] Since feeder arrangements between Star Alliance members are offered on a reciprocal basis, the Parties' incentives to maintain access to the network of Star Alliance carriers post-merger would work against any potential incentive to foreclose competitors post-merger by preventing access to ITA feeder flights.[1814] More importantly, Lufthansa would have no incentive to foreclose Air China's feeder traffic on this route, as Lufthansa itself benefits from Air China's operations on this route via the revenue-sharing mechanism of the C+ joint venture. Indeed, Lufthansa itself or ITA are not active on the routes ROM-BJS and ROM-HGH and the market share attributed to the Parties on these two routes is entirely due to Air China's activity on this route. The Commission therefore considers that the Parties would have no incentive to foreclose feeder traffic to Air China on the routes ROM-BJS and ROM-HGH.

12.5.6.4.3. Likely impact on effective competition

(1915) As discussed above, the Commission considers that Lufthansa would probably not have the ability or the incentives to foreclose rivals from ITA's feeder traffic on any long-haul route. Therefore, the Commission has not further assessed whether such foreclosure strategies would have any effect on the long-haul routes.

12.5.6.5. Conclusion

(1916) In light of the above, the Commission considers that the Transaction does not result in a significant impediment of effective competition in relation to the provision of feeder traffic to long-haul services operated by other carriers.

13. CONCLUSION

(1917) For the reasons set out above, the Commission concludes that the Transaction would significantly impede effective competition with respect to passenger air services on the following routes **in both the Winter and Summer IATA Seasons** and under any plausible market definition, **as a result of a creation or strengthening of a dominant position** in the relevant markets:

(a) Direct Short-haul routes: Milan – Brussels, Milan – Düsseldorf, Milan – Frankfurt, Rome – Frankfurt, Rome – Munich, Rome – Zurich, Rome – Hamburg.

(b) Direct/indirect short-haul routes: Bari – Munich, Naples – Frankfurt.

(c) Direct long-haul routes: Rome – Washington, Rome – San Francisco.

(1918) For the reasons set out above, the Commission concludes that the Transaction would significantly impede effective competition with respect to passenger air services on the following routes **in either the Winter or the Summer IATA Seasons** and under any plausible market definition, as a result of a creation or strengthening of a dominant position in the relevant markets:

(a) Direct Short-haul routes: Milan – Hamburg.

(b) Direct/indirect short-haul routes: Brindisi – Düsseldorf (Summer IATA Season), Bari – Frankfurt (Winter IATA Season), Bari – Hamburg (Summer IATA Season), Naples – Düsseldorf (Winter IATA Season), Naples –

[1813] Form CO, paragraph 1216.

[1814] Lufthansa and MEF's response to RFI 42, paragraph 6.

Hamburg (Summer IATA Season), Cagliari – Munich (Summer IATA Season).

(c) Direct long-haul route: Rome – Toronto (Summer IATA Season).

(1919) For the reasons set out above, the Commission concludes that the Transaction would significantly impede effective competition with respect to passenger air services on the following routes **in both the Winter and Summer IATA Seasons** and under any plausible market definition, **as a result of a creation or strengthening of a dominant position in the relevant markets, or, in any event as a result of the elimination of important competitive constraints** that ITA had exerted on Lufthansa on the route:

(a) Short-haul routes: Rome – Brussels, Milan – Vienna.

(1920) Moreover, for the reasons set out above, the Commission concludes that the Transaction would significantly impede effective competition with respect to the market for airport infrastructure services as a result of a creation or strengthening of a dominant position in LIN.

(1921) Lastly, regarding the other markets discussed in this decision, for the reasons set out above, the Commission concludes that the Transaction does not result in a significant impediment of effective competition.

14. COMMITMENTS

14.1. Introduction

(1922) As further described in section 4, in order to render the Transaction compatible with the internal market, the Parties submitted a first set of commitments in the Phase II investigation, pursuant to Article 8(2) of the Merger Regulation, on 11 April 2024 ("the Initial Commitments"), which the Commission decided not to market test. These Initial Commitments were followed by updated commitments on 6 May 2024 (the "Second Commitments"). The Parties submitted a final set of commitments on 18 June 2024 (the "Final Commitments").

(1923) Both the Initial Commitments and the Second Commitments included:

(a) commitments to address the competition concerns on certain overlapping short-haul routes by entering into an agreement with one or more remedy takers and by making available slots and possibly other elements to those remedy takers;

(b) commitments to address the competition concerns at LIN airport by divesting slots at LIN airport; and

(c) commitments to address the competitions concerns on certain overlapping long-haul routes by committing to procure the operation at a minimum weekly frequency for the summer and/or the winter IATA seasons ("Long-Haul Capacity Remedy").

(1924) In addition, the Second Commitments included:

(a) commitments to address the competition concerns on certain overlapping direct/indirect short-haul routes by entering into a special prorate agreement ("Special Prorate Agreement" or "SPA") in relation to ITA's domestic network with one or more of the remedy takers for the overlapping short-haul routes;

(b) commitments to address the competitions concerns on certain overlapping long-haul routes by separating ITA's operations on long-haul routes between

Italy and North America, where ITA's activities overlap (directly or indirectly) with the operations of the A++ JV ("Long- Haul North Atlantic Business") from the rest of DLH's organisation and by implementing ringfencing measures "Hold-Separate and Ringfencing Commitment"); and

(c) commitments to address the competitions concerns on certain overlapping long-haul routes by concluding agreements (such as interlining or code share agreements) with other airlines on flights to/from Rome Fiumicino to other European airports ("Long-Haul Connectivity Remedy").

(1925) As further explained in section 14.5, the Final Commitments introduced further improvements to address the competition concerns on specific short-haul routes. As to the long-haul routes of concern listed in this Decision, the Final Commitments replaced the Initial and Second Commitments, namely the Hold-Separate and Ringfencing Commitment, the Long-Haul Capacity Remedy, and the Long-Haul Connectivity Remedy, with a commitment to enter into agreements with one or more competitors, in order to establish either (a) a certain number of direct weekly frequencies, (b) a certain number of weekly additional and/or improved one-stop connections, or (c) a combination of frequency increase of direct weekly frequencies and additional one-stop weekly connections ("Long-Haul Remedy").

(1926) Neither of the Initial Commitments or the Second Commitments had an upfront buyer or fix-it first structure while the Final Commitments added an upfront buyer structure for the commitments to address the competition concerns on certain overlapping short-haul and long-haul routes and with respect to Linate airport. The Parties did not formally put forward any remedy takers for approval by the Commission for any of the commitments of the Initial Commitments, the Second Commitments, or the Final Commitments, but included in their submissions in the Form RM accompanying the commitments a list of potential remedy takers for each of the components of the Final Commitments.

14.2. Framework of assessment

14.2.1. Overview

(1927) When a concentration raises competition concerns because it would significantly impede effective competition, in particular as a result of the creation or strengthening of a dominant position, the parties may seek to modify the concentration in order to resolve the competition concerns and thereby gain clearance of their merger. The commitments have to eliminate the competition concerns entirely and have to be comprehensive and effective in all respects. In assessing whether proposed commitments are likely to eliminate the competition concerns identified, the Commission considers all relevant factors including inter alia the type, scale and scope of the proposed commitments, judged by reference to the structure and particular characteristics of the markets in which the competition concerns arise, including the position of the parties and other participants on the markets.[1815]

(1928) Commitments must be put forward by the parties and the Commission has the power to accept only such commitments as are capable of rendering the Transaction compatible with the internal market.

[1815] Remedy Notice, paragraphs 5, 9, and 12.

(1929) Commitments in Phase II must be submitted to the Commission within not more than 65 working days from the day on which proceedings were initiated.[1816] Where the parties submit commitments before such legal deadline, but subsequently modify such commitments after the deadline, the Merger Regulation does not impose any obligation on the Commission to accept such commitments.[1817] The Commission will only accept these modified commitments where it can clearly determine – on the basis of its assessment of information already received in the course of the investigation, including the results of prior market testing, and without the need for any other market test – that such commitments, once implemented, fully and unambiguously resolve the competition concerns identified and where there is sufficient time to allow for an adequate assessment by the Commission and for proper consultation with Member States.[1818] The Commission will normally reject modified commitments which do not fulfil those conditions.[1819]

14.2.2. Elimination of all identified competition concerns

(1930) The commitments have to eliminate the competition concerns entirely and have to be comprehensive and effective from all points of view.

(1931) Regarding the exact form of the commitments, the General Court has pointed out that, while the Merger Regulation lays down the principle whereby the Commission may authorise a merger only if the proposed commitments address the competition concerns identified, it "*leaves it a wide discretion as to the form which the commitments in question may take.*"[1820] Commitments may be structural in nature, such as the commitment to divest a certain business unit. It may also be however, that other types of commitments are capable of preventing the significant impediment to effective competition.[1821] In particular, other types of structural commitments may be suitable to resolve all types of concerns if they are equivalent to divestitures in their effects.[1822]

(1932) As regards divestitures, the Remedy Notice sets out that the divested activities must consist of a viable business that, if operated by a suitable purchaser, can compete effectively with the merged entity on a lasting basis and that is divested as a going concern. For the business to be viable, it may also be necessary to include activities which are related to markets where the Commission did not identify competition concerns if this is required to create an effective competitor in the affected markets.[1823] The business has to include all the assets which contribute to its current operation or which are necessary to ensure its viability and competitiveness and all personnel which is currently employed or which is necessary to ensure the business'

1816 Remedy Notice, paragraph 88.

1817 Remedy Notice, paragraph 94.

1818 Remedy Notice, paragraph 94.

1819 Remedy Notice, paragraph 94.

1820 Case T-177/04 easyJet v Commission [2006] ECR II-1913, paragraph 197: "*Article 6(2) of Regulation No 4064/89 provides that the Commission may authorise a merger if the commitments proposed by the parties dispel the serious doubts as to the compatibility of the merger with the common market. Regulation No 4064/89 thus lays down the objective to be achieved by the Commission, but leaves it a wide discretion as to the form which the commitments in question may take*."

1821 Remedy Notice, paragraph 15.

1822 Remedy Notice, paragraph 17. In its judgment in Case T-177/04 easyJet v. Commission [2006] ECR II-1931, paragraph 183, the Court held that with regard to the divestiture of slots, Commitments offered by the parties "*may be regarded as structural*".

1823 Remedy Notice, paragraph 23.

viability and competitiveness.[1824] In the description of the business, the Parties also have to set out the arrangements for the supply of products and services by them to the divested business or by the divested business to them. Such on-going relationships of the divested business may be necessary to maintain the full economic viability and competitiveness of the divested business on a transitional basis.[1825]

(1933) The business to be divested has to be viable as such. Therefore, the resources of a possible or even presumed future purchaser are not taken into account, in principle, by the Commission at the stage of assessing the remedy. The situation is different if already during the procedure a sale and purchase agreement with a specific purchaser is concluded whose resources can be taken into account at the time of the assessment of the commitments.[1826] A divestiture consisting of a combination of certain assets which did not form a uniform and viable business in the past creates risks as to the viability and competitiveness of the resulting business. Such an approach may be accepted by the Commission only if the viability of the business is ensured notwithstanding the fact that the assets did not form a uniform business in the past.[1827]

(1934) The intended effect of the divestiture will only be achieved if and once the business is transferred to a suitable purchaser in whose hands it will become an active competitive force in the market.[1828] In general, there are three ways to ensure that the business is transferred to a suitable purchaser. First, the business is transferred within a fixed time-limit after adoption of the decision to a purchaser which is approved by the Commission on the basis of purchaser requirements set out in the commitments. Second, in addition to the conditions set out for the first category, the commitments may foresee that the parties cannot complete the notified operation before having entered into a binding agreement with a purchaser for the business, approved by the Commission (so-called 'upfront buyer'). Third, the parties identify a purchaser for the business and enter into a binding agreement already during the Commission's procedure (so-called 'fix-it-first' remedy).[1829] The choice of the category depends on the risks involved in the case and therefore on the measures which enable the Commission to conclude with the requisite degree of certainty that the commitment will be implemented. Among others, this will depend on the nature and the scope of the business to be divested and any uncertainties inherent in the transfer and implementation, in particular the risks of finding a suitable purchaser.[1830]

(1935) The Commission welcomes up-front buyer remedies in particular in cases where there are considerable obstacles for a divestiture, such as third party rights, or uncertainties as to finding a suitable purchaser.[1831] In such cases, an up-front buyer will allow the Commission to conclude with the requisite degree of certainty that the commitments will be implemented, as such a commitment creates greater incentives for the parties to close the divestiture in order to be able to complete their own concentration.[1832]

1824 Remedy Notice, paragraph 25.
1825 Remedy Notice, paragraph 28.
1826 Remedy Notice, paragraph 30.
1827 Remedy Notice, paragraph 37.
1828 Remedy Notice, paragraph 47.
1829 Remedy Notice, paragraph 50.
1830 Remedy Notice, paragraph 51.
1831 Remedy Notice, paragraph 54.
1832 Remedy Notice, paragraph 54.

(1936) The Commission welcomes fix-it-first remedies in particular in cases where the identity of the purchaser is crucial for the effectiveness of the proposed remedy. This concerns cases where, given the circumstances, only very few potential purchasers can be considered suitable, in particular as the divested business is not a viable business in itself, but its viability will only be ensured by specific assets of the purchaser, or where the purchaser needs to have specific characteristics in order for the remedy to solve the competition concerns.[1833] The Court has clarified in that regard that it does not follow from the last sentence of paragraph 57 of the Remedy Notice that an 'up-front buyer' solution containing specific requirements as to the suitability of a purchaser should systematically be regarded as equivalent to the 'fix-it-first' solution and as generally acceptable.[1834] In particular, such equivalence cannot be recognised where the divestment business is structurally inadequate for the purpose of addressing the anticompetitive effects of the concentration. The 'up-front buyer' solution is intended above all to put pressure on the transferee to accelerate the divestiture, in situations where the feasibility of the divestiture or the viability of the divestment business depends on external constraints, which must be removed quickly, such as obtaining authorisation from the authorities or access to certain assets held by the potential purchasers of that business.[1835]

(1937) As regards the removal of links with competitors, the Remedy Notice explains that where competition concerns result from agreements with companies supplying the same products or providing the same services, a suitable remedy may be the termination of the respective agreement, such as distribution agreements with competitors or agreements resulting in the coordination of certain commercial behaviour.[1836]

(1938) As regards access commitments, the Remedy Notice specifies that if those commitments actually make the entry of sufficient new competitors timely and likely, they can be considered to have a similar effect on competition in the market as a divestiture.[1837] This principle that the likely entry of a new competitor is necessary in order for access commitments to be considered suitable has also been established in previous Commission decisions, specifically in the assessment of airline mergers: "*In airline cases, commitments are acceptable to the Commission where it is sufficiently likely that actual entry by new competitors will occur and where such entry would eliminate any serious doubts as to the compatibility of the concentration with the internal market.*"[1838]

(1939) This principle corresponds to the assessment of entry as a competitive constraint on the merging parties. As stated in paragraph 68 of the Horizontal Merger Guidelines, "*for entry to be considered a sufficient competitive constraint on the merging parties, it must be shown to be likely, timely and sufficient to deter or defeat any potential anti-competitive effects of the merger.*"[1839]

(1940) For mergers in the air transport sector, the Commission has previously clarified that "*in air transport mergers, a mere reduction of barriers to entry by a commitment of the parties to offer slots on specific airports may not always be sufficient to ensure*

1833 Remedy Notice, paragraph 57.
1834 Case T-251/19 - Wieland-Werke v Commission, ECLI:EU:T:2022:296, paragraph 569.
1835 Ibid, recital 570.
1836 Remedy Notice, paragraph 60.
1837 Remedy Notice, paragraph 63.
1838 See Case M.9287 – Connect Airways/Flybe, paragraph 630.
1839 The three characteristics of entry, i.e., likely, timely and sufficient are cumulative.

the entry of new competitors on those routes where competition problems arise and to render the remedy equivalent in its effects to a divestiture."[1840]

(1941) Concerning the sufficient likelihood of entry, in the case of air transport mergers, the Court previously held that "*the mere threat of an entry […] is not sufficient. […] What counts is the prospect of an entrant which offsets the anti-competitive effects specifically established in the contested decision […].*"[1841] The likelihood of an entry is further dependent, among several considerations, on the profitability of the entry, the attractiveness of the route and the level of possible barriers to entry.

(1942) As to a timely entry, as previously stated, what constitutes an appropriate time period may depend on the characteristics and dynamics of the market, as well as specific capabilities of potential entrants.[1842] While in its past airline cases, the Commission held that an entry occurring within the next two years may be considered as timely,[1843] what constitutes a "*timely entry*" has to be assessed for each case individually.

(1943) Commitments relating to the future behaviour of the merged entity may be acceptable only exceptionally in very specific circumstances. Such commitments, for instance in the form of undertakings not to raise prices, to reduce product ranges or to remove brands, will generally not eliminate the competition concerns resulting from horizontal overlaps. In any case, those types of remedies can only exceptionally be accepted if their workability is fully ensured by effective implementation and monitoring, and if they do not risk leading to distorting effects on competition.[1844]

14.2.3. Capable of being implemented effectively within short period of time

(1944) Commitments must be capable of being implemented effectively within a short period of time as the conditions of competition on the market will not be maintained until the commitments have been fulfilled.[1845]

(1945) The Commission has to be able to conclude with the requisite degree of certainty that it will be possible to implement the commitments and that it is likely that the new commercial structures resulting from them will be sufficiently workable and lasting to ensure that the significant impediment to effective competition will not materialise.[1846]

(1946) If the parties submit remedy proposals that are so extensive and complex that it is not possible for the Commission to determine with the requisite degree of certainty, at the time of its decision, that they will be fully implemented and that they are likely to maintain effective competition in the market, an authorisation decision cannot be granted. The Commission may reject such remedies in particular on the grounds that the implementation of the remedies cannot be effectively monitored and that the lack of effective monitoring diminishes or eliminates the effect of the commitments proposed.[1847]

1840 See Case M.7541 – IAG/Aer Lingus, footnote 458.
1841 See Case T-342/07 – Ryanair Holdings plc v. Commission, paragraph 239.
1842 Horizontal Merger Guidelines, paragraph 74.
1843 See e.g., Cases M.6796 – Aegean/Olympic II, paragraph 243; M.6447 – IAG/bmi, paragraph 271, where an entry in the next IATA Season on the London-Basel route was deemed timely.
1844 Remedy Notice, paragraph 17.
1845 Remedy Notice, paragraph 9.
1846 Remedy Notice, paragraph 10.
1847 Remedy Notice, paragraph 14.

(1947) The Court has clarified that "*it must be held in that regard that commitments proposed by one of the parties to a merger will meet that condition only in so far as the Commission is able to conclude, with certainty, that it will be possible to implement them and that the remedies resulting from them will be sufficiently workable and lasting to ensure that the creation or strengthening of a dominant position, or the impairment of effective competition, which the commitments are intended to prevent, will not be likely to materialise in the relatively near future.*"[1848]

(1948) The requisite degree of certainty concerning the implementation of the proposed commitments may in particular be affected by risks in relation to the transfer of a business to be divested, such as conditions attached by the parties to the divestiture, third party rights in relation to the business or the risks of finding a suitable purchaser, as well as risks in relation to the degradation of the assets in the time before the divestiture has taken place.[1849]

14.2.4. Case-by-case approach

(1949) The Commission notes that whether a remedy is suitable to eliminate the competition concerns identified can only be examined on a case-by-case basis.[1850]

(1950) The fact that similar remedies have been accepted or rejected in previous airline cases is not sufficient to conclude that those remedies solve or do not solve the competition concerns in the present case. The Commission must assess the proposed commitments taking into account the specificities of the transaction under review in line with the legal standards set out above.

14.3. The Initial Commitments

14.3.1. Description of the Initial Commitments

(1951) The Initial Commitments included the following:

(a) Commitments to address the competition concerns on six overlapping short-haul routes (where both Parties offer direct services) by entering into an agreement with one or more remedy takers ("Short Haul Remedy Taker(s)") and by making available slots and possibly other elements to those remedy takers ("New Entrant Remedy");

(b) Commitments to address the competition concerns on two overlapping short-haul routes (where both Parties offer direct services) by making available slots to remedy takers upon request ("Slot Remedy"; together with the New Entrant Remedy "the Short Haul Remedy Package");

(c) Commitments to address the competition concerns at LIN airport by divesting slots ("LIN Slots Remedy"); and

(d) Commitments to address the competitions concerns on three overlapping long-haul routes (where both Parties offer direct services) by committing to procure the operation at a minimum weekly frequency for the summer and/or the winter IATA seasons ("Long-Haul Capacity Remedy").

(1952) The Initial Commitments also foresaw the appointment of a Monitoring Trustee to monitor the Parties' implementation of the Initial Commitments.

1848 Case T-210/01 General Electric v Commission, ECLI:EU:T:2005:456, paragraph 453.

1849 Remedy Notice, paragraph 11.

1850 Remedy Notice, paragraph 16.

14.3.1.1. New Entrant Remedy

(1953) The Parties committed to make available slots and "*other necessary elements (if any)*" to one or more remedy takers, to be approved by the Commission, on the following six short-haul routes:

(a) Rome FCO-Frankfurt: 14 weekly frequencies in the summer seasons and 7 weekly frequencies in the winter seasons;

(b) Rome FCO-Munich: 14 weekly frequencies in the summer seasons and 7 weekly frequencies in the winter seasons;

(c) Rome FCO-Zurich: 14 weekly frequencies in the summer seasons and 11 weekly frequencies in the winter seasons;

(d) Milan-Düsseldorf: 12 weekly frequencies in the summer seasons and 12 weekly frequencies in the winter seasons from/to LIN/Milan Malpensa airport ("MXP");

(e) Milan-Frankfurt: 14 weekly frequencies in the summer seasons and 14 weekly frequencies in the winter seasons from/to LIN airport; and

(f) Milan-Hamburg: 14 weekly frequencies in the summer seasons and 14 weekly frequencies in the winter seasons from/to LIN/MXP airport (together, the "New Entrant Remedy Short-haul Route(s)").

(1954) For the above-mentioned routes, the Initial Commitments provided that the Parties and the remedy taker(s) would enter into an "Entry Commitment Agreement" which would impose the obligation on the remedy taker(s) to enter the routes and operate them until the end of the Minimum Period, that is to say for four consecutive IATA seasons. According to the text of the Initial Commitments, during the Minimum Period, the slots should only be used for scheduled passenger air transport services on the six routes and the remedy taker would not be entitled to "transfer or assign" these slots.

(1955) Before the Parties provided the remedy taker(s) with the necessary slots, the Initial Commitments provided that the remedy taker(s) would need to apply for the slots under the general slot allocation procedure. If the remedy taker(s) is/are able to obtain necessary slots, the number of slots to be made available by the Parties would be reduced accordingly.

(1956) To be approved by the Commission, the Initial Commitments provided that the remedy taker(s) would need to meet the following conditions:

(a) The remedy taker(s) must be independent of and unconnected to the Parties;

(b) The remedy taker(s) must have the financial resources, proven expertise and incentive to act as a viable and active competitive force;

(c) The operations on the routes by the remedy taker(s) must neither be likely to create *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(1957) According to the proposed New Entrant Remedy, the Parties were not obliged to find a remedy taker within a specific timeline and were allowed to close the Transaction as soon as the Commission decision is adopted.

(1958) The Parties explained in the Form RM that they considered that there were several interested and suitable potential remedy takers for all or parts of the New Entrant

Remedy, namely Volotea, EasyJet, Wizz Air, Ryanair, Neos, Transavia, Aeroitalia, Vueling and Air France.[1851]

14.3.1.2. Slot Remedy

(1959) The Parties also committed to make available under the Initial Commitments the following number of slots to an interested remedy taker on the Rome-Brussels and Milan-Brussels routes, however without committing to find a suitable remedy taker:

(a) Rome FCO-Brussels: 14 weekly frequencies in the summer seasons and 14 weekly frequencies in the winter seasons; and

(b) Milan-Brussels: 14 weekly frequencies in the summer seasons and 14 weekly frequencies in the winter seasons to/from LIN/MXP airport.

(1960) Other provisions of this part of the Initial Commitments were similar to the provisions in connection with the New Entrant Remedy: the slots should be used only on the two routes to Brussels for a duration of four consecutive IATA seasons; the remedy taker would first need to apply for the slots under the general slot allocation procedure and, in the case of a successful application, the number of slots to be made available by the Parties would be reduced accordingly; the remedy taker would need to meet the same conditions as set out in paragraph (1952) (1952)above to be approved by the Commission. The Parties also identified the same potential remedy takers as those listed in paragraph (1954)(1954) above.

14.3.1.3. LIN Slots Remedy

(1961) The Transaction would result in an increment in slot holdings at LIN ("LIN Total Slot Increment"). According to the Parties, this concerned:

(a) 148 weekly slots, equalling 74 weekly frequencies in the summer; and

(b) 136 weekly slots, equalling 68 weekly frequencies in the winter.

(1962) The Parties offered to divest slots equal in number to the LIN Total Slot Increment in the following ways: First, the Parties would transfer slots to the remedy taker(s) on the three routes to/from Milan as described in paragraph (1949) above (the "LIN Route Remedy Slots"). Second, if any of the LIN Increment remained, the Parties would transfer additional slots to the same remedy taker(s) on the three routes to/from Milan or the remedy taker on the two routes to/from Brussels ("LIN Remedy Taker Slots"). Third, if any of the LIN Total Slot Increment remained after those transfers, the Parties would transfer all remaining slots of the LIN Total Slot Increment to the slot coordinator at LIN. The Initial Commitments provided that the divested slots were to be spread across all traffic days and LIN's operating hours.

14.3.1.4. Long-Haul Capacity Commitment

(1963) The Long-Haul Capacity Commitment covered the following three direct/direct long-haul overlap routes: Rome-Washington (both seasons), Rome-San Francisco (summer season) and Rome-Toronto (summer season).

(1964) For these routes, the Parties committed to procure that at least a minimum number of seasonal widebody frequencies were offered for the duration of six consecutive IATA seasons, the first such season being from the beginning of the season in which the Parties have received approval from the US DoT to integrate ITA into the A++ JV agreement.

[1851] Form RM of 11 April 2024, paragraph 80.

(1965) The minimum number of frequencies for the three routes were as follows:

(a) Rome FCO-Washington: 14 weekly frequencies in the summer seasons and 7 weekly frequencies in the winter seasons:

(b) Rome FCO-San Francisco: 12 weekly frequencies in the summer seasons; and

(c) Rome FCO-Toronto: 14 weekly frequencies in the summer seasons.

(1966) The Long-Haul Capacity Commitment would have ended on the relevant route if a new entrant started a scheduled direct round trip on the route during the six-season period. Furthermore, the Long-Haul Capacity Commitment would have been without prejudice to the Parties cancelling flights due to Operational Risks, defined in the Initial Commitments as risks outside the Parties' area of influence.

14.3.2. Assessment of the Initial Commitments

(1967) The Commission decided not to market test the Initial Commitments as it considered that they suffered from several deficiencies affecting their comprehensiveness and/or effectiveness. Amongst others:

(a) with respect to the Short-Haul Remedy Package, the Parties did not offer remedies with respect to 18 short-haul routes of concern;[1852]

(b) with respect to the New Entrant Remedy, (i) the Initial Commitments were unclear as to whether the Short-Haul Remedy Taker(s) would need to operate all of the frequencies offered on each route or whether they could operate fewer frequencies, (ii) the Initial Commitments did not include e.g., a divestiture period, or any timeframe within which an entrant would need to be found, the Entry Commitment Agreement signed, the slots divested, or any timeframe within which the chosen entrant would need to start operations on the relevant routes; (iii) it was unclear how many Short-Haul Remedy Takers there would be; (iv) specifically for the Milan-Düsseldorf and Milan-Hamburg routes, the Initial Commitments appeared to leave the choice of slots at either MXP or LIN entirely to the discretion of the Parties; (v) similarly, the Initial Commitments appeared to leave the choice of the exact date and time of the slots entirely to the discretion of the Parties; (vi) the Commission was concerned that the Minimum Period of two years was too short; (vii) the Initial Commitments provided that the Parties would provide the Short-Haul Remedy Taker(s) in addition to the slots themselves, with "other necessary elements (if any)" to be defined based on the new entrant's needs), without explaining for example what these elements might be, whether the Parties would provide these elements at cost or other commercial conditions, or if there would be a time-limit on providing these elements;

(c) with respect to the Slot Remedy, it aimed at fostering potential entry in the future rather than immediately reducing the market power of the Parties by transferring the share of their business to an independent competitor, although

[1852] The direct/direct short-haul overlap on the route Milan-Stuttgart, the three future direct/direct short-haul overlaps on the routes Rome-Hamburg, Rome-Vienna, and Milan-Vienna, and the fourteen current short-haul direct/indirect overlaps. This reflects the scope of the Commission's preliminary competition concerns as set out in the Statement of Objections of 25 March 2024 and as still relevant at the time of submission of the Initial Commitments on 11 April 2024. In any event, the Short-Haul Remedy Package of the Initial Commitments also did not cover the final scope of competition concerns as set out in this Decision as it did not cover the two future direct/direct short-haul routes Rome-Hamburg and Milan-Vienna as well as the eight current short-haul direct/indirect overlaps.

evidence collected in this case suggested that the likelihood that there would be insufficient interest would have been high;

(d) with respect to the LIN Slots Remedy, while the scope of the proposed transfer of slots fully covered the increment stemming from the Transaction, and in principle the type of remedy offered was appropriate to address the competition concerns identified by the Commission with respect to airport dominance at LIN, the LIN Slots Remedy under the Initial Commitments suffered from certain shortcomings in terms of modalities of implementation that could have rendered it ineffective; for example, (i) the 3-step transfer process gave rise to a possible risk of fragmentation of the slot portfolio at LIN which in turn gave rise to a risk that the minimum scale required to operate the LIN Slots Remedy sustainably would not be achieved by the remedy taker, (ii) the Initial Commitments appeared to leave the exact choice of the date and time of the LIN slots entirely at the discretion of the Parties, and (iii) the Initial Commitments did not foresee any divestment closing deadlines or any timeframe within which a legally binding agreement would be signed with the remedy taker or the slots would be divested;

(e) with respect to the Long-Haul Capacity Commitment, among others, (i) the type of remedy seemed inappropriate, (ii) the scope of the commitment was insufficient in terms of frequencies and duration; (iii) the Commission considered that the Parties had the ability and incentives to circumvent the commitment; and (iv) the Commission considered that the remedy included too broad exit clauses.

14.4. **The Second Commitments**

14.4.1. Description of the Second Commitments

14.4.1.1. Short-Haul Commitments

(1968) As regards the competition concerns arising on specific short-haul routes, the Second Commitments removed the Slot Remedy originally contained in the Initial Commitments. Instead it contained a modified version of the New Entrant Remedy, with the content as described in section 14.4.1.1.1, and added a new commitment concerning a special pro-rate agreement, with the content as described in section 14.4.1.1.2.

14.4.1.1.1. New Entrant Remedy

(1969) In the Second Commitments, the Parties extended the scope of the New Entrant Remedy to include the two Brussels routes, Milan – Brussels and Rome – Brussels. The New Entrant Remedy in the Second Commitments therefore covered eight of the twelve direct/direct short-haul routes of concern.[1853] The Second Commitments specifically provided for the possibility that the Brussels routes could be taken up by a different remedy taker than the six short-haul routes already included in the New Entrant Remedy under the Initial Commitments.[1854]

1853 Second Commitments, clause 15. The number of 12 direct/direct short-haul routes of concern reflects the scope of the Commission's preliminary competition concerns at the time of submission of the Second Commitments on 6 May 2024. In any event, the New Entrant Remedy of the Second Commitments also did not cover the final scope of competition concerns as set out in this Decision as it did not cover all ten routes of concerns as the two future direct/direct short-haul routes Rome-Hamburg and Milan-Vienna were not included.

1854 Second Commitments, section A, term "Short-Haul Remedy Taker".

(1970) In addition, the Parties committed to enter into the Entry Commitment Agreement with the remedy taker(s) for the New Entrant Remedy as early as possible, but in any event no later than within a certain time frame after the Commission clearance decision, which however did not constitute a sufficiently specific deadline.[1855] The Entry Commitment Agreement would provide for the entry of the remedy taker in a specific IATA season and impose the obligation on the remedy taker(s) to enter the routes and operate them until the end of the Minimum Period, which the Parties extended in the Second Commitment to six consecutive IATA seasons (i.e., three years, or three summer and three winter seasons), from four under the Initial Commitments.[1856]

(1971) The Second Commitments also provided that if the remedy taker(s) ceases to operate the slots during the first or second year of the three-year period, all slots would automatically fall back to the Parties. The Parties committed to subsequently "procure the divestment to a new taker through the conclusion of a new Entry Commitment Agreement for the remaining part of the Minimum Period." If the remedy taker(s) cease to operate the slots during the third year of the three-year period, the Parties committed to release the slots to the relevant slot coordinators.[1857]

(1972) Other changes notably included specifying that the exact traffic days and hours of the slots to be divested would be agreed as part of the Entry Commitment Agreement with the remedy taker with the aim to reflect the current offering on the market, defined as the traffic days and hours currently being offered by the Parties on the route.

14.4.1.1.2. Special Pro-Rate Agreement

(1973) In order to address the competition concerns on the Remedy Short-Haul Direct/Indirect Routes,[1858] the Parties included in the Second Commitments a commitment to enter into a Special Pro-Rate Agreement ("SPA") with the remedy taker in relation to ITA's domestic network. The SPA would connect the remedy taker(s) with all intra-Italian routes served by ITA from Milan Linate and Rome Fiumicino airport.[1859] This would enable the remedy taker(s) to offer indirect connections on the Remedy Short-Haul Direct/Indirect Routes and allow it to replicate ITA's activities pre-merger beyond those routes as it offered the remedy taker(s) access to all of ITA's domestic network. Therefore, the SPA would also allow the remedy taker to enhance the connectivity of its operations to and from Milan Linate airport and Rome Fiumicino airport beyond the Remedy Short-Haul Direct/Indirect Routes.

(1974) The SPA would be based on a so called Straight-Rate Proration ("SRP") with minimum prorates to be paid by the remedy taker to ITA. The Second Commitments

1855 Second Commitments, clause 30.

1856 Second Commitments, clause 31.

1857 Second Commitments, clause 8.

1858 The Remedy Short-Haul Direct/Indirect Routes under the Second Commitments covered 9 (Brindisi–Düsseldorf (Summer); Bari-Frankfurt (Winter); Bari-Hamburg (Summer); Bari-Munich; Cagliari-Munich; Naples-Düsseldorf (Winter); Naples-Hamburg (Summer); Naples-Frankfurt; and Palermo-Frankfurt (Winter)) of the 12 direct/indirect short-haul routes of concern in scope of the Commission's preliminary competition concerns at the time of submission of the Second Commitments on 6 May 2024. This latter number later reduced to eight (all of which included in the Remedy Short-Haul Direct/Indirect Routes under the Second Commitments) when the Commission dropped the preliminary competition concerns on the direct/indirect short-haul routes involving Stuttgart (namely Brindisi-Stuttgart and Naples-Stuttgart), the route Bari-Frankfurt and the route Palermo-Frankfurt).

1859 Second Commitments, clause 32.

provided that the SPA would have an SRP with 4 different minimum prorates based on the different "Reservation Booking Designators Clusters" (3 for economy class and 1 for business class) and specified a range for the minimum prorates between EUR […] and […] one-way.[1860]

(1975) Lufthansa and MEF committed to enter into the SPA with the Short-Haul Remedy Taker as early as possible, but in any event no later than within a certain time frame after the Commission's clearance decision, to permit operations of the Short-Haul Remedy Taker from a specific IATA season, as to be defined by the Short-Haul Remedy Taker and agreed to in the Entry Commitment Agreement.[1861] The duration of the SPA would be limited to three years.

14.4.1.2. LIN Commitment

(1976) As regards the competition concerns arising at LIN airport, in the Second Commitments, the Parties only introduced minimal changes to the LIN Commitment. Under the Second Commitments, if requested by the remedy taker(s), the total number of slots to be divested in LIN may be increased to result in a transfer of up to 162 weekly slots (with a minimum of 148 slots to be divested), equalling 81 weekly frequencies, in the summer (with a minimum of 74); and 150 weekly slots (with a minimum of 136), equalling 75 weekly frequencies, in the winter (with a minimum of 68). The exact number of slots to be transferred would be determined based on the Short-Haul Remedy Taker's request and needs as agreed in the Entry Commitment Agreement.[1862]

14.4.1.3. Long-Haul Commitments

(1977) As regards the competition concerns arising on specific long-haul routes, the Second Commitments maintained the Long-Haul Capacity Commitment, with the content described in section 14.3.1.4 and complemented it with additional commitments to hold-separate and ring-fence certain parts of ITA's long-haul business, as described in section 14.4.1.3.2, and introduced a new commitment to offer the conclusion of cooperation agreements with one or more remedy taker(s), as described in section 14.4.1.3.3.

(1978) The remedy would have been split between two phases: in a first phase, from closing of the Transaction until the receipt of the US Department of Transportation's approval of the integration of ITA into the A++ JV agreement and any necessary approvals by other antitrust authorities ("Antitrust Approvals"),[1863] only the commitment to hold-separate and ring-fence would have applied; in a second phase as of receipt of the Antitrust Approvals, only the Capacity Commitment and the commitment to offer cooperation agreements to competing airlines to strengthen their own operation on some specific long-haul routes would have applied.

14.4.1.3.1. Long-Haul Capacity Commitment

(1979) The Parties only introduced minor changes to the Long-Haul Capacity Commitment, (i) to cover an additional long-haul route, Rome-Chicago (during the Summer

1860 Ibid.
1861 Second Commitments, clause 7.
1862 Second Commitments, clause 4 ii.
1863 Second Commitments, section A, term "Antitrust Approvals".

seasons only),[1864] and (ii) to make its application conditional on the Parties receiving the Antitrust Approvals.

14.4.1.3.2. Hold-Separate and Ring-Fencing Commitment

(1980) In the Second Commitments, in addition to the Long-Haul Capacity Commitment, the Parties also committed, from closing of the Transaction until receipt of the Antitrust Approvals, to keep ITA's Long-Haul North Atlantic Business[1865] separate from the rest of the Lufthansa organisation.[1866] Furthermore, the Parties committed to implement all necessary measures to ensure that Lufthansa does not, after closing of the Transaction, obtain any confidential information relating to the Long-Haul North Atlantic Business (together "the Hold-Separate and Ring-Fencing Commitment").[1867] The Parties argued in the Form RM that this was to ensure that there would not have been coordination between ITA on the one hand and the A++ JV on the other hand prior to receipt of the Antitrust Approvals.[1868]

(1981) To achieve this goal, the Parties would have established a corporate governance structure to ensure implementation of the Hold-Separate and Ring-Fencing Commitment. This was meant to be achieved by:[1869]

(a) ensuring that ITA's network and capacity planning and revenue management activities related to the Long-Haul North Atlantic Business would be operationally and functionally independent;

(b) ensuring that management and staff of Lufthansa would have no involvement in ITA's Long-Haul North Atlantic Business;

(c) ensuring that personnel of ITA would not report to any individual at Lufthansa in relation to the Long-Haul North Atlantic Business;

(d) appointing (by MEF) a Hold Separate Manager to manage ITA's Long-Haul North Atlantic Business and to report directly to ITA's Chairman. The Hold Separate Manager were to be granted the necessary power for decisions and processes related to ITA's Long-Haul North Atlantic Business, such as pricing, capacity, revenue management and network;

(e) creating a Long-Haul North Atlantic Committee responsible for all decisions concerning the network and capacity planning of ITA's Long-Haul North Atlantic Business, including the opening and closing of long-haul routes. The Committee would consist of three members of ITA's Board of Directors representing the MEF as well as the Hold Separate Manager;

(f) ensuring that all relevant systems, processes and IT tools pertaining to ITA's Long-Haul North Atlantic Business would be kept separate from the rest of Lufthansa's organisation;

(g) ensuring that any Lufthansa representatives serving in any committees or functions of ITA or otherwise potentially having access to confidential

1864 Second Commitments, section A, term "Capacity Remedy Long-Haul Routes".
1865 Defined in the Second Commitments as ITA's operations on long-haul routes between Italy and North America where ITA's activities overlap (directly or indirectly) with the operations of the A++ JV.
1866 Second Commitments, clause 35.
1867 Second Commitments, clause 37.
1868 Form RM of 6 May 2024, paragraph 98; see also Second Commitments, clause 34.
1869 Second Commitments, clauses 35-38.

information via their function in the Lufthansa group do not receive any access to confidential information.

(1982) The Second Commitments further provided that this commitment was without prejudice for ITA to seek access to partnership agreements (i.e., interline, special prorate and codeshare agreements) with Lufthansa's A++ JV partners at market conditions, similar to existing agreements in place with competitors.[1870]

(1983) Finally, Lufthansa and MEF further committed not to implement the integration of ITA into the A++ JV following Antitrust Approvals, once received, before expiry of two years after the Commission's decision.[1871]

14.4.1.3.3. Long-Haul Connectivity Commitment

(1984) In addition to the Long-Haul Capacity Commitment and the Hold-Separate and Ring-Fencing Commitment, the Second Commitments also included a Long-Haul Connectivity Commitment for the following four direct/direct long-haul overlap routes: Rome-Washington, Rome-San Francisco, Rome-Chicago, and Rome-Toronto (the "Connectivity Remedy Long-Haul Routes").

(1985) Through this Long-Haul Connectivity Commitment, the Parties committed, after receipt of the Antitrust Approvals and before implementation of the integration of ITA into the A++ JV, for a period of six consecutive IATA seasons, to offer the conclusion of cooperation agreements (such as interline or codeshare agreements) with one or more competing airlines that are not part of any other transatlantic joint venture on flights from Rome Fiumicino to and from other European airports, in order to connect the remedy taker(s) to Rome Fiumicino for their own operations of the Connectivity Remedy Long-Haul Routes.[1872]

(1986) The Second Commitments provided that the details would have been negotiated and agreed upon in Connectivity Agreements with the remedy taker(s).[1873] In addition, the Connectivity Agreements could have been complemented by further support measures facilitated by the Parties, such as the retiming of slots to foster connectivity at the respective hub of the remedy taker(s).[1874]

14.4.2. Assessment of the Second Commitments

(1987) As set out in further detail in the sections below, the Commission considered that the Parties made some progress in addressing some of the concerns expressed with respect to the Initial Commitments. Several issues were still not addressed, or insufficiently, and certain new issues arose as a result of changes made to the Initial Commitments. However, the Commission decided to market test the Second Commitments, in order to base its decision on the best available evidence. The Commission took these results into consideration in its final assessment of the Second Commitments.

14.4.2.1. Short-Haul Commitments

(1988) Despite some improvements, the Commission considered that the Second Commitments did not entirely or comprehensively address its concerns in scheduled air passenger transport on short-haul routes arising as a result of the Transaction.

1870 Second Commitments, clause 9.
1871 Second Commitments, clause 10.
1872 Second Commitments, clause 11, and section A, term "Connectivity Remedy Taker(s)".
1873 Second Commitments, clause 44.
1874 Second Commitments, clause 11.

(1989) The results of the market test were mixed. The majority of the competitors who expressed a view in the market test considered that the Short-Haul Commitments overall were not suitable to effectively remove all competition concerns in scheduled air passenger transport on short-haul routes arising as a result of the Transaction.[1875] However, the majority of the customers and interested third parties and the majority of the slot coordinators and airport managers who expressed an opinion, considered that they were suitable in that respect.[1876]

14.4.2.1.1. New Entrant Remedy

(1990) With respect to the New Entrant Remedy specifically, first, the Parties addressed in the Second Commitments some of the deficiencies identified by the Commission in section 14.3.2. By way of example, the Parties clarified that: (i) the Short-Haul Remedy Taker would either be one entity or there would be one Short-Haul Remedy Taker for the two Remedy Short-Haul Routes from/to BRU and one for the remaining Remedy Short-Haul Routes; (ii) the slots to be divested for the operation of the Remedy Short-Haul Routes and the LIN Remedy Slots would be agreed as part of the Entry Commitment Agreement with the Short-Haul Remedy Taker with the aim to reflect the current offering on the market (i.e. the traffic days and hours currently being offered by the Parties on the route), and, in addition, the Second Commitments refer to the relevant slots as those within the Relevant Time Window, defined in Section A. of the Second Commitments, as the period of 20 minutes on either side of the Slot time requested by the Short-Haul Remedy Taker;[1877] and (iii) the Minimum Period was extended from 4 to 6 consecutive IATA seasons (i.e., from 2 to 3 years).[1878]

(1991) Second, the Parties simultaneously extended the scope of the New Entrant Remedy and addressed the Commission's concerns with respect to the Slot Remedy by including the LIN/MXP-BRU and FCO-BRU direct/direct short-haul routes of concern into the Remedy Short-Haul Routes. However, in the first place, the Second Commitments provided in Section A that the Short-Haul Remedy Taker would be "*the entity or, in case the Remedy Short-Haul Routes from/to BRU on the one hand and the remaining Remedy Short-Haul Routes on the other hand are acquired by two different airlines*". In other words, there was built-in flexibility to allow for the routes Milan-Brussels and Rome-Brussels to be taken up by a separate remedy taker than the other Remedy Short-Haul Routes. In the second place, the Parties still did not offer remedies with respect to 4 direct/direct short-haul routes of concern, namely the current direct/direct short-haul overlaps on the routes Milan-Stuttgart and the three

1875 Responses to question C.1 of the Competitors Remedies Market Test.

1876 Responses to question C.1 of the Customers and Third Parties Remedies Market Test and of the Slot Coordinators and Airport Managers Remedies Market Test.

1877 The importance of the date and time of the slots for the effectiveness of the remedy, and therefore the need for it be based on the request of the remedy taker, was confirmed by competitors in their responses to question D.3 of the Competitors Remedies Market Test in connection with the LIN Slots Remedy. By way of example, in its response to this question, Wizz Air stated that "*[s]lot timings are critical for effective competition. The new entrant should be able to choose all the exact slots they want*", ID 18379. In addition, […].

1878 The majority of the competitors who expressed a view in the market test considered that this timeframe was sufficient for the remedy taker to establish itself as a credible player. See responses to question C.A.9. of the Competitors Remedies Market Test.

future direct/direct short-haul overlaps on the routes Rome-Hamburg, Rome-Vienna and Milan-Vienna.[1879]

(1992) Third, the Commission acknowledged that the frequencies listed under the New Entrant Remedy for each Remedy Short-Haul Route in some instances matched ITA's Winter 2023/2024 or Summer 2024 frequencies, in some instances even exceeded them, or were only lower by 1-5 frequencies.[1880] However, the Commission considered that the text of the Second Commitments was insufficiently clear as to whether these frequencies should be construed as minimum or maximum frequencies. This concern was compounded by the fact that […][1881] […][1882] […]. In addition, the Commission noted that the Second Commitments contained no enforcement or remediation mechanism in case the remedy taker operates lower frequencies than those provided under the New Entrant Remedy. Therefore, in the Commission's view, the lack of clarity of the text of the Second Commitments in this instance gave rise to concerns that the remedy could be rendered ineffective.

(1993) Fourth, the Parties reacted to the Commission's feedback that relevant deadlines should be included notably by including a commitment for the Parties to transfer the relevant slots under the New Entrant Remedy "*in any case in time to permit entry of the Short-Haul Remedy Taker [in a specific IATA season]]*". However, the Commission was concerned that the requirement provided under Clauses 19 to 24 of the Second Commitments for the remedy taker to first exhaust all reasonable efforts to obtain the necessary slots to operate the New Entrant Remedy through the general slot allocation procedure could lead to delays and prevent such expeditious entry.

(1994) Fifth, the Parties included under the New Entrant Remedy (i) a commitment for them to enter into the Entry Commitment Agreement with the Short-Haul Remedy Taker "*as early as possible, but in any event no later than [within a certain time frame]*" from the date of the Decision, and (ii) to divest the relevant slots to operate the New Entrant Remedy to the Short-Haul Remedy Taker within a specific time frame from the date of the Decision "*but in any case in time to permit entry of the Short-Haul Remedy Taker [in a specific season]*". However, the Commission considered that these commitments did not constitute fixed deadlines, and, importantly, the New Entrant Remedy still did not include any mechanisms to ensure that a remedy taker be found, the Entry Commitment Agreement be signed, the slots be transferred and that the remedy taker(s) start operating within these timeframes.

(1995) Sixth, the Commission considered that it was still insufficiently clear at the time of the assessment of the Second Commitments that there would be actual (and sufficient) entry of (a) new competitor(s) on the Remedy Short-Haul Routes.[1883] This is why, amongst other elements, at least an upfront remedy clause would have helped assuage the Commission's concerns, in line with paragraph 53 of the Remedy Notice. The results of the market test in that respect were mixed. The majority of the

---

1879 This reflects the scope of the Commission's preliminary competition concerns at the time of submission of the Second Commitments on 6 May 2024. In any event, the New Entrant Remedy of the Second Commitments also did not cover the final scope of competition concerns as set out in section 9 of this Decision as it did not cover all ten routes of concerns by missing the two future direct/direct short-haul routes Rome-Hamburg and Milan-Vienna.

1880 Response by Lufthansa and MEF to a Commission's request for information (RFI 30), Annex Q5 and Form RM of 6 May 2024.

1881 Response by Lufthansa and MEF to a Commission's request for information (RFI 55), Annex Q5.1.

1882 Response by Lufthansa and MEF to a Commission's request for information (RFI 55), Annex Q5.2.

1883 Remedy Notice, paragraph 63.

competitors who expressed an opinion considered that the New Entrant Remedy was not likely to lead to the timely and sufficient entry of a viable short haul remedy taker.[1884] However, the majority of the customers and interested third parties and the majority of the slot coordinators and airport managers who expressed an opinion considered that they were likely to lead to such entry.[1885]

(1996) In the first place, prior commitments by the Lufthansa group to offer the divestment of slots to remedy competition concerns in European Union merger cases have not been successful in triggering entry. As set out in section 9.1.4.5, on the thirteen routes which were central to the Commission's assessment of Lufthansa's prior acquisitions of Austrian Airlines, Brussels Airlines and SWISS and where similar slot remedies were accepted, Lufthansa has consistently maintained high market shares and entry events were scarce, in the vast majority short-lived and limited to LCC or ULCC competing from secondary/regional airports. Furthermore, none of the slots offered under the slot remedies by Lufthansa were requested and used by market entrants in these prior transactions. Among those competitors which expressed a view in the market test, some also specifically raised the fact that short-haul remedies accepted in previous competition matters involving Lufthansa were unsuccessful.[1886]

(1997) In the second place, there was originally, in this case specifically, no interest by rivals to enter the relevant routes of concern or such interest was limited at best, as set out in detail in section 9.1.4.5, and in the sections on potential entry by rivals discussed for each route of concern in sections 9.2 to 9.4.

(1998) In the third place, the Parties explained in the Form RM that there was a number of interested and suitable potential remedy takers, for all or parts of the New Entrant Remedy.[1887] Among those, easyJet, Volotea and Neos confirmed their interest in response to the market test.[1888] Based on the Parties' submissions, the Commission understood that […][1889] However, the Parties did not submit any undertakings as formal remedy takers for the Commission to assess. Although being under no obligation to conduct an in-depth assessment of all (or any) potential remedy takers in such a situation, the Commission nevertheless reached out to easyJet and Volotea and considered the information provided. On the basis of that information, the Commission was not able to conclude with the requisite level of certainty at the time of the assessment of the Second Commitments that either or both constituted suitable remedy takers for the New Entrant Remedy. As presented below, while both undertakings presented interest, their submissions and the Commission's investigation revealed some significant elements of risk that would need to be investigated further. The Commission notes that (i) the business model of the remedy taker (i.e., network carrier vs. LCC/ULCC), (ii) owning sufficient fleet/capacity on their own to enter immediately and be able to cover their operations, and (iii) the remedy taker's own network and ability to offer connecting flights were ranked highest by competitors who expressed a view in the market test in terms of importance when considering the ability of the remedy taker to operate services on

1884 Responses to question C.A.1 of the Competitors Remedies Market Test.
1885 Responses to question C.A.1 of the Customers and Third Parties Remedies Market Test and of the Slot Coordinators and Airport Managers Remedies Market Test.
1886 Responses to question C.3 of the Competitors Remedies Market Test.
1887 Form RM of 6 May 2024, paragraph 112.
1888 Responses to question C.A.18.1 of the Competitors Remedies Market Test.
1889 Response by Lufthansa and MEF to a Commission's request for information (RFI 55), question 4.

the Remedy Short Haul Routes as a viable competitor.[1890] Ryanair added that "*[t]he remedy taker would need to be extremely efficient, financially robust, with very strong brand recognition, for any chance of success*".[1891] The Commission agreed with these views and therefore conducted its preliminary assessment of the suitability of easyJet and Volotea as potential remedy takers notably taking those criteria into consideration.

(1999) With respect to easyJet, the Commission's investigation revealed some significant elements of risk that would need to be investigated further, but the Commission saw scope for these risks still to be addressed at a later stage before any potential request to approve easyJet as the remedy taker:

(a) easyJet confirmed in response to the market test that it was "*interested in serving the proposed potential frequencies on all Remedy Short-haul Routes across the next six IATA seasons (and beyond) for longer if the routes remain profitable*".[1892] However, the Commission would need to investigate in detail easyJet's business case with respect to the New Entrant Remedy in order to confirm whether it has the ability and incentives to operate the Remedy Short-Haul Routes viably and competitively.[1893] This is particularly the case, for example, with respect to the Rome routes included in the scope of the New Entrant Remedy. easyJet had stated earlier in the investigation, at a time when it was not yet clear that the remedy package would link access to slots at Linate airport to also starting operations out of Rome, that "*airports in Rome are not a focus for easyJet*".[1894] However, in the context of its exchanges with the Commission in connection with these commitments, it stated that "*[g]iven the current market conditions and the availability of remedy slots, there is a timely opportunity for easyJet to expand the scope of its operations in Rome*".[1895] This apparent contradiction may call into question the strength of easyJet's business case for the Rome routes.

(b) The Commission had concerns that the level of competition on the Remedy Short-haul Routes pre-Transaction would not be adequately replicated post-Transaction on the Remedy Short-Haul Routes if the remedy taker was an LCC rather than a network carrier benefitting from connecting traffic. EasyJet submitted that in their view their business model is not an obstacle to it constituting a suitable remedy taker. easyJet explained that *"[t]he remedy consist (sic) of substantial point-to-point flows where easyJet expects to succeed. easyJet's strategy has been built on differentiating itself from other LCCs by serving primary and hub airports. (…) Specifically, easyJet has a proven track record of successfully operating routes that intersect with hubs of legacy carriers. (…) Similarly, at LIN, easyJet has demonstrated success with routes operating into hubs of other carriers, such as Amsterdam-Linate (AMS-LIN) and Paris-Linate (CDG-LIN), fully relying on point-to-point passengers*

1890 Responses to questions C.A.13 and C.A.14 of the Competitors Remedies Market Test.
1891 Response of Ryanair question C.A.7 of the Competitors Remedies Market Test, ID 18536.
1892 Response of EasyJet to questions C.A.18.1 and C.A.18.2 of the Competitors Remedies Market Test, ID 18670.
1893 Second Commitments, Clause 49, b., and Remedy Notice, paragraph 49.
1894 Non-confidential minutes of a conference call with easyJet, dated 1 August 2023, paragraph 12, ID 756.
1895 Response of EasyJet to a Commission's Request for Information(RFI Remedies I), question 11. b, ID 19231.

choosing to fly with easyJet".[1896] In that respect, Easyjet pointed out that the Remedy Short-Haul Routes "*cover business orientated markets (i.e., Brussels, Frankfurt and Munich)*" and that […].[1897] However, the Commission would need to investigate in further detail whether easyJet would constitute a sufficient entrant on these routes, given its point-to-point model.

(c) In connection with the requirement under the Second Commitments that the Short-Haul Remedy Taker be independent of and unconnected to the Parties (mirroring the purchaser criteria in paragraph 48 of the Remedy Notice), the Parties indicated that "*[…]*".[1898] However, the Commission would need to investigate further the nature and extent of any links with the Parties, including as a result of the New Entrant Remedy.

(d) In connection with the requirement under the Second Commitments that the Short-Haul Remedy Taker have the financial resources to act as a viable and active competitive force on the Remedy Short-Haul Routes (mirroring the purchaser criteria in paragraph 48 of the Remedy Notice), easyJet submitted that "*easyJet's most recent set of financial results (H1 FY24) showed a strong financial position, with an investment grade rating (BBB/Baa2), 146M of net cash and 12% half on half growth in capacity, improving half on half yield, and flat ex fuel cost per seat*".[1899] As at the date of this Decision, the Commission was not aware of any evidence contradicting this statement.

(e) easyJet indicated in its responses to the market test that "*it has sufficient available fleet and personnel to be able to operate the routes*".[1900] It later further clarified that "*[…]*."[1901] However, the Commission would need to investigate further any potential support measures from the Parties to easyJet. Finally, as explained in further detail in section 14.4.2.1.2 below, easyJet expressed concerns about the obligation under the Second Commitments for the Short-Haul Remedy Taker to enter into the SPA Commitment in connection with the Remedy Short-Haul Direct/Indirect Routes, which raises doubts about easyJet's ability and incentives to serve these routes with a viable and competitive offer, and therefore its suitability as a potential remedy taker, beyond the New Entrant Remedy.

(2000) With respect to Volotea, the Commission's investigation revealed the following concerns, raising serious doubts already at the date of this Decision as to its suitability as a remedy taker for the New Entrant Remedy:

(a) Volotea confirmed that […].[1902] Aside from the slots, it identified that […][1903], […].[1904] In other words, it appears that Volotea would be significantly reliant

---

1896 Response of EasyJet to a Commission's Request for Information (RFI Remedies I), question 12a, ID 19231.

1897 Non-confidential minutes of a conference call with easyJet, dated 23 May 2024, paragraph 7, ID 19235.

1898 Response of Lufthansa and MEF to a Commission's request for information (RFI 55),

1899 Response of easyJet to a Commission's Request for Information (RFI Remedies I), question 5, ID 19231.

1900 Response of easyJet to question C.A.18.6 of the Competitors Remedies Market Test, ID 18670.

1901 Non-confidential minutes of a conference call with easyJet, dated 23 May 2024, paragraph 11, ID 19235.

1902 Response of Volotea to a Commission's Request for Information (RFI II-1), question 12, ID 19222.

1903 Non-confidential minutes of a conference call with Volotea, dated 23 May 2024, paragraph 6, ID 19181.

1904 Response of Volotea to a Commission's Request for Information (RFI II-1), question 12, ID 19222.

on the merged entity for the viability of its operations on the Remedy Short-Haul Routes.

(b) Volotea does not currently offer connecting services and explained that "*[...]*".[1905] They "*[...]*".[1906] Volotea further explained that "[…]"[1907]. In other words, Volotea […].

(c) Volotea also raised the fact that "[…]."[1908]

(d) Volotea' financial situation may raise concerns as it was heavily affected by the Covid19 pandemic.

(2001) Seventh, the Parties provided in Clause 8 of the Second Commitments for a back-up solution in case the remedy taker for the New Entrant Remedy ceased to operate during the Minimum Period. However, the Commission considered that this back-up solution could still be improved on in order to ensure its effectiveness. First of all, the Parties only committed to procure the divestment of a new remedy taker for the remainder of the Minimum Period. Second of all, the Commission considered that the terms "*ceases to operate*" would merit from being further clarified, for example to confirm whether it also included scenarios (i) where the remedy taker would operate fewer frequencies than provided under the New Entrant Remedy or the Entry Commitment Agreement once signed if different, (ii) where the remedy taker would use the slots received under the New Entrant Remedy on other routes, (iii) relating to bankruptcy, weather events, etc. Third of all, the text of the Second Commitments did not provide a timeline or a specific process to procure the divestment to a new remedy taker, or for example, any specific role for the Monitoring Trustee or the Commission in that respect. Fourth of all, the Second Commitments did not specify which criteria the new remedy taker would need to meet to be considered suitable.

14.4.2.1.2. SPA Commitment

(2002) As indicated in section 14.4.1.1.2 above, the SPA generally went beyond the scope of concerns identified by the Commission on the short-haul direct/indirect overlaps as it offered the remedy taker(s) access to all of ITA's Italian domestic network, and not just on the Italian domestic leg of the routes identified in sections 9.4.5 and 9.4.6 above. In this context, the Commission considered that the scope of the SPA's agreement as such could be sufficient and adequate. However, as set out below, the Commission considered that the SPA Commitment suffered from certain deficiencies that would have affected its effectiveness.

(2003) First, the New Entrant Remedy left the flexibility to the remedy taker(s) whether they choose to operate the routes Milan-Düsseldorf and Milan-Hamburg from Linate or Malpensa. To the extent that the remedy taker would choose Malpensa, the remedy taker would not be able to offer connecting flights to destinations in Italy as the SPA would apply only to connections through Milan Linate and Rome Fiumicino. Considering that the Rome-Düsseldorf or Rome-Hamburg routes were not part of the New Entrant Remedy and therefore that connections through Rome were not an option, this meant that the SPA would not have been applicable for connections to

1905 Non-confidential minutes of a conference call with Volotea, dated 23 May 2024, paragraph 8, ID 19181.

1906 Response of Volotea to a Commission's Request for Information (RFI II-1), question 14, first paragraph, ID 19222.

1907 Non-confidential minutes of a conference call with Volotea, dated 23 May 2024, paragraph 8, ID 19181.

1908 Non-confidential minutes of a conference call with Volotea dated 23 May 2024, paragraph 9, ID 19181.

Düsseldorf and Hamburg, which would leave competition concerns on the routes Brindisi-Düsseldorf, Naples-Düsseldorf, Bari-Hamburg and Naples-Hamburg unaddressed. This was a flaw in the design of the remedies, which left a loophole with the possibility of not having a remedy in place for up to four direct/indirect routes of concern to the extent that the remedy taker avails itself of the opportunity to enter through Malpensa and not Linate airport.

(2004) Second, the Commission considered that the duration of the SPA was likely to be too short. More specifically, the agreement was limited in duration to three years,[1909] after which there would not be a remedy in place for the direct/indirect overlaps. In the Commission's past decisional practice, it is on the one hand acknowledged that "*SPAs are generally valid for one year and are renegotiated thereafter*",[1910] but, on the other hand the duration of SPAs concluded pursuant to commitments in competition cases in the airline industry by the Commission exceeded, in most cases three years. More specifically, the special prorate agreements concluded in M.7333 – *Alitalia / Etihad*[1911] and in M.7541 – *IAG / Aer Lingus*[1912] had a duration of up to five years at the choice of the requesting carrier. Furthermore, in the former case, the agreement could be renewed for a further period of one year, whereas in the latter case, for a further period of two years.[1913] In addition, in the antitrust case AT.39964 – *Air France / KLM / Alitalia / Delta*, the special prorate agreement concluded pursuant to the commitments had a duration of up to ten years.[1914] The results of the Commission's market test were mixed and inconclusive regarding the suitability of the duration of the SPA Commitment. 4 out of ten competitors that expressed a view considered the duration as suitable whereas 4 others considered it unsuitable, and 2 responded "*Other*".[1915]

(2005) Third, the Commission considered that, although the concept of the SPA Commitment was acceptable as a remedy for the concerns arising from the direct/indirect short-haul overlaps in this case (taking into account the degree of competitive constraint ITA's indirect connections imposed on Lufthansa's direct flights before the Transaction as well as the number of routes of concern), the SPA Commitment did not specify in sufficient detail the access conditions and that certain conditions or terms that were specified gave rise to certain issues that could affect its effectiveness.

(2006) This view was supported by the results of the market test. Indeed, on the one hand, the majority of competitors that expressed a view confirmed that it is possible for an entrant to establish viable operations while relying on the flights of their competitor[1916] and that this is common industry practice. On the other hand, many explained that this would depend on the content of the SPA. For example, according to Air Europa, "*it depends on the content of the SPA. If it is a good SPA for both parties and Lufthansa has an incentive to offer the necessary feed (and there is sufficient demand) then the interest[s] are aligned and the remedy taker can stablish*

1909 Form RM of 6 May 2024, paragraph 49.
1910 See Cases M.9287 – Connect Airways / Flybe, paragraph 534; M.7541 – IAG / Aer Lingus, paragraph 468.
1911 See Case M.7333 – Alitalia / Etihad, paragraph 3.10 of the Commitments Section.
1912 See Case M.7541 – IAG / Aer Lingus, paragraphs 582 and 635.
1913 See Case M.7333 – Alitalia / Etihad, paragraph 3.10 of the Commitments Section; M.7541 – IAG / Aer Lingus, paragraphs 582 and 635.
1914 See Case AT.39964 – Air France / KLM / Alitalia / Delta, paragraph 131.
1915 Responses to question C.B.6.1 of the Competitors Remedies Market Test.
1916 Responses to question C.B.5 of the Competitors Remedies Market Test.

viable operations".[1917] And specifically as regards the SPA Commitment under the Second Commitments offered in this case, the majority of the competitors that expressed a view in fact submitted that the terms of the SPA under the Second Commitments were not adequate and would not allow the remedy taker(s) to operate viably and in a competitive manner.[1918] In addition, the majority of the competitors that expressed a view in the Commission's market test further submitted that the SPA as described in the Second Commitments was unlikely to be sufficient to resolve the competition concerns in relation to the direct/indirect overlaps,[1919] or to lead to the timely and sufficient entry of a Short Haul Remedy Taker with viable and competitive scheduled air passenger transport services on each of the direct/indirect routes of concern.[1920]

(2007) In the first place, certain competitors pointed to the lack of specificity of the SPA, or to certain issues with the terms already specified.

(2008) For example, Condor, explained that "*[t]he SPA commitment is also far too unspecific and does not even reach the minimum requirements foreseen in prior cases such as M7541. (…) In prior cases, SPA commitments were only considered sufficient if they enabled remedy takers access to all RBDs [reservation booking designators][1921] previously offered under SPAs to other parties. This is more than the limitation in this case to just 4 RBDs (3 economy and 1 business.)(…) It also remains unclear to what extent [Lufthansa] will require that its own RBDs are mandatorily combined with specific booking classes of the remedy takers. These restrictions are regularly contained in so called Chart-2 declarations submitted to IATA and GDS [General Distribution Systems] systems which only allow airlines to book certain combinations of booking classes. This would allow [Lufthansa] for instance to require a remedy taker to sell its own flight in a more expensive booking class if [Lufthansa] only makes more expensive RBDs available for its part of the journey. In effect mandatory booking class combinations thus allow [Lufthansa] to reduce the price setting freedom of a remedy taker.) (…) The possible use of Minima allows [Lufthansa] to effectively make the commitment useless as it can allow [Lufthansa] to render the indirect connection so costly that it cannot be offered. (…) The commitments also do not foresee equivalent access to the seat inventory. See M.7541, para 471 for the theory of harm and 578 for the minimum required".[1922]*

(2009) Other respondents commented on terms of the SPA in more detail. For instance, Air Europa explained that "*[i]t is best to have a unique Minima for both economy and business*"[1923] and LOT Airlines that "*the settlement shall be based on SRP [Straight Rate Proration][1924] with 1 minimum per cabin (instead of proposed 3 minimas for economy cabin),*"[1925] and that "*(…), all RBDs may be included in the SPA agreement,*

1917 Response of Air Europa to question C.B.5 of the Competitors Remedies Market Test, ID 18062.

1918 Responses to question C.B.7.1 of the Competitors Remedies Market Test.

1919 Responses to question C.B.1 of the Competitors Remedies Market Test.

1920 Responses to question C.B.3 of the Competitors Remedies Market Test.

1921 Reservation Booking Designators ('RBDs') are alphabetic or alpha-numeric codes used by airlines to identify a fare type and allow airline staff and travel agents to find the rules applicable to that fare. Thus, the flight's booking class, is determined by its RBD and is utilised in reservation procedures to specify which booking class is being chosen by the passenger. Additionally, the RBD correlates to the type of cabin or service class provided on the plane by the airline operating the flight.

1922 Response of Condor to question C.B. 2 of the Competitors Remedies Market Test, ID 18458.

1923 Response of Air Europa to question C.B.7.2 of the Competitors Remedies Market Test, ID 18062.

1924 Straight Rate Proration refers to a method for dividing up revenue by percentage of weighted mileage.

1925 Response of LOT Airlines to question C.B.7.2 of the Competitors Remedies Market Test, ID 18474.

however there are different measures within an airline that decide which RBDs are available to sell for a given flight at a given date. It will be hard to sanction that the availability of the RBDs provided by ITA will be fair [emphasis added] - in most difficult situation, ITA may block availability for the remedy taker to the highest RBDs only and justify it with demand situation".[1926]

(2010) In this context, in case M.7541 – *IAG / Aer Lingus*,[1927] where a similar SPA Commitment was accepted, the Commission had the ability to examine the terms[1928] of the SPA prior to the adoption of a decision, and to therefore agree with certain minimum requirements, in order to ensure that following the clearance of the transaction IAG (i) would not unjustifiably terminate the SPA agreement,[1929] (ii) would not impose a revision of the SPA on terms less favourable than pre-transaction,[1930] and, (iii) would not discriminate interlining partners based on how access is provided to its seats inventory.[1931] Due to the lack of specificity of the terms of the SPA in the Second Commitments, the Commission could not, at the time of the assessment of the Second Commitments assess whether the SPA's terms met certain minimum requirements, similar to its assessment in M.7541 – *IAG / Aer Lingus*.

(2011) In the second place, according to the Parties' submission, the SPA would be based on a SRP with minimum prorates to be paid by the marketing carrier to the operating carrier (i.e., the minima), and this implies that the prorate to be paid for the feeder route (i.e., the Italian leg of the route operated by ITA) would be determined by the price for the complete itinerary, set by the remedy taker that would be given access to all of ITA's operating RBDs as to be agreed on between ITA and the remedy taker(s). The settlement would be based on SRP with 4 different minima based on RBD clusters (3 for economy class, 1 for business class) with the minima ranging from […] EUR […] to […] EUR […].[1932] The Commission considered it was uncertain whether the minima would allow the remedy taker(s) to compete with the Parties on the prices, and whether these were close to what the potential remedy takers (i.e., Volotea and easyJet currently offer.

(2012) In that context, the Commission considered that the absence of an upfront buyer solution that would allow the Commission to assess binding agreements put in place with the selected remedy taker(s), carried strong implementation risks.

(2013) Fourth, the Commission was concerned that the SPA Commitment was not suitable to be taken up by either of the potential remedy takers Volotea and easyJet, which would leave the Commission with the risk that no remedy taker would be found or that only an unsuitable remedy taker would sign a deal.

(2014) In the first place, the Commission was concerned that the remedy offer would not fit the business model of the potential remedy takers as both Volotea and easyJet are LCC carriers. The incompatibility of the remedy takers' point-to-point business model with the nature of the SPA Commitment (i.e., the fact that point-to-point LCCs do not enter into interlining agreements such as the proposed SPA) was identified by several competitors in their responses to the Commission's market test.

1926 Response of LOT Airlines to question C.B.2 of the Competitors Remedies Market Test, ID 18474.
1927 See Case M.7541 – IAG / Aer Lingus.
1928 See Case M.7541 – IAG / Aer Lingus, paragraphs 469, and 578-579.
1929 See Case M.7541 – IAG / Aer Lingus, paragraph 469.
1930 See Case M.7541 – IAG / Aer Lingus, paragraph 470.
1931 See Case M.7541 – IAG / Aer Lingus, paragraph 471.
1932 Form RM of 6 May 2024, paragraph 49.

By way of example, Condor explained that "*LCC/ULCC generally do not interline, i.e. their passengers could not benefit from a through-fare ticket with a seamless connection*".[1933] Moreover, LOT Airlines also submitted that *"LCC/ULCC carriers do not sell connections to other carriers and therefore they typically do not enter SPA cooperation. Furthermore, they distribute their offer typically only in direct channels (e.g. own website) and therefore agencies or GDSs would not be able to use their offer*".[1934]

(2015) In the second place, specifically with respect to easyJet, the Commission identified the following preliminary concerns:

(a) easyJet submitted that its "*firm view is that entry into an SPA should at most be an optional aspect of the remedies (if indeed an SPA forms part of the remedies package at all).*"[1935] Indeed, easyJet explained that *"easyJet's business model, and its current presence across Italy and Europe more widely, is such that should we be selected as the New Entrant Remedy Taker, the addition of those routes to our network would sufficiently address the Commission's concerns as regards direct/indirect short-haul overlap routes, such that it would be unnecessary for easyJet to enter into an SPA with Lufthansa Group/ITA".*[1936] In other words, easyJet was not interested in taking up the Short-Haul Commitments in their form under the Second Commitments.

(b) Instead, easyJet suggested an alternative solution, namely, to enter into an SPA-like agreement, which would provide for ITA's domestic network to be included in easyJet's Worldwide platform.[1937] However, the Commission considered, in the first place, that the text of the Second Commitments did not provide any flexibility for the SPA to be replaced by another type of agreement. In the second place, the Commission had preliminary concerns that the easyJet's proposal would not allow ITA to offer indirect options at a sufficiently similar standard as ITA and/or as other hub-carriers on the direct/indirect routes identified in sections 9.8.5 and 9.8.6 above to address the Commission's competition concerns. For example, the Commission noted that (i) easyJet's connections through LIN would require the passengers to self-connect (i.e., passengers would need to go through a second check-in at LIN, and the checked-in baggage would not be transferred automatically to the final destination); and (ii) if easyJet chose to operate certain of the city-pairs under the New Entrant Remedy from MXP rather than LIN, where it already has a large base, ITA's domestic network would not be able to feed easyJet's operations to these routes as ITA does not operate from MXP.

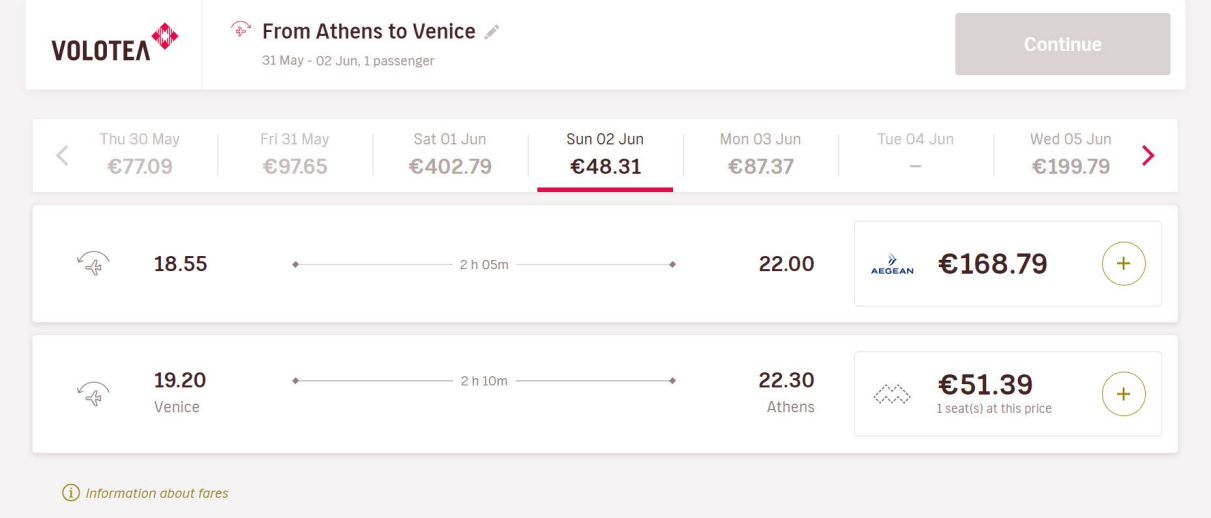
(2016) In the third place, specifically with respect to Volotea, the Commission identified the following preliminary concerns:

(a) Volotea argued that […].[1938] In this context, Volotea explained that its business model has its own specificities in terms of distribution, being able to offer connectivity with other airlines and that it has various agreements with other

1933 Response of Condor to question C.B.2 of the Competitors Remedies Market Test, ID 18458.
1934 Response of LOT Airlines to question C.B.2 of the Competitors Remedies Market Test, ID 18474.
1935 Response of easyJet to question C.B.2 of the Competitors Remedies Market Test, ID 18670.
1936 Response of easyJet to question C.B.2 of the Competitors Remedies Market Test, ID 18670.
1937 Response of easyJet to a Commission's request for information (RFI Remedies I), question 9, ID 19231.
1938 Non-confidential minutes of a conference call with Volotea, dated 23 May 2024, paragraph 11, ID 19181.

airlines including an interlining agreement with Qatar, and a codeshare agreement with each of TAP and Aegean.[1939] Nevertheless, Volotea noted that […].[1940] The Commission was concerned, however, that Volotea's current experience in interlining and codeshare agreements may be too different from the requirements of the SPA Commitment. This is because such these agreements that Volotea has with Qatar, Aegean and TAP are either (i) unilateral (i.e., only the other party, not Volotea, can sell tickets for the relevant indirect flights on its online booking platform), (ii) relate to direct flights, (iii) the agreement does not allow for connections between flights (i.e., the agreement only relates to direct point-to-point operations) or (iv) the prices of the flights operated by Volotea tend to be significantly cheaper than the flights operated by the other party putting into question whether, under such agreements, Volotea can maintain its low-cost business model.[1941] Point (iv) is for example illustrated by the figures below, with Aegean.

Figure 93



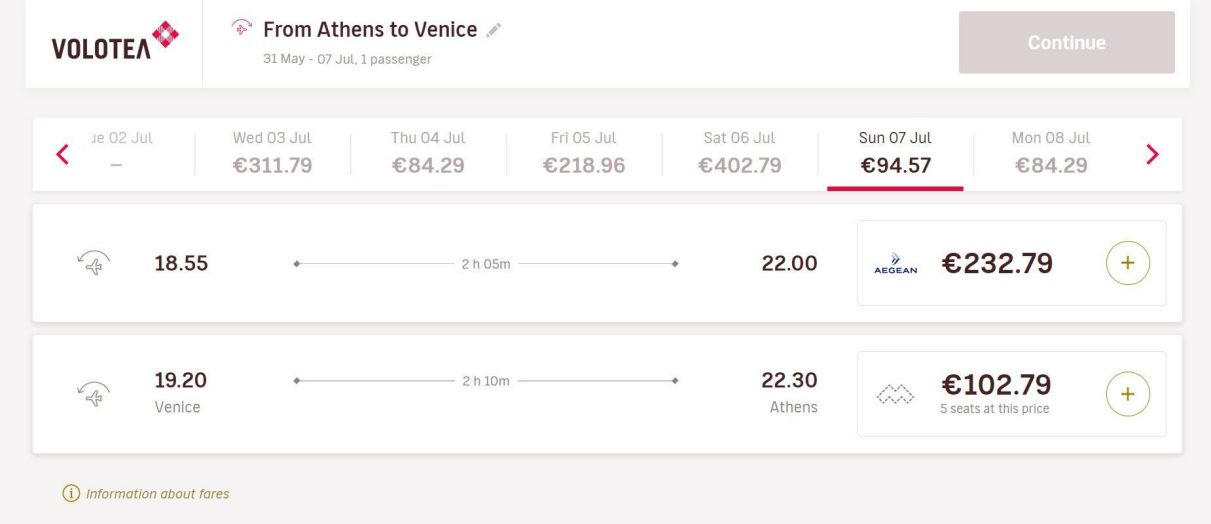
Source: Volotea's online booking platform.

1939 Non-confidential minutes of a conference call with Volotea, dated 23 May 2024, paragraph 3, ID 19181.

1940 Non-confidential minutes of a conference call with Volotea, dated 23 May 2024, paragraph 11, ID 19181.

1941 Response of Volotea to a Commission's request for information (RFI II-1), question 4, ID 19222.

Figure 94



Source: Volotea's online booking platform.

(b) The Commission was also concerned that Volotea's low-cost business model would further affect the scope of the SPA Commitment. Indeed, Volotea specified to the Commission the slots that it wishes to obtain if it becomes the New Entrant Remedy taker. In particular, similar to its LCC competitors, in order to be able to offer the best possible timings to customers, and to make greater use of the aircraft operating the routes and to maximize aircraft utilization (i.e., to sweat its assets), Volotea explained that it prefers to fly early in the morning and late in the afternoon. By way of example, on the Italian end of the routes that are relevant to the SPA Commitment, Volotea plans to operate […]. [1942] Similarly, for the routes from Germany to Italy, Volotea wishes to operate […].[1943] Should Volotea obtain these slots, the Commission questioned whether for half of the routes that Volotea would operate, the latter would be able to benefit from ITA's connecting traffic, without these passengers having to go through a long layover during the night.

(c) Volotea further [...].[1944]

14.4.2.2. LIN Slot Remedy

(2017) The Commission acknowledged that under the Second Commitments, the LIN Slot Remedy was improved, but considered that some shortcomings in the modalities of implementation remained that could still affect its effectiveness.

(2018) First, as also explained in paragraph (1986) in connection with the New Entrant Remedy, the Parties clarified that the date and time of the slots would be chosen by the remedy taker.

(2019) Second, the Parties provided under the Second Commitments for the possibility for the LIN slots to be increased to result in a total of 62 transferred weekly Slots in summer and in a total of 150 transferred slots in winter, based on the Short-Haul Remedy Taker's request. The Second Commitments however still included the 3-step process that left open the possibility of a fragmentation of the slots. In that respect,

1942 Response of Volotea to a Commission's request for information (RFI II-1), question 2, ID 19222.
1943 Response of Volotea to a Commission's request for information (RFI II-1), question 2, ID 19222.
1944 Non-confidential minutes of a conference call with Volotea, dated 23 May 2024, paragraph 8, ID 19181.

the majority of competitors expressing an opinion in the market test were of the view that the potential slot division between several (instead of a single) remedy taker envisaged in the commitments would be a risk to the viability of the solution offered to remedy the competitive concerns at LIN. Competitors explained their view by reference to the loss of economies of scale.[1945] Neos indicated that "*[i]f the slots allocation is too fragmented among different takers, there's the risk that the product created by the remedy taker is not so appealing and so sustainable [sic!] to create a real competitive alternative on the market*."[1946] The question was also addressed to airport managers and slot coordinators and the results were mixed. 3 out of 7 slots coordinators and airport managers that expressed a view responded that in their view no such risk arises, 2 that such risk does arise, and 2 responded "Other", including one that substantiated their response by commenting that "*[p]otentially, there could be a risk due to the loss of economies of scale linked to smaller operations. More specifically, all the details of the proposed split should be known to provide a more accurate answer*".[1947]

(2020) Third, the deficiencies raised in connection with the New Entrant Remedy in paragraphs (1989) and (1990) also applied to the LIN Slot Remedy. In addition, a majority of competitors who expressed a view in the course of the market test considered the 3-step slot allocation procedure of the LIN Total Slot increment not to be sufficiently precise to be implemented effectively in a timely manner.[1948]

14.4.2.3. Long-Haul Commitments

(2021) For the reasons set out below, the Commission considered that the Long-Haul Commitments were insufficient and inadequate and therefore incapable of rendering the concentration compatible with the internal market in connection with scheduled air passenger transport on the long-haul routes of concern.

14.4.2.3.1. Deficiencies common to the different components of the Long-Haul Commitments

(2022) The Commission considered that all the components of the Long-Haul Commitments, as described in section 14.4.1.3, suffered from common deficiencies.

(2023) First, most of the components of the Long-Haul Commitments were inadequate as they were largely behavioural in nature, without obligations for the Parties to make any significant structural divestments or otherwise commit to maintaining competition between separate undertakings. This was in contrast to the nature of the Commission's preliminary competition concerns on the 8 problematic long-haul routes,[1949] which (i) arose as a result of the structural link created between Lufthansa,

1945 Responses to question D.6 and D.7 of the Competitors Remedies Market Test.

1946 Response of Neos to question D.7 of the Competitors Remedies Market Test, ID 19004.

1947

1948 Responses to question D.8 of the Competitors Remedy Market Test.

1949 The number of 8 long-haul routes of concern reflects the scope of the Commission's preliminary competition concerns at the time of submission of the Second Commitments on 6 May 2024. This number was later reduced to 3 when the Commission dropped its preliminary concerns on the routes Rome-New York, Rome-Chicago, Rome-Los Angeles, Rome-Tokyo and Catania-New York. In any event, the behavioural nature of the Long-Haul Commitments contained in the Second Commitments is also in contrast to the nature of the Commission's preliminary competition concerns on the 3 problematic long-haul routes, as outlined in Section 10 of this Decision, which (i) arise as a result of the structural link created between Lufthansa, on the one hand, and ITA, on the other hand, and which (ii) are related to horizontal overlaps.

on the one hand, and ITA, on the other hand, and which (ii) were related to horizontal overlaps (rather than overlaps arising from vertical or conglomerate links created by the Transaction). As explained further above, according to the Commission's Remedy Notice, behavioural remedies will "*generally not eliminate competition concerns resulting from horizontal overlaps*".[1950] Therefore, the Commission "*may examine other types of non-divestiture remedies, such as behavioural promises, only exceptionally in specific circumstances* [emphasis added], *such as in respect of competition concerns arising in conglomerate structures*".[1951]

(2024) In contrast to what should happen after the successful divestiture of remedy businesses under effective divestiture remedies, the Second Commitments proposed by Lufthansa and MEF relied on the Parties acting against their own best interest in order to fulfil these commitments. As further explained in section 14.4.2.3.2 to 14.4.2.3.3, the Long-Haul Commitments would have required ITA to act against the interests of its controlling shareholder Lufthansa while simultaneously depending on Lufthansa for financing and requiring it to integrate with Lufthansa's business, systems and operations to realise deal synergies.

(2025) Moreover, the Commission was of the view that there were significant challenges to ensuring effectiveness and enforcing most of the Long-Haul Commitments, arising from the fact that they were, in essence, behavioural remedies, as well as due to their complexity.

(2026) In the first place, the remedies, which mostly related to the future behaviour of ITA and Lufthansa, were unsuitable to address the structural effects of the Transaction on transatlantic long-haul routes. These concerns were echoed in the replies to the Commission's market test,[1952] with one competitor indicating that "*the commitments proposed by the parties cannot effectively address the long-haul issues because they are ill-designed and non-structural*".[1953] Similarly, Air Transat explained that "*the absence of structural remedies from Lufthansa severely undermines the effectiveness of the proposed Commitments*".[1954] Air Europa further noted that "*there are more straightforward remedies. For example, it would be significantly more effective to have a remedy taker taking over ITA LH operations on these routes or part thereof*".[1955] In addition, Air Europa explained that "*the structure of these commitments relies heavily on the powers of the monitoring trustee as it has to be carefully and regularly monitored with clear enforcement power in case in case (sic) the Hold Separate (sic) and Ring Fencing is breached*".[1956] In the second place, as further explained in Sections 14.4.2.3.2 to 14.4.2.3.3, the behavioural nature of most of the Long Haul Commitments made it extremely difficult, if not impossible, to monitor and enforce these remedies. This is in line with paragraph 69 of the Commission's Remedy Notice according to which "*competitors may also not have an incentive to alert the Commission* [of any breaches of the behavioural remedies] *as they do not directly benefit from the commitments*".[1957] Overall, it "*may* [therefore]

1950 Remedy Notice, paragraph 17.
1951 Remedy Notice, paragraph 69.
1952 Responses to question E.1 of the Competitors Remedies Market Test.
1953 Response of Air France-KLM to question E.2 of the Competitors Remedies Market Test, ID 18689.
1954 Response of Air Transat to question E.2 of the Competitors Remedies Market Test, ID 18392.
1955 Response of Air Europa to question E.2 of the Competitors Remedies Market Test, ID 18062.
1956 Response of Air Europa's response to question E.2 of the Competitors Remedies Market Test, ID 18062.
1957 Remedy Notice, paragraph 17.

be impossible for the Commission to verify whether or not the commitment is complied with and even other market participants, such as competitors, may not be able to establish at all or with the requisite degree of certainty whether the parties meet the conditions of the commitment in practice".[1958]

(2027) Third, the Commission considered that the duration of the Long-Haul Commitments was limited and insufficient. Notably, the Hold-Separate and Ring-Fencing Commitment would have applied only until receipt of the Antitrust Approvals which is expected within about 2 years from this Decision. In the second place, the Long-Haul Capacity Commitment would only have applied from receipt of the Antitrust Approvals and at most for six IATA seasons (three years). There were, however, no indications available to the Commission that indicate that the identified competition concerns would have been automatically resolved by these commitments by that time. Therefore, the Long-Haul Commitments did not represent sufficiently long-lasting solutions, but at best interim remedies.

(2028) Fifth, as explained in further detail below, the Long-Haul Commitments included limitations, exemptions or other similar clauses affecting their effectiveness and enforceability. By way of example, clause 74 of the Second Commitments envisaged that "*at the request of the Parties, any or all of the Commitments* […] *may be reviewed, waived of modified by the Commission based on long-term market evolution.* […] *the Commission shall in particular: a. waive without delay the Hold Separate and Ringfencing Commitment following the issuance of the Antitrust Approval, as any merger control or antitrust concerns of the Commission would be resolved in such circumstances*". Such clause would have not only illegitimately limited the Commission's discretion in deciding whether to waive or not a specific commitment, thus preventing a thorough assessment of the market conditions, but also meant that the mere fact that a third country's authority issues a decision under a separate regulatory regime (which includes other considerations than the preservation of competition) would automatically prevent the Commission from carrying out a thorough assessment of the effectiveness of those remedies.

(2029) Sixth, the results of the market test further showed that the Long-Haul Commitments as a whole could not be considered suitable to remove all the competition concerns identified by the Commission in scheduled air passenger transport on the long-haul overlap routes of concern.

(2030) A clear majority of the competitors that provided a clear view (Yes/No) in the market test supported this conclusion.[1959] In addition to the concerns illustrated above as to the ineffectiveness of the remedies to address the structural effects of the Transaction on transatlantic long-haul routes, almost all competitors indicated that the Long-Haul Commitments as a whole would not make it likely for them to enter or expand on at least one of the routes of concern.[1960] Among customers and third parties, a majority of the respondents did not express a view concerning the suitability of the

---

1958 Remedy Notice, paragraph 17.

1959 Responses to question E.1 of the Competitors Remedies Market Test. In the summary of the Competitors Remedies Market Test (here and elsewhere in this Decision), the Commission has excluded the responses of Lufthansa's joint venture partners United Airlines, Air Canada and All Nippon Airways. This is because the responses from these airlines in the present case are likely to be biased considering that, for the reasons further explained in Section 10.1.1, these airlines have a clear financial interest in this Transaction as ITA is likely to join the A++ JV and the J+ JV following the potential approval of the Transaction.

1960 Responses to question E.D.1 of the Competitors Remedies Market Test.

commitments to remove all competition concerns on the long-haul routes, as they lacked sufficient knowledge of the aviation business.[1961] The responses from the rather limited number of customers and third parties expressing a view were positive to mixed, with nearly half considering the commitments suitable, around 20% answering "*It depends*", and around 30% deeming the commitments to be inadequate. In this regard, the main organizations representing European consumers and air ticket intermediaries considered that, overall, the Long-Haul Commitments are inadequate to remove all competition concerns on the long-haul routes particularly because of the limited scope and the short duration of the proposed remedies.[1962] The responses from slot coordinators and airport managers proved largely inconclusive, with the majority not expressing a view.[1963]

14.4.2.3.2. Hold-Separate and Ring-Fencing Commitment

(2031) For the reasons set out below, the Commission considered that the Hold-Separate and Ring-Fencing Commitment was inadequate and ineffective.

(2032) First, the Hold-Separate and Ring-Fencing Commitment suffered from the common deficiencies described in section 14.4.2.3.1.

(2033) Second, the Commission considered that the Hold-Separate and Ring-Fencing Commitment would not have addressed the root cause for the competition concerns, namely the structural link created between Lufthansa/the A++ JV on the one hand and ITA on the other hand and therefore would not have had any effect.

(2034) Lufthansa would have had extensive rights in the A++ JV, including in terms of setting prices and capacity for the flights of the A++ JV on each of the relevant routes of concern, while simultaneously owning ITA and benefitting from its profits. The A++ JV is a metal-neutral joint venture. That means it is set up in a way that each JV member will be incentivised to treat all flying within the scope of the provisions of the joint venture agreement, regardless of the operating airlines.[1964] The [details on JV agreement].[1965] [details on JV agreement].[1966] [Details on JV agreement].[1967] [Details on JV agreement].[1968] [Details on JV agreement].[1969] [Details on JV agreement].[1970]

(2035) Under the Hold-Separate and Ring-Fencing Commitment, Lufthansa would therefore have retained the ability and incentive to soften competition between itself and its A++ JV partners on the one hand as well as ITA on the other hand – without the need to dictate ITA's prices or capacity and without the need to pass confidential information between them. Lufthansa would have had incentives to use its rights in the A++ JV to make the JV members compete less fiercely with ITA on the routes of concern, by increasing prices/lowering capacity/decreasing quality or other measures, in order to ease competitive pressure on ITA and increase ITA's revenues and profits. As further explained in section 10.1.1, due to Lufthansa's ownership of

1961 Responses to questions E.1 and E.2. of the Customers and Third Parties Remedies Market Test.
1962 Responses of BEUC and EU Travel Tech to questions E.1 and E.2. of the Customers and Third Parties Remedies Market Test (IDs 18402 and 18254).
1963 Responses to question E.1 of the Slot Coordinators and Airport Managers Remedies Market Test.
1964 Form CO, footnote 1094.
1965 Form CO, paragraph 2220.
1966 Form CO, paragraphs 2228 and 2233.
1967 Form CO, paragraph 2237.
1968 Form CO, paragraph 2221.
1969 For an example of the points discussed on […].
1970 Form CO, paragraph 2225

ITA, Lufthansa/the A++ JV partners and ITA do not need to coordinate explicitly for there to be incentives to compete less on price, capacity, and quality. Therefore, the remedies – which were aimed at eliminating coordination – would have been devoid of effect by design.[1971]

(2036) These views were supported by the responses of competitors to the market test. The majority of the competitors that expressed a view (i.e., which did not respond "*I do not know*") submitted that the Hold-Separate and Ring-Fencing Commitment would not remove the ability and incentive for Lufthansa to lessen competition between the A++ JV and ITA on the long-haul routes of concern.[1972] For instance, Condor explained that "*ITA has de facto incentive to not compete but to take Lufthansa's preferences into account. The parties to the transaction will softly coordinate until the antitrust approval date*" and that its ability and incentive to do so would be "*even larger*" considering that ITA would still be allowed to enter into cooperation agreements that would "*essentially allo*[w] *an almost full integration so that the whole section on Hold-Separate and Ring-Fencing is a misleading decoy that merely covers the tip of the iceberg*".[1973] Similarly, Norse submitted that "[a]*lthough the ringfencing agreements will not allow LH and ITA to work together, it is likely that competition will lessen as it will not be in the interest of all parties involved (LH Group, JV partners, and ITA) to make commercial movements that may negatively impact one of the parties involved*".[1974] American Airlines more generally commented that the Hold-Separate and Ring-Fencing Commitment was an "*unusual*" approach,[1975] and Air France-KLM argued that "*[w]hat the parties are offering is nothing more than compliance with the law, not a proper remedy"*, [1976] echoing the Commission's views that the Hold-Separate and Ring-Fencing Commitment was entirely ineffective.

(2037) The responses from customers and third parties were more mixed. Out of the customers and third parties that expressed a view (i.e., which did not respond "*I do not know*") in response to the market test, an equal number considered that the Hold-Separate and Ring-Fencing Commitment would not remove the ability and incentive for the Lufthansa to lessen competition between the A++ JV and ITA on the long-haul routes of concern as those that said that it would remove such ability and incentive. Among those that responded in the negative, both BEUC, a consumer association, and EU Travel Tech, an association of global distribution systems and travel distributors, both admitted as interested third parties in these proceedings, indicated that since Lufthansa will own ITA, there would no longer be financial incentives to compete despite the Hold-Separate and Ring-Fencing Commitment.[1977]

(2038) Among those slot coordinators and airport managers that did express a view (4 out of 17), all responded that the Hold-Separate and Ring-Fencing Commitments would remove the ability and incentive for Lufthansa to lessen competition between the A++ JV and ITA on the long-haul routes of concern, but none provided any detailed

---

1971 Response of Air France-KLM to question E.A.6 of the Competitors Remedies Market Test, ID 18689.

1972 Responses to question E.A.3 of the Competitors Remedies Market Test.

1973 Response of Condor to questions E.A.3 and E.A.4 of the Competitors Remedies Market Test., ID 18458.

1974 Response of Norse to questions E.A.3 and E.A.4 of the Competitors Remedies Market Test, ID 18776.

1975 Response of American Airlines to question E.A.4 of the Competitors Remedies Market Test, ID 18652.

1976 Response of Air France-KLM to question E.A.6 of the Competitors Remedies Market Test, ID 18689.

1977 Responses of BEUC and EU Travel Tech to question E.A.2 of the Customers and Third Parties Remedies Market Test, IDs 18402 and 18254.

explanation underlying their position.[1978] A large majority (13 out of 17) responded that they do not know.[1979] Among those, Flughafen Zürich AG merely explained that they "*must assume that the hold-separate and ring-fencing commitments will be followed by LHG and monitored by the commission*".[1980]

(2039) Third, the Commission considered that it would have been extremely complex, if not impossible, to hold separate ITA's Long-Haul North Atlantic Business from the rest of ITA's business.

(2040) In the first place, the Long-Haul North Atlantic Business would have still relied on basic shared functions and strategies decided together at ITA's corporate and at Lufthansa's group level, such as financing, human resources management and hiring of crew and other personnel, operational planning (including connections with other flights), purchasing of all inputs (including aircraft and fuel), fleet management, revenue management systems, ticket distribution through the Parties' websites and relationships with third-party distributors, relationships and contracts with customers (including namely corporate customers), frequent flyer programmes, marketing campaigns and strategies, brand strategy, IT systems, and others. In this regard, Lufthansa and MEF themselves confirmed that the Hold-Separate and Ring-Fencing Commitment "*would allow to keep all supporting and administrative functions related to the Long-Haul North Atlantic Business with the rest of the DLH organisation, namely IT, HR, procurement as well as sales*" […]".[1981]

(2041) In the second place, there are operations that are particularly complex to split between certain long-haul flights and other flights, for instance ground handling, traffic management and slot management at Rome Fiumicino airport.

(2042) In the third place, the operation of flights between Italy and North America is closely linked with connecting traffic originating or going to destinations outside of Italy; and with the operation of domestic and short-haul flights more generally. Sustainable and profitable long-haul operations rely on domestic and short-haul feeder traffic; and successful capacity, capacity steering and pricing decisions rely on the interconnected nature of these flights. It was unclear under the Second Commitments how the North-Atlantic Long-Haul business that would have been held separate would have been able to have sufficient access to such connecting traffic and how the Hold-Separate and Ring-Fencing Commitment could, even in theory, have been applied for pricing, capacity, capacity steering and network decisions on such intrinsically integrated operations and businesses.

(2043) These concerns were generally supported by the responses of competitors to the market test. Among those competitors that expressed a view (i.e., that did not respond "*I do not know*"), only 3 out of 13 competitors considered that the Hold-Separate and Ring-Fencing Commitments would make it possible to keep ITA's long-haul business between Italy and North America separate and ringfenced from the rest of ITA's business.[1982] Among the remaining 10 competitors, half responded in the negative and half responded "[i]*t depends/Other*".[1983]

1978 Responses to question E.A.1 of the Slot Coordinators and Airport Managers Remedies Market Test.

1979 Responses to question E.1 of the Slot Coordinators and Airport Managers Remedies Market Test.

1980 Response of Flughafen Zürich AG to question E.A.2. of the Slot Coordinators and Airport Managers Remedies Market Test, ID 18561.

1981 Response of Lufthansa and MEF to a Commission's Request for Information (RFI 55), question 48.

1982 Responses to question E.A.7 of the Competitors Remedies Market Test.

1983 Responses to question E.A.7 of the Competitors Remedies Market Test.

(2044) Among those negative responses, Air Transat for instance explained that "*the commitments only focus on the management of ITA's long-haul business and do not address shared functions or businesses that may exist between ITA and its partners. This oversight could result in continued integration and coordination in areas beyond the scope of the commitments, further undermining their effectiveness*".[1984]

(2045) Among those competitors that responded "[i]*t depends/Other*", IAG for instance clarified that whether the separation would be possible "*will depend on the governance and management structures put in place within ITA to ensure effective separate* [sic] *which are not specified in the Commitments. There should be totally separate commercial and planning management functions such that no one person has overlapping responsibilities*".[1985] Such safeguards were not included in the commitments, however, and would have been highly complex and potentially impossible to achieve due to the integrated nature of the business functions of an airline, as described above.

(2046) In contrast, a majority of the customers and interested third parties that expressed a view (i.e., that did not respond "*I do not know*"), as well as all of the 4 slot coordinators and airport managers that expressed a view considered that the Hold-Separate and Ring-Fencing Commitments would make it possible to keep ITA's long-haul business between Italy and North America separate and ringfenced from the rest of ITA's business.[1986]

(2047) Fifth, the Commission was concerned that the Hold-Separate and Ring-Fencing Commitment would have been ineffective as it was only temporary. Indeed, despite the permanent and structural change in the market brought by the Transaction, this commitment would only have applied from closing of the Transaction until the receipt of the Antitrust Approvals.

(2048) This view was generally supported by the responses of competitors to the market test. Among those that expressed a view (i.e., that did not respond with "*I don't know*"), only 3 out of 11 competitors considered the duration of this commitment appropriate and sufficient.[1987] In addition, although IAG was included among those 3 competitors that expressed a positive view, it explained that its response "*is subject to significant uncertainty including regarding how long it takes to achieve ATI from the US DOT and the terms of that ATI, if granted. As seen in previous transatlantic joint metal neutral joint business cases where the US DOT has granted ex-ante ATI and the European Commission following an ex-post Article 101 investigation have agreed different remedies, it is also not immediately obvious that the terms of the ATI would address all of the Commission's concerns*".[1988]

(2049) Among the remaining 8 competitors, half responded in the negative and half responded "*It depends/Other*".[1989] Among the negative responses, Air Transat commented that "[t]*he duration stipulated for the Hold-Separate and Ring-Fencing Commitments, extending until the receipt of Antitrust Approvals, is fundamentally inadequate and unsuitable for effectively addressing the competition concerns*

1984 Response of Air Transat to question E.A.8 of the Competitors Remedies Market Test, ID 18392.

1985 Response of IAG to question E.A.8 of the Competitors Remedies Market Test, ID 18718.

1986 Responses to question E.A.3 of the of the Customers and Third Parties Remedies Market Test, and the Customers and Third Parties Remedies Market Test, and to question E.A.1 of the Slot Coordinators and Airport Managers Remedies Market Test.

1987 Responses to question E.A.5 of the Competitors Remedies Market Test.

1988 Response of IAG to questions E.A.5 and E.A.6 of the Competitors Remedies Market Test, ID 18718.

1989 Responses to question E.A.5 of the Competitors Remedies Market Test.

highlighted by the European Commission, particularly regarding long-haul routes between Italy and North America. First and foremost, tying the duration of these commitments to the receipt of Antitrust Approvals from the US Department of Transportation effectively cedes control over the regulatory framework and oversight to American authorities; the adequation between the duration of the commitments and Antitrust Approvals implies that once these approvals are obtained, all competition concerns identified by the Commission would be permitted to materialize. This scenario poses a significant risk of anti-competitive practices and market distortion, as it removes regulatory constraints on the behaviour of the Lufthansa Group following the integration of ITA into the A++ JV. Without permanent safeguards in place, there is a heightened risk of reduced competition on long-haul routes between Italy and North America. To address these deficiencies and uphold the principles of fair competition, it is imperative to revise the duration of the commitments to ensure their effectiveness beyond the receipt of Antitrust Approvals. The Commission should seek remedies that establish permanent separation and ring-fencing of ITA from the A++ JV, thereby preventing anti-competitive practices and promoting a competitive and fair aviation market within the European Union."[1990] Air France-KLM echoed these concerns noting that "[t]*he issues will arise after the US DOT grants ATI, based on grounds guided by public benefits, which differ from the test applied by the EC in respect of merger control. Essentially, the parties are proposing to outsource the merger review, placing it in the hands of the US DOT*."[1991]

(2050) Among those competitors that responded "[i]*t depends/Other*", LOT and Norse explained their response by the fact that the timeline for the US DoT approval to be received is unknown.[1992]

(2051) Sixth, as explained in paragraphs (2030) and (2031) above, the Parties would have had incentives to circumvent the Hold-Separate and Ring-Fencing Commitment to bring about the effects of the planned integration of ITA into the A++ JV as soon as possible. This was due to the myriad contacts between ITA's Long-Haul North Atlantic Business and the remainder of the ITA business and the Lufthansa group, following from the intrinsically intertwined nature of the business as outlined above.

(2052) Seventh, the Hold-Separate and Ring-Fencing Commitment would have been extremely complex – if not impossible – to monitor. This was particularly the case considering that under Clause 42 of the Second Commitments, ITA would still have been allowed to enter into partnership agreements (such as interline, special prorate and codeshare) with Lufthansa and its A++ JV partners. Under such potential extensive cooperation, the Commission considered that it would have been extremely difficult to clearly distinguish (i) between decisions that concern the O&D operations or the connecting operations and (ii) between on one side, legitimate exchanges of information related to the abovementioned cooperation agreements and, on the other side, sharing of confidential information and/or collusive practices. Therefore, the implementation of this remedy could not have been effectively monitored and the lack of effective monitoring had the potential to significantly diminish the effect of the commitments proposed.

1990 Response of Air Transat to question E.A.6 of the Competitors Remedies Market Test.

1991 Response of Air France-KLM to question E.A.6 of the Competitors Remedies Market Test, ID 18689.

1992 Responses of LOT and Norse to question E.A.6 of the Competitors Remedies Market Test, ID 12153 and 18776.

(2053) This was echoed by some competitors in their responses to the market test. In addition to the results cited above in section 14.4.2.3.1, one competitor pointed out that "*this type of semi-acquisition is very complex to implement and monitor because part of the company will be coordinated while another part will not. The parties need to demonstrate that they have robust protocols in place before approving such a commitment, assuming it remedies the situation (quod non). The risk includes both the exchange of sensitive information and the aligned incentive not to compete fiercely against each other*".[1993]

(2054) Another competitor pointed out that "[t]*he provisions allowing ITA to enter into partnership agreements with the Lufthansa Group and its A++ JV partners, such as interline, special prorate, and code-sharing agreements, at market conditions raise significant concerns. While these partnerships may be conducted at market rates, they still present opportunities for coordination and collaboration between ITA and the A++ JV partners, potentially undermining the intended separation and ring-fencing of ITA's long-haul business. Moreover, the lack of clear prohibition on ITA entering into separate joint ventures with Air Canada, United Airlines, or Lufthansa further weakens the effectiveness of the commitments in maintaining separation and ring-fencing. Without explicit restrictions on forming additional joint ventures with these parties, there remains a risk of further integration and coordination beyond the scope of the commitments".*[1994]

(2055) Eighth, in practice, Lufthansa seems to have determined already ITA's strategy on North Atlantic routes covered by the Hold-Separate and Ring-Fencing Commitment. […][1995] […].[1996] […]. This can be expected to continue for the limited period until the Hold-Separate and Ring-Fencing Commitment would lapse as it would be in line with the plans of both shareholders, MEF and Lufthansa, and would prepare also the North Atlantic Long-Haul business for the full and quick integration with the Lufthansa group in the short-term.

14.4.2.3.3. Long-Haul Capacity Commitment

(2056) Lufthansa and MEF made only few and immaterial changes to the Long-Haul Capacity Commitment in the Second Commitments compared to the Initial Commitments, which the Commission considered to be insufficient for the reasons explained in section 14.3.2. Furthermore, the Commission considered that the Long-Haul Capacity Commitment did not address the concerns raised in this decision for the following reasons.

(2057) First, the Long-Haul Capacity Commitments suffered from the common deficiencies described in section 14.4.2.3.1.

(2058) Second, the Commission considered that the type of remedy was inappropriate as it would have constituted, at best, a weak behavioural measure to address structural concerns by committing to procure that the Parties and/or Lufthansa's JV partners fly a pre-determined minimum number of frequencies on certain routes.

(2059) According to the Commission's Remedy Notice, behavioural remedies will "*generally not eliminate competition concerns resulting from horizontal overlaps*", and "*[i]n any case, it may be difficult to achieve the required degree of effectiveness*

1993 Response of Air France-KLM to question E.A.10 of the Competitors Remedies Market Test, ID 18689.
1994 Response of Air Transat to question E.A.8 of the Competitors Remedies Market Test, ID18392.
1995 Form CO, paragraph 122.
1996 Ibid.

of such a remedy due to the absence of effective monitoring of its implementation".[1997] Therefore, the Commission "*may examine other types of non-divestiture remedies, such as behavioural promises, only exceptionally in specific circumstances* [emphasis added], *such as in respect of competition concerns arising in conglomerate structures*".[1998]

(2060) In this specific case, the Commission considered that the behavioural remedy proposed was insufficient, such that the assessment of whether there were exceptionally any specific circumstances was unnecessary.

(2061) In the first place, the remedy did not address the loss of direct price competition between the Parties and their JV partners resulting from the Transaction. Even under a static model of price competition without any changes in demand compared to the Summer 2023 scenario, the Parties would have had an incentive to raise prices post-Transaction due to the loss of price competition. This would have involved the Parties flying with less than full capacity in order to sustain higher prices (similar to regular unilateral horizontal effects without capacity commitments); to mitigate the effects of flying at lower capacity, the Parties could also have tried to sell more tickets to connecting passengers, rather than O&D passengers, further reducing the need to fill the planes with passengers travelling on the O&D.

(2062) In the second place, to the extent that demand on these routes increases post-Transaction, the remedy would have become entirely insufficient, as, under such circumstances, the Parties would have an incentive to raise capacity above the minimum level agreed to in these commitments both with and without the Transaction. However, with the Transaction, the Parties would have had an incentive to raise their capacity by less than they would absent the Transaction (and prices would increase more compared to the counterfactual absent the Transaction). Therefore, the minimum frequency agreed to in the remedy would have become effectively non-binding as the capacity offered by the Parties would have been above this minimum level both with and without the Transaction.

(2063) The Commission also noted that there have been no precedents involving mergers in the airline industry where the Commission has accepted a commitment to fly minimum capacity on certain routes.[1999]

(2064) Third, the Commission considered that the scope of the proposed Long-Haul Capacity Commitment was insufficient.

(2065) In the first place, the remedy offer was below the frequencies currently offered (in Winter 2023/2024 and Summer 2024) and/or did not account for ITA's growth plans in future seasons. On each of the three routes within the scope of the Long-Haul Capacity Commitment, [details of ITA's long-haul expansion plans] such that the Parties' combined frequencies are above the levels to which the Parties were committing in this remedy offer. This means that the minimum capacity to which the Parties committed in this remedy offer did not provide a suitable benchmark on the level of capacity that the Parties (and in particular ITA) would fly on these routes absent the Transaction (which would be the relevant comparison). In other words, by

---

1997 Remedy Notice, paragraphs 17 and 69.

1998 Remedy Notice, paragraph 69.

1999 In Case M.3770 – Lufthansa / Swiss, paragraphs 200-202, the accepted commitments included an obligation to not increase frequencies on certain short-haul routes between Switzerland and Germany to avoid risk of overcapacity for new entrants and thus make the entry more attractive (i.e., equivalent to a maximum capacity rather than a minimum capacity, as proposed by Lufthansa and MEF).

flying the minimum frequency agreed to in the commitments, the Parties could effectively have reduced their capacity compared to the relevant counterfactual absent the Transaction (and hence be able to sustain higher prices vis-à-vis the counterfactual scenario). Namely:

(a) Rome-Washington: The offered frequency commitment was significantly below the actual frequencies of the Parties on that route in Summer 2024 and Winter 2023/24: 18 actual frequencies compared to the 14 offered frequencies in the Summer and 9 actual frequencies compared to the 7 offered in the Winter.[2000]

(b) Rome-San Francisco: ITA plans to increase its current capacity on this route to […] weekly frequencies […]. Assuming United Airlines does not change its frequency on this route, this would have been equal to […] weekly frequencies in the summer, compared to the 12 weekly frequencies in the commitments.[2001]

(c) Rome-Toronto: ITA expects to fly […] weekly frequencies […], which would mean that the Parties' combined frequencies (assuming Air Canada does not have any capacity expansion plans) would have been equal to […] weekly frequencies in the summer (rather than 14 in the remedy offer).[2002]

(2066) In the second place, the Commission considered that the duration of the remedy was too short as it was only applicable for three years after ATI approval (or even only 2.5 years depending on when ATI approval is provided). There were no indications that the competition concerns would automatically have lapsed by that time.

(2067) Fourth, the Commission further concluded that the proposed Long-Haul Capacity Commitments were ineffective.

(2068) In the first place, the remedy offer would only have taken effect upon ATI approval by the US DoT, which is needed for ITA joining the A++ JV. In the Commission's view, this was insufficient, as the Commission's concerns on long-haul are not conditional on the US DoT granting ATI to ITA, as further explained in Section 10.1.1 above. This means that the remedy offer would not have addressed the Commission's concerns until ATI is granted. Also, the Parties themselves argued, that Antitrust Approvals may not be granted to the Parties. Thus, according to the Parties' own reasoning, the remedy may have never become effective, and the Parties would never have had an obligation to address the Commission's concerns on the problematic long-haul routes.

(2069) In the second place, the Parties had the ability and incentive to circumvent the remedy. The remedy involved the Parties committing to act against their own best interest, rather than changing the structure of the relevant markets in such a way that aligns the Parties' best interests with the Commission's objective of effective competition. This means that the Parties could have had strong incentives to circumvent the proposed remedies. Examples of how the Parties would have had the ability to circumvent this behavioural remedy include the following:

(a) Type of aircraft used: The remedy offer only specified that the Parties would use widebody, rather than narrowbody, aircraft for the committed frequencies. However, the Parties would have been able to reduce capacity on these routes by using widebody aircraft with lower capacity than those currently used on

2000 These frequencies are shown in Table 67.
2001 These frequencies are shown in Table 70.
2002 These frequencies are shown in Table 74.

these routes. For example, the Airbus A380 and the Airbus A350 are both widebody aircraft. However, the former can carry up to 850 passengers whereas the latter can carry only up to 350 passengers.[2003]

(b) Allocation of seats by compartment class: The Parties could further have reduced capacity while still formally complying with the remedy by increasing the proportion of Business and First-Class seats, as a single seat of these compartment classes tends to take up (significantly) more space of an aircraft than a single Economy seat.

(c) Types of routes for which tickets are sold: As described in Section 10.1.2, a significant proportion of passengers of the Parties (and their JV partners) on the routes of concern are connecting passengers rather than actual passengers flying on the relevant O&D. The Parties could have had strategies to increase the proportion of tickets sold on these routes to connecting passengers (e.g., by increased marketing for these indirect routes) in order to artificially decrease spare capacity on the trunk routes where the Commission identified the competition concerns.

(2070) In the third place, the remedy offer could only have been implemented via third parties. The remedy offer specified that the committed frequencies would need to be implemented by "*Lufthansa, ITA, one of Lufthansa's A++ JV partners, or any combination thereof*". However, it was unclear whether Lufthansa and ITA have sufficient capacity to implement the committed frequencies on these routes without the support of Lufthansa's A++ JV partners. More specifically, even following its expansion plans on these routes, ITA's standalone frequency on these three routes would have been significantly lower than the frequencies to which the Parties would commit to under this remedy proposal.[2004] To the extent that Lufthansa and ITA relied on frequencies by Lufthansa's JV partners in order to implement the remedy, this would have meant that the commitments depended on actions by third parties to the Transaction (United Airlines and Air Canada). Therefore, the commitment was limited to "procuring" the frequencies rather than flying the frequencies themselves. This raised questions of enforceability as it was unclear how the Commission could have enforced these remedies vis-à-vis these third parties and what specifically the obligation to "procure" entailed.

(2071) In the fourth place, the remedy offer included too broad exit clauses under which the remedy would no longer be effective.

(2072) The remedy offer included an exit clause according to which the long-haul remedy would end on the relevant route "*if a new entrant starts a scheduled direct round trip*". The Commission considered this to be problematic for several reasons:

(a) The exit clause did not specify a minimum number of scheduled weekly frequencies that a new entrant would need to have on these routes for the exit clause to hold. Under the current formulation, the exit clause would be

2003 https://www.aeroclass.org/wide-body-aircraft/.

2004 On the routes Rome-Washington and Rome-Toronto, Lufthansa and MEF committed to 14 weekly frequencies during summer seasons whereas ITA currently only plans to operate […] weekly frequencies on these routes (Form CO, paragraph 1363, and Response by Lufthansa and MEF to RFI 29, ITA Annex Q6). Hence, Lufthansa and MEF would have had to rely to […]% on Lufthansa's joint venture partners United Airlines and Air Canada to comply with this remedy. Similarly, on the route Rome-San Francisco, Lufthansa and MEF committed to 12 weekly frequencies during summer seasons whereas ITA currently only plans to operate […] weekly frequencies on this route.

activated if an entrant entered one of the relevant routes with a single scheduled flight over a whole year.

(b) The exit clause did not specify whether the entrant would need to have scheduled frequencies in both the Summer and Winter seasons for the exit clause to hold. Under the formulation used by Lufthansa and MEF, the exit clause would be activated, even if an entrant entered one of the relevant routes in the Winter season only (even though concerns on that route cover both Winter and Summer season).

(c) The exit clause did not specify that the entrant would need to have the intention to enter the route on a permanent basis. Under the current formulation, the exit clause would hold even if the entrant had the intention to operate a scheduled frequency on the route for a single season only (e.g., to respond to a temporary increase in demand on the route due to special event, such as a sport tournament, etc).

(2073) The remedy offer also included a clause for cancellations due to "*risks outside the Parties' area of influence, such as global pandemics, labour actions, volcanic eruptions, acts of war and/or riots, whereas this list is not exhaustive*". In the Commission's view, this clause was overly broad and difficult to monitor and enforce effectively, particularly given that it specified that "*this list is not exhaustive*", essentially allowing the Parties to cancel flights for a very broad range of reasons, as long as they can claim that the cancellation was outside of their "*area of influence*".

(2074) Fifth, the views of the respondents to the market test were mixed.

(2075) In the first place, among those competitors which expressed a view in the market test, a minority (4 out of 14) submitted that the Long-Haul Capacity Commitment was appropriate to eliminate the Commission's competition concerns and restore effective competition (on price, quality, and all other relevant factors) between Lufthansa/the A++ JV partners on the one hand and ITA on the other hand on the four routes covered by this commitment.[2005] Among the ten other competitors, half responded negatively (i.e., the commitment is inappropriate), and half responded "*It depends/other*".[2006] Among those that did express a view, nearly half of the customers and third parties (18 out of 38) responded positively (i.e., the commitment is appropriate), with the remaining 20 being split in half between "*No*" and "*It depends*".[2007] All the slot coordinators and airport managers that expressed a view (only 5) responded positively.[2008]

(2076) In the second place, with respect to the limited duration of the Long-Haul Capacity Commitment (i.e., three years starting from the receipt of the Antitrust Approvals), (i) 5 out of 15 competitors who expressed a view (i.e., that did not respond "*I don't know*") considered that the time scope was appropriate and sufficient, although one of those also, in parallel, responded "*It depends*", (ii) 4 responded negatively (i.e., it is not appropriate and sufficient), whereas (iii) 6 answered "*It depends/Other*".[2009] The 5 competitors which provided positive feedback (including Air India, a member

2005 Responses to question E.B.3 of the Competitors Remedies Market Test Questionnaire.
2006 Responses to question E.B.3 of the Competitors Remedies Market Test Questionnaire.
2007 Responses to question E.B.3 of the Customers and Third Parties Remedies Market Test.
2008 Responses to question E.B.3 of the Slot Coordinators and Airport Managers Remedies Market Test.
2009 Responses to questions E.B.1 and E.B.2 of the Competitor Market Test Questionnaire.

of the Star Alliance and close partner of Lufthansa[2010]) did so without substantiating their response.[2011]Among those that answered "*No*", Air Transat commented that "*this timeframe may not adequately address the underlying competition concerns, especially considering the potential for significant market disruptions and anti-competitive behavior following the integration of ITA into the A++ JV*".[2012] Among those that answered "*It depends/Other*", two expressed reservations about the involvement of the A++ JV partners. For instance, LOT commented that "*United or Air Canada in coordination with Lufthansa, would be able to immediately launch respective Capacity Remedy Long-Haul Routes (and comply to Long-Haul Capacity Remedy) and these would become immediately part of A++ JV*".[2013] Finnair merely noted that the Capacity Commitment "*does not prevent consolidation after that period*".[2014] With regard to other respondents to the market test, among those that did express a view, slightly more than half of the customers and third parties (21 out of 40) and most of the slot coordinators and airport managers (7 out of 8) responded positively.[2015]

(2077) In the third place, when asked whether the Capacity Commitment is appropriate to take into account future evolutions of the market such as increases in demand and/or growth plans, one third of the competitors who expressed a view responded "*Yes*", one third of the competitors responded "*No*" and one third of the competitors responded "*It depends*" on other factors.[2016] None of the independent competitors which responded "*Yes*" substantiated their response.[2017] With respect to those competitors who responded "*No*", some provided accompanying explanations. For example, Condor clarified that "[t]*he current minimum number of seasonal widebody frequencies are based on current demand and do not foresee evolutions of the market. Thus, minimum number of seasonal widebody frequencies should be increased in order to cover such evolutions*". With respect to those competitors who responded "*[i]t depends/Other*", IAG commented that "*if any foreseen dramatic changes to aviation demand on these markets (either up or down) could lead to a demand-supply imbalance*",[2018] whilst Delta again raised the issue of the A++ JV partners cooperation.[2019]

(2078) In the fourth place, while 9 of the competitors who expressed a view indicated that the Commission could effectively monitor and identify whether the Parties are complying with the Capacity Commitment, the remaining 7 competitors who expressed a view responded "*[i]t depends*", pointing to other factors such as the degree of access, oversight, and control granted to both the Commission and the

---

2010 Lufthansa's internal document M.11071 - RFI 9 - DLH Annex 128 – 120423_JV Strategy and Roadmap Discussion (Q89) ID10227-47500

2011 Responses to questions E.B.1 and E.B.2 of the Competitor Market Test Questionnaire.

2012 Response of Air Transat to question E.B.2 of the Competitor Market Test Questionnaire, ID 18392.

2013 Response of LOT to questions E.B.1 and E.B.2 of the Competitor Market Test Questionnaire, ID 12153.

2014 Response of Finnair to questions E.B.1 and E.B.2 of the Competitor Market Test Questionnaire, ID 12536.

2015 Responses to question E.B.3 of the of the Customers and Third Parties Remedies Market Test and the Slot Coordinators and Airport Managers Remedies Market Test.

2016 Responses to Questions E.B.5 of the Competitors Market Test Questionnaire.

2017 Responses to Questions E.B.5 and E.B.6 of the Competitors Market Test Questionnaire.

2018 Response of IAG to question E.B.6 of the Competitors Market Test Questionnaire, ID 18718.

2019 Response of Delta to question E.B.6 of the Competitors Market Test Questionnaire, ID 18664.

Monitoring Trustee.[2020] By way of example, TAP commented "*it depends on the measures put in place to enforce these and how rigorous the monitoring/checking will be*",[2021] and Condor pointed to more specific concerns: "*Some aspects such as the number of frequencies operated are easy to monitor. However, whether Operational Risks exist can depending on the situation require an assessment and significant expertise. It is unclear if the trustee will have sufficient resources. Similarly, it needs to be ensured that the criterion that 'a new entrant has started a scheduled direct round trip on a Remedy Long-Haul Route' does not apply as of the first flight but that any new entrant offers scheduled flights on a stable basis*."

14.4.2.3.4. Long-Haul Connectivity Commitment

(2079) The Commission considered that the Long-Haul Connectivity Commitment under the Second Commitments was insufficient and inadequate and therefore incapable of rendering the concentration compatible with the internal market for the following reasons.

(2080) First, the Connectivity Commitment suffered from the common deficiencies described in section 14.4.2.3.1.

(2081) Second, the Connectivity Commitment did not include a straightforward obligation by the Parties to actually enter into any such agreements. Instead, the Commitments merely stated that the Parties would "*offer* [emphasis added] *the conclusion of cooperation agreements*". Therefore, there was no sanction for not implementing any connectivity improvements, which increased even further the risks of the remedy remaining devoid of any effect.

(2082) Third, the Commission found that the terms and conditions of the Connectivity Commitment were not specified in sufficient detail in the Second Commitments to allow the Commission to fully assess the likely impact of this commitment. The Connectivity Commitment did not specify at what terms the Parties would offer such connectivity agreements to third-parties. The Parties themselves explained in the Second Commitments that the "*[d]etails will be negotiated and agreed upon in the Connectivity Agreements*".[2022] Therefore, the Parties could have made these agreements unattractive to existing or potential competitors on these routes by requesting high prices for the cooperation agreements or by offering access only to limited booking classes or limited numbers of seats. The Commission's view that the Connectivity Commitment did not provide sufficient detail was echoed in the market test with most competitors expressing a view (10 out of 17) indicating that it was not adequate that the Parties did not provide further details on this Commitment.[2023] One competitor that provided a negative response, LOT, submitted that *"the merging parties* [would] *have the ability to propose any conditions for such contracts* […] *and ITA, in spite of having met the obligation of having offered interline cooperation, would still be able to block access to the transits of long haul operator*".[2024] Even among the competitors that replied "other", one highlighted that "[n]*ot including*

2020 Responses to questions E.B.7 and E.B.8 of the Competitors Remedies Market Test; also specifically the responses of Air Europa (ID 12298), Qatar Airways (ID 18590), Air Transat (ID 18392), TAP (ID 18553), and Condor (ID 18458) to question E.B.8 of the Competitors Market Test Questionnaire.

2021 Response of TAP to question E.B.8 of the Competitors Remedies Market Test, ID 18553.

2022 Second Commitments, clause 44.

2023 Responses to question E.C.1 of the Competitors Remedies Market Test.

2024 Response of LOT to question E.C.2 of the Competitors Remedies Market Test.

further details gives flexibility to the potential remedy taker to include the clauses that are beneficial to it". [2025]

(2083) Fourth, the Commission was unable to conclude with sufficient likelihood that the Connectivity Agreements would be entered into by any rivals.

(2084) In the market test, almost half of all competitors expressing a view (6 out of 14) submitted that the Connectivity Commitment would not make it likely that new entry and/or expansion would take place on the long-haul routes covered by this commitment, whereas most of the remaining competitors indicated that "it depends" (5 out of 14).[2026] Three competitors replied that it would make such entry and/or expansion more likely.

(2085) Overall, the Commission considered that there was not enough evidence to conclude with sufficient likelihood that the Connectivity Commitment would have been taken up by any competitors on each of the long-haul routes of concern covered by the Connectivity Commitment of the Second Commitments.

14.4.3. Conclusion on the Second Commitments

(2086) In light of the above assessment, the Commission concludes that while improvements were made compared to the Initial Commitments, the deficiencies of the Second Commitments as described in the sections above meant that the Second Commitments did not meet the standard for acceptable commitments under the Remedy Notice.

14.5. Final Commitments

14.5.1. Description of the Final Commitments

14.5.1.1. Short-Haul commitments

(2087) Apart from the changes described below, the Final Commitments concerning the short-haul routes of concern substantially incorporate the short-haul remedies as set out in the Second Commitments.

14.5.1.1.1. New Entrant Remedy

(2088) In the Final Commitments, the Parties extended the scope of the New Entrant Remedy to include two additional routes: (i) Rome – Hamburg, and (ii) Milan (MXP or LIN) – Vienna, both with a minimum of 7 weekly frequencies in both the summer and winter seasons.[2027] The New Entrant Remedy in the Final Commitments therefore covers ten routes (i.e., Rome – Frankfurt, Rome – Munich, Rome – Zurich, Rome – Brussels, Rome – Hamburg, Milan (MXP or LIN) – Düsseldorf, Milan Linate – Frankfurt, Milan (MXP or LIN) – Hamburg, Milan (MXP or LIN) – Brussels, and Milan (MXP or LIN) – Vienna).[2028]

(2089) In addition, the Final Commitments remove the requirement for the Short-Haul Remedy Taker to first exhaust all reasonable efforts to obtain the necessary slots to operate the Remedy Short-Haul Routes through the normal workings of the General Slot Allocation Procedure. Instead, the slots will be transferred directly by the Parties, avoiding delays, and reducing complexity.

2025 Response of Air Europa to question E.C.2 of the Competitors Remedies Market Test, ID 12298.
2026 Responses to question E.C.3 of the Competitors Remedies Market Test.
2027 Final Commitments, clause 14.
2028 Final Commitments, clause 14.

(2090) Furthermore, the Parties commit to enter into the Entry Commitment Agreement and a Slot Transfer Agreement with the remedy taker(s) for the New Entrant Remedy as early as possible, but in any event within a specific and binding time frame after the Commission clearance decision at the latest.[2029] The timeline envisaged in the Second Commitments was not sufficiently specific, and did not constitute a fixed timeline that would bind the Parties. The Final Commitments also confirm the timeline for the transfer of the slots and assets required and requested by the remedy taker, that is "*ideally before the IATA Historics Baseline Date, namely [a specific date], but in any case timely before [a certain date], with the objective of permitting entry of the Short-Haul Remedy Taker [within a certain season]*".[2030]

(2091) Moreover, the Final Commitments provide for an upfront buyer clause, as discussed in further detail in section 14.5.3.1 below.

(2092) The Final Commitments also stipulate, that the short-haul remedy taker is only authorised to operate the route Milan Malpensa – Düsseldorf on the condition that it is also capable of providing viable connecting flights to Brindisi and Naples from Milan Malpensa.[2031] This condition is also reflected in the revised Short-Haul Remedy Taker Criteria.[2032]

(2093) Finally, the New Entrant Remedy under the Final Commitments included the following other changes compared to the Second Commitments: (i) the confirmation that the frequencies included in the Final Commitments for the Remedy Short-Haul Routes are minimum frequencies,[2033] (ii) that fact that the date and time of the slots to be divested will be set out in a routes flight list in the Entry Commitment Agreement and the Slot Transfer Agreement,[2034] and (iii) the clarification of the situations when the back-up remedy clause would apply as well as of the details of the process to be followed and related deadlines.[2035] Additional details regarding these changes are provided in section 14.5.3.1 where needed.

14.5.1.1.2. SPA Commitment

(2094) The Final Commitments provide that, instead of committing to conclude an SPA, the Parties commit to enter into "*an agreement that will enable the Short-Haul Remedy Taker to sell tickets for connecting flights on the Remedy Short-Haul Direct/Indirect Routes*", such agreement to take "*at the option of the Short-Haul Remedy Taker*", the form of an SPA or "*an agreement of similar kind*".[2036]

(2095) The Parties further included in the Final Commitments the general commercial terms of the SPA. These terms shall be the better of (i) those of any SPA between ITA and DLH or (ii) those of a comparable SPA agreement that ITA has entered with its alliance partners, in both cases during a period of five years from the entry of the Short-Haul Remedy Taker within a specific season, subject to the approval of the SPA by the Commission.[2037] As the final binding SPA will be conditional on the approval of the Commission, the Commission will be able to review and comment on

2029 Final Commitments, clause 5.
2030 Final Commitments, clause 5.
2031 Final Commitments, clause 6.
2032 Final Commitments, clause 34.
2033 Final Commitments, clause 14.
2034 Final Commitments, clause 5.
2035 Final Commitments, clause 8.
2036 Final Commitments, clause 6.
2037 Final Commitments, clause 28.

the specific terms included in the SPA and check whether they are consistent with these specifications.[2038]

(2096) The Final Commitments provide that these conditions that are applicable to the SPA also apply "*to the extent possible*", to any agreement of similar kind which are entered into instead of the SPA based on the requirements of the remedy taker.[2039]

(2097) In both cases, that is, irrespective of whether an SPA or a similar agreement is signed, the agreement must be signed by the Parties within a specific time frame after this Decision to permit operations of the remedy taker from IATA Summer season on[2040] and its duration must be of five years from approval of the SPA by the Commission.[2041]

(2098) The upfront buyer clause included in the Final Commitments also encompasses the signing of such agreement between ITA and the remedy taker.

14.5.1.1.3. LIN Slot Remedy

(2099) Under the Final Commitments, the Parties will divest:

(i) the total increment added to the Parties' portfolio through the Transaction, namely 148 weekly slots, equalling 74 frequencies in Summer; and 136 weekly slots, equalling 68 weekly frequencies in the Winter), as provided also in the Second Commitments; and, in addition,

(ii) surplus slots aimed at ensuring a sufficient scale of operations for the short-haul remedy takers, namely 56 weekly slots, equalling 28 weekly frequencies in Summer and Winter.[2042]

(2100) Compared to the Second Commitments, the Final Commitments also introduce the following changes: (i) the remedy taker is no longer required to first exhaust all reasonable efforts to obtain the slots through the general slot allocation procedure, (ii) the Final Commitments removed the fall-back of any remaining LIN Total Slots to the slot coordinator, guaranteeing that the entire LIN Increment will be divested to the remedy taker, (iii) the LIN Total Slots are to be divested to the remedy taker within the same timeline as the slots for the operation of the New Entrant Remedy as described above,[2043] (iv) the back-up remedy clause specifically provides that it applies notably in the event that the Short-Haul Remedy Taker operates less than 80% of the LIN Remedy Taker Slots (i.e. those of the LIN Total Slots that can be operated on any route from LIN) in a specific season during the Minimum Period,[2044] and (v) the upfront buyer clause included in the Final Commitments also applies to the LIN Total Slots.[2045]

14.5.1.2. Long-Haul Commitments

(2101) As regards the competition concerns arising on the specific long-haul routes listed in this Decision, the Final Commitments introduced significant changes compared to the Second Commitments. The Final Commitments removed (i) the Long-Haul Capacity Commitment, (ii) the Hold-Separate and Ring-Fencing Commitment, and

2038 Final Commitments, clause 35.
2039 Final Commitments, clause 27.
2040 Final Commitments, clause 30.
2041 Final Commitments, clauses 27-30.
2042 Final Commitments, Section A, definition of "LIN Total Slots".
2043 Final Commitments, clause 5.
2044 Final Commitments, clause 8.
2045 Final Commitments, together clauses 5 and 13.

(iii) the Long-Haul Connectivity Commitment. In place of these commitments, the Final Commitments introduce a remedy that has as its objective to enhance frequencies of direct or one-stop connections on the long-haul routes of concern, i.e., Rome-San Francisco (year-round), Rome-Washington (year-round), and Rome-Toronto (summer season only) (together, the "Long-Haul Remedy Routes").

(2102) The Final Commitments specify that the Parties and the long-haul remedy takers will need to enter into agreements with suitable remedy taker(s) within a specific time frame after the date of adoption of this Decision (the "Long-Haul Remedy Agreements"). The Long-Haul Remedy Agreements can comply with the Final Commitments in one out of three alternative ways, which can be chosen by the Parties and each of which is explained in more detail below.

(2103) Both the Long Haul Remedy Taker(s) and the Long Haul Remedy Agreement(s) (as well as ancillary agreements) shall be approved by the Commission.

(2104) The Parties can only close the Transaction, irrespective of the implementation option (i.e. this applies under Options 1, 2 and 3) once the Commission has approved the proposed Long-Haul Remedy Taker(s) and the terms of the Long-Haul Remedy Agreement(s) and, if the Long-Haul Remedy Agreement(s) have been entered to under Options 2 and 3 as described below, in addition, only once the Long-Haul Remedy Taker(s) is/are selling tickets for the one-stop connections.[2046]

(2105) The Final Commitments stipulate that the duration of the Long Haul Remedy Agreements is three (3) years starting with the beginning of the season following the approval of the Long-Haul Agreement by the Commission. Under Option 2 (as described in more detail below), the Parties commit to extend the cooperation agreements to five (5) years upon the request of the Long-Haul Remedy Taker(s).[2047]

14.5.1.2.1. Option 1: Increase of direct frequencies by a competitor

(2106) Under the first option, the Parties would have to enter into a Long-Haul Remedy Agreement with at least one suitable remedy taker, in order to establish on the Long-Haul Remedy Routes a frequency increase equivalent to at least the number of direct average weekly frequencies for each relevant route and the seasons as set out in Schedule 1 to the Final Commitments.[2048] Concretely, this entails an increase of:

(a) 6 average weekly frequencies for Rome-Washington (summer);

(b) 3 average weekly frequencies for Rome-Washington (winter);

(c) 6 average weekly frequencies for Rome-San Francisco (summer); and

(d) 5 average weekly frequencies for Rome-Toronto (summer).

14.5.1.2.2. Option 2: Increased Connectivity through interlining agreements, slot swaps or re-timings

(2107) As an alternative way to comply with the Final Commitments to Option 1, the second option stipulates that the Parties would have to enter into a Long-Haul Remedy Agreement with suitable remedy takers, in order to establish on the Long-Haul Remedy Routes additional Competitive Indirect Connections.[2049] For each of the

---

2046 Final Commitments, clause 13, second bullet.

2047 Final Commitments, clause 11.

2048 Final Commitments, clause 9i; see also Schedule 1.

2049 According to Section A of the Final Commitments, Competitive Indirect Connection(s) means a "*New and/or improved one-stop connection(s) on the Long-Haul Remedy Routes with a total travel time of up*

routes Rome-Washington (year-round) and Rome-Toronto (summer only), this entails at least ten (10) additional weekly Competitive Indirect Connections, offered across at least two (2) separate Long-Haul Remedy Takers. For Rome-San Francisco, this entails at least ten (10) additional weekly Competitive Indirect Connections during summer, offered across at least two (2) separate Long-Haul Remedy Takers, and at least three (3) additional weekly Competitive Indirect Connections during winter, offered by at least one (1) Long-Haul Remedy Taker. By way of example, on Rome-Washington the Parties could enter into an interline agreement with Air-France/KLM and/or IAG covering the first leg of the route (e.g. Rome-Paris and/or Rome-London) and the Long-Haul Remedy Taker(s) will then operate, in compliance with the conditions set in the Commitments, at least 10 additional weekly new and/or improved connection(s) from their hubs (e.g. Paris and/or London) to Washington.

(2108) The above would be achieved by use of industry standard cooperation tools (such as interlining agreements, slot swaps and re-timings) with Long-Haul Remedy Taker(s) on flights to and from FCO to other airport hub(s) located in Europe or in North America, in order to allow the Long-Haul Remedy Taker(s) to operate their own (existing or new) one-stop operations on the Long-Haul Remedy Routes. For the routes and seasons that require at least two Long-Haul Remedy Takers, at least one Long-Haul Remedy Taker must rely on its own network or on cooperation (such as interlining) with independent third parties (other than ITA, Lufthansa and its A++ JV partners), whereas the second Long-Haul Remedy Taker is able to rely on cooperation agreements (interlining or other) with the Parties.[2050]

(2109) The long-haul remedy takers will need to be two independent competitors that are unconnected to the Parties, their affiliates, and the A++ JV partners. In line with the Commission's assessment throughout this Decision, airlines that cooperate within the same transatlantic joint venture, such as those cooperating within the Blue Skies JV or the AA-IAG JV, are all counted as a single Long-Haul Remedy Taker. For those airlines that are not part of a JV, each airline group counts as one single Long-Haul Remedy Taker. In other words, if two airlines belong to the same airline group or the same alliance, they do not count as two separate Long-Haul Remedy Takers.

14.5.1.2.3. Option 3: Increased connectivity through (i) increased direct frequencies and (ii) interlining agreements, slots and re-timings

(2110) As an alternative way to comply with the Final Commitments to Options 1 and 2, Option 3 involves a combination of Option 1 (frequency increase of direct connections) and Option 2 (additional one-stop connections). Concretely, the Parties

---

to +3 hours compared to ITA's direct flight and a connection time of up to 2 hours when connecting in Europe (or a total travel time of up to +4 hours and a connection time of up to 3 hours when connecting in North America). For the sake of clarity, a connection also qualifies as "new" if a hub that has not been connected within the +3h/+4h time window before is connected within that timeframe, even if the Long-Haul Remedy Taker already has, at the time of the Decision, existing connections via other hubs of its group or transatlantic joint venture. A one-stop connection of a competitor already operating a one-stop connection on the respective Long-Haul Remedy Route within the +3h/+4h timeframe only counts as "improved" if the total travel time of the improved connection (i.e. via another indirect connection) is reduced by at least 60 minutes. The baseline for any comparison of the above new and/or improved one-stop connections on the Long-Haul Remedy Routes shall be the respective Long-Haul Remedy Taker(s)' connections in Winter 2023/2024 and Summer 2024 IATA season published as of the Effective Date".

[2050] Final Commitments, clause 9ii.

would have to enter into Long-Haul Remedy Agreement(s) with (a) suitable Long-Haul Remedy Taker(s), in order to establish:

(a) 3 additional average weekly direct frequencies and 6 Competitive Indirect Connections for Rome-Washington (summer);

(b) 2 additional average weekly direct frequencies and 6 Competitive Indirect Connections for Rome-Washington (winter);

(c) 3 additional average weekly direct frequencies and 6 Competitive Indirect Connections for Rome-San Francisco (summer);

(d) 3 additional Competitive Indirect Connections for Rome-San Francisco (winter);

(e) 3 additional average weekly direct frequencies and 6 Competitive Indirect Connections for Rome-Toronto (summer).

14.5.2. Lufthansa and MEF's view

(2111) The Parties submit that the Final Commitments are suitable to remove the competition concerns raised by the Transaction. Specifically, the Parties argue that the following:

(1) the New Entrant Remedy will "*establish a new market entrant on all Remedy Short-Haul Routes, enabling the Short-Haul Remedy Taker to grow into an effective competitive force, before the acquisition of grandfathering rights for the Remedy Short-Haul Routes*";[2051]

(2) the inclusion of an SPA will "*enable the Short-Haul Remedy Taker to offer an indirect connection on all the Remedy Direct/Indirect Short-Haul Routes and, thereby, be in a position to replicate ITA's activities pre-merger*".[2052] In addition, the Parties submit that, "*as the SPA grants access to the entire domestic network of ITA, the Short-Haul Remedy Taker can enhance connectivity with regard to its own operations to and from FCO and LIN*";[2053]

(3) the LIN Slots "*are highly attractive to any competitor already or potentially active at LIN. as this is a congested airport with intense competition for any slots. By divesting a significant number of these highly attractive slots to the Short-Haul Remedy Taker, the latter is put in a position to create a reliable base in Linate, from where further operations at the discretion of the Short-Haul Remedy can be expanded. The Commitment thereby results in the creation of a new, solid competitive force at LIN, fuelling competition vis-à-vis the merged entity post-merger*";[2054] and

(4) the "*Long-Haul Remedy will bring a structural change to market conditions. Either a new (direct or indirect) offer is established on the Long-Haul Remedy Routes, or an already established player can expand and improve its operations*."[2055]

2051 Form RM of 18 June 2024, paragraph 145.
2052 Form RM of 18 June 2024, paragraph 145.
2053 Form RM of 18 June 2024, paragraph 145.
2054 Form RM of 18 June 2024, paragraph 145.
2055 Form RM of 18 June 2024, paragraph 145.

14.5.3. The Commission's Assessment

14.5.3.1. Short-Haul Commitments

(2112) For the reasons set out below, the Commission considers that, together, the New Entrant Remedy and the SPA Commitments as provided under the Final Commitments, once implemented, will address the competition concerns raised and are adequate and sufficient to eliminate the significant impediment to effective competition that would otherwise arise on the short-haul routes of concern, as identified in section 9.

14.5.3.1.1. New Entrant Remedy

(2113) The Commission considers that the Parties have sufficiently addressed the most material deficiencies identified with respect to the New Entrant Remedy as discussed under section 14.4.2.1.1.

(2114) First, by adding Rome – Hamburg and Milan – Vienna in the scope of the Remedy Short-Haul Routes, the Parties ensured that the scope of the New Entrant Remedy covered all the direct/direct short-haul routes of concern. In addition, the Parties expressly provide in Clause 23 of the Commitments that preference will be given to a single Short-Haul Remedy Taker.

(2115) Second, the Parties clarified in the text of the Final Commitments that the frequencies listed in Clause 13 constituted minimum frequencies to be flown by the Short-Haul Remedy Taker. This was added to ensure that the frequencies offered by the Short-Haul Remedy Taker could not go below the minimum required to replace the loss of competition on the Remedy Short-Haul Routes resulting from the Transaction.

(2116) Third, the transfer process was streamlined and clarified, adding more certainty to the modalities of implementation. In the first instance, the process is less complex and likely to be delayed as the Short-Haul Remedy Taker is no longer required to first exhaust all reasonable efforts to get the relevant slots through the general slot allocation procedure. In the second instance, the Parties clarified in the text of the Final Commitments the relevant deadlines. In particular, the Final Commitments provide (i) in Clauses 5 and 23 that Lufthansa and MEF commit to find a Short-Haul Remedy Taker and enter into the Entry Commitment Agreement and the Slot Transfer Agreement[2056] with the Short-Haul Remedy Taker as early as possible, but in any event within a specific time frame from the date of this Decision at the latest; and (ii) in Clauses 5 and 26, that "*the Slots and assets required and requested by the Short-Haul Remedy Taker (as the case may be) to be transferred in the context of the New Entrant Remedy (including the LIN Remedy Slots) as well as the LIN Remedy Taker Slots will be divested ideally before the IATA Historics Baseline Date, namely [before a certain date], but in any case timely before [the start of a specific season] with the objective of permitting entry of the Short-Haul Remedy Taker [within a specific season]".*

(2117) Fourth, the Parties have also included an upfront remedy taker clause. Clause 13 provides that the closing of the Transaction can take place, in addition to those conditions related to the Long-Haul Commitments, once the Parties "*have entered into a final and binding Entry Commitment Agreement and Slot Transfer Agreement*

[2056] Defined in Section A of the Final Commitments as "*the agreement between DLH, MEF and the Short-Haul Remedy Taker organizing the transfer of the Slots to the Short-Haul Remedy Taker*".

with the Short-Haul Remedy Taker, ITA has entered into an SPA or an agreement of similar kind to enable connectivity with the Short-Haul Remedy Taker, and the Commission has approved the proposed Short-Haul Remedy Taker(s) and the terms of the Entry Commitment Agreement, the Slot Transfer Agreement and the SPA or agreement of similar kind to enable connectivity". This shifts the risk that a remedy taker is not found on the Parties, rather than on the Commission, and ultimately the public. As per paragraph 54 of the Remedy Notice, "*an up-front buyer will allow the Commission to conclude with the requisite degree of certainty that the commitments will be implemented, as such a commitment creates greater incentives for the parties to close the divestiture in order to be able to complete their own concentration*". In addition, the Short-Haul Remedy Taker(s) will need to be approved by the Commission. In order to be approved, the potential remedy taker(s) will need to meet the criteria set out in Section C of the Final Commitments.

(2118) Fifth, the Parties have made significant improvement to the back-up remedy clause, whereby the Parties commit to find a new remedy taker ("New Remedy Taker") in case the Short-Haul Remedy Taker ceases to operate. In the first place, Clause 8 now defines the notion of "*ceases to operate*", to encompass the situations where "t*he Short Haul Remedy Taker (i) completely interrupts scheduled air transport passenger operations on the Short-Haul Remedy Routes, (ii) uses any of the Short-Haul Remedy Routes Slots for other routes without having obtained alternative or retimed Slots, (iii) operates any of the Short-Haul Remedy Routes with less than 80% of the initially envisaged Frequencies in a specific season during the Minimum Period, or (iv) operates less than 80% of the LIN Remedy Taker Slots in a specific season during the Minimum Period [i.e.] (each a "Slot Utilization Shortfall Event"), and unless the Short-Haul Remedy Taker is forced to cancel flights due to Operational Risks*". In the second place, Clause 8 also provides for an appropriate process. For example, the back-up remedy clause now provides that (i) the Commission and the Monitoring Trustee will be responsible for confirming that a Slot Utilization Shortfall Event of sufficient magnitude has occurred to justify replacing the Short-Haul remedy taker and approve the new Entry Commitment Agreement, (ii) there should not be more than one IATA season between the shortfall event and the entry of the New Remedy Taker, (iii) the New Remedy Taker should meet the same criteria as set out in the Final Commitments for the Short-Haul Remedy Taker.

14.5.3.1.2. SPA Commitment

(2119) The Commission considers that the Parties have sufficiently addressed the most material deficiencies identified with respect to the SPA Commitment discussed under section 14.4.2.1.2, that is (i) the fact that the concept of an SPA may not be compatible with the business model of or suitable to be taken up by every potential remedy taker, (ii) the likely insufficient duration of the SPA, (iii) the fact that the commitments did not specify in sufficient detail the terms and conditions to be included in the SPA, (iv) and the fact that connectivity was not sufficiently ensured for certain direct/indirect routes where the remedy taker chose to operate certain direct/direct routes from/to Milan from Malpensa airport rather than Linate airport (as the connections the Short-Haul Remedy Taker may provide through Linate

utilising ITA's domestic operations under the SPA would not be available for operations from Malpensa airport).[2057]

(2120) First, under the Final Commitments, to allow more flexibility, the remedy taker now has the possibility of concluding, instead of an SPA, "*an agreement of similar kind*" to enable connectivity in relation to ITA's domestic network. The conditions that are applicable to the SPA also apply *mutatis mutandis* to the agreement.[2058]

(2121) Second, the Parties have extended in Clause 6 the duration of the SPA Commitment from three from the conclusion of the SPA to five years from the entry of the Short-Haul Remedy within a specific season, subject to the approval of the agreement by the Commission-.

(2122) Third, the Final Commitments specify the general commercial terms of the SPA (or a similar agreement). These shall be the better of (i) those of any SPA between ITA and DLH or (ii) those of a comparable SPA agreement that ITA has entered with its alliance partners, in both cases during a period of five years from the entry of the Short-Haul Remedy Taker within a specific time frame, subject to the approval of the SPA by the Commission.[2059] As the final binding SPA will be conditional on the approval of the Commission, the Commission will be able to review and comment on the specific terms included in the SPA and check whether they are consistent with these specifications.[2060]

(2123) Fourth, the Parties have specified in Clause 6 that the Short-Haul Remedy Taker may only operate the route Milan – Düsseldorf from Milan Malpensa if it is capable of providing viable connecting flights to Brindisi and Napoli also from Malpensa. This addition was necessary as (i) the short-haul remedy taker has the option of operating this route from Milan Malpensa or Milan Linate, and (ii) the SPA Commitment covers only connections to all intra-Italian routes served by ITA from Milan Linate (or Rome Fiumicino). Therefore, without this addition, the commitments would not have guaranteed connectivity on the direct/indirect short-haul routes Brindisi – Düsseldorf (summer) and Naples – Düsseldorf (winter) in scope of the SPA Commitment. The Short-Haul Remedy Taker Criteria were also amended in order to include that the Short-Haul Remedy Taker must have the financial resources, proven expertise, and incentive to act as a viable and active competitive force in competition with the Parties and other competitors not only on the Remedy Short-Haul Routes but also on the Remedy Direct/Indirect Routes as described in Clause 6. The relevant agreement(s) in that respect will be conditional on the approval of the Commission. For the approval, the Commission will verify that the Short-Haul Remedy Taker fulfils the Short-Haul Remedy Taker Criteria, and that the agreement(s) is/are consistent with the Commitments "*including their objective to bring about a lasting structural change in the market*".[2061] For the avoidance of doubt, this includes ensuring that the Short-Haul Remedy Taker is able to offer viable and competitive connecting services with respect to all Remedy Direct/Indirect Routes, including assessing a scenario where connectivity may be diminished because the remedy taker may choose not to operate from LIN but from MXP airport on the Milan-Hamburg

2057 The scope of the Remedy Short-Haul Direct/Indirect Routes no longer includes PMO-FRA (winter) as the Commission does not raise any competition concerns in connection with this route in this Decision.

2058 Final Commitments, clause 28.

2059 Final Commitments, clause 28.

2060 Final Commitments, clause 35.

2061 Final Commitments, clause 35.

route and therefore its use of the SPA Commitment is limited to connections through FCO.

(2124) Fifth, the Parties commit in Clauses 7 and 30 of the Final Commitments to enter into the SPA or agreement of similar kind with the Short-Haul Remedy Taker as early as possible, but in any event no later than within a specific time frame the date of this Decision to permit operations of the Short-Haul Remedy Taker from a specific IATA season. In addition, the upfront clause included in Clause 13 of the Final Commitments encompasses the obligation for ITA to have entered into an SPA or an agreement of similar kind with the Short-Haul Remedy Taker and requires the Commission to agree to the terms of this agreement before the Transaction can close.

(2125) Based on the above, the Commission considers that the SPA Commitment is sufficient to ensure that the Short-Haul Remedy Taker provides viable and competitive connections, which are attractive for customers, for all the direct-indirect routes of concern identified in section 9.4.

14.5.3.1.3. LIN Slot Remedy

(2126) The Commission considers that the LIN Slot Remedy under the Final Commitments, once implemented, will address the competition concerns raised and are adequate and sufficient to eliminate the significant impediment to effective competition that would otherwise arise with respect to LIN airport dominance, as identified in section 11.

(2127) First, under the Final Commitments, all LIN slots to be divested will go to the Short-Haul Remedy Taker, with no possibility for the surplus to go to the slot pool, thus eliminating the risk of excessive fragmentation of the slot portfolio. In connection to that, it needs to be noted that the Final Commitments provide for the total divestment of 204 weekly slots in the Summer and 192 weekly Slots in the Winter, which goes beyond the increment added to the Parties' portfolio through the Proposed Transaction. This was done with the aim to put the Short-Haul Remedy Taker in a position to establish a sustainable, credible base at LIN, which addresses the potential foreclosure concerns identified by the Commission, and to allow it to potentially offer its own connections on the direct/indirect routes of concern in the future.

(2128) Second, the Final Commitments eliminate the risk that a suitable Remedy Taker would not be found, as they introduce an upfront buyer clause, preventing the Parties from closing the Proposed Transaction before the Commission approves the Remedy Taker and the Slot Transfer Agreement.

(2129) Finally, as explained in further detail in paragraph (2114), the Final Commitments introduce an improved mechanism for replacing the Remedy Taker in the event they cease to operate or significantly reduce operations of the Linate slots during the Minimum Period.

14.5.3.2.Long-haul Commitments

(2130) The Commission considers, on balance and taking into account the extraordinary and case-specific factors of the Transaction - notably that (i) ITA's long-term competitiveness as a standalone carrier is highly uncertain, also having regard to the past negative performance that Alitalia registered both as stand-alone carrier and as partner of a network carrier (see Section 7.2.2), (ii) and that, following the Transaction, ITA will retain some ability and incentive to compete against Lufthansa's A++ joint venture partners, in particular due to the presence of MEF as a controlling shareholder (see Section 10.1.1) - that the Final Commitments, once

implemented, eliminate the significant impediment to effective competition that would otherwise arise with respect to the problematic long-haul routes, as identified in Section 10.

(2131) *First*, the remedy would ensure that, post-Transaction, customers would have additional (direct or indirect) options to fly on the long-haul routes compared to the situation without remedies and for all seasons of concern, namely Rome-San Francisco (year-round), Rome-Washington (year-round), and Rome-Toronto (summer season only).

(2132) Under Option 1, as further explained in section 14.5.1.2.1 the Long-Haul Remedy Taker would operate at least the number of direct weekly frequencies set out in Schedule 1 to the Commitments. Notably:

(a) 6 weekly frequencies for Rome-Washington (summer);

(b) 3 weekly frequencies for Rome-Washington (winter);

(c) 6 weekly frequencies for Rome-San Francisco (summer); and

(d) 5 weekly frequencies for Rome-Toronto (summer).

(2133) Under Option 2, the two Long-Haul Remedy Takers would operate new and/or improved one-stop connection(s) on each problematic route with a total travel time of up to 3 hours longer compared to ITA's direct flight and a connection time of up to 2 hours when connecting in Europe or a total travel time of up to 4 hours longer and a connection time of up to 3 hours when connecting in North America – the latter taking into account additional time needed for immigration processes. Notably, a one-stop connection of a competitor already operating a one-stop connection on the respective Long-Haul Remedy Route within the 3-hour timeframe will only count as "improved" if the total travel time of the improved connection (i.e., via another indirect connection) is reduced by at least 60 minutes. The baseline for any comparison of the above new and/or improved one-stop connections on the Long-Haul Remedy Routes shall be the respective Long-Haul Remedy Taker(s)' connections in Winter 2023/2024 and Summer 2024 IATA season published as of the date of adoption of this Decision.

(2134) Furthermore, under Option 2 the frequency increase will be equal to at least ten (10) weekly competitive indirect connections (as an average value per season) and will be offered across two (2) Long-Haul Remedy Takers, out of which one Long Haul Remedy Taker shall rely on its own operations or on interlining with independent third parties (other than ITA, Lufthansa and its A++ JV partners), whereas the second Long Haul Remedy Taker may rely on a cooperation agreement (interlining or other) with the Parties. This is with the exception of FCO-SFO in the winter season, where this should be at least three (3) weekly additional Competitive Indirect Connections, offered by one Long-Haul Remedy Taker (relying either on its own operations or on interlining, including with Lufthansa or ITA).

(2135) Under Option 3, the Remedy Taker would be allowed to operate a combination of additional or improved direct and indirect frequencies on each problematic route, in compliance with the terms set out for Options 1 and 2, thus allowing the customers to choose among the options described under Options 1 and 2 and in compliance with the terms set out for Options 1 and 2.

(2136) *Second*, each remedy taker needs to meet purchaser criteria that ensure (i) that it is independent of and unconnected to the Parties, and (ii) that it has the financial resources, proven expertise and incentive to maintain and develop the Divestment

Business as a viable and active competitive force in competition with the Parties and other competitors. Therefore, the above criteria will ensure that customers can effectively rely on the Options 1, 2 and 3 described above.

(2137) *Third*, the operations of the frequencies by the remedy taker(s) must neither be likely to create, in light of the information available to the Commission, prima facie competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(2138) *Fourth*, there is sufficient certainty of implementation because the Parties cannot close the Transaction until the Commission has approved a suitable remedy taker for the Long-Haul Commitments under the Final Commitments.

14.5.4. Conclusion on the Final Commitments

In the light of the assessment set out in section 14.5.3, the Commission concludes, that the Final Commitments of 18 June 2024 are adequate and sufficient to entirely eliminate the significant impediment to effective competition in connection with scheduled air passenger transport identified in Sections 9-11 of this Decision. Therefore, the Commission considers the Final Commitments of 18 June 2024 capable of rendering the Transaction compatible with the internal market and the EEA Agreement.

15. CONDITIONS AND OBLIGATIONS

(2139) Pursuant to the second subparagraph of Article 8(2) of the Merger Regulation, the Commission may attach to its decision conditions and obligations intended to ensure that the undertakings concerned comply with the commitments they have entered into vis-à-vis the Commission with a view to rendering the concentration compatible with the internal market.

(2140) The fulfilment of the measure that gives rise to the structural change of the market is a condition, whereas the implementing steps which are necessary to achieve this result are generally obligations on the parties. Where a condition is not fulfilled, the Commission's decision declaring the concentration compatible with the internal market is no longer applicable. Where the undertakings concerned commit a breach of an obligation, the Commission may revoke the clearance decision in accordance with Article 8(6) of the Merger Regulation. The undertakings concerned may also be subject to fines and periodic penalty payments under Articles 14(2) and 15(1) of the Merger Regulation.

(2141) In accordance with the basic distinction described in paragraph (2136) as regards the conditions and obligations, this Decision should be made conditional on the full compliance by the notifying parties with Section B of the Commitments of 18 June 2024. All other relevant sections should be obligations within the meaning of Article 8(2) of the Merger Regulation. The full text of the final commitments is attached as Annex II to this Decision and forms an integral part thereof.

HAS ADOPTED THIS DECISION:

Article 1

The notified operation whereby Deutsche Lufthansa AG and the Ministry of Economy and Finance of Italy acquire joint control of Italia Trasporto Aereo S.p.A. within the meaning of Article 3(1)(b) and 3(4) of the Merger Regulation is hereby declared compatible with the internal market and the EEA Agreement.

Article 2

Article 1 is subject to compliance with the conditions set out in the Section B of Annex II.

Article 3

Deutsche Lufthansa AG and the Ministry of Economy and Finance of Italy shall comply with the obligations set out in all Sections of Annex II not referred to in Article 2.

Article 4

This Decision is addressed to:

Deutsche Lufthansa AG
Lufthansa Aviation Center Airportring
D-60546 – Frankfurt/Main
Germany

Ministry of Economy and Finance of Italy
via Venti Settembre, 97
00187 – Rome
Italy

Done at Brussels, 3.7.2024

For the Commission

(Signed)
Margrethe VESTAGER
Executive Vice-President

Case M.11071 - DEUTSCHE LUFTHANSA / MEF / ITA

Annex to the Decision

Table of Contents

1. Executive summary 3
2. Data and methodology 5
2.1. Data 5
2.2. Methodology 6
2.2.1. Overview of the Commission's approach to the regression analysis 6
2.2.2. Proxies for competition 7
2.2.3. The role of control variables 9
2.2.4. Estimation samples 11
3. Regression analysis – Short-haul 12
3.1. Relationship between Lufthansa's prices and the number of competitors 13
3.1.1. Description of the regressions analysis 13
3.1.2. Conclusion on the impact on prices 16
3.2. Closeness of competition between Lufthansa and ITA 17
3.2.1. Model 1: Closeness of competition between Lufthansa and ITA 18
3.2.2. Model 2: Closeness of competition between Lufthansa and ITA, accounting for the number of competitors active on the route 19
3.2.3. Conclusion on closeness of competition 21
3.3. Update of the Commission's regression analysis for short-haul routes with the latest data available 22
3.3.1. Conclusion on the impact on prices for the relationship between Lufthansa's prices and the number of competitors 26
3.3.1. Conclusion on the impact on prices in relation of closeness of competition between Lufthansa and ITA 27
3.4. Conclusion on the short-haul regressions 27
3.5. Assessment of the Parties' price analysis on closeness of competition 28
4. Regression analysis – Long Haul 32
4.1. Description of the regressions analysis for non-stop routes 32
4.2. Additional evidence to account for the constraint exerted by indirect competitors 36
4.3. Conclusion on the impact on prices 39
5. Assessment of the parties' statements 40
5.1. Non-randomness of the residuals 40
5.1.1. The Notifying Parties' view 40

5.1.2. The Commission's view 41
5.2. Relevant control variables 41
5.2.1. The Notifying Parties' view 41
5.2.2. The Commission's view 42
5.3. Robustness of long haul results regarding the COVID Period 42
5.3.1. The Notifying Parties' view 42
5.3.2. The Commission's view 42
5.4. Insufficient variation in the sample 43
5.4.1. The Notifying Parties' view 43
5.4.2. The Commission's view 43
5.5. Implausibility of the Commission's results 43
5.5.1. The Notifying Parties view 43
5.5.2. The Commission's view 44

1. EXECUTIVE SUMMARY

(1) This Annex outlines the regression analysis carried out by the Commission to assess the relationship between the competitive landscape and Lufthansa's average prices on both long-haul and short-haul routes. This analysis can help in the assessment of whether the presence of competitors, and in particular ITA, has an impact on the prices charged by Lufthansa, as well as in quantifying the magnitude of this impact. As such, the regression analysis contributes to assessing whether the Transaction is likely to significantly impede effective competition.

(2) Regression analysis is a statistical tool commonly used in economics for understanding the relationship between two or more variables. In this case, the main variables are on the one hand Lufthansa's prices, and on the other hand the number of competitors. To shed light on the relationship between these two variables, the analysis has to control for the role played by other variables, for example demand and supply factors that can also influence Lufthansa's prices on a route.

(3) The Commission applied a methodology commonly known as 'fixed effects' regressions to a panel of data that allows to isolate the factors that influence Lufthansa's prices. The fixed effects methodology takes account of important but unobserved (or unmeasured) effects on price that do not vary over time on any given route or that vary over time but are the same across all routes. In addition, further control variables take account of important observed effects that may vary over time on a given route. As a result, the estimated effects will capture changes in prices on a route when changes in competition occur on that route (as opposed to simply comparing prices across routes where competition may differ).

(1) The data and analysis could then show whether Lufthansa offers lower prices on average on a route when there is more competition compared to when there are less operators. That is, the regression models and the data give rise to the testable hypothesis that the competitors' presence is associated with a statistically[1] and economically significant reduction in Lufthansa's prices in the various routes where they overlap.

(2) The results of the regression analysis for short-haul routes suggest that (i) increased competition on a route is associated with lower average Lufthansa's prices; and (ii) ITA's presence is associated with lower average Lufthansa's prices. These results indicate that a reduction in the number of competitors active on a route is likely to increase prices.

(3) More specifically, the results of the regression analysis on short-haul routes indicate that:

(a) Routes with a higher number of competitors have prices on average [10-20]% lower than routes where Lufthansa is a monopolist.[2]

(b) The first competitor is associated with Lufthansa's prices being reduced by [5-10]-[5-10]%,[3] while each subsequent additional competitor beyond the first

---

1 *Statistical significance* is a formal way of assessing whether observed associations are likely to be explained by chance alone.

2 See Annex I, column (4) of Table 4 and Table 10, row labelled "2 or more additional competitors (incl. ITA/Alitalia, excl. Lufthansa)".

3 See Annex I, column (4) of Table 4 and Table 10, row labelled "1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)".

one is associated with Lufthansa's prices being reduced by [0-5] - [5-10] additional percentage points.[4]

(c) The robustness analysis carried out suggests that the effect on Lufthansa's prices associated to the first competitor can range between 5% to 22%,[5] while the effect from each subsequent additional competitor can be as large as 10 percentage points.[6]

(4) The Commission's fixed effects regression methodology also allows one to assess the relationship between ITA's presence and Lufthansa's prices. The results of this regression analysis indicate that the presence of Alitalia/ITA is associated with on average approximately [10-20]-[20-30]% lower DLH prices.[7]

(5) Further results imply that Lufthansa's prices are estimated to be:

(a) about [5-10]-[5-10]% higher on monopoly compared to duopoly routes ("2-to-1" impacts), but about [10-20]% higher where the competitor disappearing is ITA, and

(b) about [0-5]-[5-10]% higher[8] on duopoly compared to three-or-more-carrier routes ("3-to-2" impacts), but about [10-20]% higher where the competitor disappearing is ITA.

(6) This Annex also provide an assessment of the Parties' claims in their Response to the 6.1.c Decision and in a subsequent submission[9] about Ryanair exerting significant competitive pressure on Lufthansa, whereas ITA not exerting the same competitive pressure. As explained in more detail below, the Parties' analysis is methodologically flawed and unreliable. The results of the Commission's regression analysis indicate that both ITA and Ryanair exert a competitive pressure on Lufthansa, but Ryanair does not compete more closely with Lufthansa than ITA. And, the opposite is true with Lufthansa's prices being on average lower in response to ITA's entry on a city-pair route than in response to Ryanair's entry.

---

4 See Annex I, column (4) of Table 4 and Table 10, row labelled "Average effect from 3 to 2 carriers on a route". The effect of 3% is statistically significant only at 12% in the overall sample that include both IATA summer and IATA winter seasons, which indicates a moderate likelihood that the observed outcome is not due to random chance, though scientific research in economics typically consider a stricter threshold of 10% to minimize the risk of false positives. This effect is nonetheless economically relevant: in smaller samples, even economically meaningful effects may fail to reach statistical significance due to the lower number of observations, whereas in larger samples, even small effects can achieve statistical significance. Therefore, the absence of statistical significance does not necessarily imply the absence of an economically meaningful relationship. Moreover, this effect is also larger and statistically significant at 10% in the sensitivity based only on IATA summer seasons. When the analysis is carried out on only IATA summer seasons, the first competitor is associated with Lufthansa's prices being reduced by [10-20]%, while each subsequent additional competitor with a further [5-10] percentage points reduction. The estimated effect appears instead milder in IATA winter seasons.

5 See Annex I, columns (2) to (5) in Table 4, Table 5, Table 10 and Table 11, row labelled "1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)".

6 See Annex I, columns (2) to (5) in Table 4, Table 5, Table 10 and Table 11, row labelled "Average effect from 3 to 2 carriers on a route".

7 See Annex I, column (1) in Table 7, Table 8, Table 12 and Table 13, considering all rows containing the label "ITA is present".

8 This effect is economically significant, but not statistically significant at 10% in the overall regressions. This effect is however greater in magnitude and statistically significant when only IATA summer seasons are considered.

9 The Parties' Response to the 6.1.c Decision, paragraph 46 to 57, and Supplementary regression analysis named "ppt - Closeness of competition - 060324 - Final" submitted on 7 March 2024.

(7) Finally, the results of the regression analysis for long-haul routes also suggest that increased competition on non-stop routes to North America is associated with lower average prices. Thus, the results clearly indicate that a reduction in the number of competitors active on a route is likely to increase prices. In particular:

(a) Routes with a higher number of competitors have lower prices by up to [20-30]-[20-30]% compared to routes where Lufthansa is a monopolist.

(b) The first competitor of Lufthansa entering a route is associated with Lufthansa's prices being reduced by [5-10]%, while each additional competitor beyond the first one with a further [10-20] percentage points reduction.

(8) These results are consistent when including in our analysis indirect competitors as well:

(a) The first additional indirect competitor decreases prices by only about [0-5]%.[10]

(b) Two or more additional indirect competitors decrease prices by about [5-10]% compared to monopoly, which means an additional indirect competitor beyond the first one is associated with Lufthansa's prices being about approximately [5-10] percentage points lower.

(9) The structure of this Annex is as follows. Section 2 describes the data and methodology used in the regression analysis, Section 3 presents the results from the short-haul regressions, as well as an assessment of the Parties' price analysis, Section 4 presents the long-haul regressions. Section 5 summarises the Parties' arguments as per their Response to the 6.1.c Decision, their Response to Statement of Objections, their Response to Second Letter of Facts, as well as the other ancillary submissions as well as the points raised in the Oral Hearing,[11] as well as the Commission's rebuttal.

2. DATA AND METHODOLOGY

(1) This section describes the data used by Commission for the regression analysis as well as the methodology followed.

2.1. Data

The data used by Commission for the regression analysis is in the form of a panel data set where each observation is a combination of a month and a city-pair route (e.g. Brussels – Milan is a single city-pair, independently from the direction travelled or the airport), and which Lufthansa's entity operated the flights.[12,13] The data covers

---

([10]) This effect is not statistically significant at 10% once the COVID period is included in the analysis.

[11] See the Notifying Parties' Response to the Article 6(1)(c) Decision, paragraph 46 to 57, the Supplementary regression analysis named "ppt - Closeness of competition - 060324 - Final" submitted on 7 March 2024, the Notifying Parties' Response to the Statement of Objections, paragraphs 26 to 32 and Annex I, and the Notifying Parties' Response to the LoF II, paragraphs 69-83.

[12] The panel data structure means that several routes are observed over time. In the general language of econometrics, the routes are the cross-sectional units of observation. If a set of routes only observed in one time period, the data is called a cross-sectional data. If this set of routes are observed for several time periods, that is, if the same cross-section is observed over time, the data is called a panel.

[13] The data include the following information: Identity of the Lufthansa entity operating the flight. Average monthly fare. Number of ticketed passengers, overall as well as divided by point-to-point and connecting passengers. Seat capacity. Load factor (Number of total boarded passengers / Seat capacity). Service class (Economy, Business, etc.). Number of monthly departures. Average weekly frequency of flights.

the period January 2019 – August 2023 for short-haul and the period January 2019 – November 2023 for long-haul. After having received the latest data available to the Notifying Parties, the Commission also updated its for short haul regression analysis for the period January 2019 – March 2024. The data includes routes that would be the most comparable to the overlapping routes.[14] Only economy class passengers are included in the regression analysis. The Lufthansa data covers all the group entities: Lufthansa, Brussels Airlines, Swiss Airlines, Air Dolomiti, and Eurowings, while no data for ITA was provided because of data unavailability before November 2021.[15]

2.2. Methodology

2.2.1. Overview of the Commission's approach to the regression analysis

(10) The Commission followed an empirical strategy similar to the ones employed in previous cases[16] in the aviation industry. In particular, the methodology is a reduced-form analysis, which is a common technique in econometrics to investigate the relationship between a dependent variable and a set of independent variables. The independent variables include the variables of interest to proxy for competition, as well as 'control variables'. These control variables are added to 'control' for demand or supply factors that can influence prices besides competition. Not including the control variables might lead to falsely attributing some price effects to competition (this is also known as omitted variable bias).

(11) The Commission's analysis is best described by the following equation:

$$p_{it} = \alpha_i + \beta f(Competition_{it}) + \theta_t D_t + \delta_j X_{itj} + e_{it}$$

Where:

(a) The dependent variable p_{it} is the average monthly point-to point price of a carrier operated by Lufthansa on route *i* at time *t;*[17]

(b) α_i is the route fixed effect. Fixed effects are discussed in Section 2.2.3.1 below. In essence, this term represents route-specific, systematic but unobserved or non-measurable differences in, for example, costs or demand, compared to other routes. For each route, the specific α_i represents a constant term measuring the persistent difference in the average fare relative to a baseline.

(c) $f(Competition_{it})$ represents the proxies used to assess competition on the route, and β is the coefficient measuring the impact of the variables included in the function. These variables are discussed in detail in the next Section.

(d) D_t is a date (month-year) indicator variable to control for persistent demand differences across months and years, and θ_t are the corresponding estimated coefficients.

---

14 See Response to RFI 4.

15 Competitors data was provided by the Parties based on IATA DSS, see "RFI 12 - Annex Q15 - Updated Competitor Data.xlsx" for short-haul and "RFI27 - DLH Annex 4 - Q7 data.xlsx" for long-haul.

16 E.g. M.4439 Ryanair/Aer Lingus and M.6663 Ryanair/Aer Lingus III. While the overall approach is similar to these previous cases, the precise application is adapted to take account of the specific factual situation and data availability.

17 This variable is expressed as a natural logarithm. As a result, estimates of impact from explanatory variables can be approximately interpreted as impact of the respective variables in percentage of the monthly fares. The impact on prices discussed in Sections 3.1.2, 3.2.3, and 4.2 is instead calculated as $exp(\beta) - 1$.

(e) X_{itj} is a vector of cost and demand control variables, as well as other factors aimed to capture the price impacts associated with other demand and supply factors; while δ_j is the vector of the corresponding estimated coefficients.

(f) e_{it} is the observation-specific error term of route *i* in time *t*, which represents the residual variation in the price data, that is, the variation unexplained by the variables included in the estimation equation. The error term is not directly estimated, but rather all the other parameters are estimated in the model to minimise the sum of squared errors while ensuring a mean of zero error term.[18]

2.2.2. Proxies for competition

(12) As indicated above, the term $f(Competition_{it})$ represents the proxies used in the regression analysis to assess competition on the routes. Because regression analysis is a relatively flexible statistical tool, it can be used to test alternative hypotheses regarding how to represent competition. The objective of the Commission's analysis is therefore twofold:

(a) To estimate how much Lufthansa's average prices change as the number of competitors active on a route changes. This type of analysis allows to assess to what extent there is a relationship between DHL prices and the number of competitors.

(b) To estimate how much Lufthansa's average prices change when ITA is present on a route. This type of analysis allows to assess how closely Lufthansa and ITA compete.

(13) The first set of analyses focuses on defining competition as the number of competitors other than Lufthansa active on a route.[19] To this end, the regression analysis includes two types of models. The first type of models ("number of competitors model") proxy competition with the number of competitors (other than Lufthansa) as a single variable. The second types of models ("indicator variables model") use the following indicator variables: (i) Only one competitor other than Lufthansa; and (ii) Two or more competitors other than Lufthansa.

(14) The first, number of competition model is more parsimonious, as it captures the competition impact by only one coefficient. The second, indicator variables model offers more flexibility. The first model's single coefficient captures the average impact on Lufthansa's prices of having one more competitor on a route. The estimated coefficients from the second model measure the expected average effect relative to having no competitor on a route in a given month. This specification allows the average effect of the first competitor to be different from the average effect of the arrival of a second or third competitor. The estimated coefficient for the indicator variable for one competitor measures the expected effect of the entry of a competitor into a monopoly city-pair route. The coefficient for two or more competitors measures the expected average difference with respect to a monopoly route. It follows that the difference between two coefficients measures the impact of

[18] To address the issue of potential correlation among error terms of different observations, the estimated coefficients' standard errors are clustered at the route and operator level. Such clustering assumes that error terms may be correlated within a route and across its operators, but uncorrelated across routes and operators.

[19] For the long-haul regressions, the number of competitors active on the route is calculated considering members of the same JV as single competitors. For example, if Delta enters on a route where AF/KLM is active, this does not count as a new competitor, as these carriers belong to the same JV.

having one more competitor. For example, the difference between the "two competitors" and "only one competitor" coefficients is the price impact of a triopoly route becoming a duopoly. Also, the estimated effects are symmetric in the case of exit: The difference between the coefficients estimates for having one or two competitors indicates both the expected effect of a third competitor entering the route or the expected effect of a route with three competitors becoming a duopoly (the signs are opposite in the case of entry and exit).

(15) The second set of analyses focuses on assessing whether any specific effects on Lufthansa's prices can be associated with ITA's presence. To this end, the regression analysis includes an ITA specific indicator variable. This indicator variable is equal to 0 if ITA is not operating on a specific route in a given month, and 1 otherwise.[20]

(16) The effects of competition can only be reliably estimated if there is sufficient variation in the data of market structures due to entry or exit events over time, and within several routes. In particular, only if there are several instances when the number of competitors change (first set of analyses of overall competition), or there is a change in ITA's presence (second set of analyses of ITA-specific competition), can the regression analysis identify the average impact of competition on Lufthansa's prices. The regression analysis essentially uses this entry/exit variation to compare Lufthansa's prices between periods with different market structures. Hence, the regression in practice calculates the increase or decrease in price when a change in the market structure occurs, and then reports the average effect across routes.

(17) In fact, the data set contains substantial variation in market structure.[21] This can be observed in Table 1 for short-haul, and Table 2 for long-haul.

(18) For short-haul, in 71 routes out of 139 in the data there is at least one change in the number of carriers throughout the period excluding COVID: This corresponds to 51% of all city pair routes and 61% of all Lufthansa's P2P passengers. Variation in the number of competitors is also very high, as there are more than 180 changes over the whole period excluding COVID and across all routes, which is likely more than sufficient to identify the impact on prices.

Table 1: Variation in the number of competitors within city-pair routes, based on the number of P2P passengers – Short-haul (excluding COVID period)

Number of changes	Number of passengers	(%)	Number of routes	(%)
No change	13 019 076	39%	68	49%
One change	6 525 500	20%	18	13%
Two changes	5 788 473	17%	24	17%
Three changes	4 295 998	13%	15	11%
Four changes	1 689 597	5%	7	5%
Five or more changes	2 003 054	6%	7	5%
Total	33 321 698	100%	139	100%

Source: Analysis of the European Commission based on data provided by the Parties.

(19) For long-haul, variation is more limited but still substantial: In 22 routes out of 84 in the data there is at least one change in the number of carriers throughout the period excluding COVID: This corresponds to 26% of all city pair routes and 45% of all

[20] For statistical reasons, the regressions analysis does not distinguish between ITA and Alitalia. However, as a robustness check of the results, the regressions are also run on the subsample that includes only the ITA period (that is, starting from October 2021).

[21] The estimation sample also includes routes with no changes in the market structure. Such inclusion contributes to the precision of the coefficient estimates of the control variables, which in turn increases the precision of coefficient estimates of the competition variables.

Lufthansa's P2P passengers.[22] Variation in the number of competitors is also high, as there are 68 changes over the whole period excluding COVID and across all routes, which is equally likely more than sufficient to identify the impact on prices.

Table 2: Variation in the number of competitors within city-pair routes, based on the number of P2P passengers – Long-haul (excluding COVID period)

Number of changes	Number of passengers	(%)	Number of routes	(%)
No change	4 512 265	55%	62	74%
One change	175 239	2%	3	4%
Two changes	1 810 107	22%	11	13%
Three changes	365 666	4%	2	2%
Four changes	477 368	6%	2	2%
Five or more changes	811 584	10%	4	5%
Total	**8 152 229**	**100%**	**84**	**100%**

Source: Analysis of the European Commission based on data provided by the Parties.

(20) There is a somewhat more limited number of entry/exit events of ITA and of Alitalia specifically. Table 3 provides for an overview. There are 11 routes where the Parties overlap, corresponding however to 15% of all Lufthansa's P2P passengers from January 2019 to August 2023. In eight of these routes there was at least one entry/exit event from either ITA or Alitalia, corresponding to 7% of P2P passengers.[23]

Table 3: Overview entry-exit events on routes where ITA and Lufthansa are present

City pair routes	Number of competitors active on the route as of April 2023 (i.e. the latest month where data is available)	Entry/exit events	P2P pax.	P2P pax as percentage
Brussels-Milan	3 competitors	2	729 152	1.5%
Düsseldorf-Milan	4 competitors	2	625 990	1.3%
Brussels-Rome	3 competitors	0	622 074	1.3%
Munich-Rome	3 competitors	0	603 605	1.3%
Frankfurt-Rome	Duopoly	2	554 181	1.2%
Frankfurt-Milan	3 competitors	2	505 577	1.1%
Düsseldorf-Rome	Duopoly	1	501 525	1.0%
Rome-Zurich	4 competitors	0	460 110	1.0%
Hamburg-Milan	4 competitors	5	273 529	0.6%
Hamburg-Rome	3 competitors	5	210 622	0.4%
Milan-Stuttgart	3 competitors	3	154 963	0.3%
Total		22	5 241 328	11%

Source: Analysis of the European Commission based on data provided by the Parties.

2.2.3. The role of control variables

(21) Control variables play an important role in the validity of the regression model and its results. These variables control for factors that can either positively or negatively affect ticket prices. In general, the more relevant information is included in the model, the more precisely can the effect on prices of the various factors – including those capturing competition – be estimated. If important factors are either excluded or imprecisely estimated due to lack of information, this may either distort the coefficient estimates or reduce their precision. The choice of the variables to be

[22] If only routes between Europe and North America were considered, 12 routes out of 48 have at least one change in the number of carriers, which corresponds to 25% of all city pair routes between Europe and North America and 42% of P2P passengers.

[23] These routes include five where Eurowings is active. As explained below in Section 2.2.4, Eurowings data does not allow to separate P2P and connecting passengers, and, hence, are excluded from the estimation sample. Nonetheless, the remaining routes are relatively sizable as they correspond to 4% of P2P passengers. Once routes operated by EW are excluded, the number of entry/exit events for Alitalia/ITA drops from 22 to four, and to two on FRA-ROM if only ITA is considered.

included in the analysis is ultimately driven by economic theory that is informed by the specificity of the case being investigated.

2.2.3.1. Fixed effects

(22) Prices across routes and over time can vary for many reasons. Some of these factors are difficult to observe or measure, and hence cannot be controlled for directly in a regression analysis. When an analysis does not control for such specificities, the results of the analysis may be biased due to the so-called omitted variable bias. In the present setting, omitted variable bias could lead to the variable describing the competitive pressure unduly capturing variation in prices that are the result of other, omitted factors. Given the panel data structure, this omission problem can be remedied by introducing indicator variables of specific groups of observations into the regression.[24,25] These indicator variables are then also called as fixed effects, as a type of control variables. The most important among these are the fixed effects for the route city pairs.[26] The inclusion of these route city pair indicator variables hence gives rise to the 'fixed effects' methodology.

(23) By controlling for route specificities through route fixed effects, the omitted variable bias risk is reduced substantially. The fixed effects control for all differences across routes in unobservable cost or demand factors that are constant over the period spanned by the data. For example, this would include the type of destination, the popularity of the route according to purpose of travel, customer awareness, destination airport characteristics, number of alternative airports at destination, the general level of income among potential customers total duration of travel or air traffic regulations at country of destination.

(24) The 'fixed effects' methodology can account for many structural differences across groups or routes. For example, it is conceivable that prices on monopoly routes are high not because there is no competition but because on a particular route costs are relatively high (for example, when high entry barriers are correlated with high operation costs). The opposite may also be true, prices on monopoly routes may be relatively low because demand on such routes is weak (or very elastic). The fixed effect regressions hence separate these supply/demand effects from the effects of variation in market structure.

(25) Because Lufthansa combines several distinct operators, and each operator may have a different pricing policy, booking curve and/or marketing strategy, […]. Different operators active on the same route are thus assigned different fixed effects.

---

24 As mentioned above, the panel data structure means that several routes are observed over time. Panel data allows the implementation of the fixed effects methodology. To the contrary, with a cross-sectional data, where there is no time dimension, and the routes are observed only for one period, the fixed effects methodology is not feasible. Hence, in a cross-sectional data analysis it is more difficult to remedy or avoid the omitted variable bias.

25 An indicator variable, also referred to as a dummy or a binary variable, is a variable that takes the value 1 when true and 0 otherwise.

26 In this case, for example, the indicator variable for the route city pair BRU-MIL takes the value 1 only for those observations that refer to this route and the value 0 for all other observations. Routes are defined as origin and destination city pairs, for example, BRU-MIL and MIL-BRU constitute a unique fixed effect.

(26) The analysis also takes account of changes over time which are common to all routes by including time indicator variables, or time fixed effects,[27] for each month-year of the sample period. The time indicator variables capture persistent differences over time, for example seasonality in demand and potentially prices.[28] These variables can also capture general trends over time that can influence prices such as general cost trends for the industry or general evolution of income of customers or demand for leisure vacation.

(27) Overall, the fixed effects methodology is generally regarded as the most suitable to assess the competitive constraint exerted by any operator and/or ITA on Lufthansa.[29]

2.2.3.2. Other control variables

(28) Route and time fixed effects capture a large part of the effects that demand factors may have on prices.[30] However, as airlines are generally interested in ensuring their planes are full, they may seek to adapt prices to fluctuations in demand. To control for this feature, the load factor[31] is included as a proxy for demand.

(29) The number of connecting passengers on a route may affect the ticket prices for the point-to-point passengers because tickets for connecting passengers could potentially influence the booking curve position of point-to-point tickets. Hence, the empirical specification also includes the share of connecting passengers to control for these potential booking curve effects.

(30) Similarly to the demand factors, time and route fixed effects control for a large part of the effects that supply factors may have on prices (for example, labour or equipment costs, and airport fees). Supply factors in the airline industry are mainly labour costs, maintenance and investment costs for equipment, operational costs, especially fuel costs and route specific costs such as airport taxes and fees. Because carriers could also incur costs that may vary over time and affect routes differently, the average cost per available seat kilometres (CASK) is included as an additional control for supply factors.

(31) The estimation results have also been tested by including or excluding these additional control variables in some specifications.

2.2.4. Estimation samples

(32) This Section discusses the characteristics of the set of samples the regression analysis is estimated on.

(33) Similarly to the SO, also the regression analysis distinguishes between long-haul and short-haul routes. The regression analysis includes data on all Lufthansa carriers

---

27 In this case, for example, the indicator variable for the month-year October 2018 takes the value 1 only for those observations that refer to that time period and the value 0 for all other observations.

28 For example, higher traffic in typical holiday months like July and August and Christmas related travelling in December and January or lower traffic in off-peak and shoulder seasons.

29 See Chapter 10 of *Wooldridge, J.M (2010), Econometric analysis of cross section and panel data (2nd ed.), MIT Press* or Chapter 11 of *Greene, W. (2019), Econometric Analysis. 8th edition, Pearson Education Limited*.

30 For example, time fixed effects may capture an event that draws a significant number of passengers to Europe in a given month. Route fixed effects may capture, for example, the type of destination, different routes having different levels of popularity, route-specific fees and others.

31 Defined as the ratio of passengers and seat capacity for a given Lufthansa entity.

except for Eurowings […]. Nevertheless, a sensitivity also including Eurowings data is considered where overall values are used as proxy for P2P values.[32]

(34) The regression analysis is carried out for the full period without distinguishing between winter and summer seasons. The time fixed effects capture the varying seasonality. Nevertheless, as a check on the robustness of the results, the regression analysis is also carried out separately for the winter and summer seasons.

(35) Similarly, the regression analysis is carried out for the full period where data is available, that is from January 2019 to August 2023 for short-haul and from January 2019 to November 2023 for long-haul. A robustness check is conducted where only the period ITA operated period is also considered, that is, starting from November 2021.

(36) The COVID period of January 2020 to June 2021[33] is excluded to account for COVID-related effects. This period has clearly been an exceptional experience for the airlines industry. The entry and exit events of these months might not be considered as part of a normal business dynamics. While the full sample results are also reported, the sample excluding the COVID period is the baseline data set for the regression analysis.[34]

(37) Finally, in order to compile both the short-haul and long-haul regression datasets, the Lufthansa fare data was merged with IATA DSS data as this latter provides information on the number of competitors active on a route. For long-haul, some inconsistencies arose from this merging of datasets that suggests the IATA DSS data is incomplete. A comparison of the month/city-pair level data on Lufthansa passengers and seats available from IATA DSS against the equivalent information from Lufthansa fare data suggests these inconsistencies are not problematic.[35] Nevertheless, a sensitivity for the long-haul regressions is considered where the sample for the analysis is restricted to include only city pairs where the merge between the Lufthansa fare data and IATA DSS data was perfect. That is, almost half of the city pairs have at least one month where data on Lufthansa's prices is available but no information on competitors is available from IATA DSS. If this happens, the entire city pair is excluded, even if the merge was perfect in all other months.

3. REGRESSION ANALYSIS – SHORT-HAUL

(38) This Section describes the results of the regression analysis for short-haul routes: Section 3.1 discusses the findings related to the relationship between Lufthansa's prices and the overall number of competitors, while Section 3.2 discusses the findings related to ITA's presence. Section 3.3 provides additional evidence related to the update of the Commission's regression analysis with the latest data available. Section 3.4 provides for a summary.

(39) Section 3.5 outlines the Commission's views about the Parties' statements in their Response to the 6(1)c Decision and subsequent submissions with respect to the closeness of competition among Lufthansa, ITA, and Ryanair.

---

32 See Response to RFI 14, question 7.

33 [Confidential information about COVID period in Lufthansa's internal documents.].

34 Lufthansa's own internal regression modelling makes the same sample exclusion. See Response to RFI 35, question 6.

35 In their response to RFI 39, the Parties explain possible reasons why such inconsistencies could arise but were unable to provide a potential solution to this issue.

3.1. Relationship between Lufthansa's prices and the number of competitors

(40) The regression analysis investigates the relationship between the general competitive landscape in terms of number of competitors on a route in a given month and Lufthansa's prices. This analysis tells us whether on average the presence of additional competitors is associated with lower ticket prices charged by Lufthansa, while controlling for other influencing factors.

3.1.1. Description of the regressions analysis

(41) Table 4 shows the regression analysis based on the number of competitors. Each column is an alternative specification to investigate the effect of competitive pressure on Lufthansa's average prices. Specifications (1) and (2) measure the average effect of an additional competitor regardless of the number of competitors already on the route (other than Lufthansa and its subsidiaries), while specifications (3) to (6) measure competitive pressure via indicator variables corresponding to the number of operators active on the routes. These latter specifications allow the effect of an additional competitor to vary depending on whether the competitor is the first, second or third on the route.

(42) All specifications include route and operator fixed effects and time effects and controlling for additional factors affecting prices. Specifications (1) and (3) do not include any control variables, and thus allow to understand how the choice of control variables for demand and supply factors may affect the results. Specifications (1) to (4) are estimated on the full sample of data, excluding the COVID period, while specifications (5) and (6) are estimated respectively on the sample of only IATA summer and winter seasons. Specification (4) is the baseline specification of our analysis; all other specifications are sensitivities and robustness checks.

Table 4: Regression analysis based on the number of competitors – Short-haul

	(1)	(2)	(3)	(4)	(5)	(6)
No. competitors (incl. ITA/Alitalia, excl. Lufthansa)	-0.061***	-0.063***				
	(0.003)	(0.002)				
1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)			-0.091***	-0.091***	-0.12***	-0.070*
			(0.003)	(0.002)	(0.000)	(0.068)
2 or more additional competitors (incl. ITA/Alitalia, excl. Lufthansa)			-0.12***	-0.12***	-0.17***	-0.084
			(0.004)	(0.002)	(0.000)	(0.168)
Weighted CASK (in log)		0.029		0.033	0.15*	-0.075
		(0.656)		(0.619)	(0.064)	(0.263)
Load factor		0.084		0.078	0.11	-0.020
		(0.225)		(0.255)	(0.246)	(0.843)
Share of connecting passengers (% economy seats)		0.26***		0.26***	0.25***	0.46***
		(0.000)		(0.000)	(0.000)	(0.000)
Lufthansa monthly landings		0.000062		0.000061	0.000056	0.000023
		(0.696)		(0.701)	(0.711)	(0.932)
Constant	4.82***	4.53***	4.83***	4.53***	4.27***	4.76***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	All	Summer	Winter
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	5,394	5,394	5,394	5,394	3,326	2,068
No. city-pair clusters	164	164	164	164	162	158
R-squared	.32	.33	.32	.34	.4	.3
Adj. R-squared	.31	.33	.32	.33	.39	.3
Average effect from 2 to 1 carrier on a route			-.087**	-.087***	-.11***	-.068*
			(.003)	(.002)	(.0002)	(.068)
Average effect from 3 to 2 carriers on a route			-.025	-.027	-.049*	-.014
			(.326)	(.2622)	(.051)	(.759)

*Source: Analysis of the European Commission based on data provided by the Parties. Notes: (i) p-values in parentheses, * p<0.10, ** p<0.05, *** p<0.01. (ii) The values for the average effects of the Transaction are exponential values of the coefficients.*

(43) In all these specifications, the estimated coefficients capturing competition are statistically highly significant, and sizeable in magnitude. The fact that in specifications (1) to (6) the estimated coefficients consistently increase with the number of competitors implies that more competition results in lower prices.

(44) More in detail, the results of specifications (1) and (2) in Table 4 imply that, on average, a competitor's entry on a route decreases Lufthansa's prices by approximately [0-5]%. These specifications assume a linear relationship between price effect and the number of competitors, and thus suggest that Lufthansa's prices relative to a monopoly are about [0-5]% lower on a duopoly route, about [10-20]% lower on a route with two competitors, and about [10-20]% with 3 competitors.

(45) The results of specifications (3) and (4) can instead be interpreted as follows: Compared to a situation where Lufthansa is a monopolist on the route, Lufthansa's prices are on average:

(a) [5-10]% lower if there is one additional competitor.

(b) approximately [10-20]% lower if there are two or more additional competitors. This also implies that the entry of an additional competitor on route where already two carriers are active would reduce prices by about [0-5]-[0-5]%.

(46) Specifications (5) and (6) imply how these effects vary should we look at the IATA summer and winter seasons separately. These specifications suggest that the findings of the model are stronger for summer than for winter:

(a) In summer, Lufthansa's average prices are approximately [10-20]% lower if there is one additional competitor and approximately [10-20]% lower if there are two or more additional competitors. Entry of an additional competitor on route where already two carriers are active would reduce prices by about [5-10]%, and this effect is statistically different from zero.

(b) In summer, Lufthansa's average prices are approximately [5-10]% lower if there is one additional competitor and approximately [5-10]% lower if there are two or more additional competitors, but this latter effect is not statistically different from zero.

(47) It is worth to keep in mind, however, that as these two subsamples include fewer observations than the overall sample. For instance, the number of observations of the IATA summer seasons sample is about 62% of the number of observations of the overall sample, while that of the IATA winter seasons is about 38% that of the overall sample when is reduced only, or to only the IATA winter seasons or to only the period after November 2021.

(48) Table 5 shows two types of robustness checks: (i) including the COVID period into the estimation sample; and (ii) weighting the regressions by the number of P2P passengers, that is, assigning larger importance to larger routes. Table 5 confirms that the findings of the regression analysis are robust not only to alternative model specifications, but also to alternative estimation samples and alternative modelling techniques.

Table 5: Regression analysis based on the number of competitors – Robustness checks

	(1)	(2)	(3)	(4)	(5)
No. competitors (incl. ITA/Alitalia, excl. Lufthansa)	-0.061***				
	(0.000)				
1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)		-0.082***	-0.14***	-0.16***	-0.15***
		(0.001)	(0.000)	(0.000)	(0.000)
2 or more additional competitors (incl. ITA/Alitalia, excl. Lufthansa)		-0.12***	-0.18***	-0.20***	-0.21***
		(0.000)	(0.000)	(0.000)	(0.001)
Weighted CASK (in log)	-0.019	-0.017	-0.062	0.054	-0.22
	(0.642)	(0.675)	(0.684)	(0.756)	(0.135)
Load factor	0.13**	0.13**	0.035	0.070	-0.095
	(0.012)	(0.014)	(0.673)	(0.508)	(0.433)
Share of connecting passengers (% economy seats)	0.33***	0.33***	0.44***	0.40***	0.69***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Lufthansa monthly landings	0.00013	0.00013	-0.00042	-0.00022	-0.00097**
	(0.321)	(0.341)	(0.198)	(0.411)	(0.025)
Constant	4.57***	4.57***	4.76***	4.48***	5.28***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Including COVID	Including COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	Summer	Winter
Weighting by passengers	No	No	Yes	Yes	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes
No. observations	7,138	7,138	5,394	3,326	2,068
No. city-pair clusters	164	164	164	162	158
R-squared	.35	.35	.43	.49	.42
Adj. R-squared	.34	.34	.43	.48	.41
Average effect from 2 to 1 carrier on a route		-.079***	-.13***	-.15***	-.14***
		(.001)	(.000)	(.000)	(.000)
Average effect from 3 to 2 carriers on a route		-.037**	-.033	-.04*	-.058
		(.0284)	(.191)	(.0962)	(.216)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

3.1.2. Conclusion on the impact on prices

(49) The regression analysis allows to conclude that competition in terms of numbers of competitors plays an important role in Lufthansa's pricing on average. Further, the effects of competition are particularly important in already concentrated markets. Table 6 provides a summary of how the regression results can be interpreted for understanding the expected impact of the Transaction.

(a) A reduction in the number of competitors active on a route from two to one, such as that of a merger to monopoly, on average increases prices by [5-10]%. The robustness analysis carried out suggests this effect can range between [5-10]% to [10-20]%.

(b) A reduction in the number of competitors active on a route from three to two, such as that of a merger to a duopoly, on average increases prices by

[5-10]%[36]. The robustness analysis carried out suggests this effect can be as large as [5-10]%.

Table 6: Summary of expected impact of the Transaction

	Baseline	***Summer seasons only***	***Winter seasons only***	***Including the COVID period***	***Weighting by passenger numbers***	***Weighting by passenger numbers – Summer seasons only***	***Weighting by passenger numbers – Winter seasons only***
2 to 1	*[5-10]%****	*[10-20]%****	*[5-10]%**	*[5-10]%****	*[10-20]%****	*[10-20]%****	*[10-20]%****
3 to 2	*[0-5]%*	*[5-10]%**	*[0-5]%*	*[0-5]%***	*[0-5]%*	*[0-5]%**	*[5-10]%*

Source: Analysis of the European Commission based on data provided by the Parties.

3.2. Closeness of competition between Lufthansa and ITA

(50) The regression analysis further allows to investigate whether ITA's presence on a route in a given month affects Lufthansa's average prices, controlling for the other influencing factors. This section discusses two different alternative models to investigate this relationship:

(a) First, whether ITA's presence on a route affects Lufthansa's average prices. This model also allows to assess whether Lufthansa's average prices differs according to how many other competitors are active on the route (that is, excluding Lufthansa and ITA). If ITA were a close competitor to Lufthansa, the results would show that Lufthansa's average prices would react in response to the entry/exit of ITA on the route.

(b) Second, whether the impact of ITA's presence on a route on Lufthansa's average prices varies according to how many competitors are active on the route. This model is a refinement of the above as it allows to investigate whether the impact of ITA's presence on Lufthansa's average prices is the same when only Lufthansa and ITA are active on a route or whether one or more other competitors are also active. Whereas the previous model relies on the overall variation in competitive interactions across routes, this model focuses specifically on the variation in prices that are directly correlated with the variation of ITA's presence on a particular route.

(51) In line with the analysis presented above, competitive pressure due to competitors is measured through indicator variables for the presence of one, or two or more

[36] This needs to be taken with caution. a statistical test of the difference of two coefficients, as performed in this regression model, and its test value is a function of the coefficients and the standard error of the coefficient. Especially the standard error depends on the number of observations used for the estimation of the coefficient. If only a limited number of observations identify the specific effect of e.g. increasing the number of competitors from 2 to 3, which still reveals the correct coefficient if the model is correctly specified, the standard errors increases. A high standard error, which may result in a potentially erroneous rejection of the statistical test, only indicates that the estimation is not very precise but not necessarily wrong. The Commission acknowledges the rejection of the significance in differences between some of the coefficients but the consistent general pattern, greater negative effects with higher number of competitors, still suggests that any additional competitor is likely to be associated with lower ticket prices charged by Lufthansa.

competitors other than the Parties. ITA's presence is represented by an indicator variable equal to one if either ITA or Alitalia is present on the route in a given month, and zero otherwise. As ITA's presence is excluded from the number of other competitors, the indicator variable describing ITA's presence can be directly interpreted as to whether ITA's presence can be associated with a change in Lufthansa's prices.

3.2.1. Model 1: Closeness of competition between Lufthansa and ITA

(52) Table 7 shows the results for the first model described above according to alternative estimation samples. All specifications include ITA's presence, indicator variables corresponding to the number of operators active on the routes (excluding Lufthansa and ITA) and control variables. These also include route and operator fixed effects and time effects and controlling for additional factors which may affect prices. Specification (1) is the baseline specification of the analysis, all other specifications are sensitivities and robustness checks.

(53) Two main findings can be drawn from Table 7:

(a) ITA's presence on a route is associated with lower Lufthansa's average prices in the order of approximately [10-20]%. The robustness analysis carried out suggests that this effect can range between [10-20]% and [10-20]%.

(b) The presence of additional competitors other than Lufthansa and ITA on a route is associated with lower Lufthansa's average prices in the order of approximately [10-20]% compared to monopoly routes.

(54) The findings of the regression analysis appear robust to alternative estimation samples and to applying weights where larger routes (in terms of P2P passengers) are assigned greater weight than smaller routes. It is worth to keep in mind that the statistical significance of the results related to the number of competitors is lower as the estimation sample becomes smaller. Nevertheless, the impact of ITA's presence on Lufthansa's price is consistently negative and highly statistically significant. That is, ITA's presence is statistically associated with lower prices charged by Lufthansa, independently from the sample considered or the modelling approach chosen.

Table 7: Regression analysis - Impact on Lufthansa's prices associated with the presence of ITA/Alitalia

	(1)	(2)	(3)	(4)	(5)	(6)
ITA is present	-0.14***	-0.15***	-0.16***	-0.11**	-0.12***	-0.11***
	(0.000)	(0.000)	(0.000)	(0.043)	(0.005)	(0.001)
One additional competitor (other than ITA and Lufthansa)	-0.092***	-0.11***	-0.081**	-0.056**	-0.075***	-0.14***
	(0.001)	(0.000)	(0.033)	(0.022)	(0.001)	(0.000)
2 or more additional competitors (other than ITA and Lufthansa)	-0.099***	-0.15***	-0.050	-0.036	-0.074**	-0.14***
	(0.010)	(0.000)	(0.357)	(0.288)	(0.018)	(0.001)
Weighted CASK (in log)	0.031	0.15*	-0.075	0.15***	0.12**	-0.068
	(0.636)	(0.068)	(0.259)	(0.002)	(0.038)	(0.654)
Load factor	0.077	0.10	-0.020	-0.072	0.099*	0.037
	(0.260)	(0.262)	(0.839)	(0.233)	(0.090)	(0.651)
Share of connecting passengers (% economy seats)	0.26***	0.25***	0.46***	0.079**	0.16***	0.44***
	(0.000)	(0.000)	(0.000)	(0.022)	(0.000)	(0.000)
Lufthansa monthly landings	0.000067	0.000072	0.000024	-0.000089	0.00012	-0.00042
	(0.677)	(0.639)	(0.928)	(0.504)	(0.427)	(0.202)
Constant	4.54***	4.27***	4.77***	4.35***	4.26***	4.77***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Only ITA	Including Eurowings	Excluding COVID
Season	All	Summer	Winter	All	All	All
Weighting by passengers	No	No	No	No	No	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	5,394	3,326	2,068	3,852	6,582	5,394
No. city-pair clusters	164	162	158	190	205	164
R-squared	.34	.4	.31	.39	.31	.43
Adj. R-squared	.33	.39	.3	.38	.3	.43
Average effect of the Transaction on overlap routes	13%***	14%***	15%***	10%**	11%***	14%***
	(0.000)	(0.000)	(0.000)	(.0433)	(0.005)	(0.000)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

3.2.2. Model 2: Closeness of competition between Lufthansa and ITA, accounting for the number of competitors active on the route

(55) Table 8 shows the results for the second model described above, with results displayed according to alternative estimation samples. All specifications include the presence and the absence of ITA, interacting with the number of operators active on the routes, as well as control variables. These also include route and operator fixed effects and time effects and controlling for additional factors which may affect prices. Specification (1) is the baseline specification of the analysis, all other specifications are sensitivities and robustness checks.

(56) Two main findings can be evinced from Table 8:

(a) ITA's presence on a route is associated with lower Lufthansa's average prices in the order of approximately [10-20]-[20-30]%, according to whether other competitors are also present.

(b) The presence of additional competitors other than the Parties on a route is associated with lower Lufthansa's average prices in the order of approximately [10-20]% compared to monopoly routes.

Table 8: Regression analysis - Impact on Lufthansa's prices associated with the presence of ITA and controlling for the number of competitors active on the route

	(1)	(2)	(3)	(4)	(5)	(6)
No ITA and 1 competitor	-0.092***	-0.12***	-0.072*	-0.060**	-0.074***	-0.14***
	(0.002)	(0.000)	(0.060)	(0.022)	(0.003)	(0.000)
No ITA and 2 or more other competitors	-0.11***	-0.17***	-0.046	-0.047	-0.075**	-0.16***
	(0.009)	(0.000)	(0.423)	(0.223)	(0.023)	(0.000)
ITA present and no other competitor	-0.14***	-0.21***	0.11**	-0.14	-0.10	-0.16***
	(0.002)	(0.000)	(0.011)	(0.127)	(0.114)	(0.007)
ITA present and 1 competitor	-0.23***	-0.25***	-0.23***	-0.16***	-0.20***	-0.25***
	(0.000)	(0.000)	(0.000)	(0.010)	(0.000)	(0.000)
ITA present and 2 or more other competitors	-0.18***	-0.19***	-0.17***	-0.12*	-0.19***	-0.18***
	(0.001)	(0.007)	(0.005)	(0.081)	(0.001)	(0.005)
Weighted CASK (in log)	0.031	0.15*	-0.079	0.15***	0.12**	-0.066
	(0.635)	(0.065)	(0.233)	(0.002)	(0.039)	(0.669)
Load factor	0.077	0.11	-0.012	-0.073	0.100*	0.035
	(0.259)	(0.245)	(0.903)	(0.229)	(0.089)	(0.674)
Share of connecting passengers (% economy seats)	0.26***	0.25***	0.46***	0.078**	0.16***	0.44***
	(0.000)	(0.000)	(0.000)	(0.024)	(0.000)	(0.000)
Lufthansa monthly landings	0.000062	0.000060	-0.0000071	-0.000088	0.00012	-0.00043
	(0.697)	(0.696)	(0.978)	(0.507)	(0.430)	(0.196)
Constant	4.54***	4.27***	4.78***	4.35***	4.26***	4.77***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Only ITA	Including Eurowings	Excluding COVID
Season	All	Summer	Winter	All	All	All
Weighting by passengers	No	No	No	No	No	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	5,394	3,326	2,068	3,852	6,582	5,394
No. city-pair clusters	164	162	158	190	205	164
R-squared	.34	.4	.31	.39	.31	.43
Adj. R-squared	.33	.39	.3	.38	.3	.43
Average effect of the Transaction on 2 to 1 routes	-.13***	-.19***	.12**	-.13	-.098	-.15***
	(.002)	(.000)	(.011)	(.127)	(.114)	(.007)
Average effect of the Transaction on 3 to 2 routes	-.13***	-.12***	-.15***	-.098**	-.12***	-.10***
	(.000)	(.000)	(.000)	(.048)	(.004)	(.000)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

(57) It should be noted that in specification (3) of Table 17, regarding the Winter season in the No Covid period, the coefficient "*ITA present and no other competitor*" is positive (0.11). This is due to the fact that only one route, Munich to Rome, corresponds to this scenario of a duopoly between ITA and Lufthansa during this period. As there are no entry-exit of ITA between November 2019 and March 2023, this coefficient cannot be interpreted as a change in Lufthansa's prices but should be interpreted as a specific route effect.

(58) The findings of the regression analysis appear robust to alternative estimation samples, with the sole caveat that the statistical significance of the results related to the number of competitors is lower as the estimation sample becomes smaller. Nevertheless, the impact of ITA's presence is consistently negative and highly statistically significant, which means that ITA's presence is statistically associated with lower prices charged by Lufthansa independently from the sample considered.

3.2.3. Conclusion on closeness of competition

(59) This set of models investigating the relationship between Lufthansa's prices and ITA's presence on a route can also be used for understanding the expected impact of the Transaction.

(a) The presence of ITA/Alitalia on a route is associated with on average [10-20]% lower Lufthansa's prices, if no distinction is made on how many competitors are active on the route. The robustness analysis carried out suggests that this effect can range between [10-20]% and [10-20]%. Whereas accounting for the number of competitors active on the route indicates that the presence of ITA/Alitalia on a route is associated with on average approximately [10-20]% lower Lufthansa's prices if no other competitor is present, approximately [20-30]% lower Lufthansa's prices if another competitor is present, and approximately [10-20]% lower Lufthansa's prices if two or more other competitors are present.

(b) A reduction in the number of competitors active on a route from two to one, such as that of a merger to monopoly where the competitor disappearing is ITA, on average increases prices by [10-20]%. The robustness analysis carried out suggests this effect can be as large as [10-20]%.

(c) A reduction in the number of competitors active on a route from three to two, such as that of a merger to a duopoly where the competitor disappearing is ITA, on average increases prices by [10-20]%. The robustness analysis carried out suggests this effect can be as large as [10-20]%. Compared to a scenario with the presence of additional competitors other than the Parties, the presence of ITA on a route is systematically associated with lower Lufthansa's average prices.

(d) This effect is statistically significant and stable over different alternative specifications. As discussed above, however, that, should the analysis be carried out exclusively on winter seasons, the effect appears weaker as the variation in the data may not allow to estimate both the effect associated to the change in the number of competitors and that associated to ITA's entry.

Table 9: Summary of expected impact of the Transaction

	Baseline	***Summer seasons only***	***Winter seasons only***	***Only when ITA is active***	***Including Eurowings***	***Weighting by passengers***
2 to 1	*[10-20]%****	*[10-20]%****	*-[10-20]%***	*[10-20]%*	*[10-20]%*	*[10-20]%****
3 to 2	*[10-20]%****	*[10-20]%****	*[10-20]%****	*[10-20]%***	*[10-20]%****	*[10-20]%****

Source: Analysis of the European Commission based on data provided by the Parties.

3.3. Update of the Commission's regression analysis for short-haul routes with the latest data available

(60) On 24 April 2024, the Notifying Parties provided an updated version of the data relied upon in the Commission's regression analysis at the time of the SO, which also includes the months September 2023 until March 2024. The Commission has therefore updated its regression analysis to reflect the latest information available, following the same methodology adopted in the SO and described in this Annex.

(61) The results of the Commission's updated regression analysis with respect to short-haul routes confirm those already included in the SO. They can be found in Table 10 to Table 16.

(62) In particular, the regression analysis shows the following:

(a) Routes with a higher number of competitors have prices on average [10-20]% lower than routes where Lufthansa is a monopolist. And specifically, the first competitor is associated with Lufthansa's prices being reduced by [5-10]%, while each subsequent additional competitor is associated with a further [5-10]% reduction.

(b) The presence of Alitalia/ITA is associated with on average approximately [10-20]-[20-30]% lower than Lufthansa prices.

(63) These results imply that Lufthansa's prices are estimated to be:

(a) about [5-10]% higher on monopoly compared to duopoly routes ("2-to-1" impacts), but about [10-20]% higher where the competitor disappearing is ITA, and

(b) about [5-10]% higher on duopoly compared to three-or-more-carrier routes ("3-to-2" impacts), but about [10-20]% higher where the competitor disappearing is ITA.

Table 10: Regression analysis based on the number of competitors – Short-haul – Updated with latest data available

	(1)	(2)	(3)	(4)	(5)	(6)
No. competitors (incl. ITA/Alitalia, excl. Lufthansa)	-0.050***	-0.050***				
	(0.000)	(0.001)				
1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)			-0.054**	-0.054**	-0.080***	-0.029
			(0.028)	(0.036)	(0.005)	(0.327)
2 or more additional competitors (incl. ITA/Alitalia, excl. Lufthansa)			-0.13***	-0.12***	-0.18***	-0.075*
			(0.000)	(0.000)	(0.000)	(0.064)
Weighted CASK (in log)		0.054		0.054	0.16**	-0.030
		(0.334)		(0.342)	(0.032)	(0.573)
Load factor		0.057		0.055	0.12	-0.070
		(0.369)		(0.390)	(0.203)	(0.406)
Share of connecting passengers (% economy seats)		0.30***		0.30***	0.30***	0.50***
		(0.000)		(0.000)	(0.000)	(0.000)
Lufthansa monthly landings		0.00010		0.000097	-0.0000058	0.00014
		(0.403)		(0.433)	(0.965)	(0.399)
Constant	4.84***	4.47***	4.84***	4.47***	4.24***	4.63***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	All	Summer	Winter
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	6,396	6,396	6,396	6,396	3,601	2,795
No. city-pair clusters	166	166	166	166	162	163
R-squared	.32	.33	.32	.34	.4	.32
Adj. R-squared	.31	.33	.32	.33	.4	.31
Average effect from 2 to 1 carrier on a route			-.053**	-.052**	-.077***	-.029
			(0.028)	(0.036)	(0.005)	(0.327)
Average effect from 3 to 2 carriers on a route			-.069***	-.069***	-.091***	-.045*
			(0.001)	(0.001)	(0.000)	(0.0835)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4

Table 11: Regression analysis based on the number of competitors – Robustness checks – Updated with latest data available

	(1)	(2)	(3)	(4)	(5)
No. competitors (incl. ITA/Alitalia, excl. Lufthansa)	-0.045***				
	(0.000)				
1 additional competitor (incl. ITA/Alitalia, excl. Lufthansa)		-0.052**	-0.093***	-0.11***	-0.078**
		(0.023)	(0.001)	(0.000)	(0.024)
2 or more additional competitors (incl. ITA/Alitalia, excl. Lufthansa)		-0.11***	-0.18***	-0.22***	-0.16***
		(0.000)	(0.000)	(0.000)	(0.000)
Weighted CASK (in log)	0.0045	0.0033	0.018	0.12	-0.089
	(0.904)	(0.930)	(0.767)	(0.104)	(0.230)
Load factor	0.091*	0.091*	-0.038	0.074	-0.20**
	(0.063)	(0.063)	(0.616)	(0.486)	(0.048)
Share of connecting passengers (% economy seats)	0.37***	0.37***	0.36***	0.34***	0.55***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Lufthansa monthly landings	0.00017	0.00016	-0.000058	-0.000058	-0.00012
	(0.118)	(0.146)	(0.605)	(0.604)	(0.427)
Constant	4.52***	4.53***	4.62***	4.37***	4.91***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Including COVID	Including COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	Summer	Winter
Weighting by passengers	No	No	Yes	Yes	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes
No. observations	8,097	8,097	6,396	3,601	2,795
No. city-pair clusters	166	166	166	162	163
R-squared	.35	.36	.43	.5	.4
Adj. R-squared	.35	.35	.42	.49	.4
Average effect from 2 to 1 carrier on a route		-.051**	-.089***	-.11***	-.075**
		(0.023)	(0.001)	(0.000)	(0.024)
Average effect from 3 to 2 carriers on a route		-.056***	-.087***	-.1***	-.074***
		(0.000)	(0.000)	(0.000)	(0.001)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

Table 12: Regression analysis - Impact on Lufthansa's prices associated with the presence of ITA/Alitalia - Updated with latest data available

	(1)	(2)	(3)	(4)	(5)	(6)
ITA is present	-0.13***	-0.12***	-0.16***	-0.10	-0.13**	-0.13***
	(0.000)	(0.000)	(0.000)	(0.124)	(0.027)	(0.000)
One additional competitor (other than ITA and Lufthansa)	-0.054**	-0.078***	-0.034	-0.046**	-0.048**	-0.089***
	(0.028)	(0.004)	(0.250)	(0.022)	(0.022)	(0.001)
2 or more additional competitors (other than ITA and Lufthansa)	-0.11***	-0.17***	-0.062	-0.062**	-0.086***	-0.16***
	(0.000)	(0.000)	(0.104)	(0.016)	(0.002)	(0.000)
Weighted CASK (in log)	0.055	0.16**	-0.030	0.17***	0.14***	0.018
	(0.332)	(0.027)	(0.574)	(0.000)	(0.005)	(0.766)
Load factor	0.052	0.11	-0.072	-0.065	0.060	-0.042
	(0.412)	(0.221)	(0.390)	(0.274)	(0.277)	(0.583)
Share of connecting passengers (% economy seats)	0.30***	0.30***	0.51***	0.29***	0.32***	0.36***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Lufthansa monthly landings	0.00010	0.0000092	0.00014	-0.000070	0.00016	-0.000046
	(0.407)	(0.946)	(0.402)	(0.541)	(0.197)	(0.683)
Constant	4.47***	4.24***	4.64***	4.21***	4.16***	4.61***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Only ITA	Including Eurowings	Excluding COVID
Season	All	Summer	Winter	All	All	All
Weighting by passengers	No	No	No	No	No	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	6,396	3,601	2,795	5,103	7,786	6,396
No. city-pair clusters	166	162	163	193	208	166
R-squared	.34	.4	.32	.35	.31	.42
Adj. R-squared	.33	.39	.31	.34	.31	.42
Average effect of the Transaction on overlap routes	12%***	11%***	15%***	10%**	12%**	12***
	(0.000)	(0.000)	(0.000)	(.0433)	(0.027)	(0.000)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

Table 13: Regression analysis - Impact on Lufthansa's prices associated with the presence of ITA and controlling for the number of competitors active on the route – Updated with latest data available

	(1)	(2)	(3)	(4)	(5)	(6)
No ITA and 1 competitor	-0.054**	-0.080***	-0.030	-0.050**	-0.048**	-0.093***
	(0.036)	(0.005)	(0.319)	(0.018)	(0.029)	(0.001)
No ITA and 2 or more other competitors	-0.12***	-0.18***	-0.066	-0.073**	-0.096***	-0.18***
	(0.000)	(0.000)	(0.111)	(0.014)	(0.001)	(0.000)
ITA present and no other competitor	-0.13***	-0.16***	-0.028	-0.14*	-0.15*	-0.16***
	(0.000)	(0.001)	(0.560)	(0.091)	(0.087)	(0.000)
ITA present and 1 competitor	-0.20***	-0.21***	-0.19***	-0.14*	-0.20***	-0.23***
	(0.000)	(0.000)	(0.000)	(0.054)	(0.001)	(0.000)
ITA present and 2 or more other competitors	-0.20***	-0.21***	-0.17*	-0.15**	-0.18***	-0.22***
	(0.000)	(0.000)	(0.051)	(0.040)	(0.001)	(0.000)
Weighted CASK (in log)	0.053	0.16**	-0.032	0.17***	0.14***	0.017
	(0.346)	(0.032)	(0.559)	(0.000)	(0.006)	(0.778)
Load factor	0.054	0.12	-0.069	-0.065	0.062	-0.039
	(0.397)	(0.201)	(0.409)	(0.278)	(0.262)	(0.612)
Share of connecting passengers (% economy seats)	0.30***	0.29***	0.51***	0.29***	0.32***	0.36***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Lufthansa monthly landings	0.00010	-0.0000023	0.00014	-0.000072	0.00015	-0.000052
	(0.416)	(0.986)	(0.400)	(0.529)	(0.206)	(0.649)
Constant	4.48***	4.25***	4.64***	4.21***	4.16***	4.62***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Only ITA	Including Eurowings	Excluding COVID
Season	All	Summer	Winter	All	All	All
Weighting by passengers	No	No	No	No	No	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	6,396	3,601	2,795	5,103	7,786	6,396
No. city-pair clusters	166	162	163	193	208	166
R-squared	.34	.4	.32	.35	.31	.43
Adj. R-squared	.33	.4	.31	.34	.31	.42
Average effect of the Transaction on 2 to 1 routes	-.12***	-.15***	-.028	-.13*	-.14*	-.15***
	(0.000)	(0.001)	(0.56)	(0.091)	(0.087)	(0.000)
Average effect of the Transaction on 3 to 2 routes	-.13***	-.12***	-.15***	-.089	-.14**	-.13***
	(0.000)	(0.000)	(0.000)	(0.165)	(0.007)	(0.000)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

3.3.1. Conclusion on the impact on prices for the relationship between Lufthansa's prices and the number of competitors

(64) Also the updated regression analysis allows to conclude that competition in terms of numbers of competitors plays an important role in Lufthansa's pricing on average, and that the effects of competition are particularly important in already concentrated markets. Table 14 provides a summary of how the regression results can be interpreted for understanding the expected impact of the Transaction.

(a) A reduction in the number of competitors active on a route from two to one, such as that of a merger to monopoly, on average increases prices by [5-10]%. The robustness analysis carried out suggests this effect can range between [0-5]% to [10-20]%.

(b) A reduction in the number of competitors active on a route from three to two, such as that of a merger to a duopoly, on average increases prices by [5-10]%[37]. The robustness analysis carried out suggests this effect can be as large as [10-20]%.

Table 14: Summary of expected impact of the Transaction

	Baseline	***Summer seasons only***	***Winter seasons only***	***Only when ITA is active***	***Including Eurowings***	***Weighting by passengers***
2 to 1	*[5-10]%***	*[5-10]%****	*[0-5]%*	*[5-10]%***	*[5-10]%****	*[10-20]%****
3 to 2	*[5-10]%****	*[5-10]%****	*[5-10]%***	*[5-10]%****	*[5-10]%****	*[10-20]%****

Source: Analysis of the European Commission based on data provided by the Parties.

3.3.2. Conclusion on the impact on prices in relation of closeness of competition between Lufthansa and ITA

(65) Similarly, as summarised in Table 15, the updated regression analysis confirms that a reduction in the number of competitors active on a route from two to one, such as that of a merger to monopoly where the competitor disappearing is ITA, on average increases prices by [10-20]%. The robustness analysis carried out suggests this effect can be as large as [10-20]%.

Table 15: Summary of expected impact of the Transaction

	Baseline	***Summer seasons only***	***Winter seasons only***	***Only when ITA is active***	***Including Eurowings***	***Weighting by passengers***
2 to 1	*[10-20]%****	*[10-20]%****	*[0-5]%*	*[10-20]%**	*[10-20]%**	*[10-20]%****
3 to 2	*[10-20]%****	*[10-20]%****	*[10-20]%****	*[5-10]%*	*[10-20]%****	*[10-20]%****

Source: Analysis of the European Commission based on data provided by the Parties.

3.4. Conclusion on the short-haul regressions

(66) The Commission relied on a fixed effects regression to assess the relationship between the competitive landscape and Lufthansa's prices, and the results clearly indicate that increased competition on a route is associated with lower average prices.

---

37 This needs to be taken with caution. a statistical test of the difference of two coefficients, as performed in this regression model, and its test value is a function of the coefficients and the standard error of the coefficient. Especially the standard error depends on the number of observations used for the estimation of the coefficient. If only a limited number of observations identify the specific effect of e.g. increasing the number of competitors from 2 to 3, which still reveals the correct coefficient if the model is correctly specified, the standard errors increases. A high standard error, which may result in a potentially erroneous rejection of the statistical test, only indicates that the estimation is not very precise but not necessarily wrong. The Commission acknowledges the rejection of the significance in differences between some of the coefficients but the consistent general pattern, greater negative effects with higher number of competitors, still suggests that any additional competitor is likely to be associated with lower ticket prices charged by Lufthansa.

(67) More specifically, the results of the regression analysis indicate that:

(a) Routes with a higher number of competitors have prices approximately [10-20]% lower than routes where Lufthansa is a monopolist.

(b) Specifically, the first competitor reduces prices by [5-10]-[5-10]%, while each subsequent additional competitor reduces prices by an additional [0-5]-[5-10] percentage points.

(68) The Commission's fixed effects regression also allows to assess the relationship between ITA's presence and Lufthansa's prices, and the results of the regression analysis indicate that the presence of Alitalia/ITA is associated with on average [10-20]% lower Lufthansa's prices.

(69) Lastly, the regression analysis also allows to estimate the predicted impact of the Transaction:

(a) Average prices are estimated to be about [5-10]-[5-10]% higher on 2-to-1 routes, and specifically [10-20]% higher where the competitor disappearing is ITA, and

(b) Average prices are estimated to be about [5-10]-[5-10]% higher on 3-to-2 routes, and specifically [10-20]% higher where the competitor disappearing is ITA.

3.5. Assessment of the Parties' price analysis on closeness of competition

(70) In their Response to the 6(1)c Decision, the Parties submitted a descriptive analysis based on three sets of two charts showing the relationship between price and number of competitors (Figures 3-4), the relationship between price and distance (Figures 5-6), and the relationship between price and ITA/Ryanair's share of seats (Figures 7-8). In each set the Parties highlight first routes where Ryanair is active and then routes where ITA is active.

(71) The Parties claim[38] that this analysis shows that:

(a) Ryanair exerts significant competitive pressure on Lufthansa and Lufthansa's average revenues per P2P passengers on routes where Ryanair is present; and that

(b) ITA does not exert the same competitive pressure on routes where ITA competes with Lufthansa.

(72) Later in the proceedings, the Parties also presented a supplementary cross-sectional[39] regression analysis where they used statistical techniques to assess whether these price differences reported in their Response to the 6(1)c Decision were statistically different from zero.[40]

(a) First, studying the relationship between price and competition in airline markets through descriptive analyses like scatterplots[41] or cross-sectional regression analyses alone fundamentally ignore business and market dynamics.

---

38 The Parties' Response to the 6.1.c Decision, paragraph 46 to 57.

39 Cross-sectional analysis refers to a data analysis based on observations from a set of routes in only one (and the same) time period.

40 Supplementary regression analysis named "ppt - Closeness of competition - 060324 - Final" submitted on 7 March 2024. The underlying files necessary to run the analysis were submitted on 8 March 2024.

41 Scatterplots refer to the type of charts used by the parties, where each city-pair route's price is represented by a dot in a two-dimensional plane.

In particular, the analyses submitted by the Parties ignore differences across city-pairs, and implicitly assume that all city-pairs are the same. Against this background, significant heterogeneity across different city-pair routes exists in reality, including variations in demand, airport infrastructure, regulatory environments, and competitive conditions.

(b) Second, drawing a link between prices across routes and competitors' presence on that route ignoring differences across city-pair routes is equivalent to assuming that carriers decide to enter a certain city-pair for reasons unrelated to demand and supply factors specific to the city pair itself. In essence, comparing prices across city-pair routes without accounting for the variations in demand and supply factors among the different city pairs is equivalent to suggesting that Ryanair, ITA, and other competitors make decisions to enter specific routes entirely at random, disregarding any economic considerations underpinning their strategic choices.

(c) Third, such descriptive analyses are inconsistent with established best practices in economics and econometrics. Scatterplots and cross-sectional analyses that treat all markets homogeneously oversimplify the pricing and competition dynamics. As described in Section 2, panel data, that is, several routes observed over time, as opposed to a single cross-section of routes in one time period, is more suitable to identify competition effects. This is because in a panel data context the entry and exit events of various carriers provide valuable information on the impact of competition. This information is ignored by the cross-sectional analysis. Moreover, as explained above, fixed-effect methods in a panel data context provide a tool to account for heterogeneity across routes that is not possible with cross-sectional data. In particular, standard fixed-effect econometric models, by controlling for city-pair fixed effects and other unobserved factors, explicitly account for heterogeneity across markets, and help isolate the impact of changes in the number of competitors on prices while holding constant other influences specific to each route.

(d) Fourth, descriptive analyses or cross-sectional regression analyses that examine snapshots of data at a single point in time may overlook temporal trends and fail to capture the dynamic nature of competition and pricing behaviour. This is true even if a month like April 2023 or October 2022 is chosen:[42] Prices and the number of competitors on city pairs fluctuate over time due to various exogenous shocks, seasonal patterns, and market dynamics. Ignoring this source of variation may lead to statistically biased and inconsistent results. On the other hand, as explained above, standard panel data analysis combined with fixed-effect methods provide a reliable framework to account for temporal dynamics and trends.

(e) Fifth, in any event, and notwithstanding the severe limitations of the analysis, the results of the Parties' cross-sectional regression analysis indicate that in addition to Ryanair other competitors also exercise a significant price constraint on Lufthansa. The Parties' cross-sectional regression analysis predicts that Lufthansa's prices on its routes on average are [10-20]% lower if it faces competition from an airline career other than Ryanair, including ITA, and [30-40]% lower if it faces competition from Ryanair. Even taken at face value, it is questionable how these results of the Parties' cross-sectional

42 Response to the 6(1)(c) decision, footnote 53.

regression analysis would help alleviating the preliminary competition concerns stemming from the Transaction that the Commission identified (and detailed in the Statement of Objections); if anything, the Parties' cross-sectional regression analysis supports the Commission's preliminary finding that the Transaction would significantly impede effective competition on several routes, even when the presence of Ryanair is taken into account.

(73) Table 16 below shows how the Commission would assess the relationship between Lufthansa's average prices and the presence of Ryanair on a route. This table illustrates the limitations of non-standard analysis.

(a) Specification (1) presents a regression analysis that mirrors closely the Parties' scatterplots and cross-sectional regression analysis:[43] Lufthansa's average prices are regressed against only two variables, namely, indicator variables signalling whether Ryanair and/or ITA are active in a city pair. Only data for April 2023 is included. That is, the data is a single cross-section of routes. This model ignores all differences in supply and demand factors across city pairs and over time. That is, apart from the indicator variables no other control variables are used in the regression.

(b) Specification (2) includes all the other months where data is available (excluding the COVID period) and, more importantly, includes city-pair and month indicator variables (fixed-effects). This specification is a fixed effect regression as discussed in Section 2.2 above.

(c) Specification (3) and (4) are further refinements of (2) where respectively are also included: (i) indicator variables for all other competitors active on the city pair as well as both these indicator variables and covariates to account for demand and supply factors that vary over time within a city pair.

(74) Two main findings can be evinced from Table 16:

(a) The Parties' statement that Lufthansa's average prices are lower on routes where Ryanair is active almost entirely stems from a biased and erroneous modelling where differences among city pairs are not accounted for. Specification (1) in Table 16 shows that Lufthansa's prices are on average approximately [30-40]% lower on routes where Ryanair is active while Lufthansa's prices are on average not statistically different in city pairs where ITA is active. However, as illustrated by the subsequent specifications in the table, these findings are due to comparing different city pairs while disregarding any difference in demand and supply factors.

(b) Once differences across city pairs are accounted for via the fixed effects methodology, in Specifications (2), (3) and (4), the picture drawn above changes dramatically: Ryanair's presence on a route is associated with lower Lufthansa's average prices in the order of approximately [10-20]-[10-20]%, whereas ITA's presence is associated with even lower Lufthansa's average prices, in the order of approximately [10-20]-[10-20]%.

[43] The Commission developed its own analysis that closely mirrors the Parties' analysis for this exercise in order to provide a full comparison between the Parties' methodology and the Commission's methodology.

Table 16: Regression analysis - Impact on Lufthansa's prices associated with the presence of ITA and Ryanair

	(1)	(2)	(3)	(4)
ITA is present	0.034	-0.13***	-0.14***	-0.15***
	(0.620)	(0.000)	(0.000)	(0.000)
Ryanair is present	-0.31***	-0.095**	-0.10**	-0.11**
	(0.000)	(0.045)	(0.028)	(0.014)
EasyJet is present			-0.12**	-0.12**
			(0.032)	(0.025)
Wizz Air is present			-0.027	-0.023
			(0.477)	(0.530)
One additional competitor other than Lufthansa, ITA and LCCs			-0.025	-0.023
			(0.372)	(0.403)
2 or more additional competitors other than Lufthansa, ITA and LCCs			-0.0064	-0.0029
			(0.897)	(0.956)
Weighted CASK (in log)				0.032
				(0.637)
Load factor				0.071
				(0.303)
Share of connecting passengers (% economy seats)				0.27***
				(0.000)
Lufthansa monthly landings				0.000062
				(0.703)
Constant	4.93***	5.03***	5.04***	4.68***
	(0.000)	(0.000)	(0.000)	(0.000)
Sample	April 2023	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	All
Weighting by passengers	No	Yes	Yes	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes
No. observations	181	5,394	5,394	5,394
No. city-pair clusters	181	164	164	164
R-squared	.17	.79	.79	.79
Adj. R-squared	.16	.78	.78	.79

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

(75) The impact of ITA's presence is consistently negative and highly statistically significant, which means that ITA's presence is statistically associated with lower prices charged by Lufthansa.[44] The impact of Ryanair's presence is also consistently negative and statistically significant. However, estimated impact of Ryanair's presence is both smaller in magnitude less statistically significant than the effect associated with ITA's presence. This means that it is not necessarily the case that

[44] As for the previous models, the findings of the regression analysis appear robust to alternative estimation samples, but statistical significance becomes generally lower as the estimation sample becomes smaller and smaller.

Ryanair competes more closely with Lufthansa than ITA as argued by the Parties in their Response to the 6(1)c Decision. If anything, possibly the opposite is true.

(76) In their response to the SO, the Notifying Parties further followed up on this argument by relying on the Commission's methodology as per Section 3.2.2 to investigate the impact of Ryanair's entry on Lufthansa's prices.[45] The Commission acknowledges that this approach is a significantly better way to assess the relationship between Lufthansa's prices and Ryanair's entry than what the Notifying Parties has previously considered. However, the Commission also notes the following.

(a) Such analysis is ultimately of little relevance for the Transaction for the very simple fact that the Transaction can entail a loss of competition between Lufthansa and ITA, which would be operated jointly post-merger, and not between Lufthansa and Ryanair, which will continue to compete. Should Lufthansa consider a merger with Ryanair, then indeed the Notifying Parties' analysis represented an appropriate way to investigate its impact.

(b) The Parties' conclusions that "*Ryanair has a stronger impact on Lufthansa's prices than a generic first competitor*" and that "*If Ryanair is present, the next competitor has almost no further effect on Lufthansa's prices*" disregards that these results are not particularly relevant to the affected routes. In fact, as flagged during the Oral Hearing, ITA is rarely present on the routes underlying the Parties' analysis, and even a competitor like TUI is more frequently present than ITA. In contrast, the Commission's approach focuses directly on ITA's impact on the routes of concern, and finds that ITA competitively constrains LH, and irrespectively from the presence of Ryanair.

4. REGRESSION ANALYSIS – LONG HAUL

(77) This Section describes the results of the regression analysis for non-stop long-haul routes, as well as long-haul routes taking into account indirect competitors.

4.1. Description of the regressions analysis for non-stop routes

(78) The regression analysis described in this section mirrors the one carried out for short-haul routes in Section 3.1. That is, the analysis investigates the relationship between the general competitive landscape in terms of number of competitors on a route in a given month and Lufthansa's prices. This analysis indicates whether on average additional competitors are associated with lower ticket prices charged by Lufthansa, while controlling for other influencing factors.

(79) The question of closeness of competition between Lufthansa and ITA on long-haul routes cannot be answered via the same approach as adopted in Section 3.2 for short-haul routes. This is because data on Lufthansa's JV partners has not been made available to the Commission, and non-stop overlaps between the Parties arise only between ITA and Lufthansa's JV partner, United. Therefore, regression analysis for non-stop long-haul routes can only investigate whether Lufthansa's prices react to changes in the number of competitors active on these routes.

(80) As above, each column is an alternative specification to investigate the effect of competitive pressure on Lufthansa's average prices. Specifications (1) and (2) measure the average effect of an additional competitor regardless of the number of

[45] See Response to the SO, Annex I, section 5.2.

competitors already on the route (other than Lufthansa, its subsidiaries, or JV partners), while specifications (3) to (6) measure competitive pressure via indicator variables corresponding to the number of operators active on the routes. These latter specifications allow the effect of an additional competitor to vary depending on whether the competitor is the first or the second on the route.

(81) All specifications include route and operator fixed effects and time effects. Specifications (1) and (3) do not include any additional control variables, and thus allow to understand how the choice of control variables for demand and supply factors may affect the results. Specifications (1) to (4) are estimated on the full sample of data, excluding the COVID period, while specifications (5) and (6) are estimated respectively on the sample of only IATA summer seasons and IATA winter seasons.

(82) The regression analysis is exclusively estimated on non-stop routes between North America and Europe, where Europe includes Lufthansa's hubs and a few other airports from which Lufthansa has flown non-stop connections between 2019 and 2023 like Geneva and Düsseldorf. All other routes to Asia, South America, Africa, and Israel are excluded. This is for the following reasons:

(a) Focusing just on routes between North America and Europe allows to consider a relatively large sample of data, corresponding to about 80% of all passengers, while at the same time to rely on a relatively homogenous set of routes. Pooling all routes worldwide may risk not to account adequately for opposing seasonality patterns. For example, the effects of seasonality on flights from North America to Europe can differ from flights from Europe to Asia.

(b) The non-stop long-haul routes where overlaps exist between ITA and United are also routes between North America and Europe, and therefore these results are also economically relevant for the assessment of the Transaction. This economic relevance is valid even if ITA is not directly present on any of the sample routes nor are the overlapping city pairs part of the estimation sample.

(83) Table 17 shows the baseline regression analysis while Table 18 shows a series of robustness checks. As above, each column is an alternative specification to investigate the effect of competitive pressure on Lufthansa's average prices. Specifications (1) and (2) measure the average effect of an additional competitor regardless of the number of competitors already on the route (other than Lufthansa, its subsidiaries, or JV partners), while specifications (3) to (6) measure competitive pressure via indicator variables corresponding to the number of operators active on the routes. These latter specifications allow the effect of an additional competitor to vary depending on whether the competitor is the first or the second on the route.

(84) All specifications include route and operator fixed effects and time effects. Specifications (1) and (3) do not include any additional control variables, and thus allow to understand how the choice of control variables for demand and supply factors may affect the results. Specifications (1) to (4) are estimated on the full sample of data, excluding the COVID period, while specifications (5) and (6) are estimated respectively on the sample of only IATA summer seasons and IATA winter seasons.

(85) The regression analysis is exclusively estimated on non-stop routes between North America and Europe, where Europe includes Lufthansa's hubs and a few other airports from which Lufthansa has flown non-stop connections between 2019 and

2023 like Geneva and Düsseldorf. All other routes to Asia, South America, Africa, and Israel are excluded. This is for the following reasons:

(a) Focusing just on routes between North America and Europe allows to consider a relatively large sample of data, corresponding to about 80% of all passengers, while at the same time to rely on a relatively homogenous set of routes. Pooling all routes worldwide may risk not to account adequately for opposing seasonality patterns. For example, the effects of seasonality on flights from North America to Europe can differ from flights from Europe to Asia.

(b) The non-stop long-haul routes where overlaps exist between ITA and United are also routes between North America and Europe, and therefore these results are also economically relevant for the assessment of the Transaction. This economic relevance is valid even if ITA is not directly present on any of the sample routes nor are the overlapping city pairs part of the estimation sample.

Table 17: Regression analysis based on the number of competitors – Non-stop long-haul

	(1)	(2)	(3)	(4)	(5)	(6)
No. competitors (incl. ITA, excl. Lufthansa and JV partners)	-0.077**	-0.076**				
	(0.027)	(0.022)				
1 additional competitor (incl. ITA, excl. Lufthansa and JV partners)			-0.068*	-0.069*	-0.077*	0.010
			(0.078)	(0.064)	(0.055)	(0.847)
2 or more additional competitors (incl. ITA, excl. Lufthansa and JV partners)			-0.23***	-0.21***	-0.16***	
			(0.000)	(0.000)	(0.000)	
Weighted CASK (in log)		0.35***		0.35***	0.38***	0.20*
		(0.000)		(0.000)	(0.000)	(0.068)
Load factor		-0.059		-0.058	-0.064	-0.034
		(0.266)		(0.279)	(0.317)	(0.657)
Share of connecting passengers (% economy seats)		0.16		0.16	0.20*	0.059
		(0.112)		(0.111)	(0.084)	(0.637)
Lufthansa monthly landings		-0.00030		-0.00028	-0.00024	-0.0020***
		(0.264)		(0.291)	(0.526)	(0.002)
Constant	5.84***	5.31***	5.84***	5.31***	5.26***	5.67***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	All	Summer	Winter
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	1,596	1,596	1,596	1,596	1,015	581
No. city-pair clusters	53	53	53	53	53	51
R-squared	.71	.73	.71	.73	.76	.59
Adj. R-squared	.71	.72	.71	.72	.76	.58
Average effect of the Transaction on 2 to 1 routes			-.066**	-.067**	-.074**	.01
			(0.078)	(0.064)	(0.055)	(0.847)
Average effect of the Transaction on 3 to 2 routes			-.15***	-.13***	-.078***	
			(0.000)	(0.000)	(0.005)	

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

(86) Specification (4) is the baseline specification of the analysis, all other specifications are sensitivities and robustness checks. In all these specifications, however, the estimated coefficients capturing competition are statistically significant, and sizeable in magnitude. The results imply that more competition results in lower prices.

(87) In detail, the results of specifications (1) and (2) in Table 17 imply that, on average, a competitor's entry on a route decreases Lufthansa's prices by approximately [5-10]%. These specifications assume a linear relationship between price effect and the number of competitors, and thus suggest that Lufthansa's prices relative to a monopoly are about [5-10]% lower on a duopoly route and about [10-20]% lower on a route with two competitors.

(88) The results of specifications (3) and (4) can instead be interpreted as follows: Compared to a situation where Lufthansa is a monopolist on the route,

(a) Lufthansa's prices are on average [5-10]% lower if there is one additional competitor, and

(b) Lufthansa's prices are on average [20-30]% lower if there are two or more additional competitors, and in particular this means that one additional competitor beyond the first competitor drive average prices down by an additional [10-20] percentage points.

(89) Specifications (5) and (6) show how these effects vary should across the IATA summer and winter seasons separately. These specifications suggest that the findings of the model are stronger for summer than for winter:

(a) In summer, Lufthansa's average prices are approximately 8% lower if there is one additional competitor and approximately 16% lower if there are two or more additional competitors. This effect is statistically different from zero.

(b) In winter, the effect of an additional competitor is not statistically different from zero and it is not possible to estimate the effect of two or more competitors on prices as there are not enough entry or exit events to analyse.

(90) It is worth to keep in mind, however, that as these two subsamples include fewer observations than the overall sample, the precision of these estimates is lower. For instance, the number of observations of the IATA summer seasons sample is about 64% of the number of observations of the overall sample, and consequently that of the IATA winter seasons is about 37% of the overall sample.

(91) Table 18 shows three types of robustness checks: (i) an estimation sample including also the COVID period (specification 1); (ii) an estimation sample including only data where the matching between Lufthansa fare data and IATA data was perfect overall the whole period (specification 2);[46] and (iii) weighted regressions giving larger routes (in terms of passengers) a greater weight than smaller routes (specifications 3 to 5). Table 18 confirms that the findings of the regression analysis are robust not only to alternative model specifications, but also to alternative estimation samples and alternative modelling techniques.

[46] This sample exclusively includes city pairs for which comprehensive data is available, that is, complete information on (i) Lufthansa prices, (ii) the number of competitors, and (iii) other relevant control variables, throughout the entire timeframe under consideration.

Table 18: Regression analysis based on the number of competitors – Non-stop long-haul - Robustness checks

	(1)	(2)	(3)	(4)	(5)
1 additional competitor (incl. ITA, excl. Lufthansa and JV partners)	-0.072**	-0.069*	-0.088**	-0.077**	-0.024
	(0.013)	(0.064)	(0.020)	(0.031)	(0.653)
2 or more additional competitors (incl. ITA, excl. Lufthansa and JV partners)	-0.18***	-0.21***	-0.22***	-0.15***	
	(0.000)	(0.000)	(0.000)	(0.000)	
Weighted CASK (in log)	0.23***	0.35***	0.34***	0.38***	0.18
	(0.001)	(0.000)	(0.000)	(0.000)	(0.213)
Load factor	-0.12**	-0.058	-0.14	-0.14*	-0.076
	(0.029)	(0.279)	(0.121)	(0.065)	(0.535)
Share of connecting passengers (% economy seats)	0.16*	0.16	0.21*	0.30***	0.14
	(0.050)	(0.111)	(0.082)	(0.002)	(0.406)
Lufthansa monthly landings	-0.00048**	-0.00028	-0.00037	-0.00072**	-0.0020***
	(0.042)	(0.291)	(0.204)	(0.031)	(0.003)
Constant	5.55***	5.31***	5.33***	5.30***	5.67***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Including COVID	Complete Data - Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	Summer	Winter
Weighting by passengers	No	No	Yes	Yes	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes
No. observations	1,979	1,596	1,596	1,015	581
No. city-pair clusters	53	53	53	53	51
R-squared	.7	.73	.77	.81	.68
Adj. R-squared	.68	.72	.77	.8	.67
Average effect of the Transaction on 2 to 1 routes	-.069**	-.067**	-.084**	-.074**	-.024
	(0.014)	(0.064)	(0.020)	(0.031)	(0.653)
Average effect of the Transaction on 3 to 2 routes	-.10***	-.13***	-.12***	-.067***	
	(0.000)	(0.000)	(0.000)	(0.001)	

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

4.2. Additional evidence to account for the constraint exerted by indirect competitors.

(92) According to Paragraphs 79 to 82 of the Notifying Parties' response to the SO, the Commission's regression analysis on long haul routes is inconsistent with its market definition as '*the Commission implicitly assumes [in its regression analysis] that competition in the market is only driven by direct flights and that indirect flights do not exert any competitive pressure on Lufthansa*.'

(93) As already indicated in paragraph 75 of the Annex I to the SO, the Commission notes that the regression analysis on long haul routes focuses exclusively on direct flights because the Notifying Parties themselves did not make available any data on Lufthansa's JV partners. The Commission underlines, however, that the analysis is indeed relevant to assess the impact from increased competition derived from indirect flights on Lufthansa's prices on non-stop flights. As discussed in

Sections 6.6 and 10.1.5 of the SO, indirect flights are perceived as better alternatives to direct connections the more limited the direct connections are, therefore the effect on Lufthansa's prices on non-stop flights associated to a greater number of indirect competitors also depends on the number of non-stop competitors already present on the route. If indirect competitors were already constraining Lufthansa's prices on non-stop flights, then the regression analysis would have not identified any effect on Lufthansa's prices from non-stop carriers. With respect to the second element of the Notifying Parties' critique, the Commission updated its own regressions analysis on long haul routes to account for the constraint exerted by indirect competitors. This update is discussed in the following paragraphs, and the results of the Commission's regression analysis are included in Annex II to this letter.

(94) The Commission followed the same methodology adopted in the SO and included in the following regression analysis both a measure of how many non-stop carriers are active on the city-pair routes and a measure of how many indirect carriers are active on those routes. Table 19 shows the baseline regression analysis while Table 20 shows a series of robustness checks. The specifications are identical to the ones detailed above regarding non-stop routes.

(95) With respect to the effect on Lufthansa's prices associated to the number of non-stop competitors, the results of this updated regression analysis confirm those included in the SO. In particular:

(a) Lufthansa's prices are on average [5-10]% lower if there is one additional competitor, and

(b) Lufthansa's prices are on average [20-30]% lower if there are two or more additional competitors. This means that one additional competitor beyond the first competitor drive average prices down by an additional [10-20] percentage points.

(96) With respect to the effect on Lufthansa's prices associated to the number of indirect competitors:

(a) One additional indirect competitor decreases prices by about [0-5]%. ([47])

(b) Two or more additional indirect competitors decreases prices by about [5-10]% compared to monopoly, which means an additional indirect competitor beyond the first one is associated with Lufthansa's prices being about approximately [5-10] percentage points lower.

([47]) This effect is not statistically significant at 10% once the COVID period is included in the analysis.

Table 19: Regression analysis based on the number of competitors – Long haul – Non-stop & indirect

	(1)	(2)	(3)	(4)	(5)	(6)
No. competitors (incl. ITA, excl. Lufthansa and JV partners)	-0.078**	-0.077**				
	(0.025)	(0.021)				
1 additional competitor (incl. ITA, excl. Lufthansa and JV partners)			-0.069*	-0.070*	-0.077*	0.010
			(0.074)	(0.062)	(0.054)	(0.848)
2 or more additional competitors (incl. ITA, excl. Lufthansa and JV partners)			-0.24***	-0.22***	-0.16***	
			(0.000)	(0.000)	(0.000)	
No. INDIRECT competitors (incl. ITA/Alitalia, excl. Star Alliance)	-0.059***	-0.049***				
	(0.000)	(0.000)				
1 additional INDIRECT competitor (incl. ITA/Alitalia, excl. Star Alliance)			-0.052***	-0.039***	-0.069***	-0.00079
			(0.000)	(0.004)	(0.007)	(0.953)
2 or more additional INDIRECT competitors (incl. ITA/Alitalia, excl. Star Alliance)			-0.11***	-0.092***	-0.12***	-0.068***
			(0.000)	(0.000)	(0.000)	(0.001)
Weighted CASK (in log)		0.34***		0.34***	0.37***	0.20*
		(0.000)		(0.000)	(0.000)	(0.070)
Load factor		-0.052		-0.051	-0.064	-0.013
		(0.333)		(0.347)	(0.321)	(0.862)
Share of connecting passengers (% economy seats)		0.16		0.16	0.19*	0.040
		(0.129)		(0.128)	(0.085)	(0.749)
Lufthansa monthly landings		-0.00033		-0.00032	-0.00025	-0.0020***
		(0.214)		(0.237)	(0.502)	(0.002)
Constant	5.95***	5.42***	5.95***	5.42***	5.40***	5.74***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	All	Summer	Winter
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes	Yes
No. observations	1,596	1,596	1,596	1,596	1,015	581
No. city-pair clusters	53	53	53	53	53	51
R-squared	.72	.73	.72	.73	.76	.6
Adj. R-squared	.71	.73	.71	.73	.76	.58
Average effect of the Transaction on 2 to 1 routes			-.067*	-.068*	-.074*	.01
			(0.074)	(0.062)	(0.054)	(0.848)
Average effect of the Transaction on 3 to 2 routes			-.15***	-.14***	-.08***	-.01
			(0.000)	(0.000)	(0.005)	(0.848)

(97) These results also indicate that indirect competitors exert a competitive constraint on non-stop operators on long haul routes, but also suggest that the constraint exerted by non-stop operators on other non-stop operators is likely greater than the one exerted by indirect competitors.

Table 20: Regression analysis based on the number of competitors – Long haul – Non-stop & indirect

	(1)	(2)	(3)	(4)	(5)
1 additional competitor (incl. ITA, excl. Lufthansa and JV partners)	-0.072**	-0.070*	-0.089**	-0.077**	-0.025
	(0.015)	(0.062)	(0.020)	(0.031)	(0.647)
2 or more additional competitors (incl. ITA, excl. Lufthansa and JV partners)	-0.18***	-0.22***	-0.22***	-0.15***	
	(0.000)	(0.000)	(0.000)	(0.000)	
1 additional INDIRECT competitor (incl. ITA/Alitalia, excl. Star Alliance)	-0.0073	-0.039***	-0.039***	-0.090***	0.0091
	(0.740)	(0.004)	(0.002)	(0.000)	(0.491)
2 or more additional INDIRECT competitors (incl. ITA/Alitalia, excl. Star Alliance)	0.00037	-0.092***	-0.082***	-0.13***	-0.040*
	(0.989)	(0.000)	(0.000)	(0.000)	(0.070)
Weighted CASK (in log)	0.23***	0.34***	0.34***	0.37***	0.18
	(0.001)	(0.000)	(0.000)	(0.000)	(0.218)
Load factor	-0.12**	-0.051	-0.14	-0.14*	-0.069
	(0.031)	(0.347)	(0.132)	(0.063)	(0.576)
Share of connecting passengers (% economy seats)	0.15*	0.16	0.21*	0.30***	0.13
	(0.054)	(0.128)	(0.088)	(0.002)	(0.418)
Lufthansa monthly landings	-0.00048**	-0.00032	-0.00039	-0.00074**	-0.0020***
	(0.044)	(0.237)	(0.182)	(0.029)	(0.003)
Constant	5.55***	5.42***	5.43***	5.44***	5.71***
	(0.000)	(0.000)	(0.000)	(0.000)	(0.000)
Sample	Including COVID	Complete Data – Excluding COVID	Excluding COVID	Excluding COVID	Excluding COVID
Season	All	All	All	Summer	Winter
Weighting by passengers	No	No	Yes	Yes	Yes
City-pair fixed effects	Yes	Yes	Yes	Yes	Yes
Month dummy variables	Yes	Yes	Yes	Yes	Yes
No. observations	1,979	1,596	1,596	1,015	581
No. city-pair clusters	53	53	53	53	51
R-squared	.7	.73	.78	.81	.68
Adj. R-squared	.68	.73	.77	.8	.67
Average effect of the Transaction on 2 to 1 routes	-.069**	-.068*	-.085**	-.074**	-.025
	(0.015)	(0.062)	(0.020)	(0.031)	(0.647)
Average effect of the Transaction on 3 to 2 routes	-.1***	-.14***	-.12***	-.068***	.025
	(0.000)	(0.000)	(0.000)	(0.001)	(0.647)

Source: Analysis of the European Commission based on data provided by the Parties. Notes: See notes underlying Table 4.

4.3. Conclusion on the impact on prices

(98) The regression analysis allows to conclude that competition in terms of numbers of competitors play an important role in Lufthansa's pricing on average. Further, the effects of competition are particularly important in already concentrated markets. Table 21 provides a summary of how the regression results can be interpreted for understanding the expected impact of the Transaction.

(a) A reduction in the number of competitors active on a route from two to one, such as that of a merger to monopoly, on average increases prices by [5-10]%.

The robustness analysis carried out suggests that this effect can range between [5-10]% and [5-10]%.

(b) A reduction in the number of competitors active on a route from three to two, such as that of a merger to a duopoly, on average increases prices by [10-20]%. The robustness analysis carried out suggests that this effect can range between [10-20]% and [10-20]%.

Table 21: Summary of expected impact of the Transaction

	Baseline	***Summer seasons only***	***Winter seasons only***	***Including the COVID period***	***Only fully complete data***	***Weighting by passenger numbers***	***Weighting by passenger numbers – Summer seasons only***	***Weighting by passenger numbers – Winter seasons only***
2 to 1	*[5-10]%**	*[5-10]%**	*-[0-5]%*	*[5-10]%***	*[5-10]%***	*[5-10]%***	*[5-10]%***	*[0-5]%*
3 to 2	*[10-20]%****	*[5-10]%****	*-*	*[10-20]%****	*[10-20]%****	*[10-20]%****	*[5-10]%***	*-*

Source: Analysis of the European Commission based on data provided by the Parties.

5. ASSESSMENT OF THE PARTIES' STATEMENTS

(99) This section describes the Notifying Parties' remarks about the Commission's analysis and details the Commission's rebuttals.

5.1. Non-randomness of the residuals

5.1.1. The Notifying Parties' view

(100) The Notifying Parties argue in Section 3.2 of their response to the SO, as well as in their response to the Letter of Facts, that the common trends assumption is not met, i.e. that there are "*specific factors that drive changes in prices on the specific routes*" that are not accounted for by the control variables used by the Commission or the applied fixed effects.

(101) Moreover, the Notifying Parties, in paragraph 44 of their response to the SO state that '*one would expect to see no particular pattern in the residuals ([48]) estimated for individual routes*' and that '*we should observe residuals trending "randomly" around zero'*, while '*we do observe systematic route-specific patterns of residuals. In some cases the residuals increase over time, in others they decrease. Moreover, they often exhibit different trends pre- and post-COVID. This means that some route specific factors that drive changes in prices on the specific routes have not been explained by the econometric models used by the Commission - neither by the applied fixed effects, nor by the remaining control variables*.' In their response to the Letter of Facts, the Parties argue that the significance test showcases the presence of linear patterns in the residuals for more than 66% of all routes, underlining the

([48]) Residuals are differences between the observed values of prices and the values predicted by the model.

existence of statistically significant linear trends. For the Parties, the results are thus mostly driven by route-specific trends uncontrolled for in the Commission's analysis.

5.1.2. The Commission's view

(102) Regarding the Parties' claim that the Commission's model suffers from omitted variable bias, the Commission underlines that its chosen model, the fixed effects model, is generally widely regarded as a more suitable approach to address omitted variable bias concerns than the cross-section analysis supported by the Parties. Indeed, the cross-section analysis would completely ignore any difference in price trends across routes. As discussed in great detail in Section 2.2 of this Annex, including city pair 'fixed effects' and month indicators allow to control for a wide range of demand and supply factors so to minimize the impact of potential omitted variable bias concerns.

(103) Regarding the residual analysis, the Commission notes that the route-specific patterns visually observed on Figure 3 and Figure 4 of their response to the SO are not actually statistically different from zero, and that even some residuals appear to increase over time and others decrease, most of these route-specific patterns observed by the Notifying Parties' are not statistically different from zero. The majority of all residual trends, if counted as a whole or based on city pairs as per the Parties' methodology in their response to the LoF, is not statistically significant.

5.2. Relevant control variables

5.2.1. The Notifying Parties' view

(104) The Notifying Parties raised a concern over the adequacy of the control variables chosen in the Commission's regression analysis, notably due to (i) their lack of significance and (ii) their inability to effectively proxy demand. This, in the Parties' view, biases the economic analysis conducted by the Commission.

(105) In paragraph 44 of their Response to the SO as well as in Section 3.2.2, the Notifying Parties argue that '*the relevant control variables, such as route-specific cost or demand measures, chosen by the Commission are not statistically significant in the Commission's short-haul analysis*'. This, in their view, goes against economic theory as demand has no systematic impact on prices.

(106) The Notifying Parties agreed in their response to the Letter of Facts that not all control variables must be significant in order for an econometric model to be valid. However, they argue that, considering that the common trend assumption is not met, it is worrying that the additional control variables are not significant, as for them it means they are unable to explain differences in the evolution of prices across routes.

(107) The Notifying Parties also argue in section 3.2.2 of their response to the SO that the control variables do not add any explanatory power, as the R^2 of the Commission's model does not change when including them. They state this in paragraph 47 of the response to the SO: '*the chosen control variables do not help to improve the validity of the regression models estimated by the Commission*'.

(108) The Notifying Parties, in paragraph 6 as well as in paragraph 50 of their Response to the SO, question the economic validity of the control variables used by the Commission, notably the load factor. They argue that using the load factor to proxy demand brings issues of endogeneity, as this measure is driven not only by demand but also by the prices that Lufthansa charges, thus creating biased results.

5.2.2. The Commission's view

(109) The Commission disagrees with the Parties' statements and makes the following observations.

(110) First, control variables can capture significant information regarding the price trends across routes even if they are statistically insignificant. It is not necessary for all the additional control variables to be statistically significant for the model to be valid. These control variables are economically relevant, thus whether they are statistically significant or not in this type of modelling is not relevant to understand whether the model itself is valid. Furthermore, the Notifying Parties appear to ignore that some demand variables are in fact statistically significant, as for example the share of connecting passenger in the short haul regressions and the CASK variables in the long haul regressions.

(111) Second, as explained in detail in this Annex as well as in Annex I to the SO, the Commission's regression analysis also includes city-pair fixed effects and month indicators, which are also controls for demand and supply factors, and are also statistically significant. City-pair fixed effects allow to control for demand and supply factors that are specific to a city-pair and that do not vary over time (for example, certain city-pairs are more attractive than others), while month indicators allow to control for demand and supply factors that are specific to a month and common to all city-pairs (for example, a sudden increase in fuel costs). Including these additional control variables allows to control for the effect of demand and supply factors that are specific to a city-pair and that vary over time. This holds even if they do not turn out to be statistically significant.

(112) Third, the Notifying Parties assert that using the load factor as a proxy for demand introduces endogeneity issues because the load factor is influenced not only by demand but also by the prices that Lufthansa charges, and this interplay between demand and prices can result in biased estimates. The Commission acknowledges that the load factor is an imperfect proxy for demand. However, the Commission notes that even if endogeneity were present due to a demand-side shock, it tends to attenuate the coefficients towards zero. As a result, the true effect of competition on prices is possibly even higher than what estimated by the Commission.

5.3. Robustness of long haul results regarding the COVID Period

5.3.1. The Notifying Parties' view

(113) The Notifying Parties highlight that the COVID pandemic led to fundamental changes in the airline industry, making it impossible to use a pooled dataset combining both pre- and post-COVID periods.

(114) Moreover, the Parties underline that the definition of the COVID period used by the Commission, namely from January 2019 to June 2020, is not the correct one to use in their opinion. In Section 4.2.2 of their response to the SO, the Notifying Parties argue that a more appropriate definition of the COVID period would start in March 2020 and end either in August 2021 or March 2022.

(115) The Notifying Parties also point out that changing the definition of the COVID period affects the statistical significance of the economic analysis.

5.3.2. The Commission's view

(116) The Commission disagrees with the Notifying Parties' statements for the following reasons.

(117) First, the Commission's definition for the COVID period is based on Lufthansa's own internal document and aligns with Lufthansa's own internal analysis. The Notifying Parties' arguments are therefore inconsistent with Lufthansa's own methodological choices.

(118) Second, the Notifying Parties' alternative definitions for the COVID period exclude many months where Lufthansa itself was actually active. If Lufthansa was active in these months, then excluding these months from the analysis overlooks interactions that are relevant to understand the competitive interactions between carriers.

(119) Third, the Commission would also like to point out that a number of competitors did start to enter North American routes in July 2021. Such post-Covid entry events are certainly meaningful to inform about competitive dynamics. It is thus incorrect to expand the COVID period beyond June 2021.

5.4. Insufficient variation in the sample

5.4.1. The Notifying Parties' view

(120) In Section 3.1.2 of their response to the SO, the Notifying Parties argue that the number of entry/exit events of competitors, and especially of ITA, is insufficient to conduct a robust fixed effects analysis, which is the econometric approach chosen by the Commission.

(121) This view is restated in the Notifying Parties' response to the Letter of Facts, in relation to the long haul analysis, where the Parties underline the very low number of observations where there is no or only one indirect competitor.

5.4.2. The Commission's view

(122) The Commission disagrees with the Parties' claim that the number of entry/exit events is insufficient.

(123) First, as stated by the Parties themselves in Paragraph 30 of their response, "*there is no clear-cut threshold for the necessary number of entry-exit events to conduct a reliable analysis*", and actually, from a mathematical and statistical point of view, a single entry-exit event is sufficient to conduct this type of analyses.

(124) Second, the number of entry/exit events of ITA is significantly higher than what claimed by the Notifying Parties. When routes operated by EuroWings are also included, as indicated in Table 3 and footnote 23: 22 and not two. Furthermore, as can be seen in specification 5 of Table 7, Table 8, Table 12 and Table 13, the results appear fairly robust to the inclusion and exclusion of entry-exit events on routes operated by EuroWings.

(125) Third, regarding the number of observations with no or one indirect competitor in long haul that the Parties consider as insufficient, the Commission notes that the results are statistically significant. Such statistical significance also implies that the number of entry-exit events is inherently sufficient.

5.5. Implausibility of the Commission's results

5.5.1. The Notifying Parties view

(126) Regarding the short haul analysis, the Notifying Parties state that the Commission's results are inconsistent and implausible. Most notably, they argue that, in the SO Annex Section 3.1, the Transaction is stated to have a statistically not significant effect on prices on '3 to 2' routes whereas it is stated in the SO Annex Section 3.2. that the Transaction would have a sizeable and statistically highly significant price

effect on '3 to 2' routes. In the Parties' views, this is implausible as *"There is no reason to assume ITA should be so different from other network carriers (such as Air France, KLM or LOT) or carriers operating routes point-to-point ("P2P")".*

(127) Regarding the long-haul analysis, the Notifying Parties underline that the main result of the Commission is implausible, as the first competitor has a smaller and statistically weak significant effect on prices, whereas the second competitor has a twice as strong ([10-20]%) and highly significant effect. Such results are, for the Parties, at odds with economic theory suggesting differences in prices should be larger between a monopoly and a duopoly.

5.5.2. The Commission's view

(128) The Commission disagrees with the Notifying Parties' statements.

(129) First, regarding the short haul analysis, the Commission disagrees that there is any implausibility in its results. Indeed, such results simply stem from closeness of competition between ITA and Lufthansa, and from the fact that rivalry between the parties has been an important source of competition on the market.[49] The impact is bigger and statistically significant when looking specifically at ITA because it is such a close competitor of Lufthansa.

(130) Second, regarding the long-haul analysis, the Commission notes that only the FRA-NYC route offers sufficient data variation helpful to assess the impact on Lufthansa's prices when a single competitor enters the market. As a result, this limited data variation explains the smaller price effect observed with the entry of the first competitor. Conversely, numerous other routes exhibit significantly more data variation helpful to identify the effect on Lufthansa's prices associated to entry of more than one competitor. This greater variation in the data results in more robust and reliable statistical effects for the 3-to-2 competitor scenario.

[49] Horizontal Merger Guidelines, paragraph 2

18/06/2024

Case M. 11071 – DLH/MEF/ITA

COMMITMENTS TO THE EUROPEAN COMMISSION

Pursuant to Article 8(2) of Council Regulation (EC) No 139/2004 (the "***Merger Regulation***"), Deutsche Lufthansa AG ("***DLH***") and the Italian Ministry for Economy and Finance ("***MEF***"), (DLH and MEF together the "***Notifying Parties***") hereby enter into the following Commitments (the "***Commitments***") vis-à-vis the European Commission (the "***Commission***") with a view to rendering the proposed acquisition of Italia Trasporto Aereo S.p.A. ("***ITA***") (the "***Concentration***") compatible with the internal market and the functioning of the EEA Agreement.

This text shall be interpreted in light of the Commission's decision pursuant to Article 8(2) of the Merger Regulation to declare the Concentration compatible with the internal market and the functioning of the EEA Agreement (the "***Decision***"), in the general framework of European Union law, in particular in light of the Merger Regulation, and by reference to the Commission Notice on remedies acceptable under Council Regulation (EC) No 139/2004 and under Commission Regulation (EC) No 802/2004 (the "***Remedies Notice***").

Section A. Definitions

1. For the purpose of the Commitments, the following terms shall have the following meaning:

Affiliated Undertakings: undertakings controlled by the Parties and/or by the ultimate parents of the Parties, whereby the notion of control shall be interpreted pursuant to Article 3 of the Merger Regulation and in light of the Commission Consolidated Jurisdictional Notice under Council Regulation (EC) No 139/2004 on the control of concentrations between undertakings (the "***Consolidated Jurisdictional Notice***").

Agreements: the Entry Commitment Agreement, the SPA or any agreement of similar kind and the Slot Transfer Agreement, it being understood that the SPA (or any agreement of similar kind) and the Slot Transfer Agreement will be conditional upon the execution of the Entry Commitment Agreement.

BDS: Brindisi Papola Casale airport, located in Brindisi, Italy.

BRI: Bari Karol Wojtyła Airport, located in Bari, Italy.

BRU: Brussels airport, located in Zaventem, Belgium.

CAG: Cagliari Elmas Airport, located in Elmas, Sardinia, Italy.

Closing: the acquisition by DLH of a 41% stake in ITA.

Competitive Indirect Connection(s): New and/or improved one-stop connection(s) on the Long-Haul Remedy Routes with a total travel time of up to +3 hours compared to ITA's direct flight and a connection time of up to 2 hours when connecting in Europe (or a total travel time of up to +4 hours and a connection time of up to 3 hours when connecting in North America). For the sake of clarity, a connection also qualifies as "new" if a hub that has not been connected within the +3h/+4h time window before is connected within that timeframe, even if the Long-Haul Remedy Taker already has, at the time of the Decision, existing connections via other hubs of its group or transatlantic joint venture. A one-stop connection of a competitor already operating a one-stop connection on the respective Long-Haul Remedy Route within the +3h/+4h timeframe only counts as "improved" if the total travel time of the improved connection (i.e. via another indirect connection) is reduced by at least 60 minutes. The baseline for any comparison of the above new and/or improved one-stop connections on the Long-Haul Remedy Routes shall be the respective Long-Haul Remedy Taker(s)' connections in Winter 2023/2024 and Summer 2024 IATA season published as of the Effective Date.

Confidential Information: any business secrets, know-how, commercial information, or any other information of a proprietary nature that is not in the public domain.

Conflict of Interest: any conflict of interest that impairs the Monitoring Trustee's objectivity and independence in discharging its duties under the Commitments.

DLH: Deutsche Lufthansa AG, the holding company of Lufthansa Group (***DLH Group***) incorporated under the laws of Germany, with its registered office at Cologne, Germany and registered with the Commercial Register of the local court of Cologne under number HRB2168.

DUS: Düsseldorf airport, located in Düsseldorf, Germany.

Effective Date: the date of adoption of the Decision.

Entry Commitment Agreement: the Entry Commitment Agreement between DLH, MEF and the Short-Haul Remedy Taker setting out the terms and conditions of the commitment by DLH and MEF to provide, under fair

commercial terms and based on the same commercial terms offered for similar transactions between entities of the Lufthansa Group, all elements necessary for the Short-Haul Remedy Taker to operate on the Remedy Short-Haul Routes and to offer itineraries for connecting flights on the Remedy Short-Haul Direct/Indirect Routes as described in clause 6 (including assets required and requested by the Short-Haul Remedy Taker, as the case may be, such as aircraft, crew, ground handling services, etc.) and to operate the additional LIN Remedy Taker Slots, and the commitment of the Short-Haul Remedy Taker to enter and operate on the Remedy Short-Haul Routes and to offer itineraries for connecting flights on the Remedy Short-Haul Direct/Indirect Routes as described in clause 6, including the provision of suitable enforcement steps against the Short-Haul Remedy Taker to ensure compliance with the Entry Commitment Agreement.

EU Slot Regulation: Council Regulation (EEC) No 95/93 of 18 January 1993 on common rules for the allocation of slots at Community airports, as subsequently amended from time to time.

FCO: Leonardo da Vinci International Airport in Fiumicino, located in the Metropolitan City of Rome, Italy.

FRA: Frankfurt airport, located in Frankfurt am Main, Germany.

Frequency(-ies): a round trip on any of the Remedy Short-Haul Routes or Long-Haul Remedy Routes.

General Slot Allocation Procedure: the Slot allocation procedure as set out in the EU Slot Regulation (if applicable), applicable domestic legislation and the IATA Worldwide Airport Slot Guidelines.

HAM: Hamburg airport, located in Hamburg, Germany.

IATA: the International Air Transport Association.

IATA Historics Baseline Date: the series of slots held by an airline on 31 January for the following summer scheduling period, or on 31 August for the following winter scheduling period.

IATA Initial Submission Deadline: the relevant deadline in the IATA calendar of coordination activities.

IATA Season: the IATA Summer Season begins on the last Sunday of March and ends on the Saturday before the last Sunday of October. The IATA Winter Season begins on the last Sunday of October and ends on the Saturday before the last Sunday of March.

IATA Slot Conference: the twice-yearly conference relating to airport Slots organised by IATA that takes place in June and November.

ITA: Italia Trasporto Aereo S.p.A., created by the Italian State on 9 October 2020, with its registered office at Rome, Italy and registered with the Company Register of Rome under number 15907661001.

LIN: Milan Linate airport, located in Milan, Italy.

LIN Route Remedy Slots: has the meaning described in Section B.

LIN Remedy Taker Slots: has the meaning described in Section B.

LIN Total Slots: The total number of slots to be transferred by the Parties in Linate corresponding to 204 weekly slots in Summer and 192 weekly slots in Winter (which consists of (i) the increment added to the Parties' portfolio through the Proposed Transaction, namely 148 weekly slots, equaling 74 weekly frequencies in Summer, and 136 weekly slots, equaling 68 weekly frequencies in Winter and the (ii) surplus slots aimed at ensuring a sufficient scale of operations for the Short-Haul Remedy Taker, namely 56 weekly slots, equaling 28 weekly frequencies in Summer and Winter).

Long-Haul Remedy: has the meaning described in Section B.

Long-Haul Remedy Agreement(s): the Long-Haul Remedy Agreement(s) between DLH, MEF and the Long-Haul Remedy Taker(s), to be entered into within […] following the Effective Date, setting out the terms and conditions of the Long-Haul Remedy, including the provision of suitable enforcement steps against the Long-Haul Remedy Taker(s) to ensure compliance with the Long-Haul Remedy Agreement(s), and potentially including a timely transfer or swapping of slots if requested by the Long-Haul Remedy Taker(s).

Long-Haul Remedy Routes: FCO-SFO (year-round); FCO-WAS (year-round); FCO-YTO (summer).

Long-Haul Remedy Taker(s): one or more competing airline(s), either already operating the Long-Haul Remedy Routes, or entering the Long-Haul Remedy Routes, and approved by the Commission in accordance with the criteria set out in Section C. For the sake of clarity, airlines that cooperate in the same transatlantic joint venture (such as, at the time of entering into these Commitments, Air France-KLM and Delta Airlines) do not count as two different "competing airlines", and airlines that belong to the same group (such as, at the time of entering into these Commitments, Air France and KLM) do not count as two different "competing airlines".

Long-Haul Remedy Taker Criteria: the criteria laid down in Section C of these Commitments that the Long-Haul Remedy Taker(s) must fulfil in order to be approved by the Commission.

MEF: Italian Ministry of Economy and Finance, currently the sole shareholder in ITA. For the avoidance of doubt, in the remainder of this document, the expression "MEF commits" shall be construed as meaning that MEF shall exercise its rights as shareholder to cause ITA to achieve the result described in each relevant clause.

Minima: has the meaning described in Section B.

Minimum Period: Six (6) consecutive IATA Seasons.

Monitoring Trustee: one or more natural or legal person(s) who is/are approved by the Commission and appointed by the Parties, and who has/have the duty to monitor the Parties' compliance with the conditions and obligations attached to the Decision.

MUC: Munich International airport, located in Munich, Germany.

MXP: Milan Malpensa airport, located in Milan, Italy.

NAP: Naples-Capodichino International Airport, located in Naples, Italy.

New Entrant Remedy: has the meaning described in Section B.

New Remedy Taker: has the meaning described in Section B.

Operational Risks: risks outside the Short-Haul Remedy Taker's area of influence, such as global pandemics, labor actions, volcanic eruptions, acts of war and/or riots, cyber-attacks at airline or service partners, withdrawal of any relevant regulatory approval, whereas this list is not exhaustive.

Parties: the Notifying Parties and ITA.

Proposed Transaction: The concentration notified in Case COMP/M.11071, namely the proposed acquisition by DLH of a 41% stake with additional governance rights over ITA from MEF within the meaning of Article 3(1)(b) of Council Regulation (EC) No. 139/2004.

Relevant IATA Season: the IATA season in which the Short-Haul Remedy Taker will enter the Remedy Short-Haul Routes, as described in these Commitments.

Relevant Time Window: the period of 20 minutes on either side of the Slot time requested by the Short-Haul Remedy Taker.

Remedy Short-Haul Route(s): Each of FCO – FRA; FCO – MUC; FCO – ZRH; FCO – BRU; FCO - HAM; LIN/MXP – DUS; LIN – FRA; LIN/MXP – HAM; LIN/MXP – BRU; and LIN/MXP – VIE.[1]

Remedy Short-Haul Direct/Indirect Route(s): Each of BDS – DUS (summer); BRI – FRA (winter); BRI – HAM (summer); BRI – MUC; CAG – MUC (summer); NAP – DUS (winter); NAP – HAM (summer); NAP – FRA.

Short-Haul Remedy Taker: the entity or, in case the Remedy Short-Haul Routes from/to BRU on the one hand and the remaining Remedy Short-Haul Routes on the other hand are acquired by two different airlines, entities approved by the Commission as acquirer(s) of the New Entrant Remedy in accordance with the criteria set out in Section C.

Short-Haul Remedy Taker Criteria: the criteria laid down in Section C of these Commitments that the Short-Haul Remedy Taker must fulfil in order to be approved by the Commission.

SFO: San Francisco airport, located in San Francisco, CA, United States of America.

Slot Transfer Agreement: the agreement between DLH, MEF and the Short-Haul Remedy Taker organizing the transfer of the Slots to the Short-Haul Remedy Taker.

Slots: The permission for an aircraft operator to land and take-off on a specific date and time in order to operate an air service at the airport, to be used in combination with the full range of airport infrastructure parking and access to gates at the airport that are necessary to operate such service.

SPA: has the meaning described in Section B.

VIE: Vienna International Airport, located in Schwechat, Austria.

WAS: all airports in the Metropolitan Area of Washington D.C., United States, including Washington Dulles International Airport (IAD), Ronald Reagan

[1] For the routes LIN/MXP-DUS, LIN/MXP-HAM, and LIN/MXP-BRU, DLH and MEF commit to transfer Slots to the Short-Haul Remedy Taker in LIN or in MXP according to the preference and request of the Short Haul Remedy Taker. The total number of divested slots in LIN will remain unchanged by the Short-Haul Remedy Taker's choice, as the LIN Total Slots will be divested in any event.

Washington National Airport (DCA), Baltimore/Washington International Thurgood Marshall Airport (BWI).

YTO: all airports in the Metropolitan Area of Toronto, Ontario, Canada, including Toronto Pearson International Airport (YYZ), Waterloo International Airport (YKF), Billy Bishop Toronto City Airport (YTZ), John C. Munro Hamilton International Airport (YHM).

ZRH: Zurich airport, located in Kloten, Switzerland.**Section B.The commitments**

I. Short-Haul, LIN and Long-Haul Commitments

1. In order to maintain effective competition, DLH and MEF commit to procure the entry and the launch of operations by the Short-Haul Remedy Taker on all ten (10) Remedy Short-Haul Routes by transferring to the Short-Haul Remedy Taker all the necessary Slots and providing other necessary elements (if any), to be defined based on the Short-Haul Remedy Taker's needs ("**New Entrant Remedy**").

2. The corresponding commitments of the Short-Haul Remedy Taker under the Commitments are set out in the Entry Commitment Agreement.[2] The Entry Commitment Agreement in particular provides for the commitment by the Short-Haul Remedy Taker to enter on the Remedy Short-Haul Routes and operate at least the minimum Frequencies provided under clause 14 on these routes during the Minimum Period, including the provision of suitable enforcement steps against the Short-Haul Remedy Taker to ensure compliance with the Entry Commitment Agreement.

3. DLH and MEF commit to ensure the enforcement of the commitments of the Short-Haul Remedy Taker under the Entry Commitment Agreement to continue to operate at least the minimum Frequencies provided under clause 14 on all Remedy Short-Haul Routes during the Minimum Period.

4. Furthermore, DLH and MEF commit to divest the LIN Total Slots. These Slots will be divested by

    i. a transfer of the Slots to the Short-Haul Remedy Taker to take up the relevant Remedy Short-Haul Routes ("**LIN Route Remedy Slots**"); and

[2] The Parties will present the Entry Commitment Agreement to the European Commission at the initiation of the purchaser approval process to seek feedback on the text of the agreement.

ii. a transfer of additional Slots to the Short-Haul Remedy Taker to be agreed in the Entry Commitment Agreement to reach the number of the LIN Total Slots ("**LIN Remedy Taker Slots**").

The divested Slots shall be spread across all traffic days and LIN's operating hours to enable a continuous offer and efficient operation of the Short-Haul Remedy Taker. The exact traffic days and hours will be defined in accordance with the routes flight list requested by the Short-Haul Remedy Taker, with the aim that the current offering on the market (i.e., the traffic days and hours currently being offered by the Parties on the route) is reflected by the offering of the Parties and the Short-Haul Remedy Taker post-merger.

5. DLH and MEF commit to find a Short-Haul Remedy Taker and to enter into the Entry Commitment Agreement and the Slot Transfer Agreement with the Short-Haul Remedy Taker as early as possible, but in any event […] from the Effective Date at the latest. Such Entry Commitment Agreement and Slot Transfer Agreement shall comprise the list of Slots to be transferred in the context of the New Entrant Remedy (including the LIN Route Remedy Slots) as well as the LIN Remedy Taker Slots as defined in accordance with the routes flight list requested by the Short-Haul Remedy Taker under consideration of the Relevant Time Window. The Slots and assets required and requested by the Short-Haul Remedy Taker (as the case may be) to be transferred in the context of the New Entrant Remedy (including the LIN Route Remedy Slots) as well as the LIN Remedy Taker Slots will be divested ideally beforethe IATA Historics Baseline Date, namely […], but in any case timely before the start of […], with the objective of permitting entry of the Short-Haul Remedy Taker in […].

6. DLH and MEF also commit to enter into an agreement that will enable the Short-Haul Remedy Taker to sell tickets for connecting flights on the Remedy Short-Haul Direct/Indirect Routes. For the avoidance of doubt, the Short-Haul Remedy Taker may only operate the route LIN/MXP-DUS from MXP if it is capable of providing viable and competitive connecting flights to BDS and NAP also from MXP on the two (2) relevant Remedy Short-Haul Direct/Indirect Routes involving DUS. This agreement will take, at the option of the Short-Haul Remedy Taker, the form of a Special Prorate Agreement ("**SPA**") or an agreement of similar kind to enable connectivity in relation to ITA's domestic network,[3] in order to connect the Short-Haul Remedy Taker to all intra-Italian routes served by ITA from LIN and FCO for a period of

[3] For the avoidance of doubt, if there is a separate Short-Haul Remedy Taker operating the Remedy Short-Haul Routes to/from BRU, there will be no SPA or an agreement of similar kind concluded with this separate Short-Haul Remedy Taker, as Brussels is not included in the Remedy Short-Haul Direct/Indirect Routes, as set out in the definitions of these Commitments.

five (5) years from the entry of the Short-Haul Remedy Taker in […], subject to the approval of the agreement by the Commission, respectively.

7. In order to achieve this obligation, DLH and MEF commit to enter into this agreement with the Short-Haul Remedy Taker as early as possible, but in any event no later than […] from the Effective Date at the latest, to permit operations of the Short-Haul Remedy Taker from […] on, taking into account the lead time supporting the launch of viable operations.

8. In the event that, before the end of the Minimum Period, the Short-Haul Remedy Taker ceases to operate the Slots, i.e. the Short Haul Remedy Taker (i) completely interrupts scheduled air transport passenger operations on the Short-Haul Remedy Routes, (ii) uses any of the Short-Haul Remedy Routes Slots for other routes without having obtained alternative or retimed Slots, (iii) operates any of the Short-Haul Remedy Routes with less than 80% of the initially envisaged Frequencies in a specific season during the Minimum Period, or (iv) operates less than 80% of the LIN Remedy Taker Slots in a specific season during the Minimum Period (each a "**Slot Utilization Shortfall Event**"), and unless the Short-Haul Remedy Taker is forced to cancel flights due to Operational Risks, and the enforcement mechanism against the Short-Haul Remedy Taker as set out in the Entry Commitment Agreement is considered to have failed, the following applies:

    i. In the occurrence of a Slot Utilization Shortfall Event of sufficient magnitude that justifies replacing the Short-Haul Remedy Taker, as determined by the Commission after consultation with the Monitoring Trustee,[4] during year one (1) or two (2) of the Minimum Period, and the Slots acquired by the Short-Haul Remedy Taker, therefore, fall back to DLH and/or ITA as foreseen in the Slot Transfer Agreement, DLH and MEF commit to procure the divestment to a new remedy taker (the "**New Remedy Taker**") through the conclusion of a new Entry Commitment Agreement for the remaining part of the Minimum Period. In such case, the Parties commit that (i) the Minimum Period will be extended by any week and month, in which the Slots are not operated by a remedy taker, and (ii) the New Remedy Taker has at least two (2) consecutive IATA seasons to operate the Slots. The process to procure the New Remedy Taker will be as follows:

[4] For the avoidance of doubt, the Commission may declare that the Slot Utilization Shortfall Event has occurred, or refuse to confirm a Slot Utilization Shortfall Event based on the specific circumstances at the time of any potential such event, regardless of the conditions enshrined in clause 8. The Parties shall undertake or refrain from the enforcement of the Slot Utilization Shortfall Event accordingly.

a. The Parties commit to find a New Remedy Taker and to enter into new Agreements (which shall include to the extent possible the same terms to Agreements entered into with the Short-Haul Remedy Taker) in a timely manner to enable the entry of the New Remedy Taker in the next possible IATA season so that there would be no more than maximum one (1) IATA season from the end of the season the Short-Haul Remedy Taker failed to uphold its commitments and the entry of the New Remedy Taker:

   - if the initial Short-Haul Remedy Taker failed to uphold its commitments in the course of a IATA summer season, the New Remedy Taker starts operations from the next IATA summer season at the latest;

   - if the Short-Haul Remedy Taker failed to uphold its commitments in the course of a IATA winter season, the New Remedy Taker starts operations from the next IATA winter season at the latest;

b. As the slots will have to be operated in line with slot regulations, the Parties commit to procure the operation necessary until the transfer to the New Remedy Taker to uphold the ability of divestment of the Slots, including the LIN Route Remedy Slots and the LIN Remedy Taker Slots;

c. The process for the transfer of Slots to the New Remedy Taker will be the same as described for the Short-Haul Remedy Taker;

d. The New Remedy Taker shall also fulfil the criteria set out in Section C of the Commitments;

e. The Parties shall promptly submit a reasoned proposal and a copy of the New Entry Commitment Agreement for the Commission's approval no later than […] from the return of the Slots by the initial Short-Haul Remedy Taker.

ii. In the occurrence of a Slot Utilization Shortfall Event of sufficient magnitude that justifies replacing the Short-Haul Remedy Taker, as determined by the Commission after consultation with the Monitoring Trustee, in the third year of the Minimum Period, DLH and MEF commit to release the Slots related to the Slot Utilization Shortfall Event to the relevant slot coordinators and not to re-apply for these Slots through the General Slot Allocation Procedure for one (1) year after such release.

9. DLH and MEF commit to enter into Long-Haul Remedy Agreement(s) with Long-Haul Remedy Taker(s) within […] from the Effective Date, for a duration of three (3) years (starting with the beginning of the season following the approval of the agreement by the Commission), in order to establish on the Long-Haul Remedy Routes either:

    i. a frequency increase equivalent to at least the number of direct weekly Frequencies (as an average value per season) set out in Schedule 1 for each of the Long-Haul Remedy Routes and season; or

    ii. a frequency increase of at least ten (10) weekly Competitive Indirect Connections (as an average value per season), offered across two (2) Long-Haul Remedy Takers, out of which one (1) Long Haul Remedy Taker shall rely on its own operations or on interlining with independent third parties (other than ITA, DLH and its A++ JV partners), whereas the second Long-Haul Remedy Taker may rely on cooperation agreements (interlining or other) with the Parties. This is with the exception of FCO-SFO in the winter season, where the frequency increase should be at least three (3) weekly additional Competitive Indirect Connections, offered by one Long-Haul Remedy Taker (relying either on its own operations or on interlining, including with DLH or ITA); or

    iii. a combination of frequency increase of direct weekly Frequencies and additional Competitive Indirect Connections on the Long-Haul Remedy Routes, as set out in Schedule 1 (the "***Long-Haul Remedy***").

10. Any Slots to be transferred in the context of the Long-Haul Remedy will be transferred ideally before the IATA Historics Baseline Date, namely […], but in any case timely before the start of […], with the objective of permitting the increase or improvement of frequencies by the Long-Haul Remedy Taker in […].

11. The corresponding commitments of the Long-Haul Remedy Taker(s) under the Commitments are set out in the Long-Haul Remedy Agreement(s). The Long-Haul Remedy Agreement(s) in particular provide for the commitment by the Long-Haul Remedy Taker(s) to (i) operate their own increased direct Frequencies as per the minimum frequencies set out in clause 9(i), or (ii) increase and/or improve connectivity options, facilitated by industry standard cooperation tools (such as interlining agreements, slot swaps or retimings), as per the minimum frequencies set out in clause 9(ii), or (iii) a combination thereof as per the minimum frequencies set out in clause 9(iii),

each for a duration of three (3) years starting with the beginning of the season following the approval of the agreement by the Commission, including the provision of suitable enforcement steps against the Long-Haul Remedy Taker(s) to ensure compliance with the Long-Haul Remedy Agreement(s). The Parties commit, upon request of the Long-Haul Remedy Taker, to extend the duration of the industry standard cooperation tools in case of option (ii), to five (5) years starting with the beginning of the season following the approval of the agreement by the Commission.[5]

12. DLH and MEF shall be deemed to have complied with these Commitments if and when:

- DLH and MEF have entered into the Entry Commitment Agreement and the Slot Transfer Agreement with the Short-Haul Remedy Taker within […] from the Effective Date at the latest, the Short-Haul Remedy Taker has received the required Slots to operate the Remedy Short-Haul Routes within the deadline of clause 5 and as set out in the Slot Transfer Agreement and DLH and MEF, to the extent that this was necessary within the Minimum Period, have taken enforcement steps against the Short-Haul Remedy Taker in accordance with the Entry Commitment Agreement;

- DLH and MEF have transferred the LIN Total Slots to the Short-Haul Remedy Taker within the deadline of clause 5 and have not applied for any additional slots that would lead to an increase of their portfolio at LIN for a period of […];

- ITA has entered into the SPA or an agreement of similar kind with the Short-Haul Remedy Taker within […] of the Effective Date;

- DLH and MEF have entered into Long-Haul Remedy Agreement(s) with the Long-Haul Remedy Taker(s) within […] of the Effective Date;

- the Long-Haul Remedy Takers have received any required Slots to operate the Long-Haul Remedy Routes within the deadline of clause 10, and, to the extent that this was necessary, DLH and MEF have taken enforcement steps against the Long-Haul Remedy Takers in accordance with the Long-Haul Remedy Agreements;

- DLH and MEF have complied with clause 8, where applicable.

[5] For the avoidance of doubt, this does not extend the Parties' commitment as set out in clause 9(ii).

13. Closing of the Proposed Transaction can take place once:

- DLH and MEF have entered into a final and binding Entry Commitment Agreement and Slot Transfer Agreement with the Short-Haul Remedy Taker, ITA has entered into an SPA or an agreement of similar kind to enable connectivity with the Short-Haul Remedy Taker, and the Commission has approved the proposed Short-Haul Remedy Taker(s) and the terms of the Entry Commitment Agreement, the Slot Transfer Agreement and the SPA or agreement of similar kind to enable connectivity as being consistent with the Commitments in accordance with the procedure described in Section C; and

- DLH and MEF have entered into final and binding Long-Haul Remedy Agreement(s) with the Long-Haul Remedy Taker(s), and the Commission has approved the proposed Long-Haul Remedy Taker(s) and the terms of the Long-Haul Remedy Agreement(s) as being consistent with the Commitments in accordance with the procedure described in Section C, and, if the Long-Haul Remedy Agreement(s) have been entered into pursuant to clause 9(ii) or clause 9(iii), the Long-Haul Remedy Taker(s) is/are selling tickets for the one-stop connections.

II. Short-Haul LIN Commitments

New Entrant Remedy

14. DLH and MEF commit to procure the entry and the launch of operations by the Short-Haul Remedy Taker and, to this aim, to transfer Slots at FCO and LIN/MXP as well as BRU, DUS, FRA, HAM, MUC, VIE and ZRH to allow the Short-Haul Remedy Taker to operate the Remedy Short-Haul Routes with the following minimum Frequencies:

- FCO and BRU Slots for the Short-Haul Remedy Taker to operate an equivalent of fourteen (14) weekly Frequencies in summer seasons and fourteen (14) weekly Frequencies in winter seasons on the FCO – BRU route;

- FCO and FRA Slots for the Short-Haul Remedy Taker to operate an equivalent of fourteen (14) weekly Frequencies in summer seasons and seven (7) weekly Frequencies in winter seasons on the FCO – FRA route;

- FCO and HAM Slots for the Short-Haul Remedy Taker to operate an equivalent of seven (7) weekly Frequencies in summer seasons and

seven (7) weekly Frequencies in winter seasons on the FCO – HAM route;

- FCO and MUC Slots for the Short-Haul Remedy Taker to operate an equivalent of fourteen (14) weekly Frequencies in summer seasons and seven (7) weekly Frequencies in winter seasons on the FCO – MUC route;

- FCO and ZRH Slots for the Short-Haul Remedy Taker to operate an equivalent of fourteen (14) weekly Frequencies in summer seasons and eleven (11) weekly Frequencies in winter seasons on the FCO – ZRH route;

- LIN/MXP and BRU Slots for the Short-Haul Remedy Taker to operate an equivalent of fourteen (14) weekly Frequencies in summer seasons and fourteen (14) weekly Frequencies in winter seasons on the LIN/MXP – BRU route;

- LIN/MXP and DUS Slots for the Short-Haul Remedy Taker to operate an equivalent of twelve (12) weekly Frequencies in summer seasons and twelve (12) weekly Frequencies in winter seasons on the LIN/MXP – DUS route;

- LIN and FRA Slots for the Short-Haul Remedy Taker to operate an equivalent of fourteen (14) weekly Frequencies in summer seasons and fourteen (14) weekly Frequencies in winter seasons on the LIN – FRA route;

- LIN/MXP and HAM Slots for the Short-Haul Remedy Taker to operate an equivalent of seven (7) weekly Frequencies in summer seasons on the LIN/MXP – HAM route;

- LIN/MXP and VIE Slots for the Short-Haul Remedy Taker to operate an equivalent of seven (7) weekly Frequencies in summer seasons and seven (7) weekly Frequencies in winter seasons on the LIN/MXP – VIE route.

15. The transfer of Slots to the Short-Haul Remedy Taker for […], as agreed in the Entry Commitment Agreement and the Slot Transfer Agreement, will be requested by the Short-Haul Remedy Taker at least two (2) weeks before the IATA Historics Baseline Date of […], such request to be communicated to the Parties by the Monitoring Trustee. Within one (1) week from the request by the Short-Haul Remedy Taker, the Monitoring Trustee shall notify for approval or confirmation, as needed, the relevant Slot coordinators and airport managers of the requested transfer or exchange of Slots on behalf of the

Parties and the Short-Haul Remedy Taker. The relevant Slot coordinator will decide in principle within seventy-two (72) hours about such a request after which the Monitoring Trustee shall confirm the transfer/exchange to the Parties and the Short-Haul Remedy Taker.

16. After approval or confirmation of the transfer or exchange requested by the Short-Haul Remedy Taker, DLH and MEF commit to transfer the Slots at the relevant airports in accordance with the EU Slot Regulation and the applicable local regulations, as the case may be.

17. The transfer or exchange shall take effect on the day of the envisaged start of operations by the Short-Haul Remedy Taker to allow the Short-Haul Remedy Taker to use the Slots as of entry or expansion.

18. As a general rule, the Slots obtained by the Short-Haul Remedy Taker from the Parties for the Remedy Short-Haul Routes shall be used only to provide competitive scheduled passengers air transport services on the relevant Remedy Short-Haul Routes for which the Slots were requested, in accordance with the EU Slot Regulation.

19. These Slots cannot be used on another route unless the Short-Haul Remedy Taker has operated the respective Remedy Short-Haul Routes for the Minimum Period, or unless the Short-Haul Remedy Taker has obtained alternative or retimed Slots to operate the Remedy Short-Haul Routes.

20. During the Minimum Period, the Short-Haul Remedy Taker shall not be entitled to transfer or assign to a third-party in breach of these Commitments any Slots obtained from the Parties under these Commitments.

LIN Slots

21. DLH and MEF commit to divest the LIN Total Slots. These Slots will be divested by

    i. a transfer of the LIN Route Remedy Slots to the Short-Haul Remedy Taker to take up the relevant Remedy Short-Haul Routes; and

    ii. a transfer of the additional LIN Remedy Taker Slots to the Short-Haul Remedy Taker,

    the divestment as per i. and ii. to result in a total transfer to the Short-Haul Remedy Taker of 204 weekly Slots in summer, and of 192 weekly Slots in winter. DLH and MEF commit to divest all slots ideally before the IATA

Historics Baseline Date, namely […], but in any case before […], with the objective of permitting entry of the Short-Haul Remedy Taker in […].

22. The divested Slots shall be spread across all traffic days and LIN's operating hours to enable a continuous offer and efficient operation of the Short-Haul Remedy Taker. The exact traffic days and hours will be defined in accordance with the routes flight list requested by the Short-Haul Remedy Taker, with the aim to reflect in the offering of the Parties and the Short-Haul Remedy Taker post-merger the current offering on the market (i.e., the traffic days and hours currently being offered by the Parties on the route, including adjustments of capacity to accommodate seasonal demand, e.g., for the Christmas or the Italian holiday period in August).

Entry Commitment Agreement

23. DLH and MEF commit to enter into the Entry Commitment Agreement with the Short-Haul Remedy Taker as early as possible, but in any event […] of the Effective Date at the latest.

24. There may be a maximum of two (2) remedy takers of the New Entrant Remedy (namely (i) one remedy taker for FCO-BRU and LIN/MXP-BRU, and (ii) another remedy taker for the remaining Remedy Short-Haul Routes and the Remedy Short-Haul Direct/Indirect Routes). Preference shall be given to a single Short-Haul Remedy Taker.

Slots

25. DLH and MEF commit to enter into the Slot Transfer Agreement with the Short-Haul Remedy Taker as early as possible, but in any event […] from the Effective Date at the latest.

26. The Slots and assets required and requested by the Short-haul Remedy Taker (as the case may be) to be transferred in the context of the New Entrant Remedy (including the LIN Route Remedy Slots) as well as the LIN Remedy Taker Slots will be divested ideally before the IATA Historics Baseline Date (namely […]), but in any case before the start of […] to permit entry of the Short-Haul Remedy Taker in […].

SPA

27. DLH and MEF commit to enter into an agreement, which will take at the option of the Short-Haul Remedy Taker the form of either a Special Prorate Agreement ("**SPA**") or of an agreement of similar kind, to enable

connectivity in relation to ITA's domestic network, including all Remedy Short-Haul Direct/Indirect Routes,[6] in order to connect the Short-Haul Remedy Taker to the intra-Italian routes served by ITA from LIN and FCO during a period of five (5) years from the entry of the Short-Haul Remedy Taker in […], subject to the approval of the SPA by the Commission, respectively. For the avoidance of doubt, all provisions applicable to the SPA in the Commitments are also, to the extent possible, applicable to any agreement(s) of similar kind which are entered into based on the requirements of the Short-Haul Remedy Taker.

28. The commercial terms of the SPA shall reflect the conditions of similar agreements for the domestic network of ITA, i.e., the better of

    a. a SPA agreement ITA and DLH would agree on in a post-closing scenario with the guarantee that the agreement with the Short-Haul Remedy Taker shall be equal to or better than any SPA between ITA and DLH during a period of five (5) years from the entry of the Short-Haul Remedy Taker in […], subject to the approval of the SPA with the Short-Haul Remedy Taker by the Commission, enabling the Short-Haul Remedy Taker to benefit (during this five-year period) from any changes of any SPA between ITA and DLH to its advantage, or

    b. a comparable SPA agreement ITA has in place or enters into with its alliance partners during the period of five (5) years from the entry of the Short-Haul Remedy Taker in […], subject to the approval of the SPA with the Short-Haul Remedy Taker by the Commission.

    The Parties will provide the Monitoring Trustee with the agreements referred to in a. and b. to assess the Parties' compliance with this commitment. In case the Short-Haul Remedy Taker is technically not in a position to implement such an SPA, the Parties and the Short-Haul Remedy Taker shall procure an equivalent solution with commercial terms that replicate the above as closely as possible.

29. As a reference, such SPA offered to potential remedy takers shall be based for published through fares on a so called Straight-Rate-Proration ("**SRP**") with minimum prorates to be paid by the marketing carrier to the operating carrier („**Minima**"). This implies that the prorate to be paid for the feeder route is determined by the price for the complete itinerary, set by the remedy taker. It shall offer access to all of ITA's operating Reservation Booking Designators ("**RBD**") as to be agreed on between ITA and the Short-Haul Remedy Taker. The settlement shall be based on SRP with four (4) different Minima based on

[6] For the avoidance of doubt, if there is a separate Short-Haul Remedy Taker operating the Remedy Short-Haul Routes to/from BRU, the SPA will not be made available to this separate Short-Haul Remedy Taker, as Brussels is not included in the Remedy Short-Haul Direct/Indirect Routes, as set out in the definitions of these Commitments.

RBD clusters (three (3) for economy class, one (1) for business class) with Minima from […] one-way in the lowest economy RBD. For unpublished through fares, fixed amounts will apply. As described in clause 28, the Parties commit to grant the Short-Haul Remedy Taker even more favorable conditions in case better benchmarks are or are becoming available (due to ITA signing new agreements).

30. DLH and MEF commit to enter into the SPA or an agreement of similar kind with the Short-Haul Remedy Taker as early as possible, but in any event no later than […] of the Effective Date to permit operations of the Short-Haul Remedy Taker from […] on.

III. Long-Haul Commitments

31. DLH and MEF commit to enter into Long-Haul Remedy Agreement(s) with the Long-Haul Remedy Taker(s), within […] from the Effective Date and for a duration of three (3) years (starting with the beginning of the season following the approval of the agreement by the Commission) which will take the form of either:

    i. agreements with Long-Haul Remedy Taker(s) in order to establish a frequency increase on the Long-Haul Remedy Routes equivalent to at least the number of direct weekly Frequencies (as an average value per season) set out in Schedule 1 for each relevant route and season; or

    ii. agreements on industry standard cooperation tools (such as interlining agreements, slot swaps or retimings) with Long-Haul Remedy Taker(s) on flights to and from FCO to other airport hub(s) located in the IATA traffic area Europe or in North America, in order to allow the Long-Haul Remedy Taker(s) to operate their own (existing or new) operations on the Long-Haul Remedy Routes, in order to establish a frequency increase of at least ten (10) weekly Competitive Indirect Connections (as an average value per season), offered across two (2) Long-Haul Remedy Takers, out of which one Long-Haul Remedy Taker shall rely on its own operations or on interlining with independent third parties (other than ITA, DLH and its A++ JV partners), whereas the second Long-Haul Remedy Taker may rely on cooperation agreements (interlining or other) with the Parties. This is with the exception of FCO-SFO in the winter season, where this should be at least three (3) weekly additional Competitive Indirect Connections, offered by one (1) Long-Haul Remedy Taker (relying either on its own operations or on interlining, including with DLH or ITA); or

    iii. a combination of frequency increase (i.) and additional Competitive Indirect Connections (ii.) on the Long-Haul Remedy Routes, as set out in Schedule 1.

32. The corresponding commitments of the Long-Haul Remedy Taker(s) under the Commitments are set out in the Long-Haul Remedy Agreement(s). The Long-Haul Remedy Agreement(s) in particular provide for the commitment by the Long-Haul Remedy Taker(s) to (i) operate their own increased direct Frequencies as per the minimum frequencies set out in clause 9(i), or (ii) increase and/or improve connectivity options through industry standard cooperation tools (such as interlining agreements, slot swaps or retimings) as per the minimum frequencies set out in clause 9(ii), or (iii) a combination thereof as per the minimum frequencies set out in clause 9(iii), in accordance with clause 31, for a duration of three (3) years (starting with the beginning of the season following the approval of the agreement by the Commission), including the provision of suitable enforcement steps against the Long-Haul Remedy Taker(s) to ensure compliance with the Long-Haul Remedy Agreement(s). The Parties commit, upon request of the Long-Haul Remedy Taker, to extend the duration of the industry standard cooperation tools in case of option (ii), to five (5) years starting with the beginning of the season following the approval of the agreement by the Commission.[7]

33. The commercial terms of any industry standard cooperation tools entered into in accordance with clause 31(ii) shall reflect the conditions of similar agreements of ITA, i.e., the better of

    a. an agreement ITA and DLH would agree on in a post-closing scenario with the guarantee that the agreement with the Long-Haul Remedy Taker shall be equal to or better than any agreement between ITA and DLH during a period of five (5) years starting with the beginning of the season following the approval of the agreement with the Long-Haul Remedy Taker by the Commission, enabling the Long-Haul Remedy Taker to benefit (during this five-year period) from any changes of any agreement between ITA and DLH to its advantage, or

    b. a comparable agreement ITA has in place or enters into with its alliance partners during the period of five (5) years starting with the beginning of the season following the approval of the agreement with the Long-Haul Remedy Taker by the Commission.

[7] For the avoidance of doubt, this does not extend the Parties' commitment as set out in clause 9(ii).

Section C. The Remedy Taker Criteria

I. Short Haul Remedy Taker Criteria

34. In order to be approved by the Commission, the Short-Haul Remedy Taker must fulfil the following criteria:

    a. The Short-Haul Remedy Taker shall be independent of and unconnected to the Notifying Parties and their Affiliated Undertakings (this being assessed having regard to the situation following the divestiture).

    b. The Short-Haul Remedy Taker shall have the financial resources, proven expertise and incentive to act as a viable and active competitive force in competition with the Parties and other competitors on the Remedy Short-Haul Routes and the Remedy Short-Haul Direct/Indirect Routes as described in clause 6, it being understood that in the latter case the domestic leg of the Remedy Short-Haul Direct/Indirect Routes will be enabled through own connecting flights of the Short-Haul Remedy Taker or an SPA or an agreement of similar kind with ITA.

    c. The operations on the Remedy Short-Haul Routes and the offer on the Remedy Short-Haul Direct/Indirect Routes by the Short-Haul Remedy Taker must neither be likely to create, in light of the information available to the Commission, *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed. In particular, the Short-Haul Remedy Taker must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Remedy Short-Haul Routes and the Remedy Short-Haul Direct/Indirect Routes. It shall be understood that the domestic leg of the Remedy Short-Haul Direct/Indirect Routes will be enabled through own connecting flights of the Short-Haul Remedy Taker or an SPA or an agreement of similar kind with ITA.

35. The final binding agreement (as well as ancillary agreements) relating to the Agreements shall be conditional on the Commission’s approval. When the Parties have reached an agreement with a Short-Haul Remedy Taker, they shall submit a fully documented and reasoned proposal, including a copy of the final agreement(s), within one week to the Commission and the Monitoring Trustee. The Parties must be able to demonstrate to the Commission that the Short-Haul Remedy Taker fulfils the Short-Haul Remedy Taker Criteria and that the Entry Commitment Agreement is consistent with the Commission's Decision and the Commitments. For the approval, the Commission shall verify that the Short-Haul Remedy Taker

fulfils the Short-Haul Remedy Taker Criteria and that the Agreements are consistent with the Commitments including their objective to bring about a lasting structural change in the market.

II. Long-Haul Remedy Taker Criteria

36. In order to be approved by the Commission, the Long-Haul Remedy Taker must fulfil the following criteria:

    a. The Long-Haul Remedy Taker shall be independent of and unconnected to the Notifying Parties, their Affiliated Undertakings and the A++ JV Partners.

    b. The Long-Haul Remedy Taker shall have the financial resources, proven expertise and incentive to act as a viable and active competitive force in competition with the Parties, the A++ JV Partners and other competitors on the Long-Haul Remedy Routes.

    c. The operations on the Long-Haul Remedy Routes by the Long-Haul Remedy Taker must not be likely to create, in light of the information available to the Commission, *prima facie* competition concerns. In addition, the Long-Haul Remedy Taker must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the operations on the Long-Haul Remedy Routes.

37. The final binding agreement (as well as ancillary agreements) relating to the Long-Haul Remedy Agreement(s) shall be conditional on the Commission's approval. When the Parties have reached an agreement with a Long-Haul Remedy Taker, they shall submit a fully documented and reasoned proposal, including a copy of the final agreement(s), within one week to the Commission and the Monitoring Trustee. The Parties must be able to demonstrate to the Commission that the Long-Haul Remedy Taker fulfils the Long-Haul Remedy Taker Criteria and that the Long-Haul Remedy Agreement is consistent with the Commission's Decision and the Commitments. For the approval, the Commission shall verify that the Long-Haul Remedy Taker fulfils the Long-Haul Remedy Taker Criteria and that the Long-Haul Remedy Agreement(s) are consistent with the Commitments including their objective to bring about a lasting structural change in the market.

Section D. Trustee

I. Appointment procedure

38. The Parties shall appoint a Monitoring Trustee to carry out the functions specified in these Commitments for a Monitoring Trustee. The Parties commit not to close the Concentration before the appointment of a Monitoring Trustee.

39. The Monitoring Trustee shall:

    a. at the time of appointment, be independent of the Notifying Parties and its Affiliated Undertakings;
    b. possess the necessary qualifications to carry out its mandate, for example have sufficient relevant experience as an investment banker or consultant or auditor; and
    c. neither have nor become exposed to a Conflict of Interest.

40. The Monitoring Trustee shall be remunerated by the Notifying Parties in a way that does not impede the independent and effective fulfilment of its mandate.

Proposal by the Parties

41. No later than two weeks after the Effective Date, the Parties shall submit the name or names of one or more natural or legal persons whom the Parties propose to appoint as the Monitoring Trustee to the Commission for approval. The proposal shall contain sufficient information for the Commission to verify that the person or persons proposed as Monitoring Trustee fulfil the requirements set out in clause 39 and shall include:

    a. the full terms of the proposed mandate, which shall include all provisions necessary to enable the Monitoring Trustee to fulfil its duties under these Commitments;
    b. the outline of a work plan which describes how the Monitoring Trustee intends to carry out its assigned tasks.

Approval or rejection by the Commission

42. The Commission shall have the discretion to approve or reject the proposed Monitoring Trustee(s) and to approve the proposed mandate subject to any modifications it deems necessary for the Monitoring Trustee to fulfil its obligations. If only one name is approved, the Parties shall appoint or cause to be appointed the person or persons concerned as Monitoring Trustee, in accordance with the mandate approved by the Commission. If more than one

name is approved, the Parties shall be free to choose the Monitoring Trustee to be appointed from among the names approved. The Monitoring Trustee shall be appointed within one week of the Commission's approval, in accordance with the mandate approved by the Commission.

New proposal by the Parties

43. If all the proposed Monitoring Trustees are rejected, the Parties shall submit the names of at least two more natural or legal persons within one week of being informed of the rejection, in accordance with clauses 38 and 42 of these Commitments.

Monitoring Trustee nominated by the Commission

44. If all further proposed Monitoring Trustees are rejected by the Commission, the Commission shall nominate a Monitoring Trustee, whom the Parties shall appoint, or cause to be appointed, in accordance with a trustee mandate approved by the Commission.

II. Functions of the Monitoring Trustee

45. The Monitoring Trustee shall assume its specified duties and obligations in order to ensure compliance with the Commitments. The Commission may, on its own initiative or at the request of the Monitoring Trustee or the Parties, give any orders or instructions to the Monitoring Trustee in order to ensure compliance with the conditions and obligations attached to the Decision.

Duties and obligations of the Monitoring Trustee

46. The Monitoring Trustee shall:

a. propose in its first report to the Commission a detailed work plan describing how it intends to monitor compliance with the obligations and conditions attached to the Decision.

b. monitor the performance of the Commitments by the Parties.

c. inform the Parties promptly about any request or notification by the Short-Haul Remedy Taker.

d. propose to the Parties such measures as the Monitoring Trustee considers necessary to ensure the Parties' compliance with the conditions and obligations attached to the Decision.

e. review and assess the agreements and the requests for extension of agreements submitted by the Parties for approval by the Monitoring Trustee, in consultation with the Commission.

f. advise and make a written recommendation to the Commission as to the fulfilment of the Completion condition under clause 13.

g. review and assess the progress of the procurement of the entry by the Short-Haul Remedy Taker and verify that, dependent on the stage of the process, the Short-Haul Remedy Taker receives sufficient and correct information relating to the Remedy Short-Haul Routes.

h. review and assess the progress of the transfer/release of the LIN Slots.

i. review and assess the progress of entering into the SPA;

j. review and assess the progress of the Long-Haul Remedy;

k. provide to the Commission, sending the Parties a non-confidential copy at the same time, a written report within 15 days after the end of every month that shall cover (i) the operation and management of the Remedy Short-Haul Routes as well as the facilitation of entry so that the Commission can assess the progress of the process until the moment of entry on all Remedy Short-Haul Routes by the Short-Haul Remedy Taker, whereby after the moment of entry on all Remedy Short-Haul Routes, the Monitoring Trustee shall provide its reports on a IATA seasonal instead of a monthly basis, and (ii) the development of the Parties' activities on the Long-Haul Remedy Routes based on certain Key Performance Indicators (e.g., number of seats offered, market shares incl. indirect), in a manner consistent with the Commitments.

l. promptly report in writing to the Commission, sending the Parties a non-confidential copy at the same time, if it concludes on reasonable grounds that the Parties are failing to comply with these Commitments.

m. assume the other functions assigned to the Monitoring Trustee under the conditions and obligations attached to the Decision.

III. Duties and obligations of the Parties

47. The Parties shall provide and shall cause their advisors to provide the Monitoring Trustee with all such co-operation, assistance and information as the Monitoring Trustee may reasonably require to perform its tasks. The Monitoring Trustee shall have full and complete access to any of their books, records, documents, management or other

personnel, facilities, sites and technical information necessary for fulfilling its duties under the Commitments and the Parties shall provide the Monitoring Trustee upon request with copies of any document. The Parties shall make available to the Monitoring Trustee one or more offices on their premises and shall be available for meetings in order to provide the Monitoring Trustee with all information necessary for the performance of its tasks.

48. The Parties shall indemnify the Monitoring Trustee and its employees and agents (each an "***Indemnified Party***") and hold each Indemnified Party harmless against, and hereby agrees that an Indemnified Party shall have no liability to the Parties for, any liabilities arising out of the performance of the Monitoring Trustee's duties under the Commitments, except to the extent that such liabilities result from the willful default, recklessness, gross negligence or bad faith of the Monitoring Trustee, its employees, agents or advisors.

49. At the expense of the Parties, the Monitoring Trustee may appoint advisors (in particular for corporate finance or legal advice), subject to the Parties' approval (this approval not to be unreasonably withheld or delayed) if the Monitoring Trustee considers the appointment of such advisors necessary or appropriate for the performance of its duties and obligations under the Mandate, provided that any fees and other expenses incurred by the Monitoring Trustee are reasonable. Should the Parties refuse to approve the advisors proposed by the Monitoring Trustee the Commission may approve the appointment of such advisors instead, after having heard the Parties. Only the Monitoring Trustee shall be entitled to issue instructions to the advisors. clause 48 of these Commitments shall apply *mutatis mutandis*.

50. The Parties agree that the Commission may share Confidential Information proprietary to the Parties with the Monitoring Trustee. The Monitoring Trustee shall not disclose such information and the principles contained in Article 17 (1) and (2) of the Merger Regulation apply *mutatis mutandis*.

51. The Notifying Parties agree that the contact details of the Monitoring Trustee are published on the website of the Commission's Directorate-General for Competition and they shall inform interested third parties of the identity and the tasks of the Monitoring Trustee.

52. For a period of 10 years from the Effective Date the Commission may request all information from the Parties that is reasonably necessary to monitor the effective implementation of these Commitments.

IV. Replacement, discharge and reappointment of the Monitoring Trustee

53. If the Monitoring Trustee ceases to perform its functions under the Commitments or for any other good cause, including the exposure of the Monitoring Trustee to a Conflict of Interest:

    a. the Commission may, after hearing the Monitoring Trustee and DLH, require the Parties to replace the Monitoring Trustee; or

    b. the Parties may, with the prior approval of the Commission, replace the Monitoring Trustee.

54. If the Monitoring Trustee is removed according to clause 53 of these Commitments, the Monitoring Trustee may be required to continue in its function until a new Monitoring Trustee is in place to whom the Monitoring Trustee has effected a full hand over of all relevant information. The new Monitoring Trustee shall be appointed in accordance with the procedure referred to in clause 38 et seq of these Commitments.

55. Unless removed according to clause 53 of these Commitments, the Monitoring Trustee shall cease to act as Monitoring Trustee only after the Commission has discharged it from its duties after all the Commitments with which the Monitoring Trustee has been entrusted have been implemented. However, the Commission may at any time require the reappointment of the Monitoring Trustee if it subsequently appears that the relevant remedies might not have been fully and properly implemented.

Section F. The review clause

56. The Commission may at its discretion extend the time periods foreseen in the Commitments in response to a request from the Parties or, in appropriate cases, on its own initiative. Where the Parties request an extension of a time period, they shall submit a reasoned request to the Commission no later than one month before the expiry of that period, showing good cause. This request shall be accompanied by a report from the Monitoring Trustee, who shall, at the same time send a non-confidential copy of the report to the Parties. Only in exceptional circumstances shall the Parties be entitled to request an extension within the last month of any period.

57. The Commission may further, in response to a reasoned request from the Parties showing good cause waive, modify or substitute, in exceptional circumstances, one or more of the undertakings in these Commitments. This request shall be accompanied by a report from the Monitoring Trustee, who shall, at the same time send a non-confidential copy of the report to the Parties. The request shall not have the effect of suspending the application of

the undertaking and, in particular, of suspending the expiry of any time period in which the undertaking has to be complied with.

Section G. Sunset clause

58. In the event that the Proposed Transaction lapses, these Commitments shall lapse.

Section H. Entry into force

59. The Commitments shall take effect upon the date of adoption of the Decision.

[…]
.....
["*e-signed*"]
duly authorised for and on behalf of DLH

[…]
.....
["*e-signed*"]
duly authorised for and on behalf of MEF

M.11071 DLH/MEF/ITA

SCHEDULE 1 TO THE COMMITMENTS - LONG-HAUL REMEDY FREQUENCIES

	Avg frequencies S24	Avg frequencies W24/25
FCO-IAD	**19**	**8**
Scheduled freq. AZ	6	3
Scheduled freq. UA	13	5
Direct offer	**6 in summer seasons**	**3 in winter seasons**
Indirect offer	**10 in summer seasons**	**10 in winter seasons**
Combined offer		
- Direct	**3 in summer seasons**	**2 in winter seasons**
- Indirect	**6 in summer seasons**	**6 in winter seasons**
FCO-SFO	**13**	**2**
Scheduled freq. AZ	6	2
Scheduled freq. UA	7	0
Direct offer	**6 in summer seasons**	
Indirect offer	**10 in summer seasons**	**3 in winter seasons**
Combined offer		
- Direct	**3 in summer seasons**	
- Indirect	**6 in summer seasons**	
FCO-YYZ	**15**	**3**
Scheduled freq. AZ	5	0
Scheduled freq. AC	10	3
Direct offer	**5 in summer seasons**	
Indirect offer	**10 in summer seasons**	
Combined offer		
- Direct	**3 in summer seasons**	
- Indirect	**6 in summer seasons**	